

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[968 NE2d 947, 945 NYS2d 593]

DANIEL RYAN, Respondent, v KELLOGG PARTNERS INSTITUTIONAL SERVICES, Appellant.

Argued February 7, 2012; decided March 27, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 7, 2010. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Saliann Scarpulla, J.), which had awarded plaintiff the total sum of \$379,956.65. The appeal to the Appellate Division brought up for review (1) a prior order of that Supreme Court (op 2010 NY Slip Op 33771[U] [2010]), entered January 6, 2010, which had (a) denied defendant's motion for judgment notwithstanding the verdict or for a new trial, and (b) granted plaintiff's cross motion to the extent of permitting plaintiff to enter judgment on the jury's verdict in the sum of \$175,000 plus interest from the date of plaintiff's termination and directing plaintiff to submit a statement of his attorney's fees; and (2) a prior order of that Supreme Court, entered February 22, 2010, which had amended the order entered January 6, 2010 to reflect that defendant's motion at trial to amend its answer and affirmative defenses to conform to the evidence was denied.

Ryan v Kellogg Partners Inst. Servs., 79 AD3d 447, affirmed.

HEADNOTES**Employment Relationships — Failure to Pay Bonus — Oral Agreement**

1. In an action brought by plaintiff, a former employee of defendant, seeking to be paid the bonus defendant orally promised to pay him at the outset of his employment and then again the following year after he agreed to forgo the bonus for one year, plaintiff's causes of action for failure to pay wages in violation of Labor Law §§ 190 through 198 and breach of contract were not barred by any statements in the employment application or the employee handbook. Although the "Acknowledgments" section of the application, signed by plaintiff, confirmed his understanding that he was going to work at defendant as an at-will employee, plaintiff did not assert or rely on any alleged right to continued employment, compensation or benefits from defendant. Rather, he asked to be paid the compensation that he said he was promised by defendant in exchange for work that he thereafter performed in reliance on those promises. Similarly, the "Receipt" in the employee handbook, signed by plaintiff, only confirmed his understanding that he was an at-will employee. The handbook did not say that oral compensation agreements were unenforceable, or mention bonuses at all. It specifically disavowed any intention on defendant's part to have its provisions integrated into the employment contract. Moreover, the jury heard differing accounts as to whether plaintiff was even presented with an employee handbook before the date on which he signed a receipt in it, which was after the oral agreements were alleged to have been struck, or what any earlier-received handbook might have said.

Employment Relationships — Failure to Pay Bonus — Oral Agreement — Statute of Frauds

2. In an action brought by plaintiff, a former employee of defendant, seeking to be paid the bonus defendant orally promised to pay him both at the outset of his employment and then again the following year after he agreed to forgo the bonus for one year, defendant could not successfully defend against the enforcement of the oral promises on the ground that there was no signed writing. Certain kinds of agreements must be expressed in a signed writing in order to bind the party against whom enforcement is sought—i.e., agreements incapable of being performed within a year of their making (General Obligations Law § 5-701 [a] [1]); agreements made without consideration to change, modify or discharge an existing contract or obligation (General Obligations Law § 5-1103); and agreements premised on past consideration (General Obligations Law § 5-1105). The oral agreements described by plaintiff to the jury did not fit into any of those categories. Plaintiff left his well-paying job at another securities firm to join defendant in reliance upon the managing partner's promise that his compensation package for 2003 would consist of a certain base salary and a certain guaranteed, non-discretionary bonus to be paid to him in late 2003 or early 2004. There was consideration for that oral employment contract, which was capable of being performed within a year. In early 2004, the managing partner sought plaintiff's consent to delay the payment of his already-earned bonus until late 2004 or early 2005 upon the understanding that plaintiff would stay on at defendant through the end of 2004. That oral agreement was likewise supported by consideration on plaintiff's part and capable of being performed within a year. As plaintiff's testimony was accepted by the jury, General Obligations Law § 5-701 (a) (1) and § 5-1105 did not come into play. Moreover, the one-year delay in payment, even if viewed as a modification without consideration (*see* General Obligations Law § 5-1103), benefitted defendant, not plaintiff, and so, because not in writing, was unenforceable by defendant.

Labor — Hours and Wages — Wage Claim — Right to Attorney’s Fees

3. The bonus that defendant had orally promised to plaintiff when plaintiff agreed to leave his employment at another securities firm and join defendant as head floor broker constituted “wages” within the meaning of Labor Law § 190 (1), and defendant’s neglect to pay the bonus violated Labor Law § 193 and entitled plaintiff to an award of attorney’s fees under Labor Law § 198 (1-a). Plaintiff’s bonus was expressly linked to his labor or services personally rendered—namely, his work as a floor broker for defendant. Further, plaintiff’s bonus had been earned and was vested before he left his job at defendant; its payment was guaranteed and non-discretionary as a term and condition of his employment.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 9–12, 20, 24, 59;
 AM JUR 2d, Statute of Frauds §§ 4, 35, 36, 42, 193, 198.
 CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 19.17,
 19.18.
 MCKINNEY’S, General Obligations Law § 5–701 (a) (1);
 §§ 5–1103, 5–1105; Labor Law § 190 (1); §§ 193, 198 (1–
 a).
 NY JUR 2d, Employment Relations §§ 66, 135, 151, 153,
 164, 328; NY JUR 2d, Frauds, Statute of §§ 19, 21, 37,
 182, 240.
 WILLISTON ON CONTRACTS (4th ed) § 24:3.

ANNOTATION REFERENCE

Promise by employer to pay bonus as creating valid and enforceable contract. 43 ALR3d 503.

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Query: oral /2 agreement /5 bonus & employ! /4 handbook

POINTS OF COUNSEL

Peckar & Abramson, P.C., New York City (*Kevin J. O’Connor* of counsel), for appellant. I. Daniel Ryan’s breach of contract claim should never have gone to the jury because of the existence of the signed employment application and employee handbook, his admission that his bonus compensation was discretionary, and because of overwhelming evidence that no such verbal agreement existed. (*Smalley v Dreyfus Corp.*, 40 AD3d 99; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Kaplan v Capital Co. of Am.*, 298 AD2d 110, 99 NY2d 510; *Hunter v Deutsche Bank AG, N.Y. Branch*, 56 AD3d 274; *Namad v Salomon Inc.*, 74 NY2d 751; *Truelove v Northeast Capital &*

Advisory, 268 AD2d 648, 95 NY2d 220; *Gruber v J.W.E. Silk, Inc.*, 52 AD3d 339; *Weiner v Diebold Group*, 173 AD2d 166.) II. Daniel Ryan's testimony concerning the alleged oral promise by Kellogg Partners Institutional Services to pay him additional bonus compensation made clear that it was supported by past consideration and was unenforceable at law; the submission of this claim to the jury, as well as the use of a patently objectionable jury charge, was reversible error. (*James V. Aquavella, M.D., P.C. v Viola*, 17 NY3d 741; *Clark v Bank of N.Y.*, 185 AD2d 138, 81 NY2d 760; *Transamerica Realty v Winokur*, 248 AD2d 250; *Raymond Babtkis Assoc. v Tarazi Realty Corp.*, 36 AD2d 694; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Umscheid v Simnacher*, 106 AD2d 380; *Rehill v Rehill*, 306 NY 126; *Kastil v Carro*, 145 AD2d 388; *Matter of Crea*, 27 NY2d 339; *20 E. 74th St. v Minskoff*, 308 NY 407.) III. Under the very terms of Daniel Ryan's alleged oral agreement, as purportedly "amended," it is barred by General Obligations Law § 5-701 because it could not be performed within one year. (*Mirchel v RMJ Sec. Corp.*, 205 AD2d 388; *Weisse v Engelhard Mins. & Chems. Corp.*, 571 F2d 117.) IV. The trial court's decision to permit Daniel Ryan to hold himself out as the poster child of financial health, while simultaneously limiting Kellogg Partners Institutional Services' ability to challenge that testimony, left the jury with a false picture and resulted in a manifestly unjust decision. (*Gropper v St. Luke's Hosp. Ctr.*, 234 AD2d 171; *Kaplan v Capital Co. of Am.*, 298 AD2d 110; *Namad v Salomon Inc.*, 74 NY2d 751; *Crooms v Sauer Bros. Inc.*, 48 AD3d 380.) V. Daniel Ryan's cross motion for attorney's fees pursuant to Labor Law § 198 was completely without basis under the law and should have been denied. (*Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Hunter v Deutsche Bank AG, N.Y. Branch*, 56 AD3d 274.)

Law Offices of Thomas S. Rosenthal, New York City (Thomas S. Rosenthal of counsel), for respondent. I. The evidence fully supports the jury's verdict that Kellogg Partners Institutional Services breached its contract with Daniel Ryan. (*Szczerbiak v Pilat*, 90 NY2d 553; *Cohen v Hallmark Cards*, 45 NY2d 493; *Blum v Fresh Grown Preserve Corp.*, 292 NY 241.) II. No provision in Kellogg Partners Institutional Services' application or handbook operates by law to bar Daniel Ryan's claim for his guaranteed, non-discretionary bonus or otherwise subjects that bonus to Kellogg's discretion. (*Murphy v American Home Prods.*

Corp., 58 NY2d 293; *Sabetay v Sterling Drug*, 69 NY2d 329; *Cron v Hargro Fabrics*, 91 NY2d 362; *Weiner v Diebold Group*, 173 AD2d 166; *Gruber v J.W.E. Silk, Inc.*, 52 AD3d 339; *Mirchel v RMJ Sec. Corp.*, 205 AD2d 388; *Vetromile v JPI Partners, LLC*, 706 F Supp 2d 442; *Guggenheimer v Bernstein Litowitz Berger & Grossmann LLP*, 11 Misc 3d 926; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Smalley v Dreyfus Corp.*, 40 AD3d 99.) III. No provision of the General Obligations Law applies to bar Daniel Ryan's claim for breach of contract. (*23/23 Communications Corp. v General Motors Corp.*, 257 AD2d 367, 93 NY2d 805; *Matter of Sheldon E. Goldstein, P.C. [Riverso]*, 276 AD2d 321; *Miranco Contr., Inc. v Perel*, 29 AD3d 873; *Admae Enters. v Smith*, 222 AD2d 471; *Kuhl v Piatelli*, 31 AD3d 1038; *Rogoff v San Juan Racing Assn.*, 54 NY2d 883; *Immediate v St. John's Queens Hosp.*, 48 NY2d 671; *Cron v Hargro Fabrics*, 91 NY2d 362; *Weiner v Diebold Group*, 173 AD2d 166; *Umscheid v Simnacher*, 106 AD2d 380.) IV. The trial court's evidentiary rulings do not warrant a remand for a new trial. (*Porter v Saar*, 260 AD2d 165; *Campbell v Rogers & Wells*, 218 AD2d 576; *People v Dillenbeck*, 115 AD2d 331; *Coopersmith v Gold*, 89 NY2d 957; *Crooms v Sauer Bros. Inc.*, 48 AD3d 380; *Kaplan v Capital Co. of Am.*, 298 AD2d 110; *Namad v Salomon Inc.*, 74 NY2d 751; *Gropper v St. Luke's Hosp. Ctr.*, 234 AD2d 171.) V. The jury's finding that Kellogg Partners Institutional Services breached the contract to pay Daniel Ryan \$175,000 warrants the court's judgment that Mr. Ryan is entitled to the award of attorney's fees because Kellogg violated article 6 of the Labor Law. (*Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *Giuntoli v Garvin Guybutler Corp.*, 726 F Supp 494; *Miteva v Third Point Mgt. Co., L.L.C.*, 323 F Supp 2d 573; *Wright v Wright Stucco*, 50 NY2d 837; *Tierney v Capricorn Invs.*, 189 AD2d 629; *Watson v Prentice-Hall*, 50 AD2d 1077; *Truelove v Northeast Capital & Advisory*, 268 AD2d 648.)

OPINION OF THE COURT

READ, J.

In early 2003, plaintiff Daniel Ryan was approached about leaving his employment with the brokerage firm where he had worked since 2000 to join Kellogg Partners Institutional Services LLC (Kellogg), a broker-dealer then being formed to trade stocks for institutional investors. In 2002, Ryan earned roughly \$270,000, consisting of salary and a bonus for work performed in 2001, paid out in February 2002; for the first six months of

2003, he earned approximately \$195,000 in salary and a bonus for work performed in 2002, paid out in February 2003. Ryan testified that he told Kellogg's managing partner that he "wanted a package of \$350,000" to change jobs. According to Ryan, the managing partner assured him this "would not be a problem," but asked him if he would accept his compensation for calendar year 2003 split into two parts, consisting of a salary of \$175,000 and a guaranteed bonus of \$175,000, which would be paid out in late 2003 or early 2004. Ryan agreed, and began work at Kellogg on July 14, 2003 as head floor broker.

On June 21, 2003, before starting his employment at Kellogg but after he accepted the job, Ryan signed an employment application. A section captioned "Acknowledgments" declares as follows:

"I understand that [Kellogg Group LLC¹] and I fully expect that I shall have a successful career with the firm, but I further understand that is [*sic*] neither an offer of employment nor employment itself, nor any of [Kellogg Group LLC's] policies or procedures, carry any guarantee of employment for any length of time and that my employment, compensation and benefits are at will and can be terminated, with or without cause or notice, at any time, at the option of [Kellogg Group LLC] or myself."

Similarly, Kellogg Group LLC's employee handbook includes a "Receipt" signed by Ryan on February 18, 2004, which states that

"I understand that Kellogg Group LLC is an 'at will' employer and as such[,] employment with Kellogg Group LLC is not for a fixed term or definite period and may be terminated at the will of either party, with or without cause, and without prior notice. No supervisor or other representative of the company (except the President) has the authority to enter into any agreement for employment for any specified period of time, or to make any agreement contrary to the above. In addition, I understand that this Handbook states Kellogg Group LLC's policies and practices in effect on the date of publication. I understand that nothing contained in the Handbook

1. Kellogg is (or was at the time) a subsidiary of Kellogg Group LLC.

may be construed as creating a promise of future benefits or a binding contract with Kellogg Group LLC for benefits or for any other purpose.”

Kellogg did not begin trading operations on the floor of the New York Stock Exchange until October 2003. Ryan received an extra two weeks’ pay in late 2003, but no other bonus payment was forthcoming.² According to Ryan, he and the managing partner had “a few conversations” about this. Then in February 2004, the managing partner asked Ryan if he would be willing to forgo the agreed-upon bonus for a year, and accept it for work performed in 2004 instead, to be paid out in late 2004 or early 2005. The managing partner gave as his reason that Kellogg had started up “a little bit later” than anticipated. Ryan replied that he “wasn’t very happy about it,” but would “take one for the team and take the guarantee for the 2004 year instead of 2003.” At the time, business at Kellogg was “steadily improving, picking up new accounts.”

Ryan claims to have discussed with the managing partner “many times” in late 2004 and early 2005 that he was “waiting for [his] bonus.” The managing partner put him off, telling him to “[r]elax” and reassuring him that Kellogg was “going to get [to] the bonuses soon.” Then, on February 3, 2005, the managing partner offered Ryan a \$20,000 bonus for work performed in 2004. Ryan rejected this overture as unacceptable. Five days later, on February 8, 2005, the managing partner fired Ryan at a meeting also attended by the chief compliance officer. Ryan was handed a separation agreement, which provided for a payment to him of \$20,000 and included a release of Kellogg from any and all claims or causes of action. Ryan refused to sign this document.

On March 9, 2005, Kellogg filed a Uniform Termination Notice for Securities Industry Registration (Form U-5) with the National Association of Securities Dealers, Inc. (NASD), indicating that Ryan’s employment had been terminated for cause; namely, insubordination and disparagement of Kellogg.³ The managing partner testified that he learned before February 8,

2. The managing partner testified that Ryan received a bonus of \$10,000 for work performed in 2003, but Ryan’s W-2 forms did not support this.

3. Within 30 days after termination of an associated person’s registration for any reason, a securities firm must file a Form U-5 with the Financial Industry Regulatory Authority, Inc. (FINRA [NASD’s successor, as of July 26, 2007]), and at the same time provide a copy to the former employee (*see Financial Indus. Regulatory Auth., Inc. v Fiero*, 10 NY3d 12, 14 n [2008];

(n. cont’d)

2005 that Ryan had made derogatory comments about him and the firm subsequent to February 3, 2005, but chose not to mention this at the termination meeting. Instead, he “spoke about the importance of chemistry in the firm and how [he] did not feel that [his] vision of what the firm was all about and where it was going was consistent with [Ryan’s] vision.”

Ryan testified that he was “shocked” when he learned the day after he was fired that he was being accused of bad-mouthing Kellogg. While the managing partner and the chief compliance officer urged him to sign the separation agreement so as to avoid the filing of a negative U-5 form, Ryan declined because \$20,000 “was a fraction of what [he] was owed,” and he did not think it “fair[] that [he] was being pressured to sign something so [Kellogg] wouldn’t put something false” on the form. For his part, the managing partner countered that he just “wanted to give [Ryan] the opportunity to resign” rather than “have on his record that he was terminated.”

In a complaint filed May 26, 2005, Ryan alleged, as relevant to this appeal, causes of action for failure to pay wages in violation of Labor Law §§ 190 through 198 and breach of contract. Supreme Court conducted a jury trial in the spring of 2009, at which the managing partner in every conceivable way contradicted Ryan’s testimony on the topic of bonuses; in particular, he told the jury that the subject simply “did not come up” during the course of bringing Ryan on board at Kellogg, and that bonuses were discretionary only. The judge submitted Ryan’s Labor Law and contract claims to the jury, which unanimously found that Kellogg had breached an oral agreement to pay Ryan a guaranteed bonus of \$175,000, and, by a 5-1 vote, that Kellogg had not willfully withheld this payment.

Kellogg moved for judgment notwithstanding the verdict or for a new trial on numerous grounds, and Ryan cross-moved for various kinds of relief, principally a judgment notwithstanding the verdict on his claim for willful violation of the Labor Law and attorney’s fees pursuant to Labor Law § 198 (1-a). Kellogg challenged whether Ryan had adduced sufficient proof that the firm agreed to pay him a non-discretionary bonus, and, alternatively, claimed that the alleged oral agreement was

FINRA Manual, Bylaws, art V, § 3 [a] [formerly NASD Manual, Bylaws, art V, § 3 (a)].

unenforceable anyway in light of sections 5-701 (a) (1),⁴ 5-1103⁵ and 5-1105⁶ of the General Obligations Law.

Supreme Court concluded that there was an enforceable oral agreement in light of Ryan’s testimony, which was “accepted by the jury” (2010 NY Slip Op 33771[U], *10). As an initial matter, the judge decided that Kellogg had waived reliance upon any provisions of the General Obligations Law by failing to plead them as affirmative defenses in its answer. But in any event, she noted, Ryan testified “that the non-discretionary bonus was in consideration of his agreement to work for Kellogg for the remainder of 2003,” and “that Kellogg’s agreement to pay him the non-discretionary bonus in 2004 was in consideration for his agreement to work at Kellogg throughout 2004.” As a result, “the consideration was contemporaneous and forward looking,” and “[t]he oral agreement . . . was not supported solely by past consideration, thus the failure to reduce the agreement to a writing did not violate [General Obligations Law] § 5-1105 as a matter of law.” (*Id.*)

Additionally, Supreme Court held there was no violation of General Obligations Law § 5-701 (a) (1) because both Kellogg’s original agreement to pay Ryan a non-discretionary bonus in 2003 and the later agreement to pay him the bonus in 2004 were capable of being performed in a year’s time. And because Ryan testified that the agreement to pay him the bonus in 2004 was supported by “separate and new consideration, *i.e.*, Ryan’s agreement to work at Kellogg through 2004,” it was “not merely a modification of Kellogg’s 2003 agreement to pay Ryan a non-discretionary bonus, and in these circumstances [General Obligations Law] § 5-1103 [was] not controlling” (*id.* at *11 n 5).

4. Section 5-701 (a) (1) of the General Obligations Law, captioned “Agreements required to be in writing,” provides that an agreement will not be recognized or enforceable if it is not in a writing signed by the party sought to be bound when “[b]y its terms [the agreement] is not to be performed within one year from the making thereof.”

5. Section 5-1103 of the General Obligations Law, captioned “Written agreement for modification or discharge,” states that an agreement to modify or discharge an obligation does not require consideration if expressed in a writing signed by the party to whom the obligation is owing.

6. Section 5-1105, captioned “Written promise expressing past consideration,” provides that a promise based on past consideration is enforceable if there is a writing signed by the party to be bound, and “the consideration is expressed in the writing and is proved to have been given or performed and would be a valid consideration but for the time when it was given or performed.”

Supreme Court also denied both parties' motions with respect to declaring the jury verdict against the weight of the evidence. First, "[t]he jury was absolutely entitled to believe Ryan's testimony and disbelieve [the managing partner's] testimony concerning whether the agreement was made and breached" (*id.* at *12). Further, "viewed in the light most favorable to Kellogg, the jury . . . was entitled to determine that Kellogg's refusal to pay Ryan the bonus was based on [its] belief that no bonus was due, and . . . not based on malice or ill will toward Ryan" (*id.* at *13).

Next, the judge rejected Kellogg's contention that Ryan's "acceptance" of the employee handbook and knowledge of the course of dealing in the industry proved that he must have known that any bonus promised by the managing partner was necessarily optional (*id.*). Supreme Court pointed out that the parties "sharply disputed" the general course of dealing in the industry, especially with respect to bonus offers made to induce sought-after prospects⁷ in the financial services industry to change jobs, as well as the date when Ryan was actually given the handbook, and that, in any event, "there was no showing that either party relied upon the handbook's provisions" (*id.* at *13, *14). As a result, in the judge's view the jury could have rationally relied upon Ryan's testimony.

Finally, the judge decided that Ryan was entitled to reasonable attorney's fees pursuant to Labor Law § 198 (1-a) because "[w]ith the jury's verdict, [he] . . . prevailed on his unpaid wages claim" (*id.* at *19).⁸ By judgment entered February 24, 2010, Supreme Court awarded Ryan the total sum of \$379,956.65, consisting of the \$175,000 awarded by the jury, statutory interest, attorney's fees in an amount stipulated by the parties and costs.

The Appellate Division affirmed, with two Justices dissenting (79 AD3d 447 [1st Dept 2010]). The court essentially adopted

7. The managing partner readily acknowledged that he considered "north of" 100 candidates for the job he offered Ryan.

8. Under former Labor Law § 198 (1-a), an employee who prevailed on a wage claim was entitled to recover "reasonable attorney's fees and, upon a finding that the employer's failure to pay the wage . . . was willful, an additional amount as liquidated damages equal to twenty-five percent of the total amount of the wages found to be due." The law was amended in 2009 to shift the burden to the employer to "prove[] a good faith basis to believe that its underpayment of wages was in compliance with the law" in order to avoid liquidated damages (*see* L 2009, ch 372, § 1); and in 2010, liquidated damages were increased from 25% to 100% of the total amount of wages found to be due (*see* L 2010, ch 564, § 7).

the trial court’s reasoning, commenting, in particular, that Ryan’s breach-of-contract claim was not barred by the handbook or employment application because “[t]hose documents did not clearly indicate that bonuses [were] discretionary, and whether the \$175,000 payment was intended to be a discretionary bonus or earned income was a factual question for determination by the jury” (*id.* at 448 [citations omitted]). The dissenters would have reversed and dismissed the complaint “on the ground that [Ryan’s] breach of contract claim [was] barred by the employment application he signed and the employee handbook” (*id.* at 449 [Friedman and McGuire, JJ., dissenting]). Kellogg appeals as of right by virtue of the two-Justice dissent, and we now affirm.

The parties agree that Ryan worked at Kellogg as an at-will employee with an annual base salary of \$175,000; they also agree that Ryan and the managing partner reached an oral agreement about how much Ryan would be paid in 2003 if he joined Kellogg—i.e., there was no writing memorializing Ryan’s bargained-for compensation. Ryan testified that he accepted Kellogg’s job offer before he filled out the employment application on June 21, 2003, and that he gave his then employer two weeks’ notice; he started work at Kellogg on July 14, 2003. Concomitantly, the managing partner testified that he extended the job offer to Ryan in late May or mid-June. What is contested is whether, as a matter of fact, this job offer included a guarantee to pay Ryan a non-discretionary bonus of \$175,000 in late 2003 or early 2004 in order to attract him from an established securities firm to Kellogg, a start-up venture at the time; and whether the managing partner in early 2004 asked for and received Ryan’s consent to delay this bonus payment for a year until late 2004 or early 2005 on the understanding that Ryan would remain at Kellogg through 2004. Ryan testified that this is what happened; the managing partner claimed that Ryan was making it all up.

The jurors clearly believed Ryan. Kellogg now pursues two principal lines of argument to convince us that we should nevertheless reverse the Appellate Division’s order and dismiss the complaint or, alternatively, order a new trial: first, that there was insufficient evidence to support the jury’s verdict because statements in the employment application and employee handbook negate Ryan’s alleged expectation of or entitlement to a guaranteed or non-discretionary bonus; second, that the oral agreements respecting the bonus, if, in fact, entered into by the

parties (which Kellogg strenuously denies), are unenforceable because the General Obligations Law mandates that any such agreements would have to have been reduced to a writing by an agent of Kellogg in order to be valid. Kellogg also disputes Ryan's right to attorney's fees pursuant to Labor Law § 198 (1-a).

[1] The "Acknowledgments" section of the application, signed by Ryan on June 21, 2003, confirms his understanding that he was going to work at Kellogg as an at-will employee—i.e., that he was not guaranteed employment for any period of time, and that his employment, compensation and benefits were subject to termination by either party at any time and for any reason or for no reason at all. But in this lawsuit, Ryan does not assert or rely on any alleged right to continued employment, compensation or benefits from Kellogg; rather, he asks to be paid the compensation that he says he was promised by Kellogg at the outset of his employment in 2003, and again in early 2004, in exchange for work that he thereafter performed in reliance on these promises. Nothing in the application allows Kellogg to escape paying an at-will employee such as Ryan the remuneration he claims to have earned before he was fired.

Similarly, the "Receipt" in the employee handbook, signed by Ryan on February 18, 2004, only confirms his understanding that he was an at-will employee; specifically, Ryan acknowledged that his employment at Kellogg Group LLC was not for a fixed term or specified period of time and might be "terminated at the will of either party, with or without cause, and without prior notice" unless Kellogg Group LLC's president agreed otherwise. The "Receipt" also recited that Ryan understood that nothing in the handbook "creat[ed] a promise of future benefits or a binding contract . . . for benefits or for any other purpose." The handbook does not say that oral compensation agreements are unenforceable, or mention bonuses at all,⁹ although there is no dispute that Kellogg awarded annual bonuses. In short, there are no statements in the handbook that bar Ryan's recovery on his breach-of-contract and Labor Law claims for compensation alleged to be due and owing him (*cf. Namad v Salomon Inc.*, 74 NY2d 751 [1989] [where written four-year employment contract unambiguously vested employer with discretion regarding amount of bonus compensation to be awarded, employer entitled

9. There is a section in the handbook captioned "Compensation," which addresses only annual performance reviews, the payment of salaries on a biweekly basis, the manner of distribution of paychecks and time records.

to summary judgment dismissing employee's breach-of-contract suit seeking additional bonus payments]; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27 [1990] [employee not entitled to bonus where he did not receive annual participation notice, a precondition to vesting of bonus payment under employer's written bonus plan]; *Tierney v Capricorn Invs.*, 189 AD2d 629 [1st Dept 1993], *lv denied* 81 NY2d 710 [1993] [employee may not recover compensation over and above what was specified in written three-year employment contract where he signed acknowledgment that agreement stated parties' entire understanding and could only be amended by signed writing]; *Smalley v Dreyfus Corp.*, 40 AD3d 99, 106 [1st Dept 2007], *revd on other grounds* 10 NY3d 55 [2008] [employee not entitled to bonus where language in employee handbook authorized specified managers to "modify or annul any individual award, at their sole discretion, with or without notice, at any time"]; *Hunter v Deutsche Bank AG, N.Y. Branch*, 56 AD3d 274 [1st Dept 2008] [plaintiffs' breach-of-contract claims lacked merit where unambiguous language of their employment contracts and employee handbook made bonus awards solely and completely matter of employer's discretion]). In any event, here the employee handbook specifically disavows any intention on Kellogg's part to have its provisions integrated into the employment contract (*cf. Kaplan v Capital Co. of Am.*, 298 AD2d 110 [1st Dept 2002], *lv denied* 99 NY2d 510 [2003] [employee handbook, which stated that bonus compensation was purely discretionary, specified that handbook's terms alone would govern employment relationship unless modified in writing by specified individuals]).

Moreover, the jury heard differing accounts as to whether Ryan was even presented with an employee handbook before February 18, 2004, which is after the oral agreements were alleged to have been struck, or what any earlier-received handbook might have said. The chief compliance officer, who headed up human resources at the time Ryan was hired, testified that he customarily gave copies of the employee handbook to new hires. Ryan, however, denied receiving an employee handbook when he started at Kellogg in July 2003. The chief compliance officer also stated that he revised the handbook at some time after July 2003 and before February 2004, and that "[o]ff the top of [his] head" he did not recall what revisions he may have made in addition to changing the references to the firm to reflect its new name. Kellogg did not introduce a circa 2003 version of the handbook into evidence.

[2] Next, assuming Kellogg did not waive any defenses to Ryan's breach-of-contract and Labor Law claims, the statutory provisions it adduces specify that certain kinds of agreements must be expressed in a signed writing in order to bind the party against whom enforcement is sought—i.e., agreements incapable of being performed within a year of their making (General Obligations Law § 5-701 [a] [1]; see *Cron v Hargro Fabrics*, 91 NY2d 362, 366 [1998] ["As long as (an) agreement may be fairly and reasonably interpreted such that it may be performed within a year (of its making), the Statute of Frauds will not act as a bar however unexpected, unlikely, or even improbable that such performance will occur during that time frame" (internal quotation marks omitted)]); agreements made without consideration to change, modify or discharge an existing contract or obligation (General Obligations Law § 5-1103); and agreements premised on past consideration (General Obligations Law § 5-1105). The oral agreements described by Ryan to the jury, though, do not fit into any of these categories; therefore, Kellogg may not successfully defend against their enforcement on the ground there was no signed writing.

Ryan testified that he left his well-paying job at another securities firm to join Kellogg in reliance upon the managing partner's promise that his compensation package for 2003 would consist of a base salary of \$175,000 and a guaranteed, non-discretionary bonus of \$175,000 to be paid to him in late 2003 or early 2004. There was clearly, then, consideration for this oral employment contract, which was capable of being performed within a year. But even if Ryan had been unemployed when Kellogg hired him, his subsequent performance would have constituted consideration (see *Grossman v Schenker*, 206 NY 466, 468 [1912] ["Even when the obligation of a unilateral promise is suspended for want of mutuality at its inception, still, upon performance by the promisee a consideration arises 'which relates back to the making of the promise, and it becomes obligatory' " (quoting *Willetts v Sun Mut. Ins. Co.*, 45 NY 45, 47 [1871])]). As a result, General Obligations Law § 5-701 (a) (1) and § 5-1105 are not implicated.

Ryan also testified that in early 2004, the managing partner sought his consent to delay the payment of his already-earned bonus until late 2004 or early 2005 upon the understanding that Ryan would stay on at Kellogg through the end of 2004. This oral agreement was likewise supported by consideration on Ryan's part and capable of being performed within a year;

Kellogg essentially agreed to do what it was already bound to do—pay Ryan a \$175,000 bonus for his work as a floor broker at the firm, but at a later date than originally bargained for by the parties. Again, General Obligations Law § 5-701 (a) (1) and § 5-1105 do not come into play if Ryan’s testimony is accepted by the jury, as it was.

Kellogg also cites General Obligations Law § 5-1103, apparently on the theory that

“[t]he alleged oral ‘amended agreement’ described by Ryan—to take a \$6,730.77 bonus in 2003 in lieu of \$175,000, and to require Kellogg to still pay the full \$175,000 at the end of the following year—[was] not only an attempt to modify his prior (alleged) ‘guaranteed bonus’ agreement, but also a *post hoc* effort to orally modify the agreed upon at will arrangement with Kellogg.”

But Ryan never testified that he agreed to accept a bonus of \$6,730.77 (two weeks’ pay, given his base salary of \$175,000) in lieu of the bonus that was already due and owing to him as of the end of 2003. He agreed to, and did, remain at Kellogg through 2004, but Kellogg was certainly still free to fire him at any time during 2004. Further, the one-year delay in payment, if viewed as a modification without consideration, benefitted Kellogg, not Ryan and so, because not in writing, was unenforceable by Kellogg (*see e.g. Matter of Crea*, 27 NY2d 339 [1971] [where son owed money to father-testator’s partnership, oral modification without consideration did not terminate son’s liability and therefore debt should have been included in estate as asset]).

Finally, *Truelove v Northeast Capital & Advisory* (95 NY2d 220 [2000]) does not bar Ryan from recovering attorney’s fees pursuant to Labor Law § 198 (1-a), as Kellogg contends. Truelove brought suit under article 6 of the Labor Law to recover the unpaid balance of a bonus he was awarded by his employer in December 1997, payable in quarterly installments during 1998. He alleged that this bonus amounted to “wages,” which Labor Law § 190 (1) defines as “the earnings of an employee for labor or services rendered, regardless of whether the amount of earnings is determined on a time, piece, commission or other basis.” Truelove, who resigned after the first bonus installment payment was made, claimed that his employer violated Labor Law § 193 by enforcing an express condition in its bonus plan predicated payment of each quarterly installment

on continued employment. Section 193 prohibits an employer from making “any deduction from the wages of an employee” unless permitted by law or authorized by the employee for certain payments made for the employee’s benefit (*see* Labor Law § 193 [1] [a], [b]).

We concluded that Truelove’s bonus did not fall within the meaning of “wages” in section 190 (1) because it constituted “[d]iscretionary additional remuneration, as a share in a reward to all employees for the success of the employer’s entrepreneurship,” whereas “the wording of the statute, in expressly linking earnings to an employee’s labor or services personally rendered, contemplat[ed] a more direct relationship between an employee’s own performance and the compensation to which that employee [was] entitled” (95 NY2d at 224). We also rejected Truelove’s argument that he acquired a “vested right to the bonus payments once [his employer] declared that a bonus would be paid and calculated the amount of that bonus” (*id.* at 225). Citing our decision in *Hall (supra)*, we noted that “the [employer’s] bonus plan explicitly predicated the continuation of bonus payments upon the recipient’s continued employment status” (*id.*).

[3] Unlike the situation in *Truelove*, Ryan’s bonus was “expressly link[ed]” to his “labor or services personally rendered” (95 NY2d at 224); namely, his work as a floor broker for Kellogg. Further, Ryan’s bonus had been earned and was vested before he left his job at Kellogg; its payment was guaranteed and non-discretionary as a term and condition of his employment (*see Giuntoli v Garvin Guybutler Corp.*, 726 F Supp 494, 509 [SD NY 1989] [“bonus payments, already due and vested . . . fall within the definition of wages in § 190”]). Since Ryan’s bonus therefore constitutes “wages” within the meaning of Labor Law § 190 (1), Kellogg’s neglect to pay him the bonus violated Labor Law § 193 (*see Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609, 617 [2008]), and entitles Ryan to an award of attorney’s fees under Labor Law § 198 (1-a).

We have considered Kellogg’s remaining arguments and find them to be without merit. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, FIGOTT and JONES concur.

Order affirmed, with costs.

[968 NE2d 428, 945 NYS2d 191]

NEW YORK STATE PSYCHIATRIC ASSOCIATION, INC., et al.,
Respondents, v NEW YORK STATE DEPARTMENT OF HEALTH,
Appellant.

Argued February 8, 2012; decided March 29, 2012

SUMMARY

APPEAL, on constitutional grounds, from a judgment (denominated order) of the Supreme Court, Nassau County (Thomas Feinman, J.), dated October 25, 2010. The Supreme Court awarded plaintiffs the amount of \$97,400 as reasonable attorneys' fees in their hybrid declaratory judgment action/CPLR article 78 proceeding seeking a declaration that licensed psychiatrists who treated patients eligible for both Medicare and Medicaid (dual eligibles) were entitled to the full Medicaid reimbursement and seeking full payment of coinsurance amounts for services rendered between April 1, 2007 and April 11, 2008. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 16, 2010. The Appellate Division had modified, on the law, an amended order of that Supreme Court (op 23 Misc 3d 1106[A], 2009 NY Slip Op 50607[U] [2009]) which had (1) denied plaintiffs' motion for summary judgment (a) declaring that defendant must pay the full Medicare Part B coinsurance amount to psychiatrists for services rendered to Medicaid recipients who are dual eligibles between April 1, 2007 and April 11, 2008 and/or for claims processed between April 1, 2007 through April 11, 2008; (b) directing and mandating that defendant reimburse psychiatrists; (c) enjoining defendant from continuing to refuse to so reimburse psychiatrists for that period; and (d) annulling sections 53 and 54 of the 2008 amendment to Social Services Law § 367-a (1) (d) (iii) (L 2008, ch 58, part C, §§ 53, 54) to the extent that they retrospectively impair plaintiffs' vested rights in violation of the Due Process Clause of the United States and New York State Constitutions; (2) granted defendant's cross motion for summary judgment dismissing the amended complaint; and (3) dismissed the action. The modification consisted of (1) deleting the provision of the amended order denying plaintiffs' motion for summary judgment on the causes of action for declaratory relief and substituting therefor a provision granting the motion to the extent of declaring that those portions of sections 53 and 54 of part C of the New York State 2008 budget bill (L 2008, ch

58) which provide that licensed psychiatrists are not entitled to be paid the full Medicare Part B coinsurance amount for services rendered to certain individuals who are eligible for both Medicaid and Medicare benefits and/or for claims processed between August 12, 2007, and April 11, 2008, are unconstitutional and declaring that the New York State Department of Health must pay to licensed psychiatrists the full Medicare Part B coinsurance amount for those individuals for services rendered or claims processed between August 12, 2007, and April 11, 2008, and otherwise denying the motion; (2) deleting the provision of the amended order granting the cross motion for summary judgment and substituting therefor a provision granting the cross motion only to the extent that the services or claims at issue were rendered or processed prior to August 12, 2007, and otherwise denying the cross motion; and (3) deleting the provision of the amended order, in effect, denying the amended petition and substituting therefor a provision granting the amended petition to the extent of directing the defendant/respondent to pay to licensed psychiatrists the full Medicare Part B coinsurance amount for those individuals pursuant to the 2006 amendment to Social Services Law § 367-a (1) (d) (iii) for services rendered or claims processed between August 12, 2007 and April 11, 2008, and otherwise denying the amended petition. The Appellate Division affirmed the amended order as modified and remitted the matter to the Supreme Court, Nassau County, for the entry of a judgment, inter alia, declaring that those portions of sections 53 and 54 of part C of the New York State 2008 budget bill which provide that licensed psychiatrists are not entitled to be paid the full Medicare Part B coinsurance amount for services rendered to certain individuals who are eligible for both Medicaid and Medicare benefits and/or for claims processed between August 12, 2007, and April 11, 2008, are unconstitutional.

New York State Psychiatric Assn., Inc. v New York State Dept. of Health, 71 AD3d 852, reversed.

HEADNOTE

Health — Medicare Reimbursement Payments — Coinsurance Enhancement for Psychiatrists

The 2006 amendment to Social Services Law § 367-a (1) (d) (iii) for the purpose of including psychiatrists who treat patients eligible for both Medicare and Medicaid (dual eligibles) on the list of itemized providers that would receive 100% reimbursement was intended only to provide for a one-time coinsurance enhancement, limited to the 2006-2007 fiscal year. In New York, claims for medical care for dual eligibles are first submitted to the Medicare

Part B program and the balance, i.e., the deductible and the coinsurance amount, is paid by Medicaid. Prior to 2003, Medicaid paid 100% of this balance amount to providers, but in 2003 Social Services Law § 367-a (1) (d) was amended to curtail the deductible and coinsurance payments for the majority of providers, including psychiatrists, to 20%. In a 2006 budget bill, Social Services Law § 367-a (1) (d) (iii) was amended so as to include psychiatrists on the list of providers covered at 100% (L 2006, ch 109, part C, § 1), and, in the same budget bill, set forth the methodology for the provision of the “2006-2007 coinsurance enhancement” (*id.* § 2) that included a \$2 million distribution cap. The placement of the amendment creating an enhancement program for psychiatrists in a budget bill and the inclusion of a methodology for its implementation immediately following clearly indicated that the Legislature intended for the coinsurance enhancement to be a one-time enhancement limited to the 2006-2007 fiscal year only. The Legislature had amended Social Services Law § 367-a (1) (d) (iii) in precisely the same manner in 2005 in order to implement a similar enhancement for physicians. Moreover, the mechanism set forth in section 2 of the Laws of 2006, chapter 109, part C clearly refers to the amendment set forth in section 1, indicating that the amendment was not to be read separately from the paragraph that follows. The subsequent 2008 amendment to Social Services Law § 367-a (1) (d) (iii) so as to remove the reference to psychiatrists altogether was not a substantive change in the law, but merely confirmed the legislative intent of the 2006 amendment, resolving the dispute over the meaning of the amendment that had arisen.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Social Security and Medicare § 2184; AM JUR 2d, Welfare Laws § 34.
MCKINNEY's, Social Services Law § 367-a (1) (d) (iii).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 165, 166.

ANNOTATION REFERENCE

See ALR Index under Medicaid; Medicare; Psychiatry and Psychology.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Simon Heller, Barbara D. Underwood and Richard Dearing of counsel), for appellant. I. The 2006 amendments to Social Services Law § 367-a (1) (d) (iii) created only a one-year coinsurance enhancement program for psychiatrists, as the 2008 clarifying legislation confirmed. (*Matter of Sutka v Connors*, 73 NY2d

395; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *People v Mitchell*, 15 NY3d 93; *Matter of Losurdo v Asbestos Free*, 1 NY3d 258; *Matter of Albano v Kirby*, 36 NY2d 526; *Matter of ATM One, LLC v New York State Div. of Hous. & Community Renewal*, 37 AD3d 714; *EFS Med. Supplies v Dowling*, 252 AD2d 99; *Matter of Scotsmen Press v State of N.Y. Tax Appeals Trib.*, 165 AD2d 630; *Miller v Youakim*, 440 US 125; *Matter of Chatlos v McGoldrick*, 302 NY 380.) II. Even if the 2008 legislation had changed rather than clarified prior law, the legislation would satisfy due process because it impairs no vested rights. (*Matter of Hodes v Axelrod*, 70 NY2d 364; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Germania Sav. Bank v Village of Suspension Bridge*, 159 NY 362; *Matter of Kaye v Whalen*, 44 NY2d 754; *Colonial Penn Ins. Co. v Heckler*, 721 F2d 431; *Brown v Apfel*, 192 F3d 492; *Flemming v Nestor*, 363 US 603; *Matter of White Plains Nursing Home v Whalen*, 53 AD2d 926, 42 NY2d 838; *Canisius Coll. v United States*, 799 F2d 18.)

Moritt Hock & Hamroff LLP, Garden City (Robert L. Schonfeld, Seth P. Stein and Robert M. Tils of counsel), for respondents. I. As the 2006 amendment to Social Services Law § 367-a (1) (d) (iii) was unambiguous in placing psychiatrists on the 100% list for reimbursement, the New York State Department of Health's interpretation of the 2006 amendment is contrary to the traditional principles of statutory construction and should be rejected. (*Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293; *Matter of Russo v Valentine*, 294 NY 338; *H & H Reins. Brokers v Hermitage Ins. Co.*, 254 AD2d 328; *Lorillard Tobacco Co. v Roth*, 99 NY2d 316.) II. The 2008 amendment to Social Services Law § 367-a (1) (d) (iii) impermissibly destroys vested property rights and is unconstitutional. (*Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293; *Beverly Community Hosp. Assn. v Belshe*, 132 F3d 1259; *EFS Med. Supplies v Dowling*, 252 AD2d 99; *Matter of Honeoye Cent. School Dist. v Berle*, 72 AD2d 25, 51 NY2d 970; *Oberlander v Perales*, 740 F2d 116; *Matter of White Plains Nursing Home v Whalen*, 53 AD2d 926; *RR Vil. Assn., Inc. v Denver Sewer Corp.*, 826 F2d 1197; *Matter of Kaye v Whalen*, 44 NY2d 754; *Colonial Penn Ins. Co. v Heckler*, 721 F2d 431; *Brown v Apfel*, 192 F3d 492.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to consider whether the 2006 amendment to the Social Services Law found in a budget bill

implementing a coinsurance enhancement for the benefit of psychiatrists who treat patients eligible for both Medicare and Medicaid was intended to be permanent or whether the amendment was intended only to provide a limited one-year enhancement. We conclude that the Legislature only intended to provide for a one-time coinsurance enhancement, limited to the 2006-2007 fiscal year.

I.

Plaintiff New York State Psychiatric Association, Inc. represents psychiatrists who treated patients eligible for both Medicare and Medicaid, referred to herein as dual eligibles, from April 2007 to April 2008. Defendant New York Department of Health (DOH) is responsible for administering Medicaid in New York and for implementing and enforcing Medicaid reimbursement rates. In New York State, claims for medical care for dual eligibles are first submitted to the Medicare Part B program and the balance, i.e., the deductible and the coinsurance amount is paid by Medicaid. Prior to 2003, Medicaid paid 100% of this balance amount to providers. In 2003, the New York State Legislature amended Social Services Law § 367-a (1) (d), curtailing the deductible and coinsurance payments for the majority of providers to 20%. A limited number of providers continued to be covered at 100%.¹ Psychiatrists, however, were not among them. (*See* L 2003, ch 63, part J1, § 1 [amending Social Services Law § 367-a (1) (d) (ii); adding *id.* § 367-a (1) (d) (iii)], 2003 McKinney's Session Laws of NY, at 576-577.)

In 2005, the Legislature amended section 367-a (1) (d) (iii) to include "a physician" on the list of itemized providers that would receive 100% reimbursement. Simultaneously, the Legislature enacted Laws of 2005, chapter 12, § 9, which set forth the methodology for the provision of the "2005 coinsurance enhancement." For the period between April 1, 2005 and June 30, 2005, the Legislature, "[n]otwithstanding any provision of law to the contrary," capped the coinsurance enhancement distribution to physicians at "an aggregate amount not to exceed five million dollars." (L 2005, ch 12, §§ 8, 9 [a], 2005 McKinney's Session Laws of NY, at 113-114.)

In 2006, the Legislature again amended section 367-a (1) (d) (iii) to include "a psychiatrist licensed under article one hundred

1. The provision covering limited categories of specifically designated services include services provided by ambulance carriers, psychologists and certain claims certified by DOH or other state agencies.

thirty-one of the education law” on the list of itemized providers that would receive 100% reimbursement. As in 2005, the Legislature, in the same bill, enacted Laws of 2006, chapter 109, part C, § 2, which set forth the methodology for the provision of the “2006-2007 coinsurance enhancement.” For the period between April 1, 2006 and March 31, 2007, the Legislature, “[n]otwithstanding any provision of law to the contrary,” capped the coinsurance enhancement distribution to psychiatrists at “an aggregate amount not to exceed two million dollars.” (L 2006, ch 109, part C, §§ 1, 2 [a], 2006 McKinney’s Session Laws of NY, at 477-478.)

From April 1, 2006 to March 31, 2007, DOH distributed the prescribed \$2 million in available funds to all the eligible psychiatrists pursuant to the mechanisms set forth in Laws of 2006, chapter 109, part C, § 2.² After April 1, 2007, DOH resumed applying the 20% default rule.

In December 2007, plaintiffs New York State Psychiatric Association, Inc. and four individual psychiatrists who provided services for dual eligibles after March 31, 2007 commenced this hybrid declaratory judgment action/CPLR article 78 proceeding seeking a declaration that licensed psychiatrists were entitled to the full Medicaid reimbursement and seeking full payment of coinsurance amounts for services rendered after March 31, 2007, plus attorney’s fees. Plaintiffs argued that the amendment of section 367-a (1) (d) (iii) provided for 100% reimbursement for psychiatrists beginning on April 1, 2007 and had set no termination date. While the lawsuit was pending, in April 2008, the Legislature once again amended section 367-a (1) (d) (iii), this time by removing the reference to psychiatrists altogether (L 2008, ch 58, part C, § 53, 2008 McKinney’s Session Laws of NY, at 539). It included the following language:

“Medical assistance payments shall not be made pursuant to the amendments made by section one of this act for services provided on and after April 1, 2007 by psychiatrists licensed under article 131 of the education law, or as co-insurance enhancements to payments made to such psychiatrists on and after April 1, 2007” (see L 2008, ch 58, part C, § 54

2. During this period, pursuant to the strictures of section 2, psychiatrists were reimbursed at a rate less than 100%.

[amending L 2006, ch 109, part C, § 2], 2008 McKinney's Session Laws of NY, at 540).³

Plaintiffs amended their complaint to challenge the 2008 legislation as improperly retroactive in violation of their due process rights. Plaintiffs then moved in Supreme Court for summary judgment and defendant cross-moved for summary judgment. Supreme Court granted the cross motion and dismissed the complaint, finding that the claim was time-barred (*see New York State Psychiatric Assn. v New York State Dept. of Health*, 23 Misc 3d 1106[A], 2009 NY Slip Op 50607[U] [Sup Ct, Nassau County 2009]) and that “plaintiffs lack a cognizable property interest in an enhanced coinsurance payment based on services provided by psychiatrists to Dual Eligibles, beginning on April 1, 2007” (2009 NY Slip Op 50607[U], *11). The Appellate Division modified finding some claims time-barred and holding that the amendment to the Social Services Law imposed a continuing duty on DOH to reimburse psychiatrists who performed services for dual eligibles at 100% after March 31, 2007 (*see New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 71 AD3d 852, 855-856 [2d Dept 2010]). The court further opined that the 2008 legislation was impermissibly retroactive and impaired the vested rights of plaintiffs to reimbursement (*see id.* at 855). The matter was remitted to Supreme Court to determine attorney’s fees and to enter judgment declaring the 2008 legislation unconstitutional. Defendant DOH appeals as of right on constitutional question grounds from the final Supreme Court judgment to bring up for review the non-final Appellate Division order. We now reverse and grant judgment declaring that the 2006 amendment to the Social Services Law provided for a one-time coinsurance enhancement, limited to the 2006-2007 fiscal year.

II.

To begin, we must determine the legislative intent surrounding the 2006 amendment to Social Services Law § 367-a (1) (d) (iii) and other provisions contained in the same act of a budget bill by looking at the actual words of the act. It is well settled that “[a] statute or legislative act is to be construed as a whole,

3. All these amendments—the 2003 amendment, the 2005 amendment, the 2006 amendment and the 2008 amendment—were contained in budget bills submitted by the Governor pursuant to article VII of the New York Constitution, designed to implement a state fiscal plan for the relevant fiscal year and defining revenue consequences therein.

and all parts of an act are to be read and construed together to determine the legislative intent” (McKinney’s Cons Laws of NY, Book 1, Statutes § 97; *see also Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687, 691 [2006]). Furthermore, “[e]ach section of a legislative act must be considered and applied in connection with every other section of the act, so that all will have their due, and conjoint effect” (McKinney’s Cons Laws of NY, Book 1, Statutes § 98, Comment, at 221-222 n 23; *see also Matter of Kaplan v Peyser*, 273 NY 147 [1937]). To determine the intent of a statute, “inquiry must be made of the spirit and purpose of the legislation, which requires examination of the statutory context of the provision” (*Matter of Sutka v Conners*, 73 NY2d 395, 403 [1989]).

With this framework in place, plaintiffs argue that the 2006 amendment to section 367-a (1) (d) (iii) is clear and unambiguous on its face and that interpreting the amendment by its plain language requires reimbursement payments to psychiatrists at the rate of 100% after March 31, 2007. Defendant argues that the 2006 amendment created only a one-year coinsurance enhancement program for psychiatrists and that the legislative intent is clearly demonstrated by the plain language of the act as a whole. Plaintiffs further argue that, had the Legislature intended only for a one-year reimbursement enhancement for psychiatrists, there would have been no need to amend section 367-a (1) (d) (iii). Plaintiffs contend that the provision delineating how psychiatrists would receive the \$2 million disbursement pursuant to Laws of 2006, chapter 109, part C, § 2 would have been sufficient standing alone and accordingly the 2006 amendment to section 367-a (1) (d) (iii) was intended to provide for a permanent benefit. While plaintiffs’ proposed interpretation may have some merit, we disagree.

The 2006 amendment to Social Services Law § 367-a (1) (d) (iii), which added psychiatrists to the list of providers not subject to the 20% reimbursement rule for services provided to dual eligibles, was part of a 2006-2007 budget bill. The preamble of the bill provides: “This act enacts into law major components of legislation which are necessary to implement the state fiscal plan for the 2006-2007 state fiscal year” (L 2006, ch 109, § 1, 2006 McKinney’s Session Laws of NY, at 476). Immediately following the amendment to section 367-a (1) (d) (iii), contained in section 1 of part C of the act, there is a provision, section 2 of part C, that regulates the calculation of the “2006-2007 coinsurance enhancement.” Subdivision (a) of the section begins:

“Notwithstanding any provision of law to the contrary, medical assistance payments made in compliance with the amendments made by section one of this act shall be calculated in accordance with the methodology set forth in this section” (2006 McKinney’s Session Laws of NY, at 477). Pursuant to that section—section 2 (a)—the enhancement, as directed by section 1, was “not to exceed two million dollars” and payments were to be made “during the period April 1, 2006 through March 31, 2007” (*id.* at 477, 478).

Reading the two provisions together, as we must, and applying the principles of statutory construction that an act is to be construed as a whole and that each section must be considered and applied in connection with every other section in the context of the 2006-2007 budget bill, it is clear that the intent of the Legislature was for the enhanced payments to psychiatrists to be temporary and only apply to the 2006-2007 fiscal year. Plaintiffs’ reading would create fiscal consequences extending far into future years, while DOH’s proposed construction is the better reading of the statute as it comports with the legislative purpose that prompted the enactment—a temporary, one-year, coinsurance enhancement program to benefit psychiatrists.

Furthermore, plaintiffs’ argument that the amendment to section 367-a (1) (d) (iii) is clear and unambiguous on its face ignores the fact that the amendment is part of a budget bill and that the mechanism set forth in section 2 of the Laws of 2006, chapter 109, part C clearly refers to the amendment in section 1, indicating that the amendment is not to be read separately from the paragraph that follows. Moreover, the fact that one part of a bill may appear unambiguous read in isolation from the balance of a bill does not preclude us from further inquiring into the intent of the Legislature. We have stated:

“There is, of course, no more persuasive evidence of the purpose of a statute than the words by which the legislature undertook to give expression to its wishes. Often these words are sufficient in and of themselves to determine the purpose of the legislation. In such cases we have followed their plain meaning. When that meaning has led to absurd or futile results, however, this Court has looked beyond the words to the purpose of the act. Frequently, however, even when the plain meaning did not produce absurd results but merely an unreasonable one plainly at variance with the policy of the legislation

as a whole this Court has followed that purpose, rather than the literal words” (*New York State Bankers Assn. v Albright*, 38 NY2d 430, 437 [1975] [internal quotation marks omitted], quoting *United States v American Trucking Assns., Inc.*, 310 US 534, 543 [1940]).

Finally, plaintiffs’ argument that there was no need to amend section 367-a (1) (d) (iii) is unavailing. In 2005, in order to implement a similar “enhancement” for physicians, the Legislature amended section 367-a (1) (d) (iii) in precisely the same manner. In that same bill, the Legislature passed Laws of 2005, chapter 12, § 9, which was in most respects identical to Laws of 2006, chapter 109, part C, § 2. Like section 2, section 9 provided for a “2005 coinsurance enhancement” for physicians and set forth a mechanism to distribute monies “not to exceed five million dollars” (L 2005, ch 12, § 9 [a], 2005 McKinney’s Session Laws of NY, at 113, 114).⁴ The similarities between the 2005 amendment and the 2006 amendment clearly indicate that the Legislature intended a one-time benefit for physicians in 2005 and for psychiatrists in 2006-2007.

The subsequent 2008 amendment to Social Services Law § 367-a (1) (d) (iii) is not a substantive change in the law as argued by plaintiffs, but merely confirms the legislative intent of the 2006 amendment, resolving the dispute over the meaning of the amendment that had arisen. As such, since we are determining this appeal on statutory interpretation grounds, we need not address plaintiffs’ constitutional arguments regarding the purported retroactive effects of the 2008 legislation.

Thus, we conclude that the placement of an amendment creating an enhancement program for psychiatrists in a budget bill and the inclusion of a methodology for its implementation immediately following clearly indicates that the Legislature intended for the coinsurance enhancement to be a one-time enhancement limited to the 2006-2007 fiscal year only.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be reversed, with costs, and judgment granted to defendant declaring in accordance with this opinion.

4. The 2005 legislation included a sunset provision (L 2005, ch 12, § 14, 2005 McKinney’s Session Laws of NY, at 118) that was not present here. However, that sunset provision in 2005 was arguably necessary because, unlike the 2006 enhancement for psychiatrists which was for the entire fiscal year, the enhancement for physicians was only for a three-month period.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH,
PIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division
brought up for review reversed, etc.

[968 NE2d 439, 945 NYS2d 202]

MOUNT VERNON CITY SCHOOL DISTRICT, Respondent-Appellant,
v NOVA CASUALTY COMPANY, Appellant-Respondent, et al.,
Defendant.

Argued February 14, 2012; decided April 3, 2012

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 23, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Westchester County (Alan D. Scheinkman, J.; *see* 30 Misc 3d 1233[A], 2009 NY Slip Op 52793[U] [2009]; 30 Misc 3d 1231[A], 2008 NY Slip Op 52725[U] [2008]), which had awarded plaintiff the total sum of \$121,940.16.

Mount Vernon City School Dist. v Nova Cas. Co., 78 AD3d 1028, affirmed.

HEADNOTES

Bonds — Performance Bond — Payment by Surety

1. In a breach of contract action plaintiff school district brought against defendant surety seeking damages for the cost of completing a construction project after defendant failed to comply with a performance bond secured from defendant by the defaulting contractor, plaintiff's payment of contract funds to the Department of Labor (DOL) as the contractor's assignee provided no grounds, on the record here, for defendant's discharge. As a general rule, a surety may assert affirmative defenses to an obligee's claim of breach of contract based on the obligee's noncompliance with the terms of the performance bond or material alterations to the terms of the underlying contract. It is incumbent on a compensated surety seeking to be discharged to demonstrate that an obligee's act has so prejudiced it that its obligation is impaired. Here, whether plaintiff's payment of contract funds to DOL as the contractor's assignee violated the Lien Law was irrelevant to defendant's surety obligation, because defendant did not perform by funding completion of the work upon the contractor's default as required under the performance bond. As such, defendant was not subrogated to the rights of the Lien Law article 3-A trust beneficiaries as a completing surety and lacked capacity to raise any alleged violation of the Lien Law. Moreover, defendant did not establish that the payment adversely affected or had any effect whatsoever on its surety obligations. The payment consisted of earned funds due to the contractor for its past performance on the contract and, presumably, was already accounted for. It was neither in excess of what was owed nor made prematurely, both of which could have exposed defendant to a greater risk of loss.

Bonds — Performance Bond — Payment by Surety

2. In a breach of contract action plaintiff school district brought against defendant surety seeking damages for the cost of completing a construction

project after defendant failed to comply with a performance bond secured from defendant by the defaulting contractor, plaintiff's payment of contract funds to the Department of Labor (DOL) as the contractor's assignee did not constitute a breach of the terms of the performance bond. Although the bond provided that "the Balance of the Contract Price shall not be reduced or set off on account of [the contractor's] unrelated obligations" and the payment plaintiff made to DOL for an unpaid wage claim arising from a previously performed public works project was an obligation unrelated to the contract between plaintiff and the contractor, plaintiff owed that amount to the contractor for completed work. The payment amount was a portion of a larger sum due to the contractor based on plaintiff's approval of certain of the contractors' applications for progress payments. Thus, the contract price was not reduced or set off on account of DOL's notice to withhold payments in connection with the unpaid wage claim investigation; rather, it was reduced incrementally in proportion to the work performed, as the contract prescribed.

Bonds — Performance Bond — Attorneys' Fees

3. Plaintiff school district was not entitled to attorneys' fees expended in its successful breach of contract action against defendant surety seeking damages for the cost of completing a construction project after defendant failed to comply with a performance bond secured from defendant by the defaulting contractor. The bond provided that defendant "is obligated without duplication for" "[a]dditional legal, design professional and delay costs resulting from the Contractor's Default, and resulting from [defendant's] actions or failure to act." The underlying construction contract, which was incorporated by reference into the performance bond, provided that "[t]he costs of finishing the Work include, without limitation, all reasonable attorney's fees . . . incurred by the Owner by reason of the termination of the Contract." Under a precise reading of the contractual language, the disputed fees were outside the scope of the agreements, because they were not incurred as a result of the termination of the construction contract, but rather as a result of defendant's breach of its surety obligation. Given the lack of unmistakably clear language indicating an intent to provide for an award of attorneys' fees incurred in litigation arising out of defendant's failure to perform, plaintiff's request for attorneys' fees was properly denied.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contractors' Bonds §§ 32, 33, 46, 121, 123, 125,
126, 131, 132.
NY JUR 2d, Bonds §§ 61, 72, 76, 104, 111, 115, 117.
WILLISTON ON CONTRACTS (4th ed) § 61:44.

ANNOTATION REFERENCE

See ALR Index under Contractors' Bonds.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: performance /2 bond /s default! & surety /s dis-
charg!

POINTS OF COUNSEL

Law Office of Neil B. Connelly, Esq. PLLC, White Plains (*Neil B. Connelly* of counsel), for appellant-respondent. I. The entire contract price for the Mount Vernon City School District public improvement was a trust fund under article 3-A of the Lien Law. (*Aquilino v United States of Am.*, 10 NY2d 271; *Gramatan-Sullivan, Inc. v Koslow*, 240 F2d 523; *City of New York v Cross Bay Contr. Corp.*, 93 NY2d 14.) II. The Mount Vernon City School District participated in the diversion of trust assets. (*Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256; *City of New York v Cross Bay Contr. Corp.*, 93 NY2d 14; *Onondaga Commercial Dry Wall Corp. v 150 Clinton St.*, 25 NY2d 106; *Aquilino v United States of Am.*, 10 NY2d 271.) III. The Mount Vernon City School District's diversion of Lien Law article 3-A trust funds discharged Nova Casualty Company on the performance bond. (*Roel Partnership v Amwest Sur. Ins. Co.*, 258 AD2d 780; *Smith v Molleson*, 148 NY 241; *Midland Steel Warehouse Corp. v Godinger Silver Art*, 276 AD2d 341; *Central Fed. Sav. & Loan Assn. of Nassau County v Pergolis*, 173 AD2d 587; *Matter of Union Indem. Ins. Co. of N.Y.*, 220 AD2d 339; *United States Fid. & Guar. Co. v Braspetro Oil Servs. Co.*, 369 F3d 34.) IV. The Mount Vernon City School District violated the terms of the bond. (*Smith v Molleson*, 148 NY 241; *Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1; *Aron v Gillman*, 309 NY 157; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Legend Artists Mgt. v Blackmore*, 273 AD2d 91; *Caristo Constr. Corp. v Diner's Fin. Corp.*, 21 NY2d 507; *Aquilino v United States of Am.*, 10 NY2d 271; *Zuckerman v City of New York*, 49 NY2d 557.) V. The decisions below contradict prior decisions by the Court of Appeals. (*LeChase Data/Telecom Servs., LLC v Goebert*, 6 NY3d 281; *Aspro Mech. Contr. v Fleet Bank*, 1 NY3d 324; *Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256; *Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507.) VI. The decisions below present a conflict among the Departments of the Appellate Division. (*Kemper Ins. Cos. v State of New York*, 70 AD3d 192; *Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256; *Canron Corp. v City of New York*, 89 NY2d 147; *Aquilino v United States of Am.*, 10 NY2d 271; *City of New York v Cross Bay Contr. Corp.*, 93 NY2d 14.) VII. The issues presented are novel and of public importance. (*Canron Corp. v City of New York*, 89 NY2d 147.)

Cohen & Perfetto, New York City (*Andrea Tersigni* and *Anthony L. Tersigni* of counsel), for respondent-appellant. I. All of

the Mount Vernon City School District's attorneys' fees and expenses are recoverable under both the subject construction contract and bond. (*City of Elmira v Larry Walter, Inc.*, 150 AD2d 129; *United States Fid. & Guar. Co. v Braspetro Oil Servs. Co.*, 369 F3d 34; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) II. Even in the absence of any attorneys' fee provision, the Mount Vernon City School District is still entitled to recover all of its attorneys' fees and litigation expenses since DJH Mechanical Associates' breach necessitated litigation against another party. (*Jamaica Commodity Trading Co. Ltd. v Connell Rice & Sugar Co., Inc.*, 766 F Supp 138; *Jones v Morgan*, 90 NY 4.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we are called upon to determine whether defendant Nova Casualty Company (Nova) is discharged from its surety obligation to plaintiff Mount Vernon City School District (the School District) on the bases that the School District allegedly violated New York's Lien Law by improperly diverting construction contract payments constituting trust fund assets to a nonbeneficiary and breached the terms of the parties' performance bond. We hold that under the facts of this case, Nova has not demonstrated that discharge of its surety obligation is warranted. We also consider whether the School District is entitled to attorneys' fees expended in the prosecution of this litigation, and conclude that the request for attorneys' fees was properly denied.

I.

On December 26, 2003, the School District and defendant DJH Mechanical Associates, Inc. (DJH) contracted for DJH to perform heating, ventilation and air conditioning (HVAC) work at A.B. Davis Middle School for a price of \$919,000. The contract mandated that the School District make progress payments to DJH based upon DJH's application for payment for work performed during the preceding calendar month. The School District was permitted to terminate the contract if DJH, among other things, failed to furnish adequate assurance that DJH could complete the work.

The contract also required DJH to obtain a performance bond, which DJH secured from Nova, a compensated surety. The performance bond incorporates the terms of the underlying construction contract and provides that "[t]he Surety shall not

be liable to the Owner or others for obligations of the Contractor that are unrelated to the Construction Contract, and the Balance of the Contract Price shall not be reduced or set off on account of any such unrelated obligations.”

As relevant to the School District’s cross appeal, the contract between the School District and DJH further provides:

“The costs of finishing the Work include, without limitation, all reasonable attorney’s fees, additional title costs, insurance, additional interest because of any delay in completing the Work, and all other direct and indirect and consequential damages incurred by the Owner by reason of the termination of the Contract as stated herein.”

The performance bond as it relates to legal costs provides that

“[t]o the limit of the amount of this Bond, but subject to commitment by the Owner of the Balance of the Contract Price to mitigation of costs and damages on the Construction Contract, the Surety is obligated without duplication for: . . .

“[a]dditional legal, design professional and delay costs resulting from the Contractor’s Default, and resulting from the actions or failure to act of the Surety.”

In June 2004, while the contract work was underway, the School District received a notice to withhold/release payment (notice of cross-withholding) from the Department of Labor (DOL). The notice stemmed from DOL’s investigation of alleged prevailing wage violations by DJH on a previously performed public works project¹ and requested that the School District withhold \$863,197.40 in contract payments pending completion of the investigation. A November 2004 application summary indicates that DJH had submitted nine applications for progress payments. In January 2005, DOL gave the School District notice that it could release \$649,197.40 to DJH, but directed the School District to send the balance of \$214,000 to DOL in satisfaction of DJH’s debt. The president of DJH signed a provision of the notice assigning to DOL \$214,000 in earned progress payments. The School District subsequently remitted that amount to DOL. Work ostensibly progressed but at a very slow pace

1. The project was later determined to be a contract with the Mahopac School District (the Mahopac project).

and, in July 2006, the School District terminated its contract with DJH due to the contractor's failure to substantially complete the HVAC work. When the School District turned to Nova to perform under the bond and fund the work left remaining upon DJH's default, Nova disclaimed liability and refused to complete the project.

The School District commenced this breach of contract action against Nova, seeking damages for the cost of completing the project and also attorneys' fees, and against DJH, seeking damages for its failure to complete the contracted-for work. DJH defaulted.

Nova answered and moved for summary judgment, arguing, among other things, that the School District violated article 3-A of the Lien Law² by diverting \$214,000 of trust fund assets reserved for completion of the HVAC work to satisfy debts incurred on the Mahopac project. Nova contended that but for the improper payment to DOL, the School District would have had sufficient funds to complete its HVAC project and Nova's surety obligation would not have been triggered. Nova further alleged that the School District breached the performance bond by "illegally reducing the contract funds," thereby discharging Nova from its duty to perform. In response, the School District admitted that it released \$214,000 to DOL upon DJH's

2. Article 3-A provides that funds

"received by an owner for or in connection with an improvement of real property in this state, including a home improvement loan, or received by a contractor under or in connection with a contract for an improvement of real property, or home improvement, or a contract for a public improvement in this state, or received by a subcontractor under or in connection with a subcontract made with the contractor for such improvement of real property including a home improvement contract or public improvement or made with any subcontractor under any such contract, and any right of action for any such funds due or earned or to become due or earned, shall constitute assets of a trust for the purposes provided in section [71]" (Lien Law § 70 [1]).

Section 71 (1) provides that trust assets held by an owner "shall be held and applied for payment of the cost of improvement." Trust assets held by a contractor or subcontractor "shall be held and applied for [certain specified] expenditures" including "payment of claims of subcontractors, architects, engineers, surveyors, laborers and materialmen" who are trust beneficiaries; payment of payroll and other project-related taxes; payment of project-related benefits, wage supplements and surety bond premiums; and payments to which the owner is entitled (*see id.* § 71 [2] [a]-[f]; [5]). Pursuant to section 72, any transfer or application of funds to a purpose other than those specified in section 71 (1) and (2) is a diversion of trust assets. Such misappropriation constitutes larceny (*id.* § 79-a).

authorization, and asked the court to search the record to grant it partial summary judgment on the issue of Nova's liability.

Supreme Court declined to grant either party summary judgment. In denying Nova's motion, the court observed that the instant case was distinguishable from *Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor* (97 NY2d 256 [2002]), where the surety had completed the project at issue and was therefore subrogated to the rights of article 3-A trust fund beneficiaries. The court stated that "if Nova had undertaken to complete DJH's performance, it would have been subrogated to the rights of both Plaintiff and DJH, and if the \$214,000.00 payment involved payment of underpaid wages on an unrelated job, Nova would have a claim against Plaintiff for improper diversion of trust assets" (30 Misc 3d 1231[A], 2008 NY Slip Op 52725[U], *11 [2008]). As Nova did not complete DJH's performance, it "therefore . . . has no right as a subrogee to unpaid contract . . . and trust fund monies" (*id.* at *13). The court determined that questions of fact remained as to whether the payment to DOL was an improper diversion of trust fund assets and whether the payment violated the bond by increasing Nova's risk of liability.

Both Nova and the School District appealed, and Supreme Court ordered bifurcated trials. The liability phase was tried before a jury in March 2009. The jury returned a verdict in the School District's favor, finding that DJH breached its contract with the School District by failing to complete its work and waived its right to terminate the contract.

The issues before Supreme Court post-trial were: (1) whether the School District's \$214,000 payment to DOL relieved Nova of liability under the performance bond and (2) whether the School District could recover attorneys' fees for completing the project and prosecuting its claim in this litigation. Supreme Court held that the School District's payment to DOL did not excuse Nova's performance under the bond. The court again emphasized that Nova had not completed performance, and thus had "no right as a subrogee to [the] unpaid Contract Price or any Trust Fund monies that were wrongfully diverted" (30 Misc 3d 1233[A], 2009 NY Slip Op 52793[U], *11 [2009]). Supreme Court rejected Nova's argument that the payment violated the performance bond by increasing its liability, because the \$214,000 at issue was due to DJH for its past performance. As the School District had not terminated its contract with DJH at the time of payment, the School District was permitted to pay DOL at DJH's request in lieu of paying DJH directly.

With regard to the School District’s claim for attorneys’ fees, the court held that the bond allowed only for attorneys’ fees incurred in the completion of the project, not for expenditures made in pursuit of this litigation. Quoting *United States Fid. & Guar. Co. v Braspetro Oil Servs. Co.* (369 F3d 34, 77 [2d Cir 2004]), which Supreme Court found “had a clause identical to” the clause at issue here, it held that “[i]t was not unmistakably clear that the use of the term [“]legal costs” in the Bond[] was intended to obligate the Suret[y] to pay . . . attorneys’ fees in litigation between the Suret[y] and the Obligee[] over the Bond[]’ ” (2009 NY Slip Op 52793[U], *14). The parties then stipulated to the amount of attorneys’ fees owed for completion of the project, and Supreme Court entered judgment for a set sum in the amount of \$121,940.16 in favor of the School District.

Nova and the School District both appealed, and the Appellate Division affirmed (*see Mount Vernon City School Dist. v Nova Cas. Co.*, 78 AD3d 1028, 1029 [2d Dept 2010]). The court agreed that because “Nova was not a fully paying and performing surety . . . it did not succeed to the rights of the owner or the Lien Law article 3-A trust beneficiaries” (*id.*). Thus, the School District’s allegedly improper payment did not allow Nova to avoid liability under the performance bond. The court further held that, “since the \$214,000 represented a sum earned by DJH as a progress payment under the contract, Nova failed to establish, as a matter of law,” that the School District breached the performance bond (*id.* at 1030). Finally, the court concluded that “neither the contract nor the performance bond contain unmistakably clear language obligating Nova to reimburse [the School District] for its attorney’s fees in this litigation” (*id.* [internal quotation marks and citation omitted]).

We granted Nova’s motion and the School District’s cross motion for leave to appeal (16 NY3d 707 [2011]) and now affirm.

II.

As a general rule, a surety may assert affirmative defenses to an obligee’s claim of breach of contract based on the obligee’s noncompliance with the terms of the performance bond or material alterations to the terms of the underlying contract (*see* 23 Lord, Williston on Contracts § 61:31 [4th ed]; *Tishman Westwide Constr. LLC v ASF Glass, Inc.*, 33 AD3d 539, 540 [1st Dept 2006]). “Under general contract rules, an obligation may not be altered without the consent of the party who assumed the obligation. [As] [s]uretyship is a contractual relation . . . the

[obligee] and the principal debtor may not alter the surety's undertaking to cover a different obligation without the surety's consent" (*Bier Pension Plan Trust v Estate of Schneierson*, 74 NY2d 312, 315 [1989]). Thus, where an obligee—in the context of a construction contract, the owner—materially alters the terms of the contract and increases the risks imposed on the surety by such acts as modifying the duties of the principal-contractor, extending the time for the principal's performance, or making overpayments or premature payments, the surety may be discharged (*see id.*; *see also* Restatement [Third] of Suretyship & Guaranty § 37 [1]-[3]; Egan, *Discharge of the Performance Bond Surety*, in Gallagher, *Suretyship*, at 12-1-12-3 [1993] [hereinafter Egan]).

Though it was the early rule in New York that a surety obligation is "*strictissimi juris*, and [the surety] is discharged by any alteration of the contract . . . whether material or not, and . . . whether it is or is not to [the surety's] injury" (*Page v Krekey*, 137 NY 307, 314 [1893]), we have declined to apply the rule to compensated sureties in the context of construction contracts (*see St. John's Coll., Fordham v Aetna Indem. Co.*, 201 NY 335, 341-342 [1911], citing *Guaranty Co. v Pressed Brick Co.*, 191 US 416 [1903]; *see also* 23 Lord, *Williston on Contracts* § 61:5 [4th ed] ["(t)he corporate compensated surety is not favored with the solicitude shown the private, uncompensated surety"]). In such a case, discharging the surety is inappropriate where the purported alteration cannot "be said to affect the surety adversely or to have any effect whatever upon the contract or the defendant's obligation" (*St. John's Coll., Fordham* at 342; *see also* Egan, at 12-1 ["(A) compensated surety is usually obligated to demonstrate affirmatively actual prejudice arising from the act of the obligee. In the absence of actual prejudice, the compensated surety usually remains bound"]). It is incumbent on the surety seeking to be discharged to demonstrate that an obligee's act has so prejudiced it that its obligation is impaired (*see* Restatement [Third] of Suretyship & Guaranty § 49).

[1] Here, Nova argues primarily that the School District's payment to DOL of \$214,000 in contract funds violated the Lien Law, and that the improper diversion constituted a breach of contract, which substantially increased Nova's risk of loss on the performance bond. As such, Nova submits, it was discharged from its duty to perform. Reserving judgment on whether the payment indeed constituted a Lien Law violation, as that issue was not squarely decided by the courts below (*see* 78 AD3d at

1030), we nonetheless conclude that any such violation would provide no grounds, on the record before us, for Nova's discharge.

Under article 3-A of the Lien Law, funds received by an owner and/or contractor in connection with a contract for a public improvement must be held in trust to ensure payment of trust beneficiaries, namely, subcontractors, architects, engineers, surveyors, laborers and materialmen, as well as payment of taxes and expenses incurred by the construction (*see* Lien Law § 70 [1]; § 71 [2]; *see also Caristo Constr. Corp. v Diners Fin. Corp.*, 21 NY2d 507, 512 [1968]). “[O]nce a trust comes into existence, its funds may not be diverted for non-trust purposes [and] [u]se of trust assets for any purpose other than the expenditures authorized [by statute] . . . constitutes an improper diversion of trust assets, regardless of the propriety of the trustee's intentions” (*Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256, 263 [2002], citing *Canron Corp. v City of New York*, 89 NY2d 147, 154 [1996]; *see* Lien Law § 72). This “prohibition against diversion of funds to purposes unrelated to a particular improvement was intended to eradicate the practice of ‘pyramiding,’ in which contractors use loans or payments advanced in the course of one project to complete another” (*Matter of RLI*, 97 NY2d at 264).

However, whether the School District's payment of contract funds to DOL as DJH's assignee violated the Lien Law is irrelevant to Nova's surety obligation, because Nova did not perform by funding completion of the work upon DJH's default as required under the performance bond. As such, and as found by the courts below, it is not subrogated to the rights of the article 3-A trust beneficiaries as a completing surety and lacks capacity to raise any alleged violation of the Lien Law. This case is therefore wholly distinguishable from those cases on which Nova relies, where we allowed subrogees of trust beneficiaries to assert superior claims to trust assets and recognized their right to invoke the Lien Law to challenge wrongful diversions (*see Matter of RLI*, 97 NY2d at 263-265 [surety that had completed construction of a public improvement project on behalf of a defaulting contractor had a right to funds still in possession of the project owner superior to a claim filed by DOL]; *Caristo*, 21 NY2d at 510-511 [general contractor who, upon subcontractor's default, paid suppliers and other subcontractors pursuant to a payment bond was entitled to trust funds improperly diverted to the defendant factor]).

Furthermore, Nova has not established that the payment adversely affected or, for that matter, had any effect whatsoever on its surety obligations. Nova repeats the conclusory assertion that its “loss on the Bond was substantially increased,” but does not illustrate how or to what extent. Rather, Nova has contended that had the \$214,000 not been remitted to DOL, those funds could have been applied to the cost of completion of the HVAC work. Yet, the \$214,000 consisted of earned funds due to DJH for its past performance on the contract and, presumably, was already accounted for. The payment was neither in excess of what was owed nor made prematurely, both of which could have exposed Nova to a greater risk of loss (*see Egan*, at 12-3). In short, even assuming that the payment of \$214,000 to DOL, rather than DJH, was an improper diversion, it does not appear that the payment committed Nova to a dollar more than that amount for which it bonded DJH. As the payment neither materially altered the contract nor impaired Nova’s surety obligation, Nova’s discharge is unwarranted (*see Becker v Faber*, 280 NY 146, 152 [1939] [surety not discharged of “that part of the original obligation which still remains and *which remains untouched and unaffected*” by an act of the creditor]).

The dissent opines that in so holding we “facilitate[] the School District’s participation in [the] long-prohibited practice [of ‘pyramiding’]” (dissenting op at 40). However, nothing we have said condones that practice or insulates the School District from any claims that may properly be asserted by an article 3-A trust beneficiary who, as a result of the School District’s payment of contract funds to DOL, was left unpaid. We simply conclude that Nova, which bears the burden of establishing grounds for its discharge, has yet to show how its surety obligation was impaired. Even if, as the dissent concludes, “[i]t is difficult to fathom . . . [that] all trust claims had been paid” (*id.* at 43), we cannot release Nova from the very obligation it contracted to undertake on a hunch. Nova did not demonstrate that the transfer of funds to DOL resulted in any workers, subcontractors or other article 3-A trust beneficiaries having unpaid claims for which the School District reimbursed them, or that such reimbursement was part of the damages claimed against Nova. Though the dissent finds that we “fail[] to provide any explanation whatsoever regarding how the diversion of \$214,000 that could have been applied toward the completion of the HVAC job did not harm the surety’s interests” (*id.* at 44), it is neither our, nor the School District’s, burden to do so.

Nova also contends, however, that the School District breached the terms of the performance bond, which provided that “the Balance of the Contract Price shall not be reduced or set off on account of [DJH’s] unrelated obligations.” To be sure, the unpaid wage claim arising from the Mahopac project was an obligation unrelated to the contract between DJH and the School District. While the \$214,000 payment to DOL ultimately satisfied that obligation, however, the School District owed that amount to DJH for completed work. Indeed, the record reflects that the \$214,000 was a portion of a larger sum due to DJH based on the School District’s approval of the contractor’s fifth through ninth applications for progress payments. Thus, the contract price was not reduced or set off on account of DOL’s notice of cross-withholding; rather, it was reduced incrementally in proportion to the work performed, as the contract prescribed.

[2] We thus conclude that the School District did not breach the terms of the performance bond, and that the alleged illegal diversion of trust funds did not excuse Nova’s performance. As surety, Nova breached the performance bond by refusing to complete the project.

III.

On its cross appeal, the School District argues that the lower courts erred by declining to award the School District attorneys’ fees that it incurred in the prosecution of this action because the construction contract and bond at issue provide for recovery of all attorneys’ fees, and because Nova’s breach occasioned the lawsuit. “Under the general rule, attorneys’ fees and disbursements are incidents of litigation and the prevailing party may not collect them from the loser unless an award is authorized by agreement between the parties or by statute or court rule” (*Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1, 5 [1986]). “[T]he court should not infer a party’s intention to waive the benefit of the rule unless the intention to do so is *unmistakably clear* from the language of the promise” (*Hooper Assoc. v AGS Computers*, 74 NY2d 487, 492 [1989] [emphasis added]; see also *United States Fid. & Guar. Co. v Braspetro Oil Servs. Co.*, 369 F3d 34, 74 [2004]).

[3] Here, paragraph 6 of the bond provides that Nova “is obligated without duplication for” “[a]dditional legal, design professional and delay costs resulting from the Contractor’s Default, and resulting from [Nova’s] actions or failure to act.” The underlying construction contract, which is incorporated by

reference into the performance bond, provides: “The costs of finishing the Work include, without limitation, *all reasonable attorney’s fees*, additional title costs, insurance, additional interest because of any delay in completing the Work, and all other direct and indirect consequential damages incurred by the Owner *by reason of the termination of the Contract*” (emphasis added). The School District contends that these dual provisions, and particularly the broad phrase “all reasonable attorney’s fees,” are inclusive of the expenditures made for purposes of this litigation. However, under a precise reading of the contractual language, which our rule requires, the disputed fees are outside the scope of the agreements, because they were not incurred as a result of the termination of the construction contract, but rather as a result of Nova’s breach of its surety obligation. Given the lack of “unmistakably clear” language indicating an intent to provide for an award of attorneys’ fees incurred in litigation arising out of Nova’s failure to perform, the School District’s request for attorneys’ fees must be denied.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN (dissenting in part). In 1930, when the Legislature enacted the predecessor to article 3-A of the Lien Law, it recognized a need to prohibit the damaging practice of “pyramiding” in the construction industry. Because the majority facilitates the Mount Vernon City School District’s (the School District) participation in this long-prohibited practice and inexplicably ignores the surety’s right to be discharged from the performance bond where the School District breached the bond,¹ thereby depriving the surety of the benefit of its bargain under basic contract principles, I respectfully dissent.

1. The construction contract between DJH Mechanical Associates (DJH) and the School District was incorporated by reference into the performance bond and the School District had certain contractual obligations to Nova Casualty Company (Nova) (and vice versa) because the bond was executed for the School District’s benefit:

“[a] suretyship arrangement is, at its core, the confluence of three distinct, yet interrelated, obligations. These obligations are embodied in the tripartite relationship of principal obligor [here, DJH] and obligee [here, the School District]; obligee and secondary obligor [here, Nova]; and secondary obligor and principal obligor. When a secondary obligor is bound to pay for the debt or answer for the default of the principal obligor to the obligee, the secondary obligor is said to have suretyship status. In other words, in transactions giving rise to suretyship status, the secondary obligor [here, Nova] is answerable to the obligee [here,

(n. cont’d)

We have explained that “[i]n the case of a contractor, the so-called trust fund provisions of the Lien Law prohibit[] diversion, to purposes unrelated to a particular improvement, of contract payments from the owner which were intended to pay the expense of that improvement, including the cost of labor and materials” (*Aquilino v United States of Am.*, 10 NY2d 271, 275 [1961] [discussing the predecessor to the current version of article 3-A]). In the same spirit, the successor and current provision, article 3-A’s prohibition on diverting trust fund assets serves the “remedial purpose of ‘insur[ing] that funds obtained for financing of an improvement of real property and moneys earned in the performance of a contract for . . . [an] improvement will in fact be used to pay the costs of that improvement’ ” (*Matter of RLI Ins. Co., Sur. Div. v New York State Dept. of Labor*, 97 NY2d 256, 263 [2002] [citations omitted and emphasis added]). The School District clearly thwarted the purpose of this rule by ensuring that the money earned in the performance of the heating, ventilation and air conditioning (HVAC) contract would be used to pay the costs of the Mahopac School District project.

Although a school district following the direction of the Department of Labor (DOL) may seem to be cast in a more sympathetic light than a surety seeking to disclaim liability for completing a project upon the default of a construction company, the majority misapprehends the nature of the Lien Law. As the majority acknowledges, it is of no import that the School District may have thought it was acting properly in following the directive of the DOL, because the rule prohibiting diversions of trust assets applies regardless of the intentions of the diverter (*see RLI*, 97 NY2d at 263). Additionally, while the majority properly acknowledges the surety’s rights to discharge under certain circumstances (*see* majority op at 36), it ignores that such circumstances arose in this case, triggering these rights, and concludes that the surety here was not entitled to discharge and was responsible for completion of the HVAC job.

Lien Law § 72 (1) provides that

“[a]ny transaction by which any trust asset is paid, transferred or applied for any purpose other than a purpose of the trust . . . before payment or

the School District] in some way with respect to a duty, the cost of which, as between the principal obligor and the secondary obligor, ought to be borne by the principal obligor” (*Chemical Bank v Meltzer*, 93 NY2d 296, 302 [1999] [citations omitted]).

discharge of all trust claims with respect to the trust, is a diversion of trust assets, whether or not there are trust claims in existence at the time of the transaction, and if the diversion occurs by the voluntary act of the trustee or by his consent such act or consent is a breach of trust.”

“Only after all trust claims have been paid or discharged does a beneficial interest in the remaining balance vest in the trustee owner or contractor” (*RLI*, 97 NY2d at 263). In *Kemper Ins. Cos. v State of New York* (70 AD3d 192, 196 [3d Dept 2009]), the court held in favor of the surety where the contractor defaulted and the State, having responded to an Internal Revenue Service (IRS) notice of levy by paying contract funds to the IRS in satisfaction of the contractor’s outstanding tax obligations, rendered the remaining trust funds insufficient to pay for the completion of the project. Just like the contractor in *Kemper*, DJH “[did] not have a sufficient beneficial interest in the moneys, due or to become due . . . under the contract, to give [it] a property right in them, except for whatever balance, if any, might later remain after all claims had been paid,” and the School District was not entitled to send the \$214,000 anywhere other than for use on the HVAC project (*id.* at 197 [internal quotation marks and citations omitted]). When the surety in *Kemper* completed the job, the State’s payment “did not include the sum that had been turned over to the IRS, and the funds paid were insufficient to complete the work and cover [the surety’s] payments to laborers, suppliers, and others under the payment bonds, causing [the surety] to suffer a loss” (*id.* at 194). That the surety in this case did not complete the HVAC project makes no difference. The same principle applies here; when the School District made the payment to the DOL, Nova’s risk of suffering a loss increased and it was therefore relieved of its obligations. It makes little sense to require a surety to complete a job when it is fully aware that the project owner has already diverted (in this case nearly a quarter of the total) funds designated to pay for the project, in violation of the Lien Law, and there is a very real possibility that the surety would suffer a loss if it were to complete the job.

Here, the School District has most recently claimed that the payment of \$214,000 to DOL was not a diversion of trust assets because all claims had been paid. Nowhere in the School District’s briefs to this Court is this argument mentioned. Rather, the School District argued that the “payment of the subject funds was for a *trust purpose*—to pay for work performed

by DJH on the School's project," and accused the surety of "[trying] relentlessly to spin the [School District's] payment . . . as one for non-trust purposes, arguing that because the payment was apparently used by *DJH* and the *DOL* for a purportedly unrelated project it was, allegedly, for a non-trust purpose." Then, at oral argument, the School District abruptly abandoned that view and partially adopted the surety's position (which it had decried in its brief) that the funds were used for a non-trust purpose. The School District argued that all trust claims had been paid at the time the payment to DOL was made, and that DJH was free to spend those funds as it pleased, thereby implying that the funds were indeed used for a non-trust purpose, but that such use was allowed under the circumstances. The School District has either been unable or unwilling to commit to one of these two contradictory positions and that is because neither is reasonable. The majority saves the School District from its "flip-flopping" by concluding erroneously that "whether the School District's payment of contract funds to DOL as DJH's assignee violated the Lien Law is irrelevant to Nova's surety obligation" (majority op at 37). It is difficult to fathom, however, that with respect to the incomplete HVAC project, all trust claims had been paid.

Contrary to the majority's view (that the violation of the Lien Law is "irrelevant") the School District's violation of the Lien Law matters, and it matters a great deal. The majority first acknowledges that a surety is not obligated to complete a construction job if it can demonstrate that it has a right to discharge due to the actions of another party, then inexplicably goes on to state that Nova has no right to rely on the School District's violation of the Lien Law as a basis for discharge because it is not a completing surety. But Nova does not claim that it is "subrogated to the rights of the article 3-A trust beneficiaries as a completing surety" (*see* majority op at 37), nor does it argue that it has the same rights as a completing surety, and it certainly does not "lack[] capacity to raise any alleged violation of the Lien Law" (*id.*) as the majority suggests. Rather, Nova simply asserts, and rightly so, that it has the same rights as any other surety—rights that are enforceable well before any possibility of completion arises. Nova was no longer under any obligation to complete the HVAC project once the School District illegally diverted the funds to the DOL. Nova is, of course, entitled to raise the issue insofar as it supports Nova's legitimate breach of contract defense that, in making the payment,

the School District breached the performance bond and discharged Nova from its obligation to complete the project upon DJH's default.

The Lien Law violation is highly relevant, especially where, as here, the performance bond contains a provision in essence prohibiting diversions of trust fund assets. The plain language of the performance bond demonstrates that the surety sought to insulate itself from "obligations of the Contractor that are unrelated to the Construction Contract." That language is unambiguous and should be enforced. That the \$214,000 was earned as a progress payment does not render the diversion any less a violation of the performance bond's prohibition on reducing or setting off the balance of the contract price for any of DJH's unrelated obligations. The majority is under the impression that because the funds paid were earned (and therefore did not represent prepayment or overpayment of contract funds) the performance bond was not violated. However, prepayment and overpayment are simply examples of actions that would have violated the School District's obligations to the surety. They are not the *only* actions that would entitle the surety to discharge.² Indeed, the majority fails to provide any explanation whatsoever regarding how the diversion of \$214,000 that could have been applied toward the completion of the HVAC job did not harm the surety's interests and did not violate the performance bond. By sending the funds elsewhere, the School District certainly satisfied DOL's request but it also made it impossible for those funds to be used to complete the HVAC project, thereby increasing the risk that DJH would run out of money prior to finishing the job. The School District was not entitled, after having increased the risk of DJH's default, to then recover from the surety on a breach of contract theory. As I cannot agree with the majority's reasoning that Nova has not demonstrated its entitlement to be discharged from its obligations under the performance bond which the School District breached, I respectfully dissent and would modify the Appellate Division's order to dismiss the School District's complaint.

2. Indeed, the majority seems to acknowledge that this is not an exhaustive list (see majority op at 36 [noting that "where an obligee . . . increases the risks imposed on the surety by *such acts as* modifying the duties of the principal-contractor, extending the time for the principal's performance, or making overpayments or premature payments, the surety may be discharged" (emphasis added)]).

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge CIPARICK; Chief Judge LIPPMAN dissents in part in a separate opinion in which Judge JONES concurs.

Order affirmed, without costs.

[968 NE2d 459, 945 NYS2d 222]

STEVEN SIMKIN, Respondent, v LAURA BLANK, Appellant.

Argued February 14, 2012; decided April 3, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 4, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Saralee Evans, J.), which had granted a motion by defendant to dismiss the complaint, (2) denied the motion, and (3) reinstated the complaint. The following question was certified by the Appellate Division: “Was the order of this Court which reversed the order of Supreme Court, properly made?”

Simkin v Blank, 80 AD3d 401, reversed.

HEADNOTES**Contracts — Mistake — Marital Settlement Agreement — Value of Asset**

1. Plaintiff failed to present facts sufficient to support the reformation or setting aside of the parties’ marital settlement agreement based on a claim of mutual mistake where plaintiff alleged that, at the time of the settlement, one of his investment accounts, purported to have been valued by the parties at a substantial sum, was, in fact, revealed to have been part of a fraudulent Ponzi scheme. Plaintiff’s claim that a mutual mistake undermined the foundation of the agreement, a precondition to relief, was belied by the terms of the agreement itself, which did not mention the account in question, much less evince an intent to divide it in equal or other proportionate shares. Rather, the agreement provided that a lump-sum payment to defendant was in satisfaction of defendant’s support and marital property rights, along with her release of various claims and inheritance rights. Given the extensive and carefully negotiated nature of the agreement, an exceptional situation was not presented warranting reformation or rescission of the divorce settlement after all marital assets had been distributed. Moreover, until the Ponzi scheme began to unravel more than two years after the parties’ property division had been completed, it would have been possible for plaintiff to have redeemed all or part of the account. Given that any mutual mistake must have existed at the time the agreement was executed, the fact that plaintiff could no longer withdraw funds years later was not determinative, the situation being more akin to an asset that unexpectedly loses value after dissolution of the marriage.

Equity — Unjust Enrichment — Marital Settlement Agreement — Value of Asset

2. Plaintiff failed to state a cause of action for unjust enrichment based on allegations that, at the time of the parties’ marital settlement agreement, one of his investment accounts, purported to have been valued by the parties at a substantial sum, was, in fact, revealed to have been part of a fraudulent Ponzi

scheme. Recovery on a theory of unjust enrichment for events arising out of subject matter that was governed by a valid and enforceable written contract is ordinarily precluded.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 541, 1040, 1043.
CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:174, 118:358.
3 LAW AND THE FAMILY NEW YORK (2d ed) § 3:23.
NY JUR 2d, Contracts §§ 523, 525, 555; NY JUR 2d, Domestic Relations §§ 2473, 2474, 2607, 2631.
WILLISTON ON CONTRACTS (4th ed) §§ 68:5, 70:198.

ANNOTATION REFERENCE

See ALR Index under Divorce and Separation; Equitable Distribution; Postnuptial Settlements and Agreements; Unjust Enrichment.

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POINTS OF COUNSEL

Emery Celli Brinckerhoff & Abady LLP, New York City (*Richard D. Emery* and *Adam R. Pulver* of counsel), for appellant. I. New York's fundamental public policy of finality in the equitable distribution process bars the relief Steven Simkin seeks. (*Boronow v Boronow*, 71 NY2d 284; *Merrill Lynch, Pierce, Fenner & Smith v Benjamin*, 1 AD3d 39; *Rainbow v Swisher*, 72 NY2d 106; *Kojovic v Goldman*, 35 AD3d 65; *Siegel v Siegel*, 132 AD2d 247, 74 NY2d 602; *O'Brien v O'Brien*, 66 NY2d 576; *Welsh v Lawler*, 282 AD2d 977; *In re Vivendi Universal, S.A. Sec. Litig.*, 605 F Supp 2d 586; *In re MBIA, Inc., Sec. Litig.*, 700 F Supp 2d 566; *Freudenberg v E*Trade Fin. Corp.*, 712 F Supp 2d 171.) II. Steven Simkin has not (and cannot) allege any mutual mistake as to a fundamental assumption of the agreement. (*Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Godfrey v Spano*, 13 NY3d 358; *Maas v Cornell Univ.*, 94 NY2d 87; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269; *Rowe v Great Atl.*

& Pac. Tea Co., 46 NY2d 62; *Shell Trademark Mgt. BV & Motiva Enters., LLC v Ray Thomas Petroleum Co., Inc.*, 642 F Supp 2d 493; *Palestine Monetary Auth. v Strachman*, 62 AD3d 213; *Walker v City of New York*, 46 AD3d 278; *Vadney v United Traction Co.*, 193 App Div 329.) III. Even if there were a mutual mistake, rescission, not reformation, is the only remedy. (*Chimart Assoc. v Paul*, 66 NY2d 570; *Harris v Uhlendorf*, 24 NY2d 463; *Hart v Blabey*, 287 NY 257; *True v True*, 63 AD3d 1145; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Symphony Space v Pergola Props.*, 214 AD2d 66; *Feldman v Grant*, 213 AD2d 340.) IV. Steven Simkin has no claim for unjust enrichment as to the disbursement of assets pursuant to a contract. (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Salomon v North Br. & Mercantile Ins. Co. of N.Y.*, 215 NY 214; *Curtis v Albee*, 167 NY 360.) V. The parties' extensive releases bar Steven Simkin's claims. (*Mangini v McClurg*, 24 NY2d 556; *Gibli v Kadosh*, 279 AD2d 35; *Fleming v Ponziani*, 24 NY2d 105; *Littman v Magee*, 54 AD3d 14; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (Allan J. Arffa, Mark H. Alcott, William J. Taylor, Jr., and Susannah K. Howard of counsel), for respondent. I. The complaint states a cause of action for reformation based on mutual mistake. (*Leon v Martinez*, 84 NY2d 83; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Morone v Morone*, 50 NY2d 481; *People v Coventry First LLC*, 13 NY3d 108; *Hurrell-Harring v State of New York*, 15 NY3d 8; *Lanzi v Brooks*, 43 NY2d 778; *Pludeman v Northern Leasing Sys., Inc.*, 10 NY3d 486; *I. Shulman & Son v Jorling*, 189 AD2d 1012; *M & T Bank Corp. v Gemstone CDO VII, Ltd.*, 23 Misc 3d 1105[A], 2009 NY Slip Op 50590[U], 68 AD3d 1747; *Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446.) II. The concept of "finality" and *Commodity Futures Trading Commn. v Walsh* (17 NY3d 162 [2011]) do not preclude reformation of the agreement. (*Brender v Brender*, 199 AD2d 665; *Banker v Banker*, 56 AD3d 1105; *Levine v Levine*, 56 NY2d 42; *Christian v Christian*, 42 NY2d 63; *Surlak v Surlak*, 95 AD2d 371; *Rainbow v Swisher*, 72 NY2d 106; *Boronow v Boronow*, 71 NY2d 284; *Kojovic v Goldman*, 35 AD3d 65; *Merrill Lynch, Pierce, Fenner & Smith v Benjamin*, 1 AD3d 39; *Welsh v Lawler*, 282

AD2d 977.) III. The agreement does not preclude Steven Simkin's unjust enrichment claim. (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132; *IIG Capital LLC v Archipelago, L.L.C.*, 36 AD3d 401; *Heller, Horowitz & Feit v Stage II Apparel Corp.*, 270 AD2d 58; *Joseph Sternberg, Inc. v Walber 36th St. Assoc.*, 187 AD2d 225.) IV. The releases do not bar Steven Simkin's claims. (*House v Wechsler*, 104 App Div 124; *Mangini v McClurg*, 24 NY2d 556; *Verstreate v Cohen*, 242 AD2d 862; *Metz v Metz*, 175 AD2d 938; *Curry v Episcopal Health Servs.*, 248 AD2d 662; *Schroeder v Connelly*, 46 AD3d 1439; *Gibli v Kadosh*, 279 AD2d 35; *Carola v NKO Contr. Corp.*, 205 AD2d 931; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue before us is whether plaintiff has presented facts sufficient to support the reformation or setting aside of the parties' marital settlement agreement based on a claim of mutual mistake pertaining to an investment account. We conclude that plaintiff has failed to state a cause of action under CPLR 3211 and therefore dismiss the amended complaint.

Plaintiff Steven Simkin (husband) and defendant Laura Blank (wife) married in 1973 and have two children. Husband is a partner at a New York law firm and wife, also an attorney, is employed by a university. After almost 30 years of marriage, the parties separated in 2002 and stipulated in 2004 that the cut-off date for determining the value of marital assets would be September 1, 2004. The parties, represented by counsel, spent two years negotiating a detailed 22-page settlement agreement, executed in June 2006. In August 2006, the settlement agreement was incorporated, but not merged, into the parties' final judgment of divorce.

The settlement agreement set forth a comprehensive division of marital property. Husband agreed to pay wife \$6,250,000 "[a]s and for an equitable distribution of property . . . and in satisfaction of the Wife's support and marital property rights." In addition, wife retained title to a Manhattan apartment (subject to a \$370,000 mortgage), an automobile, her retirement accounts and any "bank, brokerage and similar financial accounts in her name." Upon receipt of her distributive payment, wife agreed to convey her interest in the Scarsdale marital residence to husband. Husband received title to three automobiles

and kept his retirement accounts, less \$368,000 to equalize the value of the parties' retirement accounts. Husband further retained "bank, brokerage and similar financial accounts" that were in his name, two of which were specifically referenced—his capital account as a partner at the law firm and a Citibank account.

The agreement also contained a number of mutual releases between the parties. Each party waived any interest in the other's law license and released or discharged any debts or further claims against the other. Although the agreement acknowledged that the property division was "fair and reasonable," it did not state that the parties intended an equal distribution or other designated percentage division of the marital estate. The only provision that explicitly contemplated an equal division was the reference to equalizing the values of the parties' retirement accounts. The parties further acknowledged that the settlement constituted

"an agreement between them with respect to any and all funds, assets or properties, both real and personal, including property in which either of them may have an equitable or beneficial interest wherever situated, now owned by the parties or either of them, or standing in their respective names or which may hereafter be acquired by either of them, and all other rights and obligations arising out of the marital relationship."

At the time the parties entered into the settlement, one of husband's unspecified brokerage accounts was maintained by Bernard L. Madoff Investment Securities (the Madoff account). According to husband, the parties believed the account was valued at \$5.4 million as of September 1, 2004, the valuation date for marital assets. Husband withdrew funds from this account to pay a portion of his distributive payment owed wife in 2006, and continued to invest in the account subsequent to the divorce. In December 2008, Bernard Madoff's colossal Ponzi scheme was publicly exposed and Madoff later pleaded guilty to federal securities fraud and related offenses.

As a result of the disclosure of Madoff's fraud, in February 2009—about 2½ years after the divorce was finalized—husband commenced this action against wife alleging two causes of action: (1) reformation of the settlement agreement predicated on a mutual mistake and (2) unjust enrichment. The amended

complaint asserts that the settlement agreement was intended to accomplish an “approximately equal division of [the couple’s] marital assets,” including a 50-50 division of the Madoff account. To that end, the amended complaint states that \$2,700,000 of wife’s \$6,250,000 distributive payment represented her “share” of the Madoff account. Husband alleges that the parties’ intention to equally divide the marital estate was frustrated because both parties operated under the “mistake” or misconception as to the existence of a legitimate investment account with Madoff which, in fact, was revealed to be part of a fraudulent Ponzi scheme. The amended complaint admits, however, that funds were previously “‘withdrawn’ from the ‘Account’ ” by husband and applied to his obligation to pay wife.

In his claim for reformation, husband requests that the court “determine the couple’s true assets with respect to the Madoff [a]ccount” and alter the settlement terms to reflect an equal division of the actual value of the Madoff account. The second cause of action seeks restitution from wife “in an amount to be determined at trial” based on her unjust enrichment arising from husband’s payment of what the parties mistakenly believed to be wife’s share of the Madoff account. Wife moved to dismiss the amended complaint on several grounds, including a defense founded on documentary evidence (*see* CPLR 3211 [a] [1]) and for failure to state a cause of action (*see* CPLR 3211 [a] [7]).

Supreme Court granted wife’s motion and dismissed the amended complaint. The Appellate Division, with two Justices dissenting, reversed and reinstated the action (80 AD3d 401 [1st Dept 2011]). The Appellate Division granted wife leave to appeal on a certified question (2011 NY Slip Op 70450[U] [2011]), and we now reverse and reinstate Supreme Court’s order of dismissal.

Wife argues that the Appellate Division erred in reinstating the amended complaint because the allegations, even if true, fail to appropriately establish the existence of a mutual mistake at the time the parties entered into their settlement agreement. Rather, she claims that, at most, the parties may have been mistaken as to the value of the Madoff account, but not its existence. Wife also contends that allowing husband’s claims to go forward years after the division of property and issuance of a divorce decree would undermine policy concerns regarding finality in divorce cases. Husband responds that the amended complaint states a viable claim because the parties were both

unaware and misled as to the legitimacy of the Madoff account, which, in husband's view, "did not in fact ever exist" due to the fraud occasioned on investors.

On a motion to dismiss under CPLR 3211, the pleading is to be given a liberal construction, the allegations contained within it are assumed to be true and the plaintiff is to be afforded every favorable inference (*see ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208, 227 [2011]). At the same time, however, "allegations consisting of bare legal conclusions as well as factual claims flatly contradicted by documentary evidence are not entitled to any such consideration" (*Maas v Cornell Univ.*, 94 NY2d 87, 91 [1999] [internal quotation marks omitted]). Moreover, a claim predicated on mutual mistake must be pleaded with the requisite particularity necessitated under CPLR 3016 (b).

Marital settlement agreements are judicially favored and are not to be easily set aside (*see McCoy v Feinman*, 99 NY2d 295, 302 [2002]; *Christian v Christian*, 42 NY2d 63, 71-72 [1977]). Nevertheless, in the proper case, an agreement may be subject to rescission or reformation based on a mutual mistake by the parties (*see Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446, 453 [1993]; *Chimart Assoc. v Paul*, 66 NY2d 570, 573 [1986]). Similarly, a release of claims may be avoided due to mutual mistake (*see Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269, 276 [2011]). Based on these contract principles, the parties here agree that this appeal turns on whether husband's amended complaint states a claim for relief under a theory of mutual mistake.

We have explained that "[t]he mutual mistake must exist at the time the contract is entered into and must be substantial" (*Gould*, 81 NY2d at 453). Put differently, the mistake must be "so material that . . . it goes to the foundation of the agreement" (*Da Silva v Musso*, 53 NY2d 543, 552 [1981] [internal quotation marks and citations omitted]; *see also* 27 Lord, Williston on Contracts § 70:12 [4th ed] ["The parties must have been mistaken as to a basic assumption of the contract . . . Basic assumption means the mistake must vitally affect the basis upon which the parties contract"]). Court-ordered relief is therefore reserved only for "exceptional situations" (*Da Silva*, 53 NY2d at 552 [internal quotation marks omitted]). The premise underlying the doctrine of mutual mistake is that "the agreement as expressed, in some material respect, does not represent

the meeting of the minds of the parties” (*Gould*, 81 NY2d at 453 [internal quotation marks and citations omitted]).

Although we have not addressed mutual mistake claims in the context of marital settlement agreements, the parties cite a number of Appellate Division cases that have analyzed this issue. Husband relies on *True v True* (63 AD3d 1145, 1146 [2d Dept 2009]), where the settlement agreement provided that the husband’s stock awards from his employer would be “divided 50-50 in kind” and recited that 3,655 shares were available for division between the parties. After the wife redeemed her half of the shares, the husband learned that only 150 shares remained and brought an action to reform the agreement, arguing that the parties mistakenly specified the gross number of shares (3,655) rather than the net number that was actually available for distribution. The Second Department agreed and reformed the agreement to effectuate the parties’ intent to divide the shares equally, holding that the husband had established “that the parties’ use of 3,655 gross shares was a mutual mistake because it undermined their intent to divide the *net* shares available for division, 50-50 in kind” (*id.* at 1148).

Other cases relied on by husband involve marital settlement agreements that were set aside or reformed because a mutual mistake rendered a portion of the agreement impossible to perform. In *Banker v Banker* (56 AD3d 1105 [2008]), the Third Department reformed a provision of a marital settlement that required the subdivision of a parcel of real property because the parties were unaware of a restrictive covenant against further subdivision. Similarly, in *Brender v Brender* (199 AD2d 665 [1993]), the Third Department set aside a settlement provision that allowed the wife to purchase health insurance through her husband’s plan where both parties were mistaken in their belief that such coverage was available.

Wife in turn points to appellate cases denying a spouse’s request to reopen a marital settlement agreement where the final value of an asset was not what the parties believed at the time of the divorce (*see Greenwald v Greenwald*, 164 AD2d 706, 721 [1st Dept 1991], *lv denied* 78 NY2d 855 [1991] [stating that “posttrial changes in value may not be used to reallocate the distribution of marital assets”]). In *Kojovic v Goldman* (35 AD3d 65 [2006], *lv denied* 8 NY3d 804 [2007]), for example, the First Department dismissed the wife’s reformation and rescission claims where the husband unexpectedly sold his interest in a company for \$18 million after the divorce. And in *Etzion v*

Etzion (62 AD3d 646 [2009], *lv dismissed* 13 NY3d 824 [2009]), the Second Department rejected the wife's mutual mistake claim where the market value of the husband's warehouse property substantially increased in value after the city adopted a rezoning plan subsequent to the parties' settlement.

[1] Applying these legal principles, we are of the view that the amended complaint fails to adequately state a cause of action based on mutual mistake. As an initial matter, husband's claim that the alleged mutual mistake undermined the foundation of the settlement agreement, a precondition to relief under our precedents, is belied by the terms of the agreement itself. Unlike the settlement agreement in *True* that expressly incorporated a "50-50" division of a stated number of stock shares, the settlement agreement here, on its face, does not mention the Madoff account, much less evince an intent to divide the account in equal or other proportionate shares (*see Centro*, 17 NY3d at 277 [explaining that "courts should be extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include"] [internal quotation marks and citation omitted]). To the contrary, the agreement provides that the \$6,250,000 payment to wife was "in satisfaction of [her] support and marital property rights," along with her release of various claims and inheritance rights. Despite the fact that the agreement permitted husband to retain title to his "bank, brokerage and similar financial accounts" and enumerated two such accounts, his alleged \$5.4 million Madoff investment account is neither identified nor valued. Given the extensive and carefully negotiated nature of the settlement agreement, we do not believe that this presents one of those "exceptional situations" (*Da Silva*, 53 NY2d at 552 [internal quotation marks omitted]) warranting reformation or rescission of a divorce settlement after all marital assets have been distributed.

Even putting the language of the agreement aside, the core allegation underpinning husband's mutual mistake claim—that the Madoff account was "nonexistent" when the parties executed their settlement agreement in June 2006—does not amount to a "material" mistake of fact as required by our case law. The premise of husband's argument is that the parties mistakenly believed that they had an investment account with Bernard Madoff when, in fact, no account ever existed. In

husband's view, this case is no different from one in which parties are under a misimpression that they own a piece of real or personal property but later discover that they never obtained rightful ownership, such that a distribution would not have been possible at the time of the agreement. But that analogy is not apt here. Husband does not dispute that, until the Ponzi scheme began to unravel in late 2008—more than two years after the property division was completed—it would have been possible for him to redeem all or part of the investment. In fact, the amended complaint contains an admission that husband was able to withdraw funds (the amount is undisclosed) from the account in 2006 to partially pay his distributive payment to wife. Given that the mutual mistake must have existed at the time the agreement was executed in 2006 (*see Gould*, 81 NY2d at 453), the fact that husband could no longer withdraw funds years later is not determinative.*

This situation, however sympathetic, is more akin to a marital asset that unexpectedly loses value after dissolution of a marriage; the asset had value at the time of the settlement but the purported value did not remain consistent. Viewed from a different perspective, had the Madoff account or other asset retained by husband substantially increased in worth after the divorce, should wife be able to claim entitlement to a portion of the enhanced value? The answer is obviously no. Consequently, we find this case analogous to the Appellate Division precedents denying a spouse's attempt to reopen a settlement agreement based on post-divorce changes in asset valuation.

[2] Finally, husband's unjust enrichment claim likewise fails to state a cause of action. It is well settled that, "[w]here the parties executed a valid and enforceable written contract governing a particular subject matter, recovery on a theory of unjust enrichment for events arising out of that subject matter is ordinarily precluded" (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132, 142 [2009]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated, and the certified question answered in the negative.

* Husband notes in his brief that the Madoff account may, at a future point, have some value depending on how successful the trustee for the liquidation of Bernard L. Madoff Investment Securities is in recovering and distributing property to customers (*see In re Bernard L. Madoff Inv. Sec. LLC*, 654 F3d 229 [2d Cir 2011]).

Chief Judge LIPPMAN and Judges CIPARICK, READ, PIGOTT and JONES concur; Judge SMITH taking no part.

Order reversed, etc.

[968 NE2d 451, 945 NYS2d 214]

In the Matter of MICHAEL LESHER, Appellant, v CHARLES J. HYNES, as District Attorney of Kings County, New York, et al., Respondents.

Argued February 14, 2012; decided April 3, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 11, 2011. The Appellate Division (1) reversed, on the law, so much of a judgment (denominated decision and order) of the Supreme Court, Kings County (David B. Vaughan, J.), entered in a proceeding pursuant to CPLR article 78 to compel respondents to comply with petitioner's Freedom of Information Law request, as had granted those branches of the petition which were to direct respondents to provide petitioner with all correspondence, memoranda, and other documents exchanged between the office of the District Attorney, Kings County, and agencies and departments of the United States government regarding the extradition of Avrohom Mondrowitz from Israel; (2) denied those branches of the petition; and (3) dismissed that portion of the proceeding.

Matter of Leshner v Hynes, 80 AD3d 611, affirmed.

HEADNOTES

Records — Freedom of Information Law — Materials Exempt from Disclosure — Records Compiled for Law Enforcement Purposes

1. In a proceeding to review a determination denying petitioner's Freedom of Information Law (FOIL) (Public Officers Law § 84 *et seq.*) request for records pertaining to the pending extradition from Israel of a person indicted in New York on multiple counts of sexual abuse, the "correspondence, memoranda or other documents between the Office of the District Attorney and agencies or departments of the federal government" regarding the extradition were exempt from disclosure under Public Officers Law § 87 (2) (e) (i). That statute allows an agency to "deny access to records or portions thereof that . . . are compiled for law enforcement purposes and which, if disclosed, would . . . interfere with law enforcement investigations or judicial proceedings." Not every document in a law enforcement agency's criminal case file is automatically exempt from disclosure; the agency must identify the generic kinds of documents for which the exemption is claimed, and the generic risks posed by their disclosure. Here, the District Attorney sustained his burden under Public Officers Law § 89 (4) (b) to articulate a factual basis for the exemption. He identified the correspondence with the United States Department of State as the records that he sought to withhold on the basis of the

exemption and also identified the generic harm that disclosure would cause—i.e., the District Attorney’s hand would be prematurely tipped by the release of correspondence “replete with information about the crimes committed.” In addition, law enforcement proceedings were ongoing when the CPLR article 78 proceeding was commenced, at which time there was every reason to believe that the accused would soon be returned to Brooklyn for trial.

Records — Freedom of Information Law — Materials Exempt from Disclosure — Records Compiled for Law Enforcement Purposes — Completed Prosecution

2. The exemption in Public Officers Law § 87 (2) (e) (i) for records compiled for law enforcement purposes in a criminal matter does not bar disclosure of those records under the Freedom of Information Law (FOIL) where the prosecution has been completed, absent an unusual circumstance. Thus, where petitioner’s request for certain records pertaining to the pending extradition from Israel of a person indicted in New York on multiple counts of sexual abuse had been correctly denied under section 87 (2) (e) (i), petitioner was free to make another FOIL request based on an intervening Israeli judicial decision regarding the extradition order that allegedly brought to an end any realistic possibility that the subject would ever be extradited from Israel to stand trial for the crimes alleged in the indictment. The decision’s effect was a matter for the FOIL records access officer to consider in the first instance, and if there was, practically speaking, no longer any pending or potential law enforcement investigation or judicial proceeding with which disclosure might interfere, section 87 (2) (e) (i) would not preclude release of the records.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 278, 279, 281, 287, 290, 292–295, 298.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:631, 145:632, 145:635.

McKINNEY’s, Public Officers Law § 87 (2) (e) (i); § 89 (4).

NY JUR 2d, Records and Recording §§ 45, 56, 59.

ANNOTATION REFERENCE

See ALR Index under Freedom of Information Acts.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foil /p law /2 enforcement /5 exempt! & interfer! /5 prosecution /p pending ongoing

POINTS OF COUNSEL

Michael Leshner, Passaic, New Jersey, appellant pro se. I. The Freedom of Information Law exemption asserted by the District Attorney, and upheld by the Appellate Division, is contrary to law. (*Matter of Moore v Santucci*, 151 AD2d 677; *Matter of Gould*

v New York City Police Dept., 89 NY2d 267; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Verizon N.Y., Inc. v Mills*, 60 AD3d 958; *Pittari v Pirro*, 179 Misc 2d 241; *Matter of Legal Aid Socy. v New York City Police Dept.*, 274 AD2d 207.) II. The Appellate Division wrongly applied the terms of Civil Rights Law § 50-b in defiance of all existing precedent. (*Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *Doyen v McMahon*, 306 AD2d 708; *Matter of Karlin v McMahon*, 96 NY2d 842.) III. The Appellate Division misread the facts and posture of this case. (*Chase Manhattan Bank v Each Individual Underwriter Bound to Lloyd's Policy No. 790/004A89005*, 287 AD2d 303; *Thoreson v Penthouse Intl.*, 80 NY2d 490.) IV. Affirmance of the Appellate Division's opinion would frustrate the purpose of the Freedom of Information Law.

Charles J. Hynes, District Attorney, Brooklyn (Morgan J. Dennehy, Leonard Joblove and Jodi L. Mandel of counsel), for respondents. The denial of access to the documents that the appellant requested pursuant to the Freedom of Information Law was correct; all of the documents were exempt from disclosure because they were part of an ongoing prosecution, and most of the documents were exempt because they tended to identify the victims of sex offenses. (*Matter of Heintz v Brown*, 80 NY2d 998; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Legal Aid Socy. v New York City Police Dept.*, 274 AD2d 207; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Pittari v Pirro*, 258 AD2d 202; *Matter of Terry D.*, 81 NY2d 1042; *People v Gissendanner*, 48 NY2d 543; *NLRB v Robbins Tire & Rubber Co.*, 437 US 214; *Title Guar. Co. v National Labor Relations Bd.*, 534 F2d 484, 429 US 834; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738.)

New York Civil Liberties Union Foundation, New York City (Christopher Dunn, Corey Stoughton and Daniel Mullkoff of counsel), for New York Civil Liberties Union, amicus curiae. I. This Court should reverse the Appellate Division and hold that respondents were obligated to use redaction to the extent feasible rather than withholding responsive records in their entirety. (*Matter of Karlin v McMahon*, 96 NY2d 842; *Matter of Short v Board of Mgrs. of Nassau County Med. Ctr.*, 57 NY2d 399; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of Gould v New York City Police Dept.*, 89 NY2d

267; *Matter of Daily Gazette Co. v City of Schenectady*, 93 NY2d 145; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42.) II. The Court should require agencies invoking the law enforcement exemption to demonstrate a particularized and specific factual basis for concluding that the release of records would actually interfere with ongoing investigations or judicial proceedings. (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *NLRB v Robbins Tire & Rubber Co.*, 437 US 214; *Title Guar. Co. v National Labor Relations Bd.*, 534 F2d 484; *Matter of Legal Aid Socy. v New York City Police Dept.*, 274 AD2d 207; *Matter of Pittari v Pirro*, 258 AD2d 202; *Medellín v Texas*, 552 US 491.) III. The Court should also reverse the Appellate Division for failure to require a particularized and specific justification for respondents' invocation of Civil Rights Law § 50-b.

OPINION OF THE COURT

READ, J.

In 1984, a Kings County grand jury handed down an indictment charging Avrohom Mondrowitz with multiple counts of sexual abuse involving young boys. But he had already fled from the United States to Israel, one step ahead of an arrest warrant. Attempts to extradite Mondrowitz foundered early on, apparently because differences in Israeli and New York law prevented his return under the extradition treaty then in force between the United States and Israel.

At some point, petitioner Michael Leshner, an attorney and author, became interested in the Mondrowitz case. On August 4, 1998, he made a request to the District Attorney of Kings County pursuant to New York's Freedom of Information Law (FOIL) (Public Officers Law § 84 *et seq.*) for documents relating to Mondrowitz. The District Attorney furnished material in response, including police reports, statements edited to remove the names of alleged victims and witnesses and some correspondence with federal agencies.

On October 17, 2007, nearly a decade later, Leshner made a second FOIL request to the District Attorney in which he sought

“[a]ny and all records, files, notes, correspondence, memoranda or other documents pertinent in any way to the matter *State v. Mondrowitz*, Indictment No. 7693/84 and pertaining to the time period from September 1, 1993 to the present date, including but not limited to any correspondence between the D.A.’s office and the Department of Justice, the Department of State or any other branch of the United States government.”

After considerable delay, the FOIL records access officer denied Lesher’s request on December 23, 2008, invoking Public Officers Law § 87 (2) (e) (i)-(iv), the law enforcement exemption, because the records sought “pertain[ed] to an open case in that a bench warrant was issued on 02/21/1985.” In particular, she relied on section 87 (2) (e) (i), which allows an agency to “deny access to records or portions thereof that . . . are compiled for law enforcement purposes and which, if disclosed, would . . . interfere with law enforcement investigations or judicial proceedings.” Lesher took an administrative appeal of this denial, which the FOIL appeals officer upheld in a letter dated January 29, 2009. She stated that “because the documents [sought were] relevant to an ongoing prosecution, . . . disclosure at this time would interfere with the prosecution.”

Lesher apparently argued in his administrative appeal that Public Officers Law § 87 (2) (e) (i) was inapplicable to his 2007 FOIL request because in 1998 the District Attorney had furnished several documents associated with the Mondrowitz case. The FOIL appeals officer replied that in 1998, though,

“the prosecution against Mr. Mondrowitz, although open and pending, was not actually active due to the fact that we were unable to extradite Mr. Mondrowitz from Israel because the extradition treaty in force at the time between Israel and the United States did not cover Mr. Mondrowitz’s crimes. However, the new extradition treaty, which went into effect in January, 2007, and now includes Mr. Mondrowitz’s crimes, makes extradition a possibility. Thus, the prosecution of Mr. Mondrowitz is now viable, and, therefore, the above-cited FOIL exemption [i.e., Public Officers Law § 87 (2) (e) (i)] is fully applicable.”

By verified petition sworn to May 26, 2009, Lesher commenced this CPLR article 78 proceeding to compel the District

Attorney and the FOIL appeals officer to comply with his records request. In his petition, Leshar alleged that the District Attorney resumed efforts to extradite Mondrowitz in October 2007, and

“Mondrowitz was arrested in Israel the next month, November 2007, and has been incarcerated . . . since then awaiting extradition. His extradition was ordered by the Government of Israel, which order was affirmed by a District Court in Jerusalem. The decision of Israel’s Supreme Court on Mondrowitz’s appeal of his extradition order is still awaited.”

He insisted that it was “extremely unlikely” that “investigatory documents” had been added to the Mondrowitz case file after September 1993, the beginning of the time period addressed by his FOIL request. He further urged that there was “no ‘judicial proceeding’ against Mondrowitz . . . in progress” except in Israel; and that the District Attorney had not explained how the release of “documents, including correspondence, pertaining to the renewed extradition request conveyed to Israel in October 2007” interfered with law enforcement investigations or judicial proceedings.

The FOIL appeals officer countered in an affirmation dated June 18, 2009 that Leshar was “wrong” to claim that the District Attorney was not entitled to rely upon Public Officers Law § 87 (2) (e) (i) to deny access to the requested documents. She cited *Matter of Pittari v Pirro* (258 AD2d 202 [2d Dept 1999], *lv denied* 94 NY2d 755 [1999] [where a criminal proceeding is pending, documents are exempt under Public Officers Law § 87 (2) (e) (i) upon “generic determination” that disclosure of categories of records would create broad risks of harm; a document-by-document showing of interference is not required]) and *Matter of Legal Aid Socy. v New York City Police Dept.* (274 AD2d 207 [1st Dept 2000], *lv denied* 95 NY2d 956 [2000] [same]) for the proposition that the “mere fact” that documents were compiled in furtherance of an ongoing criminal prosecution was a sufficiently particularized explanation to justify denial of access, and “that an agency need not advance an explanation as to how the disclosure of each document . . . would interfere with that prosecution or investigation.” Leshar in his reply affidavit sworn to June 22, 2009 alleged that there was a difference between prosecution and extradition, and the “specific focus” of his FOIL request was “correspondence, memoranda or other documents relating to communications between the District

Attorney and the federal government, regarding the *extradition* of Avrohom Mondrowitz.”

In a judgment entered November 23, 2009, Supreme Court granted the petition “to the extent only of directing [disclosure] of all correspondence, memoranda or other documents between the Office of the District Attorney and agencies or departments of the federal government” regarding Mondrowitz’s extradition. Relying on *Pittari* and *Legal Aid Society*, the judge reasoned that a claim that disclosure would interfere with a pending criminal prosecution was sufficiently particularized to justify denying a FOIL request under Public Officers Law § 87 (2) (e) (i), but that the “correspondence and communications between the District Attorney and federal agencies . . . being sought” were not likewise exempt because “[t]hose records allegedly pertain[ed] to Mondrowitz’s extradition.”

On December 21, 2009, the District Attorney moved to reargue. He informed Supreme Court that the records compiled in connection with Mondrowitz’s prosecution filled roughly four boxes, and that nearly half of the documents in those boxes comprised

“correspondence between the District Attorney’s Office and the United States Department of State in which the District Attorney’s Office provided detailed information about Mondrowitz’s crimes so that the State Department could prepare extradition requests. The correspondence consists of crime summaries, timelines of when and where each crime occurred, witness names and personal information, and witness statements.”

The District Attorney maintained that this correspondence was necessarily “related to the ongoing prosecution because [it] involve[d] the efforts made to return Mondrowitz to the jurisdiction so that the prosecution [might] proceed”; and that “disclosure of the documents surely would interfere with the prosecution . . . because they [were] replete with information about the crimes committed.” Supreme Court denied the motion to reargue on April 28, 2010, and the District Attorney took an appeal.

On January 11, 2011, the Appellate Division unanimously reversed and dismissed the petition (80 AD3d 611 [2d Dept 2011]). The court concluded that the District Attorney had established that the materials requested by Leshner were covered in their

entirety by Public Officers Law § 87 (2) (e) (i). This was so because “[c]ontrary to [Leshner’s] contention,” the District Attorney was “not required to detail the manner in which each document sought would cause such interference. Rather, . . . the assertion that disclosure would interfere with an ongoing law enforcement investigation was a sufficiently particularized justification” under the circumstances (*id.* at 613).¹ We subsequently granted Leshner permission to appeal (16 NY3d 710 [2011]), and now affirm.

Leshner emphasizes that Supreme Court only ordered the District Attorney to disclose correspondence and communications related to Mondrowitz’s extradition. In his view, such documents are not part of the criminal prosecution, “cannot possibly compromise a criminal prosecution” and so are not exempt from disclosure under Public Officers Law § 87 (2) (e) (i). In short, he argues that FOIL does not permit an agency to deny access to an “extradition-related” record compiled during the course of a criminal prosecution absent an explanation as to how the *particular* document’s release would undermine ongoing or future investigatory or judicial proceedings.

FOIL’s “legislative history . . . indicates that many of its provisions . . . were patterned after the Federal analogue. Accordingly, Federal case law and legislative history . . . are instructive” when interpreting such provisions (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 572 n [1979] [citations omitted]). Notably, the law enforcement exemption is modeled on 5 USC § 552 (b) (7). As originally enacted by Congress, this provision of the Freedom of Information Act (FOIA) (5 USC § 552) exempted from disclosure “investigatory files compiled for law enforcement purposes except to the extent available by law to a private party.” Similarly, the law enforcement exemption, as originally enacted in FOIL in 1974, shielded “information that is . . . part of investigatory files compiled for law enforcement purposes” (Public Officers Law former § 88 [7] [d]).

Congress rewrote FOIA’s law enforcement exemption in 1974 to permit the nondisclosure of “investigatory records compiled for law enforcement purposes, but only to the extent that the production of such records would” create one of six specified

1. In his brief to the Appellate Division, the District Attorney stated that after Supreme Court’s decision, “an Israeli appeals court” overturned Mondrowitz’s extradition order, but that “the prosecution remain[ed] viable” because the United States Departments of Justice and State were still considering whether to pursue further action with the Israeli government.

dangers, the first of which was to “interfere with enforcement proceedings” (see 5 USC § 552 [b] [7] [A]) (Exemption 7A).² When the Legislature amended FOIL in 1977, it followed suit by enacting Public Officers Law § 87 (2) (e) (i), which, as previously noted, denies access to records “compiled for law enforcement purposes and which, if disclosed, would . . . interfere with law enforcement investigations or judicial proceedings.”

As the Supreme Court explained in *NLRB v Robbins Tire & Rubber Co.* (437 US 214, 228-229 [1978]), Congress adopted Exemption 7A to register its disapproval of decisions handed down by the Circuit Court of Appeals for the District of Columbia in 1973 and 1974, which interpreted FOIA’s original law enforcement exemption too broadly for Congress’s taste. These decisions withheld material from disclosure so long as it was kept in an investigatory file compiled for law enforcement purposes, without regard to the nature of the documents or the status of the investigation. For example, in *Aspin v Department of Defense* (491 F2d 24, 30 [1973]), the D.C. Circuit held that the content of investigatory files remained exempt from disclosure even “after the termination of investigation and enforcement proceedings.” The court reasoned that legislative history did not “compel a contrary view”; “if investigatory files were made public subsequent to the termination of enforcement proceedings, the ability of any investigatory body to conduct future investigations would be seriously impaired”; “[f]ew persons would respond candidly to investigators if they feared that their remarks would become public record after the proceedings”; and “the investigative techniques of the investigating body would be disclosed to the general public” (*id.*). “Thus, the thrust of congressional concern” when it enacted Exemption 7A “was to make clear that [FOIA’s law enforcement exemption] did not endlessly protect material simply because it was in an investigatory file” (*Robbins*, 437 US at 230); and “that by extending blanket protection to anything labeled an investigatory file, the D.C. Circuit had ignored Congress’ original intent” (*id.* at 235; see also *Title Guar. Co. v National Labor Relations Bd.*, 534 F2d 484, 492 [2d Cir 1976], *cert denied* 429 US 834 [1976] [“The cases that Exemption 7(A)

2. In 1986, Congress amended FOIA’s law enforcement exemption to substitute “could reasonably be expected” for “would” (see *Department of Justice v Reporters Comm. for Freedom of Press*, 489 US 749, 777-778 n 22 [1989]).

was intended to overrule were for the most part closed investigative file cases”]).

In light of this legislative history, the Court in *Robbins* considered whether the National Labor Relations Board (NLRB or the Board) was required to produce copies of witness statements requested by an employer pursuant to FOIA. At argument in the District Court, the NLRB contended that the statements were exempt from disclosure because their production would interfere with a pending enforcement proceeding—in this case, a hearing on an unfair labor practice complaint lodged against the employer. The District Court held that Exemption 7A did not apply because “the Board did not claim that release of the documents at issue would pose any unique or unusual danger of interference with [the] particular enforcement proceeding” (*id.* at 217). On appeal, the United States Court of Appeals for the Fifth Circuit concluded generally “that Exemption 7(A) was to be available only where there was a specific evidentiary showing of the possibility of actual interference in an individual case,” which it accurately concluded the NLRB had not demonstrated (*id.* at 218).

The Supreme Court reversed. The Court ruled that Exemption 7A applied to the entire category of statements of witnesses whom the NLRB intended to call at the hearing, noting that Exemption 7A “[spoke] in the plural voice” about “enforcement proceedings” and therefore Congress “appear[ed] to contemplate that certain generic determinations might be made” (*id.* at 223-224). As the Court explained,

“While the Court of Appeals was correct that the amendment of [FOIA’s original law enforcement exemption] was designed to eliminate ‘blanket exemptions’ for Government records simply because they were found in investigatory files compiled for law enforcement purposes, we think it erred in concluding that no generic determinations of likely interference can ever be made. We conclude that Congress did not intend to prevent the federal courts from determining that, with respect to particular kinds of enforcement proceedings, disclosure of particular kinds of investigatory records while a

case is pending would generally ‘interfere with enforcement proceedings’ ” (*id.* at 236).³

The Court then determined that the Board had met its burden of demonstrating that disclosure of witness statements would interfere with enforcement proceedings. The NLRB accomplished this by pointing out that disclosure threatened to undermine its discovery procedures, delay adjudication of the unfair labor practice and heighten the danger of witness intimidation.

The Appellate Division in *Pittari* and *Legal Aid Society* adopted the *Robbins* analysis when interpreting Public Officers Law § 87 (2) (e) (i), as do we. A criminal prosecution is a “particular kind[] of enforcement proceeding[]” where “disclosure of particular kinds of investigatory records while a case is pending would generally ‘interfere with enforcement proceedings’ ” (*Robbins*, 437 US at 236). We emphasize that this does not mean that every document in a law enforcement agency’s criminal case file is automatically exempt from disclosure simply because kept there. The agency must identify the generic kinds of documents for which the exemption is claimed, and the generic risks posed by disclosure of these categories of documents. Put slightly differently, the agency must still fulfill its burden under Public Officers Law § 89 (4) (b) to articulate a factual basis for the exemption.

[1] Here, the District Attorney sustained this burden. First, he identified for Supreme Court the categories of records that he sought to withhold on the basis of the exemption—i.e., correspondence with the United States Department of State “consist[ing] of crime summaries, timelines of when and where each crime occurred, witness names and personal information, and witness statements.” Next, he identified the generic harm that disclosure would cause—i.e., disclosure would necessarily interfere with law enforcement proceedings because the correspondence was “replete with information about the crimes committed,” and so its release posed an obvious risk of prematurely

3. Justice Stevens in a concurring opinion observed that the majority’s “rationale applie[d] equally to any enforcement proceeding” (437 US at 243). Justice Powell, in partial dissent, endorsed the Court’s approach, agreeing that “the congressional requirement of a specific showing of harm does not prevent determinations of likely harm with respect to prehearing release of particular categories of documents” (*id.* at 249). He simply disagreed with the definition of the category, which he would have limited to statements of witnesses currently employed by the employer.

tipping the District Attorney's hand. Finally, there is no doubt that law enforcement proceedings were ongoing when Leshner commenced this CPLR article 78 proceeding. Indeed, at that time there was every reason to believe that Mondrowitz would soon be returned to Brooklyn for trial. Leshner himself declared in his petition that Mondrowitz was incarcerated in Israel, awaiting extradition.

[2] Of course, Public Officers Law § 87 (2) (e) (i) ceases to apply after enforcement investigations and any ensuing judicial proceedings have run their course. Thus, the exemption does not bar disclosure of records compiled for law enforcement purposes in a criminal matter where the prosecution has been completed, absent some unusual circumstance such as the prospect that disclosure might compromise a related case. And criminal cases are typically wound up within a reasonable time after a crime is committed. At the other end of the spectrum, though, are "cold cases" where an investigation remains open, perhaps for a very long time, once probative leads have been exhausted. Similarly, where a suspect flees the jurisdiction the potential to prosecute remains, although an eventual trial might be uncertain of occurrence or timing. But this case of a fugitive from justice may now effectively be over.

Both parties have referred in their papers to a decision handed down by the Supreme Court of Israel in early 2010, after the record closed in Supreme Court. Leshner intimates that this decision brings to an end any realistic possibility that Mondrowitz will ever be extradited from Israel to stand trial for the crimes alleged in the indictment. Of course, Mondrowitz might always in theory return to Brooklyn voluntarily or relocate or travel to another nation from which extradition is possible, but such a happening is speculative and improbable.

Thus, Leshner is free to make another FOIL request for the correspondence and communications that he sought in this proceeding, based on the intervening Israeli judicial decision. If he is correct in his assessment of the decision's effect—a matter for the FOIL records access officer to consider in the first instance—there is, practically speaking, no longer any pending or potential law enforcement investigation or judicial proceeding with which disclosure might interfere. Public Officers Law § 87 (2) (e) (i) would not preclude release of the records.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Opinion by READ, J.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH,
PIGOTT and JONES concur.

Order affirmed, with costs.

[967 NE2d 1195, 944 NYS2d 750]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JAMES
PERRY, Respondent.

Argued February 9, 2012; decided April 3, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 1, 2011. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of criminally negligent homicide and criminal possession of a weapon in the second degree. The modification consisted of vacating the conviction of criminal possession of a weapon in the second degree and vacating the sentence imposed thereon. The Appellate Division remitted the matter to Supreme Court for a new trial on that count.

People v Perry, 81 AD3d 665, reversed.

HEADNOTE**Crimes — Lesser Included Offense — Possession of Weapon**

In a prosecution for criminal possession of a weapon in the second degree and other crimes arising out of a confrontation between defendant and the victim, at the end of which the victim was killed by a gunshot, defendant was not entitled to have a lesser criminal possession of a weapon count submitted to the jury as there was no reasonable view of the evidence on which defendant possessed the weapon without any intention to use it “unlawfully against another” as required by the statute (former Penal Law § 265.03). Defendant was entitled to have the lesser count submitted if there was “a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater” (CPL 300.50 [1], [2]). Here, defendant’s statements admitting that he sought out the confrontation in order to press the victim about alleged threats made against him, and that he displayed a gun in order to frighten the victim, amounted to a confession that he intentionally committed the crime of menacing (Penal Law § 120.14 [1]). Furthermore, no reasonable view of the evidence supported a justification defense. Frightening a man with a gun is not a justified “emergency measure” (Penal Law § 35.05 [2]) for ending a tussle or a fistfight. While it would be justified in defense of one’s life, nothing in the record supported a reasoned conclusion that defendant was so frightened by threats he had heard earlier in the day from a third person that he thought he would be killed or gravely harmed if he did not scare the victim off.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law § 141; AM JUR 2d, Weapons and
Firearms §§ 9, 11.

McKINNEY's, Penal Law § 35.05 (2); § 265.03.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 150, 152–155, 1877, 1880.

ANNOTATION REFERENCE

See ALR Index under Justification or Excuse; Weapons and Firearms.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: possession /4 weapon /4 second /p intent /s unlawfully /s loaded /2 firearm & emergency

POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Thomas M. Ross and Leonard Joblove of counsel), for appellant. The court was not required to submit simple possession of a weapon as a lesser included offense of possession of a weapon with intent to use it unlawfully against another, because, even if defendant's statements were credited, there was no reasonable view of the evidence that defendant possessed the gun without intending to use it unlawfully against another. (*People v Van Norstrand*, 85 NY2d 131; *People v Scarborough*, 49 NY2d 364; *People v Discala*, 45 NY2d 38; *People v Negron*, 91 NY2d 788; *People v Pons*, 68 NY2d 264; *People v Almodovar*, 62 NY2d 126; *People v Romero*, 71 AD3d 795; *People v Durand*, 188 AD2d 747; *People v Frazier*, 141 AD2d 561; *People v Rivera*, 15 NY3d 844.)

Chadbourne & Parke LLP, New York City (Thomas E. Butler and Keith Levenberg of counsel), and Appellate Advocates (Lynn W.L. Fahey of counsel) for respondent. The Appellate Division correctly held that the trial court's failure to charge the lesser-included offense mandated the vacatur of James Perry's conviction for criminal possession of a weapon in the second degree. (*People v Van Norstrand*, 85 NY2d 131; *People v Chatman*, 122 AD2d 148; *People v Padgett*, 60 NY2d 142; *People v Scarborough*, 49 NY2d 364; *People v Rivera*, 15 NY3d 844; *People v Pons*, 68 NY2d 264; *People v Pulley*, 302 AD2d 899; *People v Johnson*, 74 AD3d 1912; *People v Pearce*, 283 AD2d 1007; *People v Ellis*, 233 AD2d 692.)

OPINION OF THE COURT

SMITH, J.

Defendant was convicted of possessing a weapon with the intent to use it unlawfully against another, after he admitted

that he displayed a gun to a man in order to frighten him. We hold that there is no reasonable view of the evidence on which defendant possessed the weapon without any intention to use it unlawfully.

The case arises out of an encounter between defendant and Anthony Baker, at the end of which Baker was killed by a gunshot. There were no witnesses to the shooting, and defendant did not testify at trial. He did make several oral and written statements before trial, which were admitted into evidence. In those statements, he said that, on the morning of the day in question, he was told by a third person that Baker wanted defendant dead and that Baker was going to shoot defendant, defendant's mother, his sister and his child's mother. Defendant then sought out Baker and had a conversation in which Baker in substance admitted making the threats, but refused to repeat them. During the conversation, Baker "came close" to defendant and defendant "kept pushin him away." Defendant "grabbed him" and they started "to tustle." Defendant then "grabbed the gun and pulled it out to scare him so he would back up off me." In defendant's account, Baker "kept swinging" at defendant, and the gun went off by accident. There was no evidence that Baker had a weapon at the time of the encounter.

The jury apparently accepted defendant's version of events, acquitting him of murder and manslaughter charges, but convicting him of criminally negligent homicide and criminal possession of a weapon in the second degree. Only the weapons possession charge is at issue here. At the relevant time, the statute under which defendant was convicted required proof of the possession of a loaded firearm "with intent to use the same unlawfully against another" (former Penal Law § 265.03). Defendant unsuccessfully asked the trial court to submit, as a lesser included offense, criminal possession of a weapon in the fourth degree, which is committed by possession of any firearm (Penal Law § 265.01 [1]). Defendant was entitled to have the lesser count submitted if there was "a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater" (CPL 300.50 [1], [2]).

The Appellate Division vacated defendant's conviction of second-degree weapon possession and ordered a new trial on that count (81 AD3d 665 [2011]). A Judge of this Court granted

the People leave to appeal, and we now reverse. We see no reasonable view of the evidence on which defendant did not, while possessing a firearm, at least intend to commit the crime of menacing. His statements amount to a confession that he intentionally committed that crime.

Menacing in the second degree is committed by one who “intentionally places or attempts to place another person in reasonable fear of physical injury, serious physical injury or death by displaying a deadly weapon” (Penal Law § 120.14 [1]). That is exactly what defendant did when, by his own account, he showed Baker a gun “to scare him.” Defendant argues that he could have asserted a justification defense to a menacing charge, but no reasonable view of the evidence supports that conclusion.

Otherwise criminal conduct is justifiable when it

“is necessary as an emergency measure to avoid an imminent public or private injury which is about to occur . . . which is of such gravity that, according to ordinary standards of intelligence and morality, the desirability and urgency of avoiding such injury clearly outweigh the desirability of avoiding the injury sought to be prevented by the statute defining the offense in issue” (Penal Law § 35.05 [2]).

Defendant claimed that he tried to “scare” Baker because the men had started to tussle and defendant wanted “to back him off me.” Frightening a man with a gun is not a justified “emergency measure” for ending a tussle, or a fistfight. It would be justified in defense of one’s own life, but defendant never said that he was afraid, during their encounter, that Baker would kill him, or even that he believed that Baker had a weapon. It was defendant himself who sought out the confrontation, who pressed Baker to admit to making threats against him, and who “grabbed him” when Baker, while crowding defendant physically, refused to repeat his threats. Nothing in the record supports a reasoned conclusion that defendant was so frightened by the threats he had heard earlier in the day that he thought he would be killed or gravely harmed if he did not scare Baker off.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, defendant’s conviction of criminal possession of a weapon in the second degree reinstated and the case remitted to the Appellate Division for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]).

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[968 NE2d 433, 945 NYS2d 196]

ESTATE OF ROBERT E. BECKER, Deceased, Appellant, et al.,
Plaintiffs, v OWEN J. MURTAGH et al., Respondents.

Argued February 16, 2012; decided April 3, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 20, 2010. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, a judgment of the Supreme Court, Suffolk County (Joseph C. Pastorella, J.; see op 2008 NY Slip Op 32276[U] [2008]), which had (a) declared that plaintiff estate had established title by adverse possession to a disputed strip of land and dock, (b) declared that easements recorded by Robert E. Becker with the Suffolk County Clerk on May 19, 2005 were valid and binding, (c) directed defendants to remove obstructions on the subject parcel and to restore the boardwalk and dock to their condition at the time of the preliminary injunction issued on January 4, 2006, and (d) denied defendants' motion for summary judgment dismissing the complaint and for summary judgment granting their first, second and third counterclaims; (2) granted defendants' motion for summary judgment, in effect, declaring that plaintiffs had no rights to the disputed property, that the easements recorded by Robert E. Becker were invalid and void, and compelling plaintiffs to remove a certain dock and boardwalk from the subject property; (3) denied plaintiffs' cross motion for summary judgment; and (4) declared that plaintiffs had no rights in the disputed property and that the easements recorded by Robert E. Becker were invalid and void.

Estate of Becker v Murtagh, 75 AD3d 575, reversed.

HEADNOTES

Adverse Possession — Hostile Possession — Claim of Right between Friendly Neighbors — Possession and Use Adverse to Owner's Interest

1. In an action by plaintiff estate to establish title by adverse possession to a parcel of beachfront property which a survey determined to be located on adjoining property leased by defendants, plaintiff established, by clear and convincing evidence, that the claim of its decedent was "hostile" to the rights of defendants' predecessors. While plaintiff's decedent and defendants' predecessors were friendly for many years, the evidence established that plaintiff's decedent's possession and use of the disputed property was under a claim of right and adverse to defendants' predecessors interests. Plaintiff's decedent

constructed and maintained, during the applicable statutory period, a boardwalk and dock on the parcel and restricted access thereto when the general public attempted to use it. There was no indication that plaintiff's decedent's possession was with defendants' predecessors' consent or permission, nor did anyone ever question or object to plaintiff's decedent's possession and improvement of the property. Most significantly, one of defendant's predecessors averred that she believed that the dock and boardwalk were on plaintiff's decedent's lot, and she did not know until the survey that the entire dock and part of the boardwalk were actually on her adjoining lot. Furthermore, the adjoining landowners' mutual mistake did not negate the hostility element of adverse possession.

Adverse Possession — What Constitutes — Exclusive Possession — Limiting Access to Friends and Neighbors

2. In an action by plaintiff estate to establish title by adverse possession to a parcel of beachfront property which a survey determined to be located on adjoining property leased by defendants, plaintiff established, by clear and convincing evidence, that its decedent exercised exclusive possession and control of the property. To establish the "exclusivity" element of adverse possession, the adverse possessor must alone care for or improve the disputed property as if it were his/her own. Although plaintiff's decedent permitted certain friends and neighbors access to the dock and boardwalk, he did not grant such access to the general public; and the use of the dock and boardwalk by his friends and neighbors—in the form of a right-of-way—was different in scope than his construction, maintenance and control of the boardwalk and dock on the parcel. That plaintiff's decedent's friends and neighbors, including defendants' predecessors, freely used the dock and boardwalk without seeking explicit permission does not negate plaintiff's decedent's exclusive possession and control of the property. Further, although one of defendant's predecessors allowed several neighbors, including the plaintiffs' predecessors, to use the beach on her adjoining lot, she, for more than 20 years until the survey was performed, was under the impression that the dock and boardwalk, and the land upon which those structures sat, were entirely on plaintiff's decedent's lot; thus, she could not affect his exclusive possession of the disputed property.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adverse Possession §§ 43–46, 53–56, 67, 68, 72, 293, 294, 296, 306.

NY JUR 2d, Adverse Possession §§ 31–34, 38, 51, 52, 110.

NEW YORK REAL PROPERTY SERVICE §§ 10:8, 10:10, 10:13.

ANNOTATION REFERENCE

See ALR Index under Adverse Possession.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: adverse /2 possession & hostil! /s neighbor /4 friend!

POINTS OF COUNSEL

Margolin & Pierce, LLP, New York City (*Philip Pierce* and *Errol F. Margolin* of counsel), for appellant. I. The Second Department misapplied the law in such a way as to make it impossible for the standard for adverse possession to be met and in a way that conflicts with Court of Appeals' precedent and rulings in this and other departments. (*Gerlach v Russo Realty Corp.*, 264 AD2d 756; *H.S. Farrell, Inc. v Formica Constr. Co., Inc.*, 41 AD3d 652; *Hancock v Estate of Hancock*, 15 AD3d 620; *Monnot v Murphy*, 207 NY 240; *Myers v Bartholomew*, 91 NY2d 630; *Hassinger v Kline*, 91 AD2d 988; *Carman v Hewitt*, 280 App Div 866, 305 NY 718; *Robarge v Willett*, 224 AD2d 746; *Sinicropi v Town of Indian Lake*, 148 AD2d 799; *Brand v Prince*, 35 NY2d 634.) II. The Second Department decision disposes of the claim that Robert Becker had acquired the Jetty Parcel pursuant to the doctrine of practical location based on case law which in no way supports that result and is in conflict with decisions of this Court and those of the Third Department. (*Wentworth v Braun*, 78 App Div 634, 175 NY 515; *Markowski v Ferrari*, 174 AD2d 793; *Katz v Kaiser*, 154 NY 294; *Baldwin v Brown*, 16 NY 359; *Hazen v Hazen*, 26 AD3d 696; *Riggs v Benning*, 290 AD2d 716; *Konchar v Leichtman*, 35 AD2d 890; *Fisher v MacVean*, 25 AD2d 575; *Bell v Hayes*, 60 App Div 382; *Corning v Troy Iron & Nail Factory*, 44 NY 577.)

Cahn & Cahn, LLP, Huntington (*Daniel K. Cahn* of counsel), for respondents. I. The Appellate Division properly found that the Estate of Robert E. Becker failed to prove its claim of adverse possession to the disputed "jetty parcel" by clear and convincing evidence. (*Brand v Prince*, 35 NY2d 634; *DuMaurier v Lindsay-Bushwick Assoc., L.P.*, 39 AD3d 460; *Fitzgerald v Conroy*, 15 AD3d 534; *MAG Assoc. v SDR Realty*, 247 AD2d 516; *Guariglia v Blima Homes*, 89 NY2d 851; *Van Gorder v Masterplanned, Inc.*, 78 NY2d 1106; *Orsetti v Orsetti*, 6 AD3d 683; *Hassinger v Kline*, 91 AD2d 988; *Walling v Przybylo*, 7 NY3d 228; *Friedman v Sills*, 112 AD2d 343.) II. The boundary line between lots 29 and 30 was not established by the doctrine of practical location. (*Riggs v Benning*, 290 AD2d 716; *McMahon v Thornton*, 69 AD3d 1157; *Hazen v Hazen*, 26 AD3d 696; *Markowski v Ferrari*, 174 AD2d 793.)

OPINION OF THE COURT

JONES, J.

The primary question before the Court is whether plaintiff Estate of Robert E. Becker (plaintiff estate) established that its

decendent acquired title to a certain parcel of land by adverse possession. We hold that it has.

I.

This appeal stems from a dispute over the ownership of the land upon which a boardwalk and dock—constructed by Robert E. Becker (now deceased) on Oak Beach in the Town of Babylon (the Town), Suffolk County—sit. Plaintiff estate is the lessee of a beachfront lot (lot 29) on Oak Beach. Defendants are the lessees of lot 30, an adjacent beachfront lot. Plaintiffs Christopher K. O'Hara, Edward J. O'Hara and Douglas C. Koelsch lease neighboring lots (lots 14 and 15) which are situated north of (behind) lots 29 and 30, not on the beachfront. Messrs. O'Hara are lessees of lot 14, and Mr. Koelsch is the lessee of lot 15. Lots 14 and 15 are separated from the beach by the homes of plaintiff estate and defendants. The homes on all of the lots involved are privately owned, but the lots are owned by the Town, which leases the real property to the occupants pursuant to long-term leases set to expire in 2050.¹

In the early 1960s (around 1963), the homeowners on the beachfront lots, at the Town's behest and at their own cost and expense, had wooden jetties constructed on said lots to inhibit beach erosion. The jetties appeared to be built on the lot boundary lines. Shortly after the construction of the jetty that purportedly marked the boundary line between lots 29 and 30 (within the next two years), Robert E. Becker erected a four-foot dock using the jetty for support. He later added an extension to an existing boardwalk to reach the dock.

The evidence establishes that from around 1963 until 1984, Mr. Becker exercised exclusive dominion and control over the land upon which the dock and boardwalk extension are located. In addition, during that period, Mr. Becker and defendants' predecessor Nancie Gordon, as well as other neighbors, believed those structures were located on lot 29. Throughout this period, Mr. Becker alone maintained (e.g., repaired and painted) the

1. The Town's ultimate ownership interest in the lots at issue is not addressed by the parties. In any event, our resolution of plaintiff estate's adverse possession claim has no bearing on the Town's interest (*cf.* RPAPL former 531; *Spiegel v Ferraro*, 73 NY2d 622 [1989] [use of easement by lessee of servient estate was not an assertion of an interest hostile to lessor; such use would be presumed to inure to lessor's benefit upon expiration of lessee's tenancy]).

dock and boardwalk. Further, starting in the early to mid 1960s, Mr. Becker impliedly permitted several neighbors, including the Gordons, the O'Haras and Mr. Koelsch, and their families and friends, to freely use the dock and boardwalk. However, Mr. Becker did not allow strangers access to or use of these structures. The record also shows that since the early 1960s, Nancie Gordon permitted several neighbors, including the plaintiffs' predecessors, to use her family's beach on lot 30. Mr. Becker's boardwalk was used to access the Gordon beach on lot 30.

In 1984, Nancie Gordon had her property surveyed. The survey indicated that the jetties were misaligned by approximately five feet. She averred in an affidavit that

“[a]s a result of that survey, I learned, among other things, that a portion of the boardwalk and the entire dock that Mr. Becker had constructed some years earlier, were actually located on my property . . . I showed the survey to Mr. Becker, and he and I had a good laugh about it.”

Nancie Gordon further stated that “[a]s a neighborly accommodation and because I was friendly with the Beckers, I allowed them to continue to use the boardwalk and dock as they always had, even though everybody knew that those structures were located on my property.”

In 2004, Nancie Gordon sold her house on lot 30 to defendants and assigned her leasehold interest in that property to them. Defendants subsequently advised plaintiffs (Mr. Becker, Messrs. O'Hara and Mr. Koelsch) they were no longer allowed to use the boardwalk, dock or beach (on lot 30).

In March 2005, plaintiffs commenced this declaratory judgment action. Mr. Becker sought, inter alia, a judgment declaring that he established title by adverse possession to the property on which the boardwalk and dock are located. Mr. Koelsch and Messrs. O'Hara sought, inter alia, a judgment declaring that they acquired an easement by prescription for use of the boardwalk, dock and beach.

In April 2006, Supreme Court issued a preliminary injunction enjoining defendants from interfering with plaintiffs' use of the subject boardwalk, dock and beach. Subsequently, in May 2006, Mr. Becker recorded two easements with the Suffolk County Clerk by which he purported to grant to the other plaintiffs the right to use the boardwalk and dock in order to access the beach

on lot 30. In or around August 2006, defendants answered plaintiffs' complaint and interposed counterclaims seeking a judgment declaring that plaintiffs have no interest in the disputed property, a judgment voiding the easements, and damages.²

In March 2009, defendants moved for, among other things, summary judgment on their counterclaims. Defendants relied in part on Nancie Gordon's affidavit in which she states that before the 1984 survey, "Becker's use of the dock and boardwalk could not have been hostile to [her] interests because [she] did not even know that those structures were located on [her] property." Plaintiffs cross-moved for summary judgment on their respective adverse possession and prescriptive easement claims.

Supreme Court granted plaintiffs summary judgment. The Appellate Division, Second Department reversed, granted summary judgment to the defendants and declared that the plaintiffs had no rights in the disputed property (75 AD3d 575 [2d Dept 2010]). With respect to plaintiff estate's claims, the court held that Mr. Becker's possession was neither hostile nor exclusive because defendants' predecessors freely used the boardwalk and dock during the period of time plaintiff estate asserts its adverse possession claim ripened into title. The court, stating that there was no proof of a clear demarcation of a boundary line, also rejected plaintiff estate's claim that the doctrine of practical location of a boundary line was applicable. This Court granted plaintiff estate leave to appeal (16 NY3d 707 [2011]), and we now reverse the Appellate Division order insofar as appealed from.³

II.

"Where there has been an actual continued occupation of premises under a claim of title, exclusive of any other right, but not founded upon a written instrument or a judgment or decree, the premises so actually occupied, and no others, are deemed to

2. Over the next few years, the parties engaged in a prolonged discovery dispute and extensive motion practice. In addition, Mr. Becker passed away on August 28, 2007, and the action was temporarily stayed. By stipulation, so ordered on February 1, 2008, Mr. Becker's estate was substituted as plaintiff.

3. The other plaintiffs' prescriptive easement claims are not before us; they did not pursue a timely appeal from the Appellate Division order.

have been held adversely” (RPAPL former 521).⁴ To establish a claim of adverse possession, the occupation of the property must be (1) hostile and under a claim of right (i.e., a reasonable basis for the belief that the subject property belongs to a particular party), (2) actual, (3) open and notorious, (4) exclusive, and (5) continuous for the statutory period (at least 10 years) (*see Walling v Przybylo*, 7 NY3d 228, 232 [2006]; *Ray v Beacon Hudson Mtn. Corp.*, 88 NY2d 154, 159 [1996]; *see also Belotti v Bickhardt*, 228 NY 296, 302 [1920]). The character of the possession must be such “that [it] would give the owner a cause of action in ejectment against the occupier” (*Brand v Prince*, 35 NY2d 634, 636 [1974]). In addition, where, as here, the claim of right is not founded upon a written instrument, the party asserting title by adverse possession must establish that the land was “usually cultivated or improved” or “protected by a substantial inclosure” (RPAPL former 522). Because the acquisition of title by adverse possession is not favored under the law, these elements must be proven by clear and convincing evidence (*see Ray*, 88 NY2d at 159; *Van Valkenburgh v Lutz*, 304 NY 95, 98 [1952]). The only elements substantially in dispute here are the “hostility” and “exclusivity” elements.

A party claiming title by adverse possession “is not required to show enmity or specific acts of hostility in order to establish the element of hostility” (*Greenberg v Sutter*, 257 AD2d 646, 646 [2d Dept 1999]). This element is satisfied where an individual asserts a right to the property that is “adverse to the title owner and also in opposition to the rights of the true owner” (*Walling*, 7 NY3d at 232-233; *see Monnot v Murphy*, 207 NY 240, 245 [1913] [“The ultimate element in the rise of a title through adverse possession is the acquiescence of the real owner in the exercise of an obvious adverse or hostile ownership through the statutory period”]).

A rebuttable presumption of hostility arises from possession accompanied by the usual acts of ownership, and this presumption

4. In 2008, the adverse possession statute (RPAPL art 5) was amended in its entirety (L 2008, ch 269) to, among other things, discourage people from claiming adverse possession over real property they know belongs to another with superior ownership rights. Among the changes, the Legislature defined the terms “adverse possessor,” “acquisition of title,” and “claim of right” (RPAPL 501), and altered the requirements that must be made out where the adverse possession claim is not based on a written instrument (RPAPL 522). The 2008 amendments are not applicable to the instant appeal because Mr. Becker’s title vested (by adverse possession), and this action was instituted, before the effective date of the amendments.

continues until the possession is shown to be subservient to the title of another (*Monnot*, 207 NY at 244; *Levy v Kurpil*, 168 AD2d 881, 883 [3d Dept 1990] [“Where all the elements of adverse possession are established a presumption of hostility arises and the burden shifts to the record owner to produce evidence rebutting the presumption”]). However, hostility is negated by “[s]eeking permission for use from the record owner” (*City of Tonawanda v Ellicott Cr. Homeowners Assn.*, 86 AD2d 118, 124 [4th Dept 1982], *appeal dismissed* 58 NY2d 824 [1983]). Further, where there is a close and cooperative relationship between the record owner and the person claiming title through adverse possession, the presumption of hostility may not apply (*see Hassinger v Kline*, 91 AD2d 988, 989 [2d Dept 1983] [“the neighborly relationship between plaintiffs, their predecessors in title and defendants’ predecessors in title, created an implication that the use of the disputed roadway was permissive”]). Thus, in order to establish the hostility element, the party asserting the adverse possession claim must “come forward with affirmative facts to establish that the use [of the property] was under a claim of right and adverse to the interests of [the true owners]” (*Albright v Beesimer*, 288 AD2d 577, 578 [3d Dept 2001] [internal quotation marks omitted]).

[1] Indeed, the Beckers and Gordons were friendly neighbors for many years, and this fact may render the presumption of hostility inapplicable here; however, the evidence submitted by the parties in support of their respective summary judgment motions firmly establishes that Mr. Becker’s possession and use of the disputed property was under a claim of right and adverse to Nancie Gordon’s interests. It is undisputed that Mr. Becker constructed and maintained, during the applicable statutory period, the boardwalk and dock.⁵ He also restricted access to the boardwalk and dock when the general public attempted to use it. There was never any indication that Mr. Becker’s possession was with defendants’ predecessors’ consent or permission. Nor did anyone ever question or object to Mr. Becker’s possession and improvement of the property. Mr. Koelsch’s deposition testimony implied that he believed that Becker owned the dock. Further, and most significantly, Nancie Gordon averred that (1)

5. Defendants contend there is no admissible evidence in this regard because Robert E. Becker’s affidavit is inadmissible—he died before he was deposed (and meaningfully cross-examined). However, evidence in support of this fact also exists in Nancie Gordon’s affidavit and deposition testimony, and in the deposition testimony of Mr. Becker’s daughter, Lee Ellen Becker.

she believed that the dock and boardwalk were on Mr. Becker's lot, and (2) she did not know until the 1984 survey that the entire dock and part of the boardwalk were actually on lot 30. Finally, Mr. Becker's and Nancie Gordon's mutual mistake does not negate the hostility element (*see Belotti*, 228 NY at 302). Accordingly, plaintiff estate established, by clear and convincing evidence, that Mr. Becker's claim was "hostile" to the rights of defendants' predecessors.

[2] To establish the "exclusivity" element, the adverse possessor must alone care for or improve the disputed property as if it were his/her own (*see Beddoe v Avery*, 145 AD2d 818, 819 [3d Dept 1988]). The focus is on whether the party claiming title by adverse possession exercised exclusive possession and control of the property. Thus, allowing others to use the property does not necessarily negate "exclusivity." When the party claiming adverse possession permits others to use the property, exclusivity exists where the claimant's use of the property is "separate and exclusive from the general use" (*Pirman v Confer*, 273 NY 357, 363 [1937]; *see Pro-Fac Coop. v Baltimore & Ohio R. R. Co.*, 36 AD2d 441, 444 [4th Dept 1971]; *see also Levy*, 168 AD2d at 883 [claimant's use is exclusive to the extent that although others use disputed property, claimant's use is not dependent on the right of others to do so]). But note, "exclusivity" is not established "where [a claimant's] use is in connection with the use of the owner and the general public" (*Pirman*, 273 NY at 363).

Here, plaintiff estate established by clear and convincing evidence that Mr. Becker's possession and use of the property was exclusive because although Mr. Becker permitted certain friends and neighbors access to the dock and boardwalk, he did not grant such access to the general public; and the use of the dock and boardwalk by Mr. Becker's friends and neighbors—in the form of a right-of-way—was different in scope than his construction, maintenance and control of the boardwalk and dock. The fact that Mr. Becker's friends and neighbors, including defendants' predecessors, freely used the dock and boardwalk without seeking explicit permission does not negate Mr. Becker's exclusive possession and control of the property. Further, although there is evidence that Nancie Gordon—since the early 1960s—allowed several neighbors, including the plaintiffs' predecessors, to use the beach on lot 30, she, from around 1963 through 1984, was under the impression that the dock and boardwalk, and the land upon which those structures sit, were

entirely on Mr. Becker's lot (lot 29); thus, she could not affect Mr. Becker's exclusive possession of the disputed property.

In conclusion, the evidence that Mr. Becker possessed, used and controlled the disputed land—for the 21 years prior to and including 1984—is sufficient to establish title by adverse possession and grant summary judgment in plaintiff estate's favor.

III.

Because we hold that plaintiff estate established its adverse possession claim, we need not determine whether it acquired title to the disputed property pursuant to the doctrine of practical location.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the judgment of Supreme Court reinstated to the extent it grants relief to appellant Estate of Robert E. Becker.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order, insofar as appealed from, reversed, etc.

[968 NE2d 956, 945 NYS2d 602]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent-Appellant,
v CHRISTOPHER PERINO, Appellant-Respondent.

Argued February 9, 2012; decided March 29, 2012

SUMMARY

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 17, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (James M. Kandler, J.), which had convicted defendant, after a nonjury trial, of perjury in the first degree (three counts) and perjury in the third degree, and sentenced defendant to an aggregate term of four months' imprisonment, concurrent with five years' probation. The modification consisted of reducing the conviction of perjury in the first degree under the third and fourth counts of the indictment to perjury in the third degree, and, as a matter of discretion in the interest of justice, reducing each term of imprisonment to two months. The Appellate Division affirmed the judgment as modified.

People v Perino, 76 AD3d 456, affirmed.

People v Perino, 76 AD3d 456, appeal by People dismissed.

HEADNOTES

Crimes — Appeal — Matters Appealable — Determination Based on Review of Facts

1. The People's appeal to the Court of Appeals from part of an Appellate Division order, which reduced defendant former police officer's convictions from perjury in the first degree to perjury in the third degree on the grounds that defendant's false sworn statement was not material to the shooting prosecution in which defendant testified (*see* Penal Law § 210.15 [b]), was dismissed since the Appellate Division's determination rested on a review of the facts. The Appellate Division found that although the evidence was legally sufficient to establish defendant's intent to commit perjury, the two answers defendant provided in the shooting prosecution where he falsely denied interrogating the suspect about the gun used in the shooting were not material since they were too narrow in scope and unrelated to the question of whether the shooting suspect's post-interrogation statement to his mother, "He wants to know why I shot him," was voluntary. Under CPL 450.90 (2) (a) it could not be said that Appellate Division's modification was "on the law alone or upon the law and such facts which, but for the determination of law, would have led to . . . modification."

Crimes — Perjury — Materiality of False Statements — Suppression Hearing

2. In a prosecution charging defendant former police officer with perjury in the first degree based on defendant's testimony during a shooting prosecution

that he did not question the shooting suspect when they were alone, the evidence was sufficient to support a finding that defendant's statement was material at the shooting suspect's trial. After defendant interrogated the shooting suspect, the suspect told his mother, "He wants to know why I shot him." At a pretrial hearing in the shooting case the court ruled that the suspect's statement was admissible as a spontaneous declaration. Throughout the shooting trial the defendant falsely denied ever interrogating the shooting suspect despite introduction of a transcript of the interrogation obtained from a recording. While defendant contended that the issue of the spontaneous declaration was only an issue at the suppression hearing before the interrogation transcript had been introduced and consequently none of his testimony could have been material to the issues actually litigated at trial, the admissibility of the spontaneous declaration at trial did not preclude defense counsel from inquiring into the circumstances surrounding it. Nothing "precludes a defendant from attempting to establish at a trial that evidence introduced by the People of a pre-trial statement made by him should be disregarded by the jury or other trier of the facts on the ground that such statement was involuntarily made" (CPL 710.70). Consequently, the statement made by defendant that he never questioned the shooting suspect was material to the shooting suspect's trial since it was relevant to the jury's determination whether the suspect's statement to his mother was truly spontaneous and voluntary or whether it was triggered by police conduct that could reasonably have been anticipated to evoke such a statement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 625, 627, 646, 647; AM JUR 2d, Perjury §§ 3, 27, 28, 34.
CARMODY-WAIT 2d, Pretrial Motions §§ 189:240, 189:270;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:132, 207:159.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.3,
27.5.
MCKINNEY'S, CPL 450.90 (2) (a); 710.70.
NY JUR 2d, Criminal Law: Procedure §§ 3508, 3509, 3587,
3588, 3596, 3638; NY JUR 2d, Criminal Law: Substantive
Principles and Offenses §§ 1469, 1471, 1479.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Exclusion and
Suppression of Evidence; Perjury.

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POINTS OF COUNSEL

Hogan Lovells US LLP, New York City (*Ira M. Feinberg*, *Robert B. Buehler* and *Andrew J. Sein* of counsel), for appellant-respondent. I. Christopher Perino's false testimony was not

material as a matter of law, and thus cannot support his conviction of perjury in the first degree. (*People v Davis*, 53 NY2d 164; *People v Samuels*, 284 NY 410; *Wood v People*, 59 NY 117; *People v Stanard*, 42 NY2d 74; *People v Monaco*, 32 AD3d 241; *People v Tyler*, 62 AD2d 136; *People v Clemente*, 285 App Div 258, 309 NY 890; *People v Ortiz*, 40 AD3d 374; *United States v Parr-Pla*, 549 F2d 660; *People v Rao*, 73 AD2d 88.) II. The evidence was insufficient to establish Christopher Perino's intent to testify falsely. (*People v Hattemer*, 4 AD2d 775, 4 NY2d 835; *People v Tyler*, 46 NY2d 251; *People ex rel. Hegeman v Corrigan*, 195 NY 1; *People v Lombardozi*, 35 AD2d 528, 30 NY2d 677; *People v Monaco*, 32 AD3d 241; *People v Dwyer*, 234 AD2d 942; *People v Loughlin*, 66 NY2d 633; *People v Pena*, 50 NY2d 400; *Chavez v Martinez*, 538 US 760; *People v Samuels*, 284 NY 410.)

Robert T. Johnson, District Attorney, Bronx (*Christopher J. Blira-Koessler* and *Joseph N. Ferdenzi* of counsel), for respondent-appellant. I. The Appellate Division erroneously reduced defendant's convictions for perjury in the first degree to perjury in the third degree. (*People v Ianniello*, 36 NY2d 137; *People v Stanard*, 42 NY2d 74; *People v Samuels*, 284 NY 410; *People v Courtney*, 94 NY 490; *People v Davis*, 53 NY2d 164; *People v Cabey*, 85 NY2d 417; *People v Bleakley*, 69 NY2d 490; *People v Cefaro*, 23 NY2d 283.) II. Defendant's guilt of perjury in the first degree was proven by overwhelming evidence. (*Bronston v United States*, 409 US 352; *People v Neumann*, 51 NY2d 658; *People v Davis*, 53 NY2d 164; *People v Tyler*, 46 NY2d 251; *People v Pomerantz*, 46 NY2d 240; *People v Schenkman*, 46 NY2d 232; *Missouri v Seibert*, 542 US 600; *People v Dwyer*, 234 AD2d 942; *People v Goldman*, 21 NY2d 152; *Rhode Island v Innis*, 446 US 291.)

OPINION OF THE COURT

FIGOTT, J.

Defendant, a former member of the New York City Police Department, was charged with 12 counts of perjury in the first degree (Penal Law § 210.15). The charges arose after defendant falsely answered questions posed to him on cross-examination during the criminal trial of Erik Crespo. Defendant was the lead investigator in the case against Crespo, who was suspected of shooting and severely injuring another man in the Bronx. Defendant questioned Crespo inside a precinct interrogation room regarding the shooting. Among other questions, defendant asked

Crespo where he procured the gun used in the shooting and what he did with it. During this interrogation, which lasted approximately 80 minutes, defendant never read Crespo his *Miranda* warnings. Crespo answered defendant's questions and confessed to the shooting. Unbeknownst to defendant, Crespo had recorded the entire interrogation on his MP3 player.

After the interrogation, defendant allowed Crespo's mother and aunt into the interrogation room. Crespo then told his mother, "He wants to know why I shot him." The admissibility of this statement was at issue at a pretrial hearing in the *Crespo* case; the court ruled that it was admissible as a spontaneous declaration.

At Crespo's trial, defense counsel, who had, by then transcribed the recorded interrogation, asked defendant numerous questions regarding the interrogation. As relevant to this appeal, defendant testified as follows:

"[QUESTION:] Now, you also said on direct examination that you never asked [Crespo] any questions when you were alone with him in the room on December 31, 2005; isn't it true?

"[ANSWER:] That's correct. He wasn't questioned

"[QUESTION:] Did you ever ask him, 'where did you get the gun?'

"[ANSWER:] No, Sir.

"[QUESTION:] Did you ever ask him, 'what did you do with the gun?'

"[ANSWER:] No, Sir."

Throughout the Crespo trial, defendant denied ever interrogating Crespo about the shooting. He testified that the only statement made by Crespo was his spontaneous statement to his mother. When confronted with a transcript of the entire interrogation, defendant denounced the transcript as a fabrication. Because of defendant's false testimony at Crespo's trial, the People agreed to a reduced plea offer for Crespo.

A bench trial was held on the perjury charges against defendant. He was found guilty of three counts of perjury in the first degree and of one count of perjury in the third degree.

As relevant to this appeal, the Appellate Division modified (76 AD3d 456 [1st Dept 2010]), by finding that although the

evidence was legally sufficient to establish defendant's intent to commit perjury, the two answers pertaining to the gun were not material to the Crespo prosecution (*id.* at 460). Thus, it reduced the convictions on those two counts of perjury in the first degree to perjury in the third degree, and affirmed as to the other counts on which defendant was convicted (*id.*).

A Judge of this Court granted the People and defendant leave to appeal (16 NY3d 834 [2011]). Their primary contentions concern whether defendant's statements were material to the *Crespo* action.

A necessary element of perjury in the first degree is that the false sworn statement be material to the proceeding in which it is given (Penal Law § 210.15 [b]). Materiality is typically a question of fact for the jury (*see People v Davis*, 53 NY2d 164 [1981]; *see also People v Ianniello*, 36 NY2d 137 [1975]).

“To be material, the statement need not prove directly the fact in issue; it is sufficient if it is ‘circumstantially material or tends to support and give credit to the witness in respect to the main fact’ . . . Thus a statement that ‘reflect[s] on the matter under consideration’ . . . even if only as to the witness’ credibility . . . is material for purposes of supporting a perjury charge” (*Davis*, 53 NY2d at 170-171).

At defendant's trial, the People argued that all of defendant's false testimony was material for two reasons; it went to the spontaneity and voluntariness of Crespo's statement to his mother and it went to the defendant police detective's credibility. The People called one of the prosecutors at the Crespo trial to testify as to its materiality in the *Crespo* case.

[1] On their appeal, the People contend that the Appellate Division erred when it found the two questions concerning the gun “too narrow in scope and unrelated to the question of whether Crespo made a voluntary statement to his mother” and reduced the convictions related to those counts to perjury in the third degree (*Perino*, 76 AD3d at 460). That determination rested on a review of the facts. Therefore, it cannot be said that the modification was “on the law alone or upon the law and such facts which, but for the determination of law, would have led to . . . modification” (CPL 450.90 [2] [a]). Consequently, the People's appeal from that portion of the Appellate Division order must be dismissed.

[2] On defendant's appeal, we address the part of the Appellate Division order that affirmed as to the other counts on which defendant was convicted, including the count of perjury in the first degree based upon defendant's statement that he did not question Crespo when they were alone. Defendant argues that the admissibility of Crespo's spontaneous statement was not at issue in the Crespo trial; rather, according to defendant, it was an issue at the suppression hearing and defense counsel did not introduce the transcript then. Thus, defendant argues that none of his testimony could have been material to the issues actually being litigated. Defendant's argument overlooks the fact that the statement's admissibility at the trial does not preclude defense counsel from inquiring into the circumstances surrounding it. Nothing "precludes a defendant from attempting to establish at a trial that evidence introduced by the [P]eople of a pre-trial statement made by him should be disregarded by the jury or other trier of the facts on the ground that such statement was involuntarily made" (CPL 710.70).

Therefore, we agree with the Appellate Division that the evidence was sufficient to support the finding that the statement made by defendant that he never questioned Crespo was material to the Crespo trial. More specifically, it was relevant to the jury's determination on whether Crespo's statement to his mother was truly spontaneous and voluntary or whether it was triggered by police conduct that could reasonably have been anticipated to evoke such a statement (*see People v Lynes*, 49 NY2d 286, 295 [1980]).

Defendant's contention that the evidence was insufficient to prove intent is not preserved for our review. His further assertion that the statements were a result of a perjury trap is without merit.

On defendant's appeal, the order of the Appellate Division, insofar as appealed from, should be affirmed. The People's appeal should be dismissed upon the ground that the Appellate Division modification was not "on the law alone or upon the law and such facts which, but for the determination of law, would not have led to . . . modification" (CPL 450.90 [2] [a]).

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

On defendant's appeal, order, insofar as appealed from, affirmed. People's appeal dismissed, etc.

[968 NE2d 960, 945 NYS2d 606]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEBRA
PAGAN, Appellant.

Argued February 16, 2012; decided April 3, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 14, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Marcy L. Kahn, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the second degree, criminal possession of a weapon in the third degree, assault in the third degree and menacing in the second degree.

People v Pagan, 81 AD3d 86, affirmed.

HEADNOTES

Crimes — Instructions — Mistake of Fact Instruction Not Available in Robbery Prosecution

1. In a prosecution for attempted robbery and related crimes stemming from an incident in which defendant attacked a cabdriver and produced a knife in an effort to take \$16 from him, allegedly under a mistaken belief that the \$16 belonged to the defendant, the trial court did not err in denying defendant's request to instruct the jury on a mistake of fact defense. While it is a defense to larceny "that the property was appropriated under a claim of right made in good faith" (Penal Law § 155.15 [1]), the application of a claim of right defense in the robbery context is limited so that a jury instruction concerning a claim of right defense may not be given in a robbery case. Further, the mistake of fact defense and the claim of right defense may overlap, such that the defenses are identical, depending on the underlying facts. Insofar as defendant's claim of right defense involved the claim that defendant mistakenly believed that the \$16 was her own, it was also a mistake of fact defense, because it amounted to the claim that defendant's "factual mistake negatives the culpable mental state required for the commission of [the] offense" (Penal Law § 15.20 [1] [a]). The mistake of fact defense, like the identical claim of right defense, is not applicable when the crime involves taking money by force to satisfy a preexisting debt, and no jury instruction concerning that mistake of fact defense is permissible in a robbery case, regardless of the nature of the property taken.

Crimes — Instructions — Negative Claim of Right Instruction

2. In a prosecution for attempted robbery and related crimes stemming from an incident in which defendant attacked a cabdriver and produced a knife in an effort to take \$16 from him, allegedly under a mistaken belief that the \$16 belonged to the defendant, the trial court properly charged the jury that a claim of right was not a defense to the robbery charges. Generally, the law considers a defendant who believes that he or she is owed a sum of money,

and then takes cash in that amount by force, to have committed robbery. A good faith belief that a chattel belongs to the taker would, if credited by the jury, negate the larcenous intent element of robbery. Although currency might be, in essence, chattel if its intrinsic qualities, as opposed to its monetary value, are significant to the defendant, here there was no evidence that the particular bills making up the \$16 had any significance for defendant, or that she could identify them as hers.

Crimes — Robbery — Attempt — Sufficiency of Evidence

3. Defendant's conviction for second-degree attempted robbery stemming from an incident in which she attempted to take money from a cabdriver, allegedly under a mistaken belief that it belonged to her, was supported by legally sufficient evidence. The People met their burden of disproving defendant's mistake of fact defense, which, in the factual setting here, amounted to a claim of right defense. The jury heard evidence that defendant had negotiated a \$4 fare even though she carried \$21; tried to pay the cabdriver the agreed fare from money he had given her as change, after retrieving from him the money she had paid him; scratched and bit the cabdriver in an effort to take money from him; and produced a knife while continuing to demand money. Considering the facts in the light most favorable to the People, the jury could have rationally concluded that defendant had no good faith belief that the bills she tried to take were hers, but was instead trying to take money she knew was another's.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Robbery §§ 18, 63, 66, 77, 78, 81.

CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:59.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY's, Penal Law § 15.20 (1) (a); § 155.15 (1).

NY JUR 2d, Criminal Law: Procedure § 2778; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 322, 983, 984, 1001, 1003.

ANNOTATION REFERENCE

Robbery, attempted robbery, or assault to commit robbery, as affected by intent to collect or secure debt or claim. 88 ALR3d 1309.

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Query: robbery /s claim /3 right /s defense /p jury /3 instruct!

POINTS OF COUNSEL

Legal Aid Society, New York City (*Svetlana M. Kornfeind* and *Steven Banks* of counsel), for appellant. I. The evidence of attempted robbery is legally insufficient where the complainant's

testimony established appellant's good faith but mistaken belief of fact that she was the "owner" of the \$16 held by the complainant, thereby negating the essential element of larcenous intent. (*In re Winship*, 397 US 358; *Jackson v Virginia*, 443 US 307; *Sullivan v Louisiana*, 508 US 275; *People v Contes*, 60 NY2d 620; *People v Green*, 5 NY3d 538; *People v Olivo*, 52 NY2d 309; *People v Zinke*, 76 NY2d 8; *People v Acevedo*, 40 NY2d 701; *People v Rypinski*, 157 AD2d 260; *People v Gudz*, 18 AD3d 11.) II. Appellant was denied her due process right to a fair trial, where (a) the court, over objection, improperly instructed the jury, in its main and supplemental charges, that the law did not permit appellant to use force to take money from another person, even if she honestly believed she was entitled to take money, thereby directing a verdict on the attempted robbery count and nullifying appellant's mistake-of-fact defense, and (b) the court erroneously refused the defense request for a mistake-of-fact charge. (*People v Flynn*, 79 NY2d 879; *People v Lewis*, 64 NY2d 1031; *United States v Gaudin*, 515 US 506; *People v Knowles*, 42 AD3d 662; *In re Winship*, 397 US 358; *People v Williams*, 5 NY3d 732; *Sullivan v Louisiana*, 508 US 275; *People v Rodriguez*, 52 AD3d 399; *People v Simmons*, 15 NY3d 728; *People v Smith*, 79 NY2d 309.)

Cyrus R. Vance, Jr., District Attorney, New York City (Sara M. Zausmer and Gina Mignola of counsel), for respondent. I. The court's charge to the jurors correctly stated the relevant legal principles regarding the element of larcenous intent for attempted second-degree robbery. (*People v Green*, 5 NY3d 538; *People v Reid*, 69 NY2d 469; *People v Watts*, 57 NY2d 299; *People v Gaines*, 83 NY2d 925; *People v Sirico*, 17 NY3d 744; *People v Perry*, 61 NY2d 849; *People v Zona*, 14 NY3d 488; *People v Chesler*, 50 NY2d 203; *People v Fichtner*, 281 App Div 159, 305 NY 864; *United States v Zappola*, 677 F2d 264.) II. The People proved defendant's guilt of attempted second-degree robbery, including the element of larcenous intent, beyond a reasonable doubt. (*People v Danielson*, 9 NY3d 342; *People v Cabey*, 85 NY2d 417; *People v Acosta*, 80 NY2d 665; *People v Contes*, 60 NY2d 620; *People v Castillo*, 47 NY2d 270; *People v Dordal*, 55 NY2d 954; *People v Hines*, 97 NY2d 56; *People v Malizia*, 62 NY2d 755; *People v Montanez*, 41 NY2d 53; *People v Green*, 5 NY3d 538.)

OPINION OF THE COURT

PIGOTT, J.

In this appeal, we address the relation between a claim of right defense and a mistake of fact defense in the second-degree

robbery context. We conclude that, in the circumstances of this case, the two defenses are equivalent.

I.

The incident underlying this appeal occurred after defendant Debra Pagan hailed a livery cab from a bus stop at 116th Street and Madison Avenue, in Manhattan. Defendant asked the cabdriver to take her to 109th Street and Lexington Avenue, and she told him that she had only four dollars on her. Although a minimum fare of six dollars applied in the area, the cabdriver agreed to the lower amount, because defendant appeared ill.

There then ensued a rather bizarre series of cash transactions. When they arrived at the requested destination, defendant gave the cabdriver a dollar bill and a \$20 bill (this from the person who had said she had only four dollars for the trip). The cabdriver returned the dollar to defendant, telling her that he did not need it to make change. He then gave her \$16 in change. Defendant insisted that she was entitled to \$17 in change. The cabdriver pointed out to defendant that he had returned the dollar she had given him, before giving her the correct change from \$20.

Defendant demanded that the cabdriver return the \$20 bill, which he did. Then, instead of returning the \$16 change and restarting the transaction, defendant offered the cabdriver \$4 from the \$16 he had given her as change. The cabdriver refused to take the money, telling defendant that she was paying him from his own money. Defendant replied that the cabdriver was confusing her, and took the \$4 back. She now had her money and the cabdriver's money.

At this time, the security locks on the livery cab were active, preventing defendant from leaving the car. The cabdriver asked defendant to return the \$16 he had given her, offering to forgive the \$4 she owed him. Defendant refused; but, when the cabdriver told defendant that he would take her to the police precinct, she placed the \$16 on the console between the front seats, and the cabdriver then unlocked the doors. However, defendant refused to leave the cab, accusing the cabdriver of stealing from her.

The cabdriver began to drive to the nearest police precinct. He had the \$16 in his right hand. There was no partition between the front and rear seats of the livery cab. Defendant leaned forward and tried to grab the \$16, scratching and biting

the cabdriver's hand in the process. The cabdriver held on to the money.

At the corner of 107th Street and Lexington Avenue, the cabdriver stopped the car. Defendant said to the cabdriver, "Now you're going to see." She pulled out a knife, and demanded the money back. Seeing two police officers, the cabdriver attracted their attention, telling them that his passenger had a knife. When the officers approached the cab, defendant was in the back seat, clutching a knife.

Defendant was arrested and subsequently indicted on charges of attempted robbery in the first degree, attempted robbery in the second degree, criminal possession of a weapon in the third degree, assault in the third degree, and menacing in the second degree. She proceeded to a jury trial in Supreme Court.

II.

Defendant did not testify or call any witnesses. At the close of evidence, defendant moved for dismissal of the attempted robbery counts under CPL 290.10, arguing that the People had failed to prove intent to take another's property. Supreme Court reserved decision on defendant's motion.

During the charge conference, the prosecutor asked Supreme Court to instruct the jury that claim of right is not a defense to robbery. Defense counsel objected to such a negative claim of right instruction, insisting that the defense would not be asking for a claim of right instruction in the first place. Instead, defense counsel requested what she called a mistake of fact instruction, namely that the jury must find defendant not guilty of attempted robbery if it concluded that she had been acting under a mistaken belief that the \$16 in change in fact belonged to her, such that she could not have formed the intent to steal it. Supreme Court denied defendant's request, reasoning that a claim of right instruction would not be permitted, and that there was no distinction in the present case between a claim of right instruction and a mistake of fact instruction. Defense counsel was permitted to argue mistake of fact to the jury, but would have to do so without the support of a jury charge.

In summation, defense counsel argued that defendant had been confused and thought the money she was trying to take was her own. The prosecutor emphasized that defendant had no right to resort to physical force to take money, regardless of whether she believed the money was hers.

Ultimately, Supreme Court gave the negative claim of right instruction, telling the jury that “the law does not permit one person to use force to take money from another person, even where the person doing the taking honestly believes he or she is entitled to the money.” Supreme Court did not give the mistake of fact instruction requested by the defense.

The jury found defendant guilty of all the charges except attempted robbery in the first degree, which count was dismissed on the People’s motion. Supreme Court denied defendant’s motion to dismiss, and defendant was duly convicted of the remaining charges, including attempted robbery in the second degree (Penal Law §§ 110.00, 160.10 [2] [a]).

On appeal, defendant argued that Supreme Court committed reversible error by refusing her requested mistake of fact charge and that the evidence was legally insufficient. The Appellate Division affirmed the judgment of conviction (81 AD3d 86 [1st Dept 2010]). A Judge of this Court granted defendant leave to appeal (16 NY3d 834 [2011]). We now affirm.

III.

[1] Robbery is defined as “forcible stealing” (Penal Law § 160.00); larceny is an element of robbery. Although it is a defense to larceny “that the property was appropriated under a claim of right made in good faith” (Penal Law § 155.15 [1]), our case law has limited the application of that defense to robbery. Forcibly taking the property of another, even when one honestly believes it to be one’s own property “entails the risk of physical or mental injury to individuals” (*People v Reid*, 69 NY2d 469, 476-477 [1987]). Thus, we have held that the claim of right defense may not be raised in a robbery case when a defendant takes money to satisfy a preexisting debt (*id.*). Moreover, we have held that, even when a claim of right defense is permitted, a jury instruction outlining the claim may not be given in a robbery case, “regardless of the nature of the property taken” (*People v Green*, 5 NY3d 538, 545 [2005]).

For these reasons, a jury instruction concerning a claim of right defense would not have been permissible in the present case. Defendant insists, however, that the jury instruction she sought related not to a claim of right, but to the defense of mistake of fact. Under that defense, a person is relieved of criminal liability for conduct that she engages in “under a mistaken belief of fact” if “[s]uch factual mistake negatives the culpable mental state required for the commission of an offense” (Penal Law § 15.20 [1] [a]).

Defendant's argument misapprehends the relation between the claim of right defense and the mistake of fact defense. Depending on the underlying facts, the two defenses may overlap, such that the defenses are identical to one another. Insofar as defendant's claim of right defense involves the claim that defendant had a mistaken belief that the property she tried to take was her own, it is also a mistake of fact defense, because it amounts to the claim that defendant's "factual mistake negatives the culpable mental state required for the commission of [the] offense" (Penal Law § 15.20 [1] [a]), namely larcenous intent. In this factual scenario, the claim of right defense is a specific instance of the more general category of mistake of fact.

A mistake of fact defense, claiming that defendant erroneously but honestly believed that the property she tried to take was hers, is therefore governed by the same case law that restricts a claim of right defense. The mistake of fact defense, like the identical claim of right defense, will not apply when the crime involves taking money by force to satisfy a preexisting debt (*see Reid*, 69 NY2d at 476-477), and no jury instruction concerning that mistake of fact defense is permissible in a robbery case, "regardless of the nature of the property taken" (*People v Green*, 5 NY3d 538, 545 [2005]). It follows that, under *Green*, defendant was not entitled to the jury instruction that she requested on her mistake of fact defense.

IV.

[2] We now turn to the question whether the People were entitled to a negative claim of right charge.

Part of our rationale for disallowing a claim of right defense when a defendant takes money to satisfy a preexisting debt has been that a person cannot have a true claim to bills or other currency, because they are fungible (*see Reid*, 69 NY2d at 476). Generally, the law considers a defendant who believes that he is owed a sum of money, and then takes cash in that amount by force, to have committed robbery. On the other hand, a good faith belief that a chattel belongs to the taker would, if credited by the jury, negate the larcenous intent element of robbery (*Green*, 5 NY3d at 544).

The difference lies in whether defendant may have had a good faith belief that the particular property belonged to him. When a defendant takes a hundred dollars from a debtor by force, without any evidence to suggest that defendant cares about the particular bills making up that hundred dollars,

defendant cannot be said to have a good faith belief that the bills are his own. On the other hand, when a defendant takes a painting, or a car, or a television set, he may have an honest belief that it is his own property he is retrieving.

Currency might be, in essence, chattel if its intrinsic qualities, as opposed to its monetary value, are significant to the defendant, for example if defendant takes what he mistakenly believes to be a Roman coin from his collection or what he incorrectly thinks is a bill he marked with a handwritten poem. One can also conceive of a situation in which cash acquires a chattel-like status, through the circumstances of the taking. A person who sees a burglar emerge from her home carrying what she believes to be bundles of cash she had left under her bed has a claim of right defense if she takes the cash back by force and it turns out that it was not hers.

Here, defendant's mistake of fact or claim of right defense, to prevail, must rest on the theory that the \$16 she attempted to take were, in essence, chattels, not fungible cash. But there was no evidence that the particular bills making up the \$16 had any significance for defendant, or that she could identify them as hers. Those bills were change that the cabdriver produced after defendant gave him \$20. Therefore, Supreme Court's negative claim of right instruction was proper. Consequently, we find that the jury charge contained no error.

V.

[3] Defendant's challenge to the sufficiency of the evidence rests on the argument that the People failed to disprove her mistake of fact defense. As we have noted, that defense, in this factual setting, amounts to a claim of right defense. It is an ordinary, not an affirmative, defense (*People v Chesler*, 50 NY2d 203, 209-210 [1980]), and the burden of disproving it, when raised, is on the People.

Here, the jury heard evidence that defendant had negotiated a \$4 fare even though she carried \$21; tried to pay the cabdriver the agreed fare from money he had given her as change, after retrieving from him the money she had paid him; scratched and bit the cabdriver in an effort to take money from him; and produced a knife while continuing to demand money. Considering the facts in the light most favorable to the People, as we must on a legal sufficiency challenge, the jury could have rationally concluded that defendant had no good faith belief that the bills she tried to take were hers, but was instead trying

to take money she knew was another's. The People met their burden of disproving the defense.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed.

[968 NE2d 983, 945 NYS2d 629]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LEROY WILLIAMS, Appellant.

Argued March 22, 2012; decided April 26, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2011. The Appellate Division affirmed a resentence of the Supreme Court, Bronx County (John W. Carter, J.), which had imposed a term of 13 years, with three years' postrelease supervision and an order of protection.

People v Williams, 84 AD3d 684, affirmed.

HEADNOTE**Crimes — Order of Protection — Duration of Order**

A mandatory period of postrelease supervision (PRS) is included in calculating the maximum expiration date of a determinate sentence of imprisonment for purposes of calculating the duration of an order of protection issued at sentencing under former CPL 530.13 (4). Although that statute, which provided that an order of protection issued at sentencing on a felony conviction shall not exceed "three years from the date of the expiration of the maximum term of . . . a determinate sentence of imprisonment actually imposed" (CPL 530.13 [4] [ii]), was enacted before PRS became a mandatory component of a determinate sentence, a determinate sentence of imprisonment necessarily includes PRS under the clear and unambiguous language of former Penal Law § 70.45 (1) and § 70.00 (6). If the Legislature intended PRS to be wholly distinct from a defendant's determinate sentence, it would not have specified in former Penal Law § 70.45 that a "determinate sentence" encompassed PRS "as a part thereof." Nor would it have described a "determinate sentence of imprisonment" to "include, as a part thereof, a period of [PRS]" in former Penal Law § 70.00 (6). In addition, in order to calculate the maximum expiration date of a defendant's determinate sentence of imprisonment at the time of sentencing, a court should include PRS to account for the possibility that a defendant's term of incarceration may be "held in abeyance" (Penal Law § 70.45 [5] [a]) during the period in which he or she is conditionally released due to "good behavior" (see Penal Law § 70.30 [4] [a]; § 70.40 [1] [b]; Correction Law § 803 [1] [c]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 845, 846.

McKINNEY's, CPL 530.13 (4); Penal Law § 70.00 (6); § 70.45 (1).

NY JUR 2d, Criminal Law: Procedure §§ 3178, 3183.

ANNOTATION REFERENCE

See ALR Index under Parole, Probation, and Pardon.

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Query: order /3 protection /s duration & post-release /2 supervision

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Katharine Skolnick* and *Robert S. Dean* of counsel), for appellant. Because the plain language of CPL 530.13 (4) specifically refers to the prison term's expiration date as the relevant one in setting the order of protection's end-date, the court erred in refusing to modify the order of protection to accord with the statute's express terms. (*Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *People v Paulin*, 17 NY3d 238; *Tompkins v Hunter*, 149 NY 117; *Cahen v Boyland*, 1 NY2d 8; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *People v Smith*, 79 NY2d 309; *Sega v State of New York*, 60 NY2d 183.)

Robert T. Johnson, District Attorney, Bronx (*Justin J. Braun*, *Joseph N. Ferdenzi* and *Karen Swiger* of counsel), for respondent. Given that defendant's "determinate sentence also includes, as a part thereof, an additional period of post-release supervision" (Penal Law former § 70.45 [1]), the Appellate Division correctly held that the running of the final order of protection begins after defendant's postrelease supervision has expired. (*People v Crowley*, 34 AD3d 866, 7 NY3d 924; *People v Goodband*, 291 AD2d 584; *People v Andrickson*, 7 AD3d 725; *People v Lamagna*, 30 AD3d 1052, 7 NY3d 814; *People v Victor*, 20 AD3d 927, 5 NY3d 833; *People v Grice*, 300 AD2d 1005, 99 NY2d 654; *People v Harris*, 285 AD2d 980; *People v Catu*, 4 NY3d 242; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Ruffins v Department of Correctional Servs.*, 701 F Supp 2d 385.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we consider whether "a determinate sentence of imprisonment actually imposed" (former CPL 530.13 [4])

includes the mandatory period of postrelease supervision (PRS) for purposes of calculating the duration of an order of protection issued at sentencing. We hold that it does.

On August 29, 2003, a Bronx County grand jury charged defendant with one count of attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), one count of assault in the first degree (Penal Law § 120.10 [1]) and one count of assault in the second degree (Penal Law § 120.05 [1]) for allegedly stabbing his fiancée in the back and the neck. On May 3, 2006, in full satisfaction of the indictment, defendant pleaded guilty to one count of first-degree assault, a violent felony offense. At the initial sentencing proceeding, Supreme Court imposed a 13-year term of imprisonment. As part of the sentence, the court also ordered that “there will be a full Order of Protection in effect, which will run for three years from the date that [defendant is] released—from the date of the maximum time of incarceration.” The order of protection reflects an expiration date of May 22, 2022.

Supreme Court did not mention PRS during sentencing, although the court’s commitment sheet indicated a three-year PRS term. On direct appeal, the Appellate Division modified the judgment of conviction and sentence by vacating the three-year term of PRS since it was not part of the “oral pronouncement of sentence” and remanding the case for the proper imposition of PRS, and, as so modified, affirmed (*People v Williams*, 44 AD3d 335, 335 [1st Dept 2007]).

Defendant appeared in court for resentencing on May 28, 2008. At that time, Supreme Court orally sentenced defendant to a three-year term of PRS. Prior to this proceeding, however, defendant had moved to amend the order of protection issued at the original sentencing. Defendant argued that the order’s May 22, 2022 expiration date did not take into account the approximately three years of jail time credit that he had accrued prior to his original sentence. Defendant reasoned that since the Department of Correctional Services had calculated the maximum expiration date of his determinate term of imprisonment as August 23, 2016, the order of protection should expire three years later on August 23, 2019. In opposing defendant’s application, the People did not quarrel with defendant’s calculations for jail time credit, but countered that the three-year period of PRS Supreme Court had intended to impose at the original sentencing extended the duration of the order of protection

into 2022. Supreme Court agreed with the People and denied defendant's motion. The Appellate Division unanimously affirmed the judgment of resentencing (see *People v Williams*, 84 AD3d 684, 685 [1st Dept 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 810 [2011]) and we now affirm.

The parties agree that former CPL 530.13 (4), in effect at the time defendant pleaded guilty, is controlling here. That statute, as relevant to this appeal, provided that the duration of an order of protection issued at sentencing “in the case of a felony conviction, shall not exceed the greater of: (i) five years from the date of such conviction, or (ii) three years from the date of the expiration of the maximum term of . . . a *determinate sentence of imprisonment actually imposed*” (emphasis added).¹ Defendant does not dispute that extending the order of protection for three years following the maximum expiration date of his determinate sentence of imprisonment yields the greater of the two duration periods listed in the statute. He simply maintains that the term of PRS should be excluded from this calculation because it is not part of the “determinate sentence of imprisonment actually imposed.” We disagree.

Of course, “[t]he governing rule of statutory construction is that courts are obliged to interpret a statute to effectuate the intent of the Legislature, and when the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used” (*People v Finnegan*, 85 NY2d 53, 58 [1995] [internal quotation marks and brackets omitted]; see also *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). Applying this rule here, we begin by observing that when the Legislature enacted CPL 530.13 (4), PRS was not yet a component of a determinate sentence. This changed, however, when the Legislature amended the Penal Law and introduced PRS to the statutory scheme in 1998 (see L 1998, ch 1, as amended). Specifically, the Legislature enacted Penal Law § 70.45 (1), which then provided that “[e]ach determinate sentence also includes, as a part thereof, an

1. The current version of CPL 530.13 (4) affords even greater protection to victims. It provides that the duration of an order of protection “in the case of a felony conviction, shall not exceed the greater of: (i) eight years from the date of such sentencing, or (ii) eight years from the date of the expiration of the maximum term . . . of a determinate sentence of imprisonment actually imposed.”

additional period of [PRS].”² Moreover, then Penal Law § 70.00 (6) defined “determinate sentence of imprisonment” to “include, as a part thereof, a period of [PRS] in accordance with section 70.45.”

Despite these revisions to the Penal Law, defendant emphasizes that there was no corresponding amendment to former CPL 530.13 (4) referencing PRS. Defendant interprets the Legislature’s inaction in this regard to mean that the Legislature did not intend for PRS to be part of a defendant’s “determinate sentence of imprisonment.” Although defendant’s reading of former CPL 530.13 (4) by itself is not unreasonable, we prefer to harmonize the statutes (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 98). The language of former Penal Law § 70.45 (1) and § 70.00 (6) is clear and unambiguous: a “determinate sentence of imprisonment” necessarily includes PRS (*see People v Catu*, 4 NY3d 242, 244 [2005]). If the Legislature intended PRS to be wholly distinct from a defendant’s determinate sentence, it would not have specified in former section 70.45 of the Penal Law that a “determinate sentence” encompassed PRS “as a part thereof.” Nor would the Legislature have described a “determinate sentence of imprisonment” to “include, as a part thereof, a period of [PRS]” in former section 70.00 (6).

Furthermore, inclusion of PRS in calculating the maximum expiration date of a determinate sentence of imprisonment is appropriate for another reason. A defendant sentenced to a determinate sentence of imprisonment may be conditionally released for “good behavior” after serving at least six-sevenths of the underlying term of incarceration (*see* Penal Law § 70.30 [4] [a]; § 70.40 [1] [b]; Correction Law § 803 [1] [c]). Such a defendant who is conditionally released immediately commences serving the imposed term of PRS and the remaining term of incarceration is “held in abeyance” during this period (Penal Law § 70.45 [5] [a]). A defendant who violates the conditions of PRS may be subject to additional confinement in prison. If this occurs, this period of reincarceration is credited toward the defendant’s remaining unserved term of imprisonment (*id.*; Penal Law § 70.45 [5] [d]). Thus, in order to calculate a defendant’s *maximum* expiration date of his determinate sentence of

2. The Legislature has since amended the language of Penal Law § 70.45 (1). It presently provides that, “[w]hen a court imposes a determinate sentence it shall in each case state not only the term of imprisonment, but also an additional period of [PRS].”

imprisonment at the time of sentencing, a court should include the mandatory period of PRS to account for the possibility that a defendant's term of incarceration may be "held in abeyance" (see *People v Goodband*, 291 AD2d 584, 586 [3d Dept 2002]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[968 NE2d 967, 945 NYS2d 613]

In the Matter of ALBANY LAW SCHOOL et al., Respondents-Appellants, v NEW YORK STATE OFFICE OF MENTAL RETARDATION AND DEVELOPMENTAL DISABILITIES et al., Appellants-Respondents.

Argued March 19, 2012; decided April 26, 2012

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered January 27, 2011. The Appellate Division modified, on the law, an order of the Supreme Court, Albany County (Robert A. Sackett, J.), entered in a combined proceeding pursuant to CPLR article 78 and action pursuant to 42 USC § 1983, which had (1) partially granted respondents/defendants' motion to dismiss the petition/complaint by dismissing those parts of the petition/complaint which sought (a) a judgment declaring that petitioners/plaintiffs are unconditionally authorized to access the clinical records of all New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) clients/patients; (b) access to the records of individuals capable of consent who have not consented or individuals incapable of consent who have a legal representative who has not been notified of the request; and (c) an order directing respondents/defendants to develop and distribute a statewide policy granting unconditional access by petitioners/plaintiffs to clinical records of OMRDD residents; and (2) partially granted respondents/defendants' motion to strike portions of the petition/complaint to the extent of striking paragraphs 5-8, 12-17 and the second sentence of paragraph 18. The modification consisted of reversing so much of the Supreme Court order as had denied petitioners/plaintiffs access to (1) records under Mental Hygiene Law § 33.13 (c) (4) of developmentally disabled individuals who are unable to consent and have actively involved family members who are not a legal guardian, conservator or other legal representative as defined by federal regulations; and (2) records under Mental Hygiene Law § 45.09 (b). The Appellate Division affirmed the judgment as modified. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order of the Supreme Court by reversing so much of the order as denied petitioners access to (1) records under Mental Hygiene Law § 33.13 (c) (4) of developmentally disabled individuals who are

unable to consent and have actively involved family members who are not a legal guardian, conservator or other legal representative as defined by federal regulations and (2) records under Mental Hygiene Law § 45.09 (b), and, as so modified, affirming the order?”

Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities, 81 AD3d 145, modified.

HEADNOTES

Records — Access to Records — Access to Records of Developmentally Disabled Persons by Providers of Protection and Advocacy Services

1. Petitioners, providers of protection and advocacy (P&A) services to individuals with developmental disabilities pursuant to contracts with the New York State Commission on Quality of Care and Advocacy for Persons with Disabilities, were entitled to review clinical records of developmentally disabled persons upon compliance with the federal procedures prescribed by the Developmental Disabilities Assistance and Bill of Rights Act (42 USC § 15001 *et seq.* [the DD Act]). Mental Hygiene Law § 45.09 (b), which addresses the access rights of a P&A entity under contract with the Commission, and Mental Hygiene Law § 33.13 (c) (4), which sets forth the confidentiality exception for clinical records sought by such entity, do not provide petitioners with unqualified access to clinical and other records of developmentally disabled persons. Rather, those statutes embrace the access provisions enumerated in the DD Act, which describes four sets of circumstances under which a P&A entity must be given access to the clinical and other records of developmentally disabled persons. As the state statutes relate to the same subject matter and contain identical language—“as provided for by federal law”—that was added by legislation enacted in 1986 in response to certain amendments to the DD Act, they should be read consistently with one another to effect the same legislative intent. The most plausible reading of the two statutes is that P&A organizations are entitled to review records in compliance with federal law. Moreover, the impetus for the 1986 legislation was to ensure New York’s compliance with the DD Act in order to maintain eligibility for federal funding. Notably absent from the legislative history was any pronouncement that New York was adopting standards that were broader than required by federal law or conferring authority on P&A organizations that was coterminous with that enjoyed by the Commission itself.

Records — Access to Records — Records of Developmentally Disabled Persons — Actively-Involved Family Members Considered Legal Representatives

2. Actively-involved family members of developmentally disabled persons who are not competent to manage their own care can possess sufficient decision-making authority to qualify as legal representatives for notice and authorization purposes under the Developmental Disabilities Assistance and Bill of Rights Act (42 USC § 15001 *et seq.* [the DD Act]) in determining access to disabled relatives’ clinical and other records by providers of protection and advocacy services under contract with the New York State Commission on Quality of Care and Advocacy for Persons with Disabilities. “Actively involved” or “qualified” family members enjoy a recognized status and are able to make

a number of critical decisions on behalf of developmentally disabled individuals without capacity under New York law, including giving informed consent for major medical procedures, approval of service plans, and end-of-life decisions. New York law further affords family members various notification and document access rights, including notice of reports of abuse, neglect and injuries; the right to receive investigative reports pertaining to such matters; and the ability to both access and authorize the release of their relative's clinical records. Those provisions, taken together, demonstrate that actively-involved family members enjoy sufficient decision-making authority such that they may be classified as legal representatives within the meaning of 45 CFR 1386.19, a federal regulation implementing the DD Act.

Records — Access to Records — Records of Developmentally Disabled Persons — Actively-Involved Family Members Considered Legal Representatives

3. In a combined CPLR article 78 proceeding and action pursuant to 42 USC § 1983 brought by petitioners, providers of protection and advocacy services to individuals with developmental disabilities, seeking access to all clinical records at two of respondent's mental hygiene facilities, further proceedings were necessary to examine the nature and adequacy of respondent's process for selecting and reviewing actively-involved family members who qualified as legal representatives for notice and authorization purposes with respect to access to the records. Actively-involved family members of developmentally disabled persons who are not competent to manage their own care can possess sufficient decision-making authority to qualify as legal representatives for notice and authorization purposes under the Developmental Disabilities Assistance and Bill of Rights Act (42 USC § 15001 *et seq.* [the DD Act]), but there must also be in place an appointment and review mechanism in connection with those legal representatives. Although there is no statute in place governing the procedures currently employed by respondent in designating a family member as the legal representative, respondent's regulatory authority may suffice under 45 CFR 1386.19, the regulation defining "[l]egal [g]uardian, conservator and legal representative" for purposes of the DD Act. Nevertheless, given the pre-answer procedural posture here, a remittal for further proceedings was necessary.

Pleading — Striking out Matter Contained in Pleading

4. In a combined CPLR article 78 proceeding and action pursuant to 42 USC § 1983 brought by petitioners, providers of protection and advocacy services to individuals with developmental disabilities, seeking access to all clinical records at two of respondent's mental hygiene facilities, Supreme Court did not abuse its discretion as a matter of law in striking certain paragraphs of the petition/complaint pursuant to CPLR 3024 (b), which permits a court "to strike any scandalous or prejudicial matter unnecessarily inserted in a pleading." The paragraphs at issue described the "inhumane conditions" of a certain facility in the 1970s and the 2007 death of a child in respondent's care in an unrelated case.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery § 158; AM JUR 2d, Mentally Impaired Persons §§ 78, 79; AM JUR 2d, Pleading §§ 113, 118.

CARMODY-WAIT 2d, Motions Addressed to Pleadings §§ 37:35, 37:36, 37:54, 37:55, 37:61; CARMODY-WAIT 2d, Disclosure §§ 42:154, 42:283.

McKINNEY's, CPLR 3024 (b); Mental Hygiene Law § 33.13 (c) (4); § 45.09.

14 NYCRR 633.99 (ax); 681.99 (k).

NY JUR 2d, Disclosure § 123; NY JUR 2d, Hospitals and Related Health Care Facilities §§ 49-51; NY JUR 2d, Pleading §§ 327, 331, 332.

SIEGEL, NY PRAC § 635.

42 USCA § 15001 *et seq.*

ANNOTATION REFERENCE

Validity, construction, and operation of Developmental Disabilities Assistance and Bill of Rights Act. 193 ALR Fed 513.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Victor Paladino, Barbara D. Underwood, Andrea Oser and Nancy A. Spiegel of counsel), for appellants-respondents. I. The Mental Hygiene Law does not grant petitioners unfettered access to clinical records. (*Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Riley v County of Broome*, 95 NY2d 455.) II. “Actively involved family members” are “legal representatives” from whom the State may require petitioners to seek consent before accessing patient records. (*Office of Protection & Advocacy for Persons with Disabilities v Armstrong*, 266 F Supp 2d 303; *Alabama Disabilities Advocacy Program v J.S. Tarwater Dev. Ctr.*, 894 F Supp 424; *State of Conn. Off. of Protection & Advocacy for Persons with Disabilities v Hartford Bd. of Educ.*, 355 F Supp 2d 649; *Washington State Dept. of Social & Health Servs. v Guardianship Estate of Keffeler*, 537 US 371.)

Disability Advocates, Inc., Albany (Jennifer J. Monthie, Timothy A. Clune and Cliff Zucker of counsel), Patterson Belknap Webb & Tyler LLP, New York City (Christopher Jackson of counsel), and Albany Law School Civil Rights & Disabilities

Law Clinic, Albany (*Bridgit Burke* of counsel), for respondents-appellants. I. Albany Law School and Disability Advocates, Inc. are entitled to the requested records pursuant to Mental Hygiene Law § 33.13 (c) (4) and § 45.09 (b). (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Orens v Novello*, 99 NY2d 180; *Kramer v Phoenix Life Ins. Co.*, 15 NY3d 539; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Riley v County of Broome*, 95 NY2d 455; *Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 61 NY2d 154; *Matter of Green Harbour Homeowners' Assn. v Town of Lake George Planning Bd.*, 1 AD3d 744; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Rovello v Orofino Realty Co.*, 40 NY2d 633; *Biondi v Beekman Hill House Apt. Corp.*, 257 AD2d 76, 94 NY2d 659.) II. The Appellate Division correctly held that “actively involved family members” are not “legal representatives.” (*Rovello v Orofino Realty Co.*, 40 NY2d 633; *Biondi v Beekman Hill House Apt. Corp.*, 257 AD2d 76, 94 NY2d 659; *Freitas v Geddes Sav. & Loan Assn.*, 63 NY2d 254; *Office of Protection & Advocacy for Persons with Disabilities v Armstrong*, 266 F Supp 2d 303; *Alabama Disabilities Advocacy Program v J.S. Tarwater Dev. Ctr.*, 97 F3d 492; *State of Conn. Off. of Protection & Advocacy for Persons with Disabilities v Hartford Bd. of Educ.*, 355 F Supp 2d 649; *Matter of Chaim A.K.*, 26 Misc 3d 837; *Olmstead v L. C.*, 527 US 581; *Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 61 NY2d 154; *Ramapo Homeowners' Assn. v New York State Off. of Mental Retardation & Dev. Disabilities*, 180 F Supp 2d 519.) III. The courts below erred by striking portions of the petition. (*Riesenberger v Sullivan*, 1 AD2d 1050; *Pomerance v Pomerance*, 271 App Div 1027; *Giessler v Accurate Brass Co., Inc.*, 271 App Div 980; *Indelli v Lesster*, 130 App Div 548; *Solomon v La Guardia*, 267 App Div 435; *Merrick v New York Subways Adv. Co.*, 14 Misc 2d 456; *People v Till*, 87 NY2d 835; *Disability Advocates, Inc. v Paterson*, 598 F Supp 2d 289; *T.D. v New York State Off. of Mental Health*, 228 AD2d 95; *Riley v County of Broome*, 95 NY2d 455.)

Paul Kietzman, Delmar, for NYSARC, Inc., amicus curiae. I. Neither the federal statute involved herein, nor any other federal statute of which NYSARC, Inc. is aware, defines any of the terms used in 42 USC § 15043 (a) (2) (I) (i)—“guardian, conservator, or other legal representative.” Such matters have always been dealt with in state law and in state courts. (*Matter of Grinker [Rose]*, 77 NY2d 703.) II. Formal guardianship is viewed both professionally and statutorily as a *non-preferred* remedy, to be reserved for when there is no other mechanism

available to support a person's own choices. Similarly, neither federal nor state law draw any "bright line" distinction between the authority of formally court-appointed surrogates and involved family members of incapacitated persons. (*Matter of Storar*, 52 NY2d 363; *Matter of M.B.*, 6 NY3d 437.) III. In the event that this Court affirms the holding of the Appellate Division, Third Department, and adopts respondents' position that involved family members will not be recognized as legal representatives, the certain result is that *formal* guardianships will be reluctantly pursued, burdening not just the judiciary but the lives, personal autonomy and freedoms of the individuals that appellants are charged with safeguarding. IV. As a matter of New York statute and regulation, both the Office for People with Developmental Disabilities and the courts have a regular power of review over decisions of involved family members, who are categorically *not* persons who only handle financial affairs, attorneys who represent persons with intellectual or other developmental disabilities on singular occasions, or administrators of service providers. (*Society for Good Will to Retarded Children, Inc. v Cuomo*, 902 F2d 1085.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Fraser L. Hunter, Jr.*, *David F. Olsky* and *Edward Sherwin* of counsel), for National Disability Rights Network and others, amici curiae. I. Congress and the State Legislature intended that protection and advocacy agencies actively investigate facilities serving individuals with developmental disabilities. (*Matter of Siwek v Mahoney*, 39 NY2d 159; *Affronti v Crosson*, 95 NY2d 713; *Riley v County of Broome*, 95 NY2d 455.) II. Protection and advocacy agencies need access to the clinical records of people with developmental disabilities in order to discharge their statutory duties. (*Indiana Protection & Advocacy Servs. v Indiana Family & Social Servs. Admin.*, 603 F3d 365; *Alabama Disabilities Advocacy Program v J.S. Tarwater Dev. Ctr.*, 894 F Supp 424, 97 F3d 492; *Robbins v Budke*, 739 F Supp 1479.) III. The Office for People with Developmental Disabilities should not be permitted to obstruct protection and advocacy investigations by requiring them to first seek permission from "involved" family members. (*Alabama Disabilities Advocacy Program v J.S. Tarwater Dev. Ctr.*, 97 F3d 492; *Pennsylvania Protection & Advocacy, Inc. v Houstoun*, 228 F3d 423; *Advocacy Ctr. v Stalder*, 128 F Supp 2d 358; *Oklahoma Disability Law Ctr., Inc. v Dillon Family & Youth Servs., Inc.*, 879 F Supp 1110; *Robbins v Budke*, 739 F Supp 1479.)

OPINION OF THE COURT

GRAFFEO, J.

Petitioners Albany Law School and Disability Advocates, Inc. provide protection and advocacy services to individuals with developmental disabilities pursuant to contracts with the New York State Commission on Quality of Care and Advocacy for Persons with Disabilities, an agency that oversees New York's protection and advocacy system. After receiving a complaint regarding the discharge practices of respondent New York State Office of Mental Retardation and Developmental Disabilities—now the Office for People with Developmental Disabilities (OPWDD)—petitioners requested access to the clinical records of all individuals residing at two OPWDD facilities to investigate whether they were being denied the opportunity to live in less restrictive settings. Relying on Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4), petitioners asserted that they were entitled to unrestricted access to the clinical records.

OPWDD disagreed, taking the position that the two Mental Hygiene Law provisions cited by petitioners incorporate the records access procedures established in the federal Developmental Disabilities Assistance and Bill of Rights Act, which were designed to balance the privacy rights of developmentally disabled persons with the need of protection and advocacy organizations to access residents' personal information in order to investigate complaints and advocate on behalf of those individuals. In accordance with federal law, OPWDD agreed to provide records pertaining to residents for whom petitioners had obtained authorization, either from the individuals themselves or their legal representatives (which, in OPWDD's view, included actively-involved family members), and for individuals who were unable to provide authorization and did not have a legal representative.

This case requires us to decide two significant issues that implicate competing interests with regard to the clinical records of developmentally disabled persons. First, whether Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4) provide petitioners with unqualified access to clinical and other records or whether the state statutes embrace the access provisions in federal law. And second, whether actively-involved family members can be deemed legal representatives for purposes of the federal and state access provisions. We conclude that section 45.09 (b) and section 33.13 (c) (4) must be read in accord with federal law and that actively-involved family members can possess sufficient

decision-making authority to qualify as legal representatives under the pertinent regime.

I.

In 1975, in response to the deplorable conditions revealed at New York's Willowbrook State School and other state-operated facilities, Congress enacted the Developmental Disabilities Assistance and Bill of Rights Act (the DD Act).¹ The DD Act was designed to encourage states to safeguard the rights of individuals with developmental disabilities by offering federal funds to states with an effective protection and advocacy (P&A) system (*see Virginia Office for Protection and Advocacy v Stewart*, 563 US —, —, 131 S Ct 1632, 1635-1636 [2011]). To qualify for funding, a state's P&A system must, among other powers, "have the authority to investigate incidents of abuse and neglect of individuals with developmental disabilities if the incidents are reported to the system or if there is probable cause to believe that the incidents occurred" (42 USC § 15043 [a] [2] [B]). The P&A system must also be able to "pursue legal, administrative, and other appropriate remedies . . . to ensure the protection of, and advocacy for, the rights of such individuals" (42 USC § 15043 [a] [2] [A] [i]).

In 1984, Congress amended the DD Act to require states, as a condition to maintaining eligibility for federal funding under the program, to grant their P&A systems access to the records of individuals with developmental disabilities subject to certain requirements (*see* Pub L 98-527, § 142, 98 US Stat 2662, 2679-2680 [98th Cong, 2d Sess, Oct. 19, 1984], amending 42 USC former § 6042 [a]). The 1984 amendment gave the states until October 1986 to implement these access requirements (*see id.*). In particular, the DD Act currently describes four sets of circumstances under which a P&A entity must be given access to the clinical and other records of developmentally disabled persons.

First, the P&A organization is entitled to "immediate access," without the consent of any person, if it "determines there is probable cause to believe that the health or safety of the individual is in serious and immediate jeopardy" (42 USC § 15043 [a] [2] [J] [ii] [I]) or if the individual dies (*see* 42 USC § 15043

1. The DD Act of 1975 (42 USC § 6001 *et seq.*) was repealed and incorporated into the DD Act of 2000 (42 USC § 15001 *et seq.*), which retained the name of the act and most of its provisions.

[a] [2] [J] [ii] [II]). In these emergency or death situations, Congress determined that facilities must provide immediate, full record access in order to protect the health and safety of the resident or, in the case of death, to timely commence an investigation.

Second, in nonemergencies, the facility must grant access to the P&A organization if authorization is given by the individual or the individual's "legal guardian, conservator, or other legal representative" (42 USC § 15043 [a] [2] [I] [i]). Not all developmentally disabled persons residing in facilities are incompetent to participate in medical and therapy decision-making or decisions relating to training or residential choices. Federal law acknowledges the right of these residents who are consistently involved in the management of their own care to be notified and to authorize or deny access, recognizing the reasonable privacy expectations of these individuals in their personal information and their right to make decisions regarding their own treatment and welfare.

Third, a P&A entity is to be afforded access where (a) the individual is incapable of granting authorization; (b) the individual does not have a legal representative; and (c) the system has received a complaint with regard to the individual's treatment or, as a result of monitoring activities, there is probable cause to believe that the individual has been abused or neglected (*see* 42 USC § 15043 [a] [2] [I] [ii]). Clearly, the DD Act recognizes the imperative need of P&A organizations to protect and advocate on behalf of residents who are not capable of providing authorization and lack a legal representative. Even without receiving a complaint, if P&A personnel have probable cause to believe that a resident has been neglected or abused—reflecting the importance of on-site monitoring activities by P&A organizations—they may demand record access to investigate the circumstances and safeguard the resident at risk.

Finally, access is mandated if (a) the individual has a legal representative; (b) the P&A entity has received a complaint with regard to the individual's treatment or, as a result of monitoring activities, there is probable cause to believe that the individual has been abused or neglected; and (c) the P&A entity has contacted the legal representative and offered assistance but the representative has failed or refused to act on the individual's behalf (*see* 42 USC § 15043 [a] [2] [I] [iii]). In non-emergency situations, the records of individuals who lack the

ability to consent but who have a legal representative (according to OPWDD, this is fairly common) must therefore be disclosed if the legal representative grants authorization (category two) or if the legal representative fails or refuses to act in response to a complaint or probable cause (category four). Again, if the situation is such that the health or safety of the resident is in “serious” or “immediate jeopardy,” the immediate access provisions of category one would instead apply.

In short, in amending the DD Act, Congress acknowledged the necessity of allowing P&A entities record access in order to fulfill their “watchdog” role. Yet, Congress also considered the right of competent individuals or legal representatives acting on behalf of developmentally disabled persons to participate in the decision to disclose their records—some of which may contain sensitive, personal information. Therefore, federal law established a carefully calibrated system that took into consideration both the privacy interests of developmentally disabled persons and the need for P&A organizations to examine records in order to pursue their statutory functions.

Following the adoption of the DD Act, the New York Legislature created what is now known as the Commission on Quality of Care and Advocacy for Persons with Disabilities (the Commission) to oversee the care, treatment and delivery of services to individuals who are developmentally disabled (L 1977, ch 655; *see also* Mental Hygiene Law art 45). The Commission is empowered to review the operations of the Department of Mental Hygiene, which includes OPWDD, and to investigate complaints pertaining to the treatment and care of individuals who are patients or residents of any facility providing services to developmentally disabled persons (*see* Mental Hygiene Law § 45.07; *see generally* *Matter of Reckess v New York State Commn. on Quality of Care for Mentally Disabled*, 7 NY3d 555, 560 [2006]). The Legislature vested the Commission with the power to inspect all books and records of mental hygiene facilities “deemed necessary for carrying out the commission’s functions, powers and duties” (Mental Hygiene Law § 45.09 [a]). The Commission is also the agency designated under the DD Act to administer the P&A system to ensure continued federal funding (*see* Mental Hygiene Law § 45.07 [p]). It administers its P&A responsibilities, in part, through contracts with independent P&A organizations, such as petitioners (*see* Mental Hygiene Law § 45.07 [i]). Hence, in New York the Commission itself serves as the State’s P&A system while P&A entities like petitioners function as contractors to the system (*see generally*

Disability Advocates, Inc. v New York Coalition for Quality Assisted Living, Inc., 675 F3d 149 [2d Cir 2012]).

Although the Commission has been granted broad access to facility records since its inception (*see* L 1977, ch 655; *see also* Mental Hygiene Law § 45.09 [a]), state law did not originally afford P&A organizations that contract with the Commission an independent right to examine the clinical records of developmentally disabled individuals. In response to the 1984 amendments to the DD Act—which conditioned the continued eligibility for federal funding on allowing such entities access to records—the Legislature amended the Mental Hygiene Law in 1986 to address the access rights of these P&A organizations (*see* L 1986, ch 184).

Specifically, the Legislature added Mental Hygiene Law § 45.09 (b), which provides, in relevant part:

“Pursuant to the authorization of the commission to administer the protection and advocacy system as provided for by federal law, any agency or person within or under contract with the commission which provides protection and advocacy services must be granted access at any and all times to any facility, or part thereof, serving a person with a disability operated or licensed by any office or agency of the state, and to all books, records, and data pertaining to any such facility upon receipt of a complaint by or on behalf of a person with a disability.”

The 1986 legislation simultaneously amended Mental Hygiene Law § 33.13, the provision that secures the confidentiality of clinical records in the possession of OPWDD or the Office of Mental Health absent enumerated exceptions, by adding the following emphasized language to subdivision (c) (4):

“(c) Such information about patients or clients reported to the offices . . . shall not be released by the offices or its facilities to any person or agency outside of the offices except as follows: . . .

“4. to the commission on quality of care for the mentally disabled *and any person or agency under contract with the commission which provides protection and advocacy services pursuant to the authorization of the commission to administer the protection and advocacy system as provided for by federal law.*”

This remains the current state statutory scheme governing P&A record access.

II.

In 2008, petitioners, as P&A organizations under contract with the Commission, wrote to OPWDD requesting review of the records of more than 200 residents at two facilities operated by OPWDD—the Capital District and Taconic Developmental Disabilities Service Offices. The requests indicated that petitioners had received a “complaint of neglect” pertaining to the discharge policies at the Taconic facility and that, as a result of monitoring activities at the Capital District facility, petitioners were concerned about the timeliness of the transfer of individuals into more integrated placements—clearly an issue within petitioners’ advocacy responsibilities. Petitioners claimed that they were entitled to unrestricted access to the documents pursuant to Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4).

OPWDD rejected petitioners’ contention that they had full access to the clinical records under these circumstances and asserted that section 45.09 (b) and section 33.13 (c) (4) required petitioners to comply with the federal procedures prescribed by the DD Act. Consequently, OPWDD agreed to provide the records of individuals for whom petitioners had obtained authorization and the records of individuals who were incapable of providing authorization and had no legal representative.² But OPWDD indicated that access could not be provided for individuals who had legal representatives unless petitioners first notified those legal representatives (most of whom were actively-involved family members rather than formal guardians). In the event those legal representatives gave consent or failed or refused to act, OPWDD represented that petitioners would be entitled to access in accordance with federal procedures. OPWDD further advised petitioners that it would provide the contact information for these legal representatives to allow petitioners to seek their consent. Petitioners declined to obtain the authorizations or contact the individuals’ representatives, reiterating their view that state law required access without notice or consent considerations.

As a result of this conflict over the proper procedures governing record access, petitioners brought this combined CPLR

2. Although OPWDD questioned whether there was probable cause to believe that the individuals were being neglected, it stated that it would provide the records if petitioners otherwise satisfied the federal access criteria.

article 78 proceeding and action pursuant to 42 USC § 1983 against OPWDD and its Commissioner (collectively, OPWDD) to enforce their right of access to all clinical records at the Taconic and Capital District facilities. According to the petition/complaint, there was evidence that OPWDD was neglecting the care of individuals residing at the two facilities both through “the denial of rights to live in less restrictive settings and the failure to provide necessary treatment that would prepare and enable individuals with disabilities to live in such settings.” Petitioners asked the court to issue an order compelling OPWDD to provide prompt access to the residents’ clinical records pursuant to Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4). Alternatively, they requested an order obligating OPWDD to provide the records of individuals without a legal representative under 42 USC § 15043 (a) (2) (I) (ii), and they maintained that actively-involved family members were not legal representatives for purposes of record access.

OPWDD moved to dismiss under CPLR 3211 for failure to state a cause of action. In the alternative, OPWDD requested that the court strike certain paragraphs of the petition/complaint as prejudicial and irrelevant under CPLR 3024 (b).³ In support of its dismissal motion, OPWDD included an affidavit from the Commission’s chief operating officer explaining the Commission’s view that the access rights of P&A organizations under contract with it, such as petitioners, were not coextensive with the Commission’s expansive authority established by Mental Hygiene Law § 45.09 (a). Instead, the Commission concurred with OPWDD’s view that section 45.09 (b) and section 33.13 (c) (4) incorporated the federal criteria set forth in the DD Act. OPWDD also submitted affidavits from the executive director of Parent to Parent of NYS and the president of the Self-Advocacy Association of New York State, two not-for-profit advocacy organizations, opposing petitioners’ assertion of blanket authority and emphasizing the privacy interests developmentally disabled persons and their families have in their sensitive medical records.

Supreme Court granted OPWDD’s motion in part. The court agreed with OPWDD that Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4) adopted the federal access procedures and

3. The paragraphs at issue described the “inhumane conditions” of the Willowbrook State School in the 1970s and the 2007 death of a child in OPWDD’s care in an unrelated case.

therefore did not grant petitioners access to the records at issue absent compliance with the federal requirements. The court also determined that legal representatives, for purposes of the federal regime, could include actively-involved family members. Finally, the court struck a number of paragraphs from the petition/complaint pursuant to CPLR 3024 (b).⁴

The Appellate Division modified (81 AD3d 145 [3d Dept 2011]). The Court concurred with Supreme Court's conclusion that Mental Hygiene Law § 33.13 (c) (4) did not afford petitioners unrestricted access to clinical records but, rather, required petitioners to comply with the DD Act's requirements. Yet the Court reached a different conclusion regarding Mental Hygiene Law § 45.09 (b), holding that it authorized access to petitioners upon receipt of a complaint because that statute was not structured to incorporate the federal access requirements. The Court further disagreed with Supreme Court's determination that actively-involved family members can be legal representatives for purposes of the federal notice provisions, reasoning that they lack the authority to make "all decisions" on behalf of their developmentally disabled relatives (81 AD3d at 152). Finally, the Court ruled that Supreme Court did not err in striking out portions of the petition/complaint.

The Appellate Division granted OPWDD and petitioners leave to appeal on a certified question.

III.

On this appeal, OPWDD argues that the Mental Hygiene Law does not grant P&A organizations under contract with the Commission unrestricted access to clinical records. Rather, OPWDD contends that Mental Hygiene Law § 45.09 (b) authorizes petitioners to review patient records only in accordance with the four categories of access procedures enumerated in the DD Act. OPWDD further asserts that Mental Hygiene Law § 45.09 (b) cannot reasonably be interpreted inconsistently with Mental Hygiene Law § 33.13 (c) (4) since both provisions were enacted jointly in the same legislative proposal. In OPWDD's view, neither section 45.09 (b) nor section 33.13 (c) (4) grants petitioners access greater than what is permitted under federal law. Petitioners agree that Mental Hygiene Law § 45.09 (b) and

4. Although Supreme Court agreed with OPWDD on the legal issues, it declined to dismiss the petition/complaint in its entirety, finding that factual issues existed as to whether petitioners had followed the DD Act's procedures with respect to a number of residents.

§ 33.13 (c) (4) should be construed in *pari materia*, but counter that neither provision ties their access rights to federal law. They read the two statutes—as does the dissent—as allowing them full access to the clinical records they seek, claiming that such access is integral to their mission. Amici organizations support both parties in this controversy.

In matters of statutory interpretation, our primary consideration is to discern and give effect to the Legislature's intention (*see Yatauro v Mangano*, 17 NY3d 420, 426 [2011]). As we have repeatedly stated, the text of a provision “is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Additionally, we should inquire “into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*Nostrum v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010] [internal quotation marks and citation omitted]). Finally, it is well settled that a statute must be construed as a whole and that its various sections must be considered with reference to one another (*see Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105, 115 [2007]).

At the heart of this appeal is the proper scope of Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4). In relevant part, section 45.09 (b) provides:

“Pursuant to the authorization of the commission to administer the protection and advocacy system *as provided for by federal law*, any agency . . . under contract with the commission which provides protection and advocacy services must be granted access . . . to all . . . records . . . pertaining to any such facility upon receipt of a complaint” (emphasis added).

Similarly, section 33.13 (c) (4) permits facilities licensed or operated by OPWDD or the Office of Mental Health to release clinical records to any “agency under contract with the commission which provides protection and advocacy services pursuant to the authorization of the commission to administer the protection and advocacy system *as provided for by federal law*” (emphasis added). The reference to federal law appears in both statutes, but the placement of the reference differs.

As an initial matter, we disagree with the approach taken by the Appellate Division, which applied different interpretations

to the two provisions. Statutes that relate to the same subject are in pari materia and should “be construed together unless a contrary intent is clearly expressed by the Legislature” (*Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791, 793 [1986]). Indeed, in pari materia principles “apply with peculiar force to statutes passed at the same legislative session” (McKinney’s Cons Laws of NY, Book 1, Statutes § 221 [a], Comment, at 375). Here, the two statutory amendments relate to the same subject matter, contain identical language and were adopted together. We therefore concur with the parties that the statutes should be read consistently with one another to effect the same legislative intent. We do not find the placement of the “pursuant to” clause at the beginning of the sentence in section 45.09 (b) but at the end of the sentence in section 33.13 (c) (4) a sufficient basis to create divergent meanings, particularly where the two provisions were amended by the very same enactment. The more difficult question before us is ascertaining whether the statutes grant P&A organizations broad access rights uninhibited by the federal criteria, as petitioners assert, or implement the access procedures outlined in the DD Act, as OPWDD proposes.

[1] Although the issue is admittedly close, we believe that OPWDD’s interpretation of the statutes is more persuasive as a matter of both text and context. In contrast to Mental Hygiene Law § 45.09 (a), which accords the Commission broad access to records as long as they relate to the Commission’s “functions, powers and duties,” Mental Hygiene Law § 45.09 (b) expressly ties the access rights of P&A organizations to the Commission’s administration of the P&A system “as provided for by federal law.” Likewise, although Mental Hygiene Law § 33.13 (c) (4) contemplates the release of records to the Commission itself without any limiting language, the amended language that incorporates P&A organizations includes the identical reference to federal law. Hence, contrary to the view expressed by the dissent, the most plausible reading of the two statutes is that P&A organizations are entitled to review records in compliance with federal law. As discussed, the DD Act recognizes the critical advocacy and investigative functions of P&A organizations by authorizing “immediate access” without permission in emergency situations. But the DD Act also strove to balance the purpose and objectives of P&A organizations with the privacy interests of individuals with developmental disabilities by requiring P&A organizations, in situations not involving an

emergency, to notify and obtain the consent of those individuals or, if they are not competent to consent, their legal representatives, unless there is no legal representative or the representative fails to act on their behalf, in which case access will be granted. There is no indication that the New York Legislature intended to deviate from the federal scheme.

The context underlying the enactment of Mental Hygiene Law § 45.09 (b) and amendment to Mental Hygiene Law § 33.13 (c) (4) by the Legislature in 1986 supports this statutory interpretation (*see Consedine v Portville Cent. School Dist.*, 12 NY3d 286, 290 [2009] [“Pertinent also are the history of the times, the circumstances surrounding the statute’s passage, and . . . attempted amendments” (internal quotation marks and citation omitted)]). When Congress amended the DD Act in 1984 to require states to grant their P&A systems access to records under specified circumstances in order to maintain eligibility for funding under the federal program, it gave states until 1986 to comply (*see* Pub L 98-527, § 142, 98 US Stat 2662, 2679-2680 [98th Cong, 2d Sess, Oct. 19, 1984]). In 1985, Governor Mario Cuomo executed an assurance to the federal Department of Health and Human Services that New York would enact amendments to the Mental Hygiene Law to “ensure access by the Protection and Advocacy Program contract agencies consistent with the requirements of Public Law 98-527” (Assurances by the Governor of the State of New York for the Protection of Rights and Advocacy for Persons with Developmental Disabilities, Mar. 12, 1985, Bill Jacket, L 1986, ch 184, at 5). Senator Padavan’s memorandum in support of the 1986 legislation affirmed that “[t]he purpose of this bill is to ensure compliance by New York State with . . . (Public Law 98-527) governing the operation of the Protection and Advocacy Program for persons with developmental disabilities which is administered by the Commission” (Mem of Senator Frank Padavan, Bill Jacket, L 1986, ch 184, at 9, 1986 NY Legis Ann, at 126). He further observed that the amendment was necessary to avoid “jeopardizing continued federal funding to the Commission” (*id.*). Hence, it is clear that the impetus for the 1986 legislation was to ensure New York’s compliance with the DD Act in order to maintain eligibility for federal funding. Notably absent from the legislative history is any pronouncement that New York was adopting standards that were broader than required by federal law or

conferring authority on P&A organizations that was coterminous with that enjoyed by the Commission itself.⁵

In sum, we conclude that the Mental Hygiene Law implements federal law such that petitioners must follow the safeguards outlined in the DD Act. If this is not the desire of the Legislature, it can certainly amend the statutes to provide otherwise. We now turn to the question of whether petitioners must notify actively-involved family members of individuals with disabilities who lack the capacity to consent in order to comply with the federal directives.

IV.

OPWDD next argues that the Appellate Division erred in holding that actively-involved family members cannot be considered legal representatives for notice and authorization purposes under the DD Act. It contends that New York law grants family members of individuals with developmental disabilities significant powers to make personal decisions on their behalf when they lack the ability to do so for themselves. OPWDD further submits that it has in place an appointment and review system with regard to these family members. Petitioners respond that the Appellate Division correctly determined that family members who have not been formally appointed as guardians do not hold the status of legal representatives and, therefore, P&A organizations need not give them notice or seek their consent under the DD Act access procedures.

The federal regulations implementing the DD Act define “[l]egal [g]uardian, conservator and legal representative” as

“an individual appointed and regularly reviewed by
a State court or agency empowered under State law

5. Petitioners place heavy reliance on letters written by OPWDD’s general counsel and the Commission’s counsel commenting that the 1986 bill expanded the scope of access contemplated by the DD Act (*see* Letter of Paul R. Kietzman, Office of Mental Retardation and Developmental Disabilities, to Evan A. Davis, Counsel to the Governor, June 19, 1986, Bill Jacket, L 1986, ch 184, at 21; Letter of Paul F. Stavis, Commission on Quality of Care for the Mentally Disabled, to Evan A. Davis, Counsel to the Governor, June 18, 1986, Bill Jacket, L 1986, ch 184, at 12). But postpassage opinions of state agencies are generally entitled to “little weight” in discerning legislative intent (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 n 2 [1998]). Even considering the views expressed in such correspondence, the structure of the statutes and the expressed legislative objective prior to passage convince us that, although counsel may have wanted to substitute other statutory language, the amendments as adopted were intended to incorporate the federal access standards.

to appoint and review such officers and having authority to make all decisions on behalf of individuals with developmental disabilities. It does not include persons acting only as a representative payee, person acting only to handle financial payments, attorneys or other persons acting on behalf of an individual with developmental disabilities only in individual legal matters, or officials responsible for the provision of treatment or habilitation services to an individual with developmental disabilities or their designees” (45 CFR 1386.19).

The regulation prescribes two requirements for individuals to qualify as legal representatives: (1) they must have sufficient decision-making authority and (2) they must be appointed and regularly reviewed by a court or state agency. Moreover, the regulation looks to state law for both elements. We address each in turn.

A.

“Actively involved” or “qualified” family members enjoy a recognized status and are able to make a number of critical decisions on behalf of individuals with developmental disabilities under New York law. For example, actively-involved family members may give informed consent for major medical procedures on behalf of individuals residing in OPWDD facilities who lack the “capacity to understand appropriate disclosures regarding proposed professional medical treatment” (14 NYCRR 633.11 [a] [1] [iii] [b]). Similarly, they may approve service plans involving an “untoward risk to an individual’s protection or rights” (14 NYCRR 681.13) and object to OPWDD-related services on behalf of such individuals (*see* 14 NYCRR 633.12). Most notably, New York law now permits actively-involved family members to make end-of-life decisions on behalf of developmentally disabled individuals without capacity, including the decision to “withhold or withdraw life-sustaining treatment” (SCPA 1750-b [1] [a]; *see also* 14 NYCRR 633.10 [a] [7] [iv]; *Matter of M.B.*, 6 NY3d 437, 441 [2006] [describing the process applicable to the cessation of life-sustaining medical treatment for individuals “who never had capacity to make such a decision”]).

New York law further affords family members of individuals with developmental disabilities various notification and document access rights. Under OPWDD’s regulations, family

members are entitled to notice of reports of abuse, neglect and injuries (*see* 14 NYCRR 624.6), and are to receive investigative reports pertaining to such matters (*see* 14 NYCRR 624.8). The Mental Hygiene Law also grants them the ability both to access and authorize the release of their disabled relative's clinical records (*see* Mental Hygiene Law § 33.13 [c] [7]; § 33.16).

[2] These provisions, taken together, amply demonstrate that actively-involved family members enjoy sufficient decision-making authority such that they may be classified as legal representatives within the meaning of 45 CFR 1386.19. We reject petitioners' assertion that a legal representative must have the ability to make every possible decision. Indeed, such an interpretation would render the entire second sentence of the regulation unnecessary, as it is plain that "representative payee[s]," persons that "handle financial payments" and attorneys who provide representation on "individual legal matters" do not have unqualified decision-making powers. The negative examples cited in the regulation support our conclusion that actively-involved family members qualify under New York law as each of the stated examples involves persons who have only discrete authorization with regard to financial or legal matters. In contrast, actively-involved family members possess the authority to make many of the most important personal decisions affecting the health and well-being of their developmentally disabled relative. As NYSARC, Inc. observes in its amicus brief, it would be peculiar for a parent or other family member who enjoys the ability to withhold or withdraw life-sustaining treatment to lack the much less intrusive right to be consulted before a third party reviews a resident's personal records.

Under the federal regulation, however, it is not enough that the individual possesses sufficient decision-making authority. There must also be in place an appointment and review mechanism in connection with these legal representatives.

B.

According to OPWDD, the staff at its facilities considers the relationship between a developmentally disabled individual and each actively-involved family member to make a determination as to which relative is best suited to make decisions on behalf of the individual. Under OPWDD's regulations, an "[a]ctively involved adult family member" is defined to mean "[s]omeone 18 years of age or older who is related to a person in a facility

and who has demonstrated, in the opinion of the interdisciplinary team, significant and ongoing involvement in the individual's life, as well as sufficient knowledge of the individual's needs" (14 NYCRR 681.99 [k]; *see also* 14 NYCRR 633.99 [ax]). OPWDD represents that, through this process, a family member is "designated" as the legal representative, and that designation is noted in the facility's records. OPWDD further asserts that the legal representative designation is reviewed and changed as circumstances require.

[3] Petitioners submit that OPWDD's system is inadequate as a matter of law because there is no statute in place governing these procedures. But we note that OPWDD's regulatory authority may suffice under 45 CFR 1386.19 (*see Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602, 608 [2009] [explaining that agency regulations have "the force of law" (internal quotation marks and citation omitted)]). Nevertheless, given the pre-answer procedural posture of this case, we agree with petitioners that a remittal for further proceedings is necessary to examine the nature and adequacy of OPWDD's process for selecting and reviewing actively-involved family members.

V.

[4] On their cross appeal, petitioners contend that the courts below erred in striking certain paragraphs of the petition/complaint pursuant to CPLR 3024 (b), which permits a court "to strike any scandalous or prejudicial matter unnecessarily inserted in a pleading." We perceive no abuse of discretion as a matter of law on this issue.

* * *

We stress that our decision does not preclude P&A organizations like petitioners from gaining access to the clinical records of individuals with developmental disabilities. Undoubtedly, petitioners perform critically important services aimed at safeguarding and improving the conditions under which these vulnerable citizens live. But based on the language and structure of the statutes at issue, we hold that New York law parallels federal law, which balances the privacy rights of such individuals with the need of P&A organizations to examine records to further their advocacy mission. Under this regime, petitioners are entitled to immediate access of records without consent in an emergency situation—which they acknowledge is not implicated by the facts of this case. In other scenarios, they

may obtain the consent of the individual or his or her legal representative; they are entitled to access where there is no legal representative and the individual lacks capacity to consent; and they are entitled to access where the legal representative takes no action in the face of a complaint or probable cause. Given the role played by actively-involved family members of individuals with developmental disabilities under New York law, we further conclude that it is possible for them to be classified as legal representatives for compliance with federal requirements, but remit the issues relating to OPWDD's appointment and review process for further development.

Accordingly, the order of the Appellate Division should be modified, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed. The certified question should be answered in the affirmative.

CIPARICK, J. (dissenting). Because I believe that Mental Hygiene Law § 45.09 (b) and § 33.13 (c) (4) give the protection and advocacy agencies (P&A agencies) equal access to the clinical records of residents in facilities operated under the auspices of the Office for People with Developmental Disabilities (OPWDD) and records and data of those same facilities as are available to the Commission on Quality of Care and Advocacy for Persons with Disabilities (the Commission), I respectfully dissent. I further believe that OPWDD's definition of an "actively involved family member" does not meet the federal requirements for a "legal guardian, conservator and legal representative," and that access to the clinical records of residents should not be conditioned upon the consent of such family members.

It is uncontroverted that, pursuant to Mental Hygiene Law § 45.09 (a) and § 33.13 (c) (4), the Commission has broad, unrestricted access to the clinical records of residents of OPWDD facilities as well as to the facilities' own records and data. In order to be eligible for federal funding under the Developmental Disabilities Assistance and Bill of Rights Act pursuant to 42 USC § 15043 and 45 CFR 1386.21, minimal access to these records must be given to P&A agencies. However, the State may also provide P&A agencies, charged with the duty of providing protection and advocacy services pursuant to contracts with the Commission, greater authority than exists under the federal statutes (*see* 45 CFR 1386.21 [f]). In determining what degree of access the P&A agencies shall enjoy, we must interpret both Mental Hygiene Law provisions.

I agree with the majority's conclusion that the phrase "as provided for by federal law" as used in both section 45.09 (b) and section 33.13 (c) (4) should be read harmoniously and interpreted in the same manner. However, I disagree with the majority's conclusion that "as a matter of both text and context" the phrase mandates that the access to records accorded to the P&A agencies is limited to that which is delineated in the federal scheme and is consequently less broad than the access granted to the Commission (majority op at 121-122), I believe that both a plain reading of the statutes (*see Matter of Orens v Novello*, 99 NY2d 180, 185 [2002]) and the context in which the statutes were enacted demonstrate that the intent of the Legislature was to provide the P&A agencies with access as broad as that provided to the Commission in order to enable them to carry out their protection and advocacy functions.

Turning to the text of the statutes, Mental Hygiene Law § 45.09 (b) provides:

"Pursuant to the authorization of the commission to administer the protection and advocacy system *as provided for by federal law*, any agency or person within or under contract with the commission which provides protection and advocacy services must be granted access at any and all times to any facility, or part thereof, serving a person with a disability operated or licensed by any office or agency of the state, and to all books, records, and data pertaining to any such facility upon receipt of a complaint by or on behalf of a person with a disability. Information, books, records or data which are confidential as provided by law shall be kept confidential by the person or agency within the protection and advocacy system and any limitations on the release thereof imposed by law upon the party furnishing the information, books, records or data shall apply to the person or agency within the protection and advocacy system" (emphasis added).

While the majority would have the phrase "as provided for by federal law" apply to the entire section, it is noteworthy that the phrase "[p]ursuant to the authorization of the commission to administer the protection and advocacy system as provided for by federal law" is set off from the rest of the paragraph by a comma. "Common marks of punctuation are used to clarify the writer's intended meaning and thus form a valuable aid in

determining legislative intent” (*A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574, 581 [1996]). Therefore, a natural reading of the statute would indicate that the qualifier “as provided for by federal law” refers to the federal authorization of the commission to administer the protection and advocacy system and is not a limitation on the scope of the authority of the P&A agencies to request records. It identifies P&A agencies as those agencies under contract with the Commission providing services to the developmentally disabled and having access to facility records as opposed to contracting agencies that provide other services.

Similarly, Mental Hygiene Law § 33.13 (c) provides:

“Such information about patients or clients reported to the offices, including the identification of patients or clients, clinical records or clinical information tending to identify patients or clients, and records and information concerning persons under consideration for proceedings pursuant to article ten of this chapter, at office facilities shall not be a public record and shall not be released by the offices or its facilities to any person or agency outside of the offices except as follows: . . .

“4. to the commission on quality of care for the mentally disabled and any person or agency under contract with the commission which provides protection and advocacy services pursuant to the authorization of the commission to administer the protection and advocacy system *as provided for by federal law*” (emphasis added).

The placement of “as provided for by federal law” at the end of section 33.13 (c) (4) indicates that it was only intended to modify the last clause (see *People v Shulman*, 6 NY3d 1, 34 [2005] [“(r)elative or qualifying words of clauses ordinarily are to be applied to the words or phrases immediately preceding, and are not to be construed as extending to others more remote, unless the intent of the statute clearly indicates otherwise” (internal quotation marks and ellipsis omitted)]). Here the immediate antecedent phrase is “the authorization of the commission to administer the protection and advocacy system.” Again, as in section 45.09, the most natural reading of this provision is that the reference to federal law concerns the federal authorization of the Commission to administer the protection and advocacy system and to give access to the P&A agencies to records—in this case, clinical records of residents.

Although the majority is correct in pointing out that the primary impetus for passing the two provisions was to ensure that New York State remained in compliance with the federal requirements necessary to receive federal funding for the program (*see* majority op at 122-123), there is no indication in the legislative history that the Legislature intended to restrict the P&A agencies' access to the records to comply with the federal requirements. In fact, the Legislature was concerned about issues of access to the records. Senator Padavan noted in his memorandum in support of the 1986 legislation that "during the past year, the Commission had difficulty accessing records involving an individual living in a facility for developmentally disabled individuals certified by an agency outside of the Department of Mental Hygiene" (Mem of Senator Frank Padavan, Bill Jacket, L 1986, ch 184, at 9, 1986 NY Legis Ann, at 126). Furthermore both counsel for the Commission and counsel for OPWDD (formerly the New York State Office of Mental Retardation and Developmental Disabilities) interpreted the statute as providing the broad access to records that is enjoyed by the Commission. Counsel for the Commission noted that "[t]his bill accomplished two essential goals. First, section one of the bill will enable the agencies under contract with the Commission as part of this protection and advocacy program, to obtain access to mental hygiene residential facilities and client records allowed to the Commission itself under current law" (Letter of Paul F. Stavis, Commission on Quality of Care for the Mentally Disabled, to Evan A. Davis, Counsel to the Governor, June 18, 1986, Bill Jacket, L 1986, ch 184, at 12). Counsel for OPWDD was concerned that

"[a]s currently proposed, this amendment to § 45.09 would permit any person or agency within the protection and advocacy system to have access to all of the facility's information, regardless of whether or not that person is investigating the complaint

. . .

"The amendment enlarges the scope of access required by the Act" (Letter of Paul R. Kietzman, Office of Mental Retardation and Developmental Disabilities, to Evan A. Davis, Counsel to the Governor, June 19, 1986, Bill Jacket, L 1986, ch 184, at 21).

Thus it seems that the concerned agencies understood that the

Legislature gave to the P&A agencies the same access as given to the Commission. True, these letters were not before the Legislature prior to the passage of the bill, however, they do indicate that the interpretation of the statutes as allowing the P&A agencies access to the records equivalent to that of the Commission is a rational one and in keeping with the purpose of the creation of the protection and advocacy programs.

Further, being on notice of this broad reading of the statutes, the Legislature did not see fit to amend them to indicate that the P&A agencies' access is limited to that codified in the federal statute. Accordingly, it may be inferred that the interpretation proposed by petitioners here is in line with the intent of the Legislature, which was free to grant more access to the records than that required by the federal statutes, and in my opinion, sought to give equal access to the Commission and its P&A agencies.

Having determined that both statutes, enacted as part of the same legislation, must be interpreted harmoniously to allow the P&A agencies unrestricted access to both the facility records and data and the clinical records of facility residents equal to that enjoyed by the Commission itself, I turn to the further issue wherein respondents seek to limit access to the clinical records by requiring permission from an "actively involved family member."

I disagree with the majority's conclusion that "actively involved" or "qualified" family members may qualify as a "legal guardian, conservator and legal representative" as defined by the Developmental Disabilities Assistance and Bill of Rights Act (*see* majority op 125) and agree with the Appellate Division's finding that they do not qualify as legal guardians.

45 CFR 1386.19 provides: "Legal Guardian, conservator and legal representative all mean an individual appointed and regularly reviewed by a State court or agency empowered under State law to appoint and review such officers and having authority to make all decisions on behalf of individuals with developmental disabilities." It is uncontroverted that New York State has no formal appointing or reviewing process for designating family members as "actively involved." The OPWDD argues that it has sufficient procedures in place to designate a family member as a legal guardian within the ambit of the federal requirements. The OPWDD's regulations define an "[a]ctively involved adult family member" as "[s]omeone 18 years of age or

older who is related to a person in a facility and who has demonstrated, in the opinion of the interdisciplinary team, significant and ongoing involvement in the individual's life, as well as sufficient knowledge of the individual's needs" (14 NYCRR 681.99 [k]). While it may be true, as the majority notes, that the OPWDD's regulatory authority may have "the force of law" (majority op at 126), this informal process as defined in the OPWDD's regulations does not adequately regulate the appointment or the reviewing process as opposed to a court appointed guardian pursuant to the provisions of Mental Hygiene Law article 81 or Surrogate's Court Procedure Act article 17-A, wherein much court oversight exists. Therefore, as a matter of law, the OPWDD's regulation is inadequate to fulfill the requirements of 45 CFR 1386.19.

Accordingly, I would vote to modify the Appellate Division order as indicated above and grant the petition to the extent of ordering respondents to provide petitioners the clinical records as well as the system data facility records sought.

Judges READ, PIGOTT and JONES concur with Judge GRAFFEO; Judge CIPARICK dissents in a separate opinion in which Chief Judge LIPPMAN and Judge SMITH concur.

Order modified, etc.

[969 NE2d 199, 946 NYS2d 83]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS RAMOS, Appellant.

Argued March 21, 2012; decided May 1, 2012

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 18, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Guy J. Mangano, Jr., J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Ramos, 80 AD3d 716, affirmed.

HEADNOTE

Crimes — Manslaughter — Sufficiency of Evidence — Intent to Cause Serious Physical Injury

Defendant's conviction for manslaughter in the first degree was supported by legally sufficient evidence since a reasonable jury could have concluded that defendant, who had been involved in a street altercation, and then retrieved a gun and allegedly shot six times into a nearby crowd, fired his gun with the intent to cause serious physical injury and, as a result, caused the victim's death (Penal Law § 125.20 [1]). Based on the trial testimony, the jury could have determined that defendant was embarrassed when he was mocked by the individuals who witnessed his prior altercation on the street. The timing of his retrieval of the gun and his use of it to shoot into a group of people standing outside a nearby bodega further supported the finding that defendant acted with the requisite intent. Moreover, from defendant's own after-the-fact statement that he did not believe his small caliber weapon would kill anyone, the jury could draw the inference that he did believe shooting the gun would cause serious physical injury and that he intended that result. The conclusion that defendant intended to cause serious physical injury was not negated by the possibility that his conduct also might have been deemed consistent with a reckless state of mind.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 10, 46–48, 89.

McKINNEY's, Penal Law § 125.20 (1).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 544, 546, 592.

ANNOTATION REFERENCE

See ALR Index under Homicide; Manslaughter.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Katherine A. Levine* and *Lynn W.L. Fahey* of counsel), for appellant. The evidence was insufficient to sustain appellant's conviction of first-degree manslaughter because the People failed to establish that he intended to cause serious physical injury to any particular person or persons when he fired indiscriminately into a crowd. (*Jackson v Virginia*, 443 US 307; *In re Winship*, 397 US 358; *People v Wells*, 7 NY3d 51; *People v Fernandez*, 88 NY2d 777; *Matter of Jenna V.*, 55 AD3d 1341; *People v Young Min Kwak*, 29 AD3d 385; *People v Robertson*, 302 AD2d 956; *People v Spaulding*, 247 AD2d 762; *People v Payne*, 3 NY3d 266; *Darry v People*, 10 NY 120.)

Charles J. Hynes, District Attorney, Brooklyn (*Jill Oziemblewski* and *Leonard Joblove* of counsel), for respondent. Defendant failed to preserve his claim that the evidence was legally insufficient to support his conviction of first-degree manslaughter. In any event, the evidence was legally sufficient to support that conviction. (*People v Hawkins*, 11 NY3d 484; *People v Gallagher*, 69 NY2d 525; *Matter of Suarez v Byrne*, 10 NY3d 523; *People v Wells*, 7 NY3d 51; *People v Jones*, 41 AD3d 507; *People v Rivera*, 268 AD2d 445; *People v Fernandez*, 88 NY2d 777; *People v Robertson*, 302 AD2d 956; *Jackson v Virginia*, 443 US 307; *People v Rossey*, 89 NY2d 970.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The question presented by this appeal is whether there is legally sufficient evidence to sustain defendant's conviction for manslaughter in the first degree. Defendant maintains that there was insufficient evidence that he intended to cause serious physical injury when he fired a gun into a crowd of people. Under the circumstances presented, the evidence was legally sufficient and we therefore uphold the conviction.

Just before midnight on October 2, 2004, defendant was involved in a physical altercation on a Brooklyn street with a woman named Norma. Shortly thereafter, Norma met her brother at a nearby bodega and, together, they returned to the

block to confront defendant. Defendant apparently was on the losing end of their second skirmish and was laughed at by several individuals who witnessed the encounter.

Defendant then obtained a small handgun from a nearby building and proceeded to the corner bodega. At that time of night, the bodega provided service through an open window and there was a group of people waiting outside. Six shots were fired into the crowd and the victim, Harold Mason, was killed. Witnesses saw defendant running from the scene with the gun. He was not arrested until about two years after the shooting. At trial, a witness testified to a conversation he had with defendant about two months after the incident, in which defendant stated, when asked why he shot the victim, that “he was high and drunk, and he blacked out, and he went to the corner and started spraying, shooting.” Defendant also indicated that, given the small caliber of his weapon, “[h]e didn’t think it would kill anybody.”

Defendant was indicted for two counts of intentional second degree murder—one count based on a theory that he intended to kill Mason and the other based on a theory of transferred intent.* Before the case was submitted to the jury, the court granted defendant’s motion to dismiss the count that was based on the theory that defendant intended to kill Harold Mason, finding no evidence to support the conclusion that defendant targeted Mason in particular. Defendant also moved to dismiss the transferred intent charge, arguing there was insufficient evidence that he intended to cause the death of a person and, instead, the evidence reflected a reckless act. The court denied the motion to dismiss that count and, over defendant’s objection, submitted the lesser included offense of manslaughter in the first degree to the jury (*see* Penal Law § 125.20 [1] [“A person is guilty of manslaughter in the first degree when . . . [w]ith intent to cause serious physical injury to another person, he causes the death of such person or of a third person”]). At defendant’s request, the court also submitted the count of manslaughter in the second degree.

The jury acquitted defendant of second degree murder, but convicted him of first degree manslaughter. The Appellate Division affirmed, finding that there was legally sufficient evidence

* Defendant was also indicted for criminal possession of a weapon in the third and fourth degrees, but both of those charges were dismissed prior to deliberations.

to establish defendant's guilt beyond a reasonable doubt (80 AD3d 716 [2d Dept 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 799 [2011]) and we now affirm.

In determining whether the evidence is legally sufficient to support defendant's conviction, we must evaluate "whether, 'after viewing the evidence in the light most favorable to the [People], any rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt' " (*People v Santi*, 3 NY3d 234, 246 [2004], quoting *Jackson v Virginia*, 443 US 307, 319 [1979]; see also *People v Contes*, 60 NY2d 620, 621 [1983]). Where there is "any valid line of reasoning and permissible inferences which could lead a rational person to the conclusion reached by the jury on the basis of the evidence at trial," the defendant's conviction will be upheld (*People v Bleakley*, 69 NY2d 490, 495 [1987]).

Viewing the evidence in the light most favorable to the People, a reasonable jury could have concluded that defendant fired his gun with the intent to cause serious physical injury and, as a result, caused Mason's death. Based on the trial testimony, the jury could have determined that defendant was embarrassed when he was mocked by the individuals who witnessed his prior altercation on the street. The timing of his retrieval of a gun and his use of it to shoot into a group of people standing outside a nearby bodega, further supports the finding that defendant acted with the requisite intent. Moreover, from defendant's own after-the-fact statement that he did not believe his small caliber weapon would kill anyone, the jury could draw the inference that he did believe shooting the gun would cause serious physical injury and that he intended that result. Under these circumstances, defendant's conviction for manslaughter in the first degree was supported by legally sufficient evidence.

This conclusion is not negated by the possibility that defendant's conduct also might have been deemed consistent with a reckless state of mind. There is no contradiction in saying that a defendant intended serious physical injury, and was reckless as to whether or not death occurred (see *Matter of Suarez v Byrne*, 10 NY3d 523, 540-541 [2008]; *People v Trappier*, 87 NY2d 55, 57 [1995]).

Nor is our holding here inconsistent with our remark that shooting into a crowd is a "[q]uintessential example[]" of depraved indifference murder (see *People v Suarez*, 6 NY3d 202,

214 [2005]). The People, not having brought a depraved indifference charge, made no attempt to prove that defendant shot into a crowd without knowing or caring whether he would kill anyone. The People claimed that defendant intended to kill—a contention the jury rejected—and in the alternative that he intended serious physical injury, a contention the jury accepted, and one supported by the evidence.

To the extent that defendant maintains the evidence was legally insufficient under a theory of transferred intent because it failed to establish that he intended to injure a particular person, that argument is not preserved for our review.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[969 NE2d 202, 946 NYS2d 86]

In the Matter of EYAL OVADIA et al., Appellants, v OFFICE OF
THE INDUSTRIAL BOARD OF APPEALS et al., Respondents.

Argued March 20, 2012; decided May 1, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 8, 2011, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in New York County). The Appellate Division (1) confirmed a determination of respondent Office of the Industrial Board of Appeals, which had affirmed an order of respondent Commissioner of the Department of Labor directing petitioners to pay the claimants' unpaid wages, (2) denied the petition to annul the determination, and (3) dismissed the proceeding.

Matter of Ovadia v Office of the Indus. Bd. of Appeals, 81 AD3d 457, reversed.

HEADNOTES**Employment Relationships — Wages — Responsibility of General Contractor for Wages of Subcontractor's Employees — Lack of Indicia of Joint Employment**

1. Respondent Office of the Industrial Board of Appeals erred in determining that petitioner general contractor acted as a joint employer of masonry workers, who were employed by one of its subcontractors, and was therefore responsible for the masonry workers' unpaid wages, where the Board's factual findings indicated nothing more than that the usual contractor/subcontractor relationship existed between the petitioner and the masonry subcontractor. In the typical general contractor/subcontractor context, a general contractor is not an employer of its subcontractors' employees. The Board, however, erroneously relied on several characteristics of the business relationship here that, if applied consistently in the construction realm, would likely render most general contractors the joint employers of their subcontractors' employees. That the general contractor provided the work site and materials used by the workers was not an indication that it was a joint employer, since providing work sites and materials is a common occurrence at construction sites. In addition, it was not a sign of joint employment that the unpaid workers worked full time for the duration of the period that the subcontract was in effect as it is to be expected that a subcontractor's workers would continue working for the term of the contract. Furthermore, inasmuch as a general contractor is expected to conduct routine quality control inspections and ensure that the coordination and sequencing of the work proceeds on schedule, petitioner's performance of these tasks did not render it an employer of all workers at the job site.

Employment Relationships — Wages — Responsibility of General Contractor for Wages of Subcontractor's Employees — Question of Fact Regarding Joint Employment

2. In a proceeding to review respondent Office of the Industrial Board of Appeals' determination that petitioner general contractor was a joint employer of masonry workers who were employed by a subcontractor who failed to properly pay them, although petitioner was not an employer of the workers for the period when the subcontractor was actively involved in the construction project, an open question remained as to whether it became an employer of the subcontractor's laborers for a six-day period after the subcontractor had abandoned the project. Respondent acknowledged the conflicting testimony given by the general contractor's owner and a masonry worker as to representations made during a conversation following the subcontractor's disappearance regarding payment of the workers if they returned to work, but the Board did not indicate whose version it credited. Therefore the matter was remitted to the Board for a determination of whether the owner made an enforceable promise to pay the workers for their continued work following the subcontractor's disappearance, and whether the workers relied on his promise by continuing to work at the construction site for the following six days.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 5; AM JUR 2d, Independent Contractors §§ 8–14, 19–24.

NY JUR 2d, Agency and Independent Contractors §§ 391, 394, 400; NY JUR 2d, Employment Relations §§ 62, 847, 848.

ANNOTATION REFERENCE

See ALR Index under Independent Contractors; Labor and Employment.

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POINTS OF COUNSEL

D'Agostino, Levine, Landesman & Lederman, LLP, New York City (*Bruce H. Lederman* of counsel), for appellants. I. It was an error of law to find HOD Construction Corp. and its owner liable as joint employers. (*Bynog v Cipriani Group*, 1 NY3d 193; *Zheng v Liberty Apparel Co. Inc.*, 355 F3d 61.) II. The determination made following the hearing was not supported by substantial evidence and was arbitrary and capricious. III. Any alleged guaranty violates the statute of frauds. IV. The Industrial Board of Appeals acted arbitrarily and capriciously in deciding the case based upon a joint employment theory which was never

raised by the Department of Labor. V. Practical realities of construction projects mandate reversal.

Eric T. Schneiderman, Attorney General, New York City (Richard Dearing, Barbara D. Underwood and Leslie B. Dubeck of counsel), for respondents. I. Under the Labor Law, a general contractor is a joint employer where economic realities show that the general contractor has “permitted or suffered” laborers to work. (*Rutherford Food Corp. v McComb*, 331 US 722; *Antenor v D & S Farms*, 88 F3d 925; *People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25; *Miller v North Hudson Contr. Co.*, 166 App Div 348; *Nationwide Mut. Ins. Co. v Darden*, 503 US 318; *Falk v Brennan*, 414 US 190; *Barfield v New York City Health & Hosps. Corp.*, 537 F3d 132; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Chen v Street Beat Sportswear, Inc.*, 364 F Supp 2d 269.) II. Substantial evidence supports the Industrial Board of Appeal’s determination that HOD Construction Corp. and its owner were, in economic reality, joint employers of the bricklayers. (*Matter of Ridge Rd. Fire Dist. v Schiano*, 16 NY3d 494; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Stork Rest. v Bolland*, 282 NY 256; *Matter of Berenhaus v Ward*, 70 NY2d 436; *Barfield v New York City Health & Hosps. Corp.*, 537 F3d 132; *Rutherford Food Corp. v McComb*, 331 US 722; *Zheng v Liberty Apparel Co. Inc.*, 355 F3d 61; *People ex rel. Price v Sheffield Farms-Slawson-Decker Co.*, 225 NY 25; *Balbuena v IDR Realty LLC*, 6 NY3d 338; *Patel v Quality Inn S.*, 846 F2d 700.)

National Employment Law Project, New York City (Sarah Leberstein and Catherine K. Ruckelshaus of counsel), for Mason Tenders’ District Council of Greater New York and Long Island, amicus curiae. I. The Labor Law is a remedial statute that uniquely and broadly defines responsible “employers” to include employers who use contractors. (*Ansoumana v Gristede’s Operating Corp.*, 255 F Supp 2d 184; *Lopez v Silverman*, 14 F Supp 2d 405; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Cromer [Transworld Sys.—Sweeney]*, 248 AD2d 773; *Rutherford Food Corp. v McComb*, 331 US 722; *A. H. Phillips, Inc. v Walling*, 324 US 490; *Tennessee Coal, Iron & R. Co. v Muscoda Local No. 123*, 321 US 590; *Nationwide Mut. Ins. Co. v Darden*, 503 US 318; *Secretary of Labor, United States Dept. of Labor v Lauritzen*, 835 F2d 1529.) II. Construction employers consistently and increasingly use subcontractors, and

many of these arrangements result in violations of basic wage and hour standards, so holding contractors accountable is important. (*Mendoza v Essential Quality Constr., Inc.*, 691 F Supp 2d 680; *Zheng v Liberty Apparel Co. Inc.*, 355 F3d 61; *Lopez v Silverman*, 14 F Supp 2d 405; *Itzep v Target Corp.*, 543 F Supp 2d 646; *Zavala v Wal-Mart Stores, Inc.*, 393 F Supp 2d 295; *Coke v Long Is. Care At Home, Ltd.*, 376 F3d 118; *Vizcaino v Microsoft Corp.*, 97 F3d 1187, 522 US 1098; *Falk v Brennan*, 414 US 190; *Asselta v 149 Madison Ave. Corp.*, 65 F Supp 385; *Hodgson v Arnheim & Neely, Inc.*, 444 F2d 609.)

OPINION OF THE COURT

GRAFFEO, J.

The sole issue on this appeal is whether a general contractor acted as a joint employer of masonry workers, who were employed by one of its subcontractors, thereby owing unpaid wages to the subcontractor's workforce.

In 2006, a real estate developer hired HOD Construction Corp. (HOD) to act as general contractor for the construction of two multifamily residences in Queens. HOD entered into a subcontract with Well Built Construction Corp. (Well Built) for the masonry work on the project. Pursuant to the subcontracting agreement, HOD paid Well Built and, in turn, Well Built paid the wages of its workers. Well Built employed approximately 22 laborers, who worked various hours and brought their own tools to the job. The masonry workers were supervised by Well Built's principal, Martin Bruten, and another individual who allegedly worked as a foreman or supervisor for Well Built.¹ The owner of HOD, Eyal Ovadia, visited the work site several times a day but spoke only with Bruten or the foreman; he did not directly supervise Well Built's workforce.

Bruten periodically underpaid the laborers for the work they performed and, about three months into the project, he abandoned the job and ceased paying his workers. After Bruten failed to return to the job site, a group of masonry workers—most of whom spoke little English—arrived at HOD's headquarters demanding to be paid and threatening to leave the project. Ovadia spoke privately with one of the workers, Inocencio Reyes Navarrete, but there is now a dispute as to the content of that conversation and any representations made. Navarrete testified

1. It is unclear in the record who employed the individual referred to as "Anthony" but it appears that he was not employed by HOD.

before a hearing officer of the respondent Office of the Industrial Board of Appeals (the Board) that Ovadia told him “not to worry about it, that there are two floors that need to be finished, that keep working, that he [Ovadia] will pay us.” Ovadia, on the other hand, stated that he did not promise to pay Well Built’s workers but advised Navarrete that the workers needed to speak with Bruten. Ovadia further claimed that he made several attempts to reach Bruten by telephone but was unsuccessful.

Navarrete alleged that, following the conversation with Ovadia, he informed the other Well Built laborers that Ovadia agreed to pay their wages if they finished the job. Therefore, the laborers returned to the job site and continued to work on the project for another six days. On the seventh day, Ovadia hired a new masonry subcontractor with a different work crew, and Well Built’s employees were removed from the site without payment.

Upon the filing of a claim for unpaid wages by the Well Built employees, respondent New York State Department of Labor (DOL) conducted an investigation and issued an order concluding that HOD assumed the status of an “employer” of Well Built’s workers, as that term is defined in the Labor Law. DOL ordered HOD to pay over \$117,000, which represented past-due wages covering the three-month period, including the six days the workers remained on the job after Bruten’s departure, along with penalties and interest.² HOD sought administrative review and, after a hearing, the Board upheld the DOL’s order, holding that HOD and Well Built jointly employed the workers. HOD and Ovadia then commenced this CPLR article 78 proceeding seeking to annul the Board’s ruling. Upon transfer from Supreme Court, the Appellate Division confirmed the Board’s determination and dismissed the petition (*Matter of Ovadia v Office of the Indus. Bd. of Appeals*, 81 AD3d 457 [1st Dept 2011]). We granted leave to appeal (17 NY3d 702 [2011]).

Labor Law § 190 defines the term “employer” as “includ[ing] any person, corporation, limited liability company, or association employing any individual in any occupation, industry, trade, business or service” (Labor Law § 190 [3]). An “employee” is described in the statute as “any person employed for hire by an

2. DOL also assessed the same sum against Well Built and Bruten. Neither Well Built nor Bruten appeared before the Board and they are not parties to this appeal.

employer in any employment” (Labor Law § 190 [2]). Furthermore, to be “employed” under the Labor Law means that a person is “permitted or suffered to work” (Labor Law § 2 [7]).³

[1] Despite these seemingly broad definitions, we have recognized that in the typical general contractor/subcontractor context, a general contractor is not an employer of its subcontractors’ employees (see *Duda v Rouse Constr. Corp.*, 32 NY2d 405, 409 [1973]; *Sweezy v Arc Elec. Constr. Co.*, 295 NY 306, 310-311 [1946]; see also *Gambella v Johnson & Sons, Inc.*, 285 App Div 580, 581 [2d Dept 1955]). As a practical matter, general contractors in the construction industry do not hire or supervise the workers employed by their subcontractors; they do not usually maintain the employment records for each worker or track the individual workers’ schedules or rates of pay. The primary objective of a general contractor is to keep the project on schedule and to coordinate the work among subcontractors in order to avoid costly delays in the completion of the project. Thus, general contractors frequently interact with the principals and supervisors of the subcontractors and generally have no direct control or functional supervision over the employees performing work for the subcontractors.

Applying the federal six-factor test from *Zheng v Liberty Apparel Co. Inc.* (355 F3d 61, 72 [2d Cir 2003])⁴ for considering whether the “economic reality” between entities in a given

3. An employment relationship is not the only means by which a general contractor such as HOD can become obligated to pay workers on a construction site. Under the Lien Law, as a general contractor, HOD is the trustee of funds the developer transferred to HOD for payment to subcontractors and laborers working on the project (see Lien Law § 70 [1], [2]). Well Built’s workers are the beneficiaries of that trust (see Lien Law § 71 [4]). The record does not indicate whether the Well Built laborers pursued relief under this provision, which contains a one-year limitation period for commencing an action to enforce the trust (see Lien Law § 77 [2]).

4. The *Zheng* factors assess:

“(1) whether [the entity’s] premises and equipment were used for the [laborers’] work; (2) whether the [subcontractor] had a business that could or did shift as a unit from one putative joint employer to another; (3) the extent to which [the laborers] performed a discrete line-job that was integral to [the entity’s] process of production; (4) whether responsibility under the contracts could pass from one subcontractor to another without material changes; (5) the degree to which the [entity] or [its] agents supervised [the laborers’] work; and (6) whether [the laborers] worked exclusively or predominantly for the [entity]” (355 F3d at 72).

business relationship supports the theory of “joint employment,” the Board concluded that HOD met certain factors supporting joint employer status.⁵ In reaching that conclusion, however, the Board relied on several characteristics that, if applied consistently in the construction realm, would likely render most general contractors the joint employers of their subcontractors’ employees—a proposition that does not reflect the actual relationships in the construction industry. For instance, the Board stated that HOD “provided the work site and materials used by the [workers] to perform” their tasks. But this is a common occurrence at construction sites. In most commercial construction projects, the architect or owner selects the materials to be used, then pursuant to the terms of the relevant contract, the general contractor, construction manager or subcontractor orders the materials from suppliers for delivery to the job venue. Such a usual occurrence at construction projects should not determine the nature of employment relationships.

The Board also emphasized that the unpaid laborers worked full time at the project for the duration of the three-month period that HOD contracted with Well Built to do the masonry work. It is difficult to see how this fact contributes to the conclusion that HOD was a joint employer since it is to be expected that a subcontractor’s workers would continue working for the term of the contract. And it appears that the Board credited Ovadia’s testimony, corroborated by the workers, that, although he frequently visited the work site, he did not give directions or instructions to the laborers but communicated only with Bruten or the foreman. Inasmuch as a general contractor is expected to

5. The Board does not argue that we should defer to its interpretation of the relevant statutes, nor is this a case where such deference would be appropriate (see *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005]; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353, 359-360 [1994]). The Board’s determination did not involve an application of any specialized “factual data” or draw on any “knowledge [or] understanding of underlying operational practices” (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231 [1996]; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). Rather, its ruling involved a question “of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285 [2009]; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]; *Kurcsics*, 49 NY2d at 459) and its factual findings plainly indicate that HOD and Well Built engaged in a standard contractor/subcontractor relationship.

conduct routine quality control inspections and ensure that the coordination and sequencing of the work proceeds on schedule, this fact does not render the general contractor an employer of all workers at the job site. Hence, the Board erred as a matter of law in relying on these particular factors in reaching its determination of joint employment. Because the Board's factual findings indicate nothing more than that the usual contractor/subcontractor relationship existed between HOD and Well Built during the three-month period that Bruten was on the job, we need not resort to federal precedent to resolve this issue. In any event, even were we to apply the *Zheng* test, we would hold that HOD was not a joint employer of Well Built's employees.⁶

Although we find evidence of a joint employment relationship lacking here during the period that Well Built was on the job, our holding should not be misconstrued as a conclusion that a general contractor in a construction setting can never be an employer of its subcontractor's employees. Certainly, there may be situations where the business relationship between a general contractor and a subcontractor supports the finding that the general contractor assumed the role of employer of the subcontractor's workforce.

[2] Even in this case, an open question remains as to whether HOD became an employer of Well Built's laborers for the six-day period after Well Built and Bruten abandoned the project. In its decision, the Board acknowledged the conflicting testimony given by Ovadia and Navarrete as to the representations made during the conversation that occurred at HOD's office, but the Board did not indicate whose version it credited. We therefore remit to the Board for a determination of whether Ovadia made an enforceable promise to pay the workers for their continued work following Bruten's disappearance and whether the workers relied on his promise by continuing to work at the construction site for the following six days (*see generally Clifford R. Gray, Inc. v LeChase Constr. Servs.*, 51 AD3d 1169, 1170 [3d Dept 2008]; *Bunkoff Gen. Contrs. v Dunham Elec.*, 300 AD2d 976, 978 [3d Dept 2002]). If the Board concludes that Ovadia

6. That HOD "controlled" the premises of the construction site is not significant since a general contractor by definition must maintain such general oversight of the project. Further, as the *Zheng* court recognized, no single factor is dispositive and the courts must consider the "industry custom and historical practice" of a given industry (355 F3d at 73). In the construction industry the practice of subcontracting the various phases of the work is well-established and no evidence exists that it was implemented in order to avoid compliance with the provisions of the Labor Law (*see id.* at 74).

represented that he would pay the laborers' wages, then the provisions of Labor Law § 190 may apply and the Board could calculate the amount of unpaid wages earned during that time period, together with any applicable penalty and interest.

Accordingly, the judgment of the Appellate Division should be reversed, with costs, and the matter remitted to that court, with directions to remand to the Industrial Board of Appeals for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Judgment reversed, etc.

[970 NE2d 380, 947 NYS2d 357]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KHEM-
WATTIE BEDESSIE, Appellant.

Argued February 9, 2012; decided March 29, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 16, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Michael B. Aloise, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, sexual abuse in the first degree (six counts), and endangering the welfare of a child.

People v Bedessie, 78 AD3d 960, affirmed.

HEADNOTE

Crimes — Witnesses — Expert Witness — Testimony Regarding Reliability of Confession

In a prosecution for rape and other crimes arising out of defendant's alleged sexual abuse of a four-year-old boy, wherein defendant recanted statements she made to police admitting to sexual encounters with the boy, the trial judge did not abuse his discretion when he excluded proposed expert testimony on the issue of the reliability of a confession without holding a *Frye* hearing to assess whether any principles about which the expert proposed to testify were generally accepted in the scientific community. In a proper case expert testimony on the phenomenon of false confessions should be admitted, i.e., an expert in the discipline of psychiatry, psychology or social sciences may testify to educate a jury about factors of personality and situation considered by the scientific community to be associated with false confessions. While the expert may not testify as to whether a particular defendant's confession was or was not reliable, the expert's proffer must be relevant to the defendant and interrogation before the court. The trial court's discretion in admitting and limiting expert testimony should be guided by whether the proffered testimony would aid a lay jury in reaching a verdict, but the circumstance that an expert's testimony to some degree invades the jury's province alone is not an adequate basis for rejecting it. Here, the expert's proffer had nothing to say that was relevant to the circumstances of defendant's case. The report representing the expert's proposed testimony, which included discussion of false accusations by and the suggestibility of young children, criticism of the interrogating detective's failure to record the initial interview, personality traits that studies have linked to false confessions, the issue of the conditions and characteristics of an interrogation that might induce a person to confess falsely, generalizations about the detective's aggressive and threatening behavior, and the "treatment alternative strategy" as influential in false confessions, was filled with discussion of extraneous matters, speculation and conclusions based on facts unsupported by even defendant's version of her interrogation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence §§ 4, 25, 28, 29, 175.
CARMODY-WAIT 2d, Particular Types of Evidence
§§ 194:175, 194:191–194:193.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Evidence and Witnesses §§ 650, 745.

ANNOTATION REFERENCE

Admissibility of expert testimony regarding credibility of confession. 73 ALR5th 581.

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POINTS OF COUNSEL

Law Office of Ronald L. Kuby, New York City (*Ronald L. Kuby* and *Lea Spiess* of counsel), for appellant. I. The trial court erroneously admitted the medical records of Dr. Rosenfeld, containing the double hearsay statement allegedly made by the victim to his mother that someone “put his peepee in her wee-wee.” Without that inadmissible statement, the evidence was legally insufficient to support defendant’s conviction of rape. (*People v Ballerstein*, 52 AD3d 1192; *Rivera v City of New York*, 293 AD2d 383; *People v Lipsky*, 57 NY2d 560; *People v Reade*, 13 NY2d 42; *People v Lytton*, 257 NY 310; *People v Taleisnik*, 225 NY 489; *People v Deacons*, 109 NY 374; *People v Roach*, 215 NY 592; *People v Murray*, 40 NY2d 327; *People v Dunbar*, 205 Misc 630.) II. The trial court’s exclusion of expert testimony on false confessions was an abuse of discretion. (*United States v Hall*, 93 F3d 1337; *People v Kogut*, 10 Misc 3d 305; *People v Taylor*, 75 NY2d 277; *Smith v United States*, 348 US 147; *Singletary v Fischer*, 365 F Supp 2d 328; *People v Wiggins*, 16 Misc 3d 1136[A], 2007 NY Slip Op 51715[U]; *People v Green*, 250 AD2d 143; *People v Philips*, 180 Misc 2d 934; *People v Days*, 31 AD3d 574, 7 NY3d 811; *People v LeGrand*, 8 NY3d 449.) III. Defendant was denied her right to effective assistance of counsel under the constitutions of the State of New York and the United States of America. (*People v Lombardi*, 139 AD2d 767, 72 NY2d 920; *People v Henry*, 95 NY2d 563; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *Gersten v Senkowski*, 299

F Supp 2d 84, 426 F3d 588, 547 US 1191; *Eze v Senkowski*, 321 F3d 110; *People v Clarke*, 66 AD3d 694; *People v De Jesus*, 42 NY2d 519.)

Richard A. Brown, District Attorney, Kew Gardens (*Laura T. Ross* and *John M. Castellano* of counsel), for respondent. I. The victim's statements contained in the medical records were properly admitted and any error was harmless. (*People v Liccione*, 50 NY2d 850; *People v Kello*, 96 NY2d 740; *People v Graves*, 85 NY2d 1024; *People v Kennedy*, 68 NY2d 569; *People v Ortega*, 15 NY3d 610; *Williams v Alexander*, 309 NY 283; *Johnson v Lutz*, 253 NY 124; *Matter of Leon RR*, 48 NY2d 117; *People v Taylor*, 80 NY2d 1; *Cover v Cohen*, 61 NY2d 261.) II. The trial court properly exercised discretion in denying defendant's request to introduce expert testimony regarding false confessions, and any error in the ruling was harmless. (*People v LeGrand*, 8 NY3d 449; *People v Hill*, 85 NY2d 256; *People v Taylor*, 75 NY2d 277; *People v Cronin*, 60 NY2d 430; *People v Keindl*, 68 NY2d 410; *People v Shepard*, 259 AD2d 775; *People v Young*, 7 NY3d 40; *People v Ciaccio*, 47 NY2d 431; *People v Williams*, 6 NY2d 18; *People v Wiggins*, 16 Misc 3d 1136[A], 2007 NY Slip Op 51715[U].) III. Defendant was afforded meaningful representation both before and during trial. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Baker*, 14 NY3d 266; *People v Satterfield*, 66 NY2d 796; *People v Borrell*, 12 NY3d 365; *People v Turner*, 5 NY3d 476; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *Strickland v Washington*, 466 US 668; *People v Ryan*, 90 NY2d 822.)

OPINION OF THE COURT

READ, J.

In this appeal, we are asked for the first time to consider the admissibility of expert testimony proffered on the issue of the reliability of a confession. While in a proper case expert testimony on the phenomenon of false confessions should be admitted, the expert here did not propose testimony relevant to this defendant or her interrogation. As a result, the trial judge did not abuse his discretion when he declined to hold a *Frye* hearing to assess whether any principles about which the expert proposed to testify were generally accepted in the scientific community, or to permit the expert to testify.

I.

Defendant Khemwattie Bedessie, who worked as a teacher's assistant at Veda's Learning World in Queens, New York, is alleged to have sexually abused a four-year-old boy left in her

care. In particular, she is accused of pressing the boy's hand to her partially exposed breast, and touching his penis on three separate occasions between January 2 and February 11, 2006. During the last of these sexual encounters, defendant is also alleged to have placed the boy's penis against and into her vagina. Suspicion that defendant had sexually abused the boy first surfaced on February 19, 2006, a Sunday. The boy, who was recovering from a virus, had developed a rash in his rectal area. After his mother finished bathing him that evening, he repeatedly complained of itching, causing his mother to ask him if anyone had touched him in his "private areas." The mother had asked her son this question before, and he had always replied "[n]o mommy." But this time, the boy answered "yes," that "Miss Anita," his name for defendant (along with "teacher"), "went up and down, up and down on his pee-pee." He asked his mother not to tell anyone, though, because "teacher" wanted him to keep this secret.

The mother sought medical attention for her son the next day. When she arrived at the hospital emergency room (the medical practice where she usually took him was closed for the President's Day holiday), she pulled the nurse aside and related what her son had revealed to her the night before. When examining the boy, the nurse asked him what happened at school. He said that Miss Anita had touched her "pishy" to his "pishy." The mother explained that "pishy" was her four year old's word for penis. The nurse asked the boy how Miss Anita had touched him, and he moved his hand around his penis in a circular fashion. The nurse notified the attending physician, who also examined the boy, and contacted the hospital's social worker. Hospital personnel got ahold of the police, who escorted the mother and the boy to the Queens Child Advocacy Center, where the boy underwent another medical examination. There they also met with Detective Ivan Bourbon. A 20-year police force veteran, Detective Bourbon was at the time working in the Queens Child Abuse Squad, which deals with allegations of physical and sexual abuse, neglect and assaults against children under 11 years of age.

Detective Bourbon was assigned to investigate this matter; he started out by gathering background information on the day care facility's owner and employees, generally by conducting various computerized searches. He visited the facility for the first time at night on February 21 or 22 (he was working the

night shift that week), just to observe the building. Detective Bourbon returned at midday on February 27, 2006, accompanied by two other detectives. He knocked on the door, identified himself to the lady who answered and asked to be shown around. He saw a room where he estimated that 9 to 10 children were sleeping or resting on cots; he also noticed three bathrooms on the first floor—one for boys, one for girls and one for staff. While Detective Bourbon was chatting with the lady who was giving him a tour, defendant walked in and was introduced to him as “Anita.”

Then on March 1, 2006, Detective Bourbon and the two other detectives visited the day care facility again, arriving at about 10:00 A.M. This time he asked defendant to accompany him to the Queens Child Advocacy Center for an interview. She agreed. Once there, Detective Bourbon took her to the interview room, a small room with a desk, chairs and a two-way mirror. He immediately read defendant her *Miranda* rights, and she signed a *Miranda* form. Detective Bourbon then told defendant that the boy had made an allegation and “that it was very important[,] that we are here to find out the truth and find out what happened there. I know what happened, now I need to hear from your side.” As he later testified at trial, Detective Bourbon did not, in fact, then have any idea what might have transpired between the boy and defendant beyond the boy’s bare-bones allegation. He also later testified that he did not raise his voice, promise defendant leniency or discuss punishment at all.

According to Detective Bourbon, defendant “looked at [him] in the eyes and she looked very nervous and . . . got to slowly explain how this boy . . . was very different” from the other children at the day care facility—that he “would come to [her and] use his hands to touch her breasts,” which led to an incident that occurred around noon time in early January, and then another in late January, early in the morning. Both times, she and the boy were in the bathroom. Defendant stated that she held the boy’s penis, “jerking him” while his pants were down, as she “play[ed] with herself[,] using her fingers.” Defendant then described a third encounter on a Monday morning in February. This time she dropped her pants, sat on the toilet in the teacher’s bathroom, and jerked the boy’s penis with one hand while she brought him forward into her vagina and pushed him in and out of her until he “start[ed] doing it himself . . . almost as if he had done this before.” The interview began at about 10:30 A.M. and lasted over an hour.

When defendant finished, Detective Bourbon asked her if she would sit down with him and someone from the District Attorney's Office to recount on video what she had just told him. She agreed, and he contacted the Queens District Attorney's Office at roughly 11:45 A.M. The detective commented that defendant, "in the early stages" of his interview with her, expressed some relief at "getting this off her chest" and "telling the truth," saying that she herself had difficulty understanding "what she had done to this child." Defendant then gave a videotaped statement in which she described the three episodes of sexual abuse in considerably greater detail. The videotaped statement began at 12:53 P.M. and ended at 1:20 P.M.

Defendant was arrested after she made her oral confession. She was subsequently indicted for first-degree rape (Penal Law § 130.35 [3] [engaging in sexual intercourse with a child under 11 years old]) (one count); first-degree sexual abuse (Penal Law § 130.65 [3] [subjecting a child under 11 years old to sexual contact]) (six counts); and endangering the welfare of a child (Penal Law § 260.10 [1] [knowingly acting in a manner likely to be injurious to the physical, moral or mental welfare of a child under 17 years old]) (one count). Defense counsel moved to suppress the oral and videotaped statements as involuntary. At the end of the *Huntley* hearing on January 19, 2007, at which Detective Bourbon testified, Supreme Court denied the motion.

On May 29, 2007, the day before the trial was scheduled to begin, defense counsel made an application to the judge for permission to introduce the testimony of Dr. Richard J. Ofshe, an expert in the field of false confessions, on "issues such as the social science research that indicates that false confessions do exist and research regarding the correlation between the use of certain police interrogation techniques and proven false confessions." Defense counsel informed the judge that if he granted the application, the defense would need an adjournment until after June 19, 2007, when Dr. Ofshe was scheduled to return from two months in Europe.

Reasoning by analogy to our decision in *People v LeGrand* (8 NY3d 449 [2007]), which dealt with expert testimony on eyewitness identification, defense counsel argued that the judge should at a minimum hold a *Frye* hearing on the admissibility of Dr. Ofshe's proffered testimony, and urged that defendant "need[ed] an expert on this vital issue" of false confessions in order to "mount a meaningful defense." His application included Dr. Ofshe's curriculum vitae and a report dated May 18, 2007. The

report indicated that Dr. Ofshe had interviewed defendant on March 11, 2007.

Before beginning jury selection, Supreme Court denied defense counsel's application. The judge stated that he had read the cases and memorandum submitted by counsel, and that it appeared that all or most of the decisions considered expert testimony on eyewitness identification. He commented that he was "not inclined to draw a parallel with respect to expert testimony of false confessions . . . [and] accuracy of identification testimony," stating as follows:

"I don't see in any way, shape or form how an expert can assist . . . juror[s] in their ability to draw conclusions from the evidence in a case by case basis [as to] whether or not a confession was falsely given. In this court's opinion jurors are completely and utterly competent to draw from their own life experiences, from their every day experiences whether or not a statement is in fact voluntary and knowingly given."

The judge further noted that, unlike the situation in "the identification cases," there was corroboration here if the jury believed the child.

During jury selection, defense counsel asked prospective jurors if they accepted the notion that "there are instances where there could be a false confession," and could "embrace that principle in the right circumstance even though there [was] not necessarily evidence of physical torture or abuse." Only one individual out of two panels of 14 prospective jurors voiced difficulty with this idea, saying that he considered it "pretty unusual that you'd get a false confession without some kind of extraordinary . . . torture tactic or some kind of crazy tactic." The judge granted defense counsel's for-cause challenge to this prospective juror.

The People called as witnesses the boy, his mother, the nurse who examined the boy at the emergency room and the doctor who examined him at the Queens Child Advocacy Center. This physician, a pediatrician and the Center's director, testified, among other things, that a four-year-old male could achieve an erection. Detective Bourbon took the stand, testifying as described earlier, and the jury was shown defendant's videotaped statement.

During the detective's testimony, defense counsel again brought up the subject of an expert on false confessions.

Supreme Court reiterated that a *Frye* hearing was not necessary because even if such evidence was scientifically valid, it might not be relevant in a particular case. He added that such expert testimony was not

“appropriate in this particular case and the Courts have held, in my opinion, in my research, that such testimony usurps comments to the jury.

“You do it in a case where there is little or no corroboration. In this particular case, this Court deemed, based upon the representation of the district attorney as to what the [child] was going to testify to, that there was ample corroboration, if believed, to support . . . the confession.”

Defendant presented two character witnesses. She also called the sister of the day care facility’s owner. This witness, a certified preschool teacher who helped her sister out three or four days a week in early 2006, described the facility’s physical layout and the procedures followed, including that employees were instructed never to enter the children’s bathroom and close the door, or take children into the staff bathroom; that the children used the cots only during their nap time from 12:30 to 2:30; and that noise coming from the bathrooms could be heard in the classroom. Dr. David Mantell, a forensic psychologist, testified about the proper technique for interviewing young children when investigating sexual abuse allegations. He opined that the mother’s practice of randomly and frequently asking her son whether anyone had touched him inappropriately had a “suggestive quality” to it and alerted the child to a particular area of parental concern; and that young children, who are especially susceptible to suggestion, have difficulty keeping track of whether they know something because it actually happened, or because someone important in their lives told them about it.

Defendant testified on her own behalf. She denied having sexual intercourse with the boy, denied that she placed his hand on her breast and denied that she touched his penis. Defendant said she accompanied Detective Bourbon to what he called his office at the behest of the day care facility’s owner, leaving at about 9:00 A.M. Upon arrival at their destination, the detective took her to a small room, placed a tape recorder on the table in the room and asked defendant if she knew why she was there. When she responded that she did not, he accused her of raping the boy, whose name he had written on a piece of paper that he

showed to her. Defendant testified that she asserted “[Y]ou can’t accuse me like that.” She also said that the detective claimed that he had a recording of her voice on the tape recorder “sexing” with the boy. Defendant challenged the detective “to play it and let [her] hear because [she] never done nothin’ to no kids.”

Detective Bourbon did not play the tape, but instead next confronted defendant with two options: to tell the truth and go home, or to go to Rikers Island jail, where she would be beaten. Defendant testified that she then “started to get scared” because she had never before experienced a “police problem.” At that point, she acquiesced, telling the detective she would “do anything” for him if he would let her go home to her sickly mother.

According to defendant, Detective Bourbon then began quizzing her about what she wore and how she sat when reading books to the children; he said “promise me that this is going to [be] between me and you; accept everything that I will tell you and you [are] going to go home because your brother is outside.” She later learned her brother was not outside, but she had no way of knowing it at the time because she could not “see anybody because [she] was in the room.” Defendant assured the detective that she would do anything he wanted as long as he sent her home. When he then wrote something on a piece of paper and directed her to sign it, she did so without reading what she was signing.

Defendant denied that anything she said during her videotaped confession was true, asserting that she “said all those things on tape” only because Detective Bourbon gave his word that he would let her go home to her mother if she did; and that she sincerely believed that if she admitted to the acts described in the videotape, the detective would let her leave because that was what he promised. Defendant claimed that she did not know the meaning of some of the words that Detective Bourbon coached her to say—including orgasm and climax—and that he told her to put her hands between her legs, to describe how a woman feels after sex and to describe the difference between how she felt having sex with an adult as opposed to a child. Defendant said that Detective Bourbon did not put her in handcuffs or restrain her before she made the statement. Nor did he threaten or hit her.

The jury convicted defendant on all counts. On July 31, 2007, Supreme Court sentenced her to determinate prison terms of 20

years plus five years of postrelease supervision on the first-degree rape conviction, to run concurrently with determinate prison terms of five years plus three years of post-release supervision on the sexual abuse convictions, and a definite term of one year on the child endangerment conviction. Defendant appealed.

In a decision dated November 16, 2010, the Appellate Division unanimously affirmed (78 AD3d 960 [2d Dept 2010]). The court rejected all of defendant's claims of error, concluding, in particular, that "in the context of this case, the Supreme Court providently exercised its discretion in precluding expert testimony on false confessions generally, and as to the defendant's particular susceptibility to make a false confession under police interrogation" (*id.* at 960). A Judge of this Court granted defendant leave to appeal (16 NY3d 828 [2011]), and we now affirm.

II.

That the phenomenon of false confessions is genuine has moved from the realm of startling hypothesis into that of common knowledge, if not conventional wisdom. After all, here there were two panels of prospective jurors, and during voir dire only one individual out of 28 questioned the proposition that an innocent person might confess to a crime he did not commit, even in the absence of physical coercion. This does not put off limits in every case, however, expert evidence on those factors that the scientific community has determined may contribute to a false confession.

Our decision in *People v Lee* (96 NY2d 157 [2001]) is instructive. Although *Lee* addressed expert evidence on the reliability of eyewitness identification, we there laid out broad principles governing the admissibility of expert psychological testimony; namely, "the admissibility and limits of expert testimony lie primarily in the sound discretion of the trial court," which should be guided by "whether the proffered expert testimony would aid a lay jury in reaching a verdict"; "courts should be wary not to exclude such testimony merely because, to some degree, it invades the jury's province"; "[d]espite the fact that jurors may be familiar from their own experience with factors relevant to the reliability" of the evidence at issue, "it cannot be said that psychological studies" bearing on reliability "are within the ken of the typical juror"; and since the expert testimony "may involve novel scientific theories and techniques, a trial court

may need to determine whether the proffered expert testimony is generally accepted by the relevant scientific community” (*id.* at 162 [internal quotation marks and citation omitted]).

The judge in this case declined to hold a *Frye* hearing. He reasoned that this was unnecessary because Dr. Ofshe’s expert testimony was not relevant and likely to assist the jurors in any way. He noted in particular that the jurors, based on their own life experiences, were competent to assess the reliability of defendant’s confession, and, indeed, the expert’s testimony threatened to usurp the jury’s function. Second, he concluded that the child’s testimony was likely to (and, in fact, did) corroborate defendant’s confession.

Of course, as we pointed out in *Lee*, an expert’s testimony, by its very nature, always to “some degree . . . invades the jury’s province” (*id.*), and so this circumstance alone is not an adequate basis for rejecting expert testimony. As for corroboration of defendant’s confession, the child’s testimony substantiated both commission of the offenses charged, as is necessary whenever a defendant confesses (*see* CPL 60.50), and defendant’s identity as his abuser. Defendant argued that this evidence was tainted by the suggestive, even though unintentional and well-meaning, influence of the mother, reinforced by the nurse and others who questioned the boy, who was of an age where suggestibility is a recognized risk. And certainly this is not a case where there was corroboration by verifiable evidence supplied in a defendant’s confession itself and previously unknown to the police. Defendant furnished most of the details of the crimes with which she was charged, but there was no way to validate her narration—recanted at trial—although it was consistent with the nature and timing of the boy’s allegation of sexual abuse. Whether or not his allegation alone was sufficient reason for the judge to deny defendant’s application, Dr. Ofshe’s proffer had nothing to say that was relevant to the circumstances of this case. The judge therefore did not abuse his discretion when he determined that Dr. Ofshe’s testimony would not assist the jury in evaluating the voluntariness and truthfulness of defendant’s confession or reaching a verdict.

Dr. Ofshe’s report was slightly over seven pages long. He represented at the outset that his proposed testimony would “involve three elements: presentation of information on the topic of police interrogation and tactics that can result in unreliable statements, information on the phenomenon of false confession and an analysis of Ms. Bedessie’s interrogation.” But the

body of his report was filled with discussion of extraneous matters, speculation and conclusions based on facts unsupported even by defendant's version of her interrogation. For example, Dr. Ofshe discussed at some length the "rash of day-care sexual abuse cases based on false accusations elicited from pre-school children," the suggestibility of very young children and the caution that must be exercised when "de-briefing" them. As noted earlier, defendant's theory of the case was that the mother unwittingly created an illusion of sexual abuse in her son's memory, which medical and law enforcement personnel bolstered by sloppy questioning. In other words, nothing improper happened to the boy, although he and his cadre of supporters may have sincerely thought otherwise. But this has nothing to do with any factors or circumstances correlated by psychologists with false confessions. In any event, defendant could—and did—fully explore her theory through cross-examination and the direct testimony of another expert, Dr. Mantell.

Dr. Ofshe also criticized at length Detective Bourbon's failure to videotape his interview with defendant and any discussions that took place between her oral and videotaped confessions, a period of slightly more than one hour in Detective Bourbon's telling; slightly more than two hours in defendant's. While electronic recording of interrogations should facilitate the discovery of false confessions and is becoming standard police practice, the neglect to record is not a factor or circumstance that might induce a false confession. Dr. Ofshe talked in his report about videotaping as a means to identify what is called "contamination"—inadvertent or deliberate police disclosure of nonpublic crime facts to the suspect during interrogation, which then seep into the suspect's confession and so make it seem more credible (*see Warney v State of New York*, 16 NY3d 428 [2011]). To this point, he asks "Were [the particular facts that came into the videotaped statement] volunteered by the suspect or deliberately or inadvertently revealed by the interrogator?" But contamination was never relevant in this case. All that Detective Bourbon knew at the time of the interview was that the boy had made an allegation that defendant sexually abused him by genital sexual contact.

Dr. Ofshe suggested that Detective Bourbon may have neglected to record the interrogation so that he could surreptitiously overbear defendant's will and then school her as to what to say in her videotaped confession; specifically, the detective's

"failure to record . . . deprives anyone seeking to evaluate the truthfulness of [defendant's] confession

of the evidence that would allow for this determination based on fact rather th[a]n prejudice. It would have been possible to evaluate whether she introduced the wealth of apparently corroborative information contained in the recorded statement, whether those parts of the recorded statement she introduced (if she is the source of any of it) were likely to be nothing more than inventions, and how much, if any, of the factual description of the sexual assaults contained in the confession was first provided by [Detective Bourbon] and then merely parroted by [defendant].”

This is argument and speculation, not a topic on which expert evidence might aid the jury in determining the reliability of defendant’s confession.

Research in the area of false confessions purports to show that certain types of defendants are more likely to be coerced into giving a false confession—e.g., individuals who are highly compliant or intellectually impaired or suffer from a diagnosable psychiatric disorder, or who are for some other reason psychologically or mentally fragile (see Chojnacki, Cicchini and White, *An Empirical Basis for the Admission of Expert Testimony on False Confessions*, 40 Ariz St LJ 1, 15-17 [2008] [discussing “dispositional factors” associated with false confessions]). Dr. Ofshe did not proffer testimony that defendant exhibited any of the personality traits that research studies have linked to false confessions. And in fact, defendant, although not well-educated, appeared at trial to be an adult of normal intelligence. She displayed no sign of any of the mental factors associated by psychiatrists or psychologists with individuals more likely to confess to crimes they did not commit.

Research also purports to identify certain conditions or characteristics of an interrogation which might induce someone to confess falsely to a crime (*id.* at 17-18 [discussing “situational factors” associated with false confessions]). Dr. Ofshe offered to “apply the published analysis of interrogation to the specifics” of defendant’s “deeply troubling” account of what happened to her. But his descriptions of the allegations on which he purported to base his expert opinion were general or vague and not, in fact, linked to any published analysis. First, he stated that defendant “report[ed] being tricked into accompanying

Detective [Bourbon] into his car and then being transported to a police facility.” But he never explained how she claimed to have been “tricked.” Defendant did not claim deception when she later testified at trial. As noted earlier, there she said that she left the day care center with Detective Bourbon at her employer’s direction.

Dr. Ofshe also stated that defendant told him that Detective Bourbon “very strongly” accused her of sexually abusing the child in an aggressive and threatening manner, demeaned her by using vulgar language and was “punishing” in other unspecified ways. Dr. Ofshe did not say what these generalizations about Detective Bourbon’s alleged behavior have to do with false confessions, based on published analyses of interrogations. And in her trial testimony, defendant did not portray Detective Bourbon as acting aggressively toward her during the interview. She claimed only that when he used the word “rape,” she immediately denied the accusation; and when he told her that he had a tape recording of her sexual encounter with the boy, she called his bluff by inviting him to play it for her, and he backed down.

As a final example, Dr. Ofshe commented that

“[i]n an interrogation such as [defendant’s] in which the investigator relies on evidence ploys (claims that overwhelming evidence links the suspect to the crime) to base his a[s]sertion that the suspect’s position is hopeless and therefore the suspect will be arrested, tried and convicted, introducing the treatment alternative strategy is likely to be very influential.”

He defines the “treatment alternative strategy” as offering a suspect a choice “between two alternatives . . . clearly linked to very different results.” In this case, he stated that Detective Bourbon “promised” defendant that “confession would result in nothing more than . . . being required to undergo counseling which . . . would happen in the building where she was being interrogated,” but that if she “continued to deny guilt she would be sent to Rikers Island where she would be brutalized by the other inmates because she was a child abuser.”

In the first place, Dr. Ofshe does not say that defendant ever informed him that Detective Bourbon made claims that there was “overwhelming evidence [linking her] to the crime”; he did not identify any published studies to support the proposition

that the “treatment alternative strategy” is generally accepted within the relevant scientific community as a situational factor associated with false confessions. And again, at trial defendant did not testify that she was offered treatment. She claimed that Detective Bourbon assured her there would be no repercussions if she confessed.

False confessions that precipitate a wrongful conviction manifestly harm the defendant, the crime victim, society and the criminal justice system. And there is no doubt that experts in such disciplines as psychiatry and psychology or the social sciences may offer valuable testimony to educate a jury about those factors of personality and situation that the relevant scientific community considers to be associated with false confessions. While the expert may not testify as to whether a particular defendant’s confession was or was not reliable, the expert’s proffer must be relevant to the defendant and interrogation before the court. Dr. Ofshe’s proffer does not meet this standard, and therefore the trial judge did not abuse his discretion when he excluded the proposed testimony, even assuming that the confession was not corroborated.

We have considered defendant’s other arguments and find them to be without merit. Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Mere acceptance that false confessions exist does not aid a jury in assessing the reliability of a thinly corroborated, recanted confession. Where, as here, there is little to no corroborating evidence connecting defendant to the commission of the crimes charged, a jury will benefit from the testimony of an expert explaining factors relevant to the reliability of a confession. Because I conclude, consistent with *People v LeGrand* (8 NY3d 449 [2007]), that the court abused its discretion by excluding defendant’s expert testimony, I respectfully dissent.

New York does not allow a defendant to “be convicted of any offense solely upon evidence of a confession” (CPL 60.50). Section 60.50 requires “additional proof that the offense charged has been committed.” Similarly, a “defendant may not be convicted of an offense solely upon unsworn evidence” given by a young child (CPL 60.20 [3]). Here, the evidence that led to defendant’s conviction consists of her confession and the unsworn

statements, both in court and out of court, of a young child.¹ In these circumstances, a *Frye* hearing to consider the admissibility of expert testimony on the reliability of the confession, at the very least, should have been conducted. Moreover, it would be error to exclude such testimony, assuming it satisfied the relevant prongs enunciated in *LeGrand* (a case where, upon reviewing the *Frye* hearing, this Court concluded that the expert established at the hearing that his conclusions were generally accepted, and thus the testimony was error to exclude). Undoubtedly, relevant testimony of an expert on the reliability of confessions according to scientifically accepted principles, as well as Criminal Procedure Law §§ 60.20 and 60.50, seeks to prevent a taint of the criminal justice system—wrongful convictions.

In *LeGrand*,

“we h[e]ld that where the case turns on the accuracy of eyewitness identifications and there is little or no corroborating evidence connecting the defendant to the crime, it is an abuse of discretion for a trial court to exclude expert testimony on the reliability of eyewitness identifications if that testimony is (1) relevant to the witness’s identification of defendant, (2) based on principles that are generally accepted within the relevant scientific community, (3) proffered by a qualified expert and (4) on a topic beyond the ken of the average juror” (*id.* at 452).

A similar rule should be extended to the phenomenon of false confessions. Where, aside from the confession, there is little or no evidence connecting the defendant to the charged crime, to exclude expert testimony on the reliability of the defendant’s disavowed confession would be an abuse of a trial court’s discretion “if that testimony is . . . ([1]) based on principles that are generally accepted within the relevant scientific community, ([2]) proffered by a qualified expert and ([3]) on a topic beyond the ken of the average juror” (*id.*).

1. Concerning the charges of sexual abuse and rape, the child testified that defendant “squeezed [his] penis.” When asked what did defendant do to him after defendant took her pants off, the child responded, “She just squeezed my pee-pee.” The child’s mother testified that he told her that defendant “went up and down, up and down on his pee-pee.” Lastly, the medical evaluation written by the Child Advocacy Center indicated that the child told his mother that defendant had sexually abused him and “reported that [defendant] put his ‘peepee in her weewee.’”

The majority observes that the trial judge concluded that a *Frye* hearing was unnecessary because the “expert testimony was not relevant and likely to assist the jurors” (majority op at 157). More specifically, the court noted that (1) “the jurors, based on their own life experiences, were competent to assess the reliability of defendant’s confession, and, indeed, the expert’s testimony threatened to usurp the jury’s function [and (2)] . . . that the child’s testimony was likely to . . . corroborate defendant’s confession” (*id.* at 157). Although the majority does not accept all of the judge’s observations, it nonetheless concludes, that such determination was not an abuse of discretion. I maintain, however, without a *Frye* hearing on the issue of whether the proposed testimony contained information generally accepted by the scientific community, such conclusion is not possible.

The majority questions the sufficiency of the proffer, curiously concluding that it was not “relevant to the defendant and interrogation before the court” (majority op at 161). Here, the proffer was made by a highly qualified individual as demonstrated by his curriculum vitae, who had previously testified in numerous cases where defendants raised the reliability of a confession as an issue. The proffer involved research concerning incidents that lead to false confessions and the tactics in this case that may have compromised the reliability of the confession. Additionally, Dr. Ofshe specifically applied his research to defendant’s interrogation and “formal” videotaped confession.²

2. Dr. Ofshe described “the *pre-admission* phase of the interrogation (that part of an interrogation in which a suspect is influenced to shift from denial to admission)” and “the *post-admission* phase (during which the confession statement is developed and memorialized)” and explained that a contemporaneous electronic recording would have allowed one to assess, in this case, “whether [defendant] complied with [the detective]’s demand for a confession due to psychological coercion or whether she voluntarily gave a confession presumably because she felt guilt about a crime she had committed.” He also explained that such a recording is necessary in the instant case for the following reasons: (1) “Physical evidence or lack thereof”; (2) “The suggestibility of very young children” and (3) “The de-briefing of very young children” (by a parent, rather than a professional in the area of child sexual abuse cases). While Dr. Ofshe’s report explained how to ensure the reliability of defendant’s confessions, he further explained how specific tactics employed could have led to psychological coercion and, thus, the unreliability of the videotaped confession. Specifically, Dr. Ofshe stated:

“The tactic that [defendant] describe[d] [detective] using is the psychologically coercive motivational strategy I most frequently find in use in improperly conducted sex[u]al abuse interroga-

(n. cont’d)

Such a proffer, which was indeed relevant to this specific case, is sufficient to warrant a *Frye* hearing on whether such information is generally accepted.

Moreover, in light of *Warney v State of New York* (16 NY3d 428 [2011] [claimant was incarcerated for a murder he did not commit based upon his false confession]), expert testimony in this area warrants close consideration. It may be that this issue is not only beyond the ken of an average juror but also beyond the ken of many jurists, as it was in the area of the accuracy of eyewitness identifications. Understandably, the concept that a person would voluntarily admit to a crime he or she did not commit is counterintuitive. As we have previously observed in *LeGrand*, a trial court is “obliged to exercise its discretion with regard to the relevance and scope of [the] expert testimony,” despite the conclusion that an expert should have been admitted in that case (8 NY3d at 459). Thus, not only would have it been proper to conduct a *Frye* hearing, but also proper to admit such testimony and limit it to information that is accepted by the scientific community and is relevant to this particular case.

In sum, it is necessary to extend *LeGrand* to the area of false confessions. Given the unreliability of the corroborating evidence—unsworn testimony and hearsay—it was an abuse of the court’s discretion to exclude expert testimony on the reliability of defendant’s recanted confession if the proffered testimony is indeed supported by the scientific community. Certainly, it was an abuse of discretion to deny a *Frye* hearing given that the proffer appeared to sufficiently highlight the issues relevant to the reliability of a confession and the factors that may have undermined the reliability of defendant’s confession in this case. Accordingly, I would reverse the Appellate Division order and order a new trial.

tions. I am familiar with this tactic because it has been repeatedly described to me by persons whose interrogations were not recorded and because I have observed it in use in fully recorded interrogations done by investigators who did not recognize how blatantly coercive it was and allowed themselves to be recorded. I’ve found this tactic in use in so many coercive sexual abuse interrogations that I’ve labeled it as ‘the treatment alternative strategy.’ ”

Dr. Ofshe then detailed the coercive tactics in this case and how they affect the reliability of a confession.

Judges CIPARICK, GRAFFEO, SMITH and PIGOTT concur with Judge READ; Judge JONES dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

[970 NE2d 816, 947 NYS2d 781]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAFAEL
RODRIGUEZ, Appellant.

Argued March 20, 2012; decided April 26, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 7, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (William A. Wetzel, J., at suppression motion; Michael R. Ambrecht, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the first degree and conspiracy in the second degree, and sentenced defendant to concurrent terms of imprisonment of 17 years and 5 to 15 years respectively. The modification consisted of remitting the matter to Supreme Court for the sole purpose of imposing a term of postrelease supervision in defendant's presence. The Appellate Division affirmed the judgment as modified.

People v Rodriguez, 77 AD3d 420, affirmed.

HEADNOTES**Crimes — Eavesdropping Warrants — Suppression of Wiretap Evidence Based on Lack of Notice Not Warranted without Showing of Prejudice**

1. A defendant seeking to suppress wiretap evidence based on the prosecution's violation of CPL 700.50 (3), which requires that written notice be given to a person named in an eavesdropping warrant within 90 days of the termination of the warrant, must show prejudice resulting from the lack of prearrest notice to prevail on the suppression motion. While the penalty for a violation of the statute is generally suppression, as is required in a sister provision applicable to defendants who have been arraigned (CPL 700.70), suppression is not required, despite the prosecution's violation of the terms of CPL 700.50 (3), when the defendant independently knew of an eavesdropping warrant within the prescribed time period. This rationale implicitly rests on the premise that suppression should not be ordered for a CPL 700.50 (3) violation where there is no prejudice to the defendant. Here defendant was notified at his arraignment, in accordance with CPL 700.70, that he had been a subject of an eavesdropping warrant during which telephone calls were intercepted, and since no prejudice resulting from the lack of prearrest notice was shown, suppression of defendant's statements was properly denied.

Crimes — Right to Counsel — Effective Representation — Failure to Challenge Constitutionality of Sentence

2. In a drug prosecution, defendant's trial counsel was not ineffective where, at his sentencing, counsel failed to challenge the constitutionality of the

sentence in light of the disparity between the penalties suffered by defendant and his criminal associate, who had entered into a cooperation agreement with a prosecutor. Such a challenge would not have been “a winning argument,” and it could not be inferred that defendant was punished or further penalized by the sentencing Justice because he pleaded not guilty and insisted upon his right to a trial.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Searches and Seizures §§ 411, 431–433.
CARMODY-WAIT 2d, Search and Seizure §§ 173:230, 173:231, 173:234; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:276.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 4.3, 4.6, 11.10.
McKINNEY’S, CPL 700.50 (3); 700.70.
NY JUR 2d, Criminal Law: Procedure §§ 405–409, 864–870, 922, 1599, 1618, 1620.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Eavesdropping and Wire-tapping; Exclusion and Suppression of Evidence; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Susan H. Salomon* and *Robert S. Dean* of counsel), for appellant. I. Where appellant moved to suppress the intercepted calls allegedly between him and the cooperating accomplice, premised on the prosecution’s failure to provide posttermination notice of the interceptions mandated by CPL 700.50 (3), the Appellate Division erred in imposing a prejudice pleading-requirement and thereby affirming the summary denial of the motion. (*People v Velasquez*, 1 NY3d 44; *People v Bonilla*, 82 NY2d 825; *People v LaFontaine*, 92 NY2d 470; *People v Tartt*, 71 Misc 2d 955; *People v Hueston*, 42 AD2d 860; *People v Bialostok*, 80 NY2d 738; *People v Darling*, 95 NY2d 530; *People v Schulz*, 67 NY2d 144; *People v Capolongo*, 85 NY2d 151; *People v Basilicato*, 64 NY2d 103.) II. Contrary to the Appellate Division’s determination, the trial

court, without legitimate basis, interfered with and disparaged counsel's cross-examination of the prosecution's key witness—the accomplice-cooperator—and thereby, as counsel argued, signaled the court's belief in the witness's credibility, all of which warranted a mistrial. (*People v Yut Wai Tom*, 53 NY2d 44; *People v De Jesus*, 42 NY2d 519; *People v Arnold*, 98 NY2d 63; *People v Grant*, 185 AD2d 896; *People v Mees*, 47 NY2d 997.) III. Counsel rendered ineffective assistance concerning the drug-sale sentence, where he failed to argue the unconstitutionality of the 17-year determinate prison term. (*Janvier v United States*, 793 F2d 449; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baker*, 14 NY3d 266; *People v Pena*, 50 NY2d 400; *People v Jones*, 39 NY2d 694; *United States v Wiley*, 278 F2d 500; *People v Slobodan*, 67 AD2d 630.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Alice Wiseman* and *Susan Axelrod* of counsel), for respondent. I. Defendant is not entitled to suppression of his intercepted conversations. (*People v Nix*, 78 AD3d 1698; *People v Bigelow*, 68 AD3d 1127; *People v Rivera*, 257 AD2d 425; *People v Basora*, 75 NY2d 992; *People v Burke*, 72 NY2d 833; *People v Kinchen*, 60 NY2d 772; *People v LaFontaine*, 92 NY2d 470; *People v Patterson*, 78 NY2d 711; *United States v Donovan*, 429 US 413; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539.) II. The trial judge did not improperly interfere with defendant's cross-examination of George Cabrera. (*People v Yut Wai Tom*, 53 NY2d 44; *People v Charleston*, 56 NY2d 886; *People v Moulton*, 43 NY2d 944; *People v De Jesus*, 42 NY2d 519; *People v Jamiison*, 47 NY2d 882; *People v Garrett*, 231 AD2d 428; *People v Johnson*, 219 AD2d 509; *People v Gonzalez*, 38 NY2d 208; *People v Arnold*, 98 NY2d 63; *People v Davis*, 58 NY2d 1102.) III. Defendant's attorney was not constitutionally ineffective at sentencing. (*People v Thompson*, 60 NY2d 513; *People v Rivera*, 71 NY2d 705; *People v Love*, 57 NY2d 998; *People v Jones*, 55 NY2d 771; *Mickens v Taylor*, 535 US 162; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143; *People v Benevento*, 91 NY2d 708; *People v Hobot*, 84 NY2d 1021.) IV. Defendant's pro se supplemental claims are meritless.

OPINION OF THE COURT

PIGOTT, J.

The New York Drug Enforcement Task Force obtained an eavesdropping warrant on July 21, 2005, in order to intercept

the cell phone calls of George Cabrera, a Queens drug dealer. Another target of the warrant was a person later identified as defendant Rafael Rodriguez, also known as “Rafi.” Agents recorded a number of Cabrera’s conversations, including several that occurred on August 1, 2005 during which Cabrera spoke with defendant and with Willie “Buddha” Smith.

In the first call, using coded language, which Cabrera interpreted at defendant’s trial, Smith confirmed with Cabrera that he wanted to buy 150 grams of cocaine. The two men had agreed on a price for this transaction the previous day. When Smith asked how long it would take Cabrera to get the cocaine, he replied that he would need to ask “Rafi.” As Cabrera explained at trial, he was referring to defendant, who had agreed to obtain the drugs in Manhattan, in exchange for a share in the profits. Minutes later, Cabrera phoned defendant, expecting him to be in Manhattan. Defendant was still in Queens, but assured Cabrera he had time to do the job. Cabrera told defendant to go to Manhattan immediately, and then called Smith to ask for an extension of a few hours.

In a call later that afternoon, Cabrera told defendant that he was going to meet Smith at 6:00 P.M. Defendant said he would join Cabrera. Cabrera confirmed arrangements with Smith, and picked defendant up at a street corner in Manhattan. Defendant told Cabrera that he was going to get the cocaine from a dealer nearby and had Cabrera drive to an intersection two blocks away. There Cabrera stepped out of the car. While Cabrera was talking with an acquaintance, he noticed a man walk by his vehicle and, upon returning, was told by defendant that the cocaine was now in his car.

Defendant and Cabrera drove to Queens. At about 6:40 P.M., Smith walked to a preassigned meeting place just as defendant and Cabrera arrived. Smith got into the back seat of Cabrera’s vehicle. Smith, meanwhile, was the target of an investigation unrelated to the Drug Enforcement Task Force’s, and a New York City Police Department (NYPD) detective, Constantine Papadopoulos, was sitting in an unmarked car conducting surveillance. Papadopoulos observed Smith talking with defendant and Cabrera, saw money in Smith’s hands, and noticed Cabrera lean forward to get a black plastic bag from defendant. At this point, Detective Papadopoulos and his partner arrested the three men. Papadopoulos found a black plastic bag where defendant had been sitting. Cabrera had \$750 on his person. Smith had \$155,

and \$4,000 was found where he had been sitting in the vehicle. The plastic bag contained more than five ounces of cocaine.

After the Drug Enforcement Task Force learned that Cabrera had been arrested by the NYPD, it “rearrested” Cabrera, along with defendant and Smith. Cabrera was charged in federal court in relation to an unrelated 2004 heroin deal. Cabrera pleaded guilty in the federal case; the mandatory minimum for the offense was 120 months’ imprisonment.

Defendant first learned that he had been a subject of an eavesdropping warrant at his arraignment on December 15, 2005. A week later, he was charged by indictment with criminal sale of a controlled substance in the first degree (Penal Law § 220.43 [1]) and conspiracy in the second degree (Penal Law § 105.15). Cabrera was charged with the same crimes. (Smith, meanwhile, pleaded guilty to criminal possession of a controlled substance in the second degree, and was sentenced to 3½ years’ imprisonment.)

In an omnibus motion filed in April 2006, defendant moved to suppress the intercepted phone calls on the ground that the prosecution had failed to give him notice of the warrant as required by CPL 700.50 (3). Although a written decision by Supreme Court on this issue is not extant, it appears clear from a later *Mapp/Dunaway* ruling that the court considered, but denied, defendant’s request for suppression of the phone calls, without holding a hearing on the issue. In any case, no suppression motion was granted.

In October 2007, Cabrera entered into a cooperation agreement with the Office of the Special Narcotics Prosecutor. With respect to his August 1 arrest, Cabrera pleaded guilty to criminal sale of a controlled substance in the third degree. The prosecutor agreed to a reduced sentence of one year’s imprisonment, to be served concurrently with Cabrera’s federal sentence, if Cabrera testified truthfully at defendant’s trial.

Shortly thereafter, defendant proceeded to a jury trial. Cabrera testified at length, against defendant. Six of eight intercepted calls were played for the jury, and transcripts of all the conversations were introduced into evidence. Detective Papadopoulos testified as well.

For his part, defendant placed Cabrera’s cooperation agreement into evidence, and cross-examined Cabrera on it. Defendant did not testify or introduce witnesses. In summation, defense counsel argued that this was a case of mistaken

identity—defendant and “Rafi” were not the same person—and urged the jury not to credit Cabrera’s testimony.

The jury found defendant guilty as charged. At sentencing, the prosecutor argued that only a trusted member of a narcotics organization could have obtained such a large amount of cocaine and recommended a 15-year prison sentence on the sale count. Defense counsel sought an eight-year term for that count, noting that defendant’s criminal record was far less extensive than Cabrera’s and that defendant had been offered five years’ imprisonment in exchange for a guilty plea. Supreme Court sentenced defendant to concurrent terms of 17 years’ imprisonment on the sale count and 5 to 15 years’ imprisonment on the conspiracy count. Subsequently, Supreme Court imposed five years’ postrelease supervision on defendant, doing so in his absence.

On appeal, defendant made several arguments, including the contentions that he should have been granted a suppression hearing in regard to the eavesdropping warrant issue, that his postrelease supervision term had been illegally imposed in his absence, and that his prison sentence was harsh and excessive. The Appellate Division rejected all defendant’s claims, except the challenge to his postrelease supervision sentence, which the People conceded (77 AD3d 420 [2010]). That court held that suppression of wiretap evidence based on the prosecution’s violation of CPL 700.50 (3) was not warranted without a showing of prejudice, and found that defendant failed to allege any prejudice and had a full opportunity to challenge the legality of the warrant when he received notice of it at his arraignment (77 AD3d at 421). The court modified and, as modified, affirmed Supreme Court’s judgment, remitting the matter for the sole purpose of the imposition of a postrelease supervision term in defendant’s presence.

A Judge of this Court granted defendant leave to appeal (15 NY3d 955 [2010]). We now affirm.

Pursuant to CPL 700.50 (3), written notice must be served upon a person who is named in an eavesdropping or video surveillance warrant, informing him or her “of the fact and date of the issuance of the . . . warrant, and of the period of authorized eavesdropping or video surveillance, and of the fact that during such period communications were or were not intercepted or observation [*sic*] were or were not made.” The notice must be served “in no case later than ninety days after

termination” of the warrant (CPL 700.50 [3]). The warrant in the present case expired on August 19, 2005. There is no question that the prosecution’s failure to notify defendant of the warrant until his arraignment on December 15 violated the statute.

[1] CPL 700.50 (3) itself does not provide a sanction for its violation. However, under a sister provision, CPL 700.70, which requires the People to give a defendant who has been *arraigned* a copy of any eavesdropping warrant and accompanying application “within fifteen days after arraignment and before the commencement of the trial,” the penalty for violation is suppression—“[t]he contents of any intercepted communication, or evidence derived therefrom, may not be received in evidence or otherwise disclosed upon a trial of [the] defendant” (CPL 700.70). Moreover, we have held that article 700 “requires scrupulous compliance . . . without such compliance State officials lack authority to wiretap, any interceptions they make are unlawful, and any evidence derived from the wiretap is inadmissible” (*People v Capolongo*, 85 NY2d 151, 159-160 [1995]). “[F]ailure to comply [with article 700] will generally result in suppression” (*People v Bialostok*, 80 NY2d 738, 747 [1993]). We thus agree with defendant that the penalty for a violation of CPL 700.50 (3) is, generally, suppression.

The more difficult question is whether a defendant must also show prejudice in order to win suppression under CPL 700.50 (3). As we have noted on more than one occasion, “[t]he purposes of the warrant notification requirement are to publicize wiretaps to the community at large and to those subjected to them and to assure defendants are able to challenge the legality of eavesdropping warrants in a timely manner” (*People v Bialostok*, 80 NY2d 738, 747-748 [1993], citing *People v Hueston*, 34 NY2d 116, 122 [1974]).

In *People v Hueston*, the defendant had actual notice of an eavesdropping warrant through a communication from a third person who had received notice of a phone tap in another jurisdiction; defendant did not receive any timely notice, formal or otherwise, from law enforcement sources. We held that “[w]here actual knowledge of the existence of the warrant is demonstrated within the time period allowed for notification by the prosecution, . . . formal written notification becomes a ministerial act, and the failure to so notify does not require suppression of evidence” (*Hueston*, 34 NY2d at 122). The purpose of the notification requirement of relevance to the defendant—ensuring the ability to challenge the legality of the warrant—was

clearly accomplished, as evidenced by a motion to suppress (*id.*). In *People v Bialostok*, we reaffirmed *Hueston*, holding that suppression was not required, where formal notice of a warrant was untimely but defendant knew through his attorney about the warrant and the nature of the investigation (*Bialostok*, 80 NY2d at 747).

Hueston and *Bialostok* stand for the principle that suppression is not required, despite the prosecution's violation of the terms of CPL 700.50 (3), when the defendant independently knew of an eavesdropping warrant within the prescribed time period. The rationale is that suppression is not justified where, despite the prosecution's lack of exact adherence to CPL 700.50 (3), the defendant is able to challenge the legality of the eavesdropping warrant in a timely fashion. This rationale implicitly rests on the premise that suppression should not be ordered for a CPL 700.50 (3) violation where there is no prejudice to the defendant.

With this precedent in mind, we make clear that prejudice must be shown in order for a defendant to prevail on a suppression motion under CPL 700.50 (3). The opposite view, which would suppress wiretap evidence for failure to give notice, even when that failure has absolutely no effect on the defendant, ignores the “commonsense balance between the rights of . . . defendant[s] and the needs of law enforcement” (*Bialostok*, 80 NY2d at 747) that we must always seek to strike. In reaching our decision, we find assurance in the sufficient protection of defendant's rights afforded by the sister provision, CPL 700.70, which provides for deadlines that are tied to the timeline of prosecution and trial, and which is generally “imposed without regard to the absence of prejudice to a defendant from the delay” (*Capolongo*, 85 NY2d at 166).

A defendant who relies on CPL 700.50 (3) because, having received pretrial notice within 15 days of arraignment, he cannot rely on CPL 700.70, must show that in some manner he nevertheless suffered prejudice. Here, defendant received notice at arraignment, in accordance with CPL 700.70. No prejudice resulting from the lack of prearraignment notice was shown. Accordingly, the lower courts properly denied suppression.

[2] Defendant further contends that his trial counsel was ineffective, at his sentencing, because counsel failed to challenge the constitutionality of the sentence, in light of the disparity between the penalties suffered by defendant and Cabrera.

However, such a challenge would not have been “a winning argument” (*People v Turner*, 5 NY3d 476, 481 [2005]). In this case, “it cannot be inferred that appellant was punished or further penalized by the sentencing Justice because [he] pleaded not guilty and insisted upon [his] right to a trial” (*People v Jones*, 39 NY2d 694, 698 [1976]).

We have considered defendant’s other arguments, both those argued by counsel and those raised pro se, and we conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). Finding no basis for the majority’s holding that “prejudice must be shown in order for a defendant to prevail on a suppression motion under CPL 700.50 (3)” (majority op at 173), I respectfully dissent and would hold that failure to allege prejudice is not fatal to defendant’s motion.

CPL 700.50 is part of a larger statutory scheme that “exist[s] to safeguard rights protected by the Fourth Amendment” (*People v Greene*, 9 NY3d 277, 281 [2007]) and reflects “our strong public policy of protecting citizens against the insidiousness of electronic surveillance” (*People v Capolongo*, 85 NY2d 151, 160 [1995]). In light of that policy, we have “long recognized the importance of fidelity to the statutory directives that govern authorized eavesdropping,” a practice we have deemed “singularly invasive” (*People v Darling*, 95 NY2d 530, 535 [2000]). Indeed, we have stated that without “scrupulous compliance with article 700 . . . any evidence derived from [a] wiretap is inadmissible” (*Capolongo*, 85 NY2d at 159-160; see also *People v Schulz*, 67 NY2d 144, 148 [1986] [“there must be strict compliance with the provisions of New York’s eavesdropping statute (CPL art 700)”]; *People v Winograd*, 68 NY2d 383, 391 [1986]).

CPL 700.50 (3) provides:

“Within a reasonable time, *but in no case later than ninety days after termination of an eavesdropping or video surveillance warrant*, or expiration of an extension order . . . written notice of the fact and date of the issuance of the eavesdropping or video surveillance warrant, and of the period of authorized eavesdropping or video surveillance, and of the fact that during such period communications were or were not intercepted or observation[s] were

or were not made, *must be served upon the person named in the warrant* and such other parties to the intercepted communications or subjects of the video surveillance as the justice may determine in his discretion is in the interest of justice” (emphasis added).

The purposes furthered by this mandatory notice requirement are twofold: “first, to publicize wiretaps to assure the community that eavesdropping techniques are reasonably employed . . . and, second, to allow defendants in criminal actions to test the legality of the warrants by making timely motions to suppress evidence” (*People v Hueston*, 34 NY2d 116, 122 [1974]). Although the statute does not prescribe a remedy for its violation, we have repeatedly stated that “failure to comply [with article 700] will generally result in suppression” (*People v Bialostok*, 80 NY2d 738, 747 [1993]; see also *Winograd*, 68 NY2d at 391).

We have recognized “limited exceptions,” finding in *Hueston* and *Bialostok* that the People’s noncompliance with section 700.50 (3) need not result in suppression where the defendant received actual notice that he was the target of an eavesdropping warrant within the prescribed 90-day period (see *Bialostok*, 80 NY2d at 747-748; *Hueston*, 34 NY2d at 121-122). Under those “special circumstances” (*Hueston*, 34 NY2d at 120), where statutory notice would simply be duplicative, apprising neither the defendant nor the public of any new information, suppression would not serve “any useful purpose” (*id.* at 122; see *Bialostok*, 80 NY2d at 747).

Here, by contrast, defendant received neither written notice under CPL 700.50 (3) nor actual notice within the statutory period. Nonetheless, the Appellate Division held that “defendant failed to allege any prejudice that would have warranted a hearing on his suppression argument that the People failed to comply with CPL 700.50 (3)” (*People v Rodriguez*, 77 AD3d 420, 421 [1st Dept 2010]). The majority holds today that suppression is unwarranted, finding that the rationale of *Hueston* and *Bialostok* “implicitly rests on the premise that suppression should not be ordered . . . where there is no prejudice to the defendant” (majority op at 173) and concluding that defendant has not met that burden (*id.* at 173). However, nothing in our two precedents indicates that where a defendant has not received posttermination notice in any form within the statutory period he or she is obligated to allege anything more to warrant a

hearing on the suppression of the intercepted communications. In fact, *Hueston* provides just the opposite, stating simply that “to suppress the evidence, a defendant must show a failure of notice” (34 NY2d at 120). Here, such failure exists as defendant was not advised of the eavesdropping warrant until his arraignment after the expiration of the statutorily mandated 90-day period.

In my view, critical to *Hueston* and *Bialostok* was not merely, as the majority contends, that the defendants were “able to challenge the legality of the eavesdropping warrant in a timely fashion” (majority op at 173), but that the government’s surveillance activities came to light within the 90-day period that the Legislature has deemed reasonable. A rule that conditions suppression—perhaps the only truly effective means of fostering compliance with section 700.50 (3)—on a defendant’s showing of prejudice ignores the fact that the statute’s notification requirement is intended to inure not only to the benefit of defendants but also “to the community at large” (*Bialostok*, 80 NY2d at 748). In diluting the consequences of noncompliance, the majority’s interpretation effectively “render[s] the timeliness requirement a nullity” (*People v Gallina*, 66 NY2d 52, 56 [1985]) and converts section 700.50 (3) into a discretionary notice provision.

Moreover, the majority’s imposition of a prejudice pleading requirement is not only inconsistent with our most relevant precedent, but also with our treatment of other provisions of article 700. For example, in *Gallina*, we suppressed evidence obtained in violation of CPL 700.35 (2), requiring removal or “permanent inactivation” of any eavesdropping device upon expiration of a wiretap warrant (*see id.* at 54, 57). “That no unauthorized eavesdropping may have occurred [was] beside the point, because *it is the potential for abuse that is the focus of analysis*” (*id.* at 58 [emphasis added]).

An examination of our holding in *People v Marino* (49 NY2d 774 [1980]) further illustrates the incongruousness of the majority’s rule. In *Marino*, we held that the defendant was not entitled to suppression of tapes obtained pursuant to a wiretap warrant as a result of the People’s noncompliance with the issuing court’s instruction to file interim progress reports during the pendency of the wiretap “at least in the absence of any demonstration of substantial prejudice to the defendant” (*id.* at 775). We noted that the statute at issue, CPL 700.50 (1), “does not itself require the filing of interim reports; rather it authorizes the issuing court to require such reports” (*id.*). Here,

however, the People's violation is not of a discretionary instruction but an express statutory directive. To impose the same showing of prejudice requirement under these disparate circumstances makes little sense and undermines our long commitment to strict enforcement of article 700.

We have never imposed a prejudice standard and I would not do so here. Today's holding minimizes the significance of statutory noncompliance. I would thus reverse the judgment and grant a new trial to be preceded by a suppression hearing on the CPL 700.50 (3) notice issue.

Judges GRAFFEO, READ, SMITH and JONES concur with Judge PIGOTT; Judge CIPARICK dissents in a separate opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

[970 NE2d 399, 947 NYS2d 376]

In the Matter of the Claim of WAYNE SCHMIDT, Respondent, v
FALLS DODGE, INC., et al., Appellants. WORKERS' COMPENSA-
TION BOARD, Respondent.

Argued March 21, 2012; decided May 1, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 25, 2009. The Appellate Division affirmed a decision of the Workers' Compensation Board which had affirmed a decision of a Workers' Compensation Law Judge determining that claimant's schedule loss of use award for binaural hearing loss was not subject to awards of temporary disability he was already receiving in other workers' compensation cases.

Matter of Schmidt v Falls Dodge, Inc., 67 AD3d 1303, reversed.

HEADNOTES

Workers' Compensation — Award — Schedule Loss of Use Award Subject to Awards in Other Cases

1. The Appellate Division's decision in *Matter of Miller v North Syracuse Cent. School Dist.* (1 AD3d 691 [3d Dept 2003]), which allowed a workers' compensation claimant to recover a schedule loss of use award in addition to a temporary disability award at the same time, with the result that weekly payments exceeded the statutory cap imposed by Workers' Compensation Law § 15 (6), was incorrect and should not be followed. Although the Appellate Division's reasoning in *Miller* that an employee who suffers a temporary disability from one injury, and a permanent partial disability from another, should receive both awards was sound, the court erred in allowing the claimant to recover both at the same time, with the result that weekly payments exceeded the statutory cap.

Workers' Compensation — Award — Schedule Loss of Use Award Subject to Awards in Other Cases

2. In a workers' compensation proceeding involving a claimant who sustained hip and back injuries designated as temporary disabilities for which he was paid the statutory maximum weekly benefit permitted under Workers' Compensation Law § 15 (6), and hearing loss designated as permanent partial disability for which he received a schedule loss of use award paid periodically pursuant to the pre-2009 version of Workers' Compensation Law § 25 (1) (b), claimant's schedule award was required to be deferred until the time when the statutory cap would not be exceeded. The schedule award was not nullified by the other awards, but it had to be deferred as claimant's total weekly payment may not exceed the cap. A claimant entitled to a schedule award that is to be paid periodically pursuant to the pre-2009 version of Workers'

Compensation Law § 25 (1) (b) must wait until his or her other disability payments have ceased, or have dipped below the cap, to be paid the schedule award. A contrary holding would not only contradict the plain language of section 15 (6), but would produce anomalous results in certain cases where a partially disabled claimant could recover, over his or her working life, more than a totally disabled one.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 379, 380, 382, 386–388, 405.

McKINNEY'S, Workers' Compensation Law § 15 (6); § 25 (1) (b).

NY JUR 2d, Workers' Compensation §§ 859, 895, 902, 947.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation & cap /s award /p multiple
several /5 injury

POINTS OF COUNSEL

Gregory J. Allen, General Attorney, State Insurance Fund, Buffalo (John R. Gibbon and Thomas P. Etzel of counsel), for appellants. Concurrent schedule and nonschedule awards, each made at the maximum statutory award rate and covering the same period, violate Workers' Compensation Law § 15 (6). (Matter of LaCroix v Syracuse Exec. Air Serv., Inc., 8 NY3d 348; Matter of Linger v Anchor Motor Frgt., 124 AD2d 350; Matter of Salvat v Union Carbide Linde Div., 135 AD2d 965; Matter of Soper v Gouverneur Talc Co., 243 AD2d 1001; Matter of Miller v North Syracuse Cent. School Dist., 1 AD3d 691; Matter of Lansberry v Carbide/Graphite Group, Inc., 28 AD3d 1031; Matter of Gallman v Walt's Tree Serv., 43 AD2d 419; Matter of Wilkosz v Symington Gould Corp., 14 AD2d 408, 14 NY2d 739; Matter of Kaminski v Mohawk Carpet Mills, 11 AD2d 827.)

Eric T. Schneiderman, Attorney General, Albany (William E. Storrs, Barbara D. Underwood and Andrea Oser of counsel), for respondent. Claimant's schedule award for presumed future lost earnings is independent of, and thus not offset by, his temporary disability awards for present lost earnings. (Matter of Landgrebe v County of Westchester, 57 NY2d 1; Matter of Lynch v Board of

Educ. of City of N. Y., 1 AD2d 362, 3 NY2d 871; *Matter of Wilkosz v Symington Gould Corp.*, 14 AD2d 408, 14 NY2d 739; *Matter of Lamantia v Midland El. Co., Inc.*, 59 AD3d 892; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of Mlodozienec v Worthington Corp.*, 9 AD2d 21; *Uniformed Firefighters Assn., Local 94, IAFF, AFL-CIO v Beekman*, 52 NY2d 463; *Matter of Warshawsky v DiNapoli*, 73 AD3d 1357; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348.)

OPINION OF THE COURT

SMITH, J.

Workers' Compensation Law § 15 (6) provides that compensation for any disability, partial or total, shall not exceed a fixed maximum per week. At issue in this case is the application of the cap when an employee has received several awards for different injuries, at least one of which is a so-called "schedule loss of use" award being paid periodically pursuant to the pre-2009 version of Workers' Compensation Law § 25. We hold that in such cases an employee's total weekly payment may not exceed the cap. The schedule award is not nullified by the other awards, but must be deferred until the time comes when the cap will not be exceeded.

I

Plaintiff worked as a collision shop technician, repairing automobiles. He suffered several injuries on the job, of which three, all occurring in 2005, are relevant to this appeal. On February 21, he slipped on ice, injuring his hip and back. On March 18, he suffered a lower back sprain. He left his job on June 27, and later reported hearing loss beginning on that date, attributable to loud noise at his place of work. He applied for and received workers' compensation benefits for all three injuries.

For the hip and back injuries, the workers' compensation carrier for claimant's employer was directed, in separate awards, to pay claimant a total of \$400 per week—the maximum allowed, at the relevant time, under Workers' Compensation Law § 15 (6). Though the disabilities caused by the hip and back injuries were designated as "temporary," nothing in the record indicates that these \$400 weekly payments have ever been discontinued.

On September 21, 2007, a Workers' Compensation Law Judge made an award for the hearing loss claim. Claimant was found to have a permanent partial disability, entitling him to a schedule loss of use award under Workers' Compensation Law

§ 15 (3). As we explained in *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.* (8 NY3d 348, 353 [2007]):

“[T]he [Workers’ Compensation Law] provides compensation for four different types of injury: permanent total disability, temporary total disability, permanent partial disability and temporary partial disability (Workers’ Compensation Law § 15 [1], [2], [3], [5]). In the case of permanent total disability, an employee is awarded payment of a percentage of wages during the continuance of the disability; the same is true for temporary total disability and temporary partial disability (*see* Workers’ Compensation Law § 15 [1], [2], [5]). Permanent partial disability, however, is called a schedule loss of use award because the statute assigns—as by a ‘schedule’—a fixed number of lost weeks’ compensation according to the bodily member injured (*see* Workers’ Compensation Law § 15 [3]).”

The Judge in this case found that claimant’s hearing loss entitled him to 32.145 weeks of benefits at the rate of \$400 per week; the award specified a period from September 27, 2005 (the “date of disablement” found by the Judge) to May 10, 2006. After considering the carrier’s objections, the Judge concluded on November 23, 2007 that the schedule award was “currently payable in full,” notwithstanding the fact that claimant had received during the period in question, and was still receiving, \$400 per week for his other claims. The Judge found the issue to be controlled by *Matter of Miller v North Syracuse Cent. School Dist.* (1 AD3d 691, 692 [3d Dept 2003]), in which the Appellate Division held that because a schedule award “is not allocable to any particular period,” it “cannot be deemed to overlap with” a temporary total disability award.

Also relying on *Miller*, a panel of the Workers’ Compensation Board affirmed the Judge’s order and the Appellate Division affirmed the Board’s decision (*see Matter of Schmidt v Falls Dodge, Inc.*, 67 AD3d 1303 [3d Dept 2009]). We granted leave to appeal (16 NY3d 714 [2011]), and now reverse.

II

Workers’ Compensation Law § 15 (6) (a) says, in relevant part:

“Compensation for permanent or temporary partial disability, or for permanent or temporary total disability

due to an accident or disablement resulting from an occupational disease that occurs . . . on or after July first, nineteen hundred ninety-two [and before July one, two thousand seven], shall not exceed four hundred dollars per week.”

[1] The Board and the Appellate Division have held in this case that claimant was entitled to receive \$800 per week for a period of roughly 32 weeks. That result cannot be squared with the cap imposed by section 15 (6). The Appellate Division’s decision in *Miller*, which upheld a similar award, is incorrect and should not be followed.

The basis for the *Miller* court’s conclusion was that although Workers’ Compensation Law § 25 (1) (b) (until its amendment by L 2009, ch 351, § 1) required “periodic payment” of schedule awards (*LaCroix*, 8 NY3d at 355), the allocation of such awards to any particular period of time is arbitrary. A schedule award is compensation for a partial *permanent* disability, not a disability existing only during the weeks when the award is paid. Therefore, under the reasoning of *Miller*, there is no reason why an employee who suffers a temporary disability from one injury, and a permanent partial disability from another, cannot receive both awards—periodic payments for the temporary disability, and a schedule award for the permanent one.

[2] This reasoning is sound as far as it goes. There is no reason why a claimant may not recover a schedule loss of use award in addition to a temporary disability award. The *Miller* court erred, however, in allowing a claimant to recover both at the same time, with the result that weekly payments exceeded the statutory cap. A claimant entitled to a schedule award that is to be paid periodically must wait until his other disability payments have ceased, or have dipped below the cap, to be paid his schedule award.

A contrary holding would not only contradict the plain language of section 15 (6), but would produce anomalous results. A worker who was permanently totally disabled in 2005—a quadriplegic, for example—can receive no more than \$400 per week for his or her disability. It makes no sense for a worker who suffered a hip injury, lower back pain and hearing loss in that year to receive \$800 per week. Nor can it be said that time will eliminate the anomaly—i.e., that in the long run no claimant will recover an average of more than \$400 per week—because no one can say when, if ever, a “temporary” disability

will end. Disabilities initially labeled “temporary” may be reclassified as permanent (indeed, the carrier in this case has annexed to its brief documents showing that claimant’s back sprain has now been so reclassified); or they may turn out to be permanent in fact. In such a case, the rule of *Miller* would permit a partially disabled claimant to recover, over his or her working life, more than a totally disabled one.

We therefore hold that periodic payments of a schedule loss of use award must be deferred to the extent that those payments, when combined with payments of another disability award, would exceed the cap imposed by Workers’ Compensation Law § 15 (6). We hold no more than this, and do not decide what implications, if any, our holding may or may not have for cases governed by the 2009 amendment to section 25 (1) (b): that section, as amended, now says that schedule loss of use awards “shall be payable in one lump sum, without commutation to present value upon the request of the injured employee.”

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division with directions to remand it to the Workers’ Compensation Board for further proceedings in accordance with this opinion.

CIPARICK, J. (dissenting). Because I agree with the Workers’ Compensation Board (the Board) and the Appellate Division that a “schedule loss of use award” for a permanent partial disability is not linked to a particular time period, but rather is compensation for future loss of earnings without regard to present ability to work, and because I further believe that a schedule award should not be offset by a temporary disability award for present lost earnings, I respectfully dissent.

In *Matter of Miller v North Syracuse Cent. School Dist.* (1 AD3d 691 [3d Dept 2003]) the Appellate Division held that a scheduled award was not allocable to any particular period of disability and therefore “[a] schedule award cannot be deemed to overlap with [a] claimant’s temporary total disability award covering that period” (*id.* at 692). The Appellate Division subsequently reenforced this holding in *Matter of Lansberry v Carbide/Graphite Group, Inc.* (28 AD3d 1031, 1032 [3d Dept 2006] [“The schedule award is intended to compensate (claimant) for future loss of earnings due to his hearing loss, and thus, the two awards do not overlap”]).

Since the decisions in *Matter of Miller* and *Matter of Lansberry*, the Legislature has extensively restructured the Workers’

Compensation Law. Notably in 2007, “a comprehensive reform of the Workers’ Compensation Law was enacted as a result of years of negotiations by the Governor’s Office, the Legislature, the Board and representatives of business and labor” (*Matter of Raynor v Landmark Chrysler*, 18 NY3d 48, 53 [2011]). The legislative history of this comprehensive overhaul of the Workers’ Compensation Law neither cites to *Matter of Miller* or *Matter of Lansberry*, nor does the language of the legislation make any effort to affect the impact of these decisions. “It is well settled that the legislative history of a particular enactment must be reviewed in light of the existing decisional law which the Legislature is presumed to be familiar with and to the extent it left it unchanged, that it accepted” (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]). Furthermore, “[w]here the interpretation of a statute is well settled and accepted across the State, it is as much a part of the enactment as if incorporated into the language of the act itself” (*id.*). Because the Legislature is presumed to be aware of the decisions in *Matter of Miller* and *Matter of Lansberry*, and as it did not comment on or make any change to blunt the effects of these decisions, it must be assumed that it intended to incorporate the holdings—that schedule awards do not overlap with temporary total disability awards—into the existing law.

That the Legislature did not intend to overturn the holdings in *Matter of Miller* and *Matter of Lansberry* is even more evident when considering the 2009 revision to the Workers’ Compensation Law. That revision was made in direct response to our holding in *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.* (8 NY3d 348 [2007]). In *Matter of LaCroix* we held that a schedule award could not be paid in a lump sum because former Workers’ Compensation Law § 25 (1) “explicitly require[d] periodic payment” and section 25 (1) (b) could not be read “to include a one-time payment” (*id.* at 354-355). The Legislature, in 2009, amended Workers’ Compensation Law § 25 (1) (b) and § 15 (3) (u) in order to allow for a worker to receive a schedule award in a lump sum (*see* L 2009, ch 351, §§ 1, 2, 2009 McKinney’s Session Laws of NY, at 1063). That the Legislature amended the law to overturn the holding in *Matter of LaCroix*, while leaving the holdings of *Matter of Miller* and *Matter of Lansberry* intact clearly indicates that the Legislature intended for the monies received by an injured worker for a schedule award for a permanent partial disability—in this case, partial loss of hearing—to be temporally independent of any other monies received as a

result of other workers' compensation awards. Moreover, the Legislature now allows for a schedule award to be received in a lump sum, further indicating that such an award is independent of the maximum weekly compensation as provided for by Workers' Compensation Law § 15 (6).

The majority seeks to interpret the statute in such a way as to avoid "anomalous results" (majority op at 182-183), since a contemporaneous payment of both a schedule and non-schedule award could result in a weekly payment in excess of the statutory maximum. However, the Legislature has made it clear that it agrees with or at the very least acquiesces in the holding of *Matter of Miller* and it is not the purpose of this Court to substitute its judgment for that of the Legislature (see *Montgomery v Daniels*, 38 NY2d 41, 56 [1975]).

Finally, we have long held that the Workers' Compensation Law is remedial in nature and "that compensation should be given . . . to the employee . . . for earning capacity destroyed by an accident in the course of or connected with his work" (*Matter of Waters v Taylor Co.*, 218 NY 248, 251-252 [1916]). As stated earlier, the purpose of a "schedule loss of use" award is to compensate for future loss of earning capacity (see *Matter of Miller*, 1 AD3d at 693). It is clear that the Legislature, through its recent amendments, has expressed a desire to expedite the payment of such schedule awards where possible, and not hold them in abeyance for a period while a claimant may continue to receive other disability awards that together would exceed the statutory maximum. This indefinite period of time, as adopted by the majority, wherein payment for a schedule award would be deferred, can result in considerable hardship to a claimant and is not in keeping with the remedial and protective scheme of the Workers' Compensation Law (see *Matter of Waters*, 218 NY at 251).

Accordingly, I would permit the overlap of payments, although currently exceeding the statutory maximum, and affirm the order of the Appellate Division. The question of whether such overlap is permissible allowing for the "anomalous" situation identified by the majority is best left to the Legislature to determine.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN concurs.

Order reversed, etc.

[970 NE2d 823, 947 NYS2d 788]

In the Matter of the Claim of ROCIO ZAMORA, Respondent, v
NEW YORK NEUROLOGIC ASSOCIATES et al., Appellants.
WORKERS' COMPENSATION BOARD, Appellant.

Argued March 20, 2012; decided May 1, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 23, 2010. The Appellate Division, with two Justices dissenting, (1) reversed a decision of the Workers' Compensation Board which, among other things, had denied claimant's claim for workers' compensation benefits; and (2) remitted the matter for further proceedings not inconsistent with the Court's decision.

Matter of Zamora v New York Neurologic Assoc., 79 AD3d 1471, reversed.

HEADNOTES

Workers' Compensation — Causal Relation — Inference That Loss of Wages Attributable to Claimant's Disability

1. The Workers' Compensation Board was not required to infer, from the finding that claimant withdrew from her employment due to an accident at her workplace, that her post-accident loss of wages was attributable to physical limitations caused by the accident. A central question for the Board to resolve, before awarding wage replacement benefits in a nonschedule permanent partial disability case, is whether the claimant has maintained a sufficient attachment to the labor market. The Board will consider the circumstances under which the claimant originally stopped full-duty work, and if the Board determines that the claimant retired from his or her job due to that disability, an inference that his or her reduced future earnings resulted from the disability may, but need not, be drawn. Here the Appellate Division inferred, from the fact that claimant did not voluntarily withdraw from the workforce, that her subsequent loss of wages was attributable to her disability, and found that it was incumbent upon the employer to rebut the inference of causation or prove that the reduction in employment was solely due to factors unrelated to the disability. The Appellate Division's recent doctrine that the Board must find causation effectively created a presumption out of an inference, which would illogically constrain the ability of the Board to find facts, and would shift the burden of proof from claimant to employer.

Workers' Compensation — Voluntary Withdrawal from Labor Market

2. In a workers' compensation proceeding involving a claim for benefits by a phlebotomist who was injured when she was struck on her upper back by a falling computer monitor, there was substantial evidence to support the determination of the Workers' Compensation Board that, as of the date of the

hearing held almost eight months after she stopped working, claimant had not made a reasonable search for work consistent with her physical restrictions. The determination of whether a claimant had made a reasonable search is a factual one that an appellate court must uphold as long as there is substantial evidence to support it. The appellate court may not weigh the evidence or reject the Board's choice simply because a contrary determination would have been reasonable. Here, the evidence concerning the types of work that claimant had attempted to find and her lack of success in those endeavors, together with the absence of evidence of attempts to find less physically taxing work, constitute relevant proof adequately supporting the Board's conclusion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 44, 45, 417, 652.

NY JUR 2d, Workers' Compensation §§ 591, 727, 862, 887.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Vecchione, Vecchione & Connors, Garden City Park (*Michael F. Vecchione* and *Sean J. McKinley* of counsel), for New York Neurologic Associates and another, appellants. I. There is a distinction between those cases where a claimant has involuntarily retired and other cases where a claimant has involuntarily withdrawn from the labor market. (*Matter of Peck v James Sq. Nursing Home*, 34 AD3d 1033; *Matter of Hare v Champion Intl.*, 50 AD3d 1254; *Matter of Leeber v LILCO*, 29 AD3d 1198; *Matter of Tipping v National Surface Cleaning Mgt., Inc.*, 29 AD3d 1200; *Matter of Bryant v New York City Tr. Auth.*, 31 AD3d 936; *Matter of Jiminez v Waldbaums*, 9 AD3d 99.) II. Public policy considerations must encourage claimants to be productive within their physical limitations. (*Matter of Peck v James Sq. Nursing Home*, 34 AD3d 1033; *Matter of Tipping v National Surface Cleaning Mgt., Inc.*, 29 AD3d 1200; *Matter of Mazziotto v Brookfield Constr. Co.*, 40 AD2d 245.) III. Because nonretired claimants must search for work within restrictions, the claimant's failure to do so warrants that indemnity benefits cease. (*Matter of Rothe v United Med. Assoc.*, 18 AD3d 1093; *Matter of Johnson v Onondaga Heating & A.C.*, 301 AD2d 903.)

Eric T. Schneiderman, Attorney General, Albany (Paul Groenewegen, Barbara D. Underwood and Andrew D. Bing of counsel), for New York State Workers' Compensation Board, appellant. The Workers' Compensation Board's determination that claimant failed to show that she had sought employment consistent with her disability was based on substantial evidence and should not have been reversed on the basis of a judicially mandated inference. (*Matter of Jordan v Decorative Co.*, 230 NY 522; *Matter of Matisse v Munro Waterproofing Co.*, 293 NY 496; *Matter of Croce v Ford Motor Co.*, 307 NY 125; *Matter of Tallini v Martino & Son*, 58 NY2d 392; *Burns v Varriale*, 9 NY3d 207; *Matter of Bourne [Corsi]*, 282 App Div 1; *Matter of Nickens v Randstad*, 18 AD3d 1008; *Matter of Helfrick v Dahlstrom Metallic Door Co.*, 256 NY 199; *Matter of Chetney v Manning Co.*, 273 NY 82; *Matter of Schechter v State Ins. Fund*, 6 NY2d 506.)

Grey & Grey, L.L.P., Farmingdale (Robert E. Grey of counsel), for respondent. I. There is no statutory authority for appellants' contention that a permanently partially disabled worker must prove "attachment to the labor market" as a condition for receipt of benefits. (*Matter of Needleman v Queensboro Med. Group*, 31 AD2d 383; *Matter of Carroll v Knickerbocker Ice Co.*, 218 NY 435; *Matter of Waters v Taylor Co.*, 218 NY 248; *Matter of McCormack v National City Bank of N.Y.*, 303 NY 5; *Crosby v State of N.Y., Workers' Compensation Bd.*, 57 NY2d 305; *Matter of Richardson v Fiedler Roofing*, 67 NY2d 246; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Matter of Balcerak v County of Nassau*, 94 NY2d 253; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662.) II. The decisions of this Court and the Appellate Division, Third Department, establish that where the injured worker's loss of earnings is caused by the compensable injury, the burden of proof rests with the employer, not the claimant. (*Matter of Jordan v Decorative Co.*, 230 NY 522; *Matter of Roberts v General Elec. Co.*, 6 AD2d 43; *Burns v Varriale*, 9 NY3d 207; *Matter of Phonville v New York & Cuba Mail S.S. Co.*, 226 NY 622; *Dzink v United States R.R. Admin.*, 204 App Div 164; *Bello v General Elec. Co.*, 204 App Div 613; *Becker v General Elec. Co.*, 210 App Div 495; *Matter of Parrilla v Leemar Knitting Mills*, 27 AD2d 965; *Matter of Doberstein v Marshall*, 37 AD2d 1024; *Matter of Ginn v Rapid Serv. Press*, 222 App Div 406, 248 NY 563.) III. There is no meaningful distinction between "retirement" and "non-retirement" cases on the issue of voluntary withdrawal from the labor market. (*Matter of Leeber v LILCO*, 29 AD3d 1198;

Matter of Jiminez v Waldbaums, 9 AD3d 99; *Matter of Roberts v General Elec. Co.*, 6 AD2d 43; *Matter of Topf v American Character Doll & Toy Co.*, 62 AD2d 1111; *Matter of Holman v Hyde Park Nursing Home*, 268 AD2d 705; *Matter of Kalevas v Williams & Co.*, 27 AD2d 22, 20 NY2d 812; *Matter of Tallini v Martino & Son*, 58 NY2d 392; *Matter of Papkoff v Feldman*, 26 AD2d 140, 19 NY2d 932; *Matter of Peck v James Sq. Nursing Home*, 34 AD3d 1033.) IV. The decision of the Appellate Division, Third Department, was proper as a matter of law and did not invade the Workers' Compensation Board's fact-finding authority. (*Matter of Axel v Duffy-Mott Co.*, 47 NY2d 1; *Matter of Kaplan v Zodiac Watch Co.*, 20 NY2d 537; *Matter of Konieczny v Butterflake Shop*, 71 AD2d 718; *Matter of Seymour v Rivera Appliances Corp.*, 33 AD2d 958; *Matter of Krausa v Totales Debevoise Corp.*, 84 AD3d 1545; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Paduano v New York State Workmen's Compensation Bd.*, 30 AD2d 1009.)

Law Office of Ralph M. Kirk, Kingston (*Justin S. Teff* of counsel), for Injured Workers' Bar Association, amicus curiae. I. *Matter of Zamora v New York Neurologic Assoc.* (79 AD3d 1471 [2010]) was correct as a matter of law. (*Matter of Lovell v Berman's Motor Express*, 35 AD2d 765; *Matter of Nickens v Randstad*, 18 AD3d 1008; *Matter of Dudlo v Polytherm Plastics*, 125 AD2d 792; *Matter of Peng Kim v Community Living Corp.*, 253 AD2d 911; *Matter of Jordan v Decorative Co.*, 230 NY 522; *Matter of Coyle v Intermagnetics Corp.*, 267 AD2d 621; *Matter of Roberts v General Elec. Co.*, 6 AD2d 43; *Matter of O'Connell v New York State Workmen's Compensation Bd.*, 14 AD2d 945; *Matter of Mazziotto v Brookfield Constr. Co.*, 40 AD2d 245; *Matter of Boyle v Gatti*, 40 AD2d 1063.) II. *Matter of Zamora v New York Neurologic Assoc.* (79 AD3d 1471 [2010]) was correct as a matter of public policy. (*Jiminez v Waldbaums*, 9 AD3d 99; *Tallini v Martino & Son*, 58 NY2d 392.)

OPINION OF THE COURT

PIGOTT, J.

In this appeal we are called upon to decide whether the Workers' Compensation Board must infer, from the finding that a claimant withdrew from her employment due to an accident at her workplace, that her post-accident loss of wages is attributable to physical limitations caused by the accident. We hold that the Board is not required to draw that inference.

Claimant Rocio Zamora was working as a phlebotomist for New York Neurologic Associates, on January 29, 2003, when a

computer monitor fell off a shelf and struck her upper back. She suffered a torn tendon in her left shoulder and two herniated discs in the cervical spine. On April 25, 2003, Zamora told her employer that she would not be returning to work because she did not feel well enough to perform her duties. Thereafter, Zamora was employed on and off, on a part-time basis, receiving workers' compensation benefits for her loss of wages attributable to the accident. She underwent spinal surgery in December 2005. On January 18, 2007, Zamora returned to full-duty work as a phlebotomist.

On May 29, 2007, following a hearing, the Workers' Compensation Board classified Zamora with a permanent partial disability. No benefits were ordered because Zamora was engaged in full-duty work at the time. Zamora continued to work until December 21, 2007, when various health issues forced her to quit. As she later explained, she had "migraines, numbness in [her] hand, [and] back pain" and she found it difficult to "use [her] hands to do the blood pressure and draw blood."

In 2008, Zamora posted her resume on job-search Web sites, seeking both general phlebotomy jobs and customer service positions. She had two extremely brief periods of employment as a phlebotomist at New York hospitals. On May 22, 2008, a Workers' Compensation Law Judge "continued" Zamora's case so that a hearing could be held on issues including whether she had voluntarily withdrawn from the labor market.

At the hearing, held on August 5, 2008 before a Workers' Compensation Law Judge, Zamora testified concerning her health and her attempts to find employment. Asked what injuries contributed to her disability, she mentioned her neck and shoulder, as well as health issues that she said were unrelated to her workplace accident, namely migraines, hernias, and pinched nerves in her lower back. Questioned about her attempts to find work, Zamora explained that she was trying to look for a job that was "lighter," or less physically taxing, than a phlebotomist position. She had submitted her resume for customer service positions, but those jobs and others she had tried to get required more lifting or standing than she could manage, because of her lower back condition and hernias.

The Workers' Compensation Law Judge found that Zamora had made a valid effort to find work and "ha[d] not voluntarily removed herself from the labor market." The insurance carrier of New York Neurologic Associates sought review by the Workers' Compensation Board.

On March 13, 2009, the Board denied Zamora's claim for benefits after December 21, 2007. The Board found that Zamora had "failed to conduct a reasonable job search" after December 2007, in that the "jobs under consideration by the claimant were not reasonable given her work restrictions, which primarily involve her unrelated low back condition." The Board therefore ruled that, although Zamora's original withdrawal from the job market was not voluntary, she had not established attachment to the labor market and continuing entitlement to benefits.

The Appellate Division, in a 3-2 decision, reversed the Board's determination (79 AD3d 1471 [2010]). The majority inferred, from the fact that Zamora did not voluntarily withdraw from the workforce in 2007, that her "subsequent loss of wages was attributable to her disability," adding that "it was incumbent upon the employer to rebut the inference of causation or prove that the reduction in employment was solely due to factors unrelated to the disability" (*id.* at 1472 [internal quotation marks omitted]). We now reverse.

As this Court recently noted, a central question for the Board to resolve, before awarding wage replacement benefits in a non-schedule permanent partial disability case, is "whether a claimant has maintained a sufficient attachment to the labor market" (*Burns v Varriale*, 9 NY3d 207, 216 [2007]; see *Matter of Jordan v Decorative Co.*, 230 NY 522, 526-527 [1921]). By finding alternative work consistent with his or her physical limitations, or at least showing reasonable efforts at finding such work, the claimant can prove to the Board that the cause of his or her reduced income is a disability, rather than unwillingness to work again. "Claimant must demonstrate that his or her reduced earning capacity is due to the disability, not . . . factors unrelated to the disability" (*Burns*, 9 NY3d at 216 [internal quotation marks omitted]).

In reaching its decision on this question, the Board will, of course, consider the circumstances under which claimant originally stopped full-duty work. "If the Board determines that a workers' compensation claimant has a permanent *partial* disability and that the claimant retired from his or her job due to that disability, an inference that his or her reduced future earnings resulted from the disability *may* be drawn" (*id.* [emphasis added]). The same is true regardless of whether claimant has completely retired from the work force or merely withdrawn from the particular employment in which she was engaged at

the time of her accident. An inference of causation may be drawn from the disability-related withdrawal, depending on the nature of the disability and the nature of the claimant's work.

In many of its decisions, the Third Department has noted, correctly, that "a claimant's work-related permanent partial disability *allows* an inference that a subsequent loss of wages is attributable to physical limitations" (*Matter of Coyle v Intermagnetics Corp.*, 267 AD2d 621, 622 [3d Dept 1999] [emphasis added]; see also e.g. *Matter of Mazziotto v Brookfield Constr. Co.*, 40 AD2d 245, 247 [3d Dept 1972]; *Matter of Miller v Pan Am. World Airways*, 46 AD2d 718 [3d Dept 1974]). Recently, however, the Third Department has treated the inference as required, or presumed, rather than merely permitted. For example, the court has written that "once claimant's work-related permanent partial disability has been established, an inference *will* arise that the subsequent loss of wages was attributable to these physical limitations" (*Matter of Johnson v Onondaga Heating & A.C.*, 301 AD2d 903, 905 [3d Dept 2003] [internal quotation marks and brackets omitted and emphasis added]; see also e.g. *Matter of Pittman v ABM Indus., Inc.*, 24 AD3d 1056, 1057-1058 [3d Dept 2005]; *Matter of Dudlo v Polytherm Plastics*, 125 AD2d 792, 793 [3d Dept 1986]).

[1] The correct principle is the former one; the Board may, but need not, infer that the claimant cannot find a suitable job because of her disability. If, for example, the Board considers a disability to be one that prevents the claimant from pursuing the trade in which she was engaged at the time of the accident, while allowing her to undertake many other jobs that pay as well, it will likely not make the inference. The Third Department's recent doctrine that the Board *must* find causation "effectively created [a] . . . presumption out of an inference" (*Matter of Tipping v National Surface Cleaning Mgt., Inc.*, 29 AD3d 1200, 1201 [3d Dept 2006, Carpinello, J., concurring]; see also 79 AD3d at 1473 [Cardona, P.J., and Garry, J., dissenting]). There is no precedent in our decisions for this theory, which would illogically constrain the ability of the Board to find facts, and would shift the burden of proof from claimant to employer. Consequently, the Appellate Division's decision below was in error.

[2] Finally, we consider the Board's finding that, as of August 2008, Zamora had not made a reasonable search for work consistent with her physical restrictions. That determination is a factual one that an appellate court must uphold as long as there

is substantial evidence to support it (*see generally Matter of Capizzi v Southern Dist. Reporters*, 61 NY2d 50, 54 [1984]; *Matter of Axel v Duffy-Mott Co.*, 47 NY2d 1, 6 [1979]). We may not weigh the evidence or reject the Board's choice simply because a contrary determination would have been reasonable. Here, the evidence concerning the types of work that Zamora had attempted to find and her lack of success in those endeavors, together with the absence of evidence of attempts to find less physically taxing work, constitute relevant proof adequately supporting the Board's conclusion. Therefore, we are satisfied that there was substantial evidence to support the Board's termination.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the decision of the Workers' Compensation Board reinstated.

Chief Judge LIPPMAN (dissenting). Nearly a century ago in *Matter of Waters v Taylor Co.* (218 NY 248, 251-252 [1916]), we held that what was then known as the Workmen's Compensation Act

“[wa]s framed on broad principles for the protection of the work[er]. Relief under it . . . rest[ed] on the economic and humanitarian principles that compensation should be given . . . for earning capacity destroyed by an accident in the course of or connected with [one's] work, and this not only for [the worker's] own benefit[,] but for the benefit of the state[,] which otherwise might be charged with [the worker's] support.”

Because the majority's holding lacks statutory support and runs counter to the remedial purpose of the Workers' Compensation Law, I respectfully dissent.

“Attachment to the labor market” is a concept that is conspicuously absent from the Workers' Compensation Law. The majority's formulation of the issue in this case distracts from the proper identification of the question before the Court, which is whether a worker who has involuntarily withdrawn from his or her employment due to a compensable disability must demonstrate “attachment to the labor market” in order to be eligible to receive benefits. Nothing in the statute suggests that this is a prerequisite to entitlement to workers' compensation benefits.

An inference that the loss in wage earning capacity is due to the permanent partial disability (PPD) arises where the

claimant left his or her job because of that disability (*see Matter of Leeber v LILCO*, 29 AD3d 1198, 1199 [3d Dept 2006] [holding that “if claimant’s permanent partial disability caused or contributed to his decision to retire, an inference arises that his earning capacity is reduced by the disability and claimant is entitled to compensation until the inference is removed from the case”]; *Matter of Tipping v National Surface Cleaning Mgt., Inc.*, 29 AD3d 1200, 1201 [3d Dept 2006] [holding that “the (Workers’ Compensation) Board’s initial determination that claimant’s retirement was involuntary gave rise to an inference that his reduced earning capacity continued after retirement”]). The claimant’s employer or the insurance carrier can rebut the inference by presenting “direct and positive proof that something other than the disability was the sole cause of claimant’s reduced earning capacity after retirement” (*Matter of Pittman v ABM Indus., Inc.*, 24 AD3d 1056, 1058 [3d Dept 2005]). I see no logical reason to treat the involuntary withdrawal that occurred in this case any differently from the Third Department’s treatment of involuntary retirement, which is consistent with the Workers’ Compensation Law’s plain language and core objectives.*

Whether a claimant suffering from a PPD has maintained an “attachment to the labor market” should only be considered where the claimant seeks total disability compensation (*see e.g. Matter of Parrilla v Leemar Knitting Mills*, 27 AD2d 965 [3d Dept 1967]), or where the claimant has voluntarily withdrawn from the labor market (*see e.g. Matter of Peck v James Sq. Nursing Home*, 34 AD3d 1033, 1034 [3d Dept 2006] [holding that the “claimant (suffering from a PPD) ha(d) an obligation to demonstrate attachment to the labor market with evidence of a search of employment within medical restrictions,” where there was “no finding of involuntary retirement”]). This is consistent with the purpose of the Workers’ Compensation Law, which is to compensate for the claimant’s loss in wage earning capacity. It is reasonable that a claimant suffering from a PPD who has

* In *Burns v Varriale* (9 NY3d 207 [2007]), cited by the majority (*see* majority op at 191-192), this Court was called upon to address a question entirely different from the one raised by this case. *Burns* was a “proceeding to extinguish a lien asserted pursuant to Workers’ Compensation Law § 29” (9 NY3d at 210). Although *Burns* referred to the inference discussed in *Leeber* and *Tipping*, contrary to the majority’s suggestion, *Burns* did not squarely address the issue before the Court on this appeal.

left his or her job voluntarily—that is to say, for reasons unrelated to the disability—should not benefit from the inference that the loss in wage earning capacity is due to the disability, precisely because the claimant chose to leave his or her employment and was not forced to do so by reason of the compensable disability. Indeed, *Matter of Jordan v Decorative Co.* (230 NY 522 [1921]), relied upon by the majority, was a case in which, unlike here, the claimant obtained a new job after leaving the job where he sustained his disability, and refused a position offered by his new employer even though he was physically able to do the work. The claimant in *Jordan* affirmatively refused work and voluntarily left his new position even though there was no shortage of work there that he was physically capable of doing. Nothing of the sort occurred in this case. There is no evidence tending to suggest that claimant, who suffered permanent injuries requiring spinal fusion surgery when a computer monitor fell and struck her, either affirmatively refused work that she could do or voluntarily left any job. Indeed, quite the opposite is true. Below, the Workers' Compensation Board concluded that claimant involuntarily left her job at New York Neurologic Associates (meaning that her decision to withdraw from that position was related to her PPD), and attempted to find work elsewhere but found that she suffered from certain physical limitations that prevented her from performing tasks essential to those forms of employment, such as heavy lifting.

The majority extends the rule regarding “attachment to the labor market” beyond the limits that can reasonably be imposed on the application of such a rule when considering the remedial and humanitarian roots of the critically important statute that we address today. Workers' compensation benefits are intended to do what the name implies: compensate workers for losses in wage earning capacity incurred due to work-related injuries. To impose barriers to access to those benefits, where there is no basis for such prerequisites, contravenes the law and violates basic principles of fairness for debilitated workers injured in the course of their employment. For these reasons, I respectfully dissent and would affirm the order of the Appellate Division.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to affirm in a separate opinion in which Judges CIPARICK and JONES concur.

Order reversed, etc.

[969 NE2d 754, 946 NYS2d 536]

DANIEL MARKS COHEN et al., Appellants, v ANDREW M. CUOMO,
as Governor of the State of New York, et al., Respondents.

Argued April 26, 2012; decided May 3, 2012

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Supreme Court, New York County (Richard F. Braun, J.), entered April 17, 2012. The judgment (1) denied the petition for declaratory and injunctive relief barring respondents from enforcing chapter 16 of the Laws of 2012, insofar as it increases the size of the New York State Senate from 62 to 63 districts, and (2) declared that the formula prescribed in article III, § 4 of the New York Constitution does not forbid New York from increasing the size of the New York State Senate to 63 seats in 2012.

Cohen v Cuomo, 35 Misc 3d 478, affirmed.

HEADNOTE

Legislature — Apportionment — Constitutionality of Senate Reapportionment Plan

In a special proceeding seeking a declaration that chapter 16 of the Laws of 2012, insofar as it expands the size of the New York State Senate from 62 to 63 districts, was unconstitutional, petitioners failed to satisfy their burden of establishing the unconstitutionality of the legislation. Article III, § 4 of the New York Constitution prescribes a “ratio” process to determine the required number of State Senate seats whereby the population of the State’s citizens, as determined by the latest census, is divided by 50 to determine the ratio figure. Any county with three full ratios is allocated a Senate seat for each full ratio and if the number of seats assigned is greater than the number of seats assigned to that county in the Constitution of 1894, the increase is added to the original 50 Senate seats. However, the Constitution does not provide guidance for determining the proper ratio for counties that were divided after 1894 or combined in 1894 within a single Senate district. The Legislature has, in the past, employed two different methods, combining county populations before the ratio calculation or calculating the ratios for each county before combining the resulting figures, both of which have been recognized by the Court of Appeals, and both of which were used by the Legislature in 2012 with respect to different county pairs. Although the Legislature used one method for Queens and Nassau Counties and a different method for Richmond and Suffolk Counties, petitioners did not meet their burden of demonstrating that the use of two constitutionally adequate means of determining the number of Senate seats, in the course of addressing two discrete historical contexts, was unconstitutional. Consistent application of one method of calculation was not required, given the Constitution’s silence on the issue and the Court’s past recognition that the Legislature must be accorded a measure of discretion in these matters.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 8, 22, 25, 68.
McKINNEY's, NY Const, art III, § 4.
NY JUR 2d, Elections §§ 46–48; NY JUR 2d, State of New
York § 124.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

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POINTS OF COUNSEL

Cuti Hecker Wang LLP, New York City (*Eric J. Hecker*, *John R. Cuti*, *Alexander Goldenberg* and *Julie B. Ehrlich* of counsel), for appellants. The New York State Senate majority's 63-seat Senate plan violates article III, § 4 of the New York Constitution. (*Settle v Van Evrea*, 4 Sickels 280; *District of Columbia v Heller*, 554 US 570; *Adarand Constructors, Inc. v Pena*, 515 US 200; *Good Samaritan Hospital v Shalala*, 508 US 402; *Matter of Schneider v Rockefeller*, 31 NY2d 420; *Burns v Richardson*, 384 US 73; *Matter of O'Shea v Board of Assessors of Nassau County*, 8 NY3d 249; *Metropolitan Taxicab Bd. of Trade v New York City Taxi & Limousine Commn.*, 18 NY3d 329; *Matter of Orans*, 15 NY2d 339; *Matter of Fay*, 291 NY 198.)

Jones Day, Washington, D.C. (*Michael A. Carvin* and *John M. Gore* of counsel), *Jones Day*, New York City (*Todd R. Geremia* of counsel), and *Lewis & Fiore* (*David Lewis* of counsel) for Dean G. Skelos, respondent. I. The 63-seat New York State Senate plan is a reasonable exercise of the Legislature's discretion. (*Matter of Schneider v Rockefeller*, 31 NY2d 420; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Matter of Fay*, 291 NY 198; *Matter of Orans*, 15 NY2d 339; *Reynolds v Sims*, 377 US 533; *Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475; *Matter of Walsh v Katz*, 17 NY3d 336; *Affronti v Crosson*, 95 NY2d 713; *Dalton v Pataki*, 5 NY3d 243; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284.) II. Petitioners' ad hominem and irrelevant allegations are unavailing. (*Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Matter of Sherrill v O'Brien*, 188 NY 185; *Gaffney v Cummings*, 412 US 735; *Rodriguez v Pataki*,

308 F Supp 2d 346; *Matter of Fay*, 291 NY 198; *Affronti v Crosson*, 95 NY2d 713; *Dalton v Pataki*, 5 NY3d 243; *Brown v Thomson*, 462 US 835; *Voinovich v Quilter*, 507 US 146; *Matter of Schneider v Rockefeller*, 31 NY2d 420.)

Graubard Miller, New York City (*Elaine Reich* and *C. Daniel Chill* of counsel), for Sheldon Silver, respondent. Inasmuch as chapter 16 of the Laws of 2012 contains a severability clause, if the Court invalidates the 63-seat New York State Senate plan, relief should be tailored in a manner that will not affect the New York State Assembly districts enacted as part of the same legislation. (*Matter of Hynes v Tomei*, 92 NY2d 613; *People v Tremaine*, 252 NY 27; *Matter of Town of Middletown*, 82 NY 196; *Matter of Henry v Noto*, 74 AD2d 604, 50 NY2d 816; *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48.)

Emery Celli Brinckerhoff & Abady LLP, New York City (*Richard D. Emery* and *Adam R. Pulver* of counsel), for New Roosevelt Foundation, Inc., amicus curiae. I. The combination of methods to determine the size of the New York State Senate served one purpose: to add an *upstate* district that would not be presumptively unconstitutional. (*Brown v Thomson*, 462 US 835.) II. The combination of methods to determine the size of the New York State Senate was part of a broader bad faith scheme to infringe on the voting rights of downstate New Yorkers. (*Matter of Schneider v Rockefeller*, 31 NY2d 420; *Reynolds v Sims*, 377 US 533; *Abate v Mundt*, 25 NY2d 309, 403 US 182; *Davis v Mann*, 377 US 678; *Larios v Cox*, 300 F Supp 2d 1320, 542 US 947; *Hadley v Junior College Dist. of Metropolitan Kansas City*, 397 US 50; *Hulme v Madison County*, 188 F Supp 2d 1041; *Moore v Itawamba County, Miss.*, 431 F3d 257; *Rodriguez v Pataki*, 308 F Supp 2d 346, 543 US 997; *Davis v Bandemer*, 478 US 109.) III. There are stark consequences for the voting rights of racial and ethnic minorities. (*Allen v State Bd. of Elections*, 393 US 544.)

Gibson, Dunn & Crutcher LLP, New York City (*Jim Walden* and *Anne Champion* of counsel), for Common Cause New York, amicus curiae. I. Redistricting processes are uniquely subject to political manipulation in New York. II. This Court should not turn a blind eye to the “process” that resulted in Laws of 2012, chapter 16 when evaluating the Supreme Court’s decision. (*Larios v Cox*, 300 F Supp 2d 1320, 542 US 947; *Hulme v Madison County*, 188 F Supp 2d 1041.) III. Laws of 2012, chapter 16 is unconstitutional and the Supreme Court should be reversed.

(*Matter of Schneider v Rockefeller*, 31 NY2d 420; *Larios v Cox*, 300 F Supp 2d 1320; *Corbett v Sullivan*, 202 F Supp 2d 972; *Vieth v Pennsylvania*, 195 F Supp 2d 672; *WMCA, Inc. v Lomenzo*, 377 US 633; *Matter of Fay*, 291 NY 198; *Karcher v Daggett*, 462 US 725; *Reynolds v Sims*, 377 US 533; *Board of Estimate of City of New York v Morris*, 489 US 688; *Roman v Sincok*, 377 US 695.)

OPINION OF THE COURT

Per Curiam.

Petitioners commenced this special proceeding seeking a declaration that chapter 16 of the Laws of 2012, insofar as it expands the size of the New York State Senate from 62 to 63 districts, is unconstitutional. Specifically, they argue that the Legislature’s failure to apply a consistent method of calculating the number of Senate seats due to population growth throughout the state is arbitrary and violates article III, § 4 of the New York State Constitution. We find that petitioners have failed to satisfy their heavy burden of establishing the unconstitutionality of this legislation and we therefore affirm.

This dispute arises out of the process of adjusting representation in the State Senate whereby the Legislature uses the historical, constitutionally prescribed “ratio” process to determine the required number of Senate seats. The New York Constitution of 1894 established a minimum of 50 State Senate districts and set forth a method of determining whether the number of seats is to be increased based on population shifts or increases as indicated by the census (*see* NY Const, art III, § 4). The initial step in this process is to divide the population of the State’s citizens by 50, resulting in the applicable “ratio” figure (*see* NY Const, art III, § 4).¹ Any county that has at least three “full ratio[s],” or six percent of the state’s population, is then allocated a Senate seat for each full ratio (*see* NY Const, art III, § 4). If the number of seats so assigned is greater than the

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1. “The ratio for apportioning senators shall always be obtained by dividing the number of inhabitants . . . by fifty, and the senate shall always be composed of fifty members, except that if any county having three or more senators at the time of any apportionment shall be entitled on such ratio to an additional senator or senators, such additional senator or senators shall be given to such county in addition to the fifty senators, and the whole number of senators shall be increased to that extent” (NY Const, art III, § 4).

number of seats assigned to that county in the Constitution of 1894, the increase is added to the original 50 Senate seats so that the “whole number of senators” is increased accordingly (see *Matter of Schneider v Rockefeller*, 31 NY2d 420, 431-432 [1972] [internal quotation marks omitted]).²

Difficulties are presented in determining the proper ratio for counties that were divided after 1894 (resulting in the creation of counties that did not then exist) and for counties that were combined in 1894 within a single Senate district. Article III, § 4 does not provide any specific guidance on how to address these situations. The Legislature has, in the past, employed two different methods. The populations of the counties at issue can be combined and then divided by the ratio figure to get a number that is then rounded down to the nearest full ratio (“combining before rounding down”). That figure is then compared to the number of Senate seats that were allotted to that district in 1894 for purposes of determining any increase. Another way is to divide the population of each county by the ratio figure, round the resulting number for each county down to the nearest full ratio and then combine the full ratios to get the number of Senate seats (“rounding down before combining”) for purposes of comparison to the number of seats allocated in 1894.

Here, we are concerned with the Legislature’s treatment of Queens and Nassau Counties on the one hand, and Richmond and Suffolk Counties on the other. In 1894, the territory that is currently Queens and Nassau was one county—Queens. Richmond and Suffolk were each counties at that time, but were organized into a single Senate district. For purposes of the current redistricting process, the Legislature chose to use one method—rounding down before combining—to determine the full ratio for Queens and Nassau Counties. It chose to use the other method—combining before rounding down—to determine the full ratio for Richmond and Suffolk Counties. Based on 2010 census population statistics, consistent application of the rounding down before combining method would have resulted in 62 Senate districts, while consistent use of the combining before

2. As we have previously observed, this method is solely for the purpose of determining the size of the State Senate (see *Schneider*, 31 NY2d at 431 n 5). When the constitutional provision was enacted in 1894, it was also used to allocate Senate seats to counties, but since the advent of the “one person, one vote” rule (*Reynolds v Sims*, 377 US 533 [1964]), seats cannot be allocated on a county-by-county basis. Thus, the drawing of districts and apportioning of Senate seats is a process completely separate from determining the number of seats (see e.g. *WMCA, Inc. v Lomenzo*, 377 US 633 [1964]).

rounding down method would have resulted in 64 Senate districts. Petitioners argue that respondents manipulated the process for political purposes in order to reach a 63-seat Senate.

Supreme Court found that petitioners failed to meet their burden of establishing the unconstitutionality of the redistricting plan (35 Misc 3d 478 [2012]). Petitioners appealed directly to this Court as of right pursuant to CPLR 5601 (b) (2), and we now affirm.

Petitioners acknowledge that we have, in the past, recognized each of the methods of calculation at issue. They maintain, however, that it violates article III, § 4 of the New York State Constitution to use different methods for different parts of the state in the same adjustment process.

In *Schneider*, we addressed the constitutionality of the procedure used by the Legislature to determine the number of senators that should be allotted. In that case, following the 1970 census, the Legislature combined the populations of Queens and Nassau Counties, divided by the ratio figure and then rounded down, resulting in an increase of eight senators (*see* 31 NY2d at 432). The petitioners had advocated for the rounding down before combining system, which would have resulted in only seven additional senators.

We found that the combining before rounding down “procedure followed by the Legislature [was] valid and [did] not transgress any constitutional provision” (*Schneider*, 31 NY2d at 432). We also observed that the other procedure—rounding down before combining—had been used in prior redistricting (*see id.*). Instead of deciding between these procedures, we held that “the Legislature must be accorded some flexibility in working out the opaque intricacies of the constitutional formula for readjusting the size of the Senate” (*id.*). We went on to say that, where a county had been divided subsequent to 1894, the process of combining before rounding down “more accurately reflects increases in the population of the territory of the original county—the very basis from which adjustments to the whole number of senators is made. This system is, therefore, consonant with the broad historical objectives underlying the provision for increasing the size of the Senate” (*id.* at 432-433).

It is well settled that acts of the Legislature are entitled to a strong presumption of constitutionality

“and we will upset the balance struck by the Legislature and declare the [redistricting] plan unconstitutional ‘ ‘only when it can be shown beyond

reasonable doubt that it conflicts with the fundamental law, and that until every reasonable mode of reconciliation of the statute with the Constitution has been resorted to, and reconciliation has been found impossible,” ’ ’ ’ the statute will be upheld (*Matter of Wolpoff v Cuomo*, 80 NY2d 70, 78 [1992], quoting *Matter of Fay*, 291 NY 198, 207 [1943]).

The rationale proffered by respondents for their choice of methods is that they opted to treat Nassau County—which did not exist in 1894 and which now has the population to warrant three full ratios—as if it had been a county in existence in 1894. Therefore, the method of rounding down before combining was used for Nassau and Queens to determine the Senate seats attributable to each county. For Richmond and Suffolk Counties, which both existed in 1894 and were combined into a single district at that time, the Legislature continued its practice of using the method of combining before rounding down.

It is not our task to address the wisdom of the methods employed by the Legislature in accomplishing its constitutional mandate. Rather, here, we consider only whether the methods chosen amount to “a gross and deliberate violation of the plain intent of the Constitution and a disregard of its spirit and the purpose for which express limitations are included therein” (*Matter of Sherrill v O’Brien*, 188 NY 185, 198 [1907]). Despite petitioners’ assertions, we cannot say that consistent application of one method of calculation is required, given the Constitution’s silence on this issue and our recognition that the Legislature must be accorded a measure of discretion in these matters. Under these circumstances, petitioners have not met their burden of demonstrating that the use of two constitutionally adequate means of determining the number of Senate seats, in the course of addressing two discrete historical contexts, is unconstitutional.

Accordingly, the judgment of the Supreme Court should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Judgment affirmed, without costs.

[970 NE2d 409, 947 NYS2d 386]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HANS
ALEXANDER, Appellant.

Argued March 22, 2012; decided May 3, 2012

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 29, 2011. The Appellate Division affirmed a judgment of Supreme Court, Bronx County (Dineen A. Riviezzo, J., at plea; Edward M. Davidowitz, J., at plea withdrawal hearing and sentence), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in the fifth degree.

People v Alexander, 82 AD3d 619, affirmed.

HEADNOTE

Crimes — Plea of Guilty — Withdrawal of Plea — Constitutional Speedy Trial Claim

The trial judge’s statements during defendant’s plea allocution that she would accept the plea “on the condition” that defendant withdraw any and all outstanding motions, which included a recently filed pro se constitutional speedy trial motion, and waive the right to appeal, and her two inquiries as to whether defendant “under[stood]” that by entering into the guilty plea, all his “outstanding writs and motions” were “being withdrawn,” did not, when considered in context, go against the decisions in *People v White* (32 NY2d 393 [1973]), *People v Blakley* (34 NY2d 311 [1974]) and *People v Sutton* (decided with *People v Callahan*, 80 NY2d 273 [1992]) with respect to pleas unlawfully conditioned upon the withdrawal of constitutional speedy trial claims. Here there were no conditions or “strings” attached to the People’s plea offer. Although the trial judge used the word “condition” in explaining how defendant’s guilty plea would affect the status of his outstanding writs and motions, thereby implicating *White*, *Blakley* and *Sutton*, her meaning was plain enough: defendant’s guilty plea meant his pending writs and motions would not be decided. Although the trial judge could have advised defendant that, once he pleaded guilty, she would not be deciding any of his pending writs or motions or that they would be deemed withdrawn upon his guilty plea, a uniform mandatory catechism of pleading defendants has repeatedly been rejected in favor of broad discretions controlled by flexible standards.

RESEARCH REFERENCES

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AM JUR 2d, Criminal Law §§ 621, 624, 672, 673.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:46,
182:49, 182:51, 182:70, 182:82.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4–21.6.

NY JUR 2d, Criminal Law: Procedure §§ 1486, 1487, 1505, 1506, 1511, 1517, 1521.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Guilty Plea; Speedy Trial.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jonathan M. Kirshbaum* and *Robert S. Dean* of counsel), for appellant. Appellant's guilty plea was unlawful and involuntary because his reduced plea was conditioned upon the withdrawal of his constitutional speedy trial claim in direct violation of the rule set forth in *People v Blakley* (34 NY2d 311 [1974]), that a plea offer cannot contain such a condition. (*Barker v Wingo*, 407 US 514; *People v Muniz*, 91 NY2d 570; *People v Allen*, 86 NY2d 599; *People v Callahan*, 80 NY2d 273; *People v Seaberg*, 74 NY2d 1; *People v Parilla*, 8 NY3d 654; *People v Hansen*, 95 NY2d 227; *People v Friscia*, 51 NY2d 845; *People v White*, 32 NY2d 393; *People v Rodriguez*, 50 NY2d 553.)

Robert T. Johnson, District Attorney, Bronx (*Megan R. Roberts*, *Thomas R. Villecco*, *Joseph N. Ferdenzi* and *Stanley R. Kaplan* of counsel), for respondent. Defendant voluntarily abandoned his constitutional speedy trial claim; therefore, defendant's plea should not be vacated. (*People v Blakley*, 34 NY2d 311; *People v White*, 32 NY2d 393; *People v Rodriguez*, 50 NY2d 553; *People v Mower*, 97 NY2d 239; *People v Callahan*, 80 NY2d 273; *People v Taranovich*, 37 NY2d 442; *People v Rodriguez*, 95 NY2d 497; *People v Savage*, 54 NY2d 697; *People v Lomax*, 50 NY2d 351; *People v Wallace*, 26 NY2d 371.)

OPINION OF THE COURT

READ, J.

Before defendant Hans Alexander pleaded guilty, the trial judge observed to defense counsel that she would accept the plea “on the condition” that defendant withdraw any and all outstanding motions, which included a recently filed pro se

constitutional speedy trial motion, and waive the right to appeal. During allocution, the judge twice asked defendant if he “under[stood]” that by entering into the guilty plea, all his “outstanding writs and motions” were “being withdrawn,” and he responded that he did. We conclude that the judge’s statements, considered in context, do not go against our decisions in *People v White* (32 NY2d 393 [1973]), *People v Blakley* (34 NY2d 311 [1974]) and *People v Sutton* (decided with *People v Callahan*, 80 NY2d 273 [1992]). Accordingly, we affirm the judgment of conviction and sentence in this case.

I.

By indictment filed on December 8, 2006, the grand jury charged defendant and a codefendant, acting in concert, with third-degree criminal sale of a controlled substance (Penal Law § 220.39 [1]) and criminal sale of a controlled substance in or near school grounds (Penal Law § 220.44 [2]); while in jail awaiting trial, defendant filed numerous pro se motions and habeas corpus petitions. When defendant, his codefendant and the People appeared before Supreme Court on January 11, 2008, the judge informed them that although they were all “ready for trial” that day, she had “got[ten] word . . . literally just about two hours ago, that [defendant had] filed another writ with the [Appellate Division], which [had] been granted.” Defendant claimed in this particular petition that his indictment was defective because the People neglected to instruct the grand jury on the agency defense (*see People v Lam Lek Chong*, 45 NY2d 64, 73 [1978] [“In this State it has long been held that one who acts solely as the agent of the buyer cannot be convicted of the crime of selling narcotics” (internal quotation marks and brackets omitted)]; *People v Valles*, 62 NY2d 36 [1984] [requiring prosecutor to charge exculpatory defenses to the grand jury]).¹

The trial judge explained that because “that writ now [was] back before [her] and . . . [would] have to be decided[,] the People [would] have to be given a reasonable opportunity to respond,” which meant that the trial had to be “put off.” In light of her trial schedule and a pending move of the court’s operations to a new building, she suggested an adjourned date of

1. Defendant’s first assigned counsel made an omnibus motion in which he asked Supreme Court, among other things, to inspect the grand jury minutes. In a decision dated February 15, 2007, the court concluded that the evidence presented to the grand jury was legally sufficient to support the charges in the indictment, and that there were no other reasons for dismissal or reduction of the charges.

March 4, 2008, a seven-week delay. Defendant's attorney then informed the judge that his client had asked him "to make further inquiry" regarding a new offer conveyed by the prosecutor that day for a determinate sentence of 1½ years in prison, followed by one year of postrelease supervision, in exchange for a plea to a felony. He remarked that "[m]y client at first indicated that he wanted to think about it. And shortly after the Court . . . indicated what the adjourned date was going to be, he . . . asked me to make further inquiries with respect to whether or not—may I have a moment?" The judge answered "Yes," and a brief off-the-record discussion ensued at the bench.

The trial judge, addressing defendant's attorney directly, then stated as follows: "I just want you to know that I will accept the plea, obviously, on the condition that [defendant] is withdrawing any and all motions that are outstanding before the Court and he's waiving his right to appeal." The outstanding motions included a pro se speedy trial motion filed by defendant on December 29, 2007, and marked received in the judge's trial part on January 10, 2008, the day before the scheduled trial.² In this motion, defendant alleged a violation of his speedy trial rights under the federal and state constitutions, CPL 30.20 (1) (specifying that "[a]fter a criminal action is commenced, the defendant is entitled to a speedy trial") and CPL 30.30 (1) (a) (with exceptions, mandating dismissal where the People are not ready for trial within six months after commencement of a criminal action wherein the defendant is accused of at least one felony).³

Defendant's attorney next informed the judge that his client was "under the impression that he [could] be released from this courtroom," rather than "go Upstate." After some discussion, the judge clarified that defendant, in fact, would have to "go Upstate"—i.e., enter the state penal system to have the Department of Correctional Services (now the Department of Corrections and Community Supervision) calculate his jail time credit

2. While not critical to the outcome of this appeal, it should be noted that it is not clear from the record whether the trial judge herself was aware on January 11, 2008 of the existence or nature of this particular motion made by defendant, who routinely filed pro se writs and motions.

3. Defendant had previously filed a pro se speedy trial motion alleging violation of CPL 30.30 (2) (a), which Supreme Court denied. With exceptions, this provision mandates release upon bail or recognizance of a defendant accused of at least one felony if the People are not ready for trial within 90 days of the defendant's commitment to the sheriff's custody.

before his release. Upon hearing that apparently unwelcome news, defendant instructed his counsel to let the judge know he was “not interested” in entering a guilty plea.

After a pause in the proceedings, the trial judge and codefendant’s counsel had some discussion. A further pause ensued, and then defendant’s attorney told the judge that

“after having a number of conversations with [defendant] and also after having had an opportunity to review the writs that have been filed with the Court as well as the motions filed with the Court and the hearing minutes and so on, at this time [defendant] authorizes me to enter a plea of guilty on his behalf in full satisfaction of the indictment that is currently before the Court, to Penal Law Section 220.31, which is criminal sale of a controlled substance in the fifth degree, with the understanding that [he] will be receiving credit for all the time that he has currently served while in jail; with the further understanding that he will also be required to waive his right to appeal.

“And in addition to waiving his right to appeal, it is also with the understanding that he will move to withdraw any outstanding writs or any outstanding motions that he has filed, that I have adopted in the past.”

The trial judge pointed out to defendant that he was being offered “the very minimum” sentence possible in light of his predicate felony status, and he acknowledged that he understood this. The judge added, “And you understand by taking this plea, all of your outstanding writs and motions that you have are being withdrawn; do you understand that?” to which defendant replied, “Withdrawn.”

Defendant then acknowledged that he had been allowed enough time to discuss the plea offer with his attorney, with whose representation he was satisfied; that he understood he would be pleading to a D felony, fifth-degree criminal sale of a controlled substance, for the promised sentence of 1½ years in prison plus one year of postrelease supervision; and that “by entering into this plea, all prior writs and motions that [were] outstanding [were] being withdrawn.” He further confirmed that he understood that he was giving up his rights to a jury trial, to have the People prove his guilt beyond a reasonable doubt, to confront witnesses and to remain silent.

Defendant next admitted that, on November 18, 2006, acting with another, he sold cocaine to an undercover police officer. He averred that no one had forced him to plead guilty; that he was, in fact, guilty; and that the only promise made to him was as to his sentence. Defendant then signed a written waiver of his right to appeal and assured the court that he understood that by signing the waiver, he was giving up “certain legal rights . . . spelled out” in that document.⁴ The judge adjudicated defendant a predicate felony offender and adjourned the case until January 30, 2008 for sentencing.

On January 17, 2008, defendant filed a pro se motion pursuant to CPL 220.60 (3), seeking an order permitting him to withdraw his guilty plea and reinstating the indictment. He asserted numerous reasons to support a claim that his plea was not knowing and voluntary, including ineffective assistance of counsel and that, under *Blakley*, “the nature of the speedy trial guarantee render[s] a waiver of such a claim or the withdrawal inherently coercive in a plea bargaining situation, so that a plea conditioned on a waiver or withdrawal must be vacated.” In an affirmation in opposition served on February 28, 2008, the People, quoting extensively from the plea hearing’s minutes, argued generally that the record contravened defendant’s claims. In a decision and order filed on April 15, 2008, the new judge assigned to the matter ordered a hearing in light of the “[f]actual issues . . . raised by the opposing affirmations.”

The hearing was held over four days, July 16, September 12, October 8 and October 24, 2008. Defendant called as a witness his attorney at the time he pleaded guilty, a 49-year-old criminal defense lawyer who had been practicing since 1986. The attorney, who began representing defendant in September 2007, testified that he had a “number of conversations” with defendant regarding his pro se motions; and that he had warned him about the risks associated with presenting the “very dangerous” agency defense at trial; namely, as a consequence, defendant’s numerous prior convictions for drug offenses would become relevant and hence admissible. They also discussed the People’s original plea recommendation of 3½ years in prison in

4. The form written waiver stated that defendant agreed to waive “any and all rights to appeal from the judgment of conviction . . . , with the exception of any constitutional speedy trial claim which [he] may have advanced, the legality of the sentence, [his] competency to stand trial and the voluntariness of th[e] waiver.” On this appeal, he is challenging the voluntariness of the waiver.

exchange for pleading guilty to third-degree criminal sale of a controlled substance, which defendant rejected out of hand. The attorney's description of what happened during the court appearance on the afternoon of January 11, 2008 was consistent with the plea hearing's minutes. He testified that although he advised defendant that, in his opinion, the People had made a "good offer" because defendant "wouldn't have to spend much more time in jail," he emphasized that "the decision would have to be" defendant's, and he "was ready to go forward to trial."

The attorney also related what happened in court on January 30, 2008 as defendant was about to be sentenced:

"[W]hen we appeared in court, . . . [defendant] then indicated to the judge, after [she] . . . asked him a question concerning what he had told the Department of Probation as to his guilty plea, . . . something to the effect that he wanted to take his plea back.

"At that point, the judge . . . indicated to [defendant] since he had also made a statement . . . that she was not—she did not advise him . . . that his writ had been granted and that since I was going to become a potential witness in connection with the case, since I was present when the judge . . . advised him . . . that his writ had been granted, she felt that it was best that I be removed from the case."

The attorney added that he turned over his case file to defendant's new assigned counsel (his third in this matter) on February 7, 2008.

Defendant testified that when he pleaded guilty his "number one point about this whole proceeding [was] that the indictment [was] defective" because the prosecutor did not inform the grand jury about the agency or other exculpatory defenses. Additionally, he was then unaware that it was "illegal . . . or unlawful for" a plea to be conditioned on withdrawal of an "otherwise valid . . . constitutional right to a speedy trial claim." He further protested that he felt pressured to plead guilty because the case was being adjourned.

Defendant insisted that no one ever told him that his habeas corpus petition relating to the agency defense had been granted. When the hearing judge commented that the plea minutes

reflected otherwise, defendant claimed that he did not at the time understand this to be the case or that he was agreeing to give up his agency defense, and that if he had appreciated either state of affairs, he never would have pleaded guilty. Excerpts from the prosecutor's charge, which were introduced into evidence, established that she did, in fact, instruct the grand jury on the agency defense, contrary to defendant's apparent belief and the allegations in his petition.

The hearing judge denied defendant's motion to withdraw his guilty plea. He concluded that defendant "knowingly, voluntarily and intelligently agreed to the plea," citing his apparent understanding of the proceedings, experience with the criminal justice system and ability to litigate pro se motions. Additionally, the judge was troubled by the "serious inconsistencies between the defendant's testimony and the record"; he noted that "[t]he delay in this case which would have occur[red] as a result of the writ proceeding was not intended as a threat, but was quite frankly reality." He further opined that "it's perfectly proper for a Court before [it] takes a plea [to] require that those applications and those motions be withdrawn." Thereafter, the judge imposed the agreed-upon sentence on defendant.

Defendant appealed and sought vacatur of his guilty plea on the ground it was unlawfully conditioned upon the withdrawal of his constitutional speedy trial claim. Concluding that defendant's "case [did] not fall within the ambit" of *Blakley* and *Callahan* (*Sutton*), the Appellate Division applied the fact-specific analysis in *White* to determine whether defendant's guilty plea was coerced (82 AD3d 619, 621 [1st Dept 2011]). Under this approach, the court emphasized that the parties were ready for trial on the date of the plea; that after the trial judge brought up the necessity for an adjournment, "it was defense counsel who advised the [judge] that defendant had asked him 'to make further inquiry' regarding the People's offer," and "[i]n response, it was the [judge], not the prosecutor, that informed defendant that it would accept the plea only on the condition that [he withdrew] 'all motions that [were] outstanding'"; that "when defense counsel first advised the [judge] that defendant was not interested in the plea offer because he would not be immediately released, the [judge] set an adjourned date and neither [she] nor the prosecutor said anything designed to persuade defendant to change his mind and accept the plea offer"; and that "during the plea proceedings the [judge] twice asked defendant if he understood that by taking the plea all of his

outstanding writs and motions were being withdrawn” (*id.* at 621-622).

The court added that at the plea withdrawal hearing, “defendant explained that he inquired into the plea offer because he felt pressure as a result of the delay . . . from allowing the People to respond to his writ,” and “[a]t no time . . . testif[ied] that he was concerned about the withdrawal of his speedy trial motion” (*id.* at 622). In sum, the Appellate Division concluded that “[g]iven these circumstances, [Supreme Court] properly exercised its discretion in denying defendant’s motion to vacate the plea on the ground that it was knowingly, intelligently and voluntarily entered” (*id.*).

The court distinguished *Blakley* and *Callahan (Sutton)* principally on the ground that, in those cases “the right to appeal the constitutional speedy trial claim had matured in that the defendants had pleaded guilty after their speedy trial motions had been denied,” whereas “[h]ere, as in *White*, the appellate claim had not matured in that the speedy trial motion remained pending when the plea was entered” (*id.* at 623). Noting that, under *Blakley* a “waiver of appeal is ineffective to the extent that it precludes appellate review of constitutional speedy trial claims” when such claims are denied, the court observed that “it is equally established that a properly interposed constitutional claim may be deemed abandoned or waived if not pursued” (*id.*, citing *People v Rodriguez*, 50 NY2d 553, 557 [1980]). Further, vacating defendant’s guilty plea under the circumstances presented

“would create the paradoxical result of allowing defendant to vacate his plea solely because the [judge taking the plea], rather than remaining silent, advised him that all pending motions had to be withdrawn as a condition of his plea, even though defendant is barred from pursuing the merits of his speedy trial motion in this Court” (*id.* at 624).

Finally, the Appellate Division mentioned the “factual distinctions between *Blakley* and this case”; namely, in *Blakley*, the prosecutor forced the defendant to choose between a plea conditioned on the waiver of his speedy trial claim or a trial made unfair by a three-year delay. By contrast, in this case

“the alleged delay was approximately 13 months, defendant was ready to proceed to trial on the plea

date despite the pendency of his speedy trial motion, defendant raised the plea offer only because he felt pressured by the fact the trial was going to be further delayed due to his writ, and, in response to defendant's inquiry about the plea, it was an impartial judge who raised the condition that defendant waive all pending motions and ensured that defendant understood and agreed to all of the terms of the plea offer" (*id.*).

The concurring Justice expressed the view that a "central issue" in this matter was whether the case-specific approach endorsed in *White* "remain[ed] good law in light of" our decisions in *Blakley* and *Callahan* (*Sutton*) (*id.* [McGuire, J., concurring]). He concluded that case-specific analysis was reasonable where an undecided constitutional speedy trial claim was pending at the time of the guilty plea, noting that otherwise prosecutors would have "powerful incentives" not to offer reduced pleas until after such a motion, even if frivolous, was decided (*id.* at 627); and

"an otherwise identically situated defendant [would not be] entitled to vacatur of a guilty plea or any other relief if no one, not the court, the prosecutor or defense counsel, [made] any mention of a pending constitutional speedy trial motion. In that situation, the speedy trial claim would be waived by operation of law and the defendant would be entitled to no relief. A different result should not obtain merely because of on-the-record efforts by the court, the prosecutor or defense counsel to confirm or make clear to the defendant that the plea of guilty effectively waives the undecided constitutional speedy trial motion" (*id.* at 628).

He subsequently granted defendant's application for leave to appeal, and we now affirm.

II.

We begin our analysis by reviewing *White*, *Blakley* and *Sutton*.

White

On August 30, 1967, a felony information was filed accusing White and two others of a robbery occurring in Yonkers on July 22, 1967. White, incarcerated in a Queens jail at the time, was soon advised orally of the detainer, which was, however, not lodged until February 10, 1968. He was indicted for first-degree

robbery nearly three years later, on December 23, 1970, while serving a prison sentence for other crimes, and was arraigned nearly a year later still, on November 15, 1971. His assigned counsel promptly brought a CPLR article 78 proceeding to dismiss the indictment on speedy trial grounds. According to White's attorney, Supreme Court denied the petition on the merits, but did not enter any order from which an appeal might be taken. Then, on December 4, 1971, the District Attorney advised defense counsel that White would be brought to trial on December 15, 1971.

On December 7, 1971, White sought, by motion returnable on December 17, 1971, to dismiss the indictment, alleging that the 51-month delay between August 1967 and November 1971 denied him his constitutional and CPL 30.20 rights to a speedy trial. Meanwhile, on December 14, 1971, the prosecutor, in addition to making an affirmation in opposition to White's speedy trial motion, persuaded the court to mark the case ready for trial the next day, subject to a decision on the motion. That same day, the prosecutor offered White a plea to third-degree robbery on the condition that he withdraw his speedy trial motion *before* County Court rendered its decision; otherwise, the offer would be off the table. White agreed and pleaded guilty to a reduced charge on December 15, 1971.⁵ Upon White's appeal, the Appellate Division affirmed in a one-sentence opinion stating that "any right which defendant may have had with respect to a dismissal of the indictment on account of delay was expressly waived by him" (40 AD2d 540, 540 [2d Dept 1972]).

The prosecutor took the position that White only had a right to test his speedy trial claim on appeal if he was convicted after trial or, alternatively, pleaded guilty to the indictment—options that he knowingly and voluntarily gave up by choosing to plead

5. At the conclusion of the plea hearing, the prosecutor asked White to withdraw "all previously made motions in connection with this case," and he agreed. The prosecutor also asked him to waive his right of appeal, and defense counsel responded that he was "not sure of the legality of that, but if . . . legal, [White was] willing to do that." When the prosecutor pressed the matter, emphasizing that the People would "not accept this offered plea unless [the defendant was] willing to withdraw all previously made motions and . . . in fact agree[] to waive his right to appeal from the judgment of conviction," the judge interjected that he was "going to instruct this defendant he has a right to appeal." This led the prosecutor to elicit an affirmative response from White to the question, "[I]s it my understanding that you are waiving your right to appeal the judgment of conviction in consideration of this plea, if it is legally possible for you to do that?"

guilty to a lesser charge. We disagreed, observing that an “element of coercion [was] present not only in [White’s] waiver of his right to a speedy trial but also in his plea” because he had “no time to apprehend the relevant circumstances and likely consequences of his waiver” (32 NY2d at 399-400 [internal quotation marks omitted]). We stressed that “[p]articularly highhanded” was the prosecutor’s “limitation that [White’s] decision be given before the outcome of the speedy trial motion or the ‘deal was off’; and this, after the trial judge had moved up the return date of the motion” (*id.* at 400). Concluding that “the district attorney’s maneuvering may only be characterized as unfair and over-reaching,” and that White was “clearly denied” a speedy trial as a matter of law, he was, in our view, “entitled to reversal of his conviction and dismissal of the indictment.” We therefore reversed the Appellate Division’s order and dismissed the indictment. (*Id.* at 400-401.)

Blakley

Blakley was arrested on November 15, 1965 and indicted on January 11, 1966 for second-degree assault (four counts) and a weapon possession crime in connection with the shooting of two victims on November 14, 1965. On February 21, 1968, he moved in County Court to dismiss the indictment for “want of prosecution” pursuant to section 668 of the then effective Code of Criminal Procedure.⁶ By decision dated March 6 and order

6. This provision stated as follows:

“If a defendant, indicted for a crime whose trial has not been postponed upon his application, be not brought to trial at the next term of the court in which the indictment is triable, after it is found the court may, on application of the defendant, order the indictment to be dismissed, unless good cause to the contrary be shown” (*see* Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 30.30, at 206-207 [2003 ed] [characterizing section 668 as one of several “archaic” and “wholly ineffective” sections of the Code of Criminal Procedure, which the CPL Revision Commission did not “carr(y) forward into the CPL”; the ready-for-trial time limitations adopted by the Legislature when it amended CPL 30.30 in chapter 184 of the Laws of 1972 were intended to create more enforceable requirements along these lines]).

In *People v Friscia* (51 NY2d 845, 847 [1980]), we decided that a guilty plea operates as a waiver of the statutory right to dismissal under CPL 30.30 (citing *People v Brothers*, 50 NY2d 413, 418 [1980] [noting in dicta that “(i)nasmuch as a defendant’s right to a CPL 30.30 dismissal has its origin solely in legislative enactment which is in no way expressive of or dependent on any constitutional right to speedy trial, it may be that a subsequent plea of guilty . . . should be held to have operated as a waiver of the statutory entitlement to dismissal”]).

entered April 4, 1968, the court denied the motion, commenting that the delay, while “regrettable,” had not “unduly prejudiced” Blakley, who was out of jail on bail.

On February 4, 1969, three years and one month following the filing of the indictment, Blakley was finally brought to trial. After testimony was taken from the two victims, he offered to plead guilty to two counts of second-degree assault. The prosecutor, however, would only recommend acceptance of the plea on the condition that Blakley agreed to withdraw any motions made on his behalf. Blakley acquiesced,⁷ but subsequently appealed, alleging that this requirement rendered his guilty plea involuntary. The Appellate Division, in a one-sentence opinion, modified in the interests of justice by reducing the concurrent sentences imposed on Blakley to time served, and, as so modified, affirmed (38 AD2d 563 [2d Dept 1971]).

We stated at the outset of our opinion that Blakley’s appeal

“require[d] us to decide *whether a prosecutor* may condition an offer to recommend a reduced plea upon the defendant’s withdrawal of his claim that his right to a speedy trial has been violated. We conclude that the nature of the speedy trial guarantee renders such a condition inherently coercive in a plea bargaining situation and that the plea so conditioned must be vacated” (34 NY2d at 313 [emphasis added]).

Observing that the denial of a speedy trial claim ordinarily survives a guilty plea,⁸ we commented that what

“the prosecutor attempted, in effect, [was] to deprive the defendant of his right to appeal the adverse determination . . . by confronting him with a possibly unfair trial (because so tardy) on the one hand, and, on the other, offering him a reduced plea only if he would relinquish the speedy trial claim” (*id.* at 314).

7. The prosecutor stated that “[b]efore recommending acceptance of this plea, I would ask [defense counsel] to withdraw any motions made heretofore by prior counsel and himself” (34 NY2d 313-314). Blakley’s attorney responded, “Oh, yes, I do so.” The court questioned, “All motions are withdrawn, [counsel]?” and the attorney replied, “Yes, sir.” The prosecutor then recommended acceptance of the plea sought by Blakley.

8. Blakley’s speedy trial claim was statutory, as previously noted. We later decided that only constitutional speedy trial claims survive a guilty plea (*see supra* at 214 n 6).

We opined that “a prosecutor must not make the right to a speedy trial an item of barter in a plea bargaining situation” for “a variety of reasons,” including “a societal interest in providing a speedy trial which exists separate from, and at times in opposition to, the interests of the accused”; and considerations of

“fundamental fairness . . . since one of the purposes of the speedy trial guarantee is to prevent a defendant from being exposed to the hazard of a trial, after so great a lapse of time that the means of proving his innocence may not be within his reach—as, for instance, by the loss of witnesses or the dulling of memory” (*id.* [internal quotation marks omitted]).

Thus,

“[b]ecause the criminal justice system should scrupulously avoid the possibility that a plea of guilty may be tainted by unfairness, and because prosecutors should not be allowed to submerge speedy trial challenges, and the societal interests they represent, in plea bargains, we hold that a reduced plea conditioned upon a waiver of a speedy trial claim must be vacated. And this result follows regardless of the defendant’s success on the underlying speedy trial claim. . . .

“Of course, not only is the plea tainted, but the purported waiver of the speedy trial claim is ineffectual” (*id.* at 315 [citations omitted]).

Finally, “in the interests of judicial economy,” we reached the merits of Blakley’s underlying speedy trial claim, deciding that good cause had not been shown for delay of the trial, as was required under section 668 (*id.* at 313, 317-318). We therefore reversed the Appellate Division’s order and dismissed the indictment.

Sutton

Sutton, who was arrested on March 18, 1987 on several drug-related charges, subsequently moved for dismissal on statutory and constitutional speedy trial grounds because of the People’s 13-month delay in responding to his omnibus motion. Supreme Court denied the motion, and Sutton pleaded guilty to second-degree criminal sale of a controlled substance in full satisfaction of the indictment. At the plea hearing on May 31, 1989, the

prosecutor stated that “[a]s a condition of this plea it was . . . negotiated that this defendant would waive any and all rights to appeal that he ordinarily would have.” The trial judge then questioned, “You understood that? You heard that mentioned before by your lawyer, Mr. Sutton?” and Sutton responded, “Yes.” At that point, he was remanded.

Sutton then tried to obtain review of the trial judge’s unfavorable disposition of his constitutional speedy trial motion, but the Appellate Division, enforcing the waiver, dismissed his appeal (175 AD2d 272 [2d Dept 1991]). As we subsequently explained, that court, citing *Rodriguez*, *White* and *Blakley*, expressed the view that

“even constitutional speedy trial claims are waivable and that a waiver such as [Sutton’s] should be enforced unless the record on appeal demonstrates that it was made under duress by a defendant whose only alternative was to face a trial whose fundamental fairness was compromised as a result of the delay” (80 NY2d at 279 [internal quotation marks omitted]).

We concluded that the Appellate Division had “misconstrue[d]” our decisions in *Blakley* and *Rodriguez* (*id.* at 282). In particular, we commented that in *Blakley*,

“this Court went beyond *White*’s case-specific analysis and held that the nature of the speedy trial guarantee renders [a waiver of such a claim] *inherently* coercive in a plea bargaining situation, so that a plea conditioned on a waiver must be vacated regardless of the substantive merits of the claim . . . While the Court did give effect to what it termed a ‘waiver’ of a speedy trial claim in *Rodriguez* . . . , that holding did not in any way impair the rule it established in *Blakley*. Rather, *Rodriguez* stands only for the limited proposition that a defendant who initially interposes a constitutional speedy trial claim but subsequently abandons it before a determination on the claim is made cannot subsequently raise that claim on appeal” (*id.* [internal quotation marks omitted]).

Citing *People v Seaberg* (74 NY2d 1 [1989]),⁹ we added that, in view of society's interest in promoting speedy trials, "the parties cannot be permitted to foreclose appellate review through the plea bargaining process" and held, as in *Seaberg*, that

"a bargained-for waiver of the right to appeal is ineffective to the extent it impairs the defendant's ability to obtain appellate review of a constitutional speedy trial claim. Moreover, this rule applies without regard to whether the facts in the particular case suggest duress arising from the circumstances underlying the speedy trial claim itself. In this case, the Appellate Division clearly erred when it declined to entertain defendant Sutton's constitutional speedy trial claim on the merits because of the absence of a particularized showing of duress. For that reason, the [Appellate Division's] order should be reversed and the matter remitted so that the Court can consider the merits of defendant's constitutional speedy trial claim" (80 NY2d at 282).

Upon remittal, the Appellate Division rejected Sutton's argument that his indictment should be dismissed on constitutional speedy trial grounds, and affirmed the judgment—i.e., his plea was not vacated (191 AD2d 599 [2d Dept 1993], *lv denied* 81 NY2d 1020 [1993]).¹⁰

III.

As the foregoing discussion makes clear, our decisions in *White*, *Blakley* and *Sutton* dealt *solely* with attempts by prosecutors to manipulate plea bargaining so as to preclude judicial consideration of constitutional speedy trial claims, thereby obviating the risk of dismissal of indictments on these grounds. In these cases, the prosecutor recommended the plea contingent upon the defendant's agreement to give up the right to have a

9. In *Seaberg*, we held that the right to appeal may be plea-bargained away, with certain exceptions, including constitutional speedy trial claims (74 NY2d at 9). Sutton's guilty plea and appeal waiver slightly predated our decision in *Seaberg*. The Appellate Division cited *Seaberg* (175 AD2d at 273), but inexplicably did not discuss its effect on the enforceability of Sutton's waiver of the right to appeal insofar as he sought review of the denial of his constitutional speedy trial claim.

10. Sutton did not *ask* for his plea to be vacated, although it is not obvious why this should make a difference if *Blakley* mandates plea vacatur, as the dissent and defendant maintain.

speedy trial motion decided (*White*), or to have an adverse determination of the motion reviewed by the appellate courts (*Blakley* and *Sutton*). That is simply not what happened here. There were no such conditions or “strings” attached to the People’s plea offer, as described by defendant’s attorney both at the plea hearing and the plea withdrawal hearing. The question on which defendant focuses—whether, or to what extent, *Blakley* and *Sutton* may have modified *White*—is essentially beside the point in this case, which does not present a fact pattern of prosecutorial abuse or overreaching, and where defendant—unlike *White*, *Blakley* and *Sutton*—has shown no apparent interest in assuring judicial resolution of his constitutional speedy trial claim.

The trial judge on the morning of January 11, 2008, the scheduled trial date, learned that the Appellate Division had just granted defendant’s latest habeas corpus petition to the extent of transferring the matter to her for decision; the day before, a constitutional speedy trial motion filed by defendant, a prolific pro se litigant, was marked received in her trial part. At the plea hearing, she might have said that defendant should understand that, once he pleaded guilty, she would not be deciding any of his pending writs or motions; or that these writs and motions would be deemed withdrawn upon his guilty plea. Or, as the concurring Justice in the Appellate Division pointed out, she might have said nothing whatsoever on the topic since defendant abandoned the writs and motions by operation of law as soon as he pleaded guilty. Instead, electing to explain how defendant’s guilty plea would affect the status of his outstanding writs and motions, she used the word “condition,” implicating *White*, *Blakley* and *Sutton*.

We expect judges to express the consequences of a guilty plea clearly to the defendant during the plea hearing. But in cases too numerous to list dating from at least 1967, we have repeatedly steered clear of “a uniform mandatory catechism of pleading defendants” in favor of “broad discretions controlled by flexible standards” (*People v Nixon*, 21 NY2d 338, 353-354 [1967]). This being so, it should not matter that the trial judge failed to choose what we might in hindsight consider to be more felicitous words or turns of phrase when addressing defendant at the plea hearing. Her meaning was plain enough: defendant’s guilty plea meant his pending writs and motions would not be decided. In sum, on the record in this case “[t]here can be little doubt that the [plea] bargain was reasonable, that defendant

knew and understood the terms of it and that he willingly accepted them” (*Seaberg*, 74 NY2d at 12).

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). Because the trial judge in this case expressly conditioned defendant’s plea on the withdrawal of his constitutional speedy trial motion, his plea was inherently coercive in violation of our precedent and should be vacated. Therefore, I respectfully dissent.

I agree with the majority that *People v White* (32 NY2d 393 [1973]), *People v Blakley* (34 NY2d 311 [1974]) and *People v Sutton* (decided with *People v Callahan*, 80 NY2d 273 [1992]) are controlling here. In an effort to distinguish the pleas we vacated in those cases with the plea here, however, the majority places undue emphasis on the absence of any “attempts by [the] prosecutor[] to manipulate [the] plea bargaining so as to preclude judicial consideration of [defendant’s] constitutional speedy trial claim[]” (majority op at 218). In so doing, the majority misapprehends the centrality of our holdings in those cases: a plea must be vacated where it is conditioned on the withdrawal of a constitutional speedy trial claim. That the trial court—rather than the People—sought such condition before permitting defendant to plead guilty should not change the result.

Indeed, our decision in *Blakley* makes certain that our analysis should hinge on the special “nature of the [constitutional] speedy trial guarantee” (34 NY2d at 313). Critically, we explained that

“one of the purposes of the speedy trial guarantee is to prevent a defendant from being exposed to the hazard of a trial, after so great a lapse of time that the means of proving his innocence may not be within his reach—as, for instance, by the loss of witnesses or the dulling of memory” (*id.* at 314 [internal quotation marks omitted]).

Thus, in reversing the conviction in *Blakley* (and ultimately dismissing the indictment on the merits of the defendant’s motion), we observed that it was fundamentally unfair to “deprive the defendant of his right to appeal the adverse determination” of his constitutional speedy trial motion by insisting that he withdraw such motion before entering a guilty plea (*id.*).

It is true that it was the prosecutor in *Blakley* and not the court who insisted that the defendant withdraw his speedy trial

motion. Unlike the majority, I do not see how that factor is in any way dispositive. Rather, our holding in *Blakley* is clearly rooted in protecting a defendant, faced with the prospect of a potentially untimely trial, from having to accept a plea offer conditioned on the relinquishment of a potentially meritorious constitutional speedy trial claim (*see id.* at 314-315). Whether a prosecutor or a trial judge conditions a plea upon such relinquishment should not alter a reviewing court's inquiry. In either case, the plea should be vacated (*see also Sutton*, 80 NY2d at 282).

Our decision in *White*, which predates *Blakley*, further supports this position. In *White*, as the majority notes, the prosecutor offered the defendant a plea to a reduced count on the condition that he withdraw his speedy trial motion before the court had an opportunity to review the merits of the claim. In reversing the conviction (and ultimately dismissing the indictment on the merits of the defendant's motion), we stressed that the prosecutor's "maneuvering may only be characterized as unfair and over-reaching" and "[p]articularly highhanded" (32 NY2d at 400). What occurred in this case is no different. Is a trial court's insistence that a defendant withdraw an undecided constitutional speedy trial motion before permitting a defendant to plea any less "unfair and over-reaching" or "high-handed"? The answer, of course, has to be "no."

Nor can I agree with the majority's seemingly alternative basis for affirming the judgment of conviction and sentence: that the trial court merely intended to inform defendant that "his pending writs and motions would not be decided" (majority op at 219) upon the entry of his guilty plea. That is not what the trial court said. The trial court, in no uncertain terms, stated: "I just want you to know that I will accept the plea, obviously, on the condition that [defendant] is withdrawing any and all motions that are outstanding before the Court." In my view, there is a huge distinction between a motion or claim that goes undecided and is therefore abandoned by operation of law upon the entry of a guilty plea (*see People v Rodriguez*, 50 NY2d 553, 557 [1980]) and a court's insistence that a defendant first withdraw all "his pending writs and motions" before the plea proceeding may ensue. While I agree with the majority that "we have repeatedly steered clear of 'a uniform mandatory catechism of pleading defendants' in favor of 'broad discretions controlled by flexible standards' " (majority op at 219, quoting *People v Nixon*, 21 NY2d 338, 353-354 [1967]), the trial court could have

explained much more explicitly that it would not have occasion to consider any of defendant's outstanding motions—including his constitutional speedy trial motion—once he entered a plea of guilty.

Accordingly, I would vote to reverse the judgment of conviction and sentence, and remit to Supreme Court for further proceedings in accordance with this writing.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order affirmed.

[970 NE2d 829, 947 NYS2d 794]

BAYGOLD ASSOCIATES, INC., Appellant, v CONGREGATION YETEV
LEV OF MONSEY, INC., Respondent. (And Another Action.)

Argued March 19, 2012; decided May 3, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 15, 2011. The Appellate Division affirmed so much of a judgment of the Supreme Court, Rockland County (Alfred J. Weiner, J.), entered after a nonjury trial, as had dismissed the complaint and declared that plaintiff did not renew its lease for the subject premises, that its lease, and any subleases thereunder, expired on September 30, 2007, and that it had no contractual or possessory interest in the subject premises, other than that arising from a month-to-month tenancy.

Baygold Assoc., Inc. v Congregation Yetev Lev of Monsey, Inc., 81 AD3d 763, affirmed.

HEADNOTE

Landlord and Tenant — Lease — Failure to Timely Exercise Option to Renew — Equity

Plaintiff out-of-possession tenant, which had entered into a commercial lease for an initial 10-year term with four 10-year renewal options and had subleased to a nonaffiliated entity for more than 20 years, was not entitled to equitable relief excusing its failure to timely exercise its renewal option where plaintiff failed to demonstrate that it would suffer a forfeiture if the lease was not renewed. A forfeiture results where the tenant has in good faith made improvements of a substantial character, intending to renew the lease, and the tenant would sustain a substantial loss in case the lease were not renewed. Here, assuming that plaintiff's failure to comply with the lease renewal provision was the result of an excusable default, nonrenewal would not have resulted in a forfeiture. Any capital improvements plaintiff made over 20 years earlier when it was a tenant in possession were too attenuated to constitute improvements made with a view toward renewal. Furthermore, having profited from its sublease while expending no monies on improvements during its term, plaintiff would not incur a "substantial loss," as it had reaped the benefit of any initial expenditure. The equitable doctrine excusing a commercial tenant's failure to timely exercise an option to renew a lease does not apply where the out-of-possession tenant fails to make any improvements in anticipation of renewal and does not possess any good will in a going concern. Finally, the litigation expenses incurred by plaintiff to cure alleged defaults on the part of its subtenant did not constitute "substantial improvements" to the premises.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 150, 152–154, 177, 178, 186.

NY JUR 2d, Landlord and Tenant §§ 843, 846–848.

NEW YORK REAL PROPERTY SERVICE §§ 66:100, 70:24, 70:25.

ANNOTATION REFERENCE

Circumstances excusing lessee's failure to give timely notice of exercise of option to renew or extend lease. 27 ALR4th 266.

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Query: equit! /s fail! /5 exercise /5 option /3 renew! & sublease

POINTS OF COUNSEL

Hinman Straub P.C., Albany (*James T. Potter* and *Joseph M. Dougherty* of counsel), and *Maizes & Maizes, LLP*, Bronx (*Michael H. Maizes* of counsel), for appellant. The Appellate Division erred in its application of the test for equitable relief where a tenant has failed to strictly comply with the renewal terms of a lease. (*Fidelity & Columbia Trust Co. v Levin*, 128 Misc 838, 221 App Div 786, 248 NY 551; *Doepfner v Bowers*, 55 Misc 561; *J. N. A. Realty Corp. v Cross Bay Chelsea*, 42 NY2d 392; *Popyork, LLC v 80 Ct. St. Corp.*, 23 AD3d 538; *Comprehensive Health Solutions v Trustco Bank, N.A.*, 277 AD2d 861; *Dutchess Radiology Assoc. v Narotzky*, 192 AD2d 1049; *Tritt v Huffman & Boyle Co.*, 121 AD2d 531; *Gallagher v Marconi*, 68 Misc 2d 319; *Central Hanover Bank & Trust Co. v Rabinowitz*, 157 Misc 654; *Cooper v Number 535 Park Ave.*, 73 AD3d 433.)

Rosenwasser Law, P.C., Montgomery (*Stewart A. Rosenwasser* of counsel), and *Mischel & Horn, P.C.*, New York City (*Scott T. Horn* of counsel), for respondent. I. The court is without the jurisdiction to grant Baygold Associates, Inc.'s request for equitable relief. (*J. N. A. Realty Corp. v Cross Bay Chelsea*, 42 NY2d 392.) II. The Appellate Division properly declined to award equitable relief to Baygold Associates, Inc. as equity may not intervene to protect a revenue stream generated by Baygold's subleasing of the premises to Israel Orzel. (*Greenfield v Philles*

Records, 98 NY2d 562; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *American Realty Co. v 64 B Venture*, 176 AD2d 226; *Singh v Atakhanian*, 31 AD3d 425; *Sy Jack Realty Co. v Pergament Syosset Corp.*, 27 NY2d 449; *Cooper v Number 535 Park Ave.*, 73 AD3d 433; *Zaid Theatre Corp. v Sona Realty Co.*, 18 AD3d 352; *Dutchess Radiology Assoc. v Narotzky*, 192 AD2d 1049.)

OPINION OF THE COURT

PIGOTT, J.

In *J. N. A. Realty Corp. v Cross Bay Chelsea*, we held that equity will intervene to relieve a commercial tenant's failure to timely exercise an option to renew a lease where (1) such failure was the result of "inadvertence," "negligence" or "honest mistake"; (2) the nonrenewal would result in a "forfeiture" by the tenant; and (3) the landlord would not be prejudiced by the tenant's failure to send, or its delay in sending, the renewal notice (42 NY2d 392, 394, 398-400 [1977]).

At issue on this appeal is whether the Appellate Division erred in holding that the out-of-possession tenant Baygold Associates, Inc. (Baygold) is not entitled to equitable relief excusing its failure to timely exercise its option to renew a commercial lease with the landlord Monsey Park Hotel (MPH). We conclude that it did not.

I.

From 1972 through 1975, Baygold operated a nursing home in Monsey under the Rubenfeld family license. On August 2, 1976, Baygold entered into a lease with MPH, the owner of the premises, for a 10-year term. The lease gave Baygold the option to extend the lease term for four additional 10-year periods, provided Baygold gave written notice to MPH "by certified mail with return receipt requested" no later than 270 days prior to the expiration of each term or extended term. Baygold, with the consent of MPH, thereafter subleased the premises to its affiliate, Monsey Park Home for Adults (Monsey Park). Monsey Park operated the premises as a nursing home from 1976 through 1985, making approximately \$1 million in improvements to the premises, including capital improvements to the roof, driveways and boiler.

In January 1985, Monsey Park, with MPH's permission, subsubleased the premises to a nonaffiliate, Israel Orzel, who

continued to operate the premises as a nursing home. In August 1985, Baygold renewed the lease with MPH for two additional 10-year periods. During the Orzel tenancy, only Orzel made improvements to the premises. Orzel paid taxes and rent to MPH directly, but also paid Baygold approximately \$200,000 in yearly rents under the sublease during the first 10 years of the subtenancy, and \$240,000 annually during the second 10-year term.

In September 2005, a Baygold representative directed Baygold's attorney to renew the lease for two additional 10-year terms. Whether the attorney actually prepared and sent the letter in compliance with the notice provision of the lease is disputed. In July 2007, the Rubenfolds, as successors to MPH, entered into a contract with defendant Congregation Yetev Lev of Monsey, Inc. (Congregation) for the sale of the premises. The Rubenfolds' attorney apprised Baygold's counsel that the lease was to expire on September 30, 2007. Although Baygold's attorney provided a copy of a renewal letter dated November 1, 2005, he was unable to produce either a certified mail receipt or return receipt card. The Rubenfolds' counsel thereafter advised Baygold's attorney that Baygold would be deemed a month-to-month tenant as of September 30, 2007.

Baygold commenced an action against MPH* seeking, among other things, "a declaration of the rights and legal relations of the parties . . . concerning the actual termination of the Lease." Supreme Court held a bench trial to determine whether Baygold had complied with the lease renewal provision. The primary witness on that issue was Baygold's counsel, who testified that he calculated when the lease renewal was to be sent, prepared the renewal letter, placed it in an envelope and took it the post office. He did not maintain a mail log nor did he affix the certified mail number on the letter. He could not locate the green return receipt card, nor did he recall receiving a green return receipt card in the mail, but he did produce his pre-bill worksheet that stated "[p]repare lease renewal letter to Rubenfeld."

Supreme Court held the lease had not been properly renewed because Baygold failed to establish that notice was sent in

* By stipulation of the parties, Congregation, which purchased the premises after the action commenced, was substituted as defendant. Baygold affiliate Monsey Park commenced a separate action against Orzel challenging, among other things, breaches of the Orzel sublease. Per agreement by the parties, that action has been stayed pending the outcome of this action.

compliance with the lease terms. It also rejected Baygold's request for equitable relief, concluding that because Baygold's counsel failed to allege any mistake at all, but rather testified that he actually complied with the renewal provision, Baygold failed to establish that the failure to renew was the result of an excusable default, i.e., inadvertence, negligence or honest mistake.

The Appellate Division found record support for Supreme Court's conclusion that Baygold failed to comply with the renewal provision (81 AD3d 763, 764 [2d Dept 2011]). It also concluded that Supreme Court properly denied Baygold's request for equitable relief, holding that Baygold failed to demonstrate "that it 'made improvements of a substantial character' in anticipation of renewing the lease" (*id.* at 765, quoting *J. N. A. Realty*, 42 NY2d at 398). This Court granted leave (17 NY3d 755 [2011]).

II.

For purposes of this appeal, we assume that Baygold's failure to comply with the lease renewal provision was the result of an excusable default. The significant issue here is whether nonrenewal would result in a forfeiture by Baygold. A forfeiture results where the tenant " 'has in good faith made improvements of a substantial character, intending to renew the lease' " and the tenant " 'would sustain a substantial loss in case the lease were not renewed' " (*J. N. A. Realty*, 42 NY2d at 397-398, quoting 2 Pomeroy, *Equity Jurisprudence* § 453b, at 296 [5th ed]). In a similar vein, we have concluded that the "long-standing location for a retail business is an important part of the good will of that enterprise" and that a tenant may be entitled to equitable relief through the loss of such "a substantial and valuable asset" (*Sy Jack Realty Co. v Pergament Syosset Corp.*, 27 NY2d 449, 453 [1971]). Our holding in *J. N. A. Realty* was premised on the concept that a tenant who has made improvements to a premises with the intention of renewing the lease should not be subjected to a forfeiture when it makes an honest mistake in failing to exercise a renewal option and the landlord suffers no prejudice thereby.

We conclude that the Appellate Division properly held that Baygold failed to meet the second prong of the *J. N. A. Realty* test. Baygold concedes that it has not made any improvements to the premises since 1985, but claims that it made \$1 million in improvements between 1972 and 1985 with the expectation

that it would derive revenue from possessing a 50-year lease. Unlike the tenant in *J. N. A. Realty*, however, neither Baygold nor any of its affiliates was a tenant in possession of the premises at the time of the failure to comply with the lease renewal provision. Nor can it be said that Baygold, having profited from its sublease with Orzel since 1985 while having expended no monies on improvements, would incur a “substantial loss” should the lease not be renewed, as Baygold has undoubtedly “reaped the benefit of any initial expenditure” (*Wayside Homes v Purcelli*, 104 AD2d 650, 651 [2d Dept 1984], *lv denied* 64 NY2d 602 [1984]). The forfeiture rule was crafted to protect tenants in possession who make improvements of a “substantial character” with an eye toward renewing a lease, not to protect the revenue stream of an out-of-possession tenant like Baygold.

Similarly, it cannot be said that Baygold’s improvements—made over 20 years earlier when it was a tenant in possession—were made with a view toward renewal of the lease such that Baygold’s equitable interest in a renewal must be protected. Those improvements are too attenuated from Baygold’s failure to exercise the option over 20 years later (*compare J. N. A. Realty*, 42 NY2d 392 [1977] [tenant improvements made before and after expiration of lease option]; *Popyork, LLC v 80 Ct. St. Corp.*, 23 AD3d 538 [2d Dept 2005] [fast food tenant that expended \$550,000 to acquire former tenant’s rights under lease plus another \$300,000 in improvements during its three years of operation would suffer “substantial forfeiture” if five-year lease not renewed]; *Bench ‘N’ Gavel Rest. v Time Equities*, 169 AD2d 755 [2d Dept 1991] [tenant who expended \$125,000 to purchase the business and lease plus another \$100,000 for renovations a year before tenant failed to comply with lease renewal provision would suffer a forfeiture if lease not renewed]).

Baygold attempts to use the improvements Orzel made to the premises between 1985 and 2007 as part of its claim of forfeiture, asserting that Baygold’s forbearance in collecting “substantial rent increases” due from Orzel under the sub-sublease was extended in anticipation of a 50-year lease term. But our holding in *J. N. A. Realty* is restricted to tenants who make “considerable investment in improvements” to the premises in anticipation of the lease renewal or would “lose a considerable amount of . . . customer good will” should the lease not be renewed (*see J. N. A. Realty*, 42 NY2d at 399-400). This narrow equitable doctrine was never intended to apply in a circumstance like this, where the out-of-possession tenant fails to make any

improvements in anticipation of renewal and does not possess any good will in a going concern. Although the record indicates that Baygold allegedly “deferred” rent increases for 20 years because Orzel claimed that he was having difficulty in paying Baygold’s rent and making improvements, it cannot be said that the Appellate Division erred in concluding that Baygold failed to demonstrate its entitlement to equitable relief, because “[b]y its nature [such] relief must always depend on the facts of the particular case” (*J. N. A. Realty*, 42 NY2d at 400) and, here, there was ample support for its conclusion that Baygold was not entitled to such relief.

Finally, we reject Baygold’s assertion that it is entitled to equitable relief because it incurred litigation expenses to cure alleged defaults on the part of Orzel, who allegedly entered into an illegal sub-subtenancy. Such expenses, which were ostensibly incurred by Baygold as part of its obligations to MPH under the MPH-Baygold lease, do not constitute “substantial improvements” to the premises.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). The majority seems to me to make an arbitrary distinction between tenants and subtenants in applying the rule of *J. N. A. Realty Corp. v Cross Bay Chelsea* (42 NY2d 392 [1977]).

As we explained in *J. N. A.*, “when a tenant in possession under an existing lease has neglected to exercise an option to renew, he might suffer a forfeiture if he has made valuable improvements on the property” (*id.* at 397). We held that, to prevent such a forfeiture, a tenant “should not be denied equitable relief from the consequences of his own neglect or inadvertence,” if the neglect or inadvertence has caused no harm to the landlord (*id.* at 398).

Here, it is a subtenant and not a tenant who has made the improvements, but the result of the tenant’s inadvertence is no less a forfeiture. Because the tenant failed to send a certified mail notice by the prescribed date, the subtenant loses improvements that cost, according to evidence in the record, several hundred thousand dollars; the tenant loses the revenue it anticipated from the sublease; and the landlord gets the improvements for nothing.

The only distinction between this case and *J. N. A.* is that the subtenant, not the tenant, was the party “in possession” and

the party that paid for the improvements. Why that should make a difference is a question that the majority opinion makes no attempt to answer.

Chief Judge LIPPMAN and Judges CIPARICK and READ concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion in which Judge GRAFFEO concurs; Judge JONES taking no part.

Order affirmed, with costs.

[970 NE2d 404, 947 NYS2d 381]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MONROE
B. BUSSEY, Appellant.

Argued March 21, 2012; decided May 3, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 15, 2011. The Appellate Division affirmed a judgment of the Orange County Court (Robert H. Freehill, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree (depraved indifference murder), murder in the second degree (felony murder), kidnapping in the first degree, tampering with physical evidence, and criminal possession of marijuana in the fourth degree.

People v Bussey, 82 AD3d 1002, modified.

HEADNOTES

Crimes — Manslaughter — Conscious Disregard of Substantial and Unjustifiable Risk of Death

1. In a prosecution arising out of defendant's participation in the beating of the victim, who was later wrapped in a blanket and dumped in a creek, defendant's conviction for depraved indifference murder was reduced to manslaughter in the second degree where the People did not demonstrate that defendant evinced utter disregard for the victim's life to the extent that he did not care whether the victim was killed, but the evidence did support the conclusion that defendant was aware of and consciously disregarded the substantial and unjustified risk that his conduct could cause the death of the victim. The culpable mental state for depraved indifference murder, in contrast to the intent to take one's life, is depraved and reckless indifference as to whether the injury to or death of another occurs. Here, where the victim was beaten for approximately 10 minutes or more so that he died eventually from multiple blunt impact trauma to the head and torso, the evidence tended to support the conclusion that defendant intended to harm the victim. Recklessness, an element present in both depraved indifference murder and second degree manslaughter, exists when a person is aware of and consciously disregards a substantial and unjustifiable risk that a result defined by statute will occur. Since the jury, in convicting defendant, concluded that he acted recklessly in causing the death of the victim, and the evidence supported that conclusion, reducing the depraved indifference murder conviction to manslaughter in the second degree was appropriate.

Crimes — Merger Doctrine — Kidnapping

2. In a prosecution arising out of defendant's participation in the beating of the victim, who was later wrapped in a blanket and dumped in a creek, the acts subsequent to the beating—namely, the asportation of the victim and his

death during the asportation or prior to his safe return—supported defendant’s separate convictions for first degree kidnapping and felony murder. The merger doctrine, under which the kidnapping would be considered incidental to and merged with the act of killing the victim, did not come into play since the People demonstrated that the acts constituting the kidnapping were separate and distinct from the prior acts which led to the victim’s death. The evidence revealed that defendant placed the beaten and struggling victim in the trunk of his car and subsequently dumped the victim in a shallow creek approximately 18 miles away. The medical testimony explained that the victim died approximately one to two hours after he had vomited in a blanket wrapped around his head. Thus, sufficient evidence existed for the jury to have concluded that the victim was alive at the time he was taken and that he died before he was able to return or be returned to safety (Penal Law § 135.25 [3]).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Abduction and Kidnapping §§ 5, 12, 53; AM
JUR 2d, Homicide §§ 44–47, 65, 66, 88.

NY JUR 2d, Criminal Law: Substantive Principles and Of-
fenses §§ 512, 514, 515, 522, 533, 549, 550, 597, 742, 743,
752, 758.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by
conduct manifesting “depraved indifference.” 25 ALR4th
311.

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Query: depraved /2 indifference /2 murder /5 second /4
manslaughter /s recklessness

POINTS OF COUNSEL

Alex Smith, Middletown, for appellant. I. The submission of the twin counts of intentional murder and depraved indifference murder to the jury violated appellant’s rights to a fair trial and due process of law. (*People v Baptiste*, 51 AD3d 184; *People v Suarez*, 6 NY3d 202; *People v Taylor*, 15 NY3d 518; *People v Little*, 83 AD3d 1389; *People v Feingold*, 7 NY3d 288; *People v Payne*, 3 NY3d 266; *People v Rollins*, 51 AD3d 1279; *Fernandez v Smith*, 558 F Supp 2d 480; *People v Timmons*, 78 AD3d 1241; *People v Joseph*, 68 AD3d 1534.) II. The depraved indifference murder, felony murder, tampering and marijuana verdicts were based upon legally insufficient evidence, were not proved beyond a reasonable doubt, and the kidnapping conviction and

predicate should have merged. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Reed*, 40 NY2d 204; *People v Carter*, 63 NY2d 530; *People v Suarez*, 6 NY3d 202; *People v Mancini*, 7 NY3d 767; *People v Campbell*, 33 AD3d 716; *People v Kibbe*, 35 NY2d 407; *People v Mills*, 1 NY3d 269; *People v Waldron*, 17 Misc 3d 509.) III. The prosecutor's repeated use of statements made by severed codefendants was impermissible hearsay and violated appellant's rights to confrontation and due process under the United States and New York State Constitutions. (*People v Roman*, 212 AD2d 390; *Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813.) IV. Prosecutorial misconduct in the summation deprived appellant of his rights to a fair trial and due process under the Federal and State Constitutions.

Francis D. Phillips, II, District Attorney, Middletown (Andrew R. Kass and Lauren E. Grasso of counsel), for respondent. I. Defendant's convictions are supported by legally sufficient evidence. (*People v Sanchez*, 98 NY2d 373; *People v Russell*, 34 AD3d 850, 8 NY3d 884; *People v Pomie*, 55 AD3d 630, 11 NY3d 899; *People v Georgiou*, 38 AD3d 155, 9 NY3d 844; *People v Contes*, 60 NY2d 620; *People v Taylor*, 94 NY2d 910; *People v Norman*, 85 NY2d 609; *People v Rhodes*, 49 AD3d 668; *People v Romero*, 7 NY3d 633; *People v Joseph*, 68 AD3d 1534.) II. Defendant's due process challenge premised on the submission of the twin intentional and depraved indifference murder counts is unpreserved for appeal and, in any event, is without merit. (*People v Suarez*, 6 NY3d 202; *People v Gray*, 86 NY2d 10; *People v Danielson*, 40 AD3d 174; *People v Carter*, 40 AD3d 1310; *Jones v Keane*, 329 F3d 290, 540 US 1046; *DiSimone v Phillips*; 461 F3d 181; *People v Gutierrez*, 15 AD3d 502; *People v Johnson*, 67 AD3d 448; *People v Page*, 63 AD3d 506; *Green v Abrams*, 984 F2d 41.) III. Defendant's claims that the trial court erroneously denied his request to charge that Stanford Boyd and Crystal French were accomplices as a matter of law are without merit. (*Caminetti v United States*, 242 US 470; *United States v Florez*, 447 F3d 145; *United States v Zapata*, 205 F3d 1327; *United States v Riggi*, 541 F3d 94; *Smithwick v Walker*, 758 F Supp 178; *People v Jones*, 73 NY2d 902; *People v Vataj*, 69 NY2d 985; *People v Besser*, 96 NY2d 136; *People v Tucker*, 72 NY2d 849; *People v Basch*, 36 NY2d 154.) IV. Defendant's claim that the prosecution's use of statements made by codefendants during his cross-examination violated the rules against hearsay as well as his right to confrontation is, to a certain extent, unreviewable, and, in any event, is without merit. (*People v Kinchen*, 60

NY2d 772; *People v Maher*, 89 NY2d 318; *People v Kass*, 25 NY2d 123; *People v Williams*, 28 AD3d 1005; *People v Green*, 272 AD2d 341; *People v Montgomery*, 216 AD2d 332; *People v Sealy*, 167 AD2d 362; *People v Grant*, 186 AD2d 267; *People v Melendez*, 74 AD3d 629; *People v Shelton*, 31 AD3d 791.) V. Defendant's claim that the prosecution's statements deprived him of his right to a fair trial is partially unpreserved for appeal and, in any event, is without merit. (*Petrucelli v Coombe*, 735 F2d 684; *Daye v Attorney Gen. of State of N.Y.*, 696 F2d 186, 464 US 1048; *People v Tardbania*, 72 NY2d 852; *People v James*, 35 AD3d 189; *People v Clark*, 161 AD2d 367; *People v Ashwal*, 39 NY2d 105; *People v Galloway*, 54 NY2d 396; *People v Williams*, 37 AD3d 626; *People v Stiff*, 60 AD3d 1094; *People v McHarris*, 297 AD2d 824.)

OPINION OF THE COURT

JONES, J.

On September 4, 2007, a young male victim was found dead in the Fallkill Creek located in the City of Poughkeepsie. He was lying naked with his body badly beaten and a blanket, secured with tape, wrapped around his head. Two days after the police confirmed the identity of the victim, an eyewitness reported that she had observed three men—later identified as defendant, Earl Bell and Michael Thomas—severely beat a young man, who was later identified as the victim, in the alley and backyard of Bell's residence in the City of Newburgh.

On September 6th, the police executed a search warrant at Bell's residence and recovered blood from the inside stairwell and walls that led to the second floor apartment. The police arrested defendant the next day. During a subsequent search, the police recovered, among other things, carpeting and molding from the trunk of his car. The testing of those items revealed the presence of defendant's blood on the stairway and walls at Bell's residence and the presence of the victim's blood on the carpeting and molding of defendant's car. Additionally, cell phone records and cell site information obtained from defendant's, Bell's and Thomas's cellular phones showed that the three men were in contact with each other in the hours before the victim's beating and that Bell was in the Poughkeepsie area at 11:32 P.M. on September 3rd.

Defendant, along with Bell and Thomas, was charged with, among other things, three counts of murder in the second degree (intentional, felony and depraved indifference) and kidnapping

in the first degree. At trial, two witnesses—Bell’s neighbor and her friend—testified that they saw defendant, with other men, walk into Bell’s backyard and then heard sounds like someone was getting hit. They also heard the victim yelling and screaming, and identified defendant exiting the backyard after the yelling and screaming had ceased. They estimated that the beating lasted approximately 10 minutes or more. Two witnesses close to Bell—his wife and a close friend—testified that defendant and Thomas, in the presence of Bell, beat the victim for several minutes. Bell’s friend further testified that the three men removed the victim’s clothing, wrapped him in a blanket and drove off with the victim in defendant’s vehicle. He heard the victim struggling to breathe while wrapped in the blanket. Defendant testified that his codefendants beat the victim and he assisted them by transporting the victim in the trunk from his vehicle to a creek in Poughkeepsie—a distance of some 18 miles.

The expert medical testimony revealed that (1) the victim had vomited while the blanket was wrapped around his head and (2) he died from “[m]ultiple blunt impact trauma to the head and torso.” The chief medical examiner also opined that the victim lived for an hour or two after he had aspirated the vomit.

At the close of trial, defendant moved to dismiss several charges. Defendant argued that, without knowing when the victim died, the evidence did not support a depraved indifference murder charge pursuant to *People v Suarez* (6 NY3d 202 [2005]). Defendant also argued for the dismissal of the felony murder and kidnapping charges because the alleged act of kidnapping, pursuant to the merger doctrine, was not a separate and distinct act from the acts alleged to constitute murder. The trial court denied defendant’s motion.

The jury acquitted defendant of intentional murder, but convicted him of, among other things, depraved indifference murder, felony murder and kidnapping in the first degree.¹ The Appellate Division affirmed (82 AD3d 1002 [2011]). It concluded that the evidence was legally sufficient to support defendant’s conviction for depraved indifference murder. It also held the merger doctrine inapplicable to the felony murder and kidnapping convictions, concluding that “[t]he acts constituting the kidnapping were discrete” (*id.* at 1003). The court rejected defendant’s other contentions as either meritless or unpreserved.

1. Codefendant Bell was tried separately and similarly convicted. Codefendant Thomas pleaded guilty.

A Judge of this Court granted defendant leave to appeal. We modify, by reducing the conviction of depraved indifference murder to manslaughter in the second degree, and otherwise, affirm.

“A person is guilty of murder in the second degree when . . . [u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person” (Penal Law § 125.25 [2]). Depraved indifference murder “is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not” (*People v Feingold*, 7 NY3d 288, 296 [2006]). The culpable mental state, contrasting it from the intent to take one’s life, is such that one is “recklessly indifferent, depravedly so, to whether” the injury to or death of another occurs (*People v Gonzalez*, 1 NY3d 464, 468 [2004]). “As the drafters of the Penal Law put it, depraved indifference murder is ‘extremely dangerous and fatal conduct performed without specific homicidal intent but with a depraved kind of wantonness’ ” (*People v Payne*, 3 NY3d 266, 272 [2004]).

[1] Here, the victim was beaten for approximately 10 minutes, or more, to the extent that he died eventually from “[m]ultiple blunt impact trauma to the head and torso.” The People did not demonstrate that defendant evinced utter disregard for the victim’s life to the extent that he did not care whether the victim was killed. Although defendant was acquitted of intentional murder, the evidence tends to support the conclusion that he intended to harm the victim. Recklessness, an element present in both depraved indifference murder and second degree manslaughter, exists when a person “is aware of and consciously disregards a substantial and unjustifiable risk that [a] result [defined by statute] will occur” (Penal Law § 15.05 [3]).² Here, the jury, in convicting defendant, concluded that he acted recklessly in causing the death of the victim. Because the evidence supports the conclusion that defendant was aware of and consciously disregarded the substantial and unjustified risk that his conduct could cause the death of the victim, reducing the depraved indifference murder conviction to manslaughter in the second degree is appropriate (*see also People v Atkinson*, 7 NY3d 765, 766-767 [2006]).

2. “A person is guilty of manslaughter in the second degree when . . . [h]e recklessly causes the death of another person” (Penal Law § 125.15 [1]).

Pursuant to Penal Law § 135.25 (3), a person who abducts another person is guilty of kidnapping in the first degree when “[t]he person abducted dies during the abduction or before he is able to return or to be returned to safety.” Defendant contends that he should not be held criminally responsible for kidnapping in the first degree because the acts alleged to constitute kidnapping were merely incidental to and merged with the act of killing the victim.

The so-called merger doctrine “is intended to preclude conviction for kidnapping based on acts which are so much the part of another substantive crime that the substantive crime could not have been committed without such acts and that independent criminal responsibility may not fairly be attributed to them” (*People v Cassidy*, 40 NY2d 763, 767 [1976]). The doctrine arose out of “an aversion to prosecuting a defendant on a kidnapping charge in order to expose him to the heavier penalty,” where defendant was charged with kidnapping and the acts appeared to be no more than a rape or robbery (*id.* at 765).³ In *Cassidy*, the Court observed that the Legislature, in the 1967 Revision of the Penal Law, “took note of the underlying problem and enacted a provision specifically requiring that for kidnapping in the first degree the abduction must be ‘for a period of more than twelve hours’ ” (*id.* at 766 [the revision pertains to subdivision (2) of section 135.25]).⁴ The *Cassidy* Court, deciding whether the merger doctrine applied to kidnapping in the second degree (Penal Law § 135.20)⁵ reasoned that while “the 12-hour durational requirement of section 135.25 effectively renders application of the merger doctrine unnecessary with respect to prosecution on charges of kidnapping in the first degree,” the

3. Prior to the 1967 Revision of the Penal Law, the Court, in *People v Levy* (15 NY2d 159 [1965]), reversed the defendant’s kidnapping conviction and dismissed the charge. The Court observed that the kidnapping statute broadly encompassed any confinement and “could literally overrun several other crimes, notably robbery and rape, and in some circumstances assault, since detention and sometimes confinement, against the will of the victim, frequently accompany these crimes.” The Court concluded that “[i]t is unlikely that these restraints, sometimes accompanied by asportation, which are incidents to other crimes and have long been treated as integral parts of other crimes, were intended by the Legislature in framing its broad definition of kidnapping to constitute a separate crime of kidnapping” (*id.* at 164).

4. Penal Law § 135.25 (2) provides that a person is guilty of first degree kidnapping when “[h]e restrains the person abducted for a period of more than twelve hours with intent to,” among other things, injure or sexually abuse another or commit a felony.

5. “A person is guilty of kidnapping in the second degree when he abducts another person” (Penal Law § 135.20).

amendment, however, did not eliminate the merger doctrine's application (*id.*).

[2] Here, the merger doctrine does not come into play as the People demonstrated that the acts constituting kidnapping were separate and distinct from the prior acts which led to the victim's death. The evidence reveals that defendant placed the victim in the trunk of his car and subsequently dumped the victim in a shallow creek approximately 18 miles away, after the beating of the victim occurred. An eyewitness testified that the victim was struggling to breathe prior to being placed in the trunk of the vehicle. The medical testimony explained that the victim died approximately one to two hours after he had vomited in the blanket wrapped around his head. Thus, sufficient evidence exists for the jury to have concluded that the victim was alive at the time he was taken and that he died before he was able to return or be returned to safety. The beating of the victim, and his subsequent death, were discrete and distinct acts separate from the taking of the victim and his asportation to the creek (*see People v Black*, 18 AD2d 719, 720 [2d Dept 1962] [the kidnapping occurred after the robbery; thus defendant was not "guilty of a single and inseparable act"]; *see also People v Levy*, 15 NY2d 159, 164, 164-165 [1965] [explaining that the kidnapping statute "literally embraced in its terms any restraint" and concluded that the Court must "limit the application of the kidnapping statute to 'kidnapping' in the conventional sense in which that term has now come to have acquired meaning"])). Therefore, the acts subsequent to the beating—namely, the asportation of the victim and his death during the asportation or prior to his return—support the separate convictions of kidnapping in the first degree and felony murder. Defendant's remaining contentions, to the extent that they are properly raised on appeal and preserved for review, are meritless.

Accordingly, the order of the Appellate Division should be modified by reducing defendant's conviction of depraved indifference murder in the second degree to manslaughter in the second degree and remitting to County Court for resentencing and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order modified, etc.

[969 NE2d 765, 946 NYS2d 547]

In the Matter of NEW YORK CITY HEALTH AND HOSPITALS CORPORATION, Respondent, v NEW YORK STATE COMMISSION OF CORRECTION, Appellant.

Argued March 19, 2012; decided May 8, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 17, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Shirley Werner Kornreich, J.), which had granted petitioner's application to quash the subpoena duces tecum issued by respondent New York State Commission of Correction and served upon Elmhurst Hospital seeking the medical records of a deceased inmate.

Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction, 76 AD3d 453, reversed.

HEADNOTES

Witnesses — Privileged Communications — Physician-Patient Privilege — Investigation of Prison Inmate's Death

1. The physician-patient privilege (CPLR 4504 [a]) did not preclude the enforcement of a subpoena duces tecum, issued by the New York State Commission of Correction (Commission) in connection with its statutorily required investigation into a prison inmate's death, seeking medical records relating to the premortem treatment of the inmate in a hospital's nonprison unit. An exception to the physician-patient privilege may be implied where its underlying policy objectives, namely, uninhibited and candid communication between patients and medical professionals, the accurate recording of confidential information, and the protection of patients' reasonable privacy expectations, are not advanced and there are countervailing legislatively sanctioned policies and practices militating in favor of disclosure. Here, a specific, narrow exception was implied from the Legislature's express provisions detailing the Commission's responsibilities and powers, particularly with respect to investigating inmate deaths through its Medical Review Board (Board). In granting the Board the plenary authority to "[i]nvestigate and review the cause and circumstances surrounding the death of any inmate of a correctional facility" (Correction Law § 47 [1] [a]), the Legislature could not have intended that the thoroughness of the Board's inquiry would vary depending on whether premortem medical care was received in a prison, a hospital's prison unit, or a hospital's nonprison unit. A confidential postmortem review of an inmate's medical record should have no untoward effect upon the physician-patient relationship. However, even if it did, the extent of the Board's broad and intrusive investigative authority is so great as to render the effect of the abrogation of that physician-patient privilege in this context relatively insignificant.

Disclosure — Medical Records and Reports — Federal Health Insurance Portability and Accountability Act — Disclosures Required by Law

2. The Privacy Rule (45 CFR parts 160, 164) of the Health Insurance Portability and Accountability Act (Pub L 104-191, 110 US Stat 1936 [1996]) did not prohibit a hospital's disclosure of medical records sought pursuant to a subpoena duces tecum issued by the New York State Commission of Correction in connection with its statutorily required investigation (Correction Law § 47 [1] [a]) into a prison inmate's death. The Privacy Rule specifically allows for disclosures "required by law" (45 CFR 164.512 [a]), and included under that heading are disclosures pursuant to "subpoenas . . . issued by . . . an administrative body authorized to require the production of information" (45 CFR 164.103). The subpoena here fell within that description.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 146, 153, 158; AM
JUR 2d, Penal and Correctional Institutions §§ 99, 128.
CARMODY-WAIT 2d, Disclosure §§ 42:121, 42:122.
MCKINNEY'S, CPLR 4504; Correction Law § 47 (1) (a).
NY JUR 2d, Disclosure §§ 5, 114, 120, 204, 296, 304; NY
JUR 2d, Penal and Correctional Institutions § 15.

ANNOTATION REFERENCE

See ALR Index under Disclosure; Physician–Patient Privilege; Subpoena Duces Tecum.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Barbara D. Underwood, Cecelia C. Chang, Benjamin N. Gutman, Matthew W. Grieco and Brian A. Sutherland of counsel), for appellant. CPLR 4504 does not bar disclosure of hospital records to the New York State Commission of Correction for an investigation into an inmate's death. (*Matter of Camperlengo v Blum*, 56 NY2d 251; *Thomas v Morris*, 286 NY 266; *Matter of State Commn. of Correction v Nassau County Med. Ctr.*, 137 AD2d 127; *Matter of Diaz v Lukash*, 82 NY2d 211; *Long v State of New York*, 7 NY3d 269; *Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525; *Matter of Grand Jury Proceedings [Doe]*, 56 NY2d 348; *Dillenbeck v Hess*, 73 NY2d 278; *Whalen v Roe*, 429 US 589.)

Michael A. Cardozo, Corporation Counsel, New York City (*Sharyn Rootenberg, Larry A. Sonnenshein* and *Wayne A. McNulty* of counsel), for respondent. The lower courts correctly quashed the New York State Commission of Correction's subpoena as it sought production of confidential medical information subject to the physician-patient privilege and failed to comply with the CPLR and the requirements governing the disclosure of protected health information. (*Matter of State Commn. of Correction v Nassau County Med. Ctr.*, 137 AD2d 127, 72 NY2d 810; *Matter of City Council of City of N.Y. v Goldwater*, 284 NY 296; *Dillenbeck v Hess*, 73 NY2d 278; *People v Sinski*, 88 NY2d 487; *Prink v Rockefeller Ctr.*, 48 NY2d 309; *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *People v Lay*, 254 App Div 372, 279 NY 737; *Matter of Grand Jury Proceedings [Doe]*, 56 NY2d 348; *Koump v Smith*, 25 NY2d 287; *MacDonald v Clinger*, 84 AD2d 482.)

Legal Aid Society, New York City (*Milton Zelermeyer, Steven Banks, John Boston* and *Sarah Kerr* of counsel), and *Prisoners' Legal Services*, Albany (*Karen Murtagh-Monks* of counsel), for Legal Aid Society and another, amici curiae. The New York State Commission of Correction's subpoena duces tecum for hospital records, in furtherance of its obligation to investigate in-custody deaths, is excepted from the physician-patient privilege. (*Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *Matter of Camperlengo v Blum*, 56 NY2d 251; *Matter of Kaminisky*, 134 Misc 2d 218; *Matter of State Commn. of Correction v Nassau County Med. Ctr.*, 137 AD2d 127; *Matter of Jones v Smith*, 64 NY2d 1003; *Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

At issue is the enforceability of a subpoena duces tecum issued by respondent New York State Commission of Correction (the Commission) commanding Elmhurst Hospital, a health care facility operated by petitioner New York City Health and Hospitals Corporation (HHC), to produce its records respecting its care and treatment of one Carlos Frazier, who, at the time of his premortem hospitalization at the Elmhurst facility, was a correctional inmate in the custody of the City of New York. In the proceedings resulting in this appeal, the Commission's subpoena was quashed upon the ground that it sought material shielded from disclosure by the physician-patient privilege. We

now hold that this was error—that the records sought were not properly withheld from the Commission by reason of the asserted privilege and that the subpoena should be enforced.

Respondent Commission is constitutionally charged with the oversight of all correctional facilities in this state (NY Const, art XVII, § 5). Within the Commission there is a Medical Review Board (the Board) (Correction Law § 43) composed in significant part of duly licensed medical doctors, including a board certified pathologist and psychiatrist (Correction Law § 43 [1]). First among the Board's statutorily assigned functions, powers and duties is the "[i]nvestigat[ion] and review [of] the cause and circumstances surrounding the death of any inmate of a correctional facility" (Correction Law § 47 [1] [a]). The Board, relatedly, has broad investigative powers: it is given access to any correctional facility in which an inmate has died and the authority to order an autopsy, even where one has already been performed (Correction Law § 47 [1] [b], [c]). At the conclusion of its postmortem review, the Board must issue a report containing recommendations respecting the prevention of future similarly eventuated inmate deaths (Correction Law § 47 [1] [d]). The Board is separately required to report to the Commission generally "on the condition of systems for the delivery of medical care to inmates of correctional facilities and where appropriate [to] recommend such changes as it shall deem necessary and proper to improve the quality and availability of such medical care" (Correction Law § 47 [1] [e]).

In discharging its mandate to investigate the death of any inmate of a correctional institution, the Board not infrequently has occasion to request the medical records of inmates who, during their final illnesses, were transferred to and treated at noncorrectional health care facilities in accordance with 9 NYCRR 7010.2 (g), 7503.1 (a) and 7651.13. To enable the Board's postmortem review in these situations the Commission, the Chairman of which "may request and receive" from any state or local agency or public authority the "information and data" (Correction Law § 44 [4]) necessary to the performance of its duties, has used its broad power "to issue and enforce" subpoenas and to examine witnesses "under oath, in accordance with and pursuant to [the] civil practice law and rules" (Correction Law § 46 [2]).

This proceeding arises from the Medical Review Board's statutorily required investigation into the causes and circumstances surrounding the death of prison inmate Carlos Frazier. Mr. Frazier died subsequent to transfers from the City facility

where he was incarcerated to Elmhurst Hospital and from there to Bellevue Hospital, his final destination. As is here relevant, the Commission served upon the records department of Elmhurst Hospital a subpoena duces tecum requesting Mr. Frazier's medical records. Responding to the subpoena on the hospital's behalf, HHC refused to turn over the sought records. Frazier, it pointed out, had been treated at Elmhurst in a nonprison unit, and, in view of that circumstance, it was HHC's contention that the Commission had no special entitlement to his records, which HHC claimed were shielded from disclosure by the physician-patient privilege (CPLR 4504).¹

HHC thereafter brought the present motion pursuant to CPLR 2304 to quash the Commission's subpoena. To the extent presently relevant, HHC in addition to alleging that it was precluded from turning over the Elmhurst records by the physician-patient privilege, claimed that under the Privacy Rule (45 CFR parts 160, 164) of the Health Insurance Portability and Accountability Act (HIPAA) (Pub L 104-191, 110 US Stat 1936 [1996] [codified as amended in scattered sections of titles 18, 26, 29 and 42 of the United States Code]), its disclosure of the sought records was not required.

Supreme Court agreed with HHC to the extent of holding in separate decisions that HIPAA permitted, but did not require, HHC's surrender of the sought records absent authorization from Mr. Frazier's personal representative, and that the records were privileged from disclosure pursuant to CPLR 4504. The court rejected the Commission's contention that Correction Law §§ 46 and 47 impliedly created an exception to the statutory doctor-patient privilege asserted on Mr. Frazier's behalf by HHC.²

1. CPLR 4504 (a) provides, in pertinent part:

“[u]nless the patient waives the privilege, a person authorized to practice medicine, registered professional nursing [or] licensed practical nursing . . . shall not be allowed to disclose any information which he [or she] acquired in attending a patient in a professional capacity, and which was necessary to enable him [or her] to act in that capacity. The relationship of a physician and patient shall exist between a medical corporation . . . and the patients to whom [it] . . . render[s] professional medical services.”

2. It is not disputed that the physician-patient privilege may be asserted by a hospital on its patient's behalf (*see Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525, 528 [2002]).

The Appellate Division affirmed (76 AD3d 453 [2010]). While terming the Commission's investigative objectives "laudable," it found that the clinical records sought were subject to the statutory privilege. The court noted that there was no public interest exception to the privilege. Exceptions, it said, were to be made, if at all, by the Legislature (76 AD3d 453, 455 [2010]). Inasmuch as the Legislature had not enacted an express exception in favor of the Commission, the court held that the Commission's subpoena was properly quashed.

This Court granted respondent permission to appeal (16 NY3d 708 [2011]), and we now reverse.

[1] The physician-patient privilege exists to protect important policies—namely, uninhibited and candid communication between patients and medical professionals, the accurate recording of confidential information and the protection of patients' reasonable privacy expectations (*see Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d at 531-533). Nonetheless, the privilege, which owes its existence solely to legislative enactment in derogation of the common law (*id.* at 529), is justified exclusively by these policies, and where they will not be advanced by the privilege's assertion and there are countervailing legislatively sanctioned policies and practices militating in favor of disclosure, exceptions to the privilege, we have held, may be implied. In *Matter of Camperlengo v Blum* (56 NY2d 251 [1982]), we implied such an exception to allow the State Department of Social Services to subpoena otherwise privileged medical records from a health care provider in pursuance of a Medicaid fraud investigation. We noted in relevant part that,

“[a]lthough there is no express statutory exception to the privilege for Medicaid-related records, the Federal and State record-keeping and reporting requirements evidence a clear intention to abrogate the physician-patient privilege to the extent necessary to satisfy the important public interest in seeing that Medicaid funds are properly applied. Of course, this exception to the privilege is intended to be no broader than necessary for effective oversight of the Medicaid program” (*id.* at 255-256).

While we have since *Camperlengo* held that there is no general public interest exception to the physician-patient privilege (*People v Sinski*, 88 NY2d 487, 492 [1996]) and that there is no categorical exception for grand jury subpoenas (*Matter of Grand*

Jury Investigation in N.Y. County, 98 NY2d at 531-533), what is claimed by the Commission here is not a general exception that would compromise the policy objectives underlying the privilege, but a specific, narrow exception reasonably and indeed practically necessarily to be implied, as per *Camperlengo*, from the Legislature's express provisions detailing the Commission's responsibilities and powers, particularly with respect to investigating inmate deaths through its Medical Review Board.

It is plain that the Legislature intended for the Board to have plenary authority to "[i]nvestigate and review the cause and circumstances surrounding the death of *any* inmate of a correctional facility" (Correction Law § 47 [1] [a] [emphasis added]). In granting this authority, the Legislature cannot be supposed to have allowed that the thoroughness of the Board's inquiry would vary with the site of an inmate's premortem medical care—that the inquiry respecting the death of an inmate who in the period preceding his or her death was treated in a prison or a prison unit in a hospital would be conducted with the benefit of a full medical record,³ whereas one respecting an inmate who had received premortem treatment in a nonprison unit would have to be performed without such a record in the event that a waiver of the physician-patient privilege could not be obtained.

Countenancing such an obviously unintended and unreasonable disparity would, moreover, not serve any justifying purpose of the privilege. The prospect of a confidential postmortem review (*see* Public Officers Law § 89 [2] [b] [ii]; § 96) of an inmate's medical record should have no untoward effect upon the physician-patient relationship. Even if it did, however, the Legislature has provided that all inmate deaths must be reviewed and the extent of the authorized review, even without the records here claimed to be subject to the physician-patient privilege, is so great as to render the effect of the abrogation of that privilege in this context relatively insignificant with respect to the interests the privilege properly safeguards. The Medical Review Board, as noted, must, pursuant to express statutory command, have at its disposal all of the medical records of a deceased inmate generated in any correctional facility.

3. It is, in this connection, clear that the Commission "must be granted access . . . to all books, records, and data pertaining to any correctional facility" and may require "the officers or employees of a correctional facility [to provide] any information deemed necessary for the purpose of carrying out the commission's functions, powers and duties" (Correction Law § 46 [1]).

It must, in addition, be afforded a report of the autopsy necessarily to be performed in the event of an inmate death (County Law § 671 [1]; § 674 [5]; § 677 [6]) and is authorized itself to command the performance of an additional autopsy (Correction Law § 47 [1] [c]). In light of the Legislature's authorization of such broad and intrusive investigative authority, there is no plausible contention that there is some residual privacy, record keeping or treatment interest effectively to be vindicated by asserting the privilege. To the extent that interests protected by the privilege are implicated, they have already been irretrievably affected given the investigative powers expressly committed by the Legislature to the Commission and its Medical Review Board.

[2] Finally, although HHC presses its argument based on the HIPAA Privacy Rule as an alternative ground for affirmance, the Privacy Rule does not prohibit disclosure of the sought records. The Rule specifically allows for disclosures "required by law" (45 CFR 164.512 [a]; see *Arons v Jutkowitz*, 9 NY3d 393, 414 [2007]), and included under that heading are disclosures pursuant to "subpoenas . . . issued by . . . an administrative body authorized to require the production of information" (45 CFR 164.103). The subpoena at bar, the validity of which we now uphold as against petitioner's claim of privilege, falls comfortably within this description.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[969 NE2d 770, 946 NYS2d 552]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v FRANK
SUBER, Respondent.

Argued March 22, 2012; decided May 8, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered April 1, 2011. The Appellate Term (1) reversed, on the law, a judgment of the Criminal Court of the City of New York, Kings County (Ruth E. Smith, J.), which had convicted defendant, upon his plea of guilty, of failing to register as a sex offender within 10 days after any change of address, and (2) dismissed the information.

People v Suber, 35 Misc 3d 53, reversed.

HEADNOTES

Crimes — Information — Corroboration Requirement

1. The corroboration provision of CPL 60.50, which provides that a person cannot generally “be convicted of any offense solely upon evidence of a confession or admission made by him without additional proof that the offense charged has been committed,” refers only to convictions and has no bearing on the adequacy of charging instruments that provide the bases for prosecutions. Rather, the statutes that apply to accusatory instruments must be consulted to determine whether corroboration of an accused’s admission is needed to commence a criminal proceeding.

Crimes — Information — Corroboration Requirement — Difference from Indictment

2. Corroboration of a criminal defendant’s admission is not a component of the prima facie case requirement for an information mandating that it contain “[n]on-hearsay allegations” that “establish, if true, every element of the offense charged and the defendant’s commission thereof” (CPL 100.40 [1] [c]). The prima facie case for an information excludes only a particular type of incompetent evidence—hearsay—without restricting the People from utilizing other types of proof in order to commence a criminal proceeding. Moreover, the text of the information provision does not state, directly or inferentially, that informations must corroborate an accused’s admission. Since clear and unequivocal statutory language is presumptively entitled to authoritative effect, CPL 100.40 (1) does not mandate corroboration of an admission in an information. The prima facie case requirement for an information does not rise to the level of legally sufficient evidence that is necessary to set forth a facially valid indictment or survive a motion to dismiss based on the proof presented at trial. Therefore, in a prosecution arising out of a sex offender’s failure to notify the authorities of his change of address, the absence of allegations in the information corroborating defendant’s statements about his various residences did not affect the jurisdictional validity of the information and his conviction on his guilty plea was valid.

Courts — Advisory Opinions — Dicta — Corroboration Requirement for Criminal Information

3. To the extent that *People v Alejandro* (70 NY2d 133 [1987]) and *Matter of Jahron S.* (79 NY2d 632 [1992]) may have tended to equate a prima facie case for an information or a juvenile delinquency petition with legally sufficient evidence under CPL 70.10 (1), those portions of the writings were dicta and incompatible with the governing statutes. Those decisions contain language that was not essential to their holdings and therefore do not bind subsequent cases.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 564; AM JUR 2d, Courts § 134; AM JUR 2d, Criminal Law § 671; AM JUR 2d, Evidence § 807.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:306, 2:308; CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:18, 178:94, 178:252, 178:338; CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:27, 182:29, 182:46; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:3, 193:4; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:257, 194:258.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 21.6.

McKINNEY'S, CPL 60.50, 70.10 (1); 100.40 (1) (c); 190.65 (1).

NY JUR 2d, Courts and Judges § 213; NY JUR 2d, Criminal Law: Procedure §§ 956, 957, 1201, 1268, 1269, 1486, 1487, 2060, 2703.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Corroboration; Guilty Plea; Indictments and Informations; Precedents.

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POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Leonard Joblove and Seth M. Lieberman of counsel), for appellant. The information was facially sufficient because the corroboration requirement of CPL 60.50 does not apply to informations. (*People v Keizer*, 100 NY2d 114; *People v Casey*, 95 NY2d 354;

People v Kalin, 12 NY3d 225; *People v Tychanski*, 78 NY2d 909; *People v Heller*, 180 Misc 2d 160; *People v McKinney*, 145 Misc 2d 460; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Nucio*, 78 NY2d 102; *People v Gilmour*, 98 NY2d 126; *People v Coe*, 71 NY2d 852.)

Legal Aid Society, New York City (Nancy E. Little and Steven Banks of counsel), for respondent. The Appellate Term correctly held that the information was jurisdictionally defective where, apart from respondent's statement to the police, it failed to set forth any allegations that a crime had occurred. (*People v Casey*, 95 NY2d 354; *People v Alejandro*, 70 NY2d 133; *People v Jones*, 9 NY3d 259; *Matter of Jahron S.*, 79 NY2d 632; *People v Potwora*, 44 AD2d 207; *People v Mayo*, 36 NY2d 1002; *People v Escalera*, 143 Misc 2d 779; *Matter of Angel A.*, 92 NY2d 430; *People v Kalin*, 12 NY3d 225; *People v Bello*, 92 NY2d 523.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this appeal is whether a defendant's admissions must be corroborated in order to satisfy the prima facie case requirement for an information. We hold that corroboration is not necessary in this context.

Defendant Frank Suber registered as a level three sex offender in 1999. At that time, he received written notification that any change in his home address had to be communicated to the Division of Criminal Justice Services (DCJS) and that he also had to personally verify his residence address with local law enforcement officials every 90 days. In December 2005, defendant moved to an address in Brooklyn and he subsequently moved to another location within the borough in February 2006. On both occasions, defendant failed to update his information with DCJS and did not verify his addresses with the New York City Police Department. In July 2006, he notified DCJS that he was living in the Bronx.

Defendant eventually told a police officer about his two former Brooklyn residences. As a result of that disclosure, the People filed a misdemeanor information charging defendant with two counts of failing to personally verify his home address with local law enforcement every 90 days (*see* Correction Law § 168-f [3]) and two counts of failing to register as a sex offender within 10 days after changing his address (*see* Correction

Law § 168-f [4]).¹ One of the allegations in the accusatory instrument was that defendant had admitted moving to two Brooklyn residences without notification during the relevant time periods.

In Criminal Court, defendant challenged the facial sufficiency of the information because it did not state facts or include affidavits that corroborated his statements to the police. After the court concluded that corroboration was not required, defendant pleaded guilty to one count of failing to register within 10 days of moving in return for a sentence of time served. The Appellate Term reversed and dismissed the accusatory instrument, holding that an information must set forth corroboration of an admission and that the lack of corroborative allegations regarding defendant's residences rendered the accusatory instrument jurisdictionally insufficient (35 Misc 3d 53 [App Term, 2d Dept 2011]). A Judge of this Court granted leave to appeal (17 NY3d 802 [2011]) and we now reverse and reinstate the conviction.

Because defendant pleaded guilty, he forfeited any challenges to nonjurisdictional defects in the accusatory instrument—only jurisdictional and certain constitutional issues may be raised on appeal (*see generally People v Konieczny*, 2 NY3d 569, 573 [2004]). Not every statutory requirement for an accusatory instrument is jurisdictional in nature (*see People v Casey*, 95 NY2d 354, 362 [2000]). The issue before us is whether corroboration of a defendant's admission is necessary in an information. If it is not required, then we have no occasion to address whether a corroboration element would be jurisdictional in nature.

[1] As a general rule, a person cannot “be convicted of any offense solely upon evidence of a confession or admission made by him without additional proof that the offense charged has been committed” (CPL 60.50). Since this corroboration provision refers only to convictions, it has no bearing on the adequacy of charging instruments that provide the bases for prosecutions. Instead, the statutes that apply to accusatory instruments must be consulted to determine whether corroboration of an accused's admission is needed to commence a criminal proceeding.

The Criminal Procedure Law contains various mandated components for the different categories of accusatory instruments. As pertinent to the issue in this appeal, a complaint is

1. When defendant was charged, a violation of these provisions was classified as an A misdemeanor for a first offense and a D felony for subsequent offenses (*see* Correction Law former § 168-t [2005]; L 1999, ch 453, § 20). Currently, a first offense is deemed an E felony and subsequent violations are denoted as D felonies (*see* Correction Law § 168-t; L 2007, ch 373, § 1).

one of the simplest forms of an accusatory instrument. It must contain “facts of an evidentiary character” (CPL 100.15 [3]) that establish “reasonable cause” to believe that the accused committed the charged offense (CPL 100.40 [4] [b]). That requirement also applies to an information (*see* CPL 100.40 [1] [a], [b]) but this type of instrument is subject to a more stringent test: the information and any supporting depositions must set forth “[n]on-hearsay allegations” that “establish, if true, every element of the offense charged and the defendant’s commission thereof” (CPL 100.40 [1] [c]). This is referred to as the “prima facie case” standard for informations (*see e.g. People v Casey*, 95 NY2d at 362). “The reason for requiring the additional showing of a prima facie case . . . lies in the unique function that an information serves under the statutory scheme established by the Criminal Procedure Law” (*People v Jones*, 9 NY3d 259, 262 [2007] [internal quotation marks omitted]).

In the hierarchy of accusatory instruments, the Criminal Procedure Law imposes additional requirements for indictments. In order to issue an indictment, a grand jury must be presented with “competent and admissible evidence . . . provid[ing] reasonable cause” and the proof must be “legally sufficient to establish that such person committed such offense” (CPL 190.65 [1]). The phrase “legally sufficient evidence” is defined in the Criminal Procedure Law as “competent evidence which, if accepted as true, would establish every element of an offense charged and the defendant’s commission thereof; except that such evidence is not legally sufficient when corroboration required by law is absent” (CPL 70.10 [1]). Section 190.65 (1) similarly directs that the proof presented to the grand jury must be corroborated if corroboration is legally required to sustain a conviction (*see* CPL 190.65 [1] [a]). Since CPL 60.50 states that a conviction cannot be based solely on an accused’s uncorroborated admission, both CPL 70.10 (1) and 190.65 (1) correlate the corroboration rule to grand jury indictments.

On occasion, we have referred to the “legally sufficient evidence” standard for indictments as a “prima facie case” requirement (*see e.g. People v Gordon*, 88 NY2d 92, 95 [1996]; *People v Swamp*, 84 NY2d 725, 730 [1995]). Based on this label, one could view our precedent as having equated the prima facie case required for an indictment—which includes a corroboration requirement—with the prima facie case standard for an information. Indeed, the dissent adopts the view that corroboration

is a component of an information's prima facie case even though the statutes governing the content of informations do not incorporate the "legally sufficient evidence" test. But a closer examination of our decisions and the relevant statutes reveals that there are at least two important differences that result in distinct prima facie case standards for informations and indictments.

[2] First, we have been careful to note that the prima facie showing for an indictment refers to legally sufficient evidence that is competent—i.e., evidence that is not "inadmissible under any circumstances because [it is] subject to a per se exclusionary rule" (*People v Swamp*, 84 NY2d at 732; see *People v Gordon*, 88 NY2d at 96; *People v Oakley*, 28 NY2d 309, 312 [1971]; see generally *People v Grant*, 17 NY3d 613, 616 [2011]; *People v Mills*, 1 NY3d 269, 274-275 [2003]; *People v Bello*, 92 NY2d 523, 525-526 [1998]; *People v Hetrick*, 80 NY2d 344, 349 [1992]). The prima facie case for an information, in contrast, excludes only a particular type of incompetent evidence—hearsay—without restricting the People from utilizing other types of proof in order to commence a criminal proceeding (see CPL 100.40 [1] [c]).

Second, and more relevant to this appeal, the precise language that the Legislature chose when the Criminal Procedure Law was adopted unmistakably establishes that corroboration was intended to be a component of the prima facie case for an indictment but not an information. Contrary to the specific reference to the corroboration rule in the statutes that pertain to indictments (see CPL 70.10 [1]; 190.65 [1]), the text of the information provision references "[n]on-hearsay allegations . . . establish[ing], if true, every element of the offense and the defendant's commission thereof" (CPL 100.40 [1] [c]). This statute governing informations does not state, directly or inferentially, that this type of accusatory instrument must corroborate an accused's admission. Since clear and unequivocal statutory language is presumptively entitled to authoritative effect (see e.g. *People v Ballman*, 15 NY3d 68, 72 [2010]; *People v Kisina*, 14 NY3d 153, 158 [2010]; *People v Garson*, 6 NY3d 604, 611 [2006]), CPL 100.40 (1) does not mandate corroboration of an admission in an information. Hence, the prima facie case requirement for an information "does [not] rise to the level of legally sufficient evidence that is necessary" to set forth a facially valid indictment or "survive a motion to dismiss based on the proof presented at trial" (*People v Kalin*, 12 NY3d 225, 230 [2009]).

Legislative history confirms this textual analysis. The drafters of the Criminal Procedure Law initially proposed that the “legally sufficient evidence” standard be incorporated in the legislation that ultimately became CPL 100.40 (*see* Temp St Commn on Rev of Penal Law and Crim Code, 1967 Proposed NY CPL 50.35 [1] [c], at 84; 1968 Study Bill and Commn Rep of Temp St Commn on Rev of Penal Law and Crim Code, Proposed NY CPL 50.35 [1] [c], at 35). That term of art—“legally sufficient evidence”—was later removed by the Legislature from the information provision and replaced with the current “[n]on-hearsay allegations” language (*see* Temp St Commn on Rev of Penal Law and Crim Code, 1969 Proposed NY CPL 100.40, at 55). Such a significant alteration during the drafting process indicates that this issue was considered and a decision was made to exclude corroboration from the necessary components of a facially sufficient information (*see generally* Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 100.40, at 388).

Events that occurred after the enactment of the CPL provide additional support for this conclusion. Despite the technical definition of “legally sufficient evidence,” in the 1970s a split emerged in the appellate courts as to whether an indictment had to allege corroborative facts (*compare* *People v King*, 48 AD2d 457, 459 [1st Dept 1975], *with* *People v Laws*, 54 AD2d 518, 519 [3d Dept 1976]). The Legislature responded by amending CPL 190.65 (1) to include an explicit corroboration rule (*see* L 1983, ch 28, § 1) even though this created a redundancy with CPL 70.10 (1) (*see* Bellacosa, Supp Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 190.65, 1993 Pocket Part, at 107-108). Notably, at the time of this amendment, the Legislature did not add similar phraseology in CPL 100.40 (1) (c), which suggests that the Legislature did not wish to apply a corroboration requirement to informations.

[3] The dissent disregards this linguistic and historical proof, choosing instead to place emphasis on phrases from *People v Alejandro* (70 NY2d 133 [1987]) and *Matter of Jahron S.* (79 NY2d 632 [1992]) to support its mistaken belief that the prima facie case test is always identical to the legally sufficient evidence standard.² We have previously explained that those decisions contain language that was not essential to their holdings

2. Although the dissent cites some lower court cases that are consistent with its position (*see* dissenting op at 257), that view has not been shared

(n. cont’d)

and therefore do not bind subsequent cases (*see People v Casey*, 95 NY2d at 362; *People v Kalin*, 12 NY3d at 232). To the extent that *Alejandro* and *Jahron S.* may have tended to equate a prima facie case for an information or a juvenile delinquency petition with legally sufficient evidence under CPL 70.10 (1), those portions of the writings were dicta and, as we now explain, are incompatible with the governing statutes. The core holdings of the cases—that the prima facie case rule applies to a juvenile delinquency petition (*see Matter of Jahron S.*, 79 NY2d at 639) and that the failure to allege every element of an offense is a jurisdictional defect (*see People v Alejandro*, 70 NY2d at 136; *People v Casey*, 95 NY2d at 362)—remain controlling law.

[2] For all of these reasons, we hold that corroboration of a defendant's admission is not a component of the prima facie case requirement for an information. In this case, the absence of allegations in the information corroborating defendant's statements about his residences in December 2005 and February 2006 did not affect the jurisdictional validity of the information and his conviction on the guilty plea should not have been set aside (*see People v Kalin*, 12 NY3d at 232).

Our holding does not dispense with corroboration for all purposes in a prosecution premised on a misdemeanor information. We simply conclude that the accusatory instrument is not defective if it does not set forth corroborative evidentiary allegations. If a case proceeds to trial, the requirement for corroboration in CPL 60.50 is triggered and a person cannot “be convicted of any offense solely upon evidence of a confession or admission made by him without additional proof that the offense charged has been committed.”

Accordingly, the order of the Appellate Term should be reversed and the judgment of the Criminal Court of the City of New York, Kings County, reinstated.

CIPARICK, J. (dissenting). In holding that the corroboration of a defendant's admission is not necessary to satisfy the prima facie case requirement for an information, the majority today departs from well settled precedent and again “brushes aside the protections that must be afforded to misdemeanor defendants to ensure that such prosecutions do not become routinized or treated as insignificant or unimportant” (*People v Kalin*, 12

universally (*see e.g. People v Lopez*, 34 Misc 3d 476, 481 [Crim Ct, Richmond County 2011] [observing that a “plain reading of the relevant statutes indicates that ‘two standards’ is exactly what the Legislature set up”])).

NY3d 225, 234 [2009, Ciparick, J., dissenting]). Accordingly, I respectfully dissent.

The Legislature has defined what constitutes a facially sufficient information in the Criminal Procedure Law (*see* CPL 100.40 [1]). Like a complaint, an information must allege “facts of an evidentiary character” (CPL 100.15 [3]) that “provide reasonable cause to believe that the defendant committed the offense charged” (CPL 100.40 [1] [b]). Unlike a complaint, however, an information must also contain “[n]on-hearsay allegations . . . [that] establish, if true, every element of the offense charged and the defendant’s commission thereof” (CPL 100.40 [1] [c]). We have referred to this latter, more “stringent condition” as the “prima facie case” requirement (*see People v Alejandro*, 70 NY2d 133, 137 [1987]; *see also People v Casey*, 95 NY2d 354, 362 [2000]).

In *Alejandro*, we explained the reason that the Legislature requires “the additional showing of a prima facie case for an information lies in the unique function that an information serves under the statutory scheme” (70 NY2d at 137). After all, absent waiver, an information is the sole “instrument upon which [a] defendant is prosecuted for a misdemeanor or a petty offense” (*id.* at 137-138; *see People v Jones*, 9 NY3d 259, 262 [2007]; *see also* CPL 170.65 [3]). We further noted that in the Legislature’s “insistence on a prima facie case for informations, there clearly appears a vital legislative concern that a defendant—who, under the Criminal Procedure Law, can be prosecuted on the basis of an information alone—must have, at least, an assurance that the information contains allegations establishing a *legally sufficient* case” (*Alejandro*, 70 NY2d at 139 [emphasis added]).* Given this “vital legislative concern,” we held that an information which fails to set forth a prima facie case is jurisdictionally defective (*see id.*).

We affirmed our holding in *Alejandro* in *Matter of Jahron S.* (79 NY2d 632 [1992]). There, in the context of a family court juvenile delinquency proceeding, we concluded “the prima facie standard applicable to informations applies equally to Family Court petitions” (*id.* at 639). Critical to this determination, we observed that in order to establish a legally sufficient case (i.e.,

* The Legislature has defined “legally sufficient evidence” as “competent evidence which, if accepted as true, would establish every element of an offense charged and the defendant’s commission thereof; except that such evidence is not legally sufficient when corroboration required by law is absent” (CPL 70.10 [1]).

state a prima facie case), both an information and a family court petition must set forth “sufficient evidence to warrant a *conviction*, if unexplained or uncontradicted” (*id.* [internal quotation marks omitted and emphasis added]).

In this case, the allegation in the information “that defendant had admitted moving to two Brooklyn residences without notification during the relevant time periods” (majority op at 250) clearly would be insufficient evidence to warrant a conviction for a violation of Correction Law § 168-f (4). As the majority notes, CPL 60.50 provides that a defendant cannot “be convicted of any offense solely upon evidence of a confession or admission made by him without additional proof that the offense charged has been committed.” Here, it is undisputed that the People did not furnish additional proof to corroborate these admissions. Although the majority asserts that CPL 60.50 “has no bearing on the adequacy” (majority op at 250) of the information in this case, our decision in *Jahron S.* suggests the opposite conclusion. Indeed, applying the rule enunciated in *Jahron S.*, it should be readily apparent that the information fails to establish a prima facie case for a violation of Correction Law § 168-f (4) since the allegation rests solely on an uncorroborated admission that, if unexplained or uncontradicted, would be legally insufficient to warrant a conviction.

Nonetheless, the majority, relying on a 1969 revision to the statute governing informations, pronounces that CPL 100.40 (1) does not mandate corroboration of a defendant’s admission alleged in an information (*see* majority op at 252). In arriving at this conclusion, the majority finds that the prima facie requirement for informations equates to something less than legal sufficiency (*see* majority op at 252). This determination, however, is squarely at odds with our holdings in *Alejandro* and *Jahron S.*—cases decided long after the 1969 amendment to the Criminal Procedure Law. Indeed, in those cases, we carefully considered the “legislative purpose of establishing a special and more stringent condition for a finding of facial sufficiency of an information” (*Alejandro*, 70 NY2d at 137) and unequivocally concluded that, to satisfy the prima facie requirement, the allegations set forth in an information must be legally sufficient.

The majority also finds support in a 1983 amendment to CPL 190.65 (1), a statute pertaining to indictments. Such reliance is equally misplaced. Effective April 5, 1983, the Legislature amended this statute by inserting language requiring “that the evidence supporting an indictment contain the corroboration

required by law to sustain a conviction” (*Matter of Rodney J.*, 108 AD2d 307, 312 [1st Dept 1985]; see L 1983, ch 28, § 1). The majority notes that “the Legislature did not add similar phraseology in CPL 100.40 (1) (c)” and extrapolates that “the Legislature did not wish to apply a corroboration requirement to informations” (majority op at 253). I disagree.

It is clear that the purpose of the 1983 amendment to CPL 190.65 (1) was not to fashion a distinction between indictments and informations but rather “to eliminate the uncertainty created by several Appellate Division decisions as to whether corroboration was a necessary prerequisite for indictment” (*Rodney J.*, 108 AD2d at 312; compare *People v King*, 48 AD2d 457, 459 [1st Dept 1975] [corroboration not required to sustain an indictment], with *People v Laws*, 54 AD2d 518 [3d Dept 1976] [corroboration required to sustain an indictment]). Moreover, we were surely aware of the 1983 amendment to this statute when we decided *Alejandro* in 1987 and *Jahron S.* in 1992. Yet, in *Alejandro* and *Jahron S.*, we unmistakably held that an information (and a family court petition) must contain allegations that establish a legally sufficient case. Such a rule necessarily requires corroboration of a defendant’s admission (see CPL 70.10 [1]).

I see no reason why the majority fails to adhere to this sound precedent. Indeed, many lower courts, also following the 1983 amendment to CPL 190.65 (1), have routinely concluded that corroboration of a defendant’s admission in an information is necessary to state a prima facie case (see e.g. *People v Miedema*, 24 Misc 3d 132[A], 2009 NY Slip Op 51368[U] [App Term, 2d Dept 2009]; *People v Gundarev*, 25 Misc 3d 1204[A], 2009 NY Slip Op 51972[U], *6 [Crim Ct, Kings County 2009] [finding it anomalous “that while a felony indictment may be dismissed if based solely on defendant’s uncorroborated admissions, a defendant charged with a misdemeanor, who may not be convicted solely on a confession, might nevertheless be forced to proceed to trial in those circumstances”]).

In sum, given that a misdemeanor defendant does not have the protections of a grand jury reviewing his case, but rather “can be prosecuted on the basis of an information alone” (*Alejandro*, 70 NY2d at 139), I would affirm the order of the Appellate Term and hold that an information containing allegations premised solely on the uncorroborated admissions of a defendant does not satisfy the prima facie case requirement.

Judges READ, SMITH, PIGOTT and JONES concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN concurs.

Order reversed, etc.

[969 NE2d 758, 946 NYS2d 540]

JOSEPH W. SULLIVAN, Appellant, v WILLIAM F. HARNISCH et al.,
Respondents.

Argued March 22, 2012; decided May 8, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 21, 2010. The Appellate Division modified, on the law, so much of the orders of Supreme Court, New York County (Richard B. Lowe, III, J.), as had denied defendant's motion for summary judgment seeking dismissal of plaintiff's second, third, fourth, fifth and eighth causes of action, and granted plaintiff's motion pursuant to CPLR 3211 (a) (7) to dismiss defendants' first counterclaim. The modification consisted of granting defendants' motion to dismiss the second cause of action and denying plaintiff's motion to dismiss the first counterclaim. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the orders of Supreme Court, properly made?"

Sullivan v Harnisch, 81 AD3d 117, affirmed.

HEADNOTE

Employment Relationships — At-Will Employment — Applicability of Wrongful Discharge Exception to Hedge Fund Compliance Officer

Plaintiff hedge fund compliance officer's claim for damages alleging that he was dismissed for speaking out about improper trading practices was barred by the rule that New York does not recognize a cause of action for the wrongful discharge of an at-will employee. The exception to the at-will doctrine recognized in *Wieder v Skala* (80 NY2d 628 [1992]) for a lawyer allegedly fired for insisting that his law firm report professional misconduct committed by one of the plaintiff's colleagues is a narrow one. Assuming that there are some employment relationships, other than those between a lawyer and a law firm, that might fit within the *Wieder* exception, the relationship here was not one of them. Plaintiff's regulatory and ethical obligations and his duties as an employee were not so closely linked as to be incapable of separation; he was not associated with other compliance officers in a firm where all were subject to self-regulation as members of a common profession; and he was not even a full-time compliance officer. Regulatory compliance was not at the very core, and not the only purpose, of plaintiff's employment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 39; AM JUR 2d,
Wrongful Discharge §§ 1, 2, 90, 177.

NY JUR 2d, Employment Relations §§ 91, 92, 99.

ANNOTATION REFERENCE

Wrongful discharge based on public policy derived from professional ethics codes. 52 ALR5th 405.

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POINTS OF COUNSEL

The Law Offices of Daniel Felber, New York City (*Daniel M. Felber* and *Benjamin N. Leftin* of counsel), for appellant. I. This Court's *Wieder/Horn* doctrine mandates a case-by-case analysis to determine whether the employment relationship under consideration includes an implied-in-law exception to the at-will doctrine. (*Wieder v Skala*, 80 NY2d 628; *Martin v New York Life Ins. Co.*, 148 NY 117; *Rooney v Tyson*, 91 NY2d 685; *Wakefield v Northern Telecom, Inc.*, 769 F2d 109; *Matter of Starishevsky v Hofstra Univ.*, 161 Misc 2d 137; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187; *City of New York v Pennsylvania R.R. Co.*, 37 NY2d 298; *Metro Kitchenworks Sales, LLC v Continental Cabinets, LLC*, 31 AD3d 722; *Mohawk Maintenance Co. v Kessler*, 52 NY2d 276; *Diamore Realty Corp. v Stern*, 50 AD3d 621.) II. Appellant, as the Chief Compliance Officer of a registered investment adviser, has stated a valid claim for breach of implied contract under the *Wieder/Horn* implied-in-law exception to the at-will employment doctrine. (*Wieder v Skala*, 80 NY2d 628; *Horn v New York Times*, 100 NY2d 85.)

Morrison Cohen LLP, New York City (*Y. David Scharf*, *Danielle C. Lesser* and *David C. Pollack* of counsel), and *Fulbright & Jaworski L.L.P.* (*Neil G. Sparber* and *Samantha E. Beltre* of counsel) for respondents. I. The First Department correctly held that Joseph W. Sullivan's claim is precluded for lack of any constitutional, statutory, or contractual basis. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Martin v New York Life Ins. Co.*, 148 NY 117; *Smalley v Dreyfus Corp.*, 10 NY3d 55; *Horn v New York Times*, 100 NY2d 85; *Sabetay v Sterling Drug*, 69 NY2d 329; *Trakis v Manhattanville Coll.*, 51 AD3d 778; *Haviland v Aron & Co.*, 212 AD2d 439, 85 NY2d 810; *Stevens v New York*, 691 F Supp 2d 392; *Lobosco v New York Tel. Co./NYNEX*, 96 NY2d 312; *Fraser v Fiduciary Trust Co. Intl.*, 417 F Supp 2d

310.) II. The First Department properly held that the “very narrow” exception to the at-will doctrine established in *Wieder v Skala* (80 NY2d 628 [1992]) and explicitly restricted to the facts in *Horn v New York Times* (100 NY2d 85 [2003]) cannot save Mr. Sullivan. (*Haviland v Aron & Co.*, 212 AD2d 439; *Slue v New York Univ. Med. Ctr.*, 409 F Supp 2d 349; *Gambello v Time Warner Communications, Inc.*, 186 F Supp 2d 209; *Smith v AVSC Intl., Inc.*, 148 F Supp 2d 302; *People ex rel. Karlin v Culkin*, 248 NY 465.) III. This Court should not alter the well-established law and public policy in New York to create a cause of action for Mr. Sullivan. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Sabetay v Sterling Drug*, 69 NY2d 329; *Horn v New York Times*, 100 NY2d 85; *Leibowitz v Bank Leumi Trust Co. of N.Y.*, 152 AD2d 169; *Szaller v American Natl. Red Cross*, 293 F3d 148; *Wieder v Skala*, 80 NY2d 628; *Oakley v May Dept. Stores Co.*, 17 F Supp 2d 533.)

OPINION OF THE COURT

SMITH, J.

We held in *Murphy v American Home Prods. Corp.* (58 NY2d 293 [1983]), and have several times reaffirmed, that New York common law does not recognize a cause of action for the wrongful discharge of an at-will employee. We decline in this case to make an exception to that rule for the compliance officer of a hedge fund.

I

Plaintiff, Joseph Sullivan, was, according to his complaint, a 15% partner in two affiliated firms, defendants Peconic Partners LLC and Peconic Asset Managers LLC (collectively called Peconic, and colloquially referred to as a hedge fund). He was also, the complaint alleges, Peconic’s “Executive Vice President, Treasurer, Secretary, Chief Operating Officer and Chief Compliance Officer.” Defendant William Harnisch was the majority owner, Chief Executive Officer and President.

Sullivan was fired after a dispute with Harnisch. The dispute was in part about money: the complaint alleges that the dismissal occurred within hours after a lawyer for Sullivan contacted Peconic’s counsel to voice objections to a proposed agreement that would have eliminated Sullivan’s ownership interest. The complaint also alleges, however, that there was another motive for the dismissal that is more relevant to this appeal: objections raised by Sullivan, in his capacity as Chief

Compliance Officer, to certain sales of stock by Harnisch for his personal account and the accounts of members of his family.

According to the complaint, these stock sales amounted to “front-running”—selling in anticipation of transactions by the firm’s clients—and enabled Harnisch to take advantage of an opportunity from which the clients were excluded. The complaint alleges that Sullivan “confronted” Harnisch about these improper trades, “voiced objection to them, and insisted that they be reversed or otherwise properly addressed.” Harnisch refused, and yelled at Sullivan for raising the subject. Sullivan was fired days later.

Sullivan asserted nine causes of action against Harnisch and Peconic, of which only one is now before us. That claim says that Sullivan was fired because he “spoke out” about “manipulative and deceptive trading practices,” and that his dismissal violated “a company policy to prohibit retaliation” for such conduct. The complaint, however, does not identify any statement of this “company policy”; it infers the existence of the policy from Peconic’s obligations under the securities laws and the firm’s own Code of Ethics to avoid improper transactions, and from Sullivan’s duty as Chief Compliance Officer to see that those obligations were performed. The gist of Sullivan’s claim is that the legal and ethical duties of a securities firm and its compliance officer justify recognizing a cause of action for damages when the compliance officer is fired for objecting to misconduct.

On defendants’ motion for summary judgment, Supreme Court held this claim to be legally sufficient, but the Appellate Division reversed and dismissed the claim (*Sullivan v Harnisch*, 81 AD3d 117 [1st Dept 2010]). The Appellate Division granted leave to appeal, and we now affirm.

II

Murphy held that, absent violation of a constitutional requirement, statute or contract, “an employer’s right at any time to terminate an employment at will remains unimpaired” (58 NY2d at 305). In *Murphy*, we applied that rule to dismiss the claim of a plaintiff who said he was fired “because of his disclosure to top management of alleged accounting improprieties on the part of corporate personnel” (*id.* at 297-298). We reached similar results in *Sabetay v Sterling Drug* (69 NY2d 329, 332 [1987]), where the plaintiff claimed “that he was discharged because he refused to participate” in illegal conduct

including “tax avoidance schemes and maintenance of slush funds,” and in *Horn v New York Times* (100 NY2d 85 [2003]), where a doctor claimed that she was fired for refusing to violate patient confidentiality. Plaintiff’s claim here is also barred unless something in this case justifies an exception to the rule we stated in *Murphy*.

In general, as we pointed out in *Horn*, American courts, including our own, “have proved chary of creating common-law exceptions to the rule and reluctant to expand any exceptions once fashioned” (*id.* at 91). Indeed, we have recognized an exception only once, in *Wieder v Skala* (80 NY2d 628 [1992]). The plaintiff in *Wieder* was a lawyer who claimed to have been dismissed by his law firm “because of his insistence that the firm comply with the governing disciplinary rules by reporting professional misconduct” committed by one of the plaintiff’s colleagues (*id.* at 631). We held his claim good against a motion to dismiss, in an opinion that stressed both the ethical obligations of members of the bar and the importance of those obligations to the employment relationship between a lawyer and a law firm. We said:

“[P]laintiff’s performance of professional services for the firm’s clients as a duly admitted member of the Bar was at the very core and, indeed, the only purpose of his association with defendants. . . . [P]laintiff’s duties and responsibilities as a lawyer and as an associate of the firm were so closely linked as to be incapable of separation. It is in this distinctive relationship between a law firm and a lawyer hired as an associate that plaintiff finds the implied-in-law obligation on which he founds his claim.

“We agree with plaintiff that in any hiring of an attorney as an associate to practice law with a firm there is implied an understanding so fundamental to the relationship and essential to its purpose as to require no expression: that both the associate and the firm in conducting the practice will do so in accordance with the ethical standards of the profession” (80 NY2d at 635-636).

We also referred in the *Wieder* opinion to “the unique function of self-regulation belonging to the legal profession” (*id.* at 636), and said that

“these unique characteristics of the legal profession in respect to this core Disciplinary Rule make the

relationship of an associate to a law firm employer intrinsically different from that of the financial managers to the corporate employers in *Murphy* and *Sabetay*” (*id.* at 637).

It is obvious from the quoted language that we intended the exception to the at-will doctrine we recognized in *Wieder* to be a narrow one. The Appellate Division in this case said that *Wieder* is “sui generis” (81 AD3d at 123), but we do not need to go that far to decide this case. Assuming that there are some employment relationships, other than those between a lawyer and a law firm, that might fit within the *Wieder* exception, the relationship in this case is not one of them.

Sullivan stresses the importance of compliance officers in the overall scheme of federal securities regulation to which the two Peconic firms, registered investment advisers, are subject. The Securities and Exchange Commission (SEC) has found that “it is critically important for funds and advisers to have strong systems of controls in place” (Final Rule: Compliance Programs of Investment Companies and Investment Advisers, SEC Release Nos. IA-2204, IC-26299, § I, available at <http://www.sec.gov/rules/final/ia-2204.htm>), and requires each registered adviser to designate a chief compliance officer who will be responsible for administering policies and procedures designed to prevent violations of federal law and regulations (17 CFR 275.206[4]-7 [a], [c]). From this, Sullivan reasons that compliance with securities laws was central to his relationship with Peconic in the same way that ethical behavior as a lawyer was central in *Wieder* to the plaintiff’s employment at a law firm. But the analogy fails.

Important as regulatory compliance is, it cannot be said of Sullivan, as we said of the plaintiff in *Wieder*, that his regulatory and ethical obligations and his duties as an employee “were so closely linked as to be incapable of separation” (*Wieder*, 80 NY2d at 635). Sullivan was not associated with other compliance officers in a firm where all were subject to self-regulation as members of a common profession. Indeed, Sullivan was not even a full-time compliance officer. He had four other titles at Peconic, including Executive Vice-President and Chief Operating Officer, and was, according to his claim, a 15% partner in the business. It is simply not true that regulatory compliance, in the words of *Wieder*, “was at the very core and, indeed, the only purpose” of Sullivan’s employment.

It is beyond dispute that compliance with extensive federal regulations—overseen, at firms like Peconic, by compliance officers—is an integral part of the securities business. But the existence of federal regulation furnishes no reason to make state common law governing the employer-employee relationship more intrusive. Congress can regulate that relationship itself, to the extent that it thinks the objectives of federal law require it. Indeed, after the events involved in this case, Congress passed the Dodd-Frank Wall Street Reform and Consumer Protection Act (Pub L 111-203, 124 Stat 1376 [2010], codified at various sections of United States Code), which provides whistleblower protection, including a private right of action for double back pay, for employees who are fired for furnishing information about violations of the securities laws to the SEC (Dodd-Frank Act § 922 [a], 15 USC § 78u-6). That statute seems not to apply to conduct like that alleged in Sullivan’s complaint; Sullivan does not claim to have blown a whistle—i.e., to have told the SEC or anyone else outside Peconic about Harnisch’s alleged misconduct—but only to have confronted Harnisch himself. Nothing in federal law persuades us that we should change our own law to create a remedy where Congress did not.

Accordingly, the order of the Appellate Division should be affirmed with costs, and the certified question answered in the affirmative.

Chief JUDGE LIPPMAN (dissenting). In the wake of the devastation caused by fraudulent financial schemes—such as the Mad-off ponzi operation, infamous for many reasons including the length of time during which it continued undetected—the courts can ill afford to turn a blind eye to the potential for abuses that may be committed by unscrupulous financial services companies in violation of the public trust and the law. In the absence of conscientious efforts by those insiders entrusted to report and prevent such abuses of investors, such behavior can run rampant until a third party outside the company discovers it and takes action. The message that will be taken from the majority’s decision is self-evident: if compliance officers (and others similarly situated) wish to keep their jobs, they should keep their heads down and ignore good-faith suspicions or evidence they may have that their employers have engaged in illegal and unethical behavior, even where such violations could cause or have caused staggering losses to their employers’ clients. The majority’s conclusion that an investment adviser like defendant Peconic has every right to fire its compliance officer, simply for

doing his job, flies in the face of what we have learned from the Madoff debacle, runs counter to the letter and spirit of this Court's precedent, and facilitates the perpetration of frauds on the public.

Because the majority unduly narrows the scope of a purposefully and carefully crafted exception to the doctrine of at-will employment, and unfathomably permits the termination of a hedge fund's chief and deputy chief compliance officers in the midst of their investigation of the CEO's allegedly "manipulative and deceptive trading practices that include[d] illegal 'front-running' in violation of federal and state securities laws,"¹ I respectfully dissent.

The majority concedes that "there are some employment relationships, other than those between a lawyer and a law firm, that might fit within the *Wieder* exception" (majority op at 264), but erroneously concludes that such a relationship did not exist in this case. Nevertheless, the decision of the Court undermines the exception to the at-will employment doctrine (as recognized in *Wieder v Skala*, 80 NY2d 628 [1992], and reaffirmed in *Horn v New York Times*, 100 NY2d 85 [2003]), by excluding arbitrarily hedge fund compliance officers from the protections extended to lawyers working in law firms. In so doing, hedge fund managers are given carte blanche to terminate the very employees who are charged with the critical statutorily mandated role² of ensuring adherence to ethical and legal obligations, for doing the jobs they were hired to do. These protections must exist not only to decrease the likelihood that such employees will succumb to pressures to ignore or violate their obligations for fear of termination, but also to protect the public.

Our decisions in *Wieder* and *Horn* provide guideposts for determining whether an employment relationship falls within

1. This allegation is included in Sullivan's complaint. Sullivan also alleges that he relied on and was bound by Peconic's internal code of ethics when he "refus[ed] to engage in securities violations" and instead chose to speak out about certain trades he alleges were "improper [and] apparently illegal." Specifically, the complaint alleges that by making these trades, Harnisch violated a provision in the code of ethics prohibiting Peconic from "taking advantage of investment opportunities belonging to a client without recommending or effecting a suitable transaction in that security for the client."

2. Pursuant to 17 CFR 275.206(4)-7 (a), (c), a registered investment adviser must designate a chief compliance officer.

the exception to the general rule.³ As applied to plaintiff Sullivan, chief among these considerations are that his sole function as compliance officer was to ensure compliance with the applicable internal and external ethical and legal requirements, his employer was bound by the same obligations, and his job as a compliance officer entailed fundamental self-regulatory functions.

In *Wieder*, we held that the plaintiff law firm associate's "central professional purpose" for associating with the employer was "the lawful and ethical practice of law" (*Wieder*, 80 NY2d at 636). Sullivan's central purpose as a compliance officer was to ensure that his employer adhered to the regulations governing hedge funds. In other words, it was Sullivan's responsibility to make certain that Peconic engaged in the lawful and ethical provision of investment adviser services.

As the Supreme Court correctly reasoned below in this case, "Sullivan and [Peconic] were engaged in a 'common professional enterprise' and 'were mutually bound to follow' both the Code [of Ethics] and any federal or state securities laws at issue." Sullivan's position is comparable to that of the plaintiff lawyer in *Wieder* and in stark contrast to that of the plaintiff doctor in *Horn*, who was not covered by the *Wieder* exception, in part because while as a physician she had certain obligations to the New York Times employees with whom she interacted, those obligations were not shared by her non-medical employer. Here, Sullivan and his employer shared certain fundamental ethical and legal responsibilities that they were bound to respect in their dealings with and on behalf of Peconic's clients.

Just as the plaintiff in *Wieder* was engaged in a self-regulating profession, the practice of law, Sullivan's job responsibilities at Peconic involved substantial self-regulatory aspects. This was not the case in *Horn*, wherein the Court held that "the principle of physician-patient confidentiality . . . is not a self-policing rule critical to professional self-regulation" (100 NY2d at 96).

3. It is noteworthy that in *Wieder*, we were cognizant of the problems inherent in a contractual relationship wherein a person requires another to carry out certain tasks and then proceeds to prevent that person from completing those duties: "when A and B agree that B will do something it is understood that A will not prevent B from doing it. The concept is rooted in notions of common sense and fairness" (*Wieder*, 80 NY2d at 637). We found that "[j]ust such fundamental understanding, though unexpressed, was inherent in the relationship between plaintiff and defendant law firm" (*id.*). That is no less true of the relationship between a compliance officer and a hedge fund.

The majority attempts to distinguish this case from *Wieder*. However, the purportedly material distinctions identified fail to appropriately take into account the principles we expounded upon in *Wieder*. The Court erroneously finds it to be relevant that Sullivan “had four other titles at Peconic” (majority op at 264). That is not a logical basis upon which to justify the different treatment of the plaintiff in *Wieder* as compared to Sullivan. If that were a valid distinction, then an unscrupulous employer wishing to avoid the application of the *Wieder* exception in a case in which it would otherwise apply would shield itself by giving any person potentially subject to the exception additional job titles and/or functions. Nothing in *Wieder* suggests that we intended to create such a loophole. That said, where an employee is merely peripherally responsible for informing his or her employer (or others) of violations of certain obligations, that person is unlikely to be covered by the *Wieder* exception. This is not such a case. Within Sullivan’s role as a compliance officer, his sole duty was to ensure compliance with the applicable provisions of law and ethical rules and Peconic was also bound to adhere to the same rules in providing services to its clients. And, of course, in order to succeed, plaintiff would have to prove that he was terminated due to his actions as Chief Compliance Officer, not in some other capacity at Peconic.

Perhaps the majority’s emphasis on Sullivan’s multiple roles is drawn from the language of our decision in *Horn*, where we implicitly recognized that the plaintiff doctor’s primary job function was not the ethical and lawful provision of medical treatment to New York Times employees, but rather that her main role was to “apply[] her professional expertise in furtherance of her responsibilities as a part of corporate management” (100 NY2d at 95). However, it cannot similarly be said that Sullivan’s primary role as Chief Compliance Officer was anything other than to ensure the ethical and lawful provision of investment adviser services. In *Horn*, we noted that “Horn was employed as the Associate Medical Director of the Times’ in-house Medical Department, where whatever medical care and treatment she rendered was provided only to fellow employees and only as directed by her employer” and that she alleged that she was responsible for determining whether “injuries suffered by Times employees were work-related, thus making the employees eligible for Worker’s Compensation payments” (*Horn*, 100 NY2d at 95 [internal quotation marks omitted]). We found

that “[w]hen Horn made assessments as to whether a Times employee had suffered a work-related illness or injury, she was surely calling upon her knowledge as a physician, but not just for the benefit of the employee” (*id.*). Here the Chief Compliance Officer position was created in order to protect Peconic’s clients from ethical and legal violations. Additionally, Peconic had the same responsibility to its clients as did Sullivan. In *Horn*, the New York Times may have had certain responsibilities to its employees, but it was not a provider of medical services and it was therefore not subject to the same rules and regulations governing the relationship between physicians and patients.

Much is made of the fact that Sullivan was not a member of a firm of compliance officers (*see* majority op at 264), leading to the erroneous conclusion that he was not situated similarly to the plaintiff in *Wieder*, who was an attorney working for a firm of attorneys. The plaintiff in *Wieder* was an employee of a business that represented clients and was bound to follow certain stringent legal and ethical rules. Similarly, Sullivan was an employee of a business that was subject to certain legal and ethical obligations to its clients and his reason for being, as a compliance officer, was to ensure that in providing services to those clients, those rules were followed at all times.

The majority suggests that, going forward, employees in Sullivan’s position can look to federal whistleblower protections. But the common law should protect compliance officers from retaliatory termination from the inception of their investigations into suspected wrongdoing, even before they make any reports to the government, without the need for recourse to federal statutes or, for that matter, to state statutes.

The Court’s decision concludes that “[n]othing in federal law persuades us that we should change our own law to create a remedy where Congress did not” (majority op at 265). The clear implication of this statement is that in order for hedge fund compliance officers to be entitled to the same protections as attorneys working in law firms, these protections must be conferred by statute. This approach creates a problem for legislators to solve where none existed previously. Prior to today, it was unnecessary for either Congress or this State’s Legislature to create a new rule to protect employees like Sullivan. The at-will employment doctrine and the *Wieder* exception, both of which are creatures of common law, provide clear guidance. Rather than alluding to the possible creation of a new statutory remedy, this Court should instead properly apply *Wieder*.

The majority unwisely limits the exception to the at-will employment doctrine that we identified in *Wieder*. In so doing, it creates a great potential for abuse in the financial services industry. I respectfully dissent and would reinstate the second cause of action in the complaint.

Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge SMITH; Chief Judge LIPPMAN dissents in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, etc.

[969 NE2d 751, 946 NYS2d 533]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
LIDEN, Appellant.

Argued March 19, 2012; decided May 3, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 21, 2010. The Appellate Division affirmed (1) an order of the Supreme Court, New York County (John Cataldo, J.), which had determined that, absent a CPLR article 78 proceeding, the Supreme Court did not have jurisdiction to review the determination of the Board of Examiners of Sex Offenders finding that defendant was required to register as a sex offender on the basis of an out-of-state conviction, and (2) an order of that court which had adjudicated defendant a level three sex offender pursuant to the Sex Offender Registration Act (Correction Law art 6-C).

People v Liden, 79 AD3d 598, reversed.

HEADNOTE

**Crimes — Sex Offenders — Sex Offender Registration Act — CPLR
Article 78 Proceeding Not Required to Review Determination
That Defendant Must Register**

A determination by the Board of Examiners of Sex Offenders that a person who committed an offense in another state must register in New York pursuant to Correction Law § 168-k (2) is reviewable in a proceeding to determine the offender's risk level. Although rulings of administrative agencies can ordinarily be reviewed only in proceedings under CPLR article 78, the unusual features of New York's sex offender registration system justify an exception to that rule. Correction Law § 168-k (2) assigns the registrability determination to the Board and the risk level to the court, and when the registrability determination is adverse to the person affected, a judicial proceeding automatically follows. Where the initial determination that a person must register is disputed, the most efficient course is for the risk level court to resolve the dispute; to have two separate courts examine essentially the same facts—one to decide registrability in an article 78 proceeding and the other to decide risk level—serves no purpose. Moreover, allowing the risk level court to decide the registrability issue is not just more efficient, it is good policy. It may increase the likelihood that the person alleged to be a sex offender is represented by counsel at the time the Board makes its registrability determination. Furthermore, a court might be relieved of deciding the risk level of someone who the court is convinced may not be a sex offender within the meaning of the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 130, 137.

McKINNEY's, Correction Law § 168-k (2).

NY JUR 2d, Penal and Correctional Institutions §§ 315, 319, 320, 322.

ANNOTATION REFERENCE

Validity, construction, and application of state statutory requirement that person convicted of sexual offense in other jurisdiction register or be classified as sexual offender in forum state. 34 ALR6th 171.

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POINTS OF COUNSEL

Legal Aid Society, New York City (Robert C. Newman, Steven Banks and William D. Gibney of counsel), for appellant. I. The risk level hearing court has the authority to decide that an alleged out-of-state sex offender is not required to register under the statute. (*People v Correa*, 15 NY3d 213; *People v Burden*, 6 Misc 3d 1033[A], 2005 NY Slip Op 50286[U]; *People v Kennedy*, 20 AD3d 137, 7 NY3d 87; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Nadel*, 188 Misc 2d 427; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *People v Kearns*, 95 NY2d 816; *Matter of Mandel*, 293 AD2d 750; *People v Carabello*, 309 AD2d 1227; *Stahlbrodt v Commissioner of Taxation & Fin. of State of N.Y.*, 171 Misc 2d 571.) II. In this case, where appellant took an *Alford* plea to a lesser offense following a trial at which the jury could not agree on a verdict, the unsworn transcript of the alleged victims' interviews with police were not "reliable hearsay" upon which the risk level court could rest its determination. (*Crawford v Washington*, 541 US 36; *People v Hill*, 16 NY3d 811; *People v Mingo*, 12 NY3d 563; *People v Arotin*, 19 AD3d 845; *Matter of Parker*, 11 Misc 3d 252.)

Cyrus R. Vance, Jr., District Attorney, New York City (Malancha Chanda and Eleanor J. Ostrow of counsel), for respondent. I. Under the plain language of Correction Law § 168-k, the risk-assessment court had no jurisdiction to review the board's determination that defendant was required to register as a sex offender in New York. (*Jones v Bill*, 10 NY3d 550; *Matter of Polan v State of N.Y. Ins. Dept.*, 3 NY3d 54; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Riley v County of Broome*, 95 NY2d

455; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Rangelan v County of Nassau*, 96 NY2d 42; *Sohn v Calderon*, 78 NY2d 755; *People v Stevens*, 91 NY2d 270; *Doe v Pataki*, 120 F3d 1263; *People v Cuadrado*, 9 NY3d 362.) II. The court's adjudication of defendant as a level three sex offender was based on reliable hearsay and was entirely proper. (*People v Pettigrew*, 14 NY3d 406; *People v Mingo*, 12 NY3d 563; *Crawford v Washington*, 541 US 36; *People v Burden*, 6 Misc 3d 1033[A], 2005 NY Slip Op 50286[U]; *People v Willette*, 67 AD3d 1259; *People v Arotin*, 19 AD3d 845; *Matter of Parker*, 11 Misc 3d 252.)

Eric T. Schneiderman, Attorney General, New York City (Claude Platten, Barbara D. Underwood and Richard Dearing of counsel), for Board of Examiners of Sex Offenders, amicus curiae. I. The Board of Examiners of Sex Offender's determination that an out-of-state offender must register under the Sex Offender Registration Act is reviewable only in a CPLR article 78 proceeding. (*Yatauro v Mangano*, 17 NY3d 420; *Appleton Acquisition, LLC v National Hous. Partnership*, 10 NY3d 250; *Sohn v Calderon*, 78 NY2d 755; *People v Williams*, 24 AD3d 894; *People v Carabello*, 309 AD2d 1227; *Matter of Mandel*, 293 AD2d 750; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Doe v Pataki*, 3 F Supp 2d 456.) II. The principle of constitutional avoidance does not apply here. (*Matter of Jacob*, 86 NY2d 651; *Mathews v Eldridge*, 424 US 319; *People v David W.*, 95 NY2d 130; *Connecticut Dept. of Public Safety v Doe*, 538 US 1; *Matter of Dewine v State of N.Y. Bd. of Examiners of Sex Offenders*, 89 AD3d 88; *Matter of Smith v Devane*, 73 AD3d 179; *Matter of Bush v New York State Bd. of Examiners of Sex Offenders*, 72 AD3d 1078; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *FCC v Beach Communications, Inc.*, 508 US 307.)

OPINION OF THE COURT

SMITH, J.

Rulings of administrative agencies can ordinarily be reviewed only in proceedings under CPLR article 78. We hold, however, that the unusual features of New York's sex offender registration system justify an exception to that rule: A determination by the Board of Examiners of Sex Offenders that a person who committed an offense in another state must register in New York is reviewable in a proceeding to determine the offender's risk level.

I

Defendant was charged in the State of Washington with raping and kidnapping two teenaged girls. In 1996, he resolved those charges by pleading guilty to two counts of unlawful imprisonment. He later moved to New York, where he was convicted of a nonsexual crime. This conviction apparently brought his previous record to the attention of the Board of Examiners of Sex Offenders, which determined in 2007 that, because of his Washington conviction, he was required to register under New York's Sex Offender Registration Act (SORA). Defendant did not seek article 78 review of that determination before the time to seek such relief expired.

Having determined that defendant must register, the Board, as SORA requires, made a recommendation to Supreme Court in the county of defendant's residence as to the risk level that should be assigned to him (*see* Correction Law § 168-k [2]). The Board recommended risk level three, which reflects a high risk of a repeat offense (*see* Correction Law § 168-l [6] [c]).

In submissions to the court considering his risk level, defendant argued that he should not have been required to register as a sex offender at all. Defendant pointed out that unlawful imprisonment in the second degree—the New York crime corresponding to the Washington crime of which defendant was convicted—is a misdemeanor (*see* Penal Law § 135.05). Until 2002, a crime committed in another state was defined as a “sex offense” in New York only if it included “all of the essential elements” of a New York “felony” (*see* former Correction Law § 168-a [2] [b] [amended by L 2002, ch 11, § 1]). The 2002 amendment, which replaced the word “felony” with the word “crime” (Correction Law § 168-a [2] [d]), applied only to offenses committed on or after its effective date (L 2002, ch 11, § 24). The People now concede that defendant's argument was well-founded, and that the Board's determination requiring him to register was an error.

Supreme Court held, however, that it did not “have jurisdiction to review” the Board's determination. Supreme Court believed itself bound by several Appellate Division decisions holding that a determination of registrability may be challenged only in an article 78 proceeding (*see Matter of Mandel*, 293 AD2d 750 [2d Dept 2002]; *People v Carabello*, 309 AD2d 1227 [4th Dept 2003]; *People v Williams*, 24 AD3d 894 [3d Dept 2005]). In a later order, Supreme Court adjudicated defendant a level three

sex offender. The Appellate Division affirmed, agreeing with the other Appellate Division departments that “a person seeking review of the Board’s determination that he or she is obligated to register in the first place is required to bring an article 78 proceeding against the Board” (*People v Liden*, 79 AD3d 598 [1st Dept 2010]). We granted leave to appeal (16 NY3d 872 [2011]), and now reverse.

II

The procedure for registration of sex offenders who move to New York from other states is set out in Correction Law § 168-k. Section 168-k (2) says, in relevant part:

“The [Board of Examiners of Sex Offenders] shall determine whether the sex offender is required to register with the [Division of Criminal Justice Services]. If it is determined that the sex offender is required to register . . . the board shall . . . make a recommendation regarding the level of notification . . . This recommendation . . . shall be submitted by the board to the county court or supreme court and to the district attorney in the county of residence of the sex offender and to the sex offender. It shall be the duty of the county court or supreme court in the county of residence of the sex offender . . . to determine the level of notification.”

Thus the statute assigns the registrability determination to the Board, and the risk level (“level of notification”) determination to the court: The Board “shall determine” whether the out-of-state sex offender is required to register, but shall only “make a recommendation” as to the risk level; it is “the duty of the court” to determine the risk level. (By contrast, when a sex offense is committed in New York, both registrability and risk level are decided by a court [see Correction Law § 168-d (1) (a); § 168-n (2)].) The statute does not address the question of how an alleged sex offender from another state who thinks the Board has erred in determining that he is required to register may seek judicial review.

The usual way to obtain judicial review of the action of an administrative agency is a proceeding under CPLR article 78 (“Proceeding Against Body or Officer”). Article 78 proceedings are subject to a four-month statute of limitations, running from the time when “the determination to be reviewed becomes final

and binding” (CPLR 217 [1]). We have held that a person challenging an agency determination cannot circumvent the time limitation, or other limitations on article 78 review, by asserting his or her arguments in a different kind of proceeding (*see Solnick v Whalen*, 49 NY2d 224, 229-230 [1980]; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194, 201 [1994]; *Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186, 194 [2007]; *cf. Sohn v Calderon*, 78 NY2d 755, 767 [1991]). Article 78 normally provides what is in effect an exclusive remedy. We are persuaded, however, that this case calls for an exception to that rule of exclusivity.

An unusual, perhaps unique, feature of a Board determination under Correction Law § 168-k (2) is that, when the determination is adverse to the person affected, a judicial proceeding automatically follows. In every such case, the Board must make a recommendation to a court in the county of the offender’s residence, and the court then must determine the alleged sex offender’s risk level. Where the initial determination that the person must register is disputed, plainly the most efficient course is for the risk level court to resolve the dispute; to have two separate courts examine essentially the same facts—one to decide registrability in an article 78 proceeding, and the other to decide risk level—serves no purpose. Recognizing this, a number of trial level courts have held—in contrast to the Appellate Division holdings we cited above—that registrability can be considered in the risk level proceeding (*Matter of Nadel*, 188 Misc 2d 427 [Sup Ct, NY County 2001, Richter, J.]; *People v Godbolt*, 2002 NY Slip Op 40201[U] [Sup Ct, Queens County 2002]; *People v Gundel*, 2002 NY Slip Op 40012[U] [Dutchess County Ct 2002]).

To allow the risk level court to decide the registrability issue is not just a more efficient way to proceed; it is good policy in other ways. At the time the Board makes its registrability determination, the person alleged to be a sex offender will often be without a lawyer; a lawyer will be appointed for him in the risk level proceeding, but the article 78 statute of limitations might run before the lawyer is appointed, or has had a chance to focus on the registrability issue. And to bar the risk level court from examining registrability may put that court in the uncomfortable position of deciding the risk level of someone who, the court is convinced, is not a sex offender within the meaning of the statute at all.

Policy reasons like these would not, in the ordinary case, justify an exception to the rule that limits litigants to article 78

review. In all but rare cases, the need for orderly and efficient procedure will require adherence to that rule. An exception is justified here, however, where orderliness and efficiency, as well as other goals, are served by it.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the Board's determination that defendant is required to register as a sex offender annulled.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[970 NE2d 391, 947 NYS2d 368]

STATE OF NEW YORK *ex rel.* KEVIN GRUPP *et al.*, Appellants, v
DHL EXPRESS (USA), INC., *et al.*, Respondents.

Argued March 20, 2012; decided April 26, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 1, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (John M. Curran, J.; *see* 28 Misc 3d 973 [2010]), which had denied defendants' motion to dismiss the amended complaint, (2) granted the motion, and (3) dismissed the amended complaint.

State of N.Y. ex rel. Grupp v DHL Express (USA), Inc., 83 AD3d 1450, affirmed.

HEADNOTES

Statutes — Federal Preemption — Express Preemption — False Claims Act

1. Plaintiff relators' claims on behalf of the State of New York pursuant to the New York False Claims Act (FCA) (State Finance Law § 187 *et seq.*), alleging that defendant, which provided air and ground courier services pursuant to a state contract, misrepresented that certain packages were delivered by air and presented false claims to the State for jet fuel surcharges and diesel fuel charges in violation of State Finance Law § 189 (1) (a), (b) and (c), were federally preempted by the Airline Deregulation Act of 1978 (ADA) and the Federal Aviation Administration Authorization Act (FAAAA). The ADA expressly preempts state laws "related to a price, route, or service of an air carrier" (49 USC § 41713 [b] [1]), and the FAAAA has a nearly identical provision that preempts the enforcement of state laws that relate to "any motor private carrier, broker, or freight forwarder with respect to the transportation of property" (49 USC § 14501 [c] [1]). The "relating to" language has expansive import, preempting any form of state enforcement actions having a connection with or reference to airline rates, routes, or services. Plaintiffs' claims were within the scope of the express statutory preemptions of the ADA and the FAAAA since they plainly had a connection with, or reference to, the rates, routes and services of defendant. Although the gravamen of plaintiffs' complaint pertained to fraudulent misrepresentations, the FCA claims were premised on alleged practices that were directly related to the imposition of fuel surcharges for the offered shipment options and thus, referenced, at a minimum, the rates billed by defendant. While the broad preemptive effect of the ADA and FAAAA does not preclude relief to a party who claims and proves that an airline dishonored a contract term the airline itself stipulated, plaintiffs, who were not parties to the underlying state contract, could not alternatively proceed under a breach of contract theory because they lacked the requisite privity.

Statutes — Federal Preemption — Exceptions — Market Participant Doctrine

2. In a *qui tam* action alleging that defendant, which provided courier services pursuant to a contract with the State of New York, violated the New

York False Claims Act (FCA) (State Finance Law § 187 *et seq.*), the market participant exception to federal preemption was not applicable so as to allow plaintiff relators' claims, which were within the scope of the express statutory preemptions of the Airline Deregulation Act of 1978 (49 USC § 41713 [b] [1]) and the Federal Aviation Administration Authorization Act (49 USC § 14501 [c] [1]). Generally, the market participant doctrine recognizes that when a state acts in a narrow and focused manner consistent with the behavior of other market participants, such action does not constitute regulation subject to preemption. However, a governmental entity does not escape federal preemption, even when assuming the role of private actor, if it uses its power in the marketplace to implement governmental policies. Here, while facially the State procured services from defendant in its proprietary capacity, plaintiffs' reliance on the FCA, which establishes public policy goals and is thus, regulatory in nature, rendered the market participant exception inapplicable. The imposition of civil penalties and treble damages under State Finance Law § 189 (1) (g) evinces a broader punitive goal of deterring fraudulent conduct against the State. Instead of compensating the State for damages caused by defendant's purported fraudulent scheme and addressing its narrow proprietary interests, the FCA would punish and consequently deter such future conduct, thereby promoting a general policy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aviation §§ 27, 62, 63; AM JUR 2d, Carriers § 86.

McKINNEY's, State Finance Law § 189 (1).

NY JUR 2d, Aviation and Airports § 3; NY JUR 2d, Carriers § 19; NY JUR 2d, Constitutional Law §§ 105, 106; NY JUR 2d, State of New York § 182.

49 USCA § 14501 (c) (1); § 41713 (b) (1).

ANNOTATION REFERENCE

Preemptive effect of Federal Aviation Administration Authorization Act, 49 USCA § 14501 (c), § 41713 (b) (4). 29 ALR Fed 2d 563.

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POINTS OF COUNSEL

Hodgson Russ LLP, Buffalo (*Daniel C. Oliverio* and *John L. Sinatra, Jr.*, of counsel), for appellants. I. New York's False Claims Act is not preempted. (*New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.*, 514 US 645; *Engine Mfrs. Assn. v South Coast Air Quality Mgt. Dist.*, 498 F3d 1031; *Building & Constr. Trades Council v Associated*

Builders & Contractors of Mass./R.I., Inc., 507 US 218; *Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380; *Cardinal Towing & Auto Repair, Inc. v City of Bedford, Tex.*, 180 F3d 686; *Healthcare Assn. of N.Y. State, Inc. v Pataki*, 471 F3d 87; *Californians For Safe & Competitive Dump Truck Transp. v Mendonca*, 152 F3d 1184; *People v Pymm*, 76 NY2d 511; *Rowe v New Hampshire Motor Transp. Assn.*, 552 US 364; *Morales v Trans World Airlines, Inc.*, 504 US 374.) II. DHL Express (USA), Inc.'s contract defense fails on this CPLR 3211 (a) (1) motion. (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Jesmer v Retail Magic, Inc.*, 55 AD3d 171; *REA Express, Inc. v Civic Aeronautics Bd.*, 507 F2d 42.) III. DHL Express (USA), Inc.'s 180-day argument fails. (*Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *United States v Mead Corp.*, 533 US 218; *Sierra Club v Johnson*, 541 F3d 1257; *In re Apex Express Corp.*, 190 F3d 624; *KVOS, Inc. v Associated Press*, 299 US 269; *People v Bourne*, 139 AD2d 210; *Mastercraft Interiors, Ltd. v ABF Frgt. Sys., Inc.*, 350 F Supp 2d 686; *Mitchell v Donchin*, 286 F3d 447; *Young v United States*, 535 US 43.)

Dechert LLP (Edwin V. Woodsome, Jr., of the California bar, admitted pro hac vice, of counsel), and *Dechert LLP*, New York City (Joseph F. Donley of counsel), for respondents. I. The Airline Deregulation Act and Federal Aviation Administration Authorization Act preempt the relators' claims. (*Morales v Trans World Airlines, Inc.*, 504 US 374; *Rowe v New Hampshire Motor Transp. Assn.*, 552 US 364; *American Airlines, Inc. v Wolens*, 513 US 219; *Air Transp. Assn. of Am., Inc. v Cuomo*, 520 F3d 218; *United Airlines, Inc. v Mesa Airlines, Inc.*, 219 F3d 605; *Strategic Risk Mgt. v Federal Express Corp.*, 253 AD2d 167; *Lehman v USAIR Group, Inc.*, 930 F Supp 912; *Statland v American Airlines, Inc.*, 998 F2d 539; *Data Mfg., Inc. v United Parcel Serv., Inc.*, 557 F3d 849; *Musson Theat., Inc. v Federal Express Corp.*, 89 F3d 1244.) II. No preemption exception applies to the relators' claims. (*American Airlines, Inc. v Wolens*, 513 US 219; *Mayo v Royal Ins. Co. of Am.*, 242 AD2d 944; *Building & Constr. Trades Council v Associated Builders & Contractors of Mass./R.I., Inc.*, 507 US 218; *Cardinal Towing & Auto Repair, Inc. v City of Bedford, Tex.*, 180 F3d 686; *Vermont Agency of Natural Resources v United States ex rel. Stevens*, 529 US 765; *Texas Industries, Inc. v Radcliff Materials, Inc.*, 451 US 630; *BMW of North America, Inc. v Gore*, 517 US 559; *In re Commonwealth Cos., Inc.*, 913 F2d 518; *Matter of Hogan v Cuomo*, 67 AD3d 1144; *United Airlines, Inc. v Mesa Airlines*,

Inc., 219 F3d 605.) III. Other independent grounds support dismissal. (*United States ex rel. Butler v Hughes Helicopters, Inc.*, 71 F3d 321; *In re Apex Express Corp.*, 190 F3d 624; *United States v Mead Corp.*, 533 US 218; *Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *Island Park, LLC v CSX Transp.*, 559 F3d 96; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Guilbert v Gardner*, 480 F3d 140.)

OPINION OF THE COURT

JONES, J.

In this *qui tam* action, this Court is asked to consider whether plaintiffs' claims on behalf of the State of New York, pursuant to the New York False Claims Act (FCA) (State Finance Law § 187 *et seq.*), are federally preempted by the Airline Deregulation Act of 1978 (ADA) (49 USC § 41713 [b] [1]) and the Federal Aviation Administration Authorization Act (FAAAA) (49 USC § 14501 [c] [1]). We hold they are and that the market participant doctrine is inapplicable.

Pursuant to a contract with the State of New York,¹ defendant DHL Express (USA), Inc. (DHL) agreed to provide various courier services via air and ground transportation, including "Overnight Air Express," "Next Afternoon Service," "Second Day Service," and "Ground Delivery Service." Plaintiffs Kevin Grupp and Robert Moll own a trucking company and served as an independent contractor to DHL, providing ground shipping services to defendant within the state.

Plaintiffs, as relators, commenced an action on behalf of the State pursuant to the FCA, alleging violations of State Finance Law § 189 (1) (a), (b) and (c)² and seeking treble damages, penalties and costs.³ They assert that from 2003 through 2008, DHL engaged in a persistent practice of misrepresentation, claiming that packages were delivered by air, when in fact, they were shipped via ground transportation. By doing so, the complaint alleges, DHL would impose a jet fuel surcharge even though

1. In December 2001, the State of New York, through its Office of General Services, awarded Airborne Express—DHL's predecessor in interest—a contract to provide the State with courier services.

2. State Finance Law § 189 (1) (a) and (b) state that a person will be held liable under the FCA if he or she "knowingly presents, or causes to be presented a false or fraudulent claim for payment or approval"; "knowingly makes, uses, or causes to be made or used, a false record or statement material to a false or fraudulent claim."

3. Plaintiffs served their complaint on the State Attorney General, but the Attorney General declined to intervene.

“[a] substantial percentage of DHL Next Day and 2nd Day deliveries paid for by the State did not travel by air at all.”⁴ It is further alleged that DHL billed the State a diesel fuel surcharge even when independent contractors, such as plaintiffs, “incurred the majority of fuel costs associated with DHL’s ground transportation service.”

DHL moved to dismiss the complaint, arguing, in relevant part, that plaintiffs’ action was preempted by the ADA and FAAAA. Supreme Court denied the motion, concluding that the market participant exception to federal preemption applied. Relying primarily on *Cardinal Towing & Auto Repair, Inc. v City of Bedford, Tex.* (180 F3d 686 [5th Cir 1999]), the court reasoned that the instant action pertained to the State’s proprietary, and not regulatory, capacity. It remarked that

“[t]he overcharging of the State for goods and services provided by private companies is the prime ill that the [FCA] seeks to address—which is, for the State, a specific proprietary problem. But because the State is such a major consumer of goods and services, the [FCA] permits relators such as plaintiffs to bring to its attention and, taking the risk of nonrecovery, prosecute the State’s claims against providers of false statements” (28 Misc 3d 973, 984 [Sup Ct, Erie County 2010] [internal quotation marks and citation omitted]).

The Appellate Division unanimously reversed, granting the motion and dismissing the complaint (83 AD3d 1450 [4th Dept 2011]). The court rejected the market participant doctrine, concluding that “the broad scope of the FCA demonstrates that its primary goal is to regulate the actions of those who engage in business with the State, and thus the statute enforces a general policy” (*id.* at 1452).

This Court granted plaintiffs leave to appeal (17 NY3d 705 [2011]), and we now affirm.

Plaintiffs contend that the United States Congress, by encouraging states to pass fraudulent claim statutes such as the FCA, could not have intended for those statutes to be preempted. Further, plaintiffs contend that the FCA is neither regulatory in nature nor related to the “price[s], route[s], or service[s]” of

4. Plaintiffs also allege that in 2004, DHL had expanded its network of truck hubs, increasing the efficacy of ground transportation and obviating the need for air transportation of packages.

DHL. In the alternative, they argue that if preemption is found, then the market participant exception applies because the instant claims pertain to the State's proprietary capacity, as a private actor, in procuring courier services from DHL. We find these arguments unavailing.

[1] Under the Supremacy Clause of the United States Constitution, federal laws "shall be the supreme Law of the Land" (US Const, art VI, cl 2) and Congress is vested with the authority to supersede state statutory or regulatory law (*see People v First Am. Corp.*, 18 NY3d 173, 179 [2011]). Thus, the primary concern of courts engaged in preemption analysis is "ascertain[ing] the intent of Congress" (*Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 113 [2008], quoting *California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272, 280 [1987]). There is no plainer indication of preemptive intent than the express language of a statutory provision (*see Doomes v Best Tr. Corp.*, 17 NY3d 594, 601 [2011]; *Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]).

The ADA provides, in relevant part:

"Except as provided in this subsection, a State, political subdivision of a State, or political authority of at least 2 States may not enact or enforce a law, regulation, or other provision having the force and effect of law related to a price, route, or service of an air carrier that may provide air transportation under this subpart" (49 USC § 41713 [b] [1]).

The FAAAA has a nearly identical provision that preempts the enforcement of state laws that relate to "any motor private carrier, broker, or freight forwarder with respect to the transportation of property" (*see* 49 USC § 14501 [c] [1]).

The United States Supreme Court has had previous occasion to consider the scope of these provisions, ascribing them "a broad pre-emptive purpose" (*Morales v Trans World Airlines, Inc.*, 504 US 374, 383 [1992]; *see also American Airlines, Inc. v Wolens*, 513 US 219 [1995]; *Rowe v New Hampshire Motor Transp. Assn.*, 552 US 364 [2008]). The *Morales* Court observed that Congress had enacted the ADA with the goal of deregulating the airline industry based on the rationale that "maximum reliance on competitive market forces would best further efficiency, innovation, and low prices as well as variety [and] quality . . . of air transportation services" (*Morales*, 504 US at 378

[internal quotation marks and citations omitted]). In conjunction with this purpose, the “relating to” language was construed to have expansive import,⁵ preempting any form of “[s]tate enforcement actions having a *connection with*, or *reference to*, airline rates, routes, or services” (*id.* at 384 [emphasis added and internal quotation marks omitted]).

In light of the breadth of the ADA and FAAAA’s preemptive language, we reject plaintiffs’ contentions that their FCA claims only seek to enforce the State’s proprietary interests against the fraud perpetrated by DHL’s alleged pricing scheme and are based on general laws that do not prescribe the rates, routes and services of airlines and carriers. On these points, *Morales* and *Wolens*, where similar state fraud claims were federally preempted, are particularly instructive.

In *Morales*, the National Association of Attorneys General (NAAG), an organization composed of the attorneys general of all 50 states, adopted extensive guidelines establishing “standards governing the content and format of airline advertising,” among other things (*Morales*, 504 US at 379). Pursuant to these guidelines, the attorneys general of seven states issued an advisory memorandum to major airlines, notifying them that the continued failure to disclose surcharges was “a violation of our respective state laws on deceptive advertising and trade practices”⁶ and could result in the commencement of “immediate enforcement actions” (*id.* at 379). Although the states’ intended goal was “preventing the market distortion caused by false advertising” through the enforcement of state fraud and consumer protection statutes (*id.* at 389 [internal quotation marks omitted]), the claims were federally preempted because the state guidelines “related to” or bore a “reference to” airfares and rates. The Court also rejected the argument that general state fraud laws that do not prescribe rates, routes and services avoid preemption, concluding that such a construction “ignores the sweep” (*id.* at 386) of the preemptive language and “reads the words ‘relating to’ out of the statute” (*id.* at 385).

5. The United States Supreme Court looked to comparable “relating to” language in the preemption provision of the Employee Retirement Income Security Act of 1974 (ERISA) (29 USC § 1144 [a]) which was broadly interpreted to preempt any state law that “has a connection with or reference to [an ERISA] plan” (see *Morales*, 504 US at 384, quoting *Shaw v Delta Air Lines, Inc.*, 463 US 85, 97 [1983]).

6. Section 2.5 of the guidelines provided that “[a]ny fuel, tax, or other surcharge to a fare must be included in the total advertised price of the fare” (*Morales*, 504 US at 405).

Similarly, in *Wolens*—a case we find hard to distinguish from this appeal—the plaintiffs asserted claims under the Illinois Consumer Fraud and Deceptive Business Practices Act (Consumer Fraud Act), seeking monetary relief for the fraudulent devaluation of their earned rewards caused by the defendant airline’s unilateral modification to its “frequent flyer” program (see *Wolens*, 513 US at 224-225). Although the plaintiffs’ breach of contract claims were allowed to proceed, the Court found the Consumer Fraud Act to be federally preempted because it had similar effect as the NAAG guidelines in *Morales*; that is, “it controls the primary conduct of those falling within its governance” and “serves as a means to guide and police the marketing practices of the airlines,” thereby infringing on the airline’s ability to set its rates, routes or services (*Wolens*, 513 US at 227, 228).

Accordingly, as the lower courts correctly held, plaintiffs’ claims are preempted by the ADA and FAAAA as they plainly have a connection with, or reference to, the rates, routes and services of DHL. Although the gravamen of plaintiffs’ complaint pertains to fraudulent misrepresentations, like the state fraud actions in *Morales* and *Wolens*, the instant State Finance Law claims are premised on alleged practices that are directly related to the imposition of fuel surcharges for the offered shipment options and thus reference, at a minimum, the rates billed by the courier.

Of course, the broad preemptive effect of the ADA and FAAAA should not be strained to encompass every asserted claim pertaining to the rates, routes or services of an airline or carrier. The Supreme Court observed that there are certain actions that are sufficiently remote or tenuously related to rates, routes, and services as to avoid preemption (see *id.* at 390), identifying routine breach of contract claims as such a peripheral cause of action as they enforce privately bargained-for obligations rather than further policy matters. Therefore, while the breadth of the ADA and FAAAA may preempt states “from imposing their own substantive standards with respect to rates, routes, or services, [it does not preclude] relief to a party who claims and proves that an airline dishonored a term the airline itself stipulated” (*Wolens*, 513 US at 232-233). Plaintiffs thus alternatively argue that their claims should proceed because they seek to hold DHL liable for breaching its self-imposed obligations under its agreement with the State. However, plaintiffs—who were not parties to the underlying agreement between DHL and the State—

cannot recover under a breach of contract action because they lack privity to enforce the benefit of the parties' bargain. Indeed, their claims are premised solely on the FCA, as relators, and the Supreme Court has expressly ruled that causes of action that are "enlarge[d] or enhance[d] based on state laws or policies external to the agreement" are preempted (*id.* at 233).

[2] Having concluded—as the lower courts did—that plaintiffs' claims are within the scope of express statutory preemptions, we turn to the plaintiffs' primary argument that the market participant doctrine exception is applicable here. Generally, the market participant doctrine recognizes the important distinction between the actions of a state in its dual regulatory and proprietary capacities. "[W]hen a state or municipality acts as a participant in the market and does so in a narrow and focused manner consistent with the behavior of other market participants, such action does not constitute regulation subject to preemption" (*Cardinal Towing*, 180 F3d at 691). However, a governmental entity does not escape federal preemption, even when assuming the role of private actor, if it "us[es] its power in the marketplace to implement governmental policies" (*Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380, 395 [2006]). Indeed, "a state acts as a regulator, not a proprietor, when it uses its bargaining leverage as a means of attaining policy ends" (*Council of City of N.Y.*, 6 NY3d at 395, citing *Building & Constr. Trades Council v Associated Builders & Contractors of Mass./R.I., Inc.*, 507 US 218 [1993]). Put another way, "courts have found preemption when government entities seek to advance general societal goals rather than narrow proprietary interests through the use of their contracting power" (*Cardinal Towing*, 180 F3d at 692).

Facially, it is evident that the State procured services from DHL in its proprietary capacity, however, plaintiffs' reliance on the FCA, which establishes public policy goals and is thus regulatory in nature, renders the market participant exception inapplicable to this case. State Finance Law § 189 (1) (g) provides, in relevant part, that a finding of liability under the statute may result in "a civil penalty of not less than six thousand dollars and not more than twelve thousand dollars, plus three times the amount of all damages, including consequential damages." Thus, rather than redressing the harm actually suffered, the statute's imposition of civil penalties and treble damages evinces a broader punitive goal of deterring fraudulent conduct against the State. That is, instead of

compensating the State for damages caused by DHL's purported scheme and addressing its narrow proprietary interests, the FCA would punish and consequently deter such future conduct, thereby promoting a general policy (*Vermont Agency of Natural Resources v United States ex rel. Stevens*, 529 US 765, 786 [2000], citing *Texas Industries, Inc. v Radcliff Materials, Inc.*, 451 US 630, 639 [1981] ["The very idea of treble damages reveals an intent to punish past, and to deter future, unlawful conduct, not to ameliorate the liability of wrongdoers"]). In light of the FCA's regulatory effect, the market participant exception is rendered inapposite to this appeal.⁷

Plaintiffs' remaining contentions have been considered and deemed without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent. Assuming that plaintiffs' claims lie within the scope of the statutory preemptions of the Airline Deregulation Act (ADA) and the Federal Aviation Administration Authorization Act (FAAAA) (*see* 49 USC § 41713 [b] [1]; 49 USC § 14501 [c] [1]), I believe that the market participant doctrine applies here. "[W]hen a State acts as a market participant with no interest in setting policy, as opposed to a regulator," it does not violate preemption principles (*Chamber of Commerce of United States v Brown*, 554 US 60, 70 [2008] [internal quotation marks omitted]). I would deny defendants' motion to dismiss.

In my view, Supreme Court correctly perceived that the dispositive questions are whether the action brought by plaintiffs "essentially reflect[s] the [State's] own interest in its efficient procurement of needed goods and services, as measured by comparison with the typical behavior of private parties in similar circumstances" and whether "the narrow scope of the challenged action defeat[s] an inference that its primary goal was to

7. Notably, the First District Court of Appeal of Florida recently dismissed, and the Supreme Court of Florida declined review of *DHL Express (USA), Inc. v State, ex rel. Grupp* (60 So3d 426 [2011], review denied 81 So3d 415 [2012]), an identical action commenced by these plaintiffs against DHL under the false claims act of that state (*see* Fla Stat § 68.081 [2]; § 68.082 [2]). In its decision, the Florida court similarly rejected the market participant doctrine, concluding that the state "acts as a regulator in authorizing suits under the False Claims Act which, as noted above, serve to deter future behaviors on the part of the defendants" (60 So3d at 429). Like State Finance Law § 189 (1) (g), the Florida statute also imposes civil fines and treble damages in qui tam actions.

encourage a general policy rather than address a specific proprietary problem” (*State of N.Y. ex rel. Grupp v DHL Express [USA], Inc.*, 28 Misc 3d 973, 983-984 [2010] [emphasis omitted], quoting *Cardinal Towing & Auto Repair, Inc. v City of Bedford, Tex.*, 180 F3d 686, 693 [5th Cir 1999]). I would answer both questions in the affirmative.

The New York False Claims Act, mirroring the federal government’s False Claims Act, subjects “any person who . . . knowingly presents, or causes to be presented a false or fraudulent claim for payment or approval” by the State, or “knowingly makes, uses, or causes to be made or used, a false record or statement material to” such a false or fraudulent claim, to civil liability including treble damages (State Finance Law § 189 [1] [a], [b], [g]). Furthermore, the New York False Claims Act allows “relators” to blow the whistle on a government contractor’s fraudulent claims by bringing a qui tam civil action on behalf of the State of New York (State Finance Law § 190 [2]). It is the intent of the statute to be applied broadly to almost any situation where state dollars are involved.

Here, the complaint alleges that DHL fraudulently charged the State jet fuel, rather than diesel fuel, surcharges on Next Afternoon and Second Day shipments that it in fact transported by ground, a claim that directly relates to the State’s efficient procurement of needed shipping services. The relators’ action was specific to one particular package delivery company. The relators sought not to regulate shipping rates, but to address a very narrow instance of alleged fraudulent overcharging of the State. That is, for the State, a “specific proprietary problem,” and I see no evidence of any regulatory impulse.

The majority, in its brief discussion of the market participant doctrine, cites *Matter of Council of City of N.Y. v Bloomberg* (6 NY3d 380, 395 [2006]), in which we held that the market participant exception does not apply when the State acts with an interest in setting policy. In *Council of City of N.Y.*, we ruled that New York City law preventing agencies from contracting with providers that did not offer domestic partner benefits to their employees clearly set policy, and was subject to preemption. The present case could not be more different. The State’s role with respect to the action is as a buyer of DHL’s services on the open market, rather than as a policymaker.

Although the majority accepts, as it must, that “the State procured services from DHL in its proprietary capacity” (majority op at 286), it attempts to avoid the market participant doctrine by

suggesting that plaintiffs' reliance on the False Claims Act renders the exception inapplicable (*id.* at 286). For this conclusion, the majority offers only one reason—that the False Claims Act imposes civil penalties and treble damages to deter fraudulent conduct against the State (*id.*). In my view, this reasoning is insufficient. An action under State Finance Law § 189 (1) is not designed to regulate and set policy, but rather to protect the State's interest in cost efficiency. That the action will have benefits outside itself does not take away from the fact that the law exists to protect state proprietary interests. As the New York State Senate Introducer's Memorandum in Support of the False Claims Act notes, its purpose is to "help to protect taxpayer dollars by deterring the submission of false claims, enhancing the ability to recover amounts defrauded from the state and local governments, and imposing appropriate civil penalties upon those who have engaged in such illegal activities." (Mem in Support of 2006 NY Senate Bill S3895.) In allowing an action to be brought under this statute, the State is not regulating an industry; rather it is taking part in the activity of the market.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT dissents in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, with costs.

[970 NE2d 833, 947 NYS2d 798]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
D. KENT, Appellant.

Argued March 20, 2012; decided May 8, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 12, 2010. The Appellate Division affirmed a judgment of the Dutchess County Court (Victor J. Alfieri, Jr., J.), which had convicted defendant, after a nonjury trial, of promoting a sexual performance by a child (two counts) and possessing a sexual performance by a child (134 counts).

People v Kent, 79 AD3d 52, modified.

HEADNOTES

Crimes — Promoting Sexual Performance by Child — Web Cache

1. In a prosecution for promoting a sexual performance by a child (Penal Law § 263.15) premised on cached images or files as contraband, the People must prove, at a minimum, that the defendant was aware of the presence of those items in the cache. A cache contains images or portions of a Web page that are automatically stored when that page is visited and displayed on the computer screen. For purposes of Penal Law § 263.15, “promote” is defined as simply the acquisition of child pornography, whether for personal consumption or for distribution to others. Where no evidence shows that the defendant was aware of the presence of the cached files, such files cannot underlie a promotion prosecution, as a defendant cannot knowingly acquire that which he or she does not know exists. However, cached images can serve as evidence of the defendant’s prior viewing of images that were, at one time, resident on his or her computer screen. Such evidence, like a pattern of browsing for child pornography, is relevant to the mens rea of the crime by showing that the defendant did not inadvertently access an illicit image or site or was not mistaken as to its content.

Crimes — Possessing Sexual Performance by Child — Web Cache

2. In a prosecution for possessing a sexual performance by a child (Penal Law § 263.16) premised on cached images or files as contraband, the People must prove, at a minimum, that the defendant was aware of the presence of those items in the cache. A cache contains images or portions of a Web page that are automatically stored when that page is visited and displayed on the computer screen. Where no evidence shows that the defendant was aware of the presence of the cached files, such files cannot underlie a possession prosecution, as a defendant cannot knowingly possess that which he or she does not know exists. However, cached images can serve as evidence of the defendant’s prior viewing of images that were, at one time, resident on his or her computer screen. Such evidence, like a pattern of browsing for child pornography, is relevant to the mens rea of the crime by showing that the defendant did not

inadvertently access an illicit image or site or was not mistaken as to its content.

Crimes — Promoting Sexual Performance by Child — Web Images of Child Pornography

3. Merely “accessing and displaying” Web images of child pornography does not, absent other proof, constitute procurement for purposes of Penal Law § 263.15, promoting a sexual performance by a child. That such images were simply viewed, and that a defendant had the theoretical capacity to exercise control over them during the time they were resident on the computer screen, is not enough to constitute their procurement. Rather, some affirmative act, such as printing, downloading or saving, is required to show that the defendant in fact exercised dominion and control over the images that were on the screen. To hold otherwise would extend the reach of article 263 to conduct—viewing—that the Legislature has not deemed criminal.

Crimes — Possessing Sexual Performance by Child — Web Images of Child Pornography

4. Merely “accessing and displaying” Web images of child pornography does not, absent other proof, constitute possession for purposes of Penal Law § 263.16, possessing a sexual performance by a child. That such images were simply viewed, and that a defendant had the theoretical capacity to exercise control over them during the time they were resident on the computer screen, is not enough to constitute their possession. Rather, some affirmative act, such as printing, downloading or saving, is required to show that the defendant in fact exercised dominion and control over the images that were on his or her screen. To hold otherwise, would extend the reach of article 263 to conduct—viewing—that the Legislature has not deemed criminal.

Crimes — Possessing Sexual Performance by Child — Web Cache

5. The evidence proffered at defendant’s trial was legally insufficient to support his conviction for possessing a sexual performance by a child (Penal Law § 263.16) based upon the presence of a child pornography Web page stored on defendant’s computer in temporary Internet files, or “cache files,” contained in allocated space accessible to defendant, as the People did not demonstrate that defendant knew that the page, or any other, had been cached. A cache contains images or portions of a Web page that are automatically stored when that page is visited and displayed on the computer screen. Where a possession conviction is premised on cached images or files as contraband, the People must prove, at a minimum, that the defendant was aware of the presence of those items in the cache. Although the cached page provided evidence that defendant previously viewed the site, the People presented no evidence that defendant downloaded, saved, printed or otherwise manipulated or controlled the image while it was on his screen. Merely accessing and displaying Web images of child pornography does not constitute possession for purposes of Penal Law § 263.16. Rather, some affirmative act is required (printing, saving, downloading, etc.) to show that the defendant in fact exercised dominion and control over the images that were on the screen. Here the evidence was insufficient to show that defendant knowingly possessed the Web page, either in the form of the cached file or as an image on his screen.

Crimes — Promoting Sexual Performance by Child — Web Cache

6. The evidence proffered at defendant’s trial was legally insufficient to support his conviction for promoting a sexual performance by a child (Penal Law § 263.15) based upon the presence of a child pornography Web page stored on

defendant's computer in temporary Internet files, or "cache files," contained in allocated space accessible to defendant, as the People did not demonstrate that defendant knew that the page, or any other, had been cached. A cache contains images or portions of a Web page that are automatically stored when that page is visited and displayed on the computer screen. Where a promotion conviction is premised on cached images or files as contraband, the People must prove, at a minimum, that the defendant was aware of the presence of those items in the cache. Although the cached page provided evidence that defendant previously viewed the site, the People presented no evidence that defendant downloaded, saved, printed or otherwise manipulated or controlled the image while it was on his screen. Merely accessing and displaying Web images of child pornography does not constitute procurement for purposes of Penal Law § 263.15. Rather, some affirmative act is required (printing, saving, downloading, etc.) to show that the defendant in fact exercised dominion and control over the images that were on the screen. Here, there was insufficient evidence that defendant procured the Web page. Defendant did not get possession of the page by particular care or effort, as by downloading it.

Crimes — Promoting Sexual Performance by Child — Video Downloaded and Saved on Computer

7. The evidence proffered at defendant's trial was legally sufficient to support his conviction for promoting a sexual performance by a child (Penal Law § 263.15) based upon the recovery of a video containing child pornography from the unallocated space on defendant's computer. Testimony by the investigator who had conducted a forensic analysis of defendant's hard drive established that at some point defendant downloaded and/or saved the video, thereby committing it to the allocated space of his computer, and that the video was sent to the unallocated space on his computer when it was deleted. For purposes of Penal Law § 263.15, "promote" is defined as simply the acquisition of child pornography, whether for personal consumption or for distribution to others. Viewing the evidence in the light most favorable to the People, a rational factfinder could have concluded that defendant acquired the video. That defendant did so knowingly was conclusively established by, among other things, copious evidence of his persistent pattern of browsing for child pornography sites; his meticulous cataloguing of thumbnail images of young, provocatively dressed girls; his deletion of illegal images and retention of legal ones; and defendant's messages to an unidentified individual discussing the pornographic content of the images and sites defendant perused.

Crimes — Possessing Sexual Performance by Child — Video and Images Downloaded and Saved on Computer

8. The evidence proffered at defendant's trial was legally sufficient to support his convictions for possessing a sexual performance by a child (Penal Law § 263.16) based upon the recovery of a video containing child pornography and 132 images of child pornography from the unallocated space on his computer. Testimony by the investigator who had conducted a forensic analysis of defendant's hard drive established that at some point defendant downloaded and/or saved the video and images, thereby committing them to the allocated space of his computer, and that the video and images were sent to the unallocated space on his computer when they were deleted. Viewing the evidence in the light most favorable to the People, a rational factfinder could have concluded that defendant exercised control over the video and images. That defendant did so knowingly was conclusively established by, among other things, copious evidence of his persistent pattern of browsing for child pornography sites; his meticulous cataloguing of thumbnail images of young,

provocatively dressed girls; his deletion of illegal images and retention of legal ones; and defendant's messages to an unidentified individual discussing the pornographic content of the images and sites defendant perused.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Indictments and Informations §§ 160, 162, 178; AM JUR 2d, Lewdness, Indecency, and Obscenity §§ 28, 29, 33–35, 38.
CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:341, 178:342; CARMODY-WAIT 2d, Right to Counsel §§ 184:155–184:158, 184:162–184:167.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10, 19.5.
MCKINNEY'S, Penal Law §§ 263.15, 263.16.
NY JUR 2d, Criminal Law: Procedure §§ 864–870, 1273–1275; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 2020, 2023, 2024.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Children; Computers; Indictments and Informations; Internet; Lewdness, Indecency, and Obscenity.

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POINTS OF COUNSEL

Diarchies, Eiger & Abelson, P.C., New York City (*Nathan Z. Diarchies* and *Victoria B. Eiger* of counsel), for appellant. I. James Kent's conviction on count 1—promoting a sexual performance by a child (procurement) of the cached “School Backyard” Web page—must be set aside. (*People v Keyes*, 75 NY2d 343; *Stanley v Georgia*, 394 US 557; *Osborne v Ohio*, 495 US 103; *People v Ribowsky*, 77 NY2d 284; *People v Spann*, 56 NY2d 469; *People v Roberts*, 135 AD2d 1026; *People v Charles*, 61 NY2d 321; *Matter of Corbin v Hillery*, 74 NY2d 279, *affd sub nom. Grady v Corbin*, 495 US 508; *United States v Dixon*, 509 US 688; *People v Rubin*, 101 AD2d 71.) II. James Kent's conviction for procurement of the Arina video is also invalid: neither the prosecution's theory as charged in the indictment, or as amended at the end of the trial, constitutes procurement (promotion). (*People v LaPetina*, 34 AD3d 836, 9 NY3d 854;

People v Perez, 83 NY2d 269; *People v Chicas*, 204 AD2d 476; *People v Brown*, 221 AD2d 353; *People v Taplin*, 1 AD3d 1044; *People v Thompson*, 217 AD2d 929; *People v O'Connor*, 240 AD2d 764; *People v Bell*, 206 AD2d 686; *People v Rogers*, 141 AD2d 870; *People v Pike*, 254 AD2d 727.) III. James Kent's possessing a sexual performance by a child convictions are also invalid. (*People v Fraser*, 96 NY2d 318, 533 US 951; *Holcomb v Harris*, 166 NY 257; *CMI Capital Mkt. Inv., LLC v Municipality of Bayamon*, 410 F Supp 2d 61; *People v Zagorsky*, 73 Misc 2d 420; *People v Melhado*, 53 NY2d 984; *People v Williams*, 43 NY2d 725; *New York v Ferber*, 458 US 747.) IV. James Kent's claim of ineffective assistance of counsel based on failure to challenge the warrantless search of Kent's hard drive was ripe for consideration on appeal; the search was illegal as a matter of constitutional law. (*People v Mobley*, 59 AD3d 741; *People v Donovan*, 184 AD2d 654; *People v Rivera*, 71 NY2d 705; *People v Park*, 60 AD3d 972; *People v Sinatra*, 89 AD2d 913; *People v Marcial*, 41 AD3d 1308; *People v Cyrus*, 48 AD3d 150; *People v Belton*, 55 NY2d 49; *People v Torres*, 74 NY2d 224; *People v Weaver*, 12 NY3d 433.)

William V. Grady, District Attorney, Poughkeepsie (Bridget Rahilly Steller of counsel), for respondent. I. Defendant's guilt of promoting a sexual performance by a child relating to the "School Backyard" Web page was established beyond a reasonable doubt. (*People v Keyes*, 75 NY2d 343; *People v Fraser*, 264 AD2d 105, 96 NY2d 318, 533 US 951; *People v Greenberg*, 89 NY2d 553; *People v Thomas*, 273 AD2d 490, 95 NY2d 970; *People v Lovacco*, 147 AD2d 592, 74 NY2d 743; *People v Iannone*, 45 NY2d 589; *People v D'Angelo*, 98 NY2d 733; *People v Davis*, 41 NY2d 678; *People v Kolupa*, 13 NY3d 786; *People v Hines*, 97 NY2d 56.) II. Defendant's guilt of promoting a sexual performance by a child relating to the Arina video was established beyond a reasonable doubt. (*People v Beasley*, 16 NY3d 289; *People v Hawkins*, 11 NY3d 484; *People v D'Angelo*, 98 NY2d 733; *People v Iannone*, 45 NY2d 589; *People v Cunningham*, 48 NY2d 938; *People v Jackson*, 111 NY 362; *People v O'Connor*, 240 AD2d 764; *People v LaPetina*, 34 AD3d 836; *People v Straniero*, 17 AD3d 161, 5 NY3d 795; *People v Robinson*, 119 AD2d 598, 68 NY2d 816.) III. Defendant's guilt of the 134 counts of possessing a sexual performance by a child was established beyond a reasonable doubt. (*People v Beasley*, 16 NY3d 289; *People v Hawkins*, 11 NY3d 484; *People v Cona*, 49 NY2d 26; *People v Fraser*, 96 NY2d 318; *People v Keyes*, 75 NY2d 343; *New York v*

Ferber, 458 US 747; *People v Malizia*, 62 NY2d 755.) IV. Defendant received the effective assistance of trial counsel. (*People v Benevento*, 91 NY2d 708; *People v Rivera*, 71 NY2d 705; *People v Ramirez-Portoreal*, 88 NY2d 99; *People v Denny*, 95 NY2d 921; *People v Love*, 57 NY2d 998.)

OPINION OF THE COURT

CIPARICK, J.

The question presented for our review is whether the evidence proffered at defendant's trial was legally sufficient to support his convictions for promoting a sexual performance by a child (Penal Law § 263.15) and possessing a sexual performance by a child (Penal Law § 263.16). We must consider, among other issues, the evidentiary significance of "cache files," or temporary Internet files automatically created and stored on a defendant's hard drive, and the defendant's awareness of the presence of such files. We conclude that where the evidence fails to show that defendant had such awareness, the People have not met their burden of demonstrating defendant's knowing procurement or possession of those files. We further conclude that merely viewing Web images of child pornography does not, absent other proof, constitute either possession or procurement within the meaning of our Penal Law.

I.

The following evidence was adduced at defendant's trial. On May 26, 2005, defendant James D. Kent, a professor of public administration at a Dutchess County college, received a new office computer through a campus-wide technology upgrade. The files stored on the hard drive of the old computer were transferred to the new computer. On April 5, 2007, a student employee of the college's information technology (IT) department went to defendant's office in response to his complaints that his computer was malfunctioning. While running a virus scan of the computer's hard drive, the employee discovered a work folder containing numerous ".jpg" or picture files, displayed as "thumbnails," of scantily clad, prepubescent girls in provocative poses. When the virus scan failed to correct the computer's unresponsiveness, the employee removed defendant's hard drive and took it back to the IT office, where supervisors learned of the images. College administrators informed defendant that these images had been found on his computer, but defendant denied any knowledge of them. Approximately two

weeks later, the college submitted defendant's hard drive to the Town of Poughkeepsie Police Department with a "Consent to Search" form signed by a college administrator.

Barry Friedman, an investigator in the computer forensic lab of the New York State Police, conducted a forensic analysis of defendant's hard drive using EnCase Software (EnCase). Investigator Friedman explained that EnCase searches both allocated space, which contains data (including saved items or items sent to the "recycle bin") that is readily accessible to a user, and unallocated space, which contains material deleted from the allocated space and is inaccessible to a user. Defendant's computer contained Real Player, a downloadable media program used to play videos and music that maintains a "play" history. The computer also had two Internet browsers: Internet Explorer and Mozilla Firefox. In addition to the default profile provided by Mozilla Firefox, a second profile under the name of "Jim" had been created.

The allocated space under the Jim profile on Mozilla Firefox contained a temporary Internet file known as a Web "cache." A cache contains images or portions of a Web page that are automatically stored when that page is visited and displayed on the computer screen; if the user visits the Web page again at a later date, the images are recalled from the cache rather than being pulled from the Internet, allowing the page to load more quickly. The cache under the Jim profile contained a .jpg image of a child pornography Web site called "School Backyard" that depicted children engaged in sexual intercourse with adults.

According to the EnCase software, the "School Backyard" page had been accessed on the morning of February 21, 2007. Within minutes of accessing "School Backyard," three other pages were accessed—two images of a young girl sitting in the front seat of her car with her wrists bound and a Web page labeled "Pedoland"—which were also stored in the Web cache. The cache contained several other Web pages labeled, among other things, "Best CP Sites Portal, the Best Lolita CP Sites," that provided links to child pornography Web sites. Additionally, the Real Player history included links to numerous videos with file names indicating that they contained child pornography that were accessed, some on multiple occasions, between 2005 and 2007. There was no evidence that defendant was aware either of the cache function of his computer or that any of these files were stored in the cache.

The allocated space on defendant's hard drive also contained a "My Documents" folder with subfolders labeled "cdocs" and another labeled "work," and an additional folder labeled "JK." The "cdocs" subfolder contained approximately 13,000 saved images of female children, whom Investigator Friedman estimated to be eight or nine years old, dressed in lingerie or bathing suits and many with their legs spread open. The "work" subfolder contained an additional 17,000 saved images of female children, some organized into further subfolders named for a particular child. The JK folder held a file labeled "porndef.pb," which contained a document that included the text of four messages dated between June 1999 and July 2000 and directed to the unidentified recipient "P.B."¹ The messages apparently relate to a potential research project on the regulation of child pornography and include comments such as "sooner or later someone at this college is going to wonder why I keep looking at porno sites." A final message dated July 11, 2001 states:

"Well, this last batch pretty much tears it. While, as somebody's father, I'm pretty appalled by this stuff, I also don't want to get arrested for having it. So let's do this—if this is a legitimate research project, let's write it up and tell the deans (and preferably also the cops) what we're doing and why. Otherwise, let's drop it in the most pronto possible fashion.

"I don't even think I can mail the disk to you, or anyone else, without committing a separate crime. So I'll probably just go ahead and wipe them. You have the URLs if you want to pursue it.

"See you sooner or later, no doubt. Kent."

From the unallocated space on the computer, EnCase retrieved a video containing child pornography that had previously been downloaded and saved to the allocated space under the file name "Arina." EnCase also discovered over 130 .jpg images depicting children engaged in oral sex and sexual intercourse with dogs, adults and other children, children being penetrated by objects, and the lewd exhibition of the exposed genitals of female children. Like the "Arina" video, each of these images had been downloaded and stored in the allocated space of defendant's computer at some point between May 26, 2005 (the date that

1. As the Appellate Division noted, it is unclear whether these messages were ever sent.

data was transferred from defendant's old computer to his new computer) and April 5, 2007 (the date the IT employee removed the hard drive) before the user deleted them, sending them to unallocated space. There was no evidence that defendant ever paid for access to any of the child pornography found on his computer.

Defendant was indicted on two counts of promoting a sexual performance by a child (Penal Law § 263.15) and 141 counts of possessing a sexual performance by a child (Penal Law § 263.16). Counts 1 and 142 related, respectively, to defendant's alleged procurement and possession of the "School Backyard" Web page; counts 2 and 143 related, respectively, to defendant's alleged procurement and possession of the "Arina" video; counts 3 through 141 charged defendant with possession of the .jpg images recovered from the unallocated space of the hard drive. During defendant's six-day nonjury trial, County Court denied defendant's trial motions for dismissal of the indictment. At the close of the trial, County Court granted the People's motion to conform the pleadings to the proof by amending count 2 of the indictment to reflect May 18, 2005 as the date of the alleged procurement of the "Arina" video. Thereafter, County Court found defendant guilty of both procurement counts (1 and 2) and 134 of the 141 possession counts, including counts 142 and 143.² County Court subsequently denied defendant's motion to set aside the verdict, finding that the evidence was legally sufficient to sustain his convictions (*see* CPL 330.30 [1]). Defendant was sentenced to concurrent indeterminate prison terms of 1 to 3 years.

The Appellate Division affirmed County Court's judgment (*see People v Kent*, 79 AD3d 52, 73 [2d Dept 2010]). Addressing the evidentiary significance of the presence of Internet files stored in a cache, as well as the significance of defendant's knowledge or lack of knowledge regarding the cache function of his computer, the court undertook a review of both federal and state approaches to these issues (*see id.* at 65-66). Noting that "[t]he consistent thread in these cases is the need to distinguish inadvertent or unintentional acquisition or possession of the offensive material from knowing or intentional procurement and possession," the court stated its preliminary "agreement with the underlying premise that the mere existence of an image

2. County Court found defendant not guilty of counts 24, 28, 49, 97, 101, 102 and 140.

automatically stored in the cache, standing alone, is legally insufficient to prove either knowing procurement or knowing possession of child pornography” (*id.* at 66).

The court adopted the view, however, that “a Web page stored in the cache is evidence of past procurement of the images on that page. Specifically, the cached Web page from the ‘School Backyard’ site is evidence that the Web page was accessed and displayed on the defendant’s computer screen” (*id.* at 67). That defendant knowingly accessed the page was demonstrated by a totality of evidence including defendant’s pattern of Internet browsing for child pornography Web sites, his Real Player history, and his messages to “P.B.” acknowledging his possession of child pornography (*id.* at 67-68). The court further held that the evidence was legally sufficient to prove defendant’s knowing possession of the images on the “School Backyard” page, finding that defendant “knowingly accessed the Web page and displayed it on his computer screen . . . establishing his dominion and control over the images” (*id.* at 68).

The court also found that the evidence was legally sufficient to support defendant’s 134 other convictions, because those counts were based on “images which, at one time, had been downloaded and saved in the allocated space of the hard drive and subsequently deleted” (*id.* at 68-69). With respect to count 2, for promotion of the “Arina” video, the court found that “the totality of the direct and circumstantial evidence of . . . defendant’s extensive use of his office computer to obtain and view child pornography was a sufficient basis from which the factfinder could infer that [he] acquired the video, and thus, committed an act of procurement” (*id.* at 70).

A Judge of this Court granted defendant leave to appeal (17 NY3d 797 [2011]) and we now modify by reversing defendant’s convictions on counts 1 and 142 for promotion and possession of the “School Backyard” Web page and, as so modified, affirm.

II.

Recognizing that “[t]he public policy of the state demands the protection of children from exploitation through sexual performances” (L 1977, ch 910, § 1), the Legislature enacted article 263 of the Penal Law “to eradicate the social evil of child pornography” (*People v Keyes*, 75 NY2d 343, 348 [1990]). With limited exception (*see People v Fraser*, 96 NY2d 318 [2001]), we have not had occasion to determine the extent to which the current statutory scheme applies to child pornography distributed

and consumed over the Internet, a forum unknown to legislative drafters 30 years ago and which now provides a readily accessible and expansive marketplace for illicit material. Indeed, the Internet now allows for “a diverse array of offenders who can access and circulate images easily and privately from home computers” (see Wolak, Finkelhor, Mitchell and Ybarra, *Online “Predators” and Their Victims: Myths, Realities, and Implications for Prevention and Treatment*, 63 Am Psychologist 111, 120 [Feb.-Mar. 2008]). The resulting danger to the safety and welfare of children cannot be overstated: in a study of persons prosecuted for Internet-related child pornography crimes, 80% had images showing the sexual penetration of a child and nearly 20% had images of children younger than age three (see Wolak, Finkelhor and Mitchell, *Child-Pornography Possessors Arrested in Internet-Related Crimes: Findings from the National Juvenile Online Victimization Study*, at 5 [2005]).

Penal Law § 263.15 provides that “[a] person is guilty of promoting a sexual performance by a child when, knowing the character and content thereof, he produces, directs or promotes any performance which includes sexual conduct by a child less than seventeen years of age.” To “promote” means, among other things, “to procure” (Penal Law § 263.00 [5]),³ itself defined as “obtain, acquire . . . to get possession of by particular care or effort” (Keyes, 75 NY2d at 348 [internal quotation marks omitted]). Thus, “the term ‘procure’ . . . defines ‘promote’ for the purposes of Penal Law § 263.15 as simply the acquisition of child pornography, whether for personal consumption or for distribution to others” (*id.*). Penal Law § 263.16 provides that “[a] person is guilty of possessing a sexual performance by a child when, knowing the character and content thereof, he knowingly has in his possession or control any performance which includes sexual conduct by a child less than sixteen years of age.”

For purposes of both the promotion and possession statutes, “performance” is defined as “any play, motion picture, photograph or dance” (Penal Law § 263.00 [4]). We have held that digital computer images are photographs within the meaning of section 263.00 (4) (see *Fraser*, 96 NY2d at 327-328). “Sexual conduct,” as used in both statutes, “means actual or

3. “Promote” is additionally defined in that section as to “manufacture, issue, sell, give, provide, lend, mail, deliver, transfer, transmute, publish, distribute, circulate, disseminate, present, exhibit or advertise, or to offer or agree to do the same” (Penal Law § 263.00 [5]).

simulated sexual intercourse, oral sexual conduct, anal sexual conduct, sexual bestiality, masturbation, sado-masochistic abuse, or lewd exhibition of the genitals” (Penal Law § 263.00 [3]). Furthermore, both crimes require that the defendant acted knowingly (*see* Penal Law § 15.05 [2]). The exercise of “[d]ominion or control is necessarily knowing, and such ‘constructive possession’ may qualify as knowing possession” (*People v Muhammad*, 16 NY3d 184, 188 [2011]).

Defendant argues that merely “accessing and displaying” Web images of child pornography does not constitute procurement for purposes of Penal Law § 263.15. Defendant further contends that his possession convictions are invalid because Penal Law § 263.16 criminalizes the possession of tangible items only and that, absent proof that defendant was aware of his computer’s cache function, he could not have knowingly possessed any item stored in the cache. For the reasons that follow, we agree with defendant’s first proposition. We also agree that where a promotion or possession conviction is premised on cached images or files as contraband, the People must prove, at a minimum, that the defendant was aware of the presence of those items in the cache. We hold, however, that regardless of a defendant’s awareness of his computer’s cache function, the files stored in the cache may constitute evidence of images that were previously viewed; to possess those images, however, the defendant’s conduct must exceed mere viewing to encompass more affirmative acts of control such as printing, downloading or saving.

Federal courts have held that for digital images to constitute evidence of knowing possession of child pornography, such images must be connected to something tangible (e.g., the hard drive), as they are when stored in a cache, and that the defendant must be aware of that connection (*see United States v Romm*, 455 F3d 990, 1000 [9th Cir 2006] [“to possess the images in the cache, the defendant must, at a minimum, know that the unlawful images are stored on a disk or other tangible material in his possession”]; *United States v Tucker*, 305 F3d 1193, 1205 [10th Cir 2002] [“Since (the defendant) knew his browser cached the image files, each time he intentionally sought out and viewed child pornography with his Web browser he knowingly acquired and possessed the images”]). At least two state courts have adopted the federal approach (*see Worden v State*, 213 P3d 144, 147-149 [Alaska 2009]; *Barton v State*, 286 Ga App 49, 52-53, 648 SE2d 660, 663 [2007]).

The rule espoused by several other states and by the Appellate Division—that defendant’s awareness of the automatic cache function is immaterial because it is not the cached files that constitute the contraband but the images previously displayed—is conceptually distinct as it does not rely on the tangibility of the image (i.e., its permanent placement on the defendant’s hard drive and his ability to access it later) but on the fact that the image was, at one time, knowingly accessed and viewed (*see Kent*, 79 AD3d at 68; *see also State v Hurst*, 181 Ohio App 3d 454, 470, 909 NE2d 653, 664-665 [2009]; *People v Josephitis*, 394 Ill App 3d 293, 301, 914 NE2d 607, 612-613 [2009]).⁴

[1, 2] Like the federal courts to address the issue, we agree that where no evidence shows defendant was aware of the presence of the cached files, such files cannot underlie a prosecution for promotion or possession. This is necessarily so because a defendant cannot knowingly acquire or possess that which he or she does not know exists (*see United States v Kuchinski*, 469 F3d 853, 863 [2006] [to prosecute a defendant who lacks knowledge about the cache for possession of files stored therein “turns abysmal ignorance into knowledge and a less than valetudinarian grasp into dominion and control”]).

However, cached images can serve as evidence of defendant’s prior viewing of images that were, at one time, resident on his computer screen. Such evidence, like a pattern of browsing for child pornography, is relevant to the mens rea of both crimes by showing that a defendant did not inadvertently access an illicit image or site or was not mistaken as to its content.

[3, 4] Nonetheless, that such images were simply viewed, and that defendant had the theoretical capacity to exercise control over them during the time they were resident on the screen, is not enough to constitute their procurement or possession. We

4. One legal commentator has described the distinction between these two approaches, deemed respectively, the “Present Possession” approach and “the Evidence Of” approach, as follows:

“The first approach places legal significance on the images found in a cache The second, alternative approach places legal significance on the images that the computer user sought out and placed on his computer screen. This approach holds that the copies of the images found in a cache constitute evidence of some prior (but no less real) knowing possession” (Ty E. Howard, *Don’t Cache Out Your Case: Prosecuting Child Pornography Possession Laws Based on Images Located in Temporary Internet Files*, 19 Berkeley Tech LJ 1227, 1254, 1255 [Fall 2004]).

do not agree that “purposefully making [child pornography] appear on the computer screen—for however long the defendant elects to view the image—itself constitutes knowing control” (*Kent*, 79 AD3d at 66, quoting *Commonwealth v Diodoro*, 601 Pa 6, 18, 970 A2d 1100, 1107 [2009]). Rather, some affirmative act is required (printing, saving, downloading, etc.) to show that defendant in fact exercised dominion and control over the images that were on his screen. To hold otherwise, would extend the reach of article 263 to conduct—viewing—that our Legislature has not deemed criminal.

The federal statute regulating conduct related to child pornography, 18 USC § 2252A, provides a useful contrast. Section 2252A was amended in 2008 to provide that any person who either “knowingly possesses, or *knowingly accesses with intent to view*, any book, magazine, periodical, film, videotape, computer disk, or any other material that contains an image of child pornography” is subject to a fine and imprisonment (*see* 18 USC § 2252A [a] [5] [B] [emphasis added], as amended by Pub L 110-358, § 203, 122 US Stat 4002, 4004). Neither provision of the Penal Law at issue here contains comparable language targeted toward the “pull technology” by which one accesses and views Internet images. The words that are employed—“procures” and “possesses”—would not, in ordinary speech, encompass the act of viewing (*see State v Barger*, 349 Or 553, 563, 247 P3d 309, 314 [2011] [“Looking for something on the Internet is like walking into a museum to look at pictures—the pictures are where the person expected them to be, and he can look at them, but that does not in any sense give him possession of them”]).

[5, 6] Here, the “School Backyard” Web page was automatically stored in the cache in allocated space that was accessible to defendant. The People did not demonstrate that defendant knew that the page, or any other, for that matter, had been cached. While the cached page provided evidence that defendant previously viewed the site, the People presented no evidence that defendant downloaded, saved, printed or otherwise manipulated or controlled the image while it was on his screen. That defendant accessed and displayed the site, without more, is not enough. Thus, the evidence was insufficient to show that defendant knowingly possessed the “School Backyard” Web page, either in the form of the cached file or as an image on his screen. It follows, therefore, that there was not sufficient evidence that defendant procured the “School Backyard” page; defendant did

not “get possession of [the page] by particular care or effort” (*Keyes*, 75 NY2d at 348 [internal quotation marks omitted]) as by downloading it. Thus, defendant’s convictions under counts 1 and 142 should be reversed.

[7, 8] We agree with the Appellate Division, however, that defendant was properly convicted of promotion and possession of the “Arina” video, and possession of 132 images of child pornography recovered from the unallocated space on his computer. Investigator Friedman’s testimony established that at some point defendant downloaded and/or saved the video and the images, thereby committing them to the allocated space of his computer, prior to deleting them. Thus, viewing the evidence in the light most favorable to the People, a rational factfinder could conclude that defendant acquired the video and exercised control over it and the images (*see People v Contes*, 60 NY2d 620, 621 [1983]). That defendant did so knowingly was conclusively established by, among other things, copious evidence of his persistent pattern of browsing for child pornography sites; his meticulous cataloguing of thumbnail images of young, provocatively dressed girls; his deletion of illegal images and retention of legal ones; and defendant’s messages to “P.B.” discussing the pornographic content of the images and sites defendant perused.

Defendant also contends that County Court erred in permitting the People to amend count 2 of the indictment and that counsel provided ineffective assistance. We have considered these arguments and find them to be without merit.

Accordingly, the order of the Appellate Division should be modified by dismissing counts 1 and 142 of the indictment and remitting to County Court for resentencing and, as so modified, affirmed.

GRAFFEO, J. (concurring in result only). The majority holds that it is legal in New York to knowingly access and view child pornography on the Internet. I do not support this view and write separately to explain what I believe is the reasonable application of the relevant Penal Law provisions and the important public policies underlying their enactment. It is important to emphasize that this case deals with issues pertaining to child pornography on the Internet, not Web sites containing the sexual activities of adults. There is a fundamental reason that the law handles these two topics differently—children are legally incapable of consenting to engage in such sexual behaviors.

I

Children are among the most vulnerable citizens in our society. For whatever reason, an unfortunate aspect of the human condition causes certain adults to prey upon children for purposes of sexual gratification or financial gain in ways that subject children to serious psychological damage and, in many cases, physical abuse and related medical problems. The persons who produce and promote child pornography derive perverse satisfaction from compelling children to engage in sexually suggestive conduct or actual sexual contact with other children, adults, animals or other forms of deviant conduct that is undeniably detrimental to them, particularly for prepubescent children. Worse yet, they photograph, record or videotape these encounters for future public viewing. The availability of computer technology and the ease of digital photography has made the publication and sharing of child pornography available on a global scale previously unknown in our society. The harm inflicted on child victims, many of whom are less than 10 years of age, is well documented.¹ Granted, the case before us does not involve the production or dissemination of child pornography; rather, it addresses whether knowingly viewing child pornography on the Internet is subject to criminal penalties under the Penal Law in New York. Because I conclude that the Legislature recognized that a child is victimized each time an image of the child is knowingly viewed, I believe that this conduct falls within the reach of our statutory prohibition.

Decades ago, the New York Legislature recognized the gravity of this form of child abuse. It outlawed the “promotion” of these materials in 1977 (*see* L 1977, ch 910, § 2; *see* Penal Law § 263.15) in an effort to “eradicate child pornography” in all its forms and “thereby combat the sexual exploitation of children” (*People v Keyes*, 75 NY2d 343, 346 [1990]). The promotion statutes were obviously aimed at the producers, distributors and sellers of these products, but the word “promote” was broadly defined and this Court determined that the term also included the “acquisition” of such material for personal consumption (*id.* at 348; Penal Law § 263.00 [5]). Even though personal computers and the Internet were not widely available to the public at that time, the Legislature presciently used broad language that we eventually determined covered digital computer images (*see People v Fraser*, 96 NY2d 318, 327-328 [2001]).

1. *See e.g.* U.S. Dept of Justice, The National Strategy for Child Exploitation Prevention and Interdiction: A Report to Congress, at 9 (2010), available at <http://www.justice.gov/psc/docs/natstrategyreport.pdf>.

However, the 1977 legislation did not criminalize the possession of child pornography, apparently because there was then a lingering question whether mere possession was afforded some protection by the First Amendment. That notion was quickly dispelled as it was firmly established that child pornography could be declared illegal without offending either the federal or state constitutions (*see e.g. New York v Ferber*, 458 US 747, 764 [1982]; *Osborne v Ohio*, 495 US 103, 111 [1990]; *People v Ferber*, 57 NY2d 256, 259 [1982]).

In the absence of constitutional impediments and in light of the expanding market for child pornography that continued to flourish despite the 1977 ban on promotion, the Legislature took further action in 1996 to criminalize the possession of child pornography (*see* L 1996, ch 11, § 1). The legislation was proposed to confront the reality that “society cannot hope to eradicate this evil unless the market for these perverse materials is destroyed” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 11, at 9, 1996 McKinney’s Session Laws of NY, at 1845). The targets of this legislation were the “consumers” of child pornography who fueled the expansion of the production of child pornography and, in many instances, made its creation highly profitable. Consistent with the expansive strategy effected for the promotion statutes in 1977, the Legislature criminalized the knowing “possession or control [of] any performance which includes sexual conduct by a child less than sixteen years of age” in Penal Law § 263.16.

II

Although it is not necessary for our Court to address these issues to resolve this case,² the majority has decided to consider

2. If legalization of the viewing of Internet child pornography was not unfortunate enough, there is an aspect of the majority’s decision that is somewhat ironic—it is not necessary for us to examine the issues raised in the majority opinion. Defendant was not charged with looking at the “School Backyard” images on the Internet. The theory of the prosecution was that he knowingly caused the images to be placed into the Internet cache (for count 1, charging promotion) and knowingly possessed them during a certain period of time that they were in the cache (for count 142, charging possession). The People introduced no proof at trial that defendant was aware of how caching worked, they conceded that it is an automatic process that most computer users are unfamiliar with, and the prosecutor told the judge that defendant did not, in fact, realize that the images were being saved in the cache. Based on those facts and the People’s limited theory of the case, there is insufficient evidence that defendant knowingly procured or possessed the “School Backyard”

(n. cont’d)

whether the statutory bans on acquiring and possessing embrace the viewing of images of child pornography that are accessed on the Internet. The majority answers this question in the negative without engaging in an examination of the statutory text or purpose. Instead, it declares that viewing child pornography on the Internet is permissible and that “some affirmative act is required (printing, saving, downloading, etc.) to show that [the] defendant in fact exercised dominion and control over the images that were on his screen” (majority op at 303).

The result of the majority’s analysis is that the purposeful viewing of child pornography on the Internet is now legal in New York. A person can view hundreds of these images, or watch hours of real-time videos of children subjected to sexual encounters, and as long as those images are not downloaded, printed or further distributed, such conduct is not proscribed. I am compelled to disagree because I believe that our Penal Law outlaws this purposeful activity.

III

I begin, as we must, with the text of the statute. Penal Law § 263.16 is directed at two distinct types of conduct: possession or control of child pornography.³ The word “possess” is restricted by language in another provision of the Penal Law to “tangible property” (Penal Law § 10.00 [8]). Since child pornography on the Internet is digital in format, it is intangible in nature and therefore cannot be “possessed” as that term is currently defined by the Penal Law. It goes without saying that in light of the majority’s decision, the Legislature needs to revisit this definition if its intention has been to extend the scope of proscribed conduct to the intentional Internet viewing of child pornography.

images so I agree that counts 1 and 142 require dismissal. However, if the People’s theory had been different, I may well have found that defendant’s accessing and viewing of pornographic images of children, along with the thousands of suggestive photos that he catalogued and saved, and the numerous times that his computer recorded his viewings, supported an inference that defendant knowingly obtained and possessed the “School Backyard” images. With regard to the other counts, I concur that those convictions should be affirmed for the reasons stated by the majority.

3. Penal Law § 263.15 forbids the promotion of child pornography. “Promot[ion]” is defined to cover a person who “procure[s]” such material (Penal Law § 263.00 [5]). We have held that this includes the act of acquiring child pornography for personal use (*see People v Keyes*, 75 NY2d at 348). To “acquire” means to “get as one’s own” or to “come into possession or control of” (*see Merriam-Webster’s Collegiate Dictionary* [11th ed 2012], *acquire*, available at <http://unabridged.merriam-webster.com/collegiate.htm>).

But the breadth of the term “control” is not so limited by statutory definition. Consequently, this term should be interpreted in the manner that it is commonly understood (*see e.g. People v Quinto*, 18 NY3d 409, 417 [2012]). The usual meaning of “control” is to have power over or the ability to manage (*see e.g. Webster’s Third New International Dictionary, Unabridged* [Merriam-Webster 2012], control, available at <http://unabridged.merriam-webster.com>; *Black’s Law Dictionary* 378 [9th ed 2009]). The question, then, is does a person exercise power—that is, control—over child pornography when that person knowingly accesses and views such material on the Internet? In my view, this question can be answered in the affirmative.

It is certainly possible to control something that is intangible—a fact that the majority concedes in accepting that Penal Law § 263.16 applies to the saving or downloading of child pornography onto a computer hard drive. When using the Internet, a person must first decide to search for Web sites that contain child pornography and, once they are located, to choose a particular item to observe. Once the desired image appears on the screen, the user must then engage in a variety of decisions that exemplify control over the displayed depiction: continue looking at the image or delete it; decide how long to view it; once the viewing is complete, to keep the image in its own tab or browser window, or simply move on to some other image or Web page; save the image to the hard drive or some other device; or print it in a tangible format. Through this process, the viewer exercises power over the image because he manages and controls what happens to it (*see Commonwealth v Diodoro*, 601 Pa 6, 18, 970 A2d 1100, 1107 [2009] [“intentionally seeking out child pornography and purposefully making it appear on the computer screen . . . constitutes knowing control”], *cert denied* 558 US —, 130 S Ct 200 [2009]).

A few relatively common examples of control over Web pages illustrate this point. When the Internet is used to conduct online banking, such as to transfer funds between accounts, the user exercises control over the Web site displayed on the screen by, for example, authorizing the transfer. The same is true about shopping on the Internet—a person enters ordering and payment information and then approves the transaction. Even when browsing news Web sites, the user controls the images that appear on the screen by deciding whether to keep reading an article, click a hyperlink, go to another site or exit the browser altogether.

Hence, the use of the term “control” in the statute can reasonably be interpreted to cover precisely what the majority says it does not—consciously acquiring and viewing child pornography on the Internet. If the majority’s concern in adopting the limited scope of “possession or control” is to prevent the prosecution of individuals who inadvertently or unintentionally access such images on their computers, then it is misplaced. I certainly share the concern—and there is no question that the Legislature did not intend that persons who view such material accidentally be prosecuted. The Legislature did not effectuate that intent through the “possession or control” requirement, nor is it necessary to adopt the majority’s unduly restricted interpretation of that element to ensure that such conduct is not criminalized.

Under Penal Law § 263.16, the People must establish that defendant knowingly possessed or controlled the images, “knowing the character and content thereof.” The People can prove this mens rea element through conduct such as that imported by the majority into the control element—through storage, printing, forwarding and the like. But this is not the only conduct that would support an inference that the possession or control was “knowing.” That images were intentionally accessed can be inferred in any number of ways, such as evidence establishing the number of items viewed on certain occasions, the frequency with which such images were viewed, whether other images have been saved and the length of time spent browsing for child pornography. This analysis regarding the consistency and quantity of viewings will shield the inadvertent viewer of child pornography from prosecution. The more times a person accesses and views pornographic images of children, the less likely it is that the behavior was innocent or inadvertent. And, of course, the number of persons who have access to a certain computer and the availability of passwords or other personal information are also relevant inquiries. By adopting a narrow interpretation of the possession or control requirement, the majority has effectively conflated the mens rea element with the control element, resulting in a holding that explicitly legalizes the acquisition and viewing of child pornography over the Internet *even when that activity is clearly intentional*. This result is directly at odds with the relevant statutory language.

IV

My suggested textual analysis of the “possession or control” requirement is consistent with the complementary purposes for

which the 1977 and 1996 legislation was enacted. When the promotion statutes were first created, the Legislature declared that the “public policy of the state demands the protection of children from exploitation through sexual performances” since the sale of child pornography was “abhorrent to the fabric of our society” (L 1977, ch 910, § 1). It is beyond dispute that exploitation occurs regardless of whether child pornography is in a tangible format or on line, and an image does not become any less exploitive because it is viewed on a computer. The presence of an image on the Internet arguably exacerbates the harm inflicted on the child victim given its global availability and ease of access. And with the high quality of digital photography, the identity of children subjected to this sexual abuse is more apparent and may be preserved for their entire lives.

This is why in 1996—after the advent of widespread Internet usage and the digital transformation of society—the Legislature sought to ban the purposeful possession of child pornography. “Permitting the possession of child pornography is, in fact, extending permission to the sexual exploitation of children; after all, some child was indeed exploited in the production of such materials” (Senate Introducer’s Mem in Support, Bill Jacket, L 1996, ch 11, at 7, 1996 McKinney’s Session Laws of NY, at 1982). Possession alone, without the conditions imposed by the majority, was seen as the scourge to be alleviated: “Someone who possesses child pornography does so at the expense of an exploited child, and society cannot hope to eradicate this evil unless the market for these perverse materials is destroyed” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 11, at 9, 1996 McKinney’s Session Laws of NY, at 1845).

It is important to note that a person need not purchase child pornography in order to violate the statutory ban. The protection of children was the impetus for the statutes and whether or not the viewer pays for an image does not lessen the emotional and physical damage experienced by the child. I concur with the broad consensus that a child is not just exploited when he or she is photographed or filmed while engaging in sexual activity (see e.g. *New York v Ferber*, 458 US at 759; *Osborne v Ohio*, 495 US at 111; Child Pornography Prevention Act of 1996, Pub L 104-208, § 121, 110 US Stat 3009-26). That child is violated each time the image is accessed and viewed simply because he or she never consented—and could not consent—to the dissemination of that image. Irreparable harm occurs even if no money changes hands.

I part company with the majority on this critical point. The market for child pornography enlarges with the knowing viewing of these images, regardless of whether a price has been paid by the viewer and regardless of whether the image is downloaded or printed, because the more frequent the images of children engaged in sexual conduct are accessed, the more the creators produce to satisfy the growing demand, which results in more children being coerced and groomed for the sex trade (*see e.g. United States v Norris*, 159 F3d 926, 930 [5th Cir 1998]; U.S. Dept of Justice, *The National Strategy for Child Exploitation Prevention and Interdiction: A Report to Congress*, at 3 [2010]). And, perhaps most tragically, some children abused in this fashion become abusers themselves later in life, creating a vicious cycle of violence against children that the Internet helps to perpetuate.⁴

Furthermore, there's no question that the purveyors of child pornography are experts at marketing their products. Electronic availability provides virtually instantaneous access to a wide array of child pornography in a relatively anonymous fashion—something that is presumably far easier, quicker and safer to the consumer than searching for a person or place that sells such material in a physical format. Images of children in sexually suggestive poses are made available at no cost on the Internet in hopes of whetting the appetite of viewers to move on to paid subscription Web sites that display more graphic portrayals of children having sex. From the viewpoint of these child victims, there is no such thing as a harmless viewing of their images. In addition, the expansion of the consumer pool eventually fuels the profit-making motive behind the distribution of child pornography and causes “an explosion in the market for child pornography, leading, in turn, to increased access, creation, and distribution of these abusive images” (U.S. Dept of Justice, *The National Strategy for Child Exploitation Prevention and Interdiction: A Report to Congress*, at 138 [2010] [emphasis omitted]).⁵ The majority's decision to allow the knowing

4. *See* Bentovim and Williams, *Children & Adolescents: Victims Who Become Perpetrators*, 4 *Advances in Psychiatric Treatment* 101, 102 (1998); Glasser et al., *Cycle of Child Sexual Abuse: Links Between Being a Victim & Becoming a Perpetrator*, 179 *Brit J Psychiatry* 482, 492-493 (2001).

5. As of 2010, both state and federal law enforcement officials “universally” reported “dramatic increases” in the number of pornographic images of children available on the Internet, the number of offenders and the number of child victims. They also observed “increase[s] in the sadistic and violent

(n. cont'd)

acquisition and viewing of child pornography will, unfortunately, lead to increased consumption of child pornography by luring new viewers who were previously dissuaded by the potential for criminal prosecution. I firmly believe that the Legislature recognized the pervasive nature of this criminal activity when it drafted the statutory text.

The facts of the case before us demonstrate why the Legislature believed that it was so important to criminalize this type of conduct. The “School Backyard” images were offered for free to viewers in order to entice Web visitors to pay to enter the site for access to additional child pornography. Although this case involves the defendant’s viewing of no-fee pornographic images of children on the Internet, the majority does not—and cannot—dispute that the Legislature did not make a distinction between the intentional viewing of child pornography on the Internet that is paid for or viewed at no cost. I believe that the Legislature had ample justification for criminalizing all purposeful acquisition and consumption of child pornography irrespective of whether or not it was purchased. I therefore would hold that knowingly accessing and viewing child pornography on the Internet constitutes criminal conduct under our Penal Law.

SMITH, J. (concurring). I join Judge Ciparick’s majority opinion, and add a few words to respond to Judge Graffeo’s thoughtful concurrence.

I agree that the exploitation of children by child pornographers is an appalling evil; on this, I have no doubt that the Court is unanimous. I also acknowledge that, as Judge Graffeo says, Penal Law §§ 263.15 and 263.16 are designed to target the consumers of child pornography, in the hope of eliminating the market for it. Indeed, under section 263.15 as we interpreted it in *People v Keyes* (75 NY2d 343 [1990]), the punishment for consumers is severe: One who merely obtains child pornography for his personal use is guilty of “promoting” it, a class D felony.

Judge Graffeo argues, in substance, that we can best effectuate the Legislature’s intention by reading the statutes expansively, to include as many “consumers” as the statutory language can reasonably be interpreted to permit. I do not agree.

conduct depicted in child pornography images and [reported] that they are encountering more young victims than before—particularly infants and toddlers” (U.S. Dept of Justice, *The National Strategy for Child Exploitation Prevention and Interdiction: A Report to Congress*, at 9 [2010]; see also *id.* at 11).

Under Judge Graffeo's reading, someone who does no more than click on a link for the purpose of looking at a pornographic picture for free—someone who has never interacted with a child victim, has never copied, downloaded or saved a pornographic picture of a child, and has never put a penny in the pocket of a child pornographer—is subject to up to seven years in prison for a first offense (*see* Penal Law § 70.00 [2] [d]). This is surely a stringent punishment for someone whom many would think more pathetic than evil. Nor can we safely assume that bringing as many consumers as possible within the reach of the law is the most effective way to lessen or eliminate the trade: A policy of draconian enforcement directed at the most minor and peripheral of users is perhaps no more likely to eliminate child pornography than a similar policy would be to eliminate illegal drugs.

These questions are for the Legislature to decide, of course. But we should not assume that the Legislature, where it has not plainly said so, intended to criminalize all use of child pornography to the maximum extent possible. I agree with Judge Graffeo that the statutes, as written, draw no line between consumers who pay for images and those who look at them for free (*see* concurring op of Graffeo, J., at 312); to me, however, this is a reason to be restrained, rather than aggressive, in deciding what acts have been made criminal.

Chief Judge LIPPMAN and Judges READ, SMITH and JONES concur with Judge CIPARICK; Judge GRAFFEO concurs in result in a separate opinion in which Judge PIGOTT concurs; Judge SMITH concurs in another opinion.

Order modified, etc.

[970 NE2d 422, 947 NYS2d 399]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MALIK YUSUF, Also Known as YUSUF M. ASHFORD, Appellant.

Argued May 3, 2012; decided May 31, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 3, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael R. Ambrecht, J., at initial suppression motion and first two renewal motions; Daniel P. Conviser, J., at third renewal motion, jury trial and sentence; *see* 22 Misc 3d 1127[A], 2009 NY Slip Op 50311[U] [2009]), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree, criminal possession of a controlled substance in the fourth degree and criminally using drug paraphernalia in the second degree, and sentenced him, as a second felony drug offender whose prior felony conviction was a violent felony, to an aggregate term of six years.

People v Yusuf, 82 AD3d 424, modified.

HEADNOTES

Crimes — Sentence — Second Felony Drug Offender — Out-of-State Conviction as Predicate Violent Felony

1. An out-of-state felony conviction may qualify as a prior violent felony conviction for purposes of enhanced sentencing under Penal Law § 70.70 (4), which authorizes an enhanced sentencing range for a “second felony drug offender” previously convicted of a violent felony. Although Penal Law § 70.70 (1) (c), in defining a “[v]iolent felony” for sentencing purposes, cross-references Penal Law § 70.02 (1), a provision that enumerates only New York crimes, Penal Law § 70.70 (1) (b), in defining a “second felony drug offender,” cross-references Penal Law § 70.06 (1), a provision that encompasses out-of-state felonies. Penal Law § 70.70 (4) also cross-references CPL 400.21, which mandates the use of out-of-state felony convictions when adjudicating a defendant a second felony drug offender previously convicted of a violent felony and specifically instructs the prosecutor or the sentencing court to determine whether a defendant has been convicted of a qualifying foreign crime (CPL 400.21 [2], [4], [7] [c]). Considering Penal Law § 70.70 (4) in light of Penal Law § 70.06 (1) and CPL 400.21 (2), (4) and (7) (c), the Legislature meant for prosecutors and sentencing courts to take foreign violent felony convictions into account when determining a defendant’s sentencing status, notwithstanding the ambiguity created by the reference in Penal Law § 70.70 (1) (c) to Penal Law § 70.02 (1). This interpretation of Penal Law § 70.70 (4) comports with the policy underlying the Drug Law Reform Act (L 2004, ch 738) and is

also consistent with the Legislature's general sentencing design for recidivist offenders.

Crimes — Sentence — Second Felony Drug Offender — Equivalence of Out-of-State Felony to New York Felony — Consideration of Underlying Accusatory Instrument

2. In adjudicating defendant a second felony drug offender previously convicted of a violent felony based on his prior out-of-state robbery conviction, the trial court, having ruled that the foreign robbery statute was broader on its face than any New York felony, impermissibly examined the indictment underlying the robbery conviction so as to ascertain whether defendant's intent, as a factual matter, satisfied New York's intent element for robbery (*see* CPL 400.21 [7] [c]; Penal Law § 70.70 [4]). In determining whether an out-of-state conviction qualifies as a predicate felony under New York's sentencing statutes, as a general rule, the court's inquiry is limited to a comparison of the crime's elements as they are respectively defined in the foreign and New York penal statutes. When a statute-to-statute comparison reveals differences in the elements such that it is possible to violate the foreign statute without engaging in conduct that is a felony in New York, as the trial court had ruled here, the foreign statute may not serve as a predicate. Although a trial court may go beyond the statute and scrutinize the accusatory instrument in the foreign jurisdiction where the statute renders criminal not one act but several acts which, if committed in New York, would in some cases be felonies and in others would constitute only misdemeanors, that exception was not applicable.

Crimes — Appeal — Court of Appeals — Appellate Division — Matters Reviewable

3. In defendant's appeal from his conviction of various drug-related crimes, in which he challenged his adjudication as a second felony drug offender based on a prior North Carolina robbery conviction, the Court of Appeals could not review Supreme Court's determination, which favored defendant, that the North Carolina robbery statute was broader than any New York felony. CPL 470.15 (1) bars the Appellate Division from affirming a judgment, sentence or order on a ground not decided adversely to the appellant by the trial court, and CPL 470.35 (1) grants the Court of Appeals no broader review powers in that regard.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 646; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 20, 25, 41, 42, 54.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:101, 203:102; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:111, 207:116, 207:170.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.4–26.6, 27.5.

McKINNEY'S, CPL 470.15 (1); 470.35 (1); Penal Law § 70.70 (1) (b), (c); (4).

NY JUR 2d, Criminal Law: Procedure §§ 2998, 2999, 3019, 3246, 3584, 3612, 3640.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Habitual Criminals and Subsequent Offenders.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant. I. The court improperly sentenced appellant as a second felony drug offender whose prior felony conviction was a violent felony offense because (a) the out-of-state North Carolina predicate was broader in scope than any New York State felony, and (b) the prior violent felony was an out-of-state conviction, and Penal Law § 70.02, incorporated by reference by Penal Law § 70.70 (1) (c), limits enhanced sentencing to only those defendants that have been previously convicted of a prior New York violent felony. (*People v Concepcion*, 17 NY3d 192; *People v Gonzalez*, 61 NY2d 586; *People v Muniz*, 74 NY2d 464; *People v LaFontaine*, 92 NY2d 470; *People v Smith*, 79 NY2d 309; *People v Fata*, 184 AD2d 206; *People v Quinn*, 186 AD2d 691; *Matter of Robert C.*, 67 AD3d 790; *Matter of Niazia F.*, 40 AD3d 292; *People v Holder*, 5 Misc 3d 1029[A], 2004 NY Slip Op 51614[U].) II. It was error to deny appellant's motion to suppress the physical evidence seized following the execution of a search warrant, without a hearing, because (a) appellant could not challenge the People's contention that the warrant justified his search and arrest since he was forbidden access to it, and (b) appellant timely moved to renew that motion upon receipt of the search warrant and as additional facts became available. (*People v Mendoza*, 82 NY2d 415; *People v Gruden*, 42 NY2d 214; *People v Burton*, 6 NY3d 584; *People v Bryant*, 8 NY3d 530; *People v Hightower*, 85 NY2d 988; *People v Mothersell*, 14 NY3d 358; *Ybarra v Illinois*, 444 US 85; *People v Dodt*, 61 NY2d 408; *People v Mabeus*, 47 AD3d 1073; *People v Clark*, 88 NY2d 552.)

Cyrus R. Vance, Jr., District Attorney, New York City (Nicole Coviello and Eleanor J. Ostrow of counsel), for respondent. I. The court properly adjudicated defendant a second felony drug offender previously convicted of a violent felony offense. (*People v Austin*, 161 AD2d 275; *Carney v Philipponne*, 1 NY3d 333;

Consedine v Portville Cent. School Dist., 12 NY3d 286; *Matter of Albano v Kirby*, 36 NY2d 526; *People v Morse*, 62 NY2d 205; *People v Kisina*, 14 NY3d 153; *Matter of Caraballo v Community School Bd. Dist. 3*, 49 NY2d 488; *People v Mills*, 11 NY3d 527; *United States v Ron Pair Enterprises, Inc.*, 489 US 235; *Riley v County of Broome*, 95 NY2d 455.) II. The court properly denied defendant's motion to suppress physical evidence without a hearing. Moreover, defendant's attempts to renew that motion were properly rejected. (*People v Mendoza*, 82 NY2d 415; *People v Gruden*, 42 NY2d 214; *People v Jones*, 95 NY2d 721; *People v France*, 12 NY3d 790; *People v Lopez*, 5 NY3d 753; *People v Hightower*, 85 NY2d 988; *People v Mattocks*, 12 NY3d 326; *People v Landy*, 59 NY2d 369; *People v Lawrence*, 64 NY2d 200; *People v Clark*, 88 NY2d 552.)

OPINION OF THE COURT

READ, J.

On January 10, 2008, the police executed a no-knock search warrant at an apartment where defendant Malik Yusuf resided, leading to his arrest and subsequent conviction after a jury trial of three drug crimes—a class B felony, a class C felony and a class A misdemeanor. Prior to sentencing, the People filed two statements of predicate felony conviction. The first, filed on December 17, 2008, the day after defendant's conviction, alleged that he had been convicted in the State of North Carolina of the offense of “Robbery with [a] Dangerous Weapon,” which made him a second felony drug offender whose prior felony conviction was a violent felony offense (*see* CPL 400.21; Penal Law § 70.70 [1] [c]; [4]). The second, filed on January 20, 2009, alleged that defendant had been convicted in the State of North Carolina of the crime of “Possession with Intent to Sell and Deliver a Controlled Substance,” making him a second felony drug offender (*see* CPL 400.21; Penal Law § 70.70 [1] [b]; [3]).

Defendant sought an order declaring that neither statement created a basis for Supreme Court to determine that he was subject to an enhanced sentence as a second felony drug offender. With respect to the first statement of predicate felony conviction, he argued that Penal Law § 70.70 (4) does not authorize an enhanced sentencing range for a felony drug offender whose alleged prior violent felony conviction occurred in a foreign jurisdiction—i.e., outside New York. After analysis of the relevant statutory provisions, considered as a whole and in light of the policy purposes to be served by the Drug Law Reform Act of 2004 (the DLRA), the judge held otherwise in a

decision dated February 26, 2009 (22 Misc 3d 1127[A], 2009 NY Slip Op 50311[U], *8 [2009]).

Supreme Court then ruled that the North Carolina robbery statute is broader on its face than any New York felony. As a result, it would be possible for someone to be convicted of the North Carolina crime without having engaged in conduct that would constitute a robbery in New York. The judge concluded, however, that defendant's North Carolina conviction for robbery with a dangerous weapon, "*as clarified by the Indictment, . . . [was] equivalent to Robbery in the First Degree as well as Robbery in the Second and Third Degrees under New York law*" (2009 NY Slip Op 50311[U], *10 [emphasis added]). Given this disposition, he did not address the second statement of predicate felony conviction filed by the People.

Consistent with this decision, Supreme Court on March 3, 2009 adjudicated defendant a second felony drug offender previously convicted of a violent felony (*see* CPL 400.21 [7] [c]; Penal Law § 70.70 [4]). The judge sentenced defendant on his class B felony conviction to a determinate prison term of six years, followed by 1½ years of postrelease supervision, to run concurrently with the sentences imposed on him for the two lesser drug crimes of which he was convicted (*see* Penal Law § 70.70 [4] [b] [i]). On defendant's appeal, the Appellate Division affirmed (82 AD3d 424 [1st Dept 2011]). A Judge of this Court subsequently granted defendant leave to appeal (17 NY3d 810 [2011]).

I.

[1] Penal Law § 70.70 (1) (b) defines a "[s]econd felony drug offender" as a person convicted of a non-class A felony who is a "second felony offender" as that term is defined in Penal Law § 70.06 (1). That provision, as relevant here, defines a "second felony offender" as someone who has previously been convicted of a felony in New York, or somewhere else if the foreign offense is equivalent to a felony in New York (*see* Penal Law § 70.06 [1] [b] [i] [stating that "(f)or the purpose of determining whether a prior conviction is a predicate felony conviction . . . (t)he conviction must have been in this state of a felony, or in any other jurisdiction of an offense for which a sentence to a term of imprisonment in excess of one year . . . was authorized and is authorized in this state irrespective of whether such sentence was imposed"]). Penal Law § 70.70 (1) (c) defines a "[v]iolent felony" for sentencing purposes as having "the same

meaning as that term is defined in” Penal Law § 70.02 (1), which lists New York felony offenses by class. Section 70.70 then sets out the enhanced sentencing range for those second felony drug offenders previously convicted of a non-violent felony (Penal Law § 70.70 [3]); and a harsher sentencing range for those second felony drug offenders previously convicted of a violent felony (Penal Law § 70.70 [4]).

Defendant argues that because Penal Law § 70.70 (1) (c) cross-references Penal Law § 70.02, a provision that enumerates *only* New York crimes, an out-of-state felony can never qualify as a violent felony for purposes of enhanced sentencing under Penal Law § 70.70 (4). We do not agree. As an initial matter, the statute’s “plain meaning” does not support defendant’s position, as he argues. Penal Law § 70.70 (4) applies to “a *second felony drug offender* whose prior felony conviction was a violent felony” (Penal Law § 70.70 [4] [b] [emphasis added]). As noted earlier, Penal Law § 70.70 (1) (b) cross-references Penal Law § 70.06 (1) when defining a “[s]econd felony drug offender,” and this provision, unlike section 70.02, encompasses out-of-state felonies.

Importantly, Penal Law § 70.70 (4) also cross-references CPL 400.21. And section 400.21 mandates the use of out-of-state felony convictions when adjudicating a defendant a second felony drug offender previously convicted of a violent felony. Specifically, section 400.21 in three separate places instructs the prosecutor or the sentencing court to determine whether a defendant has been convicted of a qualifying foreign crime (*see* CPL 400.21 [2] [requiring a statement of predicate felony conviction to specify “whether the predicate felony conviction was a violent felony as that term is defined in (Penal Law § 70.02 [1]), or in any other jurisdiction of an offense which includes all of the essential elements of any such felony for which a sentence to a term of imprisonment in excess of one year . . . was authorized and is authorized in this state regardless of whether such sentence was imposed”]; CPL 400.21 [4] [in a case where there is no further hearing after a preliminary examination, requiring the sentencing court to make a finding as to whether the defendant was previously convicted of a violent felony in New York or any other jurisdiction]; CPL 400.21 [7] [c] [in a case where there is a hearing, requiring the sentencing court to make a finding as to whether the defendant was subject to a predicate felony conviction, including a finding as to whether the predicate felony conviction was for a violent felony in New York or any other jurisdiction]).

When enacting the DLRA, the Legislature created Penal Law § 70.70 to mandate enhanced sentences for second felony drug offenders, and amended CPL 400.21 in the ways described above so as to supply procedures for sentencing defendants subject to this new Penal Law provision (*see* L 2004, ch 738, §§ 18, 36). Considering section 70.70 (4) in light of Penal Law § 70.06 (1) and CPL 400.21 (2), (4) and (7) (c), we conclude that the Legislature meant for prosecutors and sentencing courts to take foreign violent felony convictions into account when determining a defendant's sentencing status, notwithstanding the ambiguity created by the reference in section 70.70 (1) (c) to Penal Law § 70.02. This is, in our view, the more sensible and integrated reading of the interrelated statutory text.

Our interpretation also comports more closely with the policy underlying the DLRA than does defendant's approach. As Supreme Court pointed out, while the DLRA's "general purpose . . . was to reduce sentences for drug offenders, the Act also modestly increased minimum sentences for some drug offenders with prior violent felony convictions. In this regard, the Act clearly distinguish[ed] 'non-violent' drug offenders from offenders with a violent felony history" (2009 NY Slip Op 50311[U], *7). Yet, defendant's construction of Penal Law § 70.70 "would have the DLRA apply . . . increased sentences for drug offenders with prior non-violent [foreign] felony convictions . . . , but, incongruously," not to offenders with prior violent foreign felony convictions (*id.*). Defendant suggests that the Legislature may have excluded foreign violent felony convictions from the ambit of section 70.70 so as "to simplify the oftentimes complicated process of determining whether a foreign conviction qualifies as a New York violent felony." But figuring out whether a foreign conviction qualifies as a *non-violent* New York felony entails an arguably equally "complicated process" in many cases.

Finally, our view of section 70.70 (4) is consistent with the Legislature's general sentencing design for recidivist offenders; specifically, article 70 is replete with provisions directing the use of foreign convictions as predicate offenses for purposes of enhancing sentences (*see* Penal Law § 70.04 [1] [b] [i] [second violent felony offender]; § 70.06 [1] [b] [i] [second felony offender]; § 70.07 [3] [second child sexual assault felony offender]; § 70.08 [1] [b] [persistent violent felony offender]; § 70.10 [1] [b] [persistent felony offender]; § 70.70 [1] [b]; § 70.71 [1] [b] [second felony drug offender]; § 70.80 [1] [c] [predicate felony sex offender]). As Supreme Court observed, to construe Penal

Law § 70.70 in the manner advanced by defendant, “one would have to believe that among all of the Penal Law provisions where a particular class of foreign convictions ‘counts’ in raising an offender’s sentence,” the Legislature without explanation and for no apparent reason singled out second felony drug offenders with prior out-of-state violent felony convictions “for more lenient treatment” (2009 NY Slip Op 50311[U], *8).

II.

[2] An out-of-state felony conviction qualifies as a predicate felony under New York’s sentencing statutes only if it is for a crime “whose elements are equivalent to those of a New York felony” (*People v Gonzalez*, 61 NY2d 586, 589 [1984]). “As a general rule, [the court’s] inquiry is limited to a comparison of the crimes’ elements as they are respectively defined in the foreign and New York penal statutes” (*People v Muniz*, 74 NY2d 464, 467-468 [1989], citing *People v Olah*, 300 NY 96, 98 [1949]). When a statute-to-statute comparison reveals differences in the elements such that it is possible to violate the foreign statute without engaging in conduct that is a felony in New York, the foreign statute may not serve as a predicate (*see Muniz*, 74 NY2d at 469-470).

And this is not a case where,

“[a]s an exception to the *Olah* rule . . . a sentencing court [may] go beyond the statute and scrutinize the accusatory instrument in the foreign jurisdiction [because] the statute renders criminal not one act but several acts which, if committed in New York, would in some cases be felonies and in others would constitute only misdemeanors” (*Gonzalez*, 61 NY2d at 590).

Indeed, we have remarked that where there are differences in the intent elements of the New York and out-of-state crimes, the trial court may not consider the recitals in the accusatory instrument underlying the foreign conviction when resolving a defendant’s status as a predicate felon (*Muniz*, 74 NY2d at 469-470; *see also Somerville v Conway*, 281 F Supp 2d 515, 522 [ED NY 2003] [“Where the difference between the definition of the foreign crime and the New York crime turns on ‘a particular aggravating circumstance’ such as intent, recourse to the indictment is improper because the aggravating circumstance was not relevant to the defendant’s guilt or innocence of the foreign crime” (citing *Muniz*)]). Here, Supreme Court examined the

indictment underlying defendant's robbery conviction in North Carolina so as to ascertain whether his intent, as a factual matter, satisfied New York's intent element for robbery. This was impermissible.

[3] Next, CPL 470.15 (1) bars the Appellate Division "from affirming a judgment, sentence or order on a ground not decided *adversely* to the appellant by the trial court, and CPL 470.35 (1) grants us no broader review powers in this regard" (*People v Concepcion*, 17 NY3d 192, 195 [2011] [discussing *People v LaFontaine* (92 NY2d 470 [1998])]). As a result, we may not review Supreme Court's determination, which favored defendant, that the North Carolina robbery statute is broader than any New York felony. Finally, we have examined defendant's claims of error relating to Supreme Court's suppression rulings and consider them to be without merit.

Accordingly, the order of the Appellate Division should be modified by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[970 NE2d 856, 947 NYS2d 821]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LEO
LEONARD, Appellant.

Argued April 25, 2012; decided May 31, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 7, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Ulster County (Joseph C. Teresi, J.), which had convicted defendant, upon a jury verdict, of kidnapping in the second degree, criminal possession of a weapon in the third degree (two counts), endangering the welfare of a child and burglary in the second degree.

People v Leonard, 83 AD3d 1113, affirmed.

HEADNOTE

Crimes — Kidnapping — Kidnapping Own Child

In the prosecution of defendant for kidnapping in the second degree and related charges for using his six-week-old daughter, to whom he had custodial rights, as a hostage by holding a knife to the child and threatening to kill her if the police approached him, the evidence at trial was legally sufficient to support defendant's conviction for second-degree kidnapping (Penal Law § 135.20). Kidnapping by a custodial parent of his or her own child is not a legal impossibility. It is possible, though only in cases like the one here, where a defendant's conduct is so obviously and unjustifiably dangerous or harmful to the child as to be inconsistent with the idea of lawful custody. A person is guilty of kidnapping in the second degree when he or she "abducts" another person (Penal Law § 135.20). "Abduct" is defined, as applicable here, as restraining a person by using or threatening to use deadly force (Penal Law § 135.00 [2]), and "restrain," in turn, is defined as restricting a person's movements "intentionally and unlawfully" so as to interfere with the person's "liberty" "without consent" and "with knowledge that the restriction is unlawful" (Penal Law § 135.00 [1]). If the victim is a child less than 16 years old, "without consent" is defined, as applicable here, as without the consent of a parent who has "lawful control or custody" of the child (Penal Law § 135.00 [1]). Here, on the facts found by the jury with support in the record, defendant's restriction of his daughter's movements was unlawful; he could not consent to it, because at the time of the crime he did not have "lawful control or custody" of his daughter; and the unlawfulness was blatant enough to justify the inference that he knew he was acting unlawfully.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Abduction and Kidnapping §§ 22, 23, 28, 35,
48, 49, 53.

McKINNEY's, Penal Law § 135.00 (1), (2); § 135.20.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 732, 736, 742, 746, 747, 749, 771, 773, 778.

ANNOTATION REFERENCE

Kidnapping or related offense by taking or removing of child by or under authority of parent or one in loco parentis. 20 ALR4th 823.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: kidnap! /4 child /s custod! & consent

POINTS OF COUNSEL

Stuart M. Cohen, Rensselaer, for appellant. I. The People failed to prove a kidnapping. (*People v Petre*, 151 Misc 2d 543; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Offenhartz v Cohen*, 144 Misc 2d 130; *People v McDonald*, 147 Misc 2d 33; *People v Brown*, 264 AD2d 12.) II. The trial court's refusal to rule on defendant's pretrial request for inspection of the grand jury minutes constituted error per se; if not error per se, the error was not harmless. (*People v Wood*, 66 NY2d 374; *People v Jones*, 47 NY2d 409, 444 US 946; *People v Damiano*, 87 NY2d 477; *People v Lawrence*, 64 NY2d 200; *Matter of Veloz v Rothwax*, 65 NY2d 902; *People v Harris*, 82 NY2d 409.) III. The remarks of the prosecutor on summation, to which defense counsel objected, denied defendant a fair trial. (*People v Riback*, 13 NY3d 416; *People v Calabria*, 94 NY2d 519; *People v Ashwal*, 39 NY2d 105.)

D. Holley Carnright, District Attorney, Kingston (*Joan Gudesblatt Lamb* and *Shirley Huang* of counsel), for respondent. I. The evidence was legally sufficient to support defendant's conviction of kidnapping in the second degree. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Carncross*, 14 NY3d 319; *People v Hines*, 97 NY2d 56; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Offenhartz v Cohen*, 144 Misc 2d 130; *People v Kearns*, 56 AD3d 1047, 12 NY3d 784; *People v Gary*, 87 AD2d 655; *People v Franklin*, 79 AD2d 611, 52 NY2d 903; *Riley v County of Broome*, 95 NY2d 455.) II. County Court's failure to perform an inspection of the grand jury minutes prior to trial to determine whether the charges were supported by legally sufficient evidence was not per se reversible error, and such failure can be subject to harmless error analysis. (*People v*

Archie, 78 AD3d 1560, 16 NY3d 856; *People v Smith*, 13 AD3d 1121, 4 NY3d 803; *People v Sommerville*, 6 AD3d 1232, 3 NY3d 648; *People v Crimmins*, 36 NY2d 230; *People v Patterson*, 39 NY2d 288, 432 US 197; *People v Agramonte*, 87 NY2d 765; *People v Casey*, 95 NY2d 354; *People v Becoats*, 17 NY3d 643; *People v Wood*, 66 NY2d 374; *People v Kelly*, 5 NY3d 116.) III. The remarks of the prosecutor on summation, challenged by the defense, did not deprive defendant of his constitutional right to a fair trial, as the trial court not only sustained most of defendant's objections, but issued prompt curative instructions, sua sponte, which served to alleviate any potential prejudice, and defendant did not object to the instructions as given or request further corrective action. (*People v Medina*, 53 NY2d 951; *People v Heide*, 84 NY2d 943; *People v Davis*, 58 NY2d 1102; *People v Santiago*, 52 NY2d 865; *People v Williams*, 46 NY2d 1070; *People v Alvino*, 71 NY2d 233; *People v Lott*, 55 AD3d 1274, 11 NY3d 898; *People v Tinning*, 142 AD2d 402, 73 NY2d 1022; *People v Galloway*, 54 NY2d 396; *People v Ortiz*, 54 NY2d 288.)

OPINION OF THE COURT

SMITH, J.

This case raises the question of whether it is possible for a parent who has custodial rights to a child to be guilty of kidnapping that child. We hold that it is possible, and that it happened here, where defendant used his baby daughter as a hostage, threatening to kill her if the police approached him.

I

Defendant had a romantic relationship with a woman whom we will call Mary, which ended a few days after their daughter was born. Mary then moved with the baby from Brooklyn, where she and defendant had both been living, to Ulster County. There was no court order affecting the custody of the child, so defendant and Mary were equally entitled to custody.

When the baby was six weeks old, defendant paid an unexpected visit to Mary's new home. He and Mary had an argument, in the course of which he abused her verbally, threatened her with a knife, and cut her. He then calmed down and permitted Mary to leave for work, while the baby remained with him. Mary called her mother and a friend from her car, and the friend called the police.

Some time later, Mary's mother and stepfather came to Mary's home and found defendant outside the house, holding

the baby. Shortly after that, Mary, her employer and several police officers arrived on the scene. At the sight of the police, defendant took out a knife and gestured toward the baby with it; still holding the baby, he retreated into the house. There followed a lengthy discussion in a bedroom between defendant and the police officers, during which defendant held the knife near the child's chest and throat, and told the officers that if they came closer he would kill the child. He was finally persuaded to give the baby, unharmed, to the police.

Defendant was convicted of kidnapping in the second degree, as well as burglary, endangering the welfare of a child and two weapons offenses. The Appellate Division affirmed, holding among other things that the evidence of kidnapping was legally sufficient (83 AD3d 1113 [3d Dept 2011]). A Judge of this Court granted leave to appeal (17 NY3d 818 [2011]), and we now affirm.

II

Most people no doubt think they know what “kidnapping” means, but the term is a hard one to define. Penal Law § 135.20 says simply: “A person is guilty of kidnapping in the second degree when he abducts another person.” But the statutory definition of “abduct” is more complicated:

“ ‘Abduct’ means to restrain a person with intent to prevent his liberation by either (a) secreting or holding him in a place where he is not likely to be found, or (b) using or threatening to use deadly physical force.” (Penal Law § 135.00 [2].)

And the statutory definition of “restrain” is more complicated still:

“ ‘Restrain’ means to restrict a person’s movements intentionally and unlawfully in such manner as to interfere substantially with his liberty by moving him from one place to another, or by confining him either in the place where the restriction commences or in a place to which he has been moved, without consent and with knowledge that the restriction is unlawful. A person is so moved or confined ‘without consent’ when such is accomplished by (a) physical force, intimidation or deception, or (b) any means whatever, including acquiescence of the victim, if he is a child less than sixteen years old or an incompetent

person and the parent, guardian or other person or institution having lawful control or custody of him has not acquiesced in the movement or confinement.” (Penal Law § 135.00 [1].)

A final layer of complexity is added by Penal Law § 135.30, which says:

“In any prosecution for kidnapping, it is an affirmative defense that (a) the defendant was a relative of the person abducted, and (b) his sole purpose was to assume control of such person.”

We must interpret these statutes to decide whether defendant could be found, on the evidence in this case, to have kidnapped his child. We begin with some relatively easy issues. First, the jury had a basis for rejecting the affirmative defense: It could rationally find that defendant’s “sole purpose” was not to “assume control” of the child, but that at least part of his purpose was to prevent his own arrest. Secondly, it is undisputed that defendant threatened to use “deadly physical force” to prevent the police from taking his daughter from him; thus the last part of the definition of “abduct” is not a problem here.

The decisive question is whether defendant “restrain[ed]” the child, according to the statutory definition of that term. Certainly, he intentionally moved the child from one place to another (from the outside of the house to the inside), and also confined her to the place (the bedroom) to which she had been moved. Defendant argues that he did not “restrict” her “movements” or “interfere” with her “liberty” because a six-week-old child is not capable of going or remaining anywhere voluntarily. But this argument is untenable: it implies that no infant could ever be kidnapped. A restriction on movement, and an interference with “liberty,” should be deemed to exist whenever the lawful movement of a person, including the lawful movement of a child by adults, is hindered.

It remains to decide whether defendant restricted the child’s movements “unlawfully,” “without consent” and “with knowledge that the restriction [was] unlawful.” He argues that it was impossible for him, a custodial parent with as much right to control the child as Mary had, to act unlawfully or without consent, or to know that he was acting unlawfully, either by moving the child or by preventing her from being moved. As the custodial parent, he says, he could lawfully take the child anywhere he wanted, and the only consent he needed was his

own. Under the statute, he points out, “consent” exists when “the parent, guardian or other person . . . having lawful control or custody” has “acquiesced in the movement or confinement” (Penal Law § 135.00 [1] [b]).

Concededly, defendant had, in general, a right to control his child’s movements. Had he put the child in his car and driven her to his home in Brooklyn, his behavior would have been lawful. But we reject the idea that he could lawfully move or prevent the movement of the child in the way he did here, or that he could give “consent” to his own act in doing so; there comes a point where even a custodial parent’s control over a child’s movements is unlawful, and indeed obviously so.

We have found no New York decision that sheds much light on the issue before us, but courts in other states have faced similar problems. In *State v Viramontes* (163 Ariz 334, 788 P2d 67 [1990]), the Supreme Court of Arizona upheld a kidnapping conviction under a statute that contained a definition of “restrain” much like New York’s (see Ariz Rev Stat Ann § 13-1301 [2], quoted at 163 Ariz at 336, 788 P2d at 69). The defendant in that case had put his newborn child in a cardboard box, driven it to a restaurant and abandoned it in a parking lot. The court held that, though the defendant was the child’s custodial parent, he lacked legal authority to “consent” to his own act of abandonment, observing: “under no imaginable circumstances could the legislature have intended that defendant’s . . . taking the child to abandon it be legally authorized” (163 Ariz at 338, 788 P2d at 71).

In *Muniz v State* (764 So 2d 729 [Fla 2d DCA 2000]), a Florida District Court of Appeal confronted a set of facts almost exactly like ours: The defendant there, confronted by police officers demanding that he hand over his month-old child, reacted by picking up a razor and threatening the baby with it, thus holding the officers at bay for hours. The *Muniz* court reversed the defendant’s conviction for kidnapping, holding that someone who was a “parent” under Florida law could not be guilty of kidnapping his child when there was no court order depriving him of custody. In a later decision, however, the Florida Supreme Court overruled *Muniz* and held “that a parent is not exempt from criminal liability for kidnapping his or her own child” (*Davila v State*, 75 So 3d 192, 197 [2011]; see also *State v Siemer*, 454 NW2d 857 [Iowa 1990]).

Like the Supreme Courts of Arizona, Florida and Iowa, we conclude that a kidnapping by a custodial parent of his own

child is not a legal impossibility. It is possible, though only in cases, like this one, where a defendant's conduct is so obviously and unjustifiably dangerous or harmful to the child as to be inconsistent with the idea of lawful custody.

Our holding should not be too readily extended. Not every parent who disciplines a child inappropriately—not even every parent who commits child abuse—becomes a kidnapper when he or she causes the child to move from place to place, or to remain stationary. But when a man holds a knife to his child and threatens to murder her if anyone tries to take her from him, a line has been crossed. We hold that, on the facts found by the jury with support in the record, defendant's restriction of his daughter's movements was unlawful; that he could not consent to it, because at the time of the crime he did not have "lawful control or custody" of his daughter; and that the unlawfulness was blatant enough to justify the inference that he knew he was acting unlawfully. The evidence that he committed second-degree kidnapping was legally sufficient.

Defendant's remaining arguments lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). Because I disagree with the majority's holding that the instant defendant's conviction for kidnapping in the second degree was supported by legally sufficient evidence, I respectfully dissent. Here, the People failed to adduce such evidence to prove *all* the elements of kidnapping in the second degree. Moreover, in reaching their holding, the majority has taken defendant's threatened use of force, which amounts to endangering the welfare of a child, an offense for which defendant was prosecuted and convicted, and contrived a scenario whereby an individual whose actions constitute child endangerment may be punished for second-degree kidnapping, an offense which carries significantly greater punishment.

" 'Legally sufficient evidence' [is] competent evidence which, if accepted as true, would establish every element of an offense charged and the defendant's commission thereof" (CPL 70.10 [1]). A court's role in a legal sufficiency review is limited to determining whether, "after viewing the evidence in the light most favorable to the prosecution, any rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt" (*Jackson v Virginia*, 443 US 307, 319 [1979] [emphasis omitted]; see also *People v Contes*, 60 NY2d 620, 621

[1983]). As long as the evidence adduced at trial establishes “‘any valid line of reasoning and permissible inferences [that] could lead a rational person’ to convict, . . . the conviction survives sufficiency review” (*People v Santi*, 3 NY3d 234, 246 [2004], quoting *People v Williams*, 84 NY2d 925, 926 [1994]). “A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*People v Danielson*, 9 NY3d 342, 349 [2007]).

“A person is guilty of kidnapping in the second degree when he abducts another person” (Penal Law § 135.20). Under the Penal Law, the term “abduct” means “to restrain a person with intent to prevent his liberation by either (a) secreting or holding him in a place where he is not likely to be found, or (b) using or threatening to use deadly physical force” (Penal Law § 135.00 [2]). As set forth in Penal Law § 135.00 (1), the term “restrain” means

“to restrict a person’s movements intentionally and unlawfully in such manner as to interfere substantially with his liberty by moving him from one place to another, or by confining him either in the place where the restriction commences or in a place to which he has been moved, without consent and with knowledge that the restriction is unlawful. A person is so moved or confined ‘without consent’ when such is accomplished by (a) physical force, intimidation or deception, or (b) any means whatever, including acquiescence of the victim, if he is a child less than sixteen years old or an incompetent person and the parent, guardian or other person or institution having lawful control or custody of him has not acquiesced in the movement or confinement.”

Applying the legal sufficiency standard and the relevant kidnapping statutes, the People here failed to adduce legally sufficient evidence as to the “abduct” element (Penal Law §§ 135.20, 135.00 [2]). Specifically, the People failed to establish that (1) defendant’s restriction of his then six-week-old daughter’s movements or interference with her liberty was unlawful *and* that defendant knew such restriction or interference was unlawful, given that defendant and the child’s mother had, at the time of the incident, equal rights of custody over the child, and (2) defendant’s child, being under 16 years of age,

was moved or confined “without consent,” given that defendant’s status as the child’s parent necessarily precludes a finding that “the parent . . . having lawful control or custody of [the child] has not acquiesced in the movement or confinement.”

This incident arose out of a domestic dispute where defendant sought to exercise his parental right to visit his child and both parents had equal custody rights as to the child. Moreover, this dispute escalated from defendant merely holding his baby to the so-called “kidnapping” after he saw the police arrive at the scene. To be sure, defendant engaged in regrettable, criminal conduct for which he was separately prosecuted. The question is whether defendant, by his acts, committed (or sought to commit) the unlawful act of abducting his child. I submit the evidence here does not support such a conclusion. The evolution of the kidnapping statute supports my position.

At common law, kidnapping was a misdemeanor. However, by 1967, the year the Penal Law (including the kidnapping statute) was substantially revised, kidnapping was a capital offense in most American jurisdictions, including New York (*see* Temp St Commn on Rev of Penal Law and Crim Code, Staff [Commission Staff] Notes, reprinted in NY CLS, Book 23A, Penal Law art 135, at 203; *People v Petre*, 151 Misc 2d 543, 544 [Sup Ct, Queens County 1991], citing 1 Callaghan’s Criminal Law in New York § 20:01 [3d ed 1987]).

In 1965, the Commission Staff found the kidnapping statute then in effect (former Penal Law § 1250 [1909]), which treated all situations equally, imposed draconian penalties when applied to certain situations such as parental custody disputes (*see* Commission Staff Notes, *supra*; Note, *The Proposed Penal Law of New York*, 64 Columbia L Rev 1469, 1547 [1964]). As written by the Commission Staff:

“One of the seemingly incongruous features of the former crime of kidnapping was its application to the parent who, having lost legal custody of a child, took or enticed it from the other parent or person having legal custody (former [Penal Law § 1250 (A) (2)]). Despite the basically civil nature of these ‘custody battle’ cases, they constituted ‘kidnapping’; and the harshness of the situation was hardly eradicated by reduction of the penalty from life imprisonment to a sentence carrying a ten-year maximum term in the case of a ‘parent’ . . .

“The 1964 study bill excluded these cases from the kidnapping ambit and transferred most of them to a crime entitled ‘custodial interference,’ a class A misdemeanor in its basic or second degree form and a class E felony in its first degree form, which involved a substantial risk of impairment of the child’s health or safety. . . . The new article, makes sixteen years the key age and applies as follows to a ‘relative’ [including a parent] who takes, entices, restrains or abducts a ‘child’ without his parents’ or lawful guardians’ consent, solely for the purpose of assuming control over him:

“(1) Under no circumstances is such ‘relative’ guilty of ‘kidnapping’ in either degree (§ 135.30)” (Commission Staff Notes at 204).

Penal Law article 135—the revised kidnapping statute—consists of the primary crime of kidnapping, and two lesser offenses: unlawful imprisonment and custodial interference (*see* Penal Law § 135.00 *et seq.*). Based on the foregoing, the purpose of article 135, at least in part, was to remove child takings that result from parental custody disputes from the type of offenses punishable under the kidnapping statute.*

In spite of the purpose of the amended kidnapping statute, the majority held that “a kidnapping by a custodial parent of his own child is not a legal impossibility” (majority op at 328-329). In support of this holding, the majority relies on decisions of the Supreme Courts of Arizona (*State v Viramontes*, 163 Ariz 334, 788 P2d 67 [1990]), Florida (*Davila v State*, 75 So 3d 192, 196-197 [2011] [held the plain language of the Florida kidnapping statute, Florida Statutes § 787.01 (2000), which requires the State to prove that defendant performed an overt act that confines, abducts or imprisons another person against his or

* The accompanying commentary to Penal Law § 135.00 states:

“Examples of conduct which would support a second-degree [kidnapping conviction] . . . include child-stealing by a woman who wants a child for herself; abduction and confinement of a person for a short period in an isolated place in order to prevent that person from engaging in a marriage ceremony; and confinement of a watchman by violence for a few hours for the purpose of advancing a burglary” (Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 135.00, at 319).

This is not an exhaustive list. It merely illustrates the type of conduct that supports a conviction for kidnapping in the second degree.

her will with one of four specific intents enumerated under the statute, does not exempt a parent from criminal liability for kidnapping his child]) and Iowa (*State v Siemer*, 454 NW2d 857, 863 [1990] [“parents may not hide behind the guise of authority to escape punishment for conduct that is proscribed for all others by the kidnapping statute”]). However, the majority’s reliance on these cases is misplaced.

These foreign cases interpret statutes different from Penal Law §§ 135.20 and 135.00. The Penal Law, unlike the kidnapping statutes construed by the Florida and Iowa Supreme Courts, separately defines the restriction of movement and lack of consent elements of the term “restrain,” and only applies the unlawful use of force concept to the lack of consent element. In other words, our kidnapping statute provides that a parent’s use of unlawful force only vitiates the child’s consent, not that parent’s belief that he or she had a legal right to restrict the child’s movements.

Viramontes is distinguishable for another reason. In that case, the defendant fathered a child by his 13-year-old stepdaughter and to conceal the birth, he took the newborn from the mother, placed the child in a cardboard box, and abandoned the child in the parking lot of a McDonald’s restaurant (*see Viramontes*, 163 Ariz at 335, 788 P2d at 68). The Supreme Court of Arizona held that the defendant, the father of the child, can be convicted of kidnapping where the defendant’s intent in restraining the child is for an act enumerated in the kidnapping statute (163 Ariz at 336, 788 P2d at 69). Because that court determined that the defendant’s restraint of his child was prompted by his intent to abandon the child, which is an Arizona felony, the defendant’s actions were plainly within the unambiguous language of the Arizona kidnapping statute (*id.*). Contrary to *Viramontes*, the evidence in this case establishes that defendant’s actions as to his daughter were prompted by an intent to assume control over the child and exercise his parental right to visit her.

The majority, relying on the cited foreign cases, further concluded that “[i]t is possible, though only in cases, like this one, where a defendant’s conduct is so obviously and unjustifiably dangerous or harmful to the child as to be inconsistent with the idea of lawful custody” (majority op at 329). However, the holdings of the cited foreign cases, which are factually distinct from the case before us, were based on their own unique facts and kidnapping statutes; as such, they do not support the majority’s position that defendant’s conduct here was inconsistent with the concept of lawful custody.

Another troubling aspect of the majority's conclusion is that it condones punishing defendant for second-degree kidnapping when his actions amounted to endangering the welfare of a child (Penal Law § 260.10 [1] ["A person is guilty of endangering the welfare of a child when . . . (h)e or she knowingly acts in a manner likely to be injurious to the physical, mental or moral welfare of a child less than seventeen years old"]), a criminal offense for which he was convicted. Here, the majority has engaged in a tortured analysis of the relevant kidnapping statutes and determined that this defendant's commission of acts constituting child endangerment satisfied the "abduct" element of second-degree kidnapping. In my view, this sort of bootstrapping is unacceptable.

Based on the foregoing, I conclude that the evidence adduced at trial was legally insufficient to support defendant's conviction for second-degree kidnapping, and would modify the order of the Appellate Division by vacating defendant's kidnapping conviction and dismissing so much of the indictment as charged kidnapping in the second degree; and, as modified, affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO and READ concur with Judge SMITH; Judge JONES dissents in part and votes to modify in a separate opinion in which Judges CIPARICK and FIGOTT concur.

Order affirmed.

[970 NE2d 849, 947 NYS2d 814]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v QUIN-
TON DAIS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DON-
ALD STANLEY, Appellant.

Argued May 3, 2012; decided May 31, 2012

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 3, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Eduardo Padro, J.), which had resentenced defendant, as a second felony drug offender whose prior conviction was for a violent felony, to a term of six years' imprisonment, with three years' postrelease supervision.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 19, 2011. The Appellate Division affirmed a sentence of the Supreme Court, Queens County (Robert C. McGann, J.), which had imposed upon defendant, as a second felony offender with a prior violent felony conviction, a term of 10 years' imprisonment with three years' postrelease supervision and a concurrent term of 4¹/₂ years' imprisonment with two years' postrelease supervision.

People v Dais, 81 AD3d 432, affirmed.

People v Stanley, 83 AD3d 968, reversed.

HEADNOTES

Crimes — Sentence — Drug Law Reform Act — De Novo Review of Whether Prior Felony was Nonviolent or Violent

1. In a resentencing proceeding pursuant to the Drug Law Reform Act of 2009 (2009 DLRA), the People were properly permitted to file a new predicate felony statement pursuant to CPL 400.21 and conduct a new predicate felony hearing in order to prove that defendant, who had originally been sentenced as a second felony offender based on a prior nonviolent felony, also had a prior felony conviction for a violent felony. The People's utilization of defendant's prior nonviolent felony as a predicate at the original sentencing, at a time when it was irrelevant under the applicable sentencing scheme whether his prior felony conviction was for a nonviolent or violent felony, did not foreclose the People from filing a new predicate statement upon defendant's resentencing.

motion, or prohibit the resentencing court from conducting a recidivist hearing as to whether he had a prior violent felony conviction. Whether defendant had a prior violent felony conviction was something that had not been litigated at the original sentencing. Pursuant to the 2004 DLRA, the provisions of which govern resentencing motions brought under the 2009 DLRA (CPL 440.46 [3]), the resentencing court “may consider any facts or circumstances relevant to the imposition of a new sentence” which are submitted by the defendant or the People and may conduct a hearing, if necessary (L 2004, ch 738, § 23). Whether a defendant seeking resentencing has a prior violent felony is clearly relevant to a resentencing proceeding, and the People are not precluded from litigating that issue de novo upon a defendant’s motion for resentencing.

Crimes — Sentence — Drug Law Reform Act — De Novo Review of Whether Prior Felony was Nonviolent or Violent

2. In a resentencing proceeding pursuant to the Drug Law Reform Act of 2009 (2009 DLRA), defendant, who had originally been sentenced as a second felony offender based on a prior Florida conviction for robbery in the second degree, should have been permitted to challenge whether his Florida conviction would be considered the equivalent of a violent felony in New York. The issue of whether defendant had a prior nonviolent or violent felony first arose at defendant’s resentencing hearing, and was not relevant at the time of the original sentencing. Pursuant to the 2004 DLRA, the provisions of which govern resentencing motions brought under the 2009 DLRA (CPL 440.46 [3]), the resentencing court “may consider any facts or circumstances relevant to the imposition of a new sentence” which are submitted by the defendant or the People and may conduct a hearing, if necessary (L 2004, ch 738, § 23). Whether a defendant seeking resentencing has a prior violent felony is clearly relevant to a resentencing proceeding, and defendant here should have been allowed to argue that he was not a second felony offender convicted of a violent felony. Defendant was not, however, entitled to a complete vacatur of his prior predicate felony adjudication as a second felony offender. Defendant had an opportunity at the original sentencing proceeding to challenge whether the Florida robbery conviction was the equivalent of a New York felony for the purpose of designating him a second felony offender, but failed to do so.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law § 860; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 25, 38–42, 48.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:95, 203:99, 203:102, 203:108, 203:111, 203:215, 203:216.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.
McKINNEY’s, CPL 400.21, 440.46 (3).
NY JUR 2d, Criminal Law: Procedure §§ 3005, 3008, 3010, 3231–3236.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Abigail Everett* and *Robert S. Dean* of counsel), for appellant in the first above-entitled action. It was error to conduct a new predicate felony hearing at the Drug Law Reform Act (DLRA) proceeding because the 2009 DLRA authorizes the DLRA court only to “effect an alteration of the existing sentence” (*People v Acevedo*, 14 NY3d 828, 831 [2010]), by substituting a determinate term of imprisonment for the original indeterminate term and does not otherwise grant the court plenary authority to conduct new “pre-sentence proceedings,” as defined by CPL article 400 (CPL 440.46 [1]; 2009 Drug Law Reform Act, L 2009, ch 56, part AAA, § 9). (*People v Vaughan*, 62 AD3d 122; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *People v Behlog*, 74 NY2d 237; *People v Minaya*, 54 NY2d 360; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *People v Smith*, 79 NY2d 309; *People v Kuey*, 83 NY2d 278.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Caitlan J. Halligan*, *Alan Gadlin* and *Christopher P. Marinelli* of counsel), for respondent in the first above-entitled action. Upon defendant’s application to be resentenced under the 2009 Drug Law Reform Act, defendant was properly adjudicated a second felony drug offender who had committed a prior violent felony. (*People v Utsey*, 7 NY3d 398; *People v Scarbrough*, 66 NY2d 673; *People v Paulin*, 17 NY3d 238; *People v Santiago*, 17 NY3d 246; *People v Wrotten*, 14 NY3d 33; *People v Alcequier*, 43 AD3d 699; *People v Ramirez*, 49 AD3d 475; *People v Acevedo*, 14 NY3d 828; *People v Lingle*, 16 NY3d 621; *People v Sparber*, 10 NY3d 457.)

Appellate Advocates, New York City (*David P. Greenberg* and *Lynn W.L. Fahey* of counsel), for appellant in the second above-entitled action. Appellant was entitled to challenge the use of his prior convictions at his sentencing under the 2009 Drug Law Reform Act. (*People v Behlog*, 74 NY2d 237; *Townsend v*

Burke, 334 US 736; *People v Hansen*, 99 NY2d 339; *People v Paulin*, 17 NY3d 238; *People v Acevedo*, 14 NY3d 828; *People v Mills*, 11 NY3d 527; *People v Lingle*, 16 NY3d 621; *People v Sparber*, 10 NY3d 457; *People v Loughlin*, 66 NY2d 633; *People v Benston*, 19 AD3d 179.)

Richard A. Brown, District Attorney, Kew Gardens (Sharon Y. Brodt and John M. Castellano of counsel), for respondent in the second above-entitled action. Defendant was not entitled to challenge his prior adjudication as a second felony offender at his resentencing pursuant to the 2009 Drug Law Reform Act, as a resentencing under this Act is not a plenary proceeding. (*People v Loughlin*, 66 NY2d 633; *People v Acevedo*, 14 NY3d 828; *People v Vaughan*, 62 AD3d 122; *Matter of Murray v Goord*, 1 NY3d 29; *People v Sparber*, 10 NY3d 457; *People v Lingle*, 16 NY3d 621; *People v Romain*, 288 AD2d 242; *People v Wilkins*, 28 NY2d 213; *People v Montgomery*, 24 NY2d 130; *People v Samms*, 95 NY2d 52.)

OPINION OF THE COURT

PIGOTT, J.

Under the Drug Law Reform Act of 2009 (2009 DLRA), “[a]ny person in the custody of the department of corrections and community supervision convicted of a class B felony offense as defined in . . . [Penal Law article 220] which was committed prior to [January 13, 2005]” and “who is serving an indeterminate sentence with a maximum term of more than three years, may,” subject to certain exclusions, “apply to be resentenced to a determinate sentence in accordance with . . . [Penal Law §§ 60.04 and 70.70] in the court which imposed the sentence” (CPL 440.46 [1]). Penal Law § 70.70 distinguishes between the sentence that a resentencing court must impose on a second felony drug offender who has a prior *nonviolent* felony conviction, and one it must impose on a second felony drug offender who has a prior *violent* felony conviction (see Penal Law § 70.70 [3] [a]; [4] [a]). The range of determinate sentences available under the nonviolent category is more lenient than it is for the violent (see Penal Law § 70.70 [3] [b] [i] [minimum of two years and a maximum of 12 for a class B felony]; [4] [b] [i] [minimum of six years and a maximum of 15 for a class B felony]).

These appeals involve a similar issue, albeit in different contexts. At issue in *People v Dais* is whether the People may introduce a new predicate felony statement at the resentencing proceeding to demonstrate that the defendant must be adjudicated

a second felony drug offender whose prior conviction was for a violent felony (thereby requiring his resentencing under Penal Law § 70.70 [4] [b]), notwithstanding the fact that the defendant, at his original sentencing had been adjudicated a second felony offender based on a prior *nonviolent* felony. The issue presented in *People v Stanley* is the converse of the one in *Dais*; in *Stanley*, it is the defendant who claims that he should be permitted to challenge at his resentencing whether his prior felony conviction was for a nonviolent felony, thereby requiring that he be resentenced pursuant to Penal Law § 70.70 (3) (b). We conclude that a de novo review of whether the defendant's prior felony is nonviolent or violent is proper in a 2009 DLRA resentencing proceeding.

People v Dais

In June 2005, Quinton Dais was convicted of one count of criminal sale of a controlled substance in the third degree, a class B felony, arising from a buy and bust arrest in October 2004. Prior to sentencing, the People filed a predicate felony statement alleging that Dais had a 1994 felony conviction for criminal sale of a controlled substance in the third degree, a nonviolent felony. Dais admitted to that conviction and the court sentenced him as a second felony offender to an indeterminate term of 7 to 14 years' imprisonment. His conviction was affirmed on appeal (47 AD3d 421 [1st Dept 2008], *lv denied* 10 NY3d 809 [2008]).

In October 2009, Dais moved for resentencing under the 2009 DLRA, claiming that he was entitled to be resentenced as a second felony offender whose prior felony conviction was for a nonviolent felony (*see* Penal Law § 70.70 [3] [a]). The People countered that, assuming Dais was eligible for resentencing, he should be resentenced as a second felony drug offender who had been previously convicted of a *violent* felony (*see* Penal Law § 70.70 [4] [a] [emphasis supplied]), pointing to Dais's 1984 conviction for robbery in the second degree. Dais argued that the People were barred by the doctrines of collateral estoppel and law of the case from "litigating anew" defendant's predicate felony status.

Supreme Court permitted the People to file a predicate felony statement relative to the 1984 second degree robbery conviction. Dais was then arraigned on that statement and he neither disputed its contents nor challenged the constitutionality of the conviction. The court adjudicated Dais a second felony drug

offender with a prior violent felony conviction under section 70.70 (4) and resentenced him to a determinate term of six years' imprisonment with three years' postrelease supervision. The Appellate Division unanimously affirmed, holding that Dais's resentencing motion "placed the case in a procedural posture that made it material, for the first time, that he was not only a predicate felon, but a predicate violent felon as well" (81 AD3d 432, 433 [1st Dept 2011] [citations omitted]). A Judge of this Court granted Dais leave to appeal (17 NY3d 805 [2011]).

People v Stanley

On October 31, 2004, Donald Stanley was arrested and charged for, among other things, two counts of criminally using drug paraphernalia in the second degree, and criminal possession of a controlled substance in the third and fifth degrees. A jury convicted Stanley on those counts. At sentencing, the People filed predicate statements requesting that Stanley be sentenced as a second felony offender and persistent felony offender, relying on Stanley's November 1984 conviction for attempted criminal sale of a controlled substance in the third degree, and his July 1994 convictions for felony possession of cocaine and robbery in the second degree under Florida Statutes Annotated, title 46, §§ 893.13 and 812.13, respectively.

Stanley did not deny any of the allegations in those statements, nor did he challenge the constitutionality of his prior convictions. The court sentenced him as a second felony offender to an indeterminate term of 12½ to 25 years' imprisonment on the count of criminal possession of a controlled substance in the third degree (a class B felony), 3½ to 7 years' imprisonment on the count of criminal possession of a controlled substance in the fifth degree, and one year for each count of criminally using drug paraphernalia in the second degree, with all sentences running concurrently. Stanley appealed the underlying drug suppression ruling but did not challenge his second felony offender adjudication, and the Appellate Division affirmed the judgment of conviction (50 AD3d 1066 [2d Dept 2008], *lv denied* 10 NY3d 964 [2008]).

In October 2009, Stanley moved for resentencing under the 2009 DLRA, asserting that he should not be resentenced as a predicate felon because the Florida statute under which he had been adjudicated a second felony offender, i.e., robbery in the second degree, was not equivalent to a New York felony or

violent felony.¹ The appropriate resentence, according to Stanley, should be between one to nine years' imprisonment and one to two years' postrelease supervision pursuant to Penal Law § 70.45 (2) (b) and § 70.70 (2). As relevant here, the People opposed resentencing on the ground that Stanley forfeited his right to challenge his adjudication as a predicate felon at his 2006 sentencing by failing to challenge his Florida robbery conviction at that time.

Supreme Court found Stanley eligible for resentencing under the 2009 DLRA, but resentenced him as a second felony drug offender with a prior felony conviction for a violent felony, noting that Stanley's admission to having committed the Florida offenses at the original sentencing was binding. He was resentenced to a determinate term of 10 years' imprisonment with three years' postrelease supervision on the count of criminal possession of a controlled substance in the third degree, and a determinate sentence of 4½ years' imprisonment with two years' postrelease supervision on the count of criminal possession of a controlled substance in the fifth degree, the sentences to run concurrently.

The Appellate Division affirmed, holding that Stanley "was not entitled to a de novo determination of his predicate felony status at the resentencing proceeding, since his predicate felony status was already determined at the original sentencing, and was not challenged at the original sentencing or on direct appeal," and that he "was properly resentenced as a second felony offender with a prior violent felony conviction" (83 AD3d 968, 969 [2d Dept 2011]). A Judge of this Court granted Stanley leave to appeal (17 NY3d 822 [2011]).

Analysis

[1, 2] We first address the common issue presented in both appeals, namely whether the People (as in *Dais*) or the defendant (as in *Stanley*) may litigate de novo, for purposes of resentencing under the 2009 DLRA, whether the defendant has a prior conviction for a nonviolent or violent felony. The defendant in *Dais* claims that the People should not have been allowed to file a new predicate felony statement pursuant to CPL 400.21 and conduct a new predicate felony hearing in order to prove

1. Stanley also claimed that his counsel at the original sentencing was ineffective for failing to contest the People's contention that Stanley was a predicate felon, because neither of the Florida felonies would constitute a New York felony.

that Dais had a prior felony conviction for a violent felony because the People relied on a nonviolent felony as the predicate conviction at the original sentencing. The defendant in *Stanley* claims that, at a minimum, he should be permitted to challenge at his resentencing hearing that his prior Florida conviction for robbery in the second degree was not a violent felony. We conclude, in each case, that the issue of whether the defendant had a prior violent felony (or nonviolent felony in the case of *Stanley*) may be litigated at resentencing.

The 2009 DLRA directs that any person eligible for resentencing must be resentenced in accordance with Penal Law §§ 60.04 and 70.70 (*see* CPL 440.46 [1]). Dais and Stanley were each convicted of class B felonies, thereby permitting their resentencing according to the relevant provisions of Penal Law § 70.70 (*see* Penal Law § 60.04 [3]). For purposes of resentencing under that provision, however, there is a distinction between a “second felony drug offender whose prior felony conviction *was not* a violent felony,” and a “second felony drug offender whose prior felony conviction *was* a violent felony” (Penal Law § 70.70 [3] [a]; [4] [a] [emphasis supplied]).² With certain exceptions not applicable here, when the court finds, pursuant to CPL 400.21, that a defendant is either a second felony drug offender whose prior conviction was not a violent felony or one whose prior conviction was a violent felony, it must sentence the defendant in accordance with the relevant provision (*see* Penal Law § 70.70 [3] [b]; [4] [b]).

The Drug Law Reform Act of 2004 (2004 DLRA) amended CPL 400.21 by delineating the procedure courts should follow in determining whether a defendant is a second felony drug offender pursuant to Penal Law § 70.70 (1) (b) (*see* L 2004, ch 738, § 18; CPL 440.46 [3] [making the 2004 DLRA procedures applicable to 2009 DLRA resentencing proceedings]). CPL 400.21 (2), as amended by the 2004 DLRA, provides that

“[w]hen information available to the court or to the people prior to sentencing for a felony indicates that the defendant may have been previously subjected to a predicate felony conviction, a statement *must be filed by the prosecutor* before sentence is imposed

2. Penal Law § 70.70 (1) (b) defines a “second felony drug offender” as “a second felony offender as that term is defined in . . . [Penal Law § 70.06 (1)] . . . who stands convicted of any felony” set forth in Penal Law articles 220 and 221 “other than a class A felony.”

setting forth the date and place of each alleged predicate felony conviction and *whether the predicate felony conviction was a violent felony as that term is defined in . . . [Penal Law § 70.02 (1)]*, or in any other jurisdiction of an offense which includes all the essential elements of any such felony for which a sentence to a term of imprisonment in excess of one year or death was authorized in this state regardless of whether such sentence was imposed” (emphasis supplied).

The People “must” provide the defendant with the predicate statement and the court “must” inquire whether the defendant wishes to refute anything in the statement. If the defendant does, he must “specify” those allegations he wishes to refute, and any “[u]ncontroverted allegations in the statement shall be deemed to have been admitted by the defendant” (CPL 400.21 [3]).

The court need not hold a hearing if “the uncontroverted allegations in the statement are sufficient to support a finding that the defendant has been subjected to a predicate felony conviction” (CPL 400.21 [4]). In such a case, the court “must enter” a finding that the defendant’s “predicate felony conviction was of a violent felony as that term is defined in . . . [Penal Law § 70.02]” or, if considering a prior offense from another jurisdiction, whether it “includes all of the essential elements of any such felony for which a sentence to a term of imprisonment in excess of one year or death was authorized.” Upon the entry of a finding under either category, the resentencing court must sentence the defendant in accordance with the provisions of Penal Law §§ 70.06, 70.70 or 70.71 (CPL 400.21 [4]). Where the court enters a finding pursuant to CPL 400.21, “such finding shall be binding upon that defendant in any future proceeding in which the issue may arise” (CPL 400.21 [8]).

[1] Dais asserts that the resentencing court should have sentenced him in accordance with Penal Law §§ 60.04 and 70.70 without considering his 1984 second-degree robbery conviction because the 2009 DLRA does not grant the resentencing court the authority to “revisit” prior recidivist determinations. Essentially, Dais is claiming that the People were prohibited from filing a new predicate statement establishing that, as a second felony drug offender seeking resentencing under the 2009 DLRA, he was “previously convicted of a violent felony” (Penal Law § 70.70 [4]) because he had not been previously adjudicated

a “second felony drug offender previously convicted of a violent felony” under CPL 400.21. Thus, according to Dais, when the People utilized his prior nonviolent felony as a predicate at the original sentencing, the die had been cast, so to speak, and he should be resentenced pursuant to Penal Law § 70.70 (3) (b). We disagree.

Dais’s contention ignores the interplay between Penal Law §§ 60.04 and 70.70, on the one hand, and CPL 400.21 on the other. As relevant here, section 60.04 (3) directs that persons convicted of class B felonies “must be sentenced” in accordance with section 70.70, a statute enacted as part of the 2004 DLRA. Section 70.70 directs that, subject to certain exceptions not applicable here, if the court finds pursuant to CPL 400.21 that a defendant is a second felony drug offender with “a prior felony conviction [that] was not a violent felony” or “a prior felony conviction [that] was a violent felony,” it “shall impose a determinate sentence of imprisonment” (Penal Law § 70.70 [3] [b]; [4] [b]). The People are not only permitted to file a new predicate felony statement upon a defendant’s motion for resentencing, they are required to do so “[w]hen information available to the court or to the people prior to sentencing for a felony indicates that the defendant may have previously been subjected to a predicate felony conviction” and such “predicate felony conviction was a violent felony” (CPL 400.21 [2]).

It was not until the enactment of the 2004 DLRA that the Legislature imposed a distinction between second felony drug offenders whose prior felony was nonviolent and those whose prior felony conviction was for a violent felony. It was the Legislature’s intention to afford leniency to nonviolent drug offenders (*see* Sponsor’s Mem, Bill Jacket, L 2004, ch 738, at 3-4 [noting that sentences for nonviolent first offenders and offenders with prior nonviolent felony convictions would decline, while sentences for drug offenders with prior violent felony convictions could increase under the 2004 DLRA]). But at the time of Dais’s original sentencing, it was irrelevant under the applicable sentencing scheme whether Dais had a prior violent felony conviction,³ meaning that the People certainly had no incentive to utilize the 1984 robbery conviction instead of his 1994 conviction for the nonviolent felony of criminal sale of a controlled

3. Although defendant was convicted and sentenced in 2005, the Drug Law Reform Act of 2004 was not applicable to him because he committed his offense in October 2004 (*see People v Utsey*, 7 NY3d 398 [2006]).

substance in the third degree. In other words, whether Dais had a prior *violent* felony conviction was something that had not been litigated at the original sentencing, and the People were not foreclosed from filing a new predicate statement upon Dais's resentencing motion, nor was the resentencing court prohibited from conducting a recidivist hearing as to whether he had a prior violent felony conviction.

This, of course, does not mean that a defendant may not challenge at resentencing the People's predicate statement alleging that the defendant had "a prior felony conviction [that] was a *violent* felony" (Penal Law § 70.70 [4] [a] [emphasis supplied]). Pursuant to the 2004 DLRA, the provisions of which "govern the proceedings on and determination of" a resentencing motion brought under the 2009 DLRA (CPL 440.46 [3]), the resentencing court "may consider any facts or circumstances relevant to the imposition of a new sentence which are submitted by [the applicant] or the people," and "shall offer an opportunity for a hearing . . . [and] may also conduct a hearing, if necessary, to determine whether [the applicant] qualifies to be resentenced or to determine any controverted issue of fact relevant to the issue of sentencing" (L 2004, ch 738, § 23). Whether a defendant seeking resentencing has a prior violent felony is clearly relevant to a resentencing proceeding, and the People are not precluded from litigating that issue *de novo* upon a defendant's motion for resentencing.

[2] For a similar reason, we conclude that the defendant in *Stanley* is entitled to challenge whether his out-of-state convictions utilized by the People as part of their predicate felony statements would be considered the equivalent of "violent" felonies in New York. We agree with Stanley that he should be allowed to argue that he was not a second felony drug offender previously convicted of a *violent* felony, and because he was not afforded an opportunity to challenge that designation, this matter should be remitted to Supreme Court so Stanley can make that argument. This comports with the ameliorative purpose of the 2009 DLRA, which is to ensure that second felony drug offenders with prior nonviolent felonies receive potentially more lenient sentences than those who have a history of violent felonies.

We do, however, reject Stanley's contention that he is entitled to a complete vacatur of his prior predicate felony adjudication as a second felony offender. At the original sentencing proceeding, Stanley was adjudicated a second felony offender which,

according to CPL 400.21 (8), was a finding that was “binding upon . . . [him] in any future proceeding in which the issue may arise.” Unlike the issue of whether Stanley had a prior nonviolent or violent felony—which first arose at Stanley’s resentencing hearing and Stanley never had the chance to contest—Stanley had the opportunity to challenge whether the 1984 Florida robbery conviction was the equivalent of a New York felony for the purpose of designating him a second felony offender. Stanley was required to controvert the People’s predicate statement to that effect at the original proceeding pursuant to CPL 400.21 (3) and (7) (b), but failed to do so. Nor is there any language in the 2009 DLRA permitting a defendant seeking resentencing to relitigate his predicate status. While a resentencing court may impose a more lenient sentence in accordance with the dictates of CPL 440.46 and Penal Law § 70.70, it may not revisit defendant’s prior adjudication as a predicate felon. We make no comment on Stanley’s remaining arguments premised on CPL 440.10 and 440.20.

Accordingly, the order of the Appellate Division in *People v Dais* should be affirmed, and the order of the Appellate Division in *People v Stanley* should be reversed and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

In *People v Dais*: Order affirmed.

In *People v Stanley*: Order reversed, etc.

[971 NE2d 338, 948 NYS2d 208]

THOMAS E. DOMBROWSKI, Respondent, v RAYMOND W. BULSON,
Appellant.

Argued April 25, 2012; decided May 31, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered December 30, 2010. The Appellate Division modified, on the law, an order of the Supreme Court, Allegany County (John A. Michalek, J.), which had granted defendant's motion for summary judgment, dismissed the complaint, and denied plaintiff's cross motion for summary judgment. The modification consisted of denying defendant's motion in part and reinstating the complaint only insofar as it sought damages for nonpecuniary loss. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court entered December 30, 2010, properly made?"

Dombrowski v Bulson, 79 AD3d 1587, reversed.

HEADNOTE

Attorney and Client — Malpractice — Nonpecuniary Damages Barred

Plaintiff, who was convicted in a criminal action and subsequently successfully petitioned federal court for a writ of habeas corpus where the magistrate found errors by defendant defense counsel in the criminal trial, could not recover nonpecuniary damages resulting from the loss of liberty attendant to his period of incarceration in a legal malpractice action against defendant. Notwithstanding that the type of egregious harm most likely to be suffered by a defendant who is the victim of malpractice in a criminal action is nonpecuniary in nature, there is no compelling reason to depart from the established rule in the civil context limiting recovery in legal malpractice actions to pecuniary damages. Allowing nonpecuniary damages in legal malpractice actions arising in the criminal context would have, at best, negative and, at worst, devastating consequences for the criminal justice system. Most significantly, such a ruling could have a chilling effect on the willingness of the already strapped defense bar to represent indigent accused. Further, it would put attorneys in the position of having an incentive not to participate in post-conviction efforts to overturn wrongful convictions. Actions for malpractice in a criminal action are not analogous to actions for false arrest and malicious prosecution, in which damages for the loss of liberty may be recovered. It makes sense that the scope of recovery for deliberate torts such as false arrest and malicious prosecution is broader than for torts based on the failure to exercise skill or care such as legal malpractice. Tort liability is predicated on the nature of the act of the tortfeasor, not simply the injury of the victim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 201, 226.
CARMODY-WAIT 2d, Officers of Court § 3:458.
NY JUR 2d, Malpractice § 78.

ANNOTATION REFERENCE

Measure and elements of damages recoverable for attorney's negligence in preparing or conducting litigation—twentieth century cases. 90 ALR4th 1033.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: legal /2 malpractice /s non-pecuniary /2 damage

POINTS OF COUNSEL

Damon Morey LLP, Buffalo (*Vincent G. Saccomando* of counsel), for appellant. The rule precluding nonpecuniary damages in both civil and criminal attorney malpractice actions is based on sound public policy and should not be disturbed. (*Dirito v Stanley*, 203 AD2d 903; *Risman v Leader*, 256 AD2d 1245; *Wolkstein v Morgenstern*, 275 AD2d 635; *Galu v Attias*, 923 F Supp 590; *Walker v Stroh*, 192 AD2d 775; *Taylor v Paskoff & Tamber, LLP*, 29 Misc 3d 1125; *Sanders v Rosen*, 159 Misc 2d 563; *Wilson v City of New York*, 294 AD2d 290; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582; *Yuko Ito v Suzuki*, 57 AD3d 205.)

Cantor, Lukasik, Dolce & Panepinto, P.C., Buffalo (*Marc C. Panepinto* and *Jeremy C. Toth* of counsel), for respondent. I. Nonpecuniary damages should be allowed in a legal malpractice case for loss of freedom resulting from negligence in a criminal defense. (*Wilson v City of New York*, 294 AD2d 290; *Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438; *Campagnola v Mulholland, Minion & Roe*, 76 NY2d 38; *VDR Realty Corp. v Mintz*, 167 AD2d 986; *Panasia Estates, Inc. v Hudson Ins. Co.*, 10 NY3d 200; *Kenford Co. v County of Erie*, 73 NY2d 312; *Atkins Nutritionals v Ernst & Young*, 301 AD2d 547; *Rose Lee Mfg. v Chemical Bank*, 186 AD2d 548; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187; *Ashland Mgt. v Janien*, 82 NY2d 395.) II. The lower court erred in denying plaintiff's claims for lost wages. (*Young v Tops Mkts.*, 283 AD2d 923; *Manfredi v Preston*, 246 AD2d 580.) III. In light of the

federal district court's decision granting plaintiff a writ of habeas corpus based on ineffective assistance of counsel, defendant should be estopped from relitigating the issues of plaintiff's colorable claim of innocence and proximate cause. (*Carmel v Lunney*, 70 NY2d 169; *Britt v Legal Aid Socy.*, 95 NY2d 443; *Daly v Peace*, 54 AD3d 801; *Casement v O'Neill*, 28 AD3d 508; *Boomer v Gross*, 34 AD3d 1096; *Rosado v Legal Aid Socy.*, 12 AD3d 356; *Biegen v Paul K. Rooney, P.C.*, 269 AD2d 264; *Scanio v Palmiere & Pellegrino*, 251 AD2d 1018; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Zayatz v Collins*, 48 AD3d 1287.)

Cohen & Fitch LLP, New York City (*Joshua P. Fitch* of counsel), for Ganpat Ramcharran, amicus curiae. An individual should be allowed to recover damages for loss of liberty in an action for legal malpractice. (*Kerman v City of New York*, 374 F3d 93; *Gardner v Federated Dept. Stores, Inc.*, 907 F2d 1348; *Wilson v City of New York*, 294 AD2d 290; *Wolkstein v Morgens-tern*, 275 AD2d 635; *Smith v Lightning Bolt Prods., Inc.*, 861 F2d 363; *Green v Leibowitz*, 118 AD2d 756; *Dirito v Stanley*, 203 AD2d 903; *Jensen v Whitford Co.*, 167 AD2d 826; *Lancel-lotti v Howard*, 155 AD2d 588; *Fowler v Town of Ticonderoga*, 131 AD2d 919.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether plaintiff, suing his former criminal defense attorney in legal malpractice, can recover nonpecuniary damages. We find that such damages are not available in an action for attorney malpractice.

Plaintiff Dombrowski was convicted in September 2000, after a jury trial, of attempted rape in the first degree, sexual abuse in the first degree and endangering the welfare of a child. Plaintiff moved pursuant to CPL 440.10 to vacate his conviction, arguing that he had received ineffective assistance of counsel. County Court denied the motion without a hearing, finding that defendant Bulson—plaintiff's trial attorney—had provided meaningful representation.

Dombrowski then sought a writ of habeas corpus in the United States District Court for the Western District of New York. Plaintiff urged several errors in particular—that defendant attorney failed to investigate or present evidence concerning an allegedly meritorious defense, failed to interview certain potential witnesses and failed to cross-examine the victim regarding discrepancies in her testimony. An evidentiary hearing

was held, at which Bulson explained the reasoning behind his professional decisions regarding the conduct of the trial. The magistrate found that errors by defense counsel made it difficult for the jury to make a reliable assessment of the “critical issue” of the victim’s credibility (*see Dombrowski v Giambruno*, 2006 WL 3717369, *19, 2006 US Dist LEXIS 90325, *53 [WD NY 2006]). The petition was conditionally granted unless the People commenced further criminal proceedings against Dombrowski within 60 days. Dombrowski, however, was not prosecuted and the indictment was dismissed.

Plaintiff then commenced this action, alleging that he had been damaged as a result of defendant’s attorney malpractice. In relevant part, the complaint alleged that he had been incarcerated from January 17, 2001 until July 19, 2006. He then served a period of postrelease supervision, which was terminated only after his habeas corpus petition was granted.

Supreme Court granted defendant’s motion for summary judgment and dismissed the complaint, finding that plaintiff’s receipt of Social Security disability benefits while incarcerated precluded his claim of pecuniary damages and that damages for nonpecuniary loss were not available in an action for attorney malpractice. The Appellate Division modified and reinstated the portion of the complaint seeking nonpecuniary damages (79 AD3d 1587 [4th Dept 2010]). The Court recognized that nonpecuniary damages were not available for legal malpractice claims where the underlying action was a civil matter, but found that an individual who had been wrongfully convicted as a result of attorney malpractice in a criminal matter could recover compensatory damages for loss of liberty and any other losses that were the direct result of his or her imprisonment (*see* 79 AD3d at 1589-1590). The Court then granted defendant leave to appeal, certifying the following question for our review: “Was the order of this Court entered December 30, 2010, properly made?” We reverse and answer the certified question in the negative.

In order to recover damages in a legal malpractice action, a plaintiff must establish “that the attorney ‘failed to exercise the ordinary reasonable skill and knowledge commonly possessed by a member of the legal profession’ and that the attorney’s breach of this duty proximately caused plaintiff to sustain actual and ascertainable damages” (*Rudolf v Shayne, Dachs, Stanisci, Corker & Sauer*, 8 NY3d 438, 442 [2007], quoting *McCoy v Feinman*, 99 NY2d 295, 301 [2002]). For malpractice actions arising

from allegations of negligent representation in a criminal matter, the plaintiff must have at least a colorable claim of actual innocence—that the conviction would not have resulted absent the attorney’s negligent representation (*see Britt v Legal Aid Socy.*, 95 NY2d 443, 446-447 [2000]). While the criminal charges at issue remain pending, a plaintiff is precluded, for purposes of a civil action, from asserting innocence (*see id.* at 448).

New York courts that have been confronted with the issue have generally rejected the claim that a plaintiff in a legal malpractice action is entitled to nonpecuniary damages arising out of representation in civil proceedings (*see e.g. Dirito v Stanley*, 203 AD2d 903, 904 [4th Dept 1994] [affirming dismissal of damages claim for emotional pain and suffering]; *Wolkstein v Morgenstern*, 275 AD2d 635, 637 [1st Dept 2000] [“A cause of action for legal malpractice does not afford recovery for any item of damages other than pecuniary loss so there can be no recovery for emotional or psychological injury”]).

Plaintiff argues that a different result should obtain here based upon the type of egregious harm most likely to be suffered by a defendant who is the victim of malpractice in a criminal action—the loss of liberty attendant to a period of incarceration—harm that is nonpecuniary in nature. Addressing this type of situation, the First Department acknowledged the argument that limiting recovery to pecuniary damages in cases of malpractice arising from criminal matters would likely deny the claimant any meaningful relief, but found that such limitation was a policy decision that applied equally whether the actions arose in the civil or criminal context (*see Wilson v City of New York*, 294 AD2d 290, 292-293 [1st Dept 2002]).

The Fourth Department in this case reached the opposite conclusion, finding a parallel between actions for malpractice in a criminal action and claims for false arrest and malicious prosecution (*see* 79 AD3d at 1589-1590). Although the harm suffered by the claimant is the same—loss of liberty—we reject the argument that these types of actions are analogous. False arrest and malicious prosecution are intentional torts. Malicious prosecution, in particular, requires a showing that the proceeding was commenced against the claimant with actual malice (*see Cantalino v Danner*, 96 NY2d 391, 394 [2001]). It makes sense that the scope of recovery for deliberate torts is broader than for torts based on the failure to exercise skill or care (*see e.g. Johnson v Jamaica Hosp.*, 62 NY2d 523, 531 [1984] [“as a matter

of settled law, tort liability is predicated on the nature of the act of the tort-feasor, not simply the injury of the victim”]).*

We see no compelling reason to depart from the established rule limiting recovery in legal malpractice actions to pecuniary damages. Allowing this type of recovery would have, at best, negative and, at worst, devastating consequences for the criminal justice system. Most significantly, such a ruling could have a chilling effect on the willingness of the already strapped defense bar to represent indigent accused. Further, it would put attorneys in the position of having an incentive not to participate in post-conviction efforts to overturn wrongful convictions. We therefore hold that plaintiff does not have a viable claim for damages and the complaint should be dismissed in its entirety.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court should be reinstated and the certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

* In other classes of cases, where an individual is wrongfully imprisoned as the result of state action, recovery is available under Court of Claims Act § 8-b.

[971 NE2d 849, 948 NYS2d 568]

SHAWN BUKOWSKI, Appellant, v CLARKSON UNIVERSITY et al.,
Respondents.

Argued May 2, 2012; decided June 5, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 14, 2011. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Albany County (Eugene P. Devine, J.), which had dismissed the complaint. The judgment was entered upon an order of that court granting defendants' motion pursuant to CPLR 4401 and 3211 for a judgment dismissing the complaint made at the close of the evidence.

Bukowski v Clarkson Univ., 86 AD3d 736, affirmed.

HEADNOTE

Negligence — Assumption of Risk — Baseball — Risk of Pitcher Being Hit by Batted Ball

Plaintiff, an experienced and knowledgeable college baseball pitcher who voluntarily participated in indoor practice at defendant university despite never having before practiced “live” in a nylon cage and without a protective L-screen, assumed the inherent risk of being hit by a line drive. While an educational institution organizing a team sporting activity must exercise ordinary reasonable care to protect student athletes voluntarily participating in organized athletics from unassumed, concealed, or enhanced risks, participants are legally deemed to have accepted responsibility for risks inherent in a sport, including risks involving less than optimal conditions. Here, defendants fulfilled their duty of making the conditions as safe as they appeared to be, and there were no concealed risks unknown to plaintiff. Plaintiff testified that he was aware of the risk of getting hurt in baseball, and that in over 13 years of playing baseball, he played under a wide variety of conditions. Plaintiff was also aware of the obvious risk of pitching without the protection of an L-screen, and he had the opportunity to observe the lighting in the facility as well as the color of the pitching backdrop prior to his accident. Even if the university's pitching backdrop and indoor lighting, which plaintiff alleged made it harder to see the white ball that struck him, were considered less than optimal for baseball, they still did not constitute risks beyond those assumed by plaintiff. Moreover, there was no assertion that defendants violated any established safety protocol or rule by holding indoor pitching practices without an L-screen or a dark backdrop.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Colleges and Universities § 48; AM JUR 2d,

Entertainment and Sports Law §§ 85, 89, 91, 92; AM JUR 2d, Negligence §§ 763, 773–776, 779, 790; AM JUR 2d, Premises Liability § 67.

NY JUR 2d, Negligence §§ 125, 128, 129, 132, 133; NY JUR 2d, Premises Liability §§ 239, 240; NY JUR 2d, Schools, Universities, and Colleges § 856.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:55.

PROSSER AND KEETON, TORTS (5th ed) § 68.

ANNOTATION REFERENCE

See ALR Index under Baseball; Colleges and Universities; Contributory Negligence or Assumption of Risk; Sports.

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Database: NY-ORCS

Query: assum! /3 risk & baseball & pitcher /s practic!

POINTS OF COUNSEL

Murphy, Burns, Barber & Murphy, LLP, Albany (Peter G. Barber and Catherine A. Barber of counsel), for appellant. I. The assumption of the risk doctrine was improperly applied. (*Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Morgan v State of New York*, 90 NY2d 471; *Benitez v New York City Bd. of Educ.*, 73 NY2d 650; *Turcotte v Fell*, 68 NY2d 432; *Owen v R.J.S. Safety Equip.*, 79 NY2d 967; *Lamey v Foley*, 188 AD2d 157; *Demelio v Playmakers, Inc.*, 19 Misc 3d 911; *Moschella v Archdiocese of N.Y.*, 48 AD2d 856; *Ballou v Ravena-Coeymans-Selkirk School Dist.*, 72 AD3d 1323; *Zmitrowitz v Roman Catholic Diocese of Syracuse*, 274 AD2d 613.) II. The granting of a directed verdict was improper. (*Kozak v Broadway Joe's*, 296 AD2d 683; *Szczerbiak v Pilat*, 90 NY2d 553; *Sherry v North Colonie Cent. School Dist.*, 39 AD3d 986.)

Law Offices of Theresa J. Puleo, Albany (Norah M. Murphy of counsel), for respondents. I. The trial court properly directed the verdict as a matter of law, viewing all issues of fact in appellant's favor. (*Hotaling v CSX Transp.*, 5 AD3d 964; *Szczerbiak v Pilat*, 90 NY2d 553; *Calafiore v Kiley*, 303 AD2d 816.) II. The trial court correctly held that appellant had assumed the risk of injury by his voluntary and knowing participation. (*Turcotte v Fell*, 68 NY2d 432; *Trupia v Lake George Cent. School Dist.*, 62 AD3d 67, 14 NY3d 392; *Morgan v State of New York*, 90 NY2d 471; *Green v City of New York*, 263 AD2d 385; *Maddox v City of New York*, 66 NY2d 270; *Hernandez v Castle Hill Little League*,

256 AD2d 241; *Cuesta v Immaculate Conception R.C. Church*, 168 AD2d 411; *Davidoff v Metropolitan Baseball Club*, 61 NY2d 996; *Roberts v Boys & Girls Republic, Inc.*, 51 AD3d 246; *Harris v Cherry Val.-Springfield School Dist.*, 305 AD2d 964.) III. Appellant's arguments regarding law of the case are contrary to the position taken at trial and are based on a misinterpretation of the record. IV. The deposition transcripts are not a part of the trial record and are not relevant to the lower court's decision or this appeal.

OPINION OF THE COURT

Chief Judge LIPPMAN.

Almost every day, we are reminded of the injury risks attendant to participation in organized sports. The question presented in this personal injury action is whether a college baseball pitcher assumed the risk of injury associated with his participation in indoor practice. We conclude that plaintiff Bukowski assumed the inherent risk of being hit by a line drive and affirm the order of the Appellate Division.

Plaintiff had played organized baseball since he was five years old and pitched at the varsity level in high school for three years. He was recruited by Clarkson University to play on their Division III baseball team as a pitcher. During the winter of his freshman year, Bukowski began indoor training in February and was informed by his coaches that he would be practicing "live" in a nylon cage, meaning the pitcher would throw from an artificial mound at regulation distance to the batter and catcher. On the day before his accident, Bukowski observed pitchers throwing "live" practice without an L-screen* in the indoor facility. Despite never having practiced "live" indoors and without an L-screen, Bukowski entered the cage on March 2, 2006, threw about six pitches without batter contact, and then threw a fastball which the batter hit directly back at him, striking Bukowski in the jaw and breaking his tooth.

Plaintiff brought suit against Clarkson University and head coach James Kane to recover damages for injuries sustained. After discovery, Supreme Court denied defendants' motion for summary judgment. Plaintiff's theory at trial was that the risk of being hit by a batted ball was enhanced due to the multi-colored pitching backdrop and low lighting at the indoor facility,

* An L-screen is a net strung on a thin, metal frame shaped like a block L that protects pitchers from balls that are batted back at them.

which made it harder to see the white ball, and the failure to use an L-screen. At the close of evidence, the trial court granted defendants' motion for directed verdict on the ground that plaintiff assumed the commonly appreciated risk in baseball of being hit by a line drive. The Appellate Division affirmed, and the appeal followed based on the two-Justice dissent in the court (*see* CPLR 5601 [a]). For the reasons that follow, we affirm.

The assumption of risk doctrine applies where a consenting participant in sporting and amusement activities "is aware of the risks; has an appreciation of the nature of the risks; and voluntarily assumes the risks" (*Morgan v State of New York*, 90 NY2d 471, 484 [1997]). An educational institution organizing a team sporting activity must exercise ordinary reasonable care to protect student athletes voluntarily participating in organized athletics from unassumed, concealed, or enhanced risks (*see Benitez v New York City Bd. of Educ.*, 73 NY2d 650, 658 [1989]). "If the risks of the activity are fully comprehended or perfectly obvious, plaintiff has consented to them and defendant has performed its duty" (*Turcotte v Fell*, 68 NY2d 432, 439 [1986]). Relatedly, risks which are commonly encountered or "inherent" in a sport, such as being struck by a ball or bat in baseball, are "risks [for] which various participants are legally deemed to have accepted personal responsibility" (*Morgan*, 90 NY2d at 484). The primary assumption of risk doctrine also encompasses risks involving less than optimal conditions (*see Sykes v County of Erie*, 94 NY2d 912, 913 [2000] [playing on an irregular surface is a risk inherent in outdoor basketball activities]; *Maddox v City of New York*, 66 NY2d 270, 274-275 [1985] [baseball player assumed the risk of playing on a wet and muddy field]; *see also Martin v State of New York*, 64 AD3d 62, 64 [3d Dept 2009], *lv denied* 13 NY3d 706 [2009]).

Here, plaintiff was an experienced and knowledgeable baseball player who assumed the inherent risk of being hit by a line drive. Plaintiff testified at trial that he was aware of the risk of getting hurt in baseball, had seen other pitchers get hit by batted balls, had experienced balls being batted back at him, and had hit batters with his own pitches. Bukowski also testified that in over 13 years of playing baseball, he played on numerous fields and facilities under a wide variety of conditions, including variations in lighting and pitching backdrops. Plaintiff was also aware of the obvious risk of pitching without the protection of an L-screen, and he had the opportunity to observe the lighting in the facility as well as the color of the pitching

backdrop prior to his accident. Bukowski testified at trial that despite his appreciation of the conditions, he decided “to go along with how the coach set up practice.” Defendants fulfilled their duty of making the “conditions as safe as they appear to be” (*Morgan*, 90 NY2d at 484), and there were no concealed risks unknown to Bukowski.

Even if Clarkson’s pitching backdrop and indoor lighting were considered less than optimal for baseball, they still did not constitute risks beyond those assumed by plaintiff. In *Siegel v City of New York* (90 NY2d 471, 488-489 [1997] [decided with *Morgan v State of New York*, *supra*]), we found that the plaintiff did not assume the risk of tripping on a torn tennis net, as the risk of playing with a torn net is not inherent to the sport of tennis. Likewise, in *Owen v R.J.S. Safety Equip.* (79 NY2d 967 [1992]), this Court found that a professional race car driver did not assume the risk of racing with a defective guard rail and faulty track design, which were risks that did not “inhere in the sport” of racing (*id.* at 970). There is a distinction between accidents resulting from defective sporting equipment and those resulting from suboptimal playing conditions. In the present case, the risks of pitching in an indoor facility without a protective screen were inherent to the sport of baseball and readily apparent to plaintiff. There was expert testimony at trial that multicolored pitching backdrops were common in many college baseball practice facilities, since resources had to be shared with other sports teams. Furthermore, fans sitting behind home plate commonly wear white or multicolored shirts; it is only the batter that gets the benefit of a dark background to see the pitched ball, not the pitcher. Therefore, the conditions in the indoor facility did not create “a dangerous condition over and above the usual dangers that are inherent in the sport” (*Morgan*, 90 NY2d at 485 [internal quotation marks and citation omitted]).

Tellingly, plaintiff does not assert that the Clarkson coaching staff violated any established safety protocol or the NCAA Rulebook by holding their indoor pitching practices without an L-screen or a dark backdrop. Bukowski’s reliance on *Zmitrowitz v Roman Catholic Diocese of Syracuse* (274 AD2d 613, 614 [2000]) and *Baker v Briarcliff School Dist.* (205 AD2d 652, 653 [1994]) is misplaced because both cases involved coaches who allegedly failed to enforce established safety standards. The only mention in the NCAA Rulebook of an L-screen was that one must be available to a visiting team for batting practice.

As this Court stated in *Trupia v Lake George Cent. School Dist.*, sporting activities possess “enormous social value” but

also “significantly heightened risks” (14 NY3d 392, 395 [2010]). The doctrine of assumption of risk “facilitat[es] free and vigorous participation in athletic activities” (*Trupia*, 14 NY3d at 395, quoting *Benitez v New York City Bd. of Educ.*, 73 NY2d 650, 657 [1989]) and shields college athletics from potentially crushing liability. Clarkson University, a college located in upstate New York, should be able to allow its sports teams to practice indoors during the cold winter months without fear of liability for inability to replicate the ideal conditions of the outdoor spring season. Plaintiff’s injuries are simply the result of a “luckless accident arising from . . . vigorous voluntary participation in competitive . . . athletics” (*Benitez*, 73 NY2d at 659).

Considering the facts in the light most favorable to the plaintiff, there was insufficient evidence from which a jury could have concluded that plaintiff faced an unassumed, concealed, or enhanced risk, even though it was his first time pitching live in the cage.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[971 NE2d 358, 948 NYS2d 228]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LEDARIUS WRIGHT, Appellant.

Argued May 1, 2012; decided June 5, 2012

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 21, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Thomas A. Farber, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree and criminal possession of a weapon in the second degree, and sentenced him to consecutive terms of 25 years to life and 15 years, respectively.

People v Wright, 87 AD3d 229, modified.

HEADNOTES

Crimes — Sentence — Concurrent and Consecutive Terms — Criminal Possession of Weapon in Second Degree

1. *People v Hamilton* (4 NY3d 654 [2005]), which held that consecutive sentencing on a second degree weapon possession charge required proof of an intent unrelated to the intent to shoot the victims, is correct and not inconsistent with the rule established by *People v Laureano* (87 NY2d 640 [1996]), which set forth the framework for assessing the legality of consecutive sentencing. More recent decisions such as *People v McKnight* (16 NY3d 43 [2010]), which upheld consecutive sentences for first degree murder and second degree attempted murder convictions, and *People v Frazier* (16 NY3d 36 [2010]), which upheld consecutive sentences for burglary and grand larceny convictions, were not a “sub silentio rejection” of *People v Hamilton* as neither case involved the propriety of consecutive sentencing where one of the crimes is a weapon possession offense.

Crimes — Sentence — Concurrent and Consecutive Terms — Criminal Possession of Weapon in Second Degree

2. In the criminal prosecution of defendant for fatally shooting two victims, Supreme Court erred in imposing consecutive sentences for defendant’s convictions of murder in the first degree and criminal possession of a weapon in the second degree, as the crime of second degree weapon possession was completed only upon the shootings. Under Penal Law § 70.25 (2), sentences imposed for two or more offenses must run concurrently and not consecutively where a single act constitutes two offenses, or where a single act constitutes one of the offenses and a material element of the other. In evaluating the propriety of consecutive sentencing in the context of weapon possession offenses it must be determined when the crime of possession—necessarily encompassing both actus reus and mens rea elements—was completed. Only where the act of possession is accomplished before the commission of the ensuing crime and with a mental state that both satisfies the statutory mens rea element and is discrete from that of the underlying crime may consecutive

sentences be imposed. The statute defining second degree weapon possession contains a specific intent element, namely that the defendant possessed a weapon with the intent to use it unlawfully against another person (*see* Penal Law § 265.03). Here, the People at trial theorized that defendant possessed the gun with unlawful intent, because he “actually did use the gun unlawfully against two others” by shooting the two victims. The People neither alleged nor proved that defendant’s possession was marked by an unlawful intent separate and distinct from his intent to shoot the victims.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law § 835; AM JUR 2d, Homicide §§ 262, 554; AM JUR 2d, Weapons and Firearms § 17.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:3, 203:6;
CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:174.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.5, 27.5.
MCKINNEY’s, Penal Law § 70.25 (2); § 265.03.
NY JUR 2d, Criminal Law: Procedure §§ 3156, 3158; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1877, 1880.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Weapons and Firearms.

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Query: possession /5 weapon /4 second /s consecutive /2 sentence /p intent

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Barbara Zolot* and *Robert S. Dean* of counsel), for appellant. I. Because the People’s theory of the case and the trial evidence established that appellant’s purpose in possessing the weapon was to commit the interrelated, ensuing substantive offense, the offenses of second degree weapon possession and first degree murder were committed through the single act of the shooting, requiring the imposition of concurrent sentences under Penal Law § 70.25 (2). (*People v Brown*, 80 NY2d 361; *People v Hamilton*, 4 NY3d 654; *People v Sturkey*, 77 NY2d 979; *People v Walsh*, 44 NY2d 631; *People v Salcedo*, 92 NY2d 1019; *People v Frazier*, 16 NY3d 36; *People v McKnight*, 16 NY3d 43; *People v Battles*, 16 NY3d 54; *People v Okafore*, 72 NY2d 81; *People v Laureano*, 87

NY2d 640.) II. Appellant was denied his due process right to a fair trial by the prosecutor's summation, in which the prosecutor denigrated defense counsel and appellant's defense and inflamed the jury. (*People v Bailey*, 58 NY2d 272; *People v Zimmer*, 51 NY2d 390; *People v Ashwal*, 39 NY2d 105; *People v Gordon*, 50 AD3d 821; *People v Pagan*, 2 AD3d 879; *People v LaPorte*, 306 AD2d 93; *People v Jackson*, 143 AD2d 363; *People v Ortiz*, 125 AD2d 502; *People v Burnside*, 52 AD2d 626; *People v Bhupsingh*, 297 AD2d 386.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Christopher P. Marinelli* and *Eleanor J. Ostrow* of counsel), for respondent. I. Defendant's consecutive sentences are legal. (*Blockburger v United States*, 284 US 299; *People v Day*, 73 NY2d 208; *People v Laureano*, 87 NY2d 640; *People v McKnight*, 16 NY3d 43; *People v Taveras*, 12 NY3d 21; *People v Battles*, 16 NY3d 54; *People v Frazier*, 16 NY3d 36; *People v Ramirez*, 89 NY2d 444; *People v Parks*, 95 NY2d 811; *People v Arroyo*, 93 NY2d 990.) II. The People's summation was a fair response to the defense. (*People v Balls*, 69 NY2d 641; *People v Starks*, 70 AD3d 585; *People v Colon*, 46 AD3d 260; *People v Riback*, 57 AD3d 1209, 13 NY3d 416; *People v Galloway*, 54 NY2d 396; *People v Marks*, 6 NY2d 67; *People v Halm*, 81 NY2d 819; *People v Crimmins*, 36 NY2d 230; *People v Love*, 57 NY2d 998; *People v Davis*, 58 NY2d 1102.)

OPINION OF THE COURT

CIPARICK, J.

The question presented is whether Penal Law § 70.25 (2) precludes the imposition of consecutive sentences for defendant's convictions of murder in the first degree and criminal possession of a weapon in the second degree. We hold that under the circumstances presented here, because the offense of possessing a gun with unlawful intent was only completed upon defendant's commission of the ensuing substantive crime of shooting the victims, consecutive sentencing is prohibited.

In the early morning hours of September 5, 2005 on West 133rd Street in Manhattan, after a night of escalating altercations between two groups—one including defendant Ledarrius Wright and the other including Doneil Ambrister and Yvette Duncan—defendant pulled out a gun and shot Ambrister and Duncan. Both victims were killed. Several eyewitnesses named defendant as the assailant and, after nearly two years in hiding, defendant was apprehended in 2007.

A New York County grand jury charged defendant with two counts of murder in the first degree (Penal Law § 125.27 [1] [a] [viii]), two counts of murder in the second degree (Penal Law § 125.25 [1]) and one count each of criminal possession of a weapon in the second degree (Penal Law § 265.03 [2]) and criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]). Supreme Court dismissed the latter charge. Along with the charge of second degree criminal possession of a weapon, the court submitted the murder one counts to the jury with the murder two counts in the alternative. As relevant to the weapon possession charge, the prosecutor argued in summation: “[Defendant] should be convicted [of second degree criminal possession of a weapon] because he had a loaded and operable gun that he fired at others . . . There’s no doubt about his intent since he actually did use the gun unlawfully against two others.”

The jury convicted defendant of one count of first degree murder for the intentional killing of Ambrister, accompanied by the killing of Duncan with the intent to cause her serious injury or death, and second degree criminal possession of a weapon.* It acquitted defendant of the other charges based on the intentional killing of Duncan. Supreme Court sentenced defendant to consecutive prison terms of 25 years to life for first degree murder and 15 years for possession of a weapon, for an aggregate term of 40 years to life. The court’s theory for imposing consecutive sentences was that defendant’s “intention to possess the weapon to bring out on the street to use it both against Doneil Ambrister and also against Yvette Duncan is separate and distinct from the intentional killing of Doneil Ambrister.”

Defendant appealed, arguing that the court erred in imposing consecutive sentences because the charge of possession of a weapon was not unrelated to the killings and “the People did not allege or prove that defendant possessed a gun with a separate intent to use it unlawfully against another.”

* Murder in the first degree is committed when “[w]ith intent to cause the death of another person, [the defendant] causes the death of such person or of a third person . . . and . . . as part of the same criminal transaction, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons, causes the death of an additional person or persons” (Penal Law § 125.27 [1] [a] [viii]).

Criminal possession of a weapon in the second degree is committed when a person “possesses a loaded firearm” “with intent to use the same unlawfully against another” (Penal Law § 265.03 [1] [b]).

The Appellate Division, with one Justice dissenting, affirmed the sentence (*People v Wright*, 87 AD3d 229 [1st Dept 2011]). The majority held that “[b]ecause there is no overlap of statutory elements in the crimes committed by the defendant, the imposition of consecutive sentences was lawful” (*id.* at 230). The court impugned defendant’s reliance on our decision in *People v Hamilton* (4 NY3d 654 [2005]), which held that consecutive sentencing on a second degree weapon possession charge required proof of an intent unrelated to the intent to shoot the victims (*see id.* at 658), asserting that our more recent decisions such as *People v McKnight* (16 NY3d 43 [2010]) and *People v Frazier* (16 NY3d 36 [2010]) were a “sub silentio rejection” of that case (*Wright*, 87 AD3d at 232).

Declaring *Hamilton* “indistinguishable and dispositive of the sentencing issue” (*id.* at 235), however, the dissenting Justice would have modified Supreme Court’s order to the extent of ordering that the sentences run concurrently. The dissent opined that “[i]n the absence of proof of a distinct intent to use the gun unlawfully [apart from the shootings], the weapon count overlapped the charges arising out of the shooting of the two victims” (*id.* at 236). The dissenting Justice granted defendant leave to appeal (2011 NY Slip Op 78815[U] [2011]), and we now modify to direct that the sentences run concurrently.

Under Penal Law § 70.25 (2), a court must impose concurrent sentences “for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other.” “Thus, sentences imposed for two or more offenses may not run consecutively: (1) where a single act constitutes two offenses, or (2) where a single act constitutes one of the offenses and a material element of the other” (*People v Laureano*, 87 NY2d 640, 643 [1996]). “The defendant benefits if either prong is present, and the prosecution’s burden is to countermand both prongs” (*People v Day*, 73 NY2d 208, 211 [1989]).

An analysis of whether concurrent sentences are required begins with an examination of “the statutory definitions of the crimes for which defendant has been convicted” (*Laureano*, 87 NY2d at 643). In *Laureano*, we explained:

“Because both prongs of Penal Law § 70.25 (2) refer to the ‘act or omission,’ that is, the ‘*actus reus*’ that constitutes the offense, the court must determine whether the *actus reus* element is, by definition, the

same for both offenses (under the first prong of the statute), or if the *actus reus* for one offense is, by definition, a material element of the second offense (under the second prong). If it is neither, then the People have satisfied their obligation of showing that concurrent sentences are not required. If the statutory elements do overlap under either prong of the statute, the People may yet establish the legality of consecutive sentencing by showing that the ‘acts or omissions’ committed by defendant were separate and distinct acts” (*id.* at 643 [citations omitted]).

In *People v McKnight* (16 NY3d 43 [2010]), we applied the *Laureano* framework to assess the legality of consecutive sentencing in the context of an attempted crime. The defendant and another gunman had fired a total of 10 shots at two victims—Smith and Lingard—with two bullets striking and killing Smith (*see id.* at 45). Lingard was shot three times but survived (*see id.*). The defendant, convicted of first degree murder and second degree attempted murder, was sentenced respectively to consecutive terms of 25 years to life and 20 years with five years postrelease supervision (*see id.* at 46). In upholding defendant’s consecutive sentences, we explained that

“[t]he *actus reus* of the murder of Smith was the firing of the two shots that caused the death of a third person [i.e., Smith]; and the *actus reus* of the attempted murder of Lingard was the firing of the eight other shots, which either hit no one or hit Lingard” (*id.* at 48 [internal brackets, quotation marks and ellipsis omitted]).

We reasoned that

“[a]ll 10 shots were discharged with the intent to cause Lingard’s death, but ‘ “[t]he test is not whether the criminal intent is one and the same and inspiring the whole transaction, but whether separate acts have been committed with the requisite criminal intent.” ’ Thus, the *actus reus* of Smith’s murder is not the same as the *actus reus* underlying Lingard’s attempted murder under the first prong; and, under the second prong, the *actus reus* of Smith’s murder is not a material element of the *actus reus* of Lingard’s attempted murder because more than the two shots that struck Smith

were fired at Lingard” (*id.* at 49, quoting *People v Frazier*, 16 NY3d 36, 41 [2010]).

Similarly, in *Frazier*, decided the same day as *McKnight*, we found it within the sentencing court’s discretion to impose consecutive sentences for the defendant’s burglary and grand larceny convictions because the two “statutes do not contain the same actus reus” (16 NY3d at 41). As the “crimes at issue [were] separate offenses that were committed through separate acts,” and neither offense was “a material element of the other,” we concluded that concurrent sentencing was not required (*id.*). Neither *McKnight* nor *Frazier* constituted a “sub silentio rejection” of *Hamilton*, as stated by the majority below (*Wright*, 87 AD3d at 232), as neither case involved the propriety of consecutive sentencing where one of the crimes is a weapon possession offense.

In our case law addressing the propriety of consecutive sentencing in the context of weapon possession offenses we have employed a different framework that appropriately reflects the heightened level of integration between the possession and the ensuing substantive crime for which the weapon was used (*see Hamilton*, 4 NY3d at 658-659; *People v Salcedo*, 92 NY2d 1019, 1021-1022 [1998]; *see also People v Brown*, 80 NY2d 361, 364-365 [1992] [discussing “precedents dealing with weapons possession and interrelated, ensuing substantive crimes,” where we have applied a “narrow rationale and statutory interpretation” to preclude consecutive sentencing]). In such cases, to determine whether a single act constituted both offenses under prong one of Penal Law § 70.25 (2), we have looked to when the crime of possession—necessarily encompassing both actus reus and mens rea elements—was completed (*see Salcedo*, 92 NY2d at 1022). Only where the act of possession is accomplished before the commission of the ensuing crime and with a mental state that both satisfies the statutory mens rea element and is discrete from that of the underlying crime may consecutive sentences be imposed (*see id.*; *see also Hamilton*, 4 NY3d at 658).

In *Salcedo*, for example, we upheld the defendant’s consecutive sentences for murder and second degree weapon possession, concluding that the “act of the possessory crime, though continuing, [was] distinct for consecutive sentencing purposes from the discrete act of shooting the victim” (*id.* at 1021-1022 [internal quotation marks omitted]). We observed that “[t]he People’s theory of the case, which [was] supported by the evidence, was that [the] defendant initially possessed the weapon

with the intent to force [the victim] to leave with him,” thereby completing the crime of second degree weapon possession. However, “[i]t was not until [the victim] continuously and adamantly refused [the defendant’s] repeated demands that [the] defendant turned the gun directly against her and killed her[,]” an “act . . . accompanied by the specific intent to cause [her] death” (*id.* at 1022). Under those circumstances, “[w]e [could not] say as a matter of law that the possession and actual use of the gun were so integrated that they constituted a single act for consecutive sentencing purposes” (*id.*).

Conversely, in *Hamilton*, we vacated the defendant’s consecutive sentences for his convictions of manslaughter and second degree weapon possession, finding that the People failed “to establish that he possessed the pistol with a purpose unrelated to his intent to shoot” the victims (4 NY3d at 658). As there was “no allegation that the weapon count referred to a different pistol or a different event . . . [t]he weapon count thus overlapped with the manslaughter and assault counts, and there was no proof of a separate intent to use the gun unlawfully” (*id.*).

[1] The Appellate Division majority suggested that *Hamilton* is inconsistent with the rule established by *Laureano* and other cases to the effect that the availability of consecutive sentencing is determined by examining whether the crimes involved a single act (or ‘*actus reus*’) rather than a single intent (*see Wright*, 87 AD3d at 231-232). But this overlooks the special problems presented when Penal Law § 70.25 (2) is applied to possessory offenses. The ‘act’ of possession is, by its nature, continuous; it may go on for hours or days. To decide when one act of possession ends and another begins, in applying a statute that prohibits possession with a particular intent, we look to the point at which the relevant intent changes. Thus in applying such a statute it is necessary to consider intent in order to identify the act or acts that constitute the crime. *Hamilton* is therefore correct and, as found by the dissent below, “on all fours” with the instant case (*id.* at 236).

[2] Here, defendant was convicted of second degree weapon possession and first degree murder. The majority below determined that “[t]he criminal weapon-possession offense is a possessory act, the *actus reus* of which is complete once the defendant has ‘dominion and control of a weapon’ ” (*id.* at 235). However, “unlike the third degree possession statute . . . which defines the crime solely in terms of dominion and control, the

statute defining second degree possession contains a specific intent element as well” (*People v Okafore*, 72 NY2d 81, 87 [1988]), to wit, that the defendant possessed a weapon with the intent to use it unlawfully against another person (*see* Penal Law § 265.03). At trial the People theorized that defendant possessed the gun with unlawful intent, because he “actually did use the gun unlawfully against two others” by shooting Ambrister and Duncan. As in *Hamilton*, the People neither alleged nor proved that defendant’s possession was marked by an unlawful intent separate and distinct from his intent to shoot the victims. Under the facts presented here, because the crime of second degree weapon possession was completed only upon the shootings, Supreme Court erred in imposing consecutive sentences.

We have considered plaintiff’s alternative argument regarding the prosecutor’s remarks during summation and find it to be without merit.

Accordingly, the order of the Appellate Division should be modified such that defendant’s sentences run concurrently and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[971 NE2d 347, 948 NYS2d 217]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JORGE PAGAN, Appellant.

Argued April 26, 2012; decided June 5, 2012

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 10, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Denis J. Boyle, J.), which had enlarged the conditions of defendant's sentence of probation to permit the Department of Probation to conduct searches of his home during his probationary term.

People v Pagan, 76 AD3d 414, reversed.

HEADNOTE

Crimes — Appeal — Order Modifying Conditions of Sentence of Probation

The Criminal Procedure Law did not authorize a direct appeal from a Supreme Court order which enlarged the conditions of defendant's sentence of probation so as to permit the Department of Probation to conduct warrantless searches of defendant's home during his probationary term. No appeal lies from a determination made in a criminal proceeding unless specifically provided for by statute. As relevant here, CPL 450.30 (3) specifies that an appeal from a "sentence" pursuant to CPL 450.10 (2) can mean only that an appeal lies from "the sentence originally imposed" or from "a resentence following an order vacating the original sentence." The order modifying the conditions of defendant's sentence of probation did not fit in either of those statutory categories since it was not the sentence originally imposed, nor did the court vacate the original sentence and impose a resentence. Rather, the court altered the conditions of probation pursuant to CPL 410.20 (1), which authorizes a court to "modify or enlarge the conditions of a sentence of probation." The proper vehicle to have challenged Supreme Court's modification order was a CPLR article 78 proceeding.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 201; AM JUR 2d, Criminal Law §§ 846, 849.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:3, 207:4, 207:9, 207:111, 207:139.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.

McKINNEY'S, CPL 410.20 (1); 450.10 (2); 450.30 (3).

NY JUR 2d, Criminal Law: Procedure §§ 3053, 3482, 3483, 3522, 3608, 3614, 3616, 3617.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Probation; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: appeal /s modif! /4 condition /s probation

POINTS OF COUNSEL

Legal Aid Society, New York City (*Steven B. Wasserman* and *Steven Banks* of counsel), for appellant. I. The Court has jurisdiction to hear this appeal. (*People v Hernandez*, 98 NY2d 8; *People v Stevens*, 91 NY2d 270; *People v Hale*, 93 NY2d 454; *People v Nieves*, 2 NY3d 310.) II. The sentencing court exceeded its statutory authority to order searches of a probationer's home, by subjecting a compliant probationer to routine searches of his home during home visits. (*People v Hale*, 93 NY2d 454; *Griffin v Wisconsin*, 483 US 868; *United States v Newton*, 369 F3d 659; *People v Jackson*, 46 NY2d 171; *Morrissey v Brewer*, 408 US 471; *People v Suttell*, 109 AD2d 249; *People v Brown*, 114 AD2d 1035; *People v Hutchinson*, 4 Misc 3d 1005[A], 2004 NY Slip Op 50720[U]; *People v Huntley*, 43 NY2d 175; *District of Columbia v Heller*, 554 US 570.)

Michael A. Cardozo, *Corporation Counsel*, New York City (*Karen Griffin*, *Leonard Koerner* and *Stephen J. McGrath* of counsel), for respondent. The order of Supreme Court enlarging the conditions of defendant's sentence to authorize home searches in connection with home visits by the Department of Probation was properly affirmed by the Appellate Division. (*People v Hale*, 93 NY2d 454; *People v Rodney E.*, 77 NY2d 672; *Griffin v Wisconsin*, 483 US 868; *People v McNair*, 87 NY2d 772; *People v Jackson*, 46 NY2d 171; *United States v Germosen*, 139 F3d 120, 525 US 1083.)

OPINION OF THE COURT

GRAFFEO, J.

The threshold question before us is whether a defendant can appeal from an order modifying the conditions of a sentence of probation. We conclude that such an appeal is not authorized by the Criminal Procedure Law. Instead, judicial review must be sought in a CPLR article 78 proceeding.

Defendant Jorge Pagan pleaded guilty to one count of criminal possession of a weapon in the third degree. Pursuant to a

plea agreement, defendant was sentenced in June 2008 to six months in jail and five years of probation. More than three months later, the New York City Department of Probation applied to the court to enlarge the conditions of defendant's probation under CPL 410.20 so as to authorize searches of defendant's home during his probationary term. Defendant opposed the application, asserting that the court lacked the authority to modify the conditions of probation to include warrantless home searches.

In January 2009, Supreme Court granted the application to the extent of modifying the conditions of probation to permit the Department of Probation to conduct sporadic "knock and announce" searches of defendant's home at reasonable hours when he was present. Without addressing appealability, a divided Appellate Division affirmed (76 AD3d 414 [1st Dept 2010]). One of the dissenting Justices granted defendant leave to appeal, and we now reverse.

It is well established that "[n]o appeal lies from a determination made in a criminal proceeding unless specifically provided for by statute" (*People v Dunn*, 4 NY3d 495, 497 [2005] [internal quotation marks and citation omitted]; see also *People v De Jesus*, 54 NY2d 447, 449 [1981]). We have emphasized that criminal appeals are thereby "limited" (*People v Bautista*, 7 NY3d 838, 839 [2006]), and that "[c]ourts must construe clear and unambiguous statutes as enacted and may not resort to interpretative contrivances to broaden the scope and application of statutes. This is especially so in one of the most highly structured and highly particularized articles of procedure—appeals" (*People v Hernandez*, 98 NY2d 8, 10 [2002] [internal quotation marks and citation omitted]).

CPL article 450 governs the appealability of orders in criminal proceedings. Analysis begins with CPL 450.10, which "codifies a criminal defendant's common-law right to appeal to an intermediate appellate court" (*People v Ventura*, 17 NY3d 675, 679 [2011]). As relevant to this case, CPL 450.10 (2) allows a defendant to appeal from a "sentence" as prescribed by CPL 450.30 (1). CPL 450.30 (1), in turn, provides that a defendant may appeal from a sentence on the basis that it is "invalid as a matter of law" or "harsh or excessive."

Significantly, CPL 450.30 (3) further specifies that an appeal from a sentence pursuant to CPL 450.10 (2) can have only one of two meanings. First, an appeal lies from "the sentence

originally imposed” (CPL 450.30 [3]). Alternatively, a defendant may appeal from “a resentence following an order vacating the original sentence” (*id.*). Hence, an appeal predicated on CPL 450.10 (2) that is not taken from either a sentence or a resentence must be dismissed (*see De Jesus*, 54 NY2d at 449).

In this case, the January 2009 order modifying the conditions of defendant’s sentence of probation does not fit either of these statutory categories. It was not the sentence originally imposed in June 2008. Nor did the court “vacat[e] the original sentence” and impose a resentence in January 2009. Rather, the court altered the conditions of probation pursuant to CPL 410.20 (1), which authorizes a court to “modify or enlarge the conditions of a sentence of probation.” Because the January 2009 modification order was not a “sentence” within the meaning of CPL 450.30 (3), there is no statutory basis for defendant to pursue an appeal.

Recognizing this obstacle, defendant would have us treat the January 2009 modification order as if it were a resentence even though the court never “vacat[ed] the original sentence” as required by CPL 450.30 (3). In contrast, the dissent views the modification to be “part of the original sentence” (dissenting op at 372). But, as we have indicated, we cannot apply a more expansive interpretation just because we think it is a good idea, “especially when an adequate legal remedy aside from a direct appeal [is] available” (*Dunn*, 4 NY3d at 497; *see also People v Laing*, 79 NY2d 166, 170-171 [1992]). Here, defendant could have brought a CPLR article 78 proceeding in the nature of prohibition to challenge the modification of the conditions of his sentence of probation on the ground that the court lacked the power to modify as it did (*see Matter of Pirro v Angiolillo*, 89 NY2d 351, 359 [1996]). Consequently, the proper vehicle to have challenged Supreme Court’s January 2009 modification order was an article 78 proceeding, not a direct appeal.

Finally, because the Appellate Division, like us, lacked jurisdiction to entertain defendant’s appeal, we remit to that Court for dismissal of the appeal (*see People v Joseph R.*, 17 NY3d 767, 768 [2011]; *People v Jian Jing Huang*, 1 NY3d 532, 533-534 [2003]).

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court, with directions to dismiss the appeal taken to that Court.

SMITH, J. (dissenting). The majority has given a literalistic reading to CPL 450.30 (3), producing a convoluted rule the

Legislature could not possibly have intended: A defendant can appeal from his sentence when it is first imposed, and if it is vacated he can appeal from a resentence; but if, without being vacated, it is modified in a way unfavorable to him, he has no right to appeal. No party urged this reading of the statute on the court; and the majority suggests no reason why its result makes sense, but evidently believes that result to be compelled by the statutory text. I disagree.

The language in the statute that the majority finds decisive is: "An appeal from a sentence . . . means an appeal from either the sentence originally imposed or from a resentence following an order vacating the original sentence." This case involves an order modifying but not vacating the original sentence and therefore, the majority says, falls between the two possibilities, into a no-man's land the Legislature failed to provide for. The statute does not have to be read so mechanically.

The Legislature obviously thought, when it enacted the statute, that it had accounted for all the situations in which an appeal from a sentence would be necessary: to effectuate the Legislature's intention, we should read "the sentence originally imposed" to mean not only the sentence in its original form, but also in the modified form that results from a later order. Since the original sentence has not been vacated, the modified sentence is still "the sentence originally imposed." To the extent that a modification is unfavorable to the defendant, that part of the original sentence should be deemed "imposed" on the date of the modification.

I do not claim that mine is the only possible, or the most obvious, way to read the words of the statute. If I had any doubt about the Legislature's intention, I might acquiesce in the majority's more literal reading. But my reading is not linguistically impossible; and it is, I think, impossible to believe that the Legislature meant to deprive a defendant of any right of appeal when, like defendant here, he finds an unfavorable condition belatedly attached to his sentence.

Chief Judge LIPPMAN and Judges CIPARICK, READ and JONES concur with Judge GRAFFEO; Judge SMITH dissents in a separate opinion in which Judge PIGOTT concurs.

Order reversed, etc.

[971 NE2d 350, 948 NYS2d 220]

In the Matter of LISA HARBATKIN, Appellant, v NEW YORK CITY
DEPARTMENT OF RECORDS AND INFORMATION SERVICES et al.,
Respondents.

Argued April 25, 2012; decided June 5, 2012

SUMMARY

APPEAL, on constitutional grounds and by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2011. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Marilyn G. Diamond, J.; op 2010 NY Slip Op 33774[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which had (1) denied a petition pursuant to the Freedom of Information Law for a judgment compelling respondent New York City Department of Records and Information to grant unrestricted access to records related to the Board of Education's "Anti-Communist Investigation," and (2) dismissed the proceeding.

Matter of Harbatkin v New York City Dept. of Records & Info. Servs., 84 AD3d 700, modified.

Matter of Harbatkin v New York City Dept. of Records & Info. Servs., 19 NY3d 874, appeal dismissed and leave granted.

HEADNOTES

Records — Freedom of Information Law — Municipal School System's Investigation of Suspected Communist Party Members — Personal Privacy Concerns

1. In a proceeding seeking disclosure under the Freedom of Information Law (FOIL) of unredacted transcripts of interviews conducted in the mid-twentieth century by the New York City Board of Education with teachers and other employees who it suspected of being present or former members of the Communist Party, petitioner was entitled to the disclosure of names and identifying details of people mentioned in the transcripts who were not promised confidentiality. In determining the applicability of the FOIL exemption for records that "if disclosed would constitute an unwarranted invasion of personal privacy," courts must balance the privacy interests at stake against the public interest in disclosure of the information (*see* Public Officers Law § 87 [2] [b]). Any embarrassment at having been named as a Communist would be much diminished today—both because the activity of which they were accused took place so long ago, and because the label "Communist" carries far less emotional power than it did in the 1950s. Although disclosure would not be completely harmless to those named in the documents, if they are still alive, or to members of their families who care about their memories,

the diminished claims of privacy must be weighed against the claims of history. The story of the Anti-Communist Investigations, like any other that is a significant part of the country's past, should be told as fully and as accurately as possible, and historians are better equipped to do so when they can work from uncensored records.

Records — Freedom of Information Law — Municipal School System's Investigation of Suspected Communist Party Members — Promises of Confidentiality

2. In a proceeding seeking disclosure under the Freedom of Information Law (FOIL) of unredacted transcripts of interviews conducted in the mid-twentieth century by the New York City Board of Education with teachers and other employees who it suspected of being present or former members of the Communist Party, petitioner was not entitled to the disclosure of names and other identifying details relating to informants who were promised confidentiality. In determining the applicability of the FOIL exemption for records that "if disclosed would constitute an unwarranted invasion of personal privacy," courts must balance the privacy interests at stake against the public interest in disclosure of the information (*see* Public Officers Law § 87 [2] [b]). The interviewees had been promised that no one would ever find out that they were being interviewed, and it would be unacceptable for the government to break that promise even after so many years had elapsed. The risk that an interviewee's child would be hurt or embarrassed by learning now of his parent's interview might be small, but a representative of New York City's government solemnly assured the parent that the government would not subject the child to that risk. Perhaps there will be a time when the promise made to the interviewee, and to others similarly situated, is so ancient that its enforcement would be pointless, but that time is not yet.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 52, 72, 229, 230, 242, 244–246, 277, 509, 555.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:637, 145:648.

McKINNEY's, Public Officers Law § 87 (2) (b); § 89 (2) (b).

NY JUR 2d, Records and Recording §§ 38, 40–42, 56, 59, 62.

ANNOTATION REFERENCE

Personal matters exempt from disclosure by invasion of privacy exemption under state freedom of information act. 26 ALR4th 666.

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/s public /2 interest

POINTS OF COUNSEL

Greenberg Taurig LLP, Albany (*Michael J. Grygiel*, *William A. Hurst* and *Cynthia E. Neidl* of counsel), for appellant. I. The

Appellant Division erred in finding that the City carried its burden of establishing that historical information contained in its “anti-Communist” investigation files is specifically exempt from disclosure under the Freedom of Information Law. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Westchester Rockland Newspapers v Mosczydlowski*, 58 AD2d 234; *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690; *Matter of Newsday, Inc. v Sise*, 71 NY2d 146, 486 US 1056; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Mantica v New York State Dept. of Health*, 94 NY2d 58; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Journal Publ. Co. v Office of Special Prosecutor*, 131 Misc 2d 417; *Matter of Fink v Lefkowitz*, 47 NY2d 567.) II. The promises of confidentiality made by the New York City Board of Education behind closed doors with the effect of shielding its own conduct from public scrutiny deserve little weight in the balancing process. (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Johnson v New York City Police Dept.*, 257 AD2d 343; *Matter of Scarola v Morgenthau*, 246 AD2d 417; *Mulgrew v Board of Educ. of the City School Dist. of the City of N.Y.*, 31 Misc 3d 296, 87 AD3d 506; *Matter of LaRocca v Board of Educ. of Jericho Union Free School Dist.*, 220 AD2d 424; *S-P Drug Co. v Smith*, 96 Misc 2d 305.) III. In demanding that petitioner consent to restrictions on her free speech rights, the City imposed unconstitutional conditions on her research activities, which also violate the First Amendment’s content-neutrality requirement and are devoid of the necessary procedural safeguards. (*Dolan v City of Tigard*, 512 US 374; *Perry v Sindermann*, 408 US 593; *Hannegan v Esquire, Inc.*, 327 US 146; *Board of Ed., Island Trees Union Free School Dist. No. 26 v Pico*, 457 US 853; *Coe v Town of Blooming Grove*, 567 F Supp 2d 543; *Van Arnam v General Servs. Admin.*, 332 F Supp 2d 376; *Murdock v Pennsylvania*, 319 US 105; *Invisible Empire Knights of Ku Klux Klan v City of W. Haven*, 600 F Supp 1427; *Eastern Conn. Citizens Action Group v Powers*, 723 F2d 1050; *Brooklyn Inst. of Arts & Sciences v City of New York*, 64 F Supp 2d 184.)

Michael A. Cardozo, Corporation Counsel, New York City (Elizabeth I. Freedman, Leonard Koerner and Marilyn Richter of counsel), for respondents. I. The courts below correctly determined that disclosure of the identifying information concerning the individuals named in the restricted series files

would constitute an unwarranted invasion of personal privacy. The privacy interests of the surviving subjects of the investigation and their relatives outweigh petitioner's interest in disclosing or publishing the names of teachers contained in the records. (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Bahnken v New York City Fire Dept.*, 17 AD3d 228, 6 NY3d 701; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294; *Matter of Johnson v New York City Police Dept.*, 257 AD2d 343, 94 NY2d 791; *Matter of De Oliveira v Wagner*, 274 AD2d 904; *Matter of Buffalo Broadcasting Co. v New York State Dept. of Correctional Servs.*, 174 AD2d 212, 79 NY2d 759; *Matter of Irwin v Onondaga County Resource Recovery Agency*, 72 AD3d 314; *Matter of Dobranski v Houper*, 154 AD2d 736; *Matter of Pennington v Clark*, 16 AD3d 1049, 5 NY3d 712; *Matter of Bellamy v New York City Police Dept.*, 87 AD3d 874.) II. The requirement that petitioner agrees not to copy, publish, disseminate or record the names and confidential identifying information in the restricted files does not violate her constitutional First Amendment rights to free speech. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Mastrovincenzo v City of New York*, 435 F3d 78; *Ward v Rock Against Racism*, 491 US 781; *Members of City Council of Los Angeles v Taxpayers for Vincent*, 466 US 789; *Hill v Colorado*, 530 US 703; *Los Angeles Police Dept. v United Reporting Publishing Corp.*, 528 US 32; *Whalen v Roe*, 429 US 589; *Detroit Edison Co. v NLRB*, 440 US 301; *Nixon v Administrator of General Services*, 433 US 425; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560.)

Miller Korzenik Sommers LLP, New York City (*Itai Maytal* of counsel), *Sabin, Bermant & Gould LLP* (*Richard A. Bernstein* and *Neil M. Rosenhouse* of counsel), *David H. Tomlin* and *Karen Kaiser*, Counsel for Associated Press, *Leon Friedman*, Counsel for Pen American Center, *Polly Grunfeld Sack*, General Counsel for GateHouse Media, Inc., Fairport, *Jonathan Donnellan* and *Ravi V. Sitwala*, New York City, Counsel for The Hearst Corporation, *George Freeman*, *David E. McCraw* and *Dana Green*, Counsel for The New York Times Company, for Advanced Publications, Inc. and others, amici curiae. I. The Appellate Division misread this Court's sui generis decision in *Matter of New York Times Co. v City of N.Y. Fire Dept.* (4 NY3d 477 [2005]) and overextended the "unwarranted invasion of privacy" exemption to the Freedom of Information Law. (*Matter of Tri-State Publ. Co. v City of Port Jervis*, 138 Misc 2d 147; *James v*

Delilah Films, 144 Misc 2d 374; *Brinkley v Casablancas*, 80 AD2d 428; *Haelan Labs., Inc. v Topps Chewing Gum, Inc.*, 202 F2d 866; *Rosemont Enters. v Random House*, 58 Misc 2d 1, 32 AD2d 892.) II. The Appellate Division erred in not recognizing as tenuous, at best, any privacy interests conceivably at stake in the anti-Communist files and in not recognizing that the overwhelming public interest in the anti-Communist files tips in favor of complete disclosure. (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *People v Jones*, 73 NY2d 427; *Matter of New York State United Teachers v Brighter Choice Charter School*, 15 NY3d 560; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75.)

OPINION OF THE COURT

SMITH, J.

In the middle years of the twentieth century, the New York City Board of Education investigated a large number of teachers and other employees who it suspected of being present or former members of the Communist Party. The investigation included interviews with many such people, who were promised confidentiality and asked to provide the names of those who had been in the party with them.

An historian of the period now seeks disclosure under the Freedom of Information Law (FOIL) of unredacted transcripts of the interviews. We hold that she is entitled to everything in the transcripts except material that would identify informants who were promised confidentiality.

I

It seems that the Board of Education's "Anti-Communist Investigations" existed as early as 1936 and as late as 1962, but were at their most intense in the 1940s and 1950s. During that time, according to the petition in this case, an assistant corporation counsel for New York City "was assigned full-time for nearly a decade to ferret out alleged Communists and unrepentant former Communists in the New York City public school and university system." The records generated by the investigation include, according to the City, documentation of some 1,100 interviews.

According to a random sampling of the records by the City, all of the interviews included a promise of confidentiality, couched

in very similar language. The interviewer would typically begin by saying that “there has been and will be no publicity given to the fact that you and I are having this discussion.” He would add that the interview was “a matter of strict confidence between the Superintendent of Schools, acting through me, and yourself.” Sometimes the interviewee would ask for, and receive, more assurance on that subject. The City points to one interview transcript that contains several such exchanges, including the following:

“I know that the sins of the parents are visited upon their children, and it’s quite a thing for my son—

“Q. Well, nobody would know. This is strictly confidential.

“A. I wouldn’t want him, under any circumstance, to find out.

“Q. No, he won’t, don’t you worry about that. . . .

“A. . . . rather than have any repercussion on my son, I would—

“Q. Please accept my word for it—so just don’t talk about it any more, there will be none, because, believe me, you are not the first teacher we have spoken to under these circumstances—there have been a substantial number, believe me—nobody knows they have been here, not even their principals; in some cases, like in your case, the members of their family don’t know; they will never know, it’s a closed door, so don’t be concerned about it.”

Petitioner is an historian with a personal reason for her interest in this bit of history: Both her parents were targets of the Anti-Communist Investigations, and her mother was among those interviewed. Beginning in 2007, petitioner sought access to the City’s records relating to the investigations. She was granted access to some records, but the City’s Department of Records and Information Services expressed concern that some of the material she sought would invade the privacy of people identified in the files. Eventually, the Department adopted a rule, the effect of which is to require redaction of any names and other identifying information, unless the person in question, or his or her legal heirs or custodians, has agreed to disclosure (*see* 49 RCNY 3-02).

As a result, petitioner has seen only redacted versions of the interview transcripts. For example, one transcript in the record on appeal contains this among many similar passages:

“Q. I see. All right. Now let’s take this third group. Who were the members of this group that you recall?

“A. [lengthy redaction] this [redaction], you say, [redaction]—and that red-haired girl, [redaction].

“Q. That’s [redaction]?

“A. Right.”

The City offered petitioner access to unredacted files on condition “that she agree not to publish names,” a condition she rejected. She brought this proceeding under article 78 of the CPLR to require the Department to disclose the files without redaction.

Supreme Court dismissed the petition (2010 NY Slip Op 33774[U] [2010]), holding that the City was entitled to redact the documents to avoid an “unwarranted invasion of personal privacy” (Public Officers Law § 87 [2] [b]), and the Appellate Division affirmed (*Matter of Harbatkin v New York City Dept. of Records & Info. Servs.*, 84 AD3d 700 [1st Dept 2011]). Petitioner appealed as of right to this Court pursuant to CPLR 5601 (b) (1), which permits such appeals “where there is directly involved the construction of the constitution of the state or of the United States,” and also moved for permission to appeal pursuant to CPLR 5602 (a). We retained the appeal as of right, and refrained from deciding the motion for permission to appeal, pending oral argument.

We now conclude that petitioner’s constitutional arguments lack substance, and therefore dismiss the appeal as of right. We grant the motion for permission to appeal, and modify the Appellate Division order, permitting the City to redact only names and other identifying details relating to informants who were promised confidentiality.

II

FOIL requires government agencies to “make available for public inspection and copying all records” subject to a number of exemptions (Public Officers Law § 87 [2]). The exemption at issue in this case permits an agency to deny access to records that “if disclosed would constitute an unwarranted invasion of

personal privacy” (Public Officers Law § 87 [2] [b]). Public Officers Law § 89 (2) (b) says that “[a]n unwarranted invasion of personal privacy includes, but shall not be limited to” seven specified kinds of disclosure. In a case, like this one, where none of the seven specifications is applicable, a court “must decide whether any invasion of privacy . . . is ‘unwarranted’ by balancing the privacy interests at stake against the public interest in disclosure of the information” (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 485 [2005]).

[1] We begin by considering the redaction of names and identifying details of people, other than the people interviewed, mentioned in the interview transcripts. We conclude that today, more than half a century after the interviews took place, the disclosure of the deleted information would not be an unwarranted invasion of personal privacy. Certainly, this was not always true. At the time of the investigations, and for some years thereafter, public knowledge that people were named as present or former Communists would have subjected them to enormous embarrassment, or worse. But that embarrassment would be much diminished today—both because the activity of which they were accused took place so long ago, and because the label “Communist” carries far less emotional power than it did in the 1950s.

We do not say that disclosure will be completely harmless to those named in the documents, if they are still alive, or to members of their families who care about their memories (*see Matter of New York Times Co.*, 4 NY3d at 484-485 [recognizing that a right of privacy exists in the affairs of the dead]). But the diminished claims of privacy must be weighed against the claims of history. The story of the Anti-Communist Investigations, like any other that is a significant part of our past, should be told as fully and as accurately as possible, and historians are better equipped to do so when they can work from uncensored records. Petitioner, or any other historian trying to trace the course of the investigations, would obviously face a serious handicap if required to work with the redacted transcript from which we quoted above.

[2] We strike a different balance, however, when we consider petitioner’s request for the names of interviewees who were promised that no one would find out they were being interviewed. We find it unacceptable for the government to break that promise, even after all these years. We quoted earlier in this opinion from the interview of a teacher who feared that her

son might learn she was being questioned about Communist activities. It is unlikely that she is still alive—the interview shows that her teaching career began in 1934 or earlier—but her son may be. The risk that he would be hurt or embarrassed by learning now of his mother's interview may be small, but a representative of New York City's government solemnly assured her that the government would not subject him to that risk. Perhaps there will be a time when the promise made to her, and to others similarly situated, is so ancient that its enforcement would be pointless, but that time is not yet.

Accordingly, the order of the Appellate Division should be modified in accordance with this opinion and, as so modified, affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order modified, etc.

[971 NE2d 353, 948 NYS2d 223]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v LAMARR
REID, Respondent.

Argued May 1, 2012; decided June 5, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 31, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Albany County Court (Thomas A. Breslin, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, and (2) remitted the matter to the Albany County Court for a new trial.

People v Reid, 82 AD3d 1495, reversed.

HEADNOTE

**Crimes — Right of Confrontation — Opening Door to Otherwise
Inadmissible Testimony — Correcting Misleading Questioning
and Argument**

A defendant can open the door to the admission of testimony that would otherwise be inadmissible under the Confrontation Clause of the United States Constitution. Whether a defendant opened the door to particular, otherwise inadmissible evidence must be decided on a case-by-case basis, with the inquiry being twofold—whether and to what extent, the evidence or argument said to open the door was incomplete and misleading, and what if any otherwise inadmissible evidence was reasonably necessary to correct the misleading impression. Here, in a murder prosecution in which the People alleged that defendant and another, who was tried separately, had killed the victim while attempting to commit a robbery, defense counsel elicited from witnesses that the police had information that a third person was involved in the victim's shooting, suggested that more than one source indicated that the third person was at the scene, and persistently presented the argument that the police investigation was incompetent. In so doing, defendant opened the door to the admission of testimonial evidence from his nontestifying codefendant that the police had information that the third person was not at the shooting. The specific, otherwise inadmissible evidence heard by the jury—that an eyewitness to the shooting, who knew exactly who was there, had told the police that the third person was not present—was reasonably necessary to correct defense counsel's misleading questioning and argument. Accordingly, the trial court acted within its discretion in permitting the testimony.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1072–1074, 1081, 1088, 1091;
AM JUR 2d, Evidence §§ 365, 369.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:78, 194:161.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2024, 2152, 2230, 2299, 2304.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Criminal Procedure Rules; Hearsay.

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POINTS OF COUNSEL

P. David Soares, District Attorney, Albany (Steven M. Sharp of counsel), for appellant. I. A defendant can open the door to otherwise inadmissible evidence barred by the Confrontation Clause. (*Bruton v United States*, 391 US 123; *People v Safian*, 46 NY2d 181; *Richardson v Marsh*, 481 US 200; *Crawford v Washington*, 541 US 36; *Beech Aircraft Corp. v Rainey*, 488 US 153; *Tennessee v Street*, 471 US 409; *United States v Francois*, 295 F Supp 2d 60; *People v Gladden*, 298 AD2d 462; *People v Wilson*, 297 AD2d 607; *Lee v McCaughtry*, 892 F2d 1318.) II. Defendant opened the door to rebutting testimony and County Court properly exercised its discretion when it allowed the trial prosecutor to make an inquiry to counter the incomplete and misleading information elicited by defendant. (*People v Hicks*, 35 AD3d 1027; *People v Fiore*, 12 NY2d 188; *People v Mateo*, 2 NY3d 383; *People v Rojas*, 97 NY2d 32; *People v Melendez*, 55 NY2d 445; *United States v Cruz-Diaz*, 550 F3d 169; *People v Buchanan*, 145 NY 1; *People v Massie*, 2 NY3d 179.) III. Even assuming Agent Marc Maurino's testimony was admitted in violation of defendant's right of confrontation, in view of the evidence of defendant's guilt, the error was harmless. (*People v Eastman*, 85 NY2d 265; *People v Douglas*, 4 NY3d 777; *People v Crimmins*, 36 NY2d 230; *People v Goldstein*, 6 NY3d 119; *People v Rawlins*, 10 NY3d 136.)

Bruce Evans Knoll, Albany, for respondent. I. The Appellate Division correctly determined that the reversal of Lamarr Reid's conviction was the proper remedy after his 6th Amendment right of confrontation was violated when a witness was

asked and responded to a question by the prosecutor by referencing an eyewitness to the crime and the only eyewitness to the crime was the codefendant who was precluded from testifying pursuant to *Bruton v United States* (391 US 123 [1968]) and *Crawford v Washington* (541 US 36 [2004]). (*People v Nesbitt*, 77 AD3d 854, 15 NY3d 954; *People v Fairweather*, 69 AD3d 876; *People v Rawlins*, 10 NY3d 136; *People v Melendez*, 55 NY2d 445; *People v Hardy*, 4 NY3d 192; *People v Berry*, 49 AD3d 888; *People v Johnson*, 7 AD3d 732; *People v Eisenberg*, 22 NY2d 99; *People v McNerney*, 6 AD3d 1107, 3 NY3d 678; *People v Pugh*, 236 AD2d 810, 89 NY2d 1099.) II. The conviction was not supported by legally sufficient evidence. (*People v Bleakley*, 69 NY2d 490; *People v Peele*, 73 AD3d 1219; *People v Joseph*, 68 AD3d 1534, 14 NY3d 889; *People v Stroman*, 83 AD2d 370; *People v Cohen*, 223 NY 406; *People v Garafolo*, 44 AD2d 86.) III. The Appellate Division erred in not finding that the integrity of the grand jury was impaired by the actions of the prosecutor. (*Schmerber v California*, 384 US 757; *People v Goldston*, 6 AD3d 736; *People v Hunt*, 18 AD3d 891; *People v Huston*, 88 NY2d 400; *People v Moffitt*, 20 AD3d 687, 5 NY3d 854.) IV. County Court erred in its *Sandoval* ruling. (*People v Briggs*, 166 AD2d 210; *People v Bradley*, 99 AD2d 513.) V. County Court erred both in its *Molineux* ruling and in allowing the People to violate and go beyond the scope of the ruling. (*People v Blair*, 90 NY2d 1003; *People v Hudy*, 73 NY2d 40; *People v Alvino*, 71 NY2d 233; *People v Molineux*, 168 NY 264; *People v Vails*, 43 NY2d 364; *People v Williams*, 28 AD3d 1005; *People v Faccio*, 33 AD3d 1041; *People v Washington*, 9 AD3d 499, 3 NY3d 682; *People v Oliver*, 19 AD3d 512, 5 NY3d 808; *People v Reynolds*, 283 AD2d 771, 96 NY2d 866.) VI. The Appellate Division erred in upholding admission of the letters appellant wrote to Latasha Joseph and/or to his brother, Kie Washington. VII. County Court was biased or gave the appearance of bias through its actions towards defense counsel. (*People v Yut Wai Tom*, 53 NY2d 44; *People v Prado*, 1 AD3d 533, 4 NY3d 725.) VIII. Prosecutorial errors deprived appellant of a fair trial. (*Bruton v United States*, 391 US 123; *Crawford v Washington*, 541 US 36; *People v Crimmins*, 36 NY2d 230.) IX. Appellant received ineffective assistance of counsel. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Droz*, 39 NY2d 457.)

OPINION OF THE COURT

PIGOTT, J.

This appeal raises the question whether a defendant can open the door to the admission of testimony that would otherwise be

inadmissible under the Confrontation Clause of the United States Constitution. We hold that he can, and, in this case, he did.

On June 8, 2001, a man was shot dead at the door of an Albany apartment where marijuana was being sold. Neighborhood residents saw two young men running away from the area. Four rifle casings were found at the murder scene—ammunition that is used in an AK-47 assault rifle. Four years later, in 2005, a friend with whom the victim had been watching television on the night of the murder identified Shahkene Joseph as a suspect, telling the police that Joseph had bought marijuana from the apartment shortly before the shooting. After further investigation, Joseph and defendant Lamarr Reid were arrested, and charged with murder in the second degree.

Joseph confessed to his involvement in the killing. He admitted that he and Reid had intended to rob residents of the apartment, that he saw the victim standing in the doorway, and that he and Reid fired their weapons through the door. In response to an omnibus motion by Reid, County Court severed Reid's and Joseph's trials, citing *Bruton v United States* (391 US 123 [1968]).

During Reid's trial, the jury heard evidence concerning the events on the night of the killing—that Joseph visited the apartment before the killing, asking to buy marijuana; that Joseph and Reid gave a rifle or shotgun to a person who had once been in the same street gang as Reid; and that Reid told this person that he had “caught a jux” and “[c]aught a vic,” meaning that he had robbed someone. Two neighborhood residents testified that they had seen “two young men running with hooded sweat shirts” a block away from the crime scene.

The jury also heard that the day after the murder Reid told another acquaintance that “[h]e had caught a body” the previous night, i.e., that he had killed someone. Reid told this acquaintance that he had intended to carry out a robbery but met with resistance, that he had shot through the door or through the crack of the door, and that he had been with Shahkene Joseph and Charles McFarland. Reid said he had used a weapon he called the “Chopper,” which the jury learned was the name given to a particular AK-47 rifle used by Reid's gang.

During cross-examination of this acquaintance, defense counsel had the witness confirm that McFarland himself had

been present at this conversation. Defense counsel elicited that the witness had told the police about McFarland, and then asked him, “But you are aware that Charles McFarland has never been arrested for this, right? . . . Only Lamarr Reid and Shahkene Joseph, right?”—to which the witness assented.*

Reid himself testified, and the defense also called a detective and a federal agent involved in the investigation. During direct examination of the detective, defense counsel asked questions designed to suggest that the investigation had been inadequate, a theme first outlined in counsel’s opening statement. On direct examination of the federal agent, defense counsel asked whether he had received information, during the course of his investigation, that McFarland was involved in the shooting. The agent agreed he had, and questioning followed concerning the source of that information, during which defense counsel suggested that there was more than one source.

On cross-examination of the agent, the prosecutor elicited that the information that McFarland had been present at the murder was from Reid’s acquaintance “saying what he had heard, not what he had seen or anything.” The prosecutor then said to the agent, “But in fact you also received eye witness testimony about who exactly was at the murder didn’t you?” The agent responded in the affirmative. The prosecutor then added, “And that eye witness testimony was that Charles McFarland certainly wasn’t there; isn’t that true?” Again, the agent assented.

Defense counsel objected, arguing that no eyewitness had testified to seeing the men who had carried out the shooting and that the jury would infer that Shahkene Joseph was the eyewitness who had told the police “who exactly was at the murder.” County Court overruled the objection, reasoning, *inter alia*, that defense counsel had “opened the door about McFarland being there.”

The prosecutor introduced letters that Reid had written from prison. Most pertinently, the letters alluded to Joseph, whom Reid was trying to contact. They also contained a reference to “catch[ing] bodies,” words similar to the expression Reid had been heard to use to describe the June 8, 2001 killing.

* The jury was also told that Reid and a friend had been walking past the site of the murder some two years later when Reid told the friend “to get off the sidewalk, have some respect for the dead.” Reid explained that he had tried to rob someone there and ended up shooting the man.

During summation, defense counsel returned to the theme that the police investigation had been inadequate and generated insufficient evidence. The jury was unpersuaded, finding Reid guilty of murder in the second degree (Penal Law § 125.25 [1]).

Reid filed a motion under CPL 330.30 seeking to set the verdict aside on several grounds, including the admission of testimony concerning an eyewitness to the crime who did not testify. County Court denied the motion, and Reid, duly convicted, was sentenced to imprisonment for 25 years to life.

Defendant appealed, raising a number of issues. The Appellate Division reversed County Court's judgment and ordered a new trial, holding that Reid's constitutional right to confront witnesses had been violated. "Because Joseph was unavailable and his pretrial statement to the police regarding who was present at the murder scene was testimonial, admission of that statement violated defendant's right to confront his accusers" (82 AD3d 1495, 1497-1498 [3d Dept 2011], citing *Crawford v Washington*, 541 US 36, 53-54 [2004]; *People v Rawlins*, 10 NY3d 136, 147-148 [2008]). The Appellate Division rejected the People's contention that defendant had opened the door to the prosecutor's questions, and concluded that the error identified was not harmless (82 AD3d at 1498).

The Appellate Division also addressed some, but not all, of Reid's remaining challenges to his conviction, ruling that "the introduction to the grand jury of some improper evidence did not require dismissal of the indictment" (*id.* at 1496), that Reid's conviction was supported by legally sufficient evidence and not against the weight of the evidence (*id.* at 1496-1497), and that County Court properly admitted the letters written by Reid from prison (*id.* at 1497).

A Judge of this Court granted the People leave to appeal. We now reverse.

As the People concede, the admission of the testimony that a nontestifying eyewitness told the police who had been present at the murder violated the Confrontation Clause, unless the door was opened to that testimony by the defense counsel's questioning of witnesses. The question then becomes whether a defendant can open the door to testimony that would otherwise violate his Confrontation Clause rights. Several United States Courts of Appeals have held that "a defendant can open the door to the admission of evidence otherwise barred by the Confrontation Clause" (*United States v Lopez-Medina*, 596 F3d

716, 733 [10th Cir 2010]; *see also e.g. United States v Holmes*, 620 F3d 836, 843-844 [8th Cir 2010]; *United States v Cruz-Diaz*, 550 F3d 169, 178 [1st Cir 2008]; *United States v Acosta*, 475 F3d 677, 683-684 [5th Cir 2007]; *but see United States v Cromer*, 389 F3d 662, 679 [6th Cir 2004]). We agree with this consensus.

If evidence barred under the Confrontation Clause were inadmissible irrespective of a defendant's actions at trial, then a defendant could attempt to delude a jury "by selectively revealing only those details of a testimonial statement that are potentially helpful to the defense, while concealing from the jury other details that would tend to explain the portions introduced and place them in context" (*People v Ko*, 15 AD3d 173, 174 [1st Dept 2005]). A defendant could do so with the secure knowledge that the concealed parts would not be admissible under the Confrontation Clause. To avoid such unfairness and to preserve the truth-seeking goals of our courts (*see Tennessee v Street*, 471 US 409, 415 [1985]), we hold that the admission of testimony that violates the Confrontation Clause may be proper if the defendant opened the door to its admission.

Today's holding is consistent with our precedent that statements taken in violation of *Miranda v Arizona* (384 US 436 [1966]) are admissible if a defendant opens the door by presenting conflicting testimony. Just as "[t]he shield provided by *Miranda* cannot be perverted into a license to use perjury by way of a defense, free from the risk of confrontation with prior inconsistent utterances" (*Harris v New York*, 401 US 222, 226 [1971]), so the Confrontation Clause cannot be used to prevent the introduction of testimony that would explain otherwise misleading out-of-court statements introduced by the defendant.

This does not complete our inquiry, however. Whether a defendant opened the door to particular, otherwise inadmissible evidence presented to the jury must be decided on a case-by-case basis. The inquiry is twofold—"whether, and to what extent, the evidence or argument said to open the door is incomplete and misleading, and what if any otherwise inadmissible evidence is reasonably necessary to correct the misleading impression" (*People v Massie*, 2 NY3d 179, 184 [2004]).

Here, by eliciting from witnesses that the police had information that McFarland was involved in the shooting, by suggesting that more than one source indicated that McFarland was at the

scene, and by persistently presenting the argument that the police investigation was incompetent, defendant opened the door to the admission of the testimonial evidence, from his nontestifying codefendant, that the police had information that McFarland was not at the shooting.

Moreover, we conclude that the specific, otherwise inadmissible evidence heard by the jury—that an eyewitness to the shooting, who knew exactly who was there, had told the police that McFarland was not present—was reasonably necessary to correct defense counsel’s misleading questioning and argument. There is justification for the view that the prosecutor could most effectively prevent the jury from reaching the false conclusion that McFarland had been present at the murder by eliciting that a person with immediate knowledge of the situation—an eyewitness who knew exactly who was at the murder—had told the police McFarland was not there. We conclude that County Court acted within its discretion in permitting the testimony.

Finally, we agree with the Appellate Division that the integrity of the grand jury was not impaired, that Reid’s letters were properly admitted, and that his conviction was supported by legally sufficient evidence. The Appellate Division should now consider the facts and issues raised by Reid that it declined to reach.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order reversed, etc.

[971 NE2d 341, 948 NYS2d 211]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DER-
RICK GAUSE, Appellant.

Argued April 24, 2012; decided June 5, 2012

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 10, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Richard A. Keenan, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Gause, 81 AD3d 1293, reversed.

HEADNOTE

Crimes — Double Jeopardy — Reversal of Intentional Murder Conviction Barred Retrial on Depraved Indifference Murder Charge

In the prosecution of defendant on charges of intentional murder in the second degree and depraved indifference murder in the second degree with respect to a single victim, defendant's subsequent retrial on the intentional murder charge, after the reversal of his depraved indifference murder conviction following his first trial, was prohibited under double jeopardy (*see* NY Const, art I, § 6; US Const 5th Amend) since the jury in the first trial had impliedly acquitted defendant of intentional murder by convicting him of depraved indifference murder. Even though the verdict of the first jury had not specifically indicated an acquittal on the intentional murder charge, the two counts before the jury were inconsistent counts, as guilt of one necessarily negates guilt of the other, and the jury's determination that defendant was guilty on one count necessarily acquitted defendant of the other crime. When depraved indifference murder and intentional murder in the second degree charges are submitted to the jury in the alternative as they were here, a guilty verdict upon one necessarily requires an acquittal upon the other and a jury should be so instructed (*see* CPL 300.40 [5]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 301, 317, 319.

CARMODY-WAIT 2d, Exemption from Prosecution by Reason of Previous Prosecution § 185:58; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:78, 200:89.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 25.1, 25.3.

McKINNEY's, CPL 300.40 (5); NY Const, art I, § 6.

NY JUR 2d, Criminal Law: Procedure §§ 1931, 1967, 2788.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Homicide.

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Query: double /2 jeopardy & implied! /2 acquit! /s murder

POINTS OF COUNSEL

Davison Law Office PLLC, Canandaigua (*Mary P. Davison* of counsel), for appellant. I. Mr. Gause's right to be free from double jeopardy guaranteed under the New York State and United States Constitutions and the Criminal Procedure Law, was violated by retrial of the intentional murder count. (*People v Contes*, 60 NY2d 620; *Matter of Suarez v Byrne*, 10 NY3d 523; *Wade v Hunter*, 336 US 684; *Benton v Maryland*, 395 US 784; *People v Aguilera*, 82 NY2d 23; *People v Acevedo*, 69 NY2d 478; *People v Goodman*, 69 NY2d 32; *Ashe v Swenson*, 397 US 436; *Matter of Juan C. v Cortines*, 89 NY2d 659; *People v Plevy*, 52 NY2d 58.) II. Since there had been a prior determination by the first juries that Mr. Gause acted with a different mens rea than his codefendant, the doctrine of collateral estoppel barred reprosecution on a theory of accomplice liability. (*People v Rossey*, 89 NY2d 970; *People v Hafeez*, 100 NY2d 253.) III. Mr. Gause was denied his right to effective assistance of counsel at both trials below. (*Strickland v Washington*, 466 US 668; *Hill v Lockhart*, 474 US 52; *Murray v Carrier*, 477 US 478; *United States v Cronin*, 466 US 648; *People v Ennis*, 11 NY3d 403; *People v Benvenuto*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Ortiz*, 76 NY2d 652; *People v Lane*, 60 NY2d 748.) IV. The conviction was not based on legally sufficient evidence that Mr. Gause acted with the intent to kill, or that his actions caused death. (*People v Bleakley*, 69 NY2d 490; *People v Contes*, 60 NY2d 620; *People v Gonzalez*, 1 NY3d 464; *People v Payne*, 3 NY3d 266; *People v Patterson*, 39 NY2d 288, 432 US 197; *People v Wallace*, 217 AD2d 918; *People v Bracey*, 41 NY2d 296; *People v Cobb*, 72 AD3d 1565; *People v Geddes*, 49 AD3d 1255, 10 NY3d 863; *People v Massey*, 61 AD3d 1433.) V. Contrary to its conclusion, the intermediate appellate court was not barred from reconsideration of the double jeopardy issue based on law of the case. (*Matter of Suarez v Byrne*, 10 NY3d 523; *Aridas v Caserta*, 41 NY2d 1059; *Faricelli v TSS Seedman's*, 94 NY2d 772; *People v Willette*, 73 AD3d 1278; *People v Harrison*, 85 NY2d 794.)

Michael C. Green, District Attorney, Rochester (Kelly Christine Wolford of counsel), for respondent. I. Defendant's retrial for intentional murder was not in violation of the principles of double jeopardy, collateral estoppel, or CPL 40.20. (*Green v United States*, 355 US 184; *Matter of Suarez v Byrne*, 10 NY3d 523; *People v Jackson*, 20 NY2d 440; *People v Charles*, 78 NY2d 1044; *People v Biggs*, 1 NY3d 225; *People v Goodman*, 69 NY2d 32; *People v Lo Cicero*, 14 NY2d 374; *People v Acevedo*, 69 NY2d 478; *People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10.) II. The People were not precluded from arguing that defendant acted as an accomplice in the murder of Whitney Morris under the doctrine of collateral estoppel. (*People v Goodman*, 69 NY2d 32; *Ashe v Swenson*, 397 US 436; *People v Berkowitz*, 50 NY2d 333.) III. Defendant received effective assistance of counsel under both the New York and federal standard. (*People v Schulz*, 4 NY3d 521; *Strickland v Washington*, 466 US 668; *People v Flores*, 84 NY2d 184; *People v Kroemer*, 204 AD2d 1017; *People v Baldi*, 54 NY2d 137; *People v Satterfield*, 66 NY2d 796; *Rosario v Ercole*, 601 F3d 118; *People v Turner*, 5 NY3d 476; *People v Rivera*, 71 NY2d 705; *People v Grayson*, 266 AD2d 740.) IV. Defendant's conviction of intentional murder is supported by legally sufficient evidence. (*People v Danielson*, 9 NY3d 342; *People v Sala*, 95 NY2d 254; *People v Dekle*, 56 NY2d 835; *People v Bracey*, 41 NY2d 296.) V. The Appellate Division, Fourth Department, properly held that it was bound by its prior decision in *People v Gause* (46 AD3d 1332 [2007]) under the law of the case doctrine. (*People v Willette*, 73 AD3d 1278; *People v Riley*, 22 AD3d 609; *Matter of Suarez v Byrne*, 10 NY3d 523.)

OPINION OF THE COURT

JONES, J.

In this case, where the defendant's conviction for depraved indifference murder was reversed on appeal, the issue before this Court is whether, in accord with the principles of double jeopardy, defendant was impliedly acquitted of intentional murder when the jury was instructed to consider intentional murder and depraved indifference murder in the alternative, but that it could return a verdict on only one of the offenses. Because the first jury had a full opportunity to return a verdict on both inconsistent charges, defendant was impliedly acquitted of the other count when the jury convicted defendant of the depraved indifference murder and his second trial for intentional murder twice placed defendant in jeopardy for the same offense.

On January 26, 2002, after a dispute with Whitney Morris at a 7-Eleven in the City of Rochester, defendant and Timothy

Lundy followed Morris and his friends to a nearby residence. After a fight between the two groups was defused, defendant and Lundy left. They returned to the residence shortly thereafter, and Lundy shot Morris. Defendant struck the victim on his head with a metal pole as he lay on the ground. The victim died from his injuries.

Defendant was ultimately prosecuted twice for the victim's death. The original indictment charged defendant with intentional murder in the second degree, depraved indifference murder in the second degree and intentional assault in the first degree.¹ At the close of trial, the court instructed the jury as follows:

“the indictment contains two counts, both of which charge murder in the second degree. There are two separate charges based upon two separate subdivisions of the same statute; that is, two different theories of how the crime was committed. However, under the circumstances of this case, essentially because there is only one death, the defendant may only be convicted of one of the charges and not both. In your deliberations, you may consider the charges in any order you wish, thus you may start with either Count 1 or Count 2. However, regardless of which count you consider first, if you should find the defendant guilty of such, you will stop right there and you will not go on to consider the other count. Only if you should find the defendant not guilty of the first count or the second, if that's what you start with, will you then go on to consider the other count.”

The court then defined intentional murder and depraved indifference murder. During deliberations, the jury requested, by jury notes, that the court “[r]epeat the two elements of the first charge (with intent) along with the following instructions for those elements” and whether either charge required defendant to have “swung the pipe” to be guilty. These notes prompted the court to reread the substantive jury charges. The jury subsequently convicted defendant of depraved indifference murder.²

1. The intentional assault charge was dismissed, on motion of the prosecutor, prior to trial.

2. Lundy was also charged with intentional murder and depraved indifference murder. However, a different jury convicted him of intentional murder. That conviction was affirmed (48 AD3d 1046 [4th Dept 2008]).

The Appellate Division reversed the judgment of conviction on the ground that the evidence was legally insufficient to support the conviction of depraved indifference murder, dismissed count two of the indictment and ordered a new trial on count one (46 AD3d 1332 [4th Dept 2007]). The court concluded that the “jury never considered the intentional murder count” and, as such, “agree[d] with the People that double jeopardy does not preclude a new trial on that count” (*id.* at 1333). It further directed that the certificate of conviction “be amended to reflect that the jury did not” acquit defendant of intentional murder (*id.*).

Defendant was retried and convicted, after a jury trial, of intentional murder in the second degree. The Appellate Division affirmed, holding that its “prior decision is the law of the case” (81 AD3d 1293, 1294 [4th Dept 2011]).

A Judge of this Court granted defendant leave to appeal (17 NY3d 795 [2011]). Defendant contends now, as he did below, that double jeopardy barred the retrial of the intentional murder charge even though the jury verdict had not specifically indicated an acquittal on that count. We agree. Because the first jury had before it counts of depraved indifference murder and intentional murder—inconsistent counts—and it reached a guilty verdict on one, that determination necessarily acquitted defendant of the other crime and, therefore, double jeopardy barred the People from reprosecuting defendant for it.

“No person shall be subject to be twice put in jeopardy for the same offense” (NY Const, art I, § 6; *see also* US Const 5th Amend). The Double Jeopardy Clauses of our State and Federal Constitutions specifically guard against a defendant twice being tried for the same offense (*see Matter of Suarez v Byrne*, 10 NY3d 523, 531 [2008]; *People v Ferguson*, 67 NY2d 383, 387 [1986]). At its core, double jeopardy precludes “the government from prosecuting a [defendant] for the same offense after an acquittal or a conviction;^[3] or from imposing multiple punishments for the same offense in successive proceedings” (*Matter of Suarez*, 10 NY3d at 532).

3. The dissent’s reliance upon *Blueford v Arkansas* (566 US —, 132 S Ct 2044 [2012]) is misguided as the first of two trials concluded in a mistrial. In that case, the first jury deliberated on four charges. The trial court instructed it either to convict the defendant of one of the charges or acquit him of all of them. The jury could not reach a verdict. After the court inquired about the jury’s progress, the foreperson disclosed that the jury had unanimously agreed to acquit defendant of the top two counts, but still needed to resolve the remaining charges. The trial ended in a mistrial, however, as the jury had never reached a verdict. The defendant argued that double jeopardy barred

(n. cont’d)

The United States Supreme Court has long recognized that, there are cases in which “[i]f a conviction might have been had, and was not, there was an implied acquittal” (*In re Nielsen*, 131 US 176, 190 [1889]). In *Matter of Suarez*, we remarked that “[t]he implied acquittal bar to reprosecution presupposes that the first jury ‘was given a full opportunity to return a verdict’ on the particular charge that the prosecutor seeks to advance in the second trial” (10 NY3d at 532 [citations omitted]).

Here, the first jury was given a full opportunity to return a verdict on the intentional murder charge and it impliedly did so when it convicted defendant of depraved indifference murder. Depraved indifference murder and intentional murder in the second degree are inconsistent counts, as “guilt of one necessarily negates guilt of the other” (*People v Gallagher*, 69 NY2d 525, 529 [1987]; see CPL 300.30 [5]). When these two charges are submitted to the jury in the alternative, a guilty verdict upon one necessarily requires an acquittal upon the other and a jury should be so instructed (see CPL 300.40 [5]).⁴ As the trial court instructed, before the jury were two counts, “two different theories of how the crime was committed,” but it could only convict the defendant of one of the counts. The jury concluded that defendant acted recklessly in the murder of the victim, rather than intentionally. The jury, which sought instruction on both charges, necessarily rejected the theory that defendant intentionally murdered the victim when it convicted defendant of depraved indifference murder. As such, the jury impliedly acquitted defendant of intentional murder. Thus, defendant’s

his reprosecution on the top two charges. The United States Supreme Court rejected the defendant’s argument, observing that the “foreperson’s report was not a final resolution of anything” (566 US at —, 132 S Ct at 2050). The Court explained,

“[t]he jury in this case did not convict [the defendant] of any offense, but it did not acquit him of any either. When the jury was unable to return a verdict, the trial court properly declared a mistrial and discharged the jury. As a consequence, the Double Jeopardy Clause does not stand in the way of a second trial on the same offenses” (566 US at —, 132 S Ct at 2053).

4. A court may submit to a jury two inconsistent counts in the alternative, if the counts can be supported by legally sufficient evidence, but “must direct the jury that if it renders a verdict of guilty upon one such count it must render a verdict of not guilty upon the other” (CPL 300.40 [5]). Had the jury been instructed under section 300.40 (5), there would be no issue concerning implied acquittal because the jury would have found defendant not guilty of intentional murder. The court’s oversight in failing to give the instruction did not change the underlying principle that conviction of one count entails acquittal of the other.

subsequent retrial on the intentional murder charge, after the reversal of his depraved indifference murder conviction, is prohibited under double jeopardy.⁵

In sum, defendant should not have been prosecuted twice for intentional murder in the second degree. Because no charges from the original indictment remain unconsidered, and no lesser included offenses were submitted to the jury, we are constrained, pursuant to the principles of double jeopardy, to reverse the conviction and dismiss the indictment (*see People v Taylor*, 15 NY3d 518 [2010]; *Matter of Suarez*, 10 NY3d at 541; *People v Biggs*, 1 NY3d 225 [2003]).

Accordingly, the Appellate Division order should be reversed and the indictment dismissed.

PIGOTT, J. (dissenting). Because in my view the jury at the first trial was not afforded “a full opportunity to return a verdict” on the count of intentional murder (*Matter of Suarez v Byrne*, 10 NY3d 523, 532 [2008]), defendant’s subsequent trial on that count did not violate double jeopardy and his conviction for that offense should stand.

At the first trial, the court charged the jury, *without objection*, that

“you may consider the charges in any order you wish, thus you may start with either Count 1 [intentional murder] or Count 2 [depraved indifference murder]. *However, regardless of which count you consider first, if you should find the defendant guilty of such, you will stop right there and you will not go on to consider the other count.* Only if you should find the defendant not guilty of the first

5. This case is wholly distinguishable from *People v Jackson* (20 NY2d 440 [1967]), where the Court rejected the application of implied acquittal to the circumstances of that case. There, the defendant was convicted of common-law murder in the first degree, but the jury was silent as to felony murder. After his judgment of conviction was reversed based upon the voluntariness of his confession, a new trial was ordered, and the defendant was retried on the original indictment. After the second trial, the jury convicted the defendant of felony murder. The *Jackson* Court concluded that the “defendant was not twice put in jeopardy . . . [for] felony murder” (*id.* at 453). It rejected the application of implied acquittal in that case because the jury had not necessarily considered the felony murder charge. That case is consistent with this holding as it did not involve inconsistent counts where, statutorily and logically, “guilt of one necessarily negates guilt of the other” (*Gallagher*, 69 NY2d at 529; *see also CPL 300.30* [5]).

count or the second, if that's what you start with, will you then go on to consider the other count. Of course, you may find the defendant not guilty of both counts" (emphasis supplied).

Before the jury read its verdict, the court asked the foreperson which count the jury considered first, and he responded, "Count 2." The jury found defendant guilty of depraved indifference murder. The Appellate Division reversed defendant's conviction in the interest of justice so that this defendant could be retried on the intentional murder count.

The majority assumes, based on the fact that the jury sought instruction on both charges, that the jury considered the intentional murder count during its deliberations. But it is well-settled law that "[j]urors are presumed to follow the legal instructions they are given" (*People v Baker*, 14 NY3d 266, 274 [2010]), and, here, the foreperson apprised the court that the jury considered the depraved indifference murder count first. For all we know, the jury asked for a recharge on both counts so it could determine which count it should consider first. The majority's conclusion that the jury must have considered the intentional murder count, thereby "impliedly" acquitting defendant of that charge by finding him guilty of depraved indifference murder, is purely speculative.

In *Blueford v Arkansas* (566 US —, 132 S Ct 2044 [2012]), the foreperson informally apprised the court that the jury had unanimously concluded the defendant was not guilty of the top two murder counts and split on the third count but did not reach the fourth. The jury thereafter resumed deliberations for a half hour and the court declared a mistrial when the foreperson told the court that the jury could not reach a verdict. The United States Supreme Court held that double jeopardy did not bar the defendant's retrial on the top two counts because "[t]he foreperson's [initial] report was not a final resolution of anything" because when she apprised the court as to how the jury voted "the jury's deliberations had not yet [been] concluded" (566 US at —, 132 S Ct at 2050). The continuation of the jury deliberations after the initial report "deprive[d it] of the finality necessary to constitute an acquittal on the murder offenses" (*id.*).

Unlike the jury in *Blueford*, however, the first jury here undeniably considered only one count—depraved indifference murder—and found the defendant guilty on that count. If, as per *Blueford*, a jury is able to consider a number of counts and

reach a tentative verdict of not guilty as to the top counts, and double jeopardy does not bar a retrial on those counts, I fail to see how the doctrine of “implied acquittal” can prevent defendant’s trial on the unconsidered count of intentional murder, particularly in light of the court’s charge and the presumption that the jury followed it.

In my view, our holding in *People v Jackson* (20 NY2d 440 [1967], *cert denied* 391 US 928 [1968]) is controlling. There, the People presented evidence as to premeditated and deliberate murder (former Penal Law § 1044 [1]) and felony murder (former Penal Law § 1044 [2]), and the jury convicted the defendant of the former count, with said conviction being vacated on appeal and remanded for a new trial. At retrial, over the defendant’s objection on double jeopardy grounds, the court allowed the People to admit evidence relative to the felony murder count, and the jury found him guilty of that count. On appeal, this Court held that the first jury’s silence relative to the felony murder count did not have “the effect of acquitting [the defendant] on that theory” since such silence would have only had that effect if the jury “were given a full opportunity to consider the felony murder theory” (*id.* at 452). And because the court instructed the jury, without exception, to “render only one of the [two] verdicts” and to “render one verdict; one or the other, not both,” there was no reason for it “to consider the felony murder charge once it found the defendant guilty of premeditated murder” (*id.*). We acknowledged that because the trial court instructed the jury that it was free to choose whichever theory to consider first it was certainly “possible that the jury considered felony murder first and acquitted him of that theory but under the single verdict charge[,] the jury was not able to express an acquittal, and to say that the defendant was so acquitted would be to engage in mere speculation” (*id.*).

So, too, in this case. The first jury was given the choice of deciding which count to address first, and it considered the depraved indifference murder count, never reaching the intentional murder count. To presume that the jury reached the intentional murder count is not only speculative, but runs counter to our well-settled precedent that the jury is presumed to have followed the trial court’s instructions. Thus, in my view, the first jury could not be said to have “impliedly” acquitted defendant of intentional murder, and therefore I would affirm the order of the Appellate Division.

In sum, we have a defendant twice convicted of a homicide he undoubtedly committed and twice having his conviction

overturned on grounds that can only be described as technical. If law enforcement is puzzled as to what to do next, we shouldn't be surprised.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and SMITH concur with Judge JONES; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge READ concurs.

Order reversed, etc.

[971 NE2d 363, 948 NYS2d 233]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAVID
PLUNKETT, Appellant.

Argued April 26, 2012; decided June 7, 2012

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2010. The Appellate Division affirmed a judgment of the Herkimer County Court (Patrick L. Kirk, J.), which had convicted defendant, upon his plea of guilty, of aggravated assault upon a police officer or a peace officer, and assault in the second degree (two counts).

People v Plunkett, 77 AD3d 1442, modified.

HEADNOTES**Crimes — Plea of Guilty — Forfeiture of Right to Raise Issues on Appeal — Challenge to Legal Viability of Theory of Prosecution**

1. Defendant's challenge to his conviction for aggravated assault upon a police officer or a peace officer (Penal Law § 120.11), an element of which is the assailant's use of a deadly weapon or dangerous instrument, was not forfeited by his plea of guilty, inasmuch as defendant raised the legal question of whether he had been charged with and had pleaded to a cognizable offense. Defendant, who was HIV positive, was charged under section 120.11 based on evidence that he bit a police officer, and the trial court ruled that defendant's saliva "infected with the AIDS virus" qualified as a "dangerous instrument" for purposes of the aggravated assault statute. Although appellate claims challenging what is competently and independently established by a plea are forfeited, even where the plea was induced and entered upon an assurance that such claims would survive, where an appellate claim does not challenge what is legitimately established by a plea or where it has been deemed inconsistent with public policy to submerge an appellate claim within a plea, the forfeiture doctrine should not apply. Here, the relevant claim was that there was no set of facts that could be proved, or to which a defendant could plead, that would establish guilt of aggravated assault upon the theory alleged. While a guilty plea has extraordinary utility in that it is uniquely capable of establishing inculpatory facts, even when those facts have not otherwise been satisfactorily adduced, it is not a competent proxy for a legally (as opposed to a factually) viable theory of prosecution. A defendant can admit facts, but cannot by his or her admission mint an offense for which the law does not already provide.

Crimes — Dangerous Instrument — Body Part — Saliva

2. In a prosecution stemming from an incident in which defendant, who was HIV positive, bit a police officer, defendant's saliva did not constitute a "dangerous instrument" within the meaning of Penal Law § 10.00 (13) for purposes of his prosecution for aggravated assault upon a police officer or a

peace officer (Penal Law § 120.11), an element of which is the assailant's use of a deadly weapon or dangerous instrument. A person's hands or other body parts categorically do not qualify as "dangerous instruments" within the meaning of Penal Law § 10.00 (13). This reasonable interpretation of the term "instrument" avoids the anomalies that would result if criminal liability varied with the corporeal attributes of assailants and their victims. Because defendant's saliva "came with him," it could not qualify as a predicate to heighten his criminal liability beyond that justified by his victim's injury. Accordingly, dismissal of the count of the indictment charging defendant under Penal Law § 120.11, premised on the theory of prosecution that his saliva "infected with the AIDS virus" qualified as a "dangerous instrument," was warranted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 36, 40, 41; AM JUR 2d, Criminal Law §§ 670, 671, 687, 688.
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:27, 182:28, 182:31.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.5, 21.6.
MCKINNEY'S, Penal Law § 10.00 (13); § 120.11.
NY JUR 2d, Criminal Law: Procedure §§ 1486, 1487, 1506;
NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 398, 429, 430, 433.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Guilty Plea.

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Query: guilty /2 plea /s appellate /2 review /p forfeit! /s challeng!

POINTS OF COUNSEL

Audrey Baron Dunning, Ilion, for appellant. I. A plea bargain that specifically includes a defendant's right to appeal rulings of the trial court should be recognized and upheld. (*People v Green*, 75 NY2d 902; *People v Taylor*, 65 NY2d 1; *People v Prescott*, 66 NY2d 216.) II. A defendant with mental disabilities should be allowed to question prospective jurors to determine if they hold any unfavorable opinions or views toward people with mental disabilities. III. The lower court erred in categorizing teeth as a dangerous instrument under Penal Law § 10.00 (13). (*People v Owusu*, 93 NY2d 398.) IV. Saliva is not a dangerous instrument as defined under New York criminal law. (*People v Vollmer*, 299

NY 347; *People v Owusu*, 93 NY2d 398.) V. The court erred in not dismissing the indictment upon the People's failure to present potentially exculpatory material to the grand jury and the lack of proper police investigation of all relevant and available witnesses involved, including eyewitnesses. (*People v Valles*, 62 NY2d 36; *People v Calbud, Inc.*, 49 NY2d 389; *People v Johnson*, 277 AD2d 702; *People v Lancaster*, 69 NY2d 20; *People v De Martino*, 71 AD2d 477; *People v McAdoo*, 45 Misc 2d 664; *People v Talham*, 41 AD2d 354.)

John H. Crandall, District Attorney, Herkimer (*Jeffrey S. Carpenter* of counsel), for respondent. I. Appellant waived any challenge to the factual finding of guilt by entering a guilty plea, and appellant failed to sufficiently reserve his right to appeal on the record. (*People v Pelchat*, 62 NY2d 97; *People v Thomas*, 74 AD2d 317; *People v Taylor*, 65 NY2d 1; *People v Levin*, 57 NY2d 1008; *People v Charleston*, 54 NY2d 622; *People v Kinchen*, 60 NY2d 772; *People v Davilla*, 249 AD2d 179; *People v Green*, 75 NY2d 902; *People v Di Raffaele*, 55 NY2d 234; *People v Lynn*, 28 NY2d 196.) II. The lower court did not err by refusing to allow questions concerning prospective jurors' views towards persons with mental disabilities. (*People v Corbett*, 68 AD2d 772; *People v Torres*, 268 AD2d 312; *People v Green*, 75 NY2d 902.) III. The lower court did not categorize teeth as a dangerous instrument. (*People v Owusu*, 93 NY2d 398; *People v Carter*, 53 NY2d 113.) IV. The lower court properly considered saliva a dangerous instrument pursuant to Penal Law § 10.00 (13). (*People v Carter*, 53 NY2d 113; *People v Owusu*, 93 NY2d 398; *People v Azor*, 177 Misc 2d 427; *Tischler v Dimenna*, 160 Misc 2d 525; *People v Anonymous*, 153 Misc 2d 436.) V. The lower court did not err in refusing to dismiss the indictment after review of the grand jury minutes. (*People v Jennings*, 69 NY2d 103; *People v Deegan*, 69 NY2d 976; *People v Lancaster*, 69 NY2d 20; *People v Isla*, 96 AD2d 789; *People v Valles*, 62 NY2d 36; *People v Erber*, 210 AD2d 250; *People v Ferrara*, 99 AD2d 257; *People v Crumpler*, 70 AD3d 1396.)

Lambda Legal Defense and Education Fund, Inc., New York City (*Hayley J. Gorenberg* of counsel), and *Lambda Legal Defense and Education Fund, Inc.*, Chicago, Illinois (*Scott A. Schoettes* of counsel), for American Academy of HIV Medicine and others, amici curiae. The lower court erred in ruling that the "dangerous instrument" element was satisfied in this case. (*People v Watson*, 32 AD3d 1199; *People v Woodruff*, 4 AD3d 770; *Brown v New York City Health & Hosps. Corp.*, 225 AD2d

36; *People v Owusu*, 93 NY2d 398; *People v Carter*, 53 NY2d 113; *People v Byrd*, 51 AD3d 267; *Matter of Holloway v Travis*, 289 AD2d 821; *Matter of Andre D.*, 182 AD2d 1108; *People v Travis*, 273 AD2d 544; *Hitchcock Plaza v Clark*, 1 Misc 3d 906[A], 2003 NY Slip Op 51524[U].)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant challenges his conviction for aggravated assault upon a police officer or a peace officer (Penal Law § 120.11), an element of which is the assailant's use of a deadly weapon or dangerous instrument.¹ He was charged with that offense by a Herkimer County grand jury based on evidence that he bit a police officer on the finger as the officer attempted to arrest him. Defendant is HIV positive and has a long history of psychiatric illness. His arrest was precipitated by his bizarre behavior and open possession of marijuana in the reception area of his primary physician's office.

Although the indictment, in its top count,² does little more than track the language of Penal Law § 120.11, the People in their bill of particulars specified that the dangerous instrument(s) to which the indictment referred were defendant's teeth. However, in a prior biting case, *People v Owusu* (93 NY2d 398 [1999]), this Court had held that an assailant's teeth could not be deemed "instruments" within the definition of the Penal Law; indeed, *Owusu* held categorically that "an individual's body part does not constitute an *instrument*" and may not, even if used dangerously to produce injury, be a "dangerous instrument" within the meaning of Penal Law § 10.00 (13) (*id.* at 399). Following her receipt of the People's bill of particulars, then, defendant's attorney moved by letter application to append to her client's previously denied omnibus motion an application based upon *Owusu*. She included with her letter a copy of that decision, noting her view that it bore directly upon

1. The statute provides in its entirety:

"A person is guilty of aggravated assault upon a police officer or a peace officer when, with intent to cause serious physical injury to a person whom he knows or reasonably should know to be a police officer or a peace officer engaged in the course of performing his official duties, he causes such injury by means of a deadly weapon or dangerous instrument."

2. In connection with the doctor's office incident, defendant was also charged with two counts of assault in the second degree, resisting arrest and criminal possession of marijuana in the fifth degree.

the viability of the indictment's first count. She said, "this case speaks to the issue of teeth as a potentially deadly weapon or dangerous instrument. This case held that 'human body parts such as appellant's teeth could not constitute a dangerous weapon'" Counsel requested on this purely legal ground the first count's dismissal.

County Court, recognizing that this was not a routine omnibus application, responded to it both orally and in a separate written decision. Implicitly acknowledging that a prosecution premised on the use of teeth as dangerous instruments was not viable after *Owusu*, the court expressed the view that the aggravated assault count could be sustained instead on the theory that the dangerous instrument to which the count referred was defendant's saliva. Defendant's saliva "infected with the AIDS virus," the court believed, was a substance "readily capable of causing death or other serious physical injury"³ and, as such, qualified as a dangerous instrument for purposes of the aggravated assault statute. Defendant's teeth, the court explained, were only the means for injecting the dangerous substance into the victim's body.

Just before the trial's scheduled commencement, County Court announced that based on "continuing discussions" an agreement had been reached that defendant would plead guilty to the indictment's top three counts. After advising defendant of the rights he would be waiving by entering the contemplated plea, and of the bargained for sentence, the court separately noted:

"Based upon discussions, you would not be waiving your right to appeal, and you would have your right to appeal, which is one of the things that you had requested as part of your plea. And the Court, *based upon certain circumstances that have come up in rulings that I have made*, that, in fact, you would have your right to appeal continue" (emphasis supplied).

It is clear that County Court was here referring specifically to its ruling that defendant's saliva could qualify under the Penal

3. Whether saliva containing the HIV virus is in fact "readily capable of causing death or other serious physical injury" is an issue that we do not reach. For the reasons that follow, neither should it have been reached by County Court.

Law as a dangerous instrument. The court understood the ruling to be pivotal to the prosecution,⁴ and the record discloses no other issue whose reservation could conceivably have been instrumental in inducing defendant's plea to the indictment's top three counts. Defendant's counsel, moreover, plainly believed that her client possessed a meritorious claim completely decisive of the indictment's most serious charge. Her insistence upon the reservation of that claim, then, would have been a representational imperative.

Defendant's reservation of appellate rights did not, however, avail him at the Appellate Division, where the judgment convicting him was affirmed on the ground that his appellate claims had been forfeited by his plea (77 AD3d 1442 [2010]). A Judge of this Court granted defendant permission to appeal (16 NY3d 835 [2011]), and we now modify to vacate defendant's conviction for aggravated assault and to dismiss the corresponding count of the indictment.

[1] A guilty plea, we have observed, "generally marks the end of a criminal case, not a gateway to further litigation" (*People v Hansen*, 95 NY2d 227, 230 [2000]). Consistently, we have deemed appellate claims challenging what is competently and independently established by a plea forfeited (*see id.*), even where the plea was induced and entered upon an assurance that such claims would survive. In *People v Thomas* (53 NY2d 338, 340 [1981]) we held that

"[t]he legal sufficiency of a conceded set of facts to support a judgment of conviction entered upon a guilty plea may not be saved for appellate review by conditioning the plea on defendant's right to appeal that issue, even though the prosecutor consents to, and the Trial Judge approves, the entry of such a conditional plea."

We explained that it would be logically inconsistent to permit a defendant to enter a plea of guilty based on particular admitted

4. As the court explained to the jury shortly after taking defendant's plea: "the question was whether—there's some very technical legal questions that have been batted around in this case as to what would involve a dangerous instrument, which is something you would have had to have made a decision on. And I had made a ruling that you were going to hear it based on the fact that one of the definitions of dangerous instrument is a term called 'substance,' and that his saliva was, in fact, a substance that could have caused death; and that when he bit the officers, he was only using his teeth to inject a substance into their body" (emphasis supplied).

facts, yet to allow that defendant contemporaneously to reserve the right to challenge on appeal the sufficiency of those facts to support a conviction, had there been a trial (*see id.* at 344). The “solemn act” of entering a plea, itself sufficing as a conviction, we said, should not be permitted to be used as a device for a defendant to avoid a trial while maintaining a claim of factual innocence (*see id.* at 344-345).

By the same token, however, where an appellate claim does not challenge what is legitimately established by a plea or where it has been deemed inconsistent with public policy to submerge an appellate claim within a plea, we have recognized that the forfeiture doctrine should not apply. As we noted in *People v Lee* (58 NY2d 491 [1983])—where we held appellate claims as to the constitutionality of a penal statute not encompassed by the plea forfeiture doctrine—*Thomas’s* application of the doctrine was expressly limited to situations in which the issue proposed for appellate review was the sufficiency of the facts admitted in connection with the plea to support the conviction (*see Lee*, 58 NY2d at 494 n, citing *Thomas*, 53 NY2d at 344); *Thomas* was in no way inconsistent with the limiting principle recognized in *Lee*, that where an appellate claim is not inconsistent with what is properly established by the plea, it is not forfeited (*see id.* at 493-494; *see also People v Taylor*, 65 NY2d 1, 5 [1985] [“since a plea usually removes the issue of factual guilt from a case, resolution of the question (of what is forfeited by the plea) may be guided by determining whether the claim relates to the factual elements of the crime charged, or to some other, fundamental matter”]). Of course, that principle was not novel in *Lee* (*see e.g., Menna v New York*, 423 US 61, 63 n 2 [1975] [“A guilty plea . . . simply renders irrelevant those constitutional violations not logically inconsistent with the valid establishment of factual guilt and which do not stand in the way of conviction, if factual guilt is validly established”]).

If the question reserved for appeal in this case were whether there was evidence to make out the crime of aggravated assault, the reservation would, under *Thomas*, be ineffective; the undisturbed plea would operate to forfeit the appellate claim. Somewhat paradoxically, however, such a plea, although effective to the extent of the forfeiture, would be subject to vacatur by reason of having been induced by a promise of appellate review the performance of which *Thomas* forbids (*see* 53 NY2d at 344; *and see People v Di Raffaele*, 55 NY2d 234, 241 [1982]). In the event we find his *Owusu* based challenge to his conviction forfeited by his plea, defendant has asked for, and would be

entitled to have, his plea back. Defendant's *Owusu* claim would then be litigated in the context of the reinstituted prosecution through a trial and any ensuing appeals—hardly a victory for the principle that a plea should function as a bulwark against further litigation.

We do not believe that the interposition of so many steps should be required to resolve the particular very basic, purely legal question defendant has raised, namely, whether he has been charged with and has pleaded to a cognizable offense, where the accusatory instrument, as refined by the People's bill of particulars and the trial court's ruling, alleges the commission of aggravated assault by use of part of the defendant's person as a dangerous instrument. The address of that question depends not at all on the particular evidence supporting the accusation, nor is it logically precluded by defendant's admissions in his plea to the extent that those admissions are understood as responsive to the charge framed by County Court's ruling. This is because the relevant claim is that there is no set of facts that could be proved, or to which a defendant could plead, that would establish guilt of aggravated assault upon the theory alleged. A plea of course has extraordinary utility; it is uniquely capable of establishing inculpatory facts, even when those facts have not otherwise been satisfactorily adduced. It is, however, not a competent proxy for a legally (as opposed to a factually) viable theory of prosecution. A defendant can admit facts, but cannot by his or her admission mint an offense for which the law does not already provide.

In the present unusual circumstance, where the claim defendant would raise is essentially that he was never charged, under the indictment's top count, with an extant crime, the rationale for the forfeiture doctrine—namely, that what the defendant would challenge has been conclusively and independently established by his or her plea—is not applicable to bar review. To so hold does not impair the legitimate utility of pleas in concluding litigation. And, we signal no departure from the rule that, ordinarily, guilty pleas operate to forfeit appellate claims respecting nonjurisdictional defects in the underlying proceedings (see *People v Konieczny*, 2 NY3d 569, 572 [2004]). We simply recognize, as we have in numerous other contexts (see *Hansen*, 95 NY2d at 230-231), that pleas are not properly interposed to preclude appellate review of issues that they are not competent to, or for reasons of public policy should not, conclude.

[2] Inasmuch as defendant's plea does not operate to forfeit his challenge to the indictment's top count, we turn to the

substance of his claim. Although County Court was of the view that defendant's saliva could be a "dangerous instrument" within the meaning of Penal Law § 10.00 (13)⁵ because it is a "substance," we began our analysis in *Owusu* by recognizing that "a part of one's body is not encompassed by the terms 'article' or 'substance' as used in the statute" (93 NY2d at 400-401). From that basic and, we thought, uncontroversial premise, we continued, to address the question of whether a body part, although not a "substance" or an "article," might nonetheless be deemed an "instrument" under the statute. In concluding that an individual's body part could not be so deemed and, thus, that body parts, even if otherwise corresponding to the terms "substance," "article" or "instrument," categorically could not qualify as "dangerous instruments" within the meaning of Penal Law § 10.00 (13), we sought not simply to reach a textually and historically correct understanding of what the Legislature meant to encompass (and to exclude), but to avoid the anomalies that would result if criminal liability varied with the corporeal attributes of assailants and their victims. We explained that the inclusion of body parts within the universe of potential "dangerous instruments" would, under Penal Law § 10.00 (13), render "the size of the perpetrator, his weight, strength, etc., as well as any infirmities or frailties of the victim . . . relevant in understanding one's ability to cause serious physical injury or death. A sliding scale of criminal liability (the extraordinary man anomaly) would be the result" (*Owusu*, 93 NY2d at 404). To avoid such an anomaly, our jurisprudence, we observed, had "drawn the line at a reasonable interpretation of the term 'instrument' and ha[d] not included within it a person's hands or other body parts" (*id.*). "Owusu's teeth came with him" and thus could not themselves qualify as a predicate to heighten his criminal liability beyond that justified by his victim's injury (*id.* at 405). Because defendant's saliva too "came with him"—indeed, with his teeth—its utility for penal enhancement may not be treated differently.

It is important to stress that the limitation we recognized in *Owusu* and which we now reaffirm does nothing to diminish the

5. The statute provides: " 'Dangerous instrument' means any instrument, article or substance, including a 'vehicle' as that term is defined in this section, which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury."

State's power to punish a defendant according to the harm actually inflicted (*see id.* at 405). All that is limited is its power to heighten liability solely by reason of corporeal attributes.

Accordingly, the order of the Appellate Division should be modified by dismissing the count of the indictment charging aggravated assault upon a police officer or peace officer, and remitting to Herkimer County Court for resentencing and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[971 NE2d 852, 948 NYS2d 571]

CHAZON, LLC, Respondent, v MARGARET MAUGENEST, Appellant,
et al., Defendants.

Argued May 1, 2012; decided June 7, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 15, 2011. The Appellate Division affirmed so much of an order and judgment (one paper) of the Supreme Court, Kings County (Francois A. Rivera, J.), as had (1) granted that branch of plaintiff's motion for summary judgment on the cause of action for ejectment, (2) denied that branch of defendant's cross motion for summary judgment dismissing the complaint, (3) directed defendant to vacate the premises, and (4) awarded possession of the subject apartment to plaintiff.

Chazon, LLC v Maugenest, 81 AD3d 769, reversed.

HEADNOTES

Landlord and Tenant — Loft Law — Failure of Landlord to Comply with Loft Law Bar to Action for Ejectment

1. The landlord of a New York City loft who had not complied with the Loft Law and had not received an extension of time to comply could not maintain an action either to collect rent or to evict a nonpaying tenant. Although the tenant had not paid any rent in nine years, in the absence of the landlord obtaining an extension or a residential certificate of occupancy by conforming the interim multiple dwelling to safety and fire protection standards, Multiple Dwelling Law § 302 (1) (b) clearly provides that “[n]o rent shall be recovered by the owner of such premises . . . and no action or special proceeding shall be maintained therefor, or for possession of said premises for nonpayment of such rent.” Multiple Dwelling Law § 285 (1) makes an exception only for a landlord who is “in compliance with” the Loft Law. Accordingly, the statutes leave the parties in their present stalemate until compliance has been achieved.

Landlord and Tenant — Loft Law — Failure of Landlord to Comply with Loft Law Bar to Action for Ejectment

2. The Appellate Division decisions in *Le Sannom Bldg. Corp v Lassen* (173 AD2d 249 [1st Dept 1991]) and *99 Commercial St. v Llewellyn* (240 AD2d 481 [2d Dept 1997]), which held that a landlord of an interim multiple dwelling lacking a residential certificate of occupancy could maintain an ejectment action against a tenant for nonpayment of rent, cannot be reconciled with Multiple Dwelling Law § 302 (1) (b), which clearly provides that “[n]o rent shall be recovered by the owner of such premises . . . and no action or special proceeding shall be maintained therefor, or for possession of said premises for nonpayment of such rent.”

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 593, 620, 853.
CARMODY-WAIT 2d, Summary Proceedings to Recover Possession of Real Property §§ 90:14, 90:159, 90:164.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 43:27, 43:29.
MCKINNEY'S, Multiple Dwelling Law § 285 (1); § 302 (1) (b).
NY JUR 2d, Buildings, Zoning, and Land Controls §§ 28, 52; NY JUR 2d, Landlord and Tenant § 362; NY JUR 2d, Real Property—Possessory and Related Actions § 102.
NEW YORK REAL PROPERTY SERVICE §§ 73:27, 73:42, 80:6, 81:26.

ANNOTATION REFERENCE

See ALR Index under Certificates of Occupancy; Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Goodfarb & Sandercock, LLP, New York City (*Margaret B. Sandercock* of counsel), for appellant. I. A Loft Law landlord can only collect rent when in compliance with Multiple Dwelling Law § 284. II. A Loft Law landlord who is not in compliance with section 284 is barred by Multiple Dwelling Law § 285 (1) from bringing an action in ejectment due to nonpayment of rent. (*99 Commercial St. v Llewellyn*, 240 AD2d 481; *County Dollar Corp. v Douglas*, 160 AD2d 537; *902 Assoc. v Total Picture Creative Servs.*, 144 Misc 2d 316.) III. A Loft Law tenant whose landlord does not meet statutory fire and safety standards should be permitted to withhold rent as a means of encouraging the landlord to meet its obligations. (*Matter of Bikman v New York City Loft Bd.*, 14 NY3d 377; *Caldwell v American Package Co., Inc.*, 57 AD3d 15.) IV. The courts below erred in failing to address appellant's ability to pay rent and cure her alleged default. (*Iltit Assoc. v Sterner*, 63 AD2d 600; *Young v Lucas*, 1 AD2d 754; *Clark v Williams*, 149 Misc 2d 945; *County Dollar Corp. v Douglas*, 160 AD2d 537; *99 Commercial St. v*

Llewellyn, 240 AD2d 481; *Baer v Gotham Craftsman*, 154 Misc 2d 490; *Park W. Mgt. Corp. v Mitchell*, 47 NY2d 316.)

Tenenbaum Berger & Shivers LLP, Brooklyn (*David M. Berger* of counsel), for respondent. I. A tenant may not both abstain from paying rent and demand continued occupancy. The statute never abrogated the common-law right to recover possession. (*Goho Equities v Weiss*, 149 Misc 2d 628; *Wokal v Sequin*, 167 Misc 463; *Caldwell v American Package Co., Inc.*, 57 AD3d 15; *99 Commercial St. v Llewellyn*, 240 AD2d 481; *Jordan Mfg. Corp. v Zimmerman*, 169 AD2d 815; *Le Sannom Bldg. Corp. v Lassen*, 173 AD2d 249; *Carnegie Hall, Inc. v Zysman*, 238 App Div 515; *J.Z. & A.E. Realty Corp. v Putnam*, 258 AD2d 442; *Dulac v Dabrowski*, 4 AD3d 308; *1018 Dev. Co. v Howard*, 1 Misc 3d 128[A], 2003 NY Slip Op 51567[U].) II. There is no split between the First and Second Departments. (*County Dollar Corp. v Douglas*, 160 AD2d 537; *902 Assoc. v Total Picture Creative Servs.*, 144 Misc 2d 316; *Le Sannom Bldg. Corp. v Lassen*, 173 AD2d 249; *Cromwell v Le Sannom Bldg. Corp.*, 171 AD2d 458.) III. There is no right to an offset under the warranty of habitability. (*Cromwell v Le Sannom Bldg. Corp.*, 171 AD2d 458.)

Robert Petrucci, New York City, for Lower Manhattan Loft Tenants, amicus curiae. I. The court below erred in allowing Chazon, LLC to maintain an action for possession based on nonpayment of rent. (*Caldwell v American Package Co., Inc.*, 57 AD3d 15; *B.S.L. One Owners Corp. v Rubenstein*, 159 Misc 2d 903; *BFN Realty Assoc. v Cora*, 8 Misc 3d 139[A], 2005 NY Slip Op 51338[U]; *40 Clinton St. Assoc. v Dolgin*, 126 Misc 2d 373; *468-470 Ninth Ave. Corp. v Randall*, 199 AD2d 13; *Hornfeld v Gaare*, 130 AD2d 398; *99 Commercial St. v Llewellyn*, 240 AD2d 481; *Jo-Fra Props., Inc. v Bobbe*, 81 AD3d 29, 17 NY3d 933; *640 Broadway Renaissance Co. v Eisner*, 212 AD2d 376; *County Dollar Corp. v Douglas*, 161 AD2d 370.) II. The Second Department is unique in its incorrect holding that a noncompliant landlord of an interim multiple dwelling can eject a Loft-Law-protected tenant for nonpayment of rent. (*Jo-Fra Props., Inc. v Bobbe*, 81 AD3d 29; *Le Sannom Bldg. Corp. v Lassen*, 173 AD2d 249; *Cromwell v Le Sannom Bldg. Corp.*, 171 AD2d 458, 222 AD2d 307; *99 Commercial St. v Llewellyn*, 240 AD2d 481; *Nestor v McDowell*, 81 NY2d 410; *Killington Invs. v Leino*, 148 AD2d 334.)

OPINION OF THE COURT

SMITH, J.

[1] We hold that the landlord of a New York City loft who has not complied with the Loft Law and has not received an extension of time to comply may not maintain an ejectment action based on nonpayment of rent.

Plaintiff is the owner of a loft building in Brooklyn. Defendant-appellant occupies an apartment in that building, for which she has paid no rent since 2003. Plaintiff brought this action in ejectment; Supreme Court granted summary judgment awarding plaintiff possession of the apartment, and the Appellate Division affirmed (81 AD3d 769 [2011]). We granted permission to appeal (17 NY3d 705 [2011]), and now reverse. We conclude that, under the present circumstances, the landlord is not entitled either to collect rent or to evict the tenant. To explain why, we must summarize the historical background and the content of the relevant statutes.

The apartments commonly referred to as “lofts” are in buildings formerly used for commercial purposes—often former factories—that have been rented to residential tenants. Because the buildings do not have a residential certificate of occupancy, this use of the property is contrary to Multiple Dwelling Law § 301 (1), which says that, with exceptions not relevant here, “[n]o multiple dwelling shall be occupied in whole or in part until the issuance” of such a certificate. Section 302 (1) of the Multiple Dwelling Law says:

“a. If any dwelling or structure be occupied in whole or in part for human habitation in violation of section three hundred one, during such unlawful occupation . . .

“b. No rent shall be recovered by the owner of such premises for said period, and no action or special proceeding shall be maintained therefor, or for possession of said premises for nonpayment of such rent.”

Until the Legislature enacted the Loft Law (Multiple Dwelling Law art 7-C) in 1982 (L 1982, ch 349), the residential occupancy of lofts was illegal pure and simple: The tenants had no right to be there, and the landlords had no right to collect rent. Such illegal occupancies were common in New York City, and the Legislature enacted the Loft Law as a means of bringing them within the law.

The Loft Law defines the term “interim multiple dwelling” to mean, essentially, any of these illegally occupied buildings (Multiple Dwelling Law § 281). It establishes a series of deadlines by which the owners of interim multiple dwellings are required to alter them to conform to safety and fire protection standards, ultimately doing everything necessary to obtain a residential certificate of occupancy (Multiple Dwelling Law § 284 [1]). A landlord unable to meet the deadlines “for reasons beyond his/her control” is entitled to an extension of time if that landlord demonstrates to the Loft Board (an agency established by Multiple Dwelling Law § 282) that he or she “has made good faith efforts” to comply (Multiple Dwelling Law § 284 [1] [vii]). Until the certificate of occupancy is obtained, the rents in interim multiple dwellings are regulated, and the tenants are protected against eviction (Multiple Dwelling Law § 286), while the landlords, as long as they are in compliance with the Loft Law, are relieved from the prohibition against collecting rent or seeking eviction for nonpayment. Section 285 (1) of the Multiple Dwelling Law says: “Notwithstanding the provisions of section three hundred two . . . of this chapter, the owner of an interim multiple dwelling may recover rent payable . . . and maintain an action or proceeding for possession of such premises for nonpayment of rent, provided that he is in compliance with this article.”

As an effort to bring loft buildings into compliance with the law, the Loft Law has been less than a complete success. The deadlines for compliance have been extended several times (*see* Multiple Dwelling Law § 284 [1] [ii]-[v]). In 1983, there were 914 buildings under the Loft Board’s jurisdiction (Lebovits and Rzesniowiecki, *The New York Loft Law*, 38 NY Real Prop LJ [No. 2] 21, 28 n 28 [spring 2010]). By 1989, when the law had been in effect seven years, Justice Ostrau of the Appellate Term, dissenting in *902 Assoc. v Total Picture Creative Servs.* (144 Misc 2d 316, 320 [App Term, 1st Dept 1989]), said that “[v]ery few interim multiple dwellings in this city have been legalized.” Even now, when the law has been in effect for 30 years, there are, according to the Loft Board’s Web site, 304 buildings—almost one-third of the 1983 total—that remain as “interim multiple dwellings” (<http://www.nyc.gov/html/loft/html/buildings/buildings.shtml> [last visited May 30, 2012]). The reason for the slow pace of legalization is not clear—predictably, tenants blame landlords, while landlords blame tenants and the Loft Board—but it appears to present a significant practical problem.

The problem is illustrated by this case, in which the landlord remains out of compliance with the Loft Law and the tenant has paid no rent for nine years. The landlord has neither met the Loft Law deadlines nor obtained an extension of time from the Loft Board. (Indeed, in 2006 the Loft Board specifically rejected the landlord's claim that compliance was hindered by circumstances beyond its control.) In the absence of compliance, the law's command is quite clear: "No rent shall be recovered by the owner of such premises . . . and no action or special proceeding shall be maintained therefor, or for possession of said premises for nonpayment of such rent." Those are the words of Multiple Dwelling Law § 302 (1) (b), and Multiple Dwelling Law § 285 (1) makes an exception only for a landlord who is "in compliance with" the Loft Law. In other words, the statutes leave these parties in their present stalemate until compliance has been achieved.

Several opinions from intermediate appellate courts, perhaps finding this sort of result undesirable, have concluded that it can be avoided. In *902 Associates*, the Appellate Term majority held that "compliance with Multiple Dwelling Law § 284 (1) must be pleaded and proven in order to successfully maintain a nonpayment proceeding against an occupant of an interim multiple dwelling" (144 Misc 2d at 317); but Justice Ostrau dissented, protesting that the majority "has now jeopardized the rent roll of almost every interim multiple dwelling in this city" (*id.* at 320). In *Le Sannom Bldg. Corp. v Lassen* (173 AD2d 249, 250 [1st Dept 1991]), the Appellate Division concluded, without explanation:

"The tenants' argument that they cannot be ejected because they are protected loft tenants under Multiple Dwelling Law article 7-C is without merit. While the article protects tenants from being ejected due to the lack of a residential certificate of occupancy, it does not preclude ejectment for nonpayment of rent."

And in *99 Commercial St. v Llewellyn* (240 AD2d 481 [2d Dept 1997]), the Appellate Division sustained a claim for ejectment by the landlord of a loft building, rejecting an argument based on the absence of a residential certificate of occupancy. As in *Le Sannom*, the court in *99 Commercial* did not explain its rationale. It simply said: "Although Llewellyn's argument has merit in a summary proceeding for the nonpayment of rent, the plaintiff herein brought an ejectment proceeding. The case at

bar is an action to recover possession of real property and not to recover rent” (*id.* at 483).

The tenant here suggests that *Le Sannom* may be distinguishable from this case, because for all that appears in the opinion the landlord may have been in compliance with the Loft Law. The tenant does not attempt to distinguish *99 Commercial*, but says it was wrongly decided.

[2] The results favored by Justice Ostrau in *902 Associates*, and reached by the Appellate Division in *Le Sannom* and *99 Commercial*—and in this case, where the Appellate Division relied on its earlier decisions—may make sense from a practical point of view. But we find nothing in the opinions endorsing such results, nothing in the arguments of the landlord here, and nothing anywhere else to explain how they can be reconciled with the text of the statute. They simply cannot. Multiple Dwelling Law § 302 (1) (b) bars not only an action to recover rent, but also an “action or special proceeding . . . for possession of said premises for nonpayment of such rent.” This is such an action, and it is barred. If that is an undesirable result, the problem is one to be addressed by the Legislature.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the complaint dismissed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

[971 NE2d 369, 948 NYS2d 239]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GILBERTO RAMOS, Appellant.

Argued May 3, 2012; decided June 12, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 27, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had convicted defendant, upon his plea of guilty, of robbery in the third degree, and sentenced defendant, as a second felony offender, to a term of 2 to 4 years' imprisonment.

People v Ramos, 80 AD3d 537, modified.

HEADNOTE

Crimes — Sentence — Second Felony Offender — Predicate Offense

Under New York's "strict equivalency" standard for convictions rendered in other jurisdictions, a federal conviction for conspiracy to commit a drug crime may not serve as a predicate felony for sentencing purposes. In determining whether a crime committed in another jurisdiction qualifies as a predicate felony under Penal Law § 70.06 (1) (b), inquiry is generally limited to a comparison of the crimes' elements as they are respectively defined in the foreign and in New York penal statutes. A comparison of the federal drug conspiracy statute (21 USC § 846) with New York's conspiracy statutes (Penal Law § 105.00 *et seq.*) reveals a conspicuous difference: the commission of an overt act by one of the conspirators in furtherance of the conspiracy is required in New York, but not under federal law. Because New York law requires proof of an element that federal law does not, a conviction for conspiracy to distribute heroin and to possess it with intent to distribute (*see* 21 USC §§ 846, 841) could not serve as a predicate for sentencing defendant as a second felony offender. The "overt act" requirement is not merely an evidentiary requirement, but is an element of the crime of conspiracy. It is a fact whose existence the People must plead and prove to obtain a conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conspiracy §§ 15, 49; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 19, 20, 25, 42, 44.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:101, 203:102.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.
MCKINNEY's, Penal Law § 105.00 *et seq.*

NY JUR 2d, Criminal Law: Procedure § 3243; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 249, 263.

21 USCA §§ 841, 846.

ANNOTATION REFERENCE

See ALR Index under Conspiracy; Habitual Criminals and Subsequent Offenders.

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Query: predicate /s federal /4 conspiracy /s convict! & overt /2 act

POINTS OF COUNSEL

Legal Aid Society, New York City (*Laura Boyd* and *Steven Banks* of counsel), for appellant. Appellant was improperly sentenced as a predicate felon because his federal drug conspiracy conviction cannot serve as a predicate felony in New York. (*People v Sailor*, 65 NY2d 224; *People v Muniz*, 74 NY2d 464; *People v Gonzalez*, 61 NY2d 586; *People v Olah*, 300 NY 96; *United States v Shabani*, 513 US 10; *People v Sheldon*, 139 NY 251; *People v Washington*, 8 NY3d 565; *People v Caban*, 5 NY3d 143; *People v Leisner*, 73 NY2d 140; *People v Kohut*, 30 NY2d 183.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Sean T. Masson* and *Sylvia Wertheimer* of counsel), for respondent. Defendant was correctly sentenced as a second felony offender. (*People v Muniz*, 74 NY2d 464; *People v Gonzalez*, 61 NY2d 586; *People v Walker*, 81 NY2d 661; *People v Olah*, 300 NY 96; *United States v Chavez*, 549 F3d 119; *Lawton v Steele*, 119 NY 226; *People v West*, 106 NY 293; *People v Marrero*, 69 NY2d 382; *People v Goetz*, 68 NY2d 96; *People v Dlugash*, 41 NY2d 725.)

OPINION OF THE COURT

SMITH, J.

We hold that, under New York's "strict equivalency" standard for convictions rendered in other jurisdictions, a federal conviction for conspiracy to commit a drug crime may not serve as a predicate felony for sentencing purposes.

Defendant was convicted, on his plea of guilty, of third degree robbery, a felony (Penal Law § 160.05). He was sentenced as a second felony offender, on the basis of a previous conviction in the United States District Court for the Southern District of

New York of conspiracy to distribute heroin, and to possess it with intent to distribute (21 USC § 846, 21 USC § 841 [a] [1]). The Appellate Division affirmed his conviction and sentence, rejecting the argument that he was improperly adjudicated a predicate felon (*People v Ramos*, 80 AD3d 537 [1st Dept 2011]). A Judge of this Court granted leave to appeal (17 NY3d 821 [2011]), and we now modify the Appellate Division's order.

Penal Law § 70.06 (1) (b) says:

“For the purpose of determining whether a prior conviction is a predicate felony conviction the following criteria shall apply:

“(i) The conviction must have been in this state of a felony, or in any other jurisdiction of an offense for which a sentence to a term of imprisonment in excess of one year or a sentence of death was authorized and is authorized in this state.”

We have interpreted the words “is authorized in this state” to require that the crime of which the defendant was convicted in another jurisdiction include all the essential elements of a New York felony (*People v Muniz*, 74 NY2d 464, 467-468 [1989]). As a general rule (with an exception not relevant here), inquiry “is limited to a comparison of the crimes’ elements as they are respectively defined in the foreign and New York penal statutes” (*id.*). It is immaterial that the crime actually committed in the foreign jurisdiction may be the equivalent of a felony in New York, if the foreign statute would have permitted a conviction for conduct that did not amount to a New York felony (*see People v Olah*, 300 NY 96, 98-99 [1949]; *People v Gonzalez*, 61 NY2d 586 [1984]; *People v Muniz*, 74 NY2d at 467-469). We have referred to our test as one of “strict equivalency,” and have observed that “technical distinctions between the New York and foreign penal statutes can preclude use of a prior felony as a predicate for enhanced sentencing” (*Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 751 [2007]).

Thus, to decide if defendant here was properly sentenced as a predicate felon, we must compare the federal drug conspiracy statute, 21 USC § 846, with our own statutes prohibiting conspiracy, Penal Law § 105.00 *et seq.* When we do so, we find a conspicuous difference: The commission of an overt act by one of the conspirators in furtherance of the conspiracy is required under New York, but not under federal, law. Penal Law § 105.20

says: “A person shall not be convicted of conspiracy unless an overt act is alleged and proved to have been committed by one of the conspirators in furtherance of the conspiracy.” The same is not true under the federal statute, as the United States Supreme Court held in *United States v Shabani* (513 US 10, 11 [1994]): “This case asks us to consider whether 21 [USC] § 846, the drug conspiracy statute, requires the Government to prove that a conspirator committed an overt act in furtherance of the conspiracy. We conclude that it does not.”

Because New York law requires proof of an element that federal law does not, defendant’s federal conspiracy conviction cannot serve as a predicate.

Seeking an escape from this conclusion, the People argue that New York’s “overt act” requirement is not an “element” of the crime of conspiracy, but merely an “evidentiary requirement”—analogous, the People suggest, to the corroboration requirements imposed by certain other sections of the Penal Law (*see* Penal Law §§ 115.15, 130.16, 255.30). We find the argument unpersuasive. In several cases, beginning in the nineteenth century and continuing into the twenty-first, we have either explicitly labeled the overt act as an “element” of the crime of conspiracy, or have used words equivalent in meaning to “element” to describe it. Thus in *People v Sheldon* (139 NY 251, 265 [1893]), we said: “The object of the statute [requiring an overt act] was to require something more than a mere agreement to *constitute* a criminal conspiracy” (emphasis added). In *People v Hines* (284 NY 93, 112 [1940]), we said: “[A]n overt act is an essential *ingredient* of the crime of conspiracy. (Penal Law, § 583.) Whatever the relative weight of the unlawful agreement and of the overt act as necessary *parts* of the crime, the latter is a required *element*” (emphasis added). In *People v McGee* (49 NY2d 48, 57-58 [1979]), we said: “the overt act itself is not the crime in a conspiracy prosecution; it is merely an *element* of the crime” (emphasis added). In *People v Caban* (5 NY3d 143, 149 [2005]), we said: “A conspiracy *consists* of an agreement to commit an underlying substantive crime (here, murder), coupled with an overt act committed by one of the conspirators in furtherance of the conspiracy” (emphasis added). And in *People v Washington* (8 NY3d 565, 570 [2007]), we repeated the quoted language from *Caban*.

If we were to analyze the question without the aid of precedent, the result would be the same: The overt act is an element of the crime. It is a fact whose existence the People must plead

and prove to obtain a conviction. It differs from corroboration, which is a kind of evidence required to prove a fact. The analogy the People would have us draw fails.

Accordingly, the order of the Appellate Division should be modified by remitting the case to Supreme Court for resentencing, and as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order modified, etc.

[972 NE2d 87, 948 NYS2d 846]

In the Matter of HAILEY ZZ., a Child Alleged to be Permanently Neglected. TOMPKINS COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; RICKY ZZ., Appellant.

Argued May 1, 2012; decided June 7, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 2, 2011. The Appellate Division affirmed (1) an order of the Supreme Court, Tompkins County (William F. Ames, J.), which had granted petitioner's application to adjudicate Hailey ZZ. a permanently neglected child and found respondent to have permanently neglected the child, and (2) an order of that court which had committed guardianship and custody of the child to the Tompkins County Department of Social Services and terminated respondent's parental rights to the child.

Matter of Hailey ZZ. (Ricky ZZ.), 85 AD3d 1265, affirmed.

HEADNOTES

Parent and Child — Termination of Parental Rights — Permanent Neglect

1. In a proceeding to terminate the parental rights of the incarcerated respondent on the ground of permanent neglect, there was record support for Supreme Court's affirmed findings that petitioner authorized agency exercised diligent efforts to encourage and strengthen the parental relationship, and that for a period of more than a year respondent failed to plan for his child's future in a "realistic and feasible" way (*see* Social Services Law § 384-b [7] [c]). Petitioner established that it arranged visitation for respondent, communicated with him regarding service plans and the child's progress and investigated various relatives proposed as resources for placement. Effectively, respondent's plan for the child was to let the county care for her in foster care until he got out of prison, at which time he would start the hard work to get the child back. Incarcerated parents are not excused from the requirement that they plan for their child's future.

Parent and Child — Termination of Parental Rights — Posttermination Contact

2. Family Court lacks authority to direct continuing contact between a parent and child once parental rights have been terminated pursuant to Social Services Law § 384-b. There is no statutory support for such authority outside the context of a voluntary surrender pursuant to Social Services Law § 383-c, and Family Court does not possess an inherent discretionary authority to provide for posttermination contact in a dispositional order when determined to be in the child's best interests. The Legislature, the entity best suited to

balance the critical social policy choices and the delicate issues of family relations involved in such matters, has not sanctioned judicial imposition of post-termination contact where parental rights are terminated after a contested proceeding. Accordingly, respondent's request for posttermination visitation with his daughter after his parental rights were terminated on the ground of permanent neglect was properly denied.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 54, 55, 117, 131; AM JUR 2d, Parent and Child § 16.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:639–119A:641, 119A:646, 119A:648, 119A:660.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 8:38, 8:43.

McKINNEY's, Social Services Law §§ 383–c, 384–b.

NY JUR 2d, Domestic Relations §§ 1273, 1276, 1281, 1285, 1289, 1876.

ANNOTATION REFERENCE

Parent's involuntary confinement, or failure to care for child as a result thereof, as evincing neglect, unfitness, or the like in dependency or divestiture proceeding. 79 ALR3d 417.

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POINTS OF COUNSEL

Paul J. Connolly, Delmar, for appellant. I. Because Tompkins County Department of Social Services did not prove by clear and convincing evidence that it exercised diligent efforts to encourage and strengthen appellant's relationship with his child, or that appellant failed to plan for his child, Supreme Court should have dismissed the petition. (*Matter of Gregory B.*, 74 NY2d 77; *Matter of Star Leslie W.*, 63 NY2d 136; *Matter of Jamie M.*, 63 NY2d 388; *Matter of Sheila G.*, 61 NY2d 368; *Matter of Lawrence KK. [Lawrence LL.]*, 72 AD3d 1233, 14 NY3d 713; *Santosky v Kramer*, 455 US 745; *Matter of Natasha RR.*, 42 AD3d 769, 9 NY3d 812; *Matter of Joseph Jerome H.*, 224 AD2d 224; *Matter of Antonio EE. v Schoharie County Dept. of Social*

Servs., 38 AD3d 944, 8 NY3d 813; *People v Greaves*, 94 NY2d 775.) II. If appellant's Supreme Court attorney failed to preserve the issues raised in point I, then appellant was denied his constitutional and statutory right to the effective assistance of counsel. (*Matter of Deon M. [Vernon B.]*, 68 AD3d 1740; *Matter of Evan F.*, 29 AD3d 905; *Matter of Eileen R. [Carmin S.]*, 79 AD3d 1482; *Henry v Poole*, 409 F3d 48; *Matter of Matthew C.*, 227 AD2d 679; *Matter of Brenden O.*, 20 AD3d 722; *Matter of State of New York v Campany*, 77 AD3d 92, 15 NY3d 713; *People v Turner*, 5 NY3d 476; *People v Caban*, 5 NY3d 143.) III. The courts below erred in concluding that Supreme Court had no authority to order posttermination contact between appellant and his child. (*Matter of Gregory B.*, 74 NY2d 77; *Matter of McDevitt*, 176 App Div 418, 221 NY 598; *Matter of Dana Marie E.*, 128 Misc 2d 1018; *Matter of Anthony*, 113 Misc 2d 26; *Matter of Raana Beth N.*, 78 Misc 2d 105; *People ex rel. Sibley v Sheppard*, 54 NY2d 320; *Matter of Scranton v Hutter*, 40 AD2d 296; *Matter of Delores B.*, 141 AD2d 100; *Matter of Jacob*, 86 NY2d 651; *Matter of Stephen B.*, 176 AD2d 1204, 79 NY2d 752, 914.)

Daniel S. Feder, Ithaca, for respondent. I. The trial court properly ordered termination of appellant's parental rights. (*Matter of Lawrence KK. [Lawrence LL.]*, 72 AD3d 1233, 14 NY3d 713; *Matter of Gregory B.*, 74 NY2d 77; *Matter of Star Leslie W.*, 63 NY2d 136; *Matter of Nathaniel T.*, 67 NY2d 838; *Matter of Irene O.*, 38 NY2d 776; *Matter of Laelani B.*, 59 AD3d 880; *Matter of Tennant v Philpot*, 77 AD3d 1086; *Matter of Bronson v Bronson*, 63 AD3d 1205; *Matter of Kaiden AA. [John BB.]*, 81 AD3d 1209.) II. Appellant received effective assistance of counsel. (*Matter of Gerald BB.*, 51 AD3d 1081.) III. Posttermination visitation was properly denied. (*Matter of Van Berkel v Power*, 16 NY2d 37; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Lanz v Feola*, 181 AD2d 1053; *Matter of Carter v Carter*, 58 AD2d 438; *People v Michael C.*, 27 NY2d 79; *Santosky v Kramer*, 455 US 745; *Matter of Jacob*, 86 NY2d 651; *Matter of Gregory B.*, 74 NY2d 77; *Lassiter v Department of Social Servs. of Durham Cty.*, 452 US 18; *Matter of McDevitt*, 176 App Div 418.)

O'Connor & Kruman, P.C., Cortland (*Randolph V. Kruman* of counsel), Attorney for the Child. I. Supreme Court properly determined that Tompkins County Department of Social Services proved by clear and convincing evidence that appellant failed to plan for the future of the child. (*Matter of Charles Frederick Eugene M.*, 171 AD2d 343; *Matter of Gregory B.*, 74

NY2d 77.) II. Supreme Court properly denied appellant's request for a suspended judgment. (*Matter of Love Russell J.*, 7 AD3d 799.) III. Supreme Court properly denied appellant's request for posttermination visitation. (*Matter of Jessi W.*, 20 AD3d 620; *Matter of Shane J. v Cortland County Dept. of Social Servs.*, 305 AD2d 751; *Matter of Melissa DD.*, 45 AD3d 1219; *Matter of John KK.*, 34 AD3d 1050.) IV. Posttermination visitation is not in the child's best interest.

Legal Aid Bureau of Buffalo, Inc., Buffalo (*Russell E. Fox*, *David C. Schopp* and *Pamela L. Neubeck* of counsel), for Legal Aid Bureau of Buffalo, Inc., amicus curiae. Family Court's discretion to consider whether posttermination visitation is in a child's best interest should not be curtailed. (*Matter of Jessica Marie Q.*, 303 AD2d 512; *Matter of Corinthian Marie S.*, 297 AD2d 382; *Matter of Kahlil S.*, 35 AD3d 1164, 8 NY3d 977; *Matter of McDevitt*, 176 App Div 418, 221 NY 598; *Matter of Gregory B.*, 74 NY2d 77; *Stanley v Illinois*, 405 US 645.)

William K. Taylor, County Attorney, Rochester (*Peter A. Essley* of counsel), for Monroe County Department of Social Services, amicus curiae. I. The trial court properly ordered termination of appellant's parental rights. (*Matter of Sheila G.*, 61 NY2d 368; *Matter of Roderick W.*, 96 AD2d 746; *Matter of Jamie Y.*, 92 AD2d 696; *Matter of Janet AA.*, 88 AD2d 670; *Matter of Lisa Ann U.*, 75 AD2d 944; *Matter of Star Leslie W.*, 63 NY2d 136; *Matter of Michael B.*, 80 NY2d 299; *Matter of Cheyanne V.*, 55 AD3d 1383.) II. The trial court properly denied posttermination visitation. (*Matter of Gregory B.*, 74 NY2d 77; *Matter of Jacob*, 86 NY2d 651; *Matter of Cheyanne M.*, 299 AD2d 162; *Matter of Mia T. [Emilio T.]*, 88 AD3d 730; *Matter of Best*, 66 NY2d 151; *Matter of Murphy*, 6 NY3d 36; *Matter of Joyce T.*, 65 NY2d 39; *Matter of Kahlil S.*, 35 AD3d 1164; *Jones v Beame*, 45 NY2d 402; *Kleila v Kleila*, 50 NY2d 277.)

Stephen M. Dorsey, County Attorney, Ballston Spa (*Karen E.S. D'Andrea* of counsel), and *Roger A. Wickes*, County Attorney, Fort Edward (*Daniel S. Martindale* of counsel), for Saratoga County Department of Social Services and another, amici curiae. I. Children in foster care are entitled to real and final permanency. (*Matter of Gregory B.*, 74 NY2d 77.) II. A statutory scheme for posttermination contact already exists via judicial or extrajudicial surrender. (*Matter of Alexandra C.*, 157 Misc 2d 262; *Matter of Christopher F.*, 260 AD2d 97; *Matter of April S.*, 307 AD2d 204; *Matter of Xionia VV. [Amos VV.]*, 78 AD3d 1452;

Matter of Selena C. [Thelma C.], 77 AD3d 659; *People ex rel. Sibley v Sheppard*, 54 NY2d 320.) III. A failure to provide the biological parent with posttermination contact after a contested proceeding is not a denial of due process. (*Matter of April S.*, 307 AD2d 204; *Matter of Alex MM.*, 260 AD2d 675; *Matter of Israel R.*, 200 AD2d 498; *Matter of Lovell Raeshawn McC.*, 308 AD2d 589; *Matter of Joyce T.*, 65 NY2d 39; *Matter of Demariah A. [Rebecca B.]*, 71 AD3d 1469; *Matter of Michael E.*, 241 AD2d 635; *Matter of Nereida S.*, 57 NY2d 636; *Matter of Joshua BB.*, 27 AD3d 867; *Matter of Dionne W.*, 267 AD2d 1096.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to resolve a conflict within the Appellate Division as to whether Family Court may direct continuing contact between parent and child once parental rights have been terminated pursuant to Social Services Law § 384-b. We hold that the court lacks this authority.

I.

Hailey ZZ., born in late 2007, initially resided with her birth mother and father and an older half-sister, a child of Hailey's mother and a different father. Father was sentenced to 5 to 15 years in prison in early 2008, when Hailey was three months old, and has apparently remained incarcerated ever since. On November 5, 2008, the Tompkins County Department of Social Services (DSS), effecting a removal under section 1024 of the Family Court Act, took Hailey and her half-sister away from their mother. The girls were placed in DSS's custody to reside with certified foster parents.

On March 26, 2010, DSS filed petitions against both parents, seeking orders adjudicating Hailey to be permanently neglected, terminating parental rights and committing her guardianship and custody to DSS (*see* Social Services Law § 384-b; Family Ct Act § 614). On July 23, 2010, Hailey's mother surrendered her parental rights and signed a postadoption visitation agreement (*see* Social Services Law § 383-c). DSS withdrew its petition against mother, and proceeded with the fact-finding hearing against father (Family Ct Act § 622).

In a decision and order entered on August 12, 2010, Supreme Court¹ first determined that DSS had made the requisite diligent efforts to encourage and strengthen the parental relationship by maintaining regular contact with father after Hailey's placement in November 2008, insuring monthly visitations, requesting the necessary information to plan for the child's care and investigating the individuals whom father suggested to be Hailey's caretakers. He noted that DSS's diligent efforts "overcame as many barriers" posed by father's incarceration "as possible to assist [him] in reuniting with the child."

Next, Supreme Court determined that father had failed to plan for Hailey's future for more than one year after she came under DSS's care. The judge acknowledged that father had maintained contact with Hailey and DSS and had participated in various prison programs, but opined that this was insufficient. He observed that father was not likely to be released from prison until June 2011 at the earliest, and more likely later, possibly not until 2018; that once released, father would "have to obtain suitable housing and address some parenting issues prior to gaining placement of the child"; and that Hailey had already been in foster care for 20 months and "need[ed] to achieve permanency."

As a result of these circumstances, Supreme Court concluded that father's "only alternative [was] to come up with a plan for the care of [Hailey] until he [was] able to resume custody." The judge concluded that father failed to do this because the family members or others whom he proposed to care for Hailey were uniformly unsuitable: his father had a "lengthy history" with DSS, and one sister had such a "history" as well; father "admitted" that neither would be an "appropriate" custodian; the other sister was fired from her job as a health aide after being accused of elder abuse;² and his girlfriend of seven months and the distant relatives whom he identified barely knew Hailey, and "there [was] no indication whatsoever that they [were] interested or appropriate." Accordingly, Supreme Court adjudicated Hailey to be permanently neglected and ordered the requisite dispositional hearing (*see* Family Ct Act §§ 623, 625).

1. This matter was transferred from Family Court to Supreme Court and referred to Supreme Court's Integrated Domestic Violence Part, where it was handled by a Family Court judge designated an acting Supreme Court justice.

2. Father testified that this sister, the 26-year-old single mother of a two-week-old infant at the time, was living with their 71-year-old grandmother.

In a decision and order entered on October 29, 2010 after the dispositional hearing, Supreme Court considered whether it was in Hailey's best interests to terminate father's parental rights and commit guardianship to DSS, or, alternatively, suspend judgment.³ The judge remarked that father had been in prison "during the entire period" of Hailey's foster care—two thirds of her life—and that once released, would still need to obtain stable housing and "possibly engage in other services[] before the child could be returned to his care." He concluded that it was in Hailey's best interests to terminate father's parental rights and free her for adoption so as to achieve permanency.

Additionally, Supreme Court denied father's request for continuing visitation with Hailey. Father cited several Fourth Department cases to support the availability of this option. The judge noted, though, that Third Department precedent did not allow for a court to mandate continuing contact between a parent and child after parental rights had been terminated pursuant to Social Services Law § 384-b. He added that such contact would, in any event, not be in Hailey's best interests as there was no evidence of any emotional or lasting connection between Hailey and father; indeed, they had spent only about 72 hours together in two years' time, or the equivalent of 3 out of 730 days. Nor was there evidence to show whether Hailey's potential adoptive parents "would be receptive to future visitation for [father]," or, if this adoption fell through, whether such a requirement "would discourage other potential adoptive parents." In sum, Supreme Court ruled it was in Hailey's best interests to terminate father's parental rights, without posttermination visitation "even if the Third Department allowed [it]," rather than suspend judgment. Father appealed.

The Appellate Division affirmed, concluding that the evidence supported Supreme Court's finding that DSS "made the requisite diligent efforts"; and there was "no basis to disturb the [judge's] conclusion that [father] failed to plan for the child's future" (85 AD3d 1265, 1266 [3d Dept 2011]). The Appellate Division also determined that the record supported Supreme Court's

3. A suspended judgment is intended to provide an opportunity—in effect, a second chance—for reunification of parent and child. Thus, the court may suspend judgment for up to one year after a finding of permanent neglect has been made, subject to an extension for an additional year in the event of exceptional circumstances (*see* Family Ct Act § 633).

“finding that, instead of remaining in foster care on a long-term basis while [father] remains incarcerated, it is in the child’s best interests to be freed for adoption by the foster parents, who have expressed a willingness to adopt [Hailey] and her half sister, to whom she is closely bonded” (*id.* at 1266-1267).⁴

Further, “the request for posttermination visitation was properly denied as unavailable in a contested termination proceeding” (*id.* at 1267). We granted father leave to appeal (17 NY3d 709 [2011]), and now affirm.

II.

An authorized agency that brings a proceeding to terminate parental rights based upon permanent neglect bears the burden of establishing that it has made “diligent efforts to encourage and strengthen the parental relationship” (Social Services Law § 384-b [7] [a]; see *Matter of Sheila G.*, 61 NY2d 368, 380-381 [1984]). “Those efforts must include counseling, making suitable arrangements for visitation, providing assistance to the parents to resolve or ameliorate the problems preventing discharge of the child to their care and advising the parent at appropriate intervals of the child’s progress and development” (*Matter of Star Leslie W.*, 63 NY2d 136, 142 [1984]; see Social Services Law § 384-b [7] [f]).

Once diligent efforts have been established, the agency must prove that the parent has permanently neglected the child, as defined in Social Services Law § 384-b (7) (a), by

“fail[ing] for a period of [more than one year] following the date such child came into the care of an authorized agency substantially and continuously or repeatedly to maintain contact with or plan for the future of the child, although physically and financially able to do so, notwithstanding the agency’s diligent efforts to encourage and strengthen the parental relationship when such efforts will not be detrimental to the best interests of the child.”

4. At the fact-finding hearing, father testified that although he did not want to separate Hailey from her half-sister, he nonetheless “[did not] think that [his] rights should be taken away from [him] because they want to be placed together.” Similarly, father acknowledged that his desire to retain parental rights, or at least not to surrender them without far more visitation than DSS proposed, was “about [his] feelings” since Hailey was “the only kid [he had]” and he was “going to be in jail probably the next year or so.”

Further, at the ensuing dispositional hearing the court must consider only the best interests of the child involved, which is essentially a factual determination (*see Matter of Star Leslie W.*, 63 NY2d at 147-148).

Father argues that DSS did not prove by the required clear and convincing evidence that it exercised diligent efforts, or that he failed to plan for Hailey. Thus, he contends, Supreme Court should have dismissed the permanent neglect petition. But DSS established that it arranged visitation for father, communicated with him regarding service plans and Hailey's progress and investigated various relatives proposed as resources for placement. And as we emphasized in *Matter of Gregory B.* (74 NY2d 77, 89-90 [1989]), while the Legislature in Social Services Law § 384-b (7)

“acknowledged the ‘special circumstances’ of an incarcerated parent . . . [t]his does not mean . . . that the Legislature intended to approve a plan of indefinite foster care for the child of an incarcerated parent who is serving a lengthy prison term and who cannot provide the child with an alternative living arrangement. Although the statutory scheme favors keeping a child with the natural parent where practicable and stresses the importance of exercising diligent efforts to foster and maintain the cohesiveness of the family unit, permanence in a child's life also has been given a priority, because the Legislature has determined that a normal family life in a *permanent* home offers the best opportunity for a child to develop and thrive. Thus, . . . a primary purpose of the statute is to provide a fair and timely basis to free a child for adoption and that [w]hen it is clear that natural parents cannot offer a normal home for a child, and continued foster care is not an appropriate plan, the statute directs that a permanent home be sought” (internal quotation marks and citation omitted; *see also Matter of Michael B.*, 80 NY2d 299, 310 [1992] [“Extended foster care is not in the child's best interest, because it deprives a child of a permanent, nurturing family relationship”]).

[1] We may review findings of fact, reached by the trial court under the proper evidentiary standard and affirmed by the Appellate Division, only to determine whether they enjoy support in the record (*Matter of Star Leslie W.*, 63 NY2d at 147). Here,

the evidence backs up Supreme Court’s affirmed findings that DSS exercised diligent efforts, and that for a period of more than a year father failed to plan for Hailey’s future in a “realistic and feasible” way (see Social Services Law § 384-b [7] [c]). As amicus curiae Monroe County Attorney put it, “[e]ffectively, [father’s] plan for [Hailey] was to let the county care for her in foster care until he got out of prison . . . , at which time he would start the hard work to get the child back” (see *Matter of Gregory B.*, 74 NY2d at 89 [statutory reforms precluding termination of parental rights based solely on the fact of incarceration “were in no way intended to excuse incarcerated parents from the requirement that they plan for their child’s future”]). In short, the record supports the judge’s determinations adjudicating Hailey a permanently neglected child and terminating father’s parental rights, thus freeing Hailey for adoption.

III.

In the event we decide that his parental rights were properly terminated—as we have—father contends that the lower courts wrongly decided that the hearing court lacked authority to grant him posttermination contact with Hailey. He therefore asks us to remit this matter to the Appellate Division for its review of Supreme Court’s alternative ruling that posttermination visitation would not be in Hailey’s best interests.

The Fourth Department has held that Family Court is authorized to award posttermination contact where parental rights have been terminated pursuant to Social Services Law § 384-b. In *Matter of Kahlil S.* (35 AD3d 1164 [4th Dept 2006], *lv dismissed* 8 NY3d 977 [2007]), the court upheld termination of the mother’s parental rights with respect to her two children, Kahlil S. and Terrell Z., on the ground that she presently and for the foreseeable future was unable, by reason of mental illness, to provide proper and adequate care for them. In this connection, however, the Fourth Department declared that where

“parental rights are terminated after a finding that the parent is unable by reason of mental illness or mental retardation to provide proper and adequate care for his or her child or after a finding of permanent neglect (see Social Services Law § 384-b [4] [c], [d]), Family Court may, in those cases in which the court deems it appropriate, exercise its discretion in

determining whether some form of posttermination contact with the biological parent is in the best interests of the child” (*id.* at 1165).

In so holding, the court expressly disavowed its contrary decisions in *Matter of Kenneth D.* (32 AD3d 1237 [4th Dept 2006]) and *Matter of Livingston County Dept. of Social Servs. v Tracy T.* (16 AD3d 1133 [4th Dept 2005]).⁵

Thus, the Fourth Department in *Matter of Kahlil S.* remitted the matter to Family Court for a hearing as to whether posttermination contact with their mother was in the children’s best interests (35 AD3d at 1165-1166). The court observed that in making this determination, Family Court was to “consider, inter alia, the ages of the children, the bond between [the mother] and the children, and the likelihood that the children will be adopted” (*id.* at 1166).⁶ Section 634 of the Family Court Act is the only statute cited by the Fourth Department to support its decision. This provision states merely that an order entered after a dispositional hearing committing a child’s guardianship and custody to an authorized agency may be made “on such conditions, if any, as [the court] deems proper.”

Subsequent to *Matter of Kahlil S.*, the Fourth Department has handed down decisions reiterating or presuming that Family Court possesses authority to provide for posttermination contact, and must, upon a parent’s request, decide whether such a continuing relationship is in the child’s best interests (see e.g. *Matter of Thomas B.*, 35 AD3d 1289 [4th Dept 2006], *lv dismissed* 8 NY3d 936 [2007] [remitting for best interests determination where parental rights were terminated by reason of mental illness]; *Matter of Bert M.*, 50 AD3d 1509 [4th Dept 2008], *lv denied* 11 NY3d 704 [2008] [same, where parental rights were terminated after a finding of permanent neglect]; *Matter of Josh M.*, 61 AD3d 1366 [4th Dept 2009] [same, where

5. In both cases, parental rights were terminated on the ground of permanent neglect and the Fourth Department opined that Family Court lacked authority to provide for visitation. The court specifically noted in *Matter of Livingston County Dept. of Social Servs.* that “[v]isitation is authorized only where parental rights are surrendered voluntarily” (16 AD3d at 1133).

6. At the hearing held upon remittal, Family Court granted the mother “reasonable” posttermination visitation with Terrell Z., but concluded that posttermination contact with Kahlil S. would interfere with his pending adoption and was therefore not in his best interests. The Appellate Division affirmed (see *Matter of Kahlil S.*, 60 AD3d 1450 [4th Dept 2009], *lv dismissed* 12 NY3d 898 [2009]).

parental rights were terminated on the basis of mental retardation]; *Matter of Diana M.T.*, 57 AD3d 1492 [4th Dept 2008], *lv denied* 12 NY3d 708 [2009] [affirming Family Court's denial of request for posttermination visitation made by father whose parental rights were terminated on the ground of mental illness]; *Matter of Samantha K.*, 59 AD3d 1012 [4th Dept 2009] [Family Court's order terminating father's parental rights upon a finding of permanent neglect, while allowing him to retain visitation rights, was in the child's best interests]; *Matter of Seth M.*, 66 AD3d 1448 [4th Dept 2009], *lv dismissed* 13 NY3d 922 [2010] [concluding that Family Court erred by deciding in permanent neglect proceeding that it lacked authority to permit posttermination visitation, and remitting for best interests determination]; *Matter of Lashawnda G. [Shawn G.]*, 91 AD3d 1348 [2012], *lv denied* 19 NY3d 802 [2012] [record established that Family Court reviewed the relevant factors before determining that posttermination visitation was not in child's best interests]].

The picture in the Second Department is cloudier. That court has endorsed the availability of posttermination contact where parental rights were terminated on the ground of mental retardation (*see Matter of Corinthian Marie S.*, 297 AD2d 382 [2d Dept 2002])⁷ or mental illness (*see Matter of Selena C. [Thelma C.]*, 77 AD3d 659 [2d Dept 2010] ["courts have the *inherent authority*" to provide for posttermination contact where this is "in the best interests of the child and does not unduly interfere with the adoptive relationship" (emphasis added)]), but not where based on abandonment (*see Matter of Lovell Raeshawn McC.*, 308 AD2d 589 [2d Dept 2003]).

In *Matter of Lovell Raeshawn McC.* the court cited *Matter of Cheyanne M.* (299 AD2d 162 [1st Dept 2002]). There, the First Department took the position that "[w]hile postadoption contact is permitted in the context of a surrender agreement pursuant to Social Services Law § 383-c, it remains that 'open adoption' is not a dispositional option in the context of a termination proceeding pursuant to Social Services Law § 384-b" (*id.* at 162, citing *Matter of Gregory B.*, *supra*, and *Matter of Jacob*, 86 NY2d 651 [1995]). But the Second Department recently relied on *Matter of Kahlil S.* and its Fourth Department progeny in a case

7. Notably, in *Matter of Corinthian Marie S.*, the children's law guardian and prospective adoptive parents *consented* to the posttermination contact over the objection of the Dutchess County Department of Social Services.

where a mother's parental rights with respect to two children, one of whom was severely disabled and institutionalized, were terminated on the ground of permanent neglect (*Matter of Kyschawn F.*, 95 AD3d 883 [2d Dept 2012]). The court modified the order of disposition with respect to the disabled child so as to provide for posttermination visitation, and remitted the matter for Family Court to determine what frequency of visits was in the child's best interests.

Matter of April S. (307 AD2d 204 [1st Dept 2003], *lv denied* 1 NY3d 504 [2003]) is the principal case in the First Department to discuss posttermination contact. There, Family Court entered dispositional orders directing postadoption visitation between the mother and her two children after terminating the mother's parental rights upon a finding of permanent neglect. The First Department vacated this provision of the orders, citing its decision in *Matter of Cheyanne M.* and our decision in *Matter of Gregory B.* In discussing *Matter of Gregory B.*, the court emphasized our view "that it [was] up to the Legislature to determine and direct which circumstances, if any, are amenable to the 'open adoption' process"; and added that

"the Legislature did so in 1990, when it enacted Social Services Law § 383-c, for the first time providing for procedures by which a parent may surrender a child conditioned upon the retention of certain rights of contact or visitation. From the fact that no alteration was made to section 384-b, it must be presumed that there was no legislative intent to extend the concept of open adoption to adoptions following parental terminations pursuant to section 384-b" (307 AD2d at 204).

The First Department distinguished the Second Department's decision in *Matter of Corinthian Marie S.* on the basis of "exceptional circumstances" (*id.* at 205; *see n 7, supra*).

The Third Department appears to have grappled with the issue on this appeal as early as 1994 in *Matter of Rita VV.* (209 AD2d 866 [3d Dept 1994], *lv denied* 85 NY2d 811 [1995]). There, Family Court's dispositional order in the permanent neglect proceeding conditioned adoption upon visitation with the child's biological mother and maternal grandparents. The court held this to be error, commenting that

"Social Services Law § 384-b contemplates an adversarial proceeding. It does not contain a provision

that upon a determination that parental rights should be terminated a court can require or permit contact by and between a biological parent and a child who has been adopted. While Family Court was correct that the Legislature has amended Social Services Law § 383-c to allow a parent to condition a *voluntary surrender* for adoption upon . . . contact with the child or information concerning the child, the proceeding herein did not involve such a voluntary surrender. Accordingly, the provisions of Social Services Law § 383-c are wholly inapplicable and, therefore, Family Court was without authority in this *adversarial proceeding* to require such continued contact as a condition of adoption” (*id.* at 868-869).⁸

In a string of subsequent cases, the Third Department has steadfastly adhered to the position that Family Court may not direct posttermination contact in a case where parental rights have been ended pursuant to Social Services Law § 384-b (*see e.g. Matter of Shane J. v Cortland County Dept. of Social Servs.*, 305 AD2d 751 [3d Dept 2003] [“It is well settled that the termination of . . . parental rights necessarily include(s) the denial of ‘the rights ever to visit, communicate with, or regain custody of the child’ ” (quoting *Santosky v Kramer*, 455 US 745, 749 [1982])]; *Matter of Jessi W.*, 20 AD3d 620 [3d Dept 2005] [Family Court lacked authority to permit the visitation requested by the father once his parental rights were terminated]; *Matter of William W.*, 23 AD3d 735 [3d Dept 2005] [rejecting claim of the mother, whose parental rights were terminated on the ground of mental retardation, that Family Court should have held a dispositional hearing to examine options for her to maintain continued contact with her children]; *Matter of Labron P.*, 23 AD3d 943, 945 [3d Dept 2005] [“Family

8. Father complains that “[u]nder the rule of the Third Department, only a parent who exercises his due process right to a hearing . . . risks losing the right to post-termination contact” while “[a] parent who surrenders his parental rights without a hearing . . . may do so on condition that he retain some right to post-termination visitation.” He thus likens sections 383-c and 384-b in this regard to the provisions struck down on due process grounds in *Matter of Hynes v Tomei* (92 NY2d 613 [1998]). But *Hynes* involved an increased punishment for failure to plead guilty in a criminal case. Here, the Legislature is not increasing punishment based on the exercise of a constitutional right, but rather is making a policy judgment that a particular kind of conditional relief—i.e., posttermination contact—is likely to be beneficial to children in consensual but not contested proceedings.

Court correctly surmised that it lacked the authority to include . . . a provision (granting postadoption visitation) in the dispositional order” entered in the permanent neglect proceeding]; *Matter of John KK.*, 34 AD3d 1050, 1052 [3d Dept 2006] [“Although a court may order postadoption visitation when the termination results from a voluntary surrender under Social Services Law § 383-c, an adversarial proceeding pursuant to Social Services Law § 384-b does not afford such option”]; *Matter of James X.*, 37 AD3d 1003, 1007 [3d Dept 2007] [“(I)t is axiomatic that when parental rights are terminated pursuant to an adversarial proceeding that results in a finding of permanent neglect, the court lacks authority to permit visitation to a respondent”]; *Matter of Melissa DD.*, 45 AD3d 1219, 1221-1222 [3d Dept 2007], *lv denied* 10 NY3d 701 [2008] [“Because (the mother’s) parental rights were terminated in an adversarial proceeding, not as a result of a voluntary surrender, Family Court had no authority to permit posttermination visitation between her and the children”]; *Matter of Raine QQ.*, 51 AD3d 1106 [3d Dept 2008], *lv denied* 10 NY3d 717 [2008] [same].

In *Matter of Xionia VV. (Amos VV.)* (78 AD3d 1452, 1453 [3d Dept 2010]), the Third Department rejected the father’s “sole contention on appeal, relying upon authority from the Appellate Division, Fourth Department”—in particular, *Matter of Kahlil S.*—“that Family Court should have awarded him posttermination visitation with the child.” The court reiterated its view that Family Court does not possess authority to grant such a request in an adversarial proceeding pursuant to Social Services Law § 384-b.

IV.

Relying on section 634 of the Family Court Act, father argues that if the disposition of a petition brought pursuant to Social Services Law § 384-b

“is to be termination of parental rights, then, the Family Court Act directs[] that termination is to be ‘on such conditions, if any, as [the court] deems proper,’ and what conditions, if any, to impose is to be decided solely on the basis of the child’s best interests. Therefore, under the Family Court Act, if the child’s best interests would be served by termination of parental rights on condition that the biological parent retain some right of contact with the child, then Family Court must so order.”

[2] The flaw here is that father presupposes that this particular kind of condition—one preserving contact between parent and child notwithstanding the termination of parental rights—is a condition the court is empowered to mandate. There is concededly no statutory support for such authority outside the context of a voluntary surrender pursuant to Social Services Law § 383-c, as the First Department recognized in *Matter of April S.* and the Third Department has repeatedly emphasized. Father seeks to overcome this obstacle by arguing, in effect, that Family Court possesses an inherent discretionary authority to provide for posttermination contact in a dispositional order when determined to be in the child’s best interests. But this argument runs counter to our decision in *Matter of Gregory B.*

In that case, we also decided an appeal taken from the judgment of Family Court in *Matter of Delores B.*, which terminated the father’s parental rights on the ground of permanent neglect. That appeal brought up for review the Appellate Division’s prior order reversing the Family Court’s order dismissing the petition, and remanding the matter for a dispositional hearing (141 AD2d 100 [1st Dept 1988]). As we explained in *Matter of Gregory B.*, in *Matter of Delores B.* two of the Justices in the Appellate Division—one of whom concurred in part and dissented in part; the other of whom dissented—voiced sympathy for the notion of coupling termination of parental rights with some provision for continuation of contacts between the father and his children, Delores B. and her brother, Willie John B., also adjudicated to be permanently neglected (74 NY2d at 85-86).

While acknowledging the reasons “prompting some to advocate ‘open’ adoptions in which the court supplements an order of adoption with a provision directing that the adopted child have continuing contacts and visitation with members of his or her biological family,” we “express[ed] no opinion as to whether such contacts generally would be helpful and appropriate once parental rights have been terminated and the child has been adopted into a new family or whether a court should have the discretionary authority to order such contacts” (*id.* at 90-91). Further, we observed, “the ‘open’ adoption concept would appear to be inconsistent with this State’s view as expressed by the Legislature that adoption relieves the biological parent ‘of all parental duties toward and of all responsibilities for’ the adoptive child over whom the parent ‘shall have no rights’ ” (*id.* at 91, quoting Domestic Relations Law § 117 [1] [a], and citing

Matter of Best, 66 NY2d 151 [1985]). We then closed our discussion of this issue as follows:

“Although adoptive parents are free, at their election, to permit contacts between the adopted child and the child’s biological parent, to judicially require such contacts arguably may be seen as threatening the integrity of the adoptive family unit. In any event, ‘open’ adoptions are not presently authorized. If they are to be established, it is the Legislature that more appropriately should be called upon to balance the critical social policy choices and the delicate issues of family relations involved in such a determination” (74 NY2d at 91).

Father counters that in *Matter of Jacob* we recognized that the Legislature, by authorizing open adoptions in Social Services Law § 383-c without amending Domestic Relations Law § 117, “implicitly rejected *Matter of Gregory B.*’s reading of [the latter statute] to invariably preclude any continued right of contact following termination of parental rights.” But again, father’s argument begs the question. As we stated in *Matter of Jacob*, “[o]ne conclusion that can be drawn” from the Legislature’s enactment of section 383-c “is that section 117 does not invariably require termination in the situation where the biological parent, having consented to the adoption, has agreed to retain parental rights and to raise the child together with the second parent” (86 NY2d at 667). In other words, section 117 did not “require termination” in *Matter of Jacob* because the Legislature acted to provide otherwise in the case of a voluntary surrender. And the Legislature, the entity best suited “to balance the critical social policy choices and the delicate issues of family relations involved” in such matters (*Matter of Gregory B.*, 74 NY2d at 91), has not sanctioned judicial imposition of posttermination contact where parental rights are terminated after a contested proceeding. Absent legislative warrant, Family Court is not authorized to include any such condition in a dispositional order made pursuant to Social Services Law § 384-b.⁹

9. The dissenting judge “would prefer to sanction, rather than restrict, the hearing court’s exercise of discretion, particularly in the area of family law where flexibility in judicial decision-making is a virtue of the highest order” (dissenting op at 445). Putting aside that the Legislature has not chosen to vest Family Court with this particular discretion and flexibility, the County Attorneys from Monroe, Saratoga and Washington Counties, in their respective

(n. cont’d)

Finally, we have examined father's remaining claims and consider them to be without merit. Accordingly, the order of the Appellate Division should be affirmed, without costs.

PIGOTT, J. (dissenting). There is no support in the record for the finding that the Department of Social Services made "diligent efforts to encourage and strengthen the parental relationship" in this case, as required by Social Services Law § 384-b (7) (a). Moreover, I agree with Appellate Division precedent holding that the hearing court has the discretionary authority to order posttermination visitation with a parent whose rights have been terminated under Social Services Law § 384-b. Accordingly, I dissent.

I.

Shortly after he was imprisoned, the father of Hailey ZZ. became concerned that her mother was not taking appropriate care of the infant girl. He asked one of his sisters—whom I shall refer to as "K"—to file for custody of Hailey and her half-sister. As he later recalled,

"I asked her to begin with, to file for custody of the kids, because the kids were being left with God only knows who for how long, so that's what started this whole situation, because I had asked her to file a petition for custody of my daughter, so I knew that she was safe."

K filed for custody. When the attention of the Department of Social Services (DSS) was drawn to Hailey's situation, DSS removed her from her mother's custody pursuant to Family Court Act § 1024, and sent her to live with nonrelative foster parents, initially with a woman whom I shall call "N."

amicus briefs, point out the practical problems with leaving the decision on posttermination contact up to a judge. Specifically, the uncertainty and the potential for delay and added expense inhering in this approach discourage, and may derail, the adoption of neglected children, thus reducing their opportunities to be placed in a permanent home, or, if they are adopted, threatening the integrity of the new family unit. As the Monroe County Attorney explains, many prospective adoptive parents are reluctant or unwilling to entertain the prospect of facilitating contact between a child and a biological parent sufficiently troubled to have lost parental rights. On the flip side of the coin, adoptive parents who do not object to posttermination contact are going to permit this to happen without the necessity of a court order. Surely, adoptive parents are the best arbiters of whether continued contact with the birth parent is in a child's best interests.

Because Hailey's father knew N, and knew she would take good care of Hailey and allow him to see his daughter, Hailey's father asked K to drop her custody application. N and K worked together to continue the father-daughter bond while Hailey's father was in prison. With the cooperation of N, K drove Hailey to visit her father every month, for about three or four hours at a time. The two would hug each other; Hailey's father, whom she called "Daddy," read her books; and they played with puzzles. DSS observed no ill effects whatsoever from these visits.

While in prison, Hailey's father took parenting classes and completed his General Educational Development credential. Unfortunately, while DSS told Hailey's father that he would need to "plan for" Hailey's future, he was given little hint and no specific information about how he might fulfil this requirement while incarcerated.

DSS asked Hailey's father to provide a list of people with whom Hailey might live until he was released. He proposed his father, his sister K, and another sister—whom I shall call "P." DSS's family assessment and service plan reports that, in addition to K, who had filed for custody, P called DSS and said she would be willing to care for Hailey and her half-sister.

Correspondence between DSS and Hailey's father in early 2010 gives no hint of the urgency of his finding a suitable relative (or a friend who was a certified foster parent) who could file for custody or guardianship of Hailey and take care of her until he was able to (*see generally* Family Ct Act § 1017), in that way demonstrating his planning for the future of the child.

A letter from Hailey's DSS caseworker to her father, dated January 26, 2010, which contains no specifics whatsoever, is accompanied by a "current service plan" that, in listing problems and concerns, merely notes that Hailey's father "needs to assist in the permanency plans for his daughter Hailey." This was something Hailey's father thought he was doing by providing relatives' names and contact information and participating in programs provided by the Department of Correctional Services.

Then, a letter from a different DSS caseworker, dated March 16, 2010, warned Hailey's father that a hearing was imminent at which DSS would seek to free Hailey for adoption (by a non-relative), but gave him no information about how he could take concrete steps towards the return of his child. While the caseworker asked Hailey's father to suggest someone "as a long term home for Hailey" and added that the person would have to

clear certain background checks, she failed to explain whether, or why, the people Hailey's father had already proposed were considered unsuitable, and she neglected to specify any relationship or credentials required of the person able to provide the "long term home."¹

Ten days later, on March 26, 2010, DSS filed petitions against Hailey's mother and father, seeking orders adjudicating Hailey to be a permanently neglected child, terminating parental rights under Social Services Law § 384-b, and committing her to the care and custody of DSS. Thereafter, on or around April 5, 2010, Hailey's caseworker had a conversation with Hailey's father in which the caseworker told him that DSS had ruled out his father and one of his sisters as possible caregivers.

Hailey's mother voluntarily surrendered her parental rights. Hailey's father was told that if he did the same, DSS would permit him to see Hailey—but only once a year. He refused.

In the summer of 2010, Hailey and her half-sister were transferred from N's foster home to that of other nonrelative foster parents. Whereas N had facilitated communication between Hailey and her father, who regularly sent cards to her, neither the new foster parents nor DSS provided Hailey's father with her new address.

At the fact-finding hearing held in Supreme Court on July 23, 2010, Hailey's three successive caseworkers testified, as did her father. One caseworker was asked whether K had been considered a "resource" who could look after Hailey. She could not remember, but said she believed that K had been "explored." The caseworker could not recall whether P had been "explore[d]." The third caseworker testified that DSS had ruled out Hailey's paternal grandfather and at least one of the sisters proposed by Hailey's father, but could not recall what it was in her background that had ruled her out, or even which sister it was.

For his part, Hailey's father testified that his sister P, who was employed and had an infant daughter of her own whom she cared for, could look after Hailey. He insisted that he had received no response to this suggestion from DSS. Asked whether P had been the subject "of a hotline alleging abuse or neglect on her part," Hailey's father responded in the negative.

1. If there were other communications before the March 16 letter in which all this was straightforwardly explained, I do not find clear and convincing proof of them in the record.

Asked whether P had lost a job working with the elderly “because she was hotlined for elder abuse,” Hailey’s father initially answered with the word “Yes.” But he then immediately clarified that P had been “hotlined”—had been the subject of a complaint made in a call to a telephone service—and had lost her job thereafter, but she had never been told what perceived wrong she had been “hotlined” for.

Hailey’s father also mentioned someone else who might file for custody or guardianship of his daughter—his girlfriend, who worked as a teacher’s aide at an elementary school and had custody of her younger siblings. He conceded that his father would not be a suitable caregiver.

Asked to describe his relationship with his daughter, Hailey’s father began by saying “I’d do anything for her,” and described the mutual happiness their relationship gave them. On cross-examination, he conceded, “I would sign over my rights if you guys were going to be a little more lenient on this whole visitation. . . . I don’t want to be taken out of her life, but I’m not going along with two hours once a year.”

As the majority notes, Supreme Court granted DSS’s application to adjudicate Hailey a permanently neglected child, finding that DSS had made the requisite “diligent efforts” to encourage and strengthen the parental relationship, and that Hailey’s father had failed to plan for her future for more than a year after she came into DSS’s custody. In discussing the possible caretakers Hailey’s father had proposed, Supreme Court, without reference to his testimony on the subject, simply stated that P had been “fired from her employment, working with the elderly, due to elder abuse.”

At the subsequent dispositional hearing, DSS argued in favor of Hailey’s adoption by the foster parents with whom she was living, and Hailey’s father asked for visitation if she were adopted. Supreme Court terminated Hailey’s father’s parental rights, and determined that posttermination visitation would not be in Hailey’s best interests.

II.

The majority concedes, as it must, that “[a]n authorized agency that brings a proceeding to terminate parental rights based upon permanent neglect bears the burden of establishing that it has made ‘diligent efforts to encourage and strengthen the parental relationship’ ” (majority op at 429, quoting Social

Services Law § 384-b [7] [a]). In the first instance, I differ from the majority in that I believe there is no record support for the finding that DSS met this burden.

DSS had to show—by “clear and convincing proof” (Social Services Law § 384-b [3] [g] [i]; *see* [4] [d]; [7] [a])—that it provided adequate assistance to Hailey’s father with a view to “resolv[ing] or ameliorat[ing] the problems preventing discharge of the child to [his] care” (*Matter of Star Leslie W.*, 63 NY2d 136, 142 [1984]; *see* Social Services Law § 384-b [7] [f]). The requirements are stringent, and, unless it would be detrimental to the child’s best interests, the agency’s efforts must be directed towards the goal of *returning the child to his or her parent*. We have insisted that the petitioning agency is required to “determine the particular problems facing a parent with respect to the return of his or her child and make affirmative, repeated, and meaningful efforts to assist the parent in overcoming these handicaps” (*Matter of Sheila G.*, 61 NY2d 368, 385 [1984]). And the statute itself requires—and required on July 23, 2010, when the fact-finding hearing in this case was held—that the hearing court “shall consider the special circumstances of an incarcerated parent or parents . . . when determining whether a child is a ‘permanently neglected child’ ” (Social Services Law § 384-b [7] [a]).

There is no record support for the finding that DSS exercised diligent efforts to encourage and strengthen the parental relationship with Hailey, with a view to returning Hailey to her father. Here, “the particular problems facing [Hailey’s father] with respect to the return of his . . . child” (*Sheila G.*, 61 NY2d at 385) were that he was incarcerated, that he was required to identify a suitable custodian for Hailey who could look after her until he was able to care for her himself (*see generally* Family Ct Act § 1017), and that his own biological parents would not be considered suitable caregivers. DSS was obliged to “make affirmative, repeated, and meaningful efforts” to help Hailey’s father overcome these handicaps (*Sheila G.*, 61 NY2d at 385). Such efforts should clearly have included straightforward and unambiguous communications to Hailey’s father of the need for him to identify a suitable custodian and, after he mentioned his sisters, meaningful efforts to determine whether one of the sisters would have been able to look after Hailey.

Instead, DSS failed to communicate the urgent need of finding a suitable caregiver until it was effectively too late. Notably, the January 26, 2010 letter from Hailey’s DSS caseworker

makes no mention of the need for Hailey's father to propose possible custodians of Hailey other than those he had already mentioned. Additionally, DSS did not notify Hailey's father in the March 16, 2010 letter or any other letter that any nonrelative he named would have to be a certified foster parent, so that he was unaware that his girlfriend would not be immediately acceptable, despite her qualifications as a teacher's aide.

Nor is there any evidence in the record of the required "repeated . . . efforts" (*Sheila G.*, 61 NY2d at 385) to get to the bottom of whether one of Hailey's father's sisters would be able to care for Hailey until her father was able to do so himself. The record is devoid of support for a finding that DSS even attempted to contact P. It appears that DSS jumped to the conclusion that she was unsuitable because of her allegedly being "hotlined," but the record contains no evidence of the nature of this "hotlining," or of whether the allegations against P were ever substantiated. There is no suggestion that P was charged. All the record contains is a bare accusation. It is regrettable that the majority repeats the accusation as if the record supported its truth (*see* majority op at 427).

To meet its obligation of proving by clear and convincing evidence that it made the necessary diligent efforts, DSS must establish more than that it rejected an alternative resource suggested by him; it must prove a sound basis for that rejection. At the time of the fact-finding hearing, P had a child of her own, and certainly there was no evidence that DSS sought to take that child away from her. In short, the record shows a bureaucratic shortcut to judgment on the part of DSS and the lower courts, and that the parental rights of Hailey's father should not have been terminated.²

2. In my view, to the extent that Hailey's father may have failed to plan for her future in a realistic, feasible way, that failure is excused by the failure of DSS to exercise the requisite diligent efforts. Moreover, whether Hailey's father failed to plan for her future may be debated. Contrary to the majority (*see* majority op at 431), it is not true that his only plan was to allow Hailey to remain in foster care until he was released from prison. He had a reasonable backup plan; he consistently argued that his sister P was a suitable alternative. I accept that "an incarcerated parent may not satisfy the planning requirement of the statute where the only plan offered is long-term foster care lasting potentially for the child's entire minority" (*Matter of Gregory B.*, 74 NY2d 77, 90 [1989]). Here, however, there is no support for the view that Hailey's father's only workable plan was to keep Hailey "in foster care while maintaining contact . . . during the period of incarceration" (*id.* at 87-88).

III.

As to the question whether the hearing court has the authority to order contact between a parent and his or her child after parental rights have been terminated under Social Services Law § 384-b, I believe the hearing court has the authority to do so—not because the parent still retains rights over the child (*see* Domestic Relations Law § 117 [1] [a]), but in the exercise of proper discretion by the court. In *Matter of Gregory B.* (74 NY2d 77 [1989]), we left open the question of such “discretionary authority” (*id.* at 91 [“We express no opinion as to whether such contacts generally would be helpful and appropriate once parental rights have been terminated and the child has been adopted into a new family or whether a court should have the discretionary authority to order such contacts”]).

The first thing to be said about this issue is that reasonable opinions on it differ. The Appellate Divisions are split on the matter, with the First and Third Departments taking the position that courts have no authority to order posttermination contact, and the Second³ and Fourth Departments taking the view that they do. Even the amici in the present case are split; we received a defense of the status quo in the Fourth Department from the Legal Aid Bureau of Buffalo and a critique from the Monroe County Attorney. With this in mind, I would prefer to sanction, rather than restrict, the hearing court’s exercise of discretion, particularly in the area of family law where flexibility in judicial decision-making is a virtue of the highest order. The most fundamental determination in this area is the inherently discretionary one of what is in a child’s best interests.

In my view, the Fourth Department had it right. A hearing court “may, in those cases in which the court deems it appropriate, exercise its discretion in determining whether some form of posttermination contact with the biological parent is in the best interests of the child” (*Matter of Kahlil S.*, 35 AD3d 1164, 1165 [4th Dept 2006] [remitting to Family Court for a hearing to determine whether posttermination contact was in the best interests of the children, and noting the psychological harm that may result from “an abrupt and complete cessation of contact” between a child and her biological parent, especially when the child “has strong emotional attachments to the birth family”]).

3. In the Second Department, an exception applies when the termination is on the basis of abandonment.

The statutory basis is Family Court Act § 634, which provides that, with respect to a disposition on an adjudication of permanent neglect, the hearing court may enter the order “on such conditions, if any, as it deems proper.” The majority makes much of the fact that the Legislature has not explicitly “sanctioned judicial imposition of posttermination contact where parental rights are terminated after a contested proceeding” (majority op at 438). However, it is worth noting that the Legislature has also not seen fit to *eliminate* the judicial imposition of posttermination contact in the six years since *Kahlil* was decided.

Kahlil hearings, as they are called, are now commonplace in the Fourth Department. As the Legal Aid Bureau of Buffalo suggests, the process can be particularly valuable when the biological parent’s rights have been terminated on the ground of a mental disability of one kind or another on the part of the parent, rather than permanent neglect. In these situations the child’s attachment to a natural parent who is incapable of looking after the child through no fault of his or her own may be profound, and worthy of preservation. Conversely, it may be in the best interests of a disabled, institutionalized child for there to be court-sanctioned posttermination visitation, when there is a mutual emotional attachment (see e.g. *Matter of Kyshawn F.*, 95 AD3d 883 [2d Dept 2012]). In fact, DSS does not dispute that the best interests of some children may be served by post-termination visitation.

As a matter of policy and, more fundamentally, logic, it makes little sense to prohibit a court from ordering visitation *when that would be in a child’s best interests*, simply because the person seeking visitation contested the issue of his or her parental rights. Indeed, in the present case this perceived restriction meant that a visitation agreement could be and was executed with Hailey’s birth mother, who apparently has never shown very much interest in her, whereas Hailey’s biological father, who has at every turn tried to be a responsible parent and to strengthen his ties with his daughter, is denied visitation. In my view, this is patently unfair. And in a future case—one in which the hearing court is ready to find visitation to be in the child’s best interests—the prohibition would undoubtedly be harmful to some degree or other to the child’s psychological well-being.

Lastly, as this case itself illustrates, the alternative of surrendering one’s parental rights in exchange for visitation, which

the majority emphasizes, is often no real alternative at all. Hailey's father, despite successful, monthly visitation and even more frequent contact by mail, was offered *annual* visitation—less than he was enjoying at the time and clearly not an opportunity to continue the meaningful relationship he had with his daughter.

IV.

Neither DSS nor Hailey's own attorney—who submitted a brief but did not appear at oral argument—argues with much conviction that visitation would not be in Hailey's best interests. In fact, her attorney adds nothing specific with respect to Hailey in the part of his brief that discusses the visitation issue. I am not convinced that Supreme Court was correct in its view that “there was no evidence presented to show there is a strong emotional bond between the respondent and the child or that any harm would come from discontinuing said visitation.” The visitation issue was decided by the Appellate Division on the ground that the hearing court lacked authority to grant posttermination visitation. Were I to agree that the permanent neglect petition was properly granted, I would nevertheless remit this matter to the Appellate Division to review whether visitation would be in Hailey's best interests.

V.

For the reasons stated in part II of this opinion, I would reverse the order of the Appellate Division, and dismiss the permanent neglect petition, without prejudice to future proceedings.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH and JONES concur with Judge READ; Judge PIGOTT dissents and votes to reverse in a separate opinion.

Order affirmed, without costs.

[972 NE2d 103, 948 NYS2d 862]

ADMIRAL INSURANCE COMPANY, Respondent-Appellant, v JOY
CONTRACTORS, INC., et al., Respondents, and NEW YORK
CRANE & EQUIPMENT COMPANY, Appellant-Respondent.

Argued April 25, 2012; decided June 12, 2012

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 17, 2011. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Karen S. Smith, J.), as had (1) granted plaintiff's and defendant Lincoln General Insurance Company's motions for summary judgment to the extent of declaring that they had no obligation to defend or indemnify defendant New York Crane & Equipment Company under the excess policy issued by plaintiff and the comprehensive general liability policy issued by defendant Lincoln General Insurance Company; (2) denied motions to dismiss the first, fourth, twelfth and thirteenth causes of action; and (3) granted motions to dismiss the fifth cause of action as to all defendants and the sixth, seventh, ninth and tenth causes of action as against defendants other than Joy Contractors, Inc. The modification consisted of declaring that the residential construction activities exclusion in the excess policy issued by plaintiff was not applicable. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified by this Court, properly made?"

Admiral Ins. Co. v Joy Contrs., Inc., 81 AD3d 521, modified.

HEADNOTES

Witnesses — Expert Witness — Basis for Opinion

1. In determining the applicability of an insurance policy's residential construction activities exclusion in an action arising out of a tower crane collapse during defendant contractor's construction of a high-rise condominium, the Appellate Division erred by disregarding the affidavit of plaintiff excess insurer's engineering expert on the basis that "he lacked personal knowledge of the project," rendering his conclusions "speculative." An expert's opinion need not be based upon personal knowledge. Rather, an expert may ground his opinion on facts in evidence, as was the case here.

Insurance — Exclusions — Residential Construction Activities Exclusion

2. In an insurance coverage dispute arising from a tower crane collapse during construction of a high-rise condominium, the Appellate Division erred in

declaring that the residential construction activities exclusion in the policy issued by plaintiff excess insurer was inapplicable since there were material issues of fact as to whether the high-rise building under construction was residential or “mixed-use.” To the extent that affidavits submitted by defendants conflicted with the affidavit of plaintiff’s engineering expert, the Appellate Division should not have made credibility determinations. The evidence presented on the parties’ motions required interpretation and factual findings—i.e., whether references in documents to “storefronts” literally meant the entrances to commercial spaces or, as plaintiff’s engineering expert averred, a construction style, or what various construction drawings denoted. The intent of the owners/developers at various times did not control whether the excess policy afforded coverage. Rather, the factual dispute over the nature of the construction here could only be resolved with reference to what defendants were actually building.

Insurance — Insurance Contracts — Validity — Risk Contemplated

3. In an insurance coverage dispute arising from a tower crane collapse during construction of a high-rise condominium, plaintiff excess insurer’s four causes of action seeking, respectively, rescission of the excess policy, its reformation, a declaration that the excess policy was void ab initio, and a declaration of no coverage, based on alleged material misrepresentations made in its insured’s underwriting submission, were properly interposed against the general contractor and owners/developers, all of which claimed coverage as “additional insureds” under the excess policy, as well as against the insured. Plaintiff evaluated the risk of, and collected a premium for, providing excess insurance for interior drywall installation, which was the type of work its insured had represented that it specialized in, not the obviously much greater risk presented by exterior construction work with a tower crane at a height many stories above grade, which was the work its insured actually performed. Thus, the only additional insureds plaintiff could have contemplated would have been entities associated with projects on which its insured was performing interior drywall work and the risk associated with them would have been limited to liability caused by acts or omissions of its insured in performing drywall work. The lower courts’ decisions dismissing plaintiff’s cause of action seeking rescission as against all defendants except its insured illogically left in place the excess policy to be enforced by other parties even if the excess policy ultimately was rescinded. In effect, those other parties would be permitted to rely on the terms of a policy that may be deemed never to have existed to create coverage in the first place. In short, “additional” insureds, by definition, must exist in addition to something; namely, the named insureds in a valid existing policy.

Insurance — Insurance Contracts — Rescission — Affect on “Additional” Insureds

4. *BMW Fin. Servs. v Hassan* (273 AD2d 428 [2d Dept 2000]) and *Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.* (40 AD3d 444 [1st Dept 2007]) are distinguishable from *Greaves v Public Serv. Mut. Ins. Co.* (5 NY2d 120 [1959]) and *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.* (305 NY 243 [1953]), and their holdings as to the coverage of additional insureds named in insurance policies, where the insured made misrepresentations in the application process, should not be read to extend the holding of *Morgan* and *Greaves* to cases where an insurer seeks rescission.

Insurance — Exclusions — Limited Liability Company Exclusion

5. In an insurance coverage dispute arising from a tower crane collapse during construction of a high-rise condominium, a limited liability company

exclusion in a comprehensive general liability policy did not foreclose coverage of those owners/developers that were limited liability companies. The policy's language was ambiguous as to whether the exclusion precluded from coverage any limited liability company not shown as a named insured in the policy's declarations or only limited liability companies (if any) acquired or formed during the contract period. Consequently, this provision should have been construed in favor of the owners/developers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence §§ 57-60, 111;
AM JUR 2d, Insurance §§ 692, 695, 1755.
COUCH ON INSURANCE (3d ed) §§ 219:18, 219:33, 219:34.
NY JUR 2d, Evidence and Witnesses § 660; NY JUR 2d, In-
surance §§ 1642, 1643, 1645, 2079, 2335, 2337.

ANNOTATION REFERENCE

See ALR Index under Excess Insurance; Expert and
Opinion Evidence; Insurance and Insurance Companies.

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POINTS OF COUNSEL

Gordon & Silber, PC., New York City (*Jon D. Lichtenstein* of counsel), for appellant-respondent. I. New York Crane & Equipment Company is an additional insured on the Lincoln General Insurance Company and Admiral Insurance Company policies. (*Regal Constr. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 64 AD3d 461; *New York City Hous. Auth. v Merchants Mut. Ins. Co.*, 44 AD3d 540; *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708; *Worth Constr. Co. Inc. v Admiral Ins. Co.*, 40 AD3d 423; *Travelers Indem. Co. v Commerce & Indus. Ins. Co. of Can.*, 36 AD3d 1121; *Morse Diesel Intl. v Olympic Plumbing & Heating Corp.*, 299 AD2d 276; *Palanquet v Weeks Mar., Inc.*, 333 F Supp 2d 58; *Murray Oil Prods. v Royal Exch. Assur. Co.*, 21 NY2d 440; *Kurek v Port Chester Hous. Auth.*, 18 NY2d 450; *Matter of Schmith*, 19 NY2d 398.) II. Admiral Insurance Company and Lincoln General Insurance Company waived the right to assert the employee exclusion; Lincoln waived the right to assert the professional liability exclusion. (*Preserver Ins. Co. v Ryba*, 10 NY3d 635; *American Ref-Fuel Co. of Hempstead v Employers Ins. Co. of Wausau*, 265 AD2d 49; *Columbia Cas. Co.*

v National Emergency Servs., 282 AD2d 346; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185; *Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84.) III. Admiral Insurance Company's thirteenth cause of action seeking to deny coverage pursuant to the professional services exclusion should have been dismissed. (*A.J. Sheepskin & Leather Co. v Colonia Ins. Co.*, 273 AD2d 107; *Long Is. Light. Co. v Allianz Underwriters Ins. Co.*, 35 AD3d 253; *Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.*, 40 AD3d 444; *QBE Ins. Corp. v Brown & Mitchell, Inc.*, 591 F3d 439; *Thermo Terratech v GDC Enviro-Solutions, Inc.*, 265 F3d 329.)

Coughlin Duffy LLP, New York City (*Justin N. Kinney* and *Michael S. Chuven* of counsel), for respondent-appellant. I. The lower courts incorrectly dismissed Admiral Insurance Company's sixth, seventh, ninth and tenth causes of action as against defendants other than Joy Contractors, Inc. (*Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.*, 40 AD3d 444; *BMW Fin. Servs. v Hassan*, 273 AD2d 428; *Greaves v Public Serv. Mut. Ins. Co.*, 5 NY2d 120; *Sirius Am. Ins. Co. v Burlington Ins. Co.*, 81 AD3d 562; *Harper, Inc. v City of Newburgh*, 159 App Div 695; *Walker v Walker*, 67 AD3d 1373; *County of Orange v Grier*, 30 AD3d 556; *Precision Auto Accessories, Inc. v Utica First Ins. Co.*, 52 AD3d 1198, 11 NY3d 709; *Taradena v Nationwide Mut. Ins. Co.*, 239 AD2d 876; *Metzger v Aetna Ins. Co.*, 227 NY 411.) II. The lower courts misinterpreted the Lincoln General Insurance Company policy to conclude that the LLC exclusion did not apply to preclude coverage for the LLC defendants. (*United States Fid. & Guar. Co. v Shorenstein Realty Servs., L.P.*, 700 F Supp 2d 1003; *County of Columbia v Continental Ins. Co.*, 83 NY2d 618; *Makan Exports, Inc. v U.S. Underwriters Ins. Co.*, 43 AD3d 883; *McGinley v Odyssey Re [London]*, 15 AD3d 218; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46, 66 NY2d 1020.) III. The First Department improperly rejected Admiral Insurance Company's expert evidence and failed to apply the well-settled summary judgment standards to declare the residential construction activities exclusion inapplicable. (*People v Miller*, 91 NY2d 372; *People v Jones*, 73 NY2d 427; *Cassano v Hagstrom*, 5 NY2d 643; *De Long v County of Erie*, 60 NY2d 296; *People v Reynolds*, 193 Misc 2d 697, 307 AD2d 391; *Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84; *Matter of Di Milia v Bennett*, 149 AD2d 592; *Jewish Bd. of Family & Children's Servs. v Zoning Bd. of Appeals of Vil. of Brightwaters*, 73 NY2d 734; *Matter of*

Beekman Hill Assn. v Chin, 274 AD2d 161; *Ugarriza v Schmieder*, 46 NY2d 471.) IV. The First Department correctly concluded that New York Crane & Equipment Company was not an insured under the Admiral Insurance Company excess policy. (*Tribeca Broadway Assoc. v Mount Vernon Fire Ins. Co.*, 5 AD3d 198; *Greaves v Public Serv. Mut. Ins. Co.*, 5 NY2d 120; *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243; *Margan v Niles*, 250 F Supp 2d 63; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Bovis Lend Lease LMB, Inc. v Great Am. Ins. Co.*, 53 AD3d 140; *Penske Truck Leasing Co. v Home Ins. Co.*, 251 AD2d 478.) V. The lower courts correctly ruled that Admiral Insurance Company is not estopped and did not waive its right to disclaim coverage based on the employer's liability and professional services exclusion. (*Richard J. Principi, Inc. v Richard J. Novak, Ltd.*, 271 AD2d 591; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Preserver Ins. Co. v Ryba*, 10 NY3d 635; *Columbia Cas. Co. v National Emergency Servs.*, 282 AD2d 346; *QBE Ins. Corp. v Brown & Mitchell, Inc.*, 591 F3d 439; *A.J. Sheepskin & Leather Co. v Colonia Ins. Co.*, 273 AD2d 107; *Robbins v Michigan Millers Mut. Ins. Co.*, 236 AD2d 769; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131; *Incorporated Vil. of Cedarhurst v Hanover Ins. Co.*, 89 NY2d 293.)

Schoenfeld Moreland, P.C., New York City (*Richard M. Kuntz* and *Eric B. Schoenfeld* of counsel), for Lincoln General Insurance Company, respondent. I. New York Crane & Equipment Company does not qualify as an additional insured under the Lincoln General Insurance Company policy. (*Chase Manhattan Bank v Travelers Group*, 269 AD2d 107; *Moleon v Kreisler Borg Florman Gen. Constr. Co.*, 304 AD2d 337; *National Abatement Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 33 AD3d 570; *Topor v Erie Ins. Co.*, 28 AD3d 1199; *Hirald v Allstate Ins. Co.*, 8 AD3d 230; *Stasack v Capital Dist. Physicians' Health Plan*, 290 AD2d 866; *Jones v St. Paul Fire & Mar. Ins. Co.*, 295 AD2d 569; *Mazzola v County of Suffolk*, 143 AD2d 734; *Regal Constr. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 64 AD3d 461; *New York City Hous. Auth. v Merchants Mut. Ins. Co.*, 44 AD3d 540.) II. The Supreme Court and the Appellate Division correctly determined that Insurance Law § 3420 (d) does not operate as a statutory waiver of application of policy exclusions, as the Lincoln General Insurance Company policy was issued to a New Jersey insured. (*Preserver Ins. Co. v Ryba*, 10 NY3d 635.)

Clyde & Co US LLP, New York City (*Sarah H. Mitchell*, *Paul R. Koepff* and *Heather Berger* of counsel), for James Kennelly and others, respondents. I. The lower courts correctly ruled that the Admiral Insurance Company policy is valid and binding as to East 51st Street. (*Greaves v Public Serv. Mut. Ins. Co.*, 5 NY2d 120; *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243; *City of Albany v Standard Acc. Ins. Co.*, 7 NY2d 422; *BP A.C. Corp. v One Beacon Ins. Group*, 33 AD3d 116, 8 NY3d 708; *Broquedis v Employers Mut. Liab. Ins. Co. of Wis.*, 45 AD2d 591; *Handelsman v Sea Ins. Co.*, 85 NY2d 96; *Morse Diesel Intl. v Olympic Plumbing & Heating Corp.*, 299 AD2d 276; *Compania Transatlantica Espanola, S.A. v Hartford Acc. & Indem. Co.*, 748 F Supp 214; *Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.*, 40 AD3d 444; *BMW Fin. Servs. v Hassan*, 273 AD2d 428, 95 NY2d 767.) II. The lower courts correctly ruled that the “LLC exclusion” did not bar coverage to East 51st Street. (242-44 *E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.*, 31 AD3d 100; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640.) III. The First Department correctly held that the residential construction activities exclusion does not bar coverage. (*Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Brend Contr. Corp. v United Natl. Ins. Co.*, 13 Misc 3d 1218; *Estee Lauder Inc. v OneBeacon Ins. Group, LLC*, 62 AD3d 33; *Batista v Rivera*, 5 AD3d 308; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Zuckerman v City of New York*, 49 NY2d 557; *Moore v True N. Communications*, 1 AD3d 175; *Barker v St. Barnabas Hosp.*, 305 AD2d 130.)

Gallo Vitucci & Klar, New York City (*Chad E. Sjoquist* of counsel), for Reliance Construction Ltd. doing business as RCG Group Ltd., respondent. I. Reliance Construction Ltd. doing business as RCG Group Ltd. is entitled to coverage under the Admiral Insurance Company policy notwithstanding any misstatement by Joy Contractors, Inc. since each insured is treated separately pursuant to clear New York law. (*Wenig v Glens Falls Indem. Co.*, 294 NY 195; *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243; *Greaves v Public Serv. Mut. Ins. Co.*, 5 NY2d 120; *Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.*, 40 AD3d 444; *BMW Fin. Servs. v Hassan*, 273 AD2d 428, 95 NY2d 767; 233 *E. 17th St., LLC v L.G.B. Dev., Inc.*, 78 AD3d 930; *Sirius Am. Ins. Co. v Burlington Ins. Co.*, 81 AD3d 562; *Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663; *Department of Welfare of City of N.Y. v Siebel*, 6 NY2d 536; *People v Bourne*,

139 AD2d 210.) II. Admiral Insurance Company's seventh, ninth and tenth causes of action were properly dismissed because the nature of Joy Contractor, Inc.'s work is irrelevant to Admiral's entitlement to coverage. (*Chimart Assoc. v Paul*, 66 NY2d 570; *Kiss Constr. NY, Inc. v Rutgers Cas. Ins. Co.*, 61 AD3d 412; *Cusack v American Defense Sys., Inc.*, 86 AD3d 586; *Schwartz v National Computer Corp.*, 42 AD2d 123.) III. The record on appeal conclusively establishes that the subject building was being constructed as a mixed use structure with nonresidential space. (*Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Cassano v Hagstrom*, 5 NY2d 643; *Lopez v Fordham Univ.*, 69 AD3d 532; *Fleming v Pedinol Pharmacal, Inc.*, 70 AD3d 422; *Browder v New York City Health & Hosps. Corp.*, 37 AD3d 375; *Nandlal v City of New York*, 66 AD3d 653; *O'Lear v Alvarado*, 15 AD3d 637; *De Long v County of Erie*, 60 NY2d 296.)

OPINION OF THE COURT

READ, J.

A tower crane operated by defendant Joy Contractors, Inc., collapsed on March 15, 2008 during construction of a luxury high-rise condominium at 303 East 51st Street in Manhattan, killing seven people and injuring dozens, damaging several buildings and destroying one. A tower crane is a type of lifting device which utilizes a vertical mast or tower topped by a horizontal structure that is either fixed (a jib) or moveable up and down (a boom) in an elevated position (*see* 29 CFR 1926.1401). For the period from June 21, 2007 through June 21, 2008, Joy carried a comprehensive general liability (CGL) policy with defendant Lincoln General Insurance Company, with coverage up to \$1 million per occurrence and an aggregate limit of \$2 million; and a follow-form excess policy with plaintiff Admiral Insurance Company, with limits of \$9 million for each loss event and in the aggregate, for a deposit premium of \$22,000.

Admiral, which received notice of the crane accident on March 17, 2008, notified Joy of several coverage issues in a reservation-of-rights letter dated March 27, 2008, and requested more information. On April 25, 2008, Admiral sent similar reservation-of-rights letters to Reliance Construction Ltd., doing business as RCG Group Ltd., the general contractor on the project; the tower crane's lessor, New York Crane & Equipment Company, Inc.; and the building's owners/developers.

In its March 27th letter to Joy, Admiral “denie[d] any present obligation” to indemnify Joy because no claims had yet been made or lawsuits brought, and the CGL policy had not been exhausted. Notably, Admiral reserved its right to deny coverage on the ground the accident occurred during “residential construction activities,” which are excluded under a provision in the excess policy stating that

“[t]his insurance does not apply to liability, injury or damage of any kind, including costs and expenses, arising out of, resulting from, caused or contributed to by any past, present or future ‘residential construction activities’ performed by or on behalf of any ‘insured’ or others.

“For the purposes of this endorsement, ‘residential construction activities’ means any work or operations related to the construction of single-family dwellings, multi-family dwellings, condominiums, townhomes, townhouses, cooperatives and/or apartments.”

Admiral further warned that there might be no coverage “based on . . . inaccuracies . . . identified in [Joy’s] underwriting submission, which could render [the excess policy] void and/or be a breach of conditions precedent to coverage.” In particular, Admiral claimed that Joy had represented that it specialized in drywall installation, did not carry out exterior work and performed no work at a level above two stories in height from grade other than drywall interior work, whereas “[b]ased on the information [that Admiral had] to date,” Joy was actually the structural concrete contractor, performing work on the building’s entire exterior with the tower crane.

On May 30, 2008, after further investigation, Admiral sent letters to Joy, Reliance, New York Crane and the owners/developers to deny coverage for claims arising out of the accident, based in part upon the residential construction activities exclusion. On June 9, 2008, Admiral brought this lawsuit against these same entities, all of which claim coverage under the excess policy as “additional insureds” within the meaning of the CGL policy, and Lincoln, asserting numerous causes of action and seeking a declaration of no coverage. Admiral and defendants subsequently filed various motions and cross motions, which Supreme Court disposed of in a decision filed on June 25, 2009.

Supreme Court denied Admiral's motion for summary judgment on its cause of action pursuant to the exclusion in the excess policy for residential construction activities, but also denied defendants' motions to dismiss that cause of action. The judge observed that although it was "undisputed" that a "condominium tower" was being constructed, there was conflicting evidence as to whether the "building was intended to be strictly residential" or was "mixed-use"; therefore, "there remain[ed] material questions of fact" on this subject, which had not yet been explored in examinations before trial.

Next, the judge dismissed against Reliance and the owners/developers (having granted Admiral summary judgment declaring that New York Crane did not qualify as an additional insured) those causes of action related to Admiral's assertion that Joy made false statements in its underwriting submission. Relying on *Lufthansa Cargo, AG v New York Mar. & Gen. Ins. Co.* (40 AD3d 444 [1st Dept 2007]) and *BMW Fin. Servs. v Hassan* (273 AD2d 428 [2d Dept 2000], *lv denied* 95 NY2d 767 [2000]), Supreme Court opined that "[w]hatever the outcome is as to Joy," with respect to these causes of action,

"any additional insured is provided with the full benefits of . . . coverage. Should it be determined at some later date that Reliance and/or the owners are additional insureds under the excess policy, any of Joy's alleged misrepresentations would have no effect on their coverage" (citations omitted).

As relevant to this appeal, Supreme Court also dismissed Admiral's cause of action asserting that the LLC exclusion in the CGL policy precluded coverage of those owners/developers (all but one of them) that are limited liability companies; as previously touched on, decided that New York Crane was not an "additional insured" under endorsements in the CGL; held that former section 3420 (d) (2) of the Insurance Law, requiring timely written disclaimer of liability or denial of coverage, was not a defense to Admiral's lawsuit; denied motions and cross motions to dismiss Admiral's cause of action seeking a declaration of no coverage on the ground the injuries sustained in the accident did not arise from Joy's acts or omissions; denied motions and cross motions to dismiss Admiral's cause of action seeking a declaration of no coverage as to Joy for claims by its employees in light of the CGL policy's employer's liability exclusion; and denied motions and cross motions to dismiss Admiral's

cause of action seeking a declaration of no coverage for bodily injury or property damage arising out of the rendering or failure to render professional services in light of the professional services exclusions in the CGL and excess policies.

In a decision and order entered on February 17, 2011, the Appellate Division modified by declaring that the residential construction activities exclusion was inapplicable, and otherwise affirmed (81 AD3d 521 [1st Dept 2011]). In the court's opinion, "[t]he evidence overwhelmingly indicate[d] that, at the time of the accident, the building was intended to be a mixed-use structure, not a purely residential one" (*id.* at 522). In particular, "[t]his evidence include[d] references to 'storefronts' in various documents, correspondence in which the New York City Department of Buildings confirm[ed] that the building to be constructed [was] a 'mixed use' structure, and the affidavits by two people associated with the project" (*id.*). The Appellate Division rejected the contrary view expressed by Admiral's engineering expert because "he lacked personal knowledge of the project, and his speculative conclusions [were] insufficient to overcome the evidence of mixed-use intent" (*id.*). Upon New York Crane's motion and Admiral's cross motion, the Appellate Division on July 14, 2011 granted leave to appeal, certifying the following question to us: "Was the order of the Supreme Court, as modified by this Court, properly made?"

The Residential Construction Activities Exclusion

[1] Admiral correctly states that an expert's opinion need not be based upon personal knowledge (*see* Prince, Richardson on Evidence § 7-308; *People v Miller*, 91 NY2d 372, 379 [1998], citing Fisch, New York Evidence § 429, at 280 [2d ed] [an "expert witness may base his opinion on facts which are not within his personal knowledge"]]). An expert may instead ground his opinion on facts in evidence, as was the case here (*see Cassano v Hagstrom*, 5 NY2d 643, 646 [1959] ["opinion evidence must be based on facts in the record or personally known to the witness"]). Consequently, the Appellate Division erred by disregarding the affidavit of Admiral's engineering expert on the basis that "he lacked personal knowledge of the project," rendering his conclusions "speculative" (81 AD3d at 522).

[2] Next, the Appellate Division relied upon affidavits submitted by defendants, but to the extent these conflicted with the affidavit of Admiral's expert, the court should not have made credibility determinations. Further, evidence presented on the

motion and cross motions requires interpretation and factual findings—i.e., whether references in documents to “storefronts” literally mean the entrances to commercial spaces or, as Admiral’s engineering expert averred, a construction style, or what various construction drawings denote.

Defendants stress the owners/developers’ intent at various times, but intent does not control whether the excess policy afforded coverage. Joy purchased insurance that excluded residential construction activities; if Joy nevertheless was engaged in residential construction, there is no coverage. Contrariwise, there is concededly coverage for construction of a residential building with commercial or retail space (i.e., a “mixed-use” building) because of the endorsement’s definition of “residential construction activities.” The factual dispute over the nature of the construction in this case can only be resolved with reference to what defendants were actually building (*see e.g. Bovis Lend Lease LMB, Inc. v Royal Surplus Lines Ins. Co.*, 27 AD3d 84, 94 [2005] [resolving a dispute as to whether a residential exclusion applied by looking to the construction contract]). In sum, there are material issues of fact in this case as to whether the high-rise building under construction was residential or “mixed-use.”

The Causes of Action Related to Joy’s Alleged False Statements

[3] Admiral asserted four causes of action seeking relief with respect to the coverage claims of Reliance, New York Crane and the owners/developers, which the lower courts considered to be unaffected by Joy’s alleged misrepresentations in its underwriting submission. These causes of action requested rescission of the excess policy (the sixth cause of action) or, in the alternative, its reformation to conform retroactively with such terms as might have been offered if Joy had responded accurately to the questions and inquiries posed to it by Admiral during the underwriting process (the ninth cause of action); a declaration that the excess policy was void, consistent with the policy condition providing for this in the event of fraud and/or misrepresentation by Joy relating to the policy (the seventh cause of action); and a declaration that the claims arising from the crane accident were not within the scope of coverage afforded by the CGL and excess policies (the tenth cause of action).

The lower courts dismissed these causes of action against Reliance and the owners/developers solely on the basis of the Appellate Division’s decisions in *BMW Fin. Servs.* and *Lufthansa*

Cargo, AG. These cases, in turn, relied on *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.* (305 NY 243 [1953]) and *Greaves v Public Serv. Mut. Ins. Co.* (5 NY2d 120 [1959]). Notably, however, the insurers in *Morgan* and *Greaves* did not seek rescission—i.e., they made no claim that the policies at issue were void ab initio because of material misrepresentation, as Admiral does here. Instead, we were asked in those cases to interpret provisions of policies that everyone agreed were valid and effective.

In *Morgan*, for example, we considered whether an assault and battery committed by one insured would preclude coverage under a public liability policy for an innocent co-insured, who was the business partner of the insured who committed the assault. The plaintiff, who held an unsatisfied judgment for damages for personal injuries as a result of the assault, stood in the shoes of the innocent co-insured. We held that coverage was available as

“[t]he proper view of the policy under consideration is that by it [the insurer] has undertaken *separate and distinct* obligations to the various assureds, named and additional . . . In short, since [the insurer] has undertaken separate obligations to each of the assureds, an assault committed by an assured relieves [the insurer] of its obligation to that particular assured but not of its obligations to the other assureds” (305 NY at 249).

The plaintiff in *Greaves* sought coverage for tort claims against him under an automobile liability policy issued to the employer of the employee he allegedly injured. There was no dispute that the plaintiff was an additional insured under this policy. The insurer denied him coverage, though, based on an exclusion for sickness, disease or death of “any employee of the insured” if benefits were payable or required under any workers’ compensation law (5 NY2d at 123). The insurer insisted that the word “insured” in the exclusion referred to the named insured employer, and that since the injured employee was entitled to and received workers’ compensation benefits, the exclusion applied to foreclose coverage to the plaintiff. Applying the rule of *Morgan*, we held that the exclusion had no effect as to the plaintiff because the injured employee was not his employee, and he was therefore not liable to this individual for workers’ compensation benefits.

In the *BMW* case, BMW Financial Services (BMW) leased a vehicle to Khaldoon and Khaled Hassan on the condition that they obtain a policy naming it as an additional insured. Instead, the Hassans persuaded Khaldoon's parents to insure the vehicle under their automobile insurance policy with New York Central Mutual. To that end, the parents represented to the insurance company that they had leased the vehicle from BMW and that Khaldoon was an additional driver residing with them. The policy listed BMW as the owner/lessor of the vehicle and named it as an additional insured. Following the car's theft, New York Central Mutual disclaimed coverage to both the parents and BMW on the ground that the parents had no insurable interest in the car.

BMW sought coverage under the policy, and the Appellate Division held that BMW, as the owner of the vehicle, had an insurable interest for which the insurer provided coverage and therefore it was irrelevant that the principal insureds had misrepresented their own interest. Thus, in *BMW* the insurer was aware of the subject matter of the insurance (the car) and BMW's interest in it, and specifically agreed to insure that interest. Indeed, the policy listed BMW as the owner/lessor and as an additional insured.

In *Lufthansa*, Lufthansa Cargo (Lufthansa) was named as an additional insured under a commercial insurance policy issued to Century Motor Leasing, with which Lufthansa contracted for trucking services (*see* 2006 NY Slip Op 30678[U] [2006]). Century had represented to the insurer that a driver who had a previous conviction for driving while intoxicated would not be driving for Century. In fact, though, this driver drove the truck and was injured in a single-vehicle accident. He sued Lufthansa, alleging that it was negligent in loading the truck. In a memorandum decision, the Appellate Division opined that even though the policy was void as to Century on account of its misrepresentation, " 'each individual additional insured . . . must be treated as if separately covered by the policy and indeed as if he . . . had a separate policy of his own' " (*Lufthansa*, 40 AD3d at 445, quoting *Greaves*, 5 NY2d at 124). As in *BMW*, Lufthansa was named in the policy as an additional insured.

In short, in both *BMW* and *Lufthansa* the named insureds' misrepresentations did not deprive the insurer of knowledge of or the opportunity to evaluate the risks for which it was later asked to provide coverage—i.e., the risk of damages arising

from automobile theft (*BMW*) and accident (*Lufthansa*). Further, both BMW and Lufthansa were named as additional insureds on the relevant policies as separate parties so their interests were known to the insurers.

This is in no way comparable to what happened here, accepting Admiral's allegations about Joy's misrepresentations to be true, as we must on these motions. Admiral evaluated the risk of, and collected a premium for, providing excess insurance for interior drywall installation, not the obviously much greater risk presented by exterior construction work with a tower crane at a height many stories above grade. And as Admiral puts it, the only additional insureds it "could have contemplated would [have been] entities associated with projects on which [Joy] was performing interior drywall work and . . . the risk associated with them would [have been] limited to liability caused by acts or omissions of [Joy] in performing drywall work."

[4] While *BMW* and *Lufthansa* are thus distinguishable from *Greaves* and *Morgan*, we do not endorse their holdings to the extent they may be read to extend the holding of *Morgan* and *Greaves* to cases where an insurer seeks rescission (see e.g. *Sirius Am. Ins. Co. v Burlington Ins. Co.*, 81 AD3d 562, 563 [1st Dept 2011] [even if a contractor not named in the insurance policy as a named or additional insured demonstrates a triable issue of fact as to whether it was a covered insured under the policy, this "would have been unavailing as the policy was void ab initio on account of material misrepresentations made by (its insured) in the application process to procure the insurance"])). As Admiral points out, the lower courts' decisions dismissing its sixth cause of action seeking rescission as against all defendants except Joy illogically "leaves in place [the excess policy] to be enforced by other parties even if [this policy] ultimately is rescinded. In effect, these other parties [would be] permitted to rely on the terms of a policy that . . . may be deemed never to have existed to create coverage" in the first place. In short, "additional" insureds, by definition, must exist in addition to *something*; namely, the named insureds in a valid existing policy.

Finally, neither *Morgan* and *Greaves* nor *BMW* and *Lufthansa* addressed (much less preclude) claims, as asserted here by Admiral, for reformation or for declarations based on an express policy condition regarding fraud or misrepresentations, or the scope of coverage properly afforded under a policy. Thus, Admiral's other claims related to Joy's alleged misrepresentations in its underwriting submission (the seventh, ninth and

tenth causes of action) are properly interposed against Reliance and the owners/developers as well as against Joy.

Remaining Issues

[5] Finally, we conclude, solely for the reason put forward by Supreme Court, that the LLC exclusion does not foreclose coverage of those owners/developers that are limited liability companies: the CGL policy's language is ambiguous as to whether the exclusion precludes from coverage any limited liability company not shown as a named insured in the CGL policy's declarations (Admiral's view) or only limited liability companies (if any) acquired or formed during the contract period (the position taken by the owners/developers); consequently, this provision should be construed in the owners/developers' favor. We have reviewed and consider to be without merit the other arguments pressed by defendants on this appeal.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion and, as so modified, affirmed, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[976 NE2d 217, 951 NYS2d 691]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
DONYELL J. McKENZIE, Appellant.

Argued May 31, 2012; decided June 26, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 10, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Frank P. Geraci, Jr., J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v McKenzie, 81 AD3d 1375, reversed.

HEADNOTE

Crimes — Murder — Extreme Emotional Disturbance

In the murder prosecution of defendant for fatally stabbing his fiancée 47 times after the couple had a heated argument following the victim's sexual rejection of defendant and apparently vengeful disclosure that she had been unfaithful to defendant with one of his friends, the trial court erred in refusing defendant's request to charge the affirmative defense of extreme emotional disturbance (*see* Penal Law § 125.25 [1] [a]). A defendant's request to charge the affirmative defense of extreme emotional disturbance must be granted if the evidence, viewed by the court in the light most favorable to defendant, would permit the jury reasonably to conclude by a preponderance that, at the time of the homicide, the defendant was affected by an extreme emotional disturbance, and that that disturbance was supported by a reasonable explanation or excuse rooted in the situation as he or she perceived it. The first element of the defense—that defendant was subjectively overtaken by an extreme emotional disturbance—may be inferred simply from circumstances indicative of a loss of control, and it may be established without psychiatric evidence. Here, the sheer number and redundancy of the knife wounds inflicted on the victim was indicative of defendant's loss of control, and although such a brutal assault would not itself suffice to demonstrate extreme emotional disturbance, the evidentiary predicate for the defense was augmented by inculpatory admissions to third parties in which defendant stated that he had "snapped." There were also reports of defendant's appearance and demeanor consistent with his having been affectively disturbed in the assault's near aftermath. Moreover, the evidence with respect to the second prong plausibly allowed the conclusion that the victim's sexual rejection of defendant and disclosure of her infidelity precipitated not just ordinary anger or even rage, but an onrush of emotion leaving defendant bereft of self-control.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 105, 512; AM JUR 2d, Trial § 1062.

CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:62.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.8.

McKINNEY's, Penal Law § 125.25 (1) (a).

NY JUR 2d, Criminal Law: Procedure § 2767; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 501, 536, 537, 539, 596.

ANNOTATION REFERENCE

See ALR Index under Homicide; Instructions to Jury.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: murder /s charge instruct! /s extreme /2 emotional /2 disturbance & credibl!

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (James Eckert of counsel), for appellant. The trial court committed reversible error when it refused to charge the jury on the lesser-included offense of manslaughter in the first degree. The trial evidence demonstrated that, upon being laughed at by his paramour and told by her that she had cheated on him, Mr. McKenzie “lost control,” “just snapped” and then stabbed her nearly 50 times, an act which the prosecution admitted supported the inference that he had lost control. (*People v Patterson*, 39 NY2d 288; *People v Casassa*, 49 NY2d 668; *People v Moye*, 66 NY2d 887; *People v Roche*, 98 NY2d 70; *People v Petty*, 7 NY3d 277; *People v Ortiz*, 76 NY2d 446; *People v Fardan*, 82 NY2d 638; *People v Harris*, 95 NY2d 316; *People v Diaz*, 15 NY3d 40; *People v Walker*, 64 NY2d 741.)

Sandra Doorley, District Attorney, Rochester (Leslie E. Swift of counsel), for respondent. I. The Fourth Department’s affirmance should stand because the denial of defendant’s extreme emotional disturbance jury charge request was not reversible error given his failure to meet his burden of proof to secure the same. (*People v Smith*, 1 NY3d 610; *People v Roche*, 98 NY2d 70; *People v Walker*, 64 NY2d 741; *People v Harris*, 95 NY2d 316; *People v Casassa*, 49 NY2d 668; *People v Fardan*, 82 NY2d 638; *People v Patterson*, 39 NY2d 288, 432 US 197; *People v White*, 79 NY2d 900; *People v Butts*, 72 NY2d 746.) II. CPL 250.10 (2) should apply to disallow an extreme emotional disturbance jury charge in defendant McKenzie’s case. (*People v*

Payne, 3 NY3d 266; *People v Almonor*, 93 NY2d 571; *People v Berk*, 88 NY2d 257; *People v Segal*, 54 NY2d 58; *People v Diaz*, 15 NY3d 40; *People v Moye*, 66 NY2d 887; *People v Gonzalez*, 26 Misc 3d 687; *People v Hill*, 4 NY3d 876.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant was convicted of second degree murder upon evidence that he killed Tyffany Porter, his fiancée and paramour of some two years, by inflicting numerous knife wounds. Although he had sought to interpose the affirmative defense that his homicidal acts had been committed under the influence of extreme emotional disturbance for which there was a reasonable explanation or excuse (see Penal Law § 125.25 [1] [a]), and upon that theory to afford the jury the option of returning a verdict of manslaughter in the first degree instead of murder (see *id.*), the trial court refused to charge the defense. While acknowledging that the evidence of the homicide's manner of commission was indicative of a loss of self control on defendant's part, the court deemed the charge unwarranted absent proof that defendant suffered from an underlying "mental infirmity." Thereafter, in affirming defendant's conviction, the Appellate Division found the denial of the charge proper, concluding that defendant's "conduct before, during and after the offense [was] inconsistent with the loss of self-control associated with the defense" (81 AD3d 1375 [2011] [internal quotation marks and citation omitted]). A Judge of this Court granted defendant's application for permission to appeal (17 NY3d 819 [2011]), and we now reverse.

Defendant did not testify or otherwise present evidence. His request for an extreme emotional disturbance charge was based entirely on proof elicited during the People's case. That proof was that there had been a heated argument between defendant and Ms. Porter secondary to Ms. Porter's refusal to engage in sexual relations with defendant and her closely ensuing disclosure that she, in retaliation for what she believed had been similar conduct on defendant's part, had been unfaithful to defendant with one of his friends. During the argument, defendant retrieved a knife from the kitchen of the couple's apartment, returned to the bedroom, and, as the mutually abusive exchange escalated from words to blows, stabbed Ms. Porter some 47 times, killing her. There was further evidence that, from the scene of the homicide, defendant drove to the home of

a friend, Latonya Whitfield, to whom he eventually admitted the stabbing, claiming that he “just snapped.” Whitfield testified that, at the time, defendant appeared “spaced out” and “out of it.” A short time later, defendant called 911 to surrender. In explaining what had happened, he told the dispatcher that he “just lost it” and had “blacked out.”

Defendant made no attempt to conceal what he had done. He left the homicide weapon in open view and when he was taken into custody still had blood on his clothing and shoes. On the way to the police station he admitted that he had “f . . . d up.” He confessed to the stabbing in station house interviews, at one point apparently overcome with emotion, and executed a written statement in which he admitted that he had used the kitchen knife against Ms. Porter. He explained that he was scared, panicked and lost control; Ms. Porter, he said, enraged by suspicions of infidelity, had previously pulled knives on him, slept with a razor under her pillow, and had caused him to lose sight in his left eye when, during a prior altercation, she shattered a window of a car in which he was sitting.

In judging whether to accede to a defendant’s request to charge an affirmative defense, a court is bound to view the evidence in the light most favorable to the defendant (*People v Butts*, 72 NY2d 746, 750 [1988]), an exercise understood to be incompatible with weighing the evidence to resolve competing inferences (*see id.*). The charge must be given if there is evidence reasonably supportive of the defense, even if there is other evidence which, if credited, would negate it (*id.*). We have repeatedly recognized that these general principles are applicable where the defense sought to be charged is that of extreme emotional disturbance (*see People v Moye*, 66 NY2d 887, 889 [1985]; *accord People v Harris*, 95 NY2d 316, 320 [2000]; *People v White*, 79 NY2d 900, 903 [1992]). If, then, the evidence would have permitted defendant’s jury reasonably to conclude by a preponderance (Penal Law § 25.00 [2]) that, at the time of the homicide, he was affected by an extreme emotional disturbance, and that that disturbance was supported by a reasonable explanation or excuse rooted in the situation as he perceived it (*see People v Casassa*, 49 NY2d 668, 678-680 [1980], *cert denied* 449 US 842 [1980]),* the charge should have been given. Although, it is true, as the Appellate Division evidently found,

* As is here pertinent, Penal Law § 125.25 (1) (a) provides that it is an affirmative defense to murder that “[t]he defendant acted under the influence of

(n. cont’d)

that the evidence in the aggregate would have permitted the jury to reject defendant's claim of emotional disturbance and loss of control, it was instead the viability of the alternative, contrary inference—that defendant in fact experienced an emotional break which caused him to “snap”—that should have guided the trial court's determination of the charge request.

As the trial court recognized, the sheer number and redundancy of the knife wounds inflicted on Ms. Porter was indicative of defendant's loss of control. The court denied the charge instead upon the ground that there was no proof that defendant had a “mental infirmity that r[ose] short of a mental disease or defect.” But the purpose of this quoted language, as it has been used in our decisions to describe the predicate for an extreme emotional disturbance defense (*see People v Patterson*, 39 NY2d 288, 302 [1976], *affd* 432 US 197 [1977]; *see also People v Roche*, 98 NY2d 70, 75 [2002]), patently was not to tether the defense to proof of an underlying psychiatric disorder; “mental infirmity” in the presently relevant context refers more broadly to any reasonably explicable emotional disturbance so extreme as to result in and become manifest as a profound loss of self-control. We have in fact recognized that the subjective element of the extreme emotional disturbance defense may be inferred simply from circumstances indicative of a loss of control and, concomitantly, that it may be established without psychiatric evidence (*People v Roche*, 98 NY2d at 76; *Moye*, 66 NY2d 887, 890 [1985]). In *Moye*, for example, extreme emotional disturbance was deemed inferable simply from evidence of an uncommonly savage assault together with the victim's initial sexual taunting and the assailant's closely following admissions, in the course of which he stated that he “snapped” and “went bananas” (66 NY2d at 890 [internal quotation marks omitted]). It is true that in *Roche* we said that a brutal assault would not itself suffice to demonstrate extreme emotional disturbance (98 NY2d at 77-78). Here, however, as in *Moye*, the evidentiary predicate for the defense was augmented by inculpatory admissions to third parties, including the police, in which defendant stated that he had “snapped” after the victim rejected his overtures and disclosed her infidelity. There were also reports of defendant's appearance and demeanor consistent with his having been affectively

extreme emotional disturbance for which there was a reasonable explanation or excuse, *the reasonableness of which is to be determined from the viewpoint of a person in the defendant's situation under the circumstances as the defendant believed them to be*” (emphasis supplied).

disturbed in the assault's near aftermath. Under the circumstances of record, then, the first prong of the defense—that defendant at the time of the assault was subjectively overtaken by an extreme emotional disturbance—was sufficiently made out to support defendant's charge request.

Whether the evidence also was adequate to support the additionally requisite inference that the situation, as defendant perceived it, reasonably occasioned the emotional response he claims to have experienced, might well be understood to pose a closer question. On the one hand, taunting over sexual matters and disclosures of sexual infidelity in the context of established intimate relationships are historically the most commonly accepted mitigating circumstances for otherwise murderous behavior. On the other hand, this was not a situation in which defendant was ridiculed about impotence or some other potentially humiliating sexual deficit (*cf. Moye*, 66 NY2d at 888-889) or in which he reacted to the sight of his paramour in flagrante (*see e.g. Patterson*, 39 NY2d at 291); here, the claimed provocation was perhaps somewhat less obviously volatile. Inasmuch, however, as the relevant inquiry was whether the evidence, viewed most favorably to defendant, presented a triable question, we believe that the issue of the reasonableness of defendant's explanation should have been put to the jury. Although it did not require it, the evidence plausibly allowed the conclusion that Ms. Porter's sexual rejection of defendant, together with her closely following abrupt and apparently vengeful disclosure of her infidelity with his friend, precipitated not just ordinary anger or even rage, but an onrush of emotion leaving defendant bereft of self-control. Whether that explanation ultimately was worthy of credit was for the jury to decide based on its appreciation of the entire body of evidence.

A claim of extreme emotional disturbance must, of course, be credibly supported if the defense upon which it rests is to be submitted to the jury (*see People v White*, 79 NY2d 900, 902-903 [1992], citing *Moye*, 66 NY2d at 890 n), but that requirement was not intended to cast the trial court in the fact-finding role properly reserved to the jury (*see id.*). The court's contemplated gate-keeper function is under our cases limited to excluding claims that are patently insufficient, either by reason of the absence of evidence from which the claimed disturbance might be reliably inferred (*see e.g. Roche*, 98 NY2d at 77) or for lack of proof of any but a speculative relation between the alleged disturbance and a plausible triggering circumstance (*see e.g. id.* at

78; *People v Walker*, 64 NY2d 741, 743 [1984]) or between the disturbance and the defendant's homicidal acts (see *People v White*, 79 NY2d at 902-904). This case involved none of these objectively discernible deficiencies. Nor was it one in which the assertion of the defense was an obvious afterthought to avoid a murder conviction, and in that light "incredible." Here, as noted, the defense was significantly—and a jury might have found authentically—rooted in inculpatory statements closely following the homicide and in third-party observations of defendant's conduct, appearance and demeanor during that same period.

"The purpose [of the extreme emotional disturbance defense] was explicitly to give full scope to what amounts to a plea in mitigation based upon a mental or emotional trauma of significant dimensions" (Wechsler, *Codification of Criminal Law in the United States: The Model Penal Code*, 68 Colum L Rev 1425, 1446 [1968]; see *Casassa*, 49 NY2d at 679). The consonant claim made by this defendant was not that his admitted homicidal conduct was excusable, only that it should not be penalized as murder because he acted under the influence of an understandable, traumatically induced emotional disturbance. The question thus framed by defendant's charge request was not whether defendant should be held criminally responsible for killing Ms. Porter, but whether instead of a conviction for murder, there should be one for first degree manslaughter based on what was for all intents and purposes, a plea in mitigation. Given the evidence in the case, we perceive little danger that a jury in choosing between the highly punitive options occasioned by the proposed defense would have been reduced to speculation. That being so, it was the jury, and not the court, that should in the end have determined the defense's merit.

The People's argument that defendant's failure to afford them CPL 250.10 (2) notice should be preclusive of an extreme emotional disturbance defense, raised for the first time at the Appellate Division, is not preserved for our review (see *People v Jones*, 85 NY2d 998, 999 [1995]).

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[973 NE2d 152, 950 NYS2d 57]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ZAHIRA
MATOS, Appellant.

Argued April 24, 2012; decided May 31, 2012

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 19, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Maxwell Wiley, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and endangering the welfare of a child (two counts).

People v Matos, 83 AD3d 529, modified.

HEADNOTE

**Crimes — Murder — Depraved Indifference Murder of Child —
Culpable Mental State — Failure to Seek Medical Attention for
Abused Infant**

In a prosecution arising out of the fatal beating of defendant's 23-month-old child by defendant's partner, the evidence was insufficient to show that defendant possessed the culpable mental state of depraved indifference to human life to warrant a conviction for murder in the second degree as per Penal Law § 125.25 (4), depraved indifference murder of a child under 11 years old. After returning home to find that her partner had severely beaten the infant, whom she admitted had been "hurt bad," defendant splinted the child's leg, gave him ibuprofen and laid him down to sleep, only summoning help some seven hours after the beating upon finding him bleeding and unresponsive. Defendant's behavior, while falling egregiously short of what would be expected from an ordinary person faced with a child in such distress, to say nothing of such a child's mother, did not rise to the level of wickedness, evil or inhumanity so as to render the actor as culpable as one whose conscious objective is to kill. Although defendant, who stated that she had attempted to hide the evidence of the beating, placed her own interests ahead of her son's need for emergency treatment, the People failed to prove that she did not care whether her son lived or died. While the evidence clearly showed that defendant cared much too little about her child's safety, it could not support a finding that she did not care at all. Moreover, defendant's attempt to conceal the crime did not evince a mental state of depraved indifference since trying to cover up a crime does not prove indifference to it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 14, 36, 44, 84, 88.
McKINNEY's, Penal Law § 125.25 (4).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 512, 514, 515, 614, 615.

ANNOTATION REFERENCE

Parents' criminal liability for failure to provide medical attention to their children. 118 ALR5th 253.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: depraved /2 indifference /5 murder & fail! /5 medical & child infant

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Margaret E. Knight* and *Richard M. Greenberg* of counsel), for appellant. I. As this Court recently held in *People v Lewie* (17 NY3d 348 [2011]), where Zahira Matos did not engage in any of the actions that led to her son's death, and where Ms. Matos was neither depraved nor indifferent to the results of Carmen Molina's abuse of her child, the evidence of depraved indifference was legally insufficient. (*People v Danielson*, 9 NY3d 342; *People v Flint*, 66 AD3d 1245; *People v Molina*, 50 AD3d 493; *People v Feingold*, 7 NY3d 288; *People v Heslop*, 48 AD3d 190, 10 NY3d 935; *People v Robinson*, 278 AD2d 798, 96 NY2d 762; *People v Baker*, 14 NY3d 266; *People v Glover*, 57 NY2d 61; *People v Alvarez*, 38 AD3d 930, 8 NY3d 981; *People v Green*, 56 NY2d 427.) II. Zahira Matos was denied her constitutional right to present a defense by the court's improper preclusion of expert testimony and arguments about how Ms. Matos' long history of domestic abuse impacted upon her ability to leave the relationship with Carmen Molina and protect her children, which would have undermined the prosecution's contention that Ms. Matos acted with a depraved indifference to human life. (*People v Bryant*, 278 AD2d 7; *People v Gracius*, 6 AD3d 222; *People v Concepcion*, 17 NY3d 192; *People v LaFontaine*, 92 NY2d 470; *De Long v County of Erie*, 60 NY2d 296; *People v Almonor*, 93 NY2d 571; *People v Taylor*, 75 NY2d 277; *People v Florestal*, 53 AD3d 164; *People v Cronin*, 60 NY2d 430; *People v Byrd*, 51 AD3d 267.) III. Zahira Matos' conviction must be reversed because the homicide charges, which encompassed a two-month time period, did not provide the defense with proper notice of the prosecution's theory of the case, thereby preventing the defense from effectively countering the argument that Ms. Matos' failure to leave Carmen Molina earlier evinced depraved indifference, and

creating the risk of a variance between the trial and grand jury evidence. (*People v Iannone*, 45 NY2d 589; *People v Sanchez*, 84 NY2d 440; *People v Fitzgerald*, 45 NY2d 574; *People v Lewie*, 67 AD3d 1056, 17 NY3d 348; *People v Feingold*, 7 NY3d 288.) IV. Zahira Matos was subjected to custodial interrogation without *Miranda* warnings; the subsequent questioning at the precinct, during which *Miranda* warnings were finally provided, constituted a continuous chain of events such that the taint of the initial *Miranda* violation was never dissipated. Ms. Matos' later statements to the police were also involuntary, and the physical evidence seized from the apartment was obtained through an illegal search and arrest. (*Dickerson v United States*, 530 US 428; *Miranda v Arizona*, 384 US 436; *People v Anderson*, 42 NY2d 35; *People v Harris*, 48 NY2d 208; *People v Yukl*, 25 NY2d 585; *People v Hardy*, 223 AD2d 839; *People v Bailey*, 140 AD2d 356; *People v Pabon*, 120 AD2d 685; *People v McIntyre*, 138 AD2d 634; *People v Chapple*, 38 NY2d 112.)

Cyrus R. Vance, Jr., District Attorney, New York City (Vincent Rivelles and Hilary Hassler of counsel), for respondent. I. Defendant's motion to suppress her statements and the physical evidence seized from her apartment was properly denied. (*People v Cruz*, 90 NY2d 961; *People v Alvaranga*, 84 NY2d 985; *People v Crimmins*, 64 NY2d 1072; *Dickerson v United States*, 530 US 428; *Miranda v Arizona*, 384 US 436; *Oregon v Mathiason*, 429 US 492; *People v Berg*, 92 NY2d 701; *People v Paulman*, 5 NY3d 122; *People v Harris*, 48 NY2d 208; *People v Yukl*, 25 NY2d 585.) II. The evidence overwhelmingly proved defendant's guilt of recklessly causing Yovanny's death, while exhibiting her depraved indifference to his life, by failing to get him medical attention for hours while she knew he had life-threatening injuries. (*People v Lewie*, 17 NY3d 348; *People v Danielson*, 9 NY3d 342; *People v Bleakley*, 69 NY2d 490; *People v Romero*, 7 NY3d 633; *People v Sala*, 95 NY2d 254; *People v Dekle*, 56 NY2d 835; *People v Tejada*, 73 NY2d 958; *People v Norman*, 85 NY2d 609; *People v Feingold*, 7 NY3d 288; *People v Cabey*, 85 NY2d 417.) III. The trial court's denial of defendant's barebones pre-trial request for a ruling admitting expert testimony to explain why defendant did not leave Molina was a sound exercise of discretion; defendant's more elaborate appellate arguments are unreserved and also lack merit. (*People v Taylor*, 75 NY2d 277; *People v Lee*, 96 NY2d 157; *People v Cronin*, 60 NY2d 430; *People v Brown*, 97 NY2d 500; *People v Fleming*, 70 NY2d 947; *People v Russell*, 71 NY2d 1016; *People v Florestal*, 53 AD3d 164; *People v Bryant*, 278 AD2d 7; *People v Crimmins*, 36 NY2d 230.) IV.

The indictment provided defendant with fair notice of the conduct for which she was ultimately convicted. (*People v Sanchez*, 84 NY2d 440; *People v Grega*, 72 NY2d 489; *People v Keindl*, 68 NY2d 410; *People v Iannone*, 45 NY2d 589; *People v D'Angelo*, 98 NY2d 733; *People v Watt*, 81 NY2d 772; *People v Fitzgerald*, 45 NY2d 574; *People v Morris*, 61 NY2d 290; *People v Ray*, 71 NY2d 849; *People v Rivera*, 84 NY2d 766.)

OPINION OF THE COURT

CIPARICK, J.

We are asked to consider whether the evidence was sufficient to show that defendant possessed the culpable mental state of depraved indifference to human life to warrant a conviction for murder in the second degree as per Penal Law § 125.25 (4) (depraved indifference murder of a child under 11 years old). We hold that the record does not support such a finding and that the conviction for second-degree depraved indifference murder of a child must be vacated.

I

In the early evening hours of September 18, 2004, while defendant was out shopping, defendant's partner, Carmen Molina, severely beat defendant's 23-month-old son. In the course of the beating, the child's leg and several ribs were broken. Additionally, the child suffered injuries to his liver and lungs, which caused severe internal bleeding. When defendant returned home at approximately 7:00 P.M., Molina informed defendant that she would be upset and that her son was injured. Defendant knew at this time her son "was hurt bad." She claimed that her son had "a bump on his head and one on his leg." She testified that she did not, however, believe he was "seriously" injured or "that he was going to die." At Molina's urging, defendant initially elected not to call for help. Molina told defendant that if they called the police they would both get in trouble and defendant would lose her children. Instead, again at Molina's request, defendant went to a local pharmacy to purchase a splint for her son's leg. The pharmacy did not carry splints so defendant purchased ACE bandages, and Molina and defendant created a makeshift splint using the bandages and slats from a crib. After splinting the leg, defendant gave her son some children's ibuprofen and laid him down to sleep. She claimed that just prior to laying the child down, he said "night night." After placing the child in bed, defendant smoked a cigarette and

then went outside to make some phone calls from a pay phone at a local sandwich shop. Defendant called Molina's mother and her own mother. She did not mention her child's condition to either during these phone calls. She returned home and approximately seven hours after she discovered that her child had been severely injured, she claims she heard him whimpering. She picked him up and discovered blood flowing from his rectum. Molina took the child from defendant and ordered defendant to clean up the bloody clothes and sheets. Defendant disposed of them as well as the makeshift splint. Defendant then called the police from a neighbor's phone. The police and EMS arrived. According to defendant, the child became unresponsive prior to the arrival of EMS. The EMS technicians were unable to revive the child and he was rushed to the hospital. Doctors at the hospital were also unable to revive the child, and he was pronounced dead at 2:26 A.M.

During questioning by the police, defendant provided varying accounts of what had happened to her son. Initially she claimed that her son fell at approximately 9:00 P.M. while she was bathing him. Additionally, she claimed that her son would bang his head against the wall during the night. She subsequently accused the child's father, who was in Michigan, of using witchcraft and causing the bruises. When confronted by the police that her stories simply could not be true she eventually admitted that Molina had beaten the child and that she had assisted Molina in splinting the leg and attempting to dispose of the bloody clothes and bandages. After being advised of her *Miranda* rights, defendant executed a written and oral statement confirming that Molina had beaten the child and that defendant had helped to hide the evidence.

The medical evidence presented at trial showed that the child had died from "fatal child abuse syndrome" and had multiple blunt impacts to his head, torso and extremities that fractured his leg and ribs and lacerated his liver. The medical experts at the trial opined that the child would have been in severe pain for several hours before going into shock and that gradually his vital organs would have shut down. Additionally, the medical experts stated that it was unlikely that the child, after suffering these injuries, would have slept peacefully or woken up after having lost consciousness.

Defendant and Molina were arrested and a grand jury returned an indictment charging both women with two counts each of murder in the second degree (Penal Law § 125.25 [2]

[depraved indifference murder resulting from conduct creating a grave risk of death] and Penal Law § 125.25 [4] [depraved indifference murder resulting from conduct creating a grave risk of serious injury or death of a child under 11]),¹ and two counts of endangering the welfare of a child with regard to defendant's older daughter (Penal Law § 260.10 [1], [2]). Defendant and Molina each moved to suppress their statements and evidence seized from their apartment. Supreme Court denied the motions. On April 25, 2007, Molina pleaded guilty to second-degree murder and was sentenced to an indeterminate period of imprisonment of 15 years to life. On January 25, 2008, defendant proceeded to trial before a jury. On February 7, 2008, the jury acquitted defendant of depraved indifference murder, but convicted her of depraved indifference murder of a child and both counts of endangering the welfare of a child. She was sentenced to an indeterminate period of imprisonment of 20 years to life. The Appellate Division affirmed (*see People v Matos*, 83 AD3d 529 [1st Dept 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 808 [2011]) and we now modify by vacating the murder count.

II

We have visited the issue of depraved indifference murder on several occasions. In *People v Feingold* (7 NY3d 288 [2006]), we explained that “depraved indifference to human life is a culpable mental state” that “is best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not” (*id.* at 296, 298 [internal quotation marks omitted], quoting *People v Suarez*, 6 NY3d 202, 214 [2005]).

The issue presented in this case is similar to the one presented in *People v Lewie* (17 NY3d 348 [2011]), where we examined the culpable mental state of a mother whose boyfriend

1. Penal Law § 125.25 (2) provides: “Under circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which *creates a grave risk of death to another person*, and thereby causes the death of another person” (emphasis added).

Penal Law § 125.25 (4) provides: “Under circumstances evincing a depraved indifference to human life, and being eighteen years old or more the defendant recklessly engages in conduct which *creates a grave risk of serious physical injury or death to another person less than eleven years old* and thereby causes the death of that person” (emphasis added).

fatally abused her child.² In *Lewie* the mother of the decedent brought her child into the hospital where he expired (*see id.* at 353). At the time of the child's death he "had injuries consistent with very severe abuse" (*id.* at 354).

The mother in *Lewie* was prosecuted on two theories: first that she failed to seek medical attention in the last two or three days of her child's life, when she knew that her child had life-threatening injuries, and second that she left the child in the care of her boyfriend when she knew that to do so would place the child in danger (*see id.*).³ In *Lewie* we focused on the mother's decision to leave the child with the boyfriend (*see id.* at 355).⁴ Here, we are focused on defendant's failure to seek medical attention. While we concede that defendant's behavior fell egregiously short of what we would expect from an ordinary person, faced with a child in such distress, to say nothing of a mother of said child, it does not rise to the level of "wickedness, evil or inhumanity" so "as to render the actor as culpable as one whose conscious objective is to kill" (*Suarez*, 6 NY3d at 214). Indeed, while she did, as the Appellate Division found, "place[] her own interests ahead of her son's need for emergency treatment" (*Matos*, 83 AD3d at 531), the People failed to prove that she did not care whether her son lived or died. The evidence showed that she splinted her son's leg, gave him ibuprofen and exhibited other, albeit woefully inadequate, measures to comfort him. Additionally, when she found him bleeding and unresponsive, she did, in fact, call for help. It is undeniable that this behavior was a quintessential case of far too little, far too late; it does however, demonstrate that while the evidence clearly shows that defendant "cared much too little about her child's safety, it cannot support a finding that she did not care at all" (*Lewie*, 17 NY3d at 359). As for the fact that she attempted to conceal the crime, that also does not evince a mental

2. In *Lewie* the mother was charged with reckless endangerment (Penal Law § 120.25) as opposed to second-degree murder. We stated that because the only difference in the two statutes is that "the murder statute adds the words 'and thereby causes the death of another person' " (*id.* at 358), and because the child actually did die "we [could not] uphold her reckless endangerment conviction unless we would uphold a murder conviction on the same facts" (*id.*).

3. In the instant case, while there is evidence that defendant knew that Molina was a danger to her child, the People proceeded only on the theory that defendant failed to act during the last seven hours of the child's life.

4. The Appellate Division rejected the failure to seek medical attention theory and the People did not pursue that theory in their argument before us (*see id.*).

state of depraved indifference. “Trying to cover up a crime does not prove indifference to it” (*id.* at 360). Thus, the evidence of depraved indifference was legally insufficient, and the conviction for second-degree murder cannot be sustained.

We acknowledge that defendant’s actions here may have come within Penal Law § 125.25 (4) when it was first enacted in 1990. It must be noted, however, that when the Legislature enacted Penal Law § 125.25 (4) “depraved indifference” was not considered to be a *mens rea* but simply a “definition of the factual setting in which the risk creating conduct must occur” (*People v Register*, 60 NY2d 270, 276 [1983]). However, in the wake of *Feingold* and its progeny we are constrained to interpret “depraved indifference” to human life as a culpable mental state which must be proven by the People (*see* 7 NY3d at 296). That element was not proven in this case. The Legislature may want to consider amending section 125.25 (4) in light of the *Feingold* decision.

As for defendant’s remaining arguments, we find them to be without merit. We will not speculate, had the evidence been sufficient to sustain a depraved indifference murder of a child conviction, as to whether the preclusion of defense expert witness testimony on the issue of abusive relationships was error, warranting reversal, since the testimony would not have been relevant to the remaining counts. Neither will we opine on whether a proper remedy would be a reduction of the murder count to manslaughter in the second degree or criminally negligent homicide, which were submitted as lesser included counts, but not reached by the jury. We have not yet decided the issue as to whether either crime is a proper lesser included offense of depraved indifference murder of a child (*see People v Baker*, 14 NY3d 266, 272 [2010]). We therefore dismiss the count of the indictment charging depraved indifference murder of a child, without prejudice to re-presentation of appropriate charges to a new grand jury.

Accordingly, the order of the Appellate Division should be modified by dismissing the count of the indictment charging depraved indifference murder of a child and remitting to Supreme Court for resentencing and, as so modified, affirmed, without prejudice to an application by the People to re-present any appropriate charges to another grand jury.

PIGOTT, J. (dissenting). Viewing the evidence in the light most favorable to the People, as we must when reviewing the sufficiency

of the evidence when there is a jury verdict in their favor, the facts are these:

At approximately 7:00 P.M. on September 18, 2004, while defendant was out buying beer, defendant's partner, Carmen Molina, inflicted multiple blows to the tiny frame of defendant's 23-month-old son, resulting in a broken leg, a "crushing [and extensive] injury" to the left side of his liver (to the point where it was nearly torn from the right side), three broken ribs and bruising to the lungs and diaphragm muscle. When defendant returned and found her child in that condition, heard the accompanying cries and whimpers of pain, did defendant—who was no stranger to the emergency room for herself and her children—call an ambulance? No.

At Molina's direction, defendant went to a nearby pharmacy and purchased a bandage. Finding this unsatisfactory, Molina broke pieces of wood from a crib and attempted to fashion a splint. According to defendant herself, Molina wrapped the tape so hard that it hurt defendant to hold the wood while it was being taped. With the "splint" now secure, defendant gave her child baby ibuprofen and put him to sleep.

But, according to the medical testimony, defendant's child was not sleeping. For the next several hours, he lay in agony with "painful injuries," dying over a "period of . . . hours," first exhibiting pain through uncontrollable crying, whimpering or moaning. As he gradually went into shock due to the pain and internal bleeding, he would have started panting before losing consciousness. If defendant had lifted her finger to dial three digits, her child could have been saved. According to the People's medical expert:

"There was a lot that could have been done for this child. First of all, he was in pain. His leg, every time his leg was moved, he felt pain. Every time he tried to breathe, he felt pain. So he could have been treated for the pain . . . They would have opened up his abdomen. They would have stopped the bleeding from the liver, and they would have removed the damaged portion of the liver, and taken out the blood from his abdomen. All of those things would have increased his chances of surviving."

While her child suffered, defendant smoked and watched television. She went outside and made two phone calls, one to Molina's mother concerning a birthday present for Molina's brother,

and another to her own mother—never mentioning her child’s condition to either of them. Did she call an ambulance at this point? No. She returned to the apartment and did nothing. In fact, she took no action until 2:00 A.M. when, according to her own testimony, she heard her child “whining” and noticed that he was bleeding from his rectum and sullyng the sheets. Did she call the ambulance then? No. Instead, approximately seven hours after the assault, when her son stopped breathing, defendant called 911; but not before she and Molina cleaned the blood from the bathroom floor, removed the splint and disposed of it along with the blood-soaked wipes and some of her child’s blood-stained clothing. When help arrived, they found the child naked, battered and bloodied on a hallway floor—dead. When asked, defendant claimed her son had fallen in the bathtub and that he had a habit of banging his head against the wall when he slept.

In my view, based on the foregoing facts, there was “a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt” (*People v Acosta*, 80 NY2d 665, 672 [1993]). And, given this evidence, the jury could have rationally concluded that defendant’s unwillingness to act did not demonstrate that she “cared much too little about her child’s safety” but, rather, that “she did not care at all” (*People v Lewie*, 17 NY3d 348, 359 [2011]).

The majority reaches a contrary conclusion, stating that defendant “splinted her son’s leg, gave him ibuprofen and exhibited other, albeit woefully inadequate, measures to comfort him,” such that although her attempts to help her child were “far too little, far too late,” that didn’t mean that she was indifferent to his plight (majority op at 476). This, to me, is not construing the evidence in a light most favorable to the People, but, instead, substituting a different set of facts and conclusions for those reached by the jury. The jury could have reached a contrary conclusion but it didn’t. Rather, under these facts, the jury easily concluded that defendant’s “efforts” were part of her attempt to avoid having to take her child to the hospital (thereby potentially implicating herself in her child’s abuse) and not the equivalent of caring “much too little.” Given the medical testimony and defendant’s omissions, there is sufficient evidence here for the jury to have concluded that defendant “did not care at all.”

This case is plainly distinguishable from *Lewie*. First, the People’s theory in *Lewie* was that the mother was guilty of reckless

endangerment in the first degree for leaving her eight-month-old son with a known abuser during the day over a six-week period. The People's theory in this case was that defendant was guilty of depraved indifference murder pursuant to Penal Law § 125.25 (4) because she sat idly by while her nearly two-year-old son was dying over a seven-hour period as a result of significant injuries. Second, in *Lewie*, the baby's cause of death was a brain injury that was less than four days old, an injury not noticeable to a layperson, and the mother's conviction for manslaughter in the second degree for failing to seek medical attention was dismissed by the Appellate Division on sufficiency grounds. Here, the evidence showed that the child had significant injuries, showed clear signs of pain and inability to breathe while defendant all but ignored her son, offering no protection whatsoever. Thus, while the mother in *Lewie* was hardly a sympathetic character, the People in that case failed to prove the critical element of whether she was indifferent to her baby's plight, whereas in this case, given the extent of the child's injuries and the insufferable amount of pain he was subjected to over seven hours, the jury could have rationally concluded that defendant did not care at all about his plight, the splint and ibuprofen notwithstanding.

In my view, this is a textbook case of a defendant whose failure to act demonstrated a "wanton cruelty, brutality or callousness directed [at] a particularly vulnerable victim [i.e., her own son], combined with utter indifference to the life or safety of the helpless target" as the result of her omissions (*People v Suarez*, 6 NY3d 202, 213 [2005]). Because on this evidence the jury could and did rationally conclude that defendant did not care at all about her own child's plight, I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge READ concurs.

Order modified, etc.

[973 NE2d 162, 950 NYS2d 67]

In the Matter of NORTH SYRACUSE CENTRAL SCHOOL DISTRICT,
Appellant, v NEW YORK STATE DIVISION OF HUMAN RIGHTS,
Respondent.

In the Matter of ITHACA CITY SCHOOL DISTRICT, Appellant, v
NEW YORK STATE DIVISION OF HUMAN RIGHTS et al., Respon-
dents.

Argued May 2, 2012; decided June 12, 2012

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 1, 2011. The Appellate Division (1) reversed, on the law, a resettled judgment (denominated order) of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition and prohibited respondent from taking action on the complaint in New York State Division of Human Rights case No. 10125491, and (2) dismissed the petition.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 30, 2011. The Appellate Division (1) vacated, on the law, an order of the Supreme Court, Tompkins County (Robert C. Mulvey, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to vacate and annul respondent's determination that petitioner permitted the racial harassment of one of its students; (2) reinstated the petition and deemed the matter transferred to that Appellate Division for de novo review; and (3) upon review, modified respondent's determination. The modification consisted of reducing the amount awarded for compensatory damages to respondent Amelia Kearney from \$200,000 to \$50,000. The Appellate Division confirmed the determination as modified.

Matter of North Syracuse Cent. School Dist. v New York State Div. of Human Rights, 83 AD3d 1472, reversed.

Matter of Ithaca City School Dist. v New York State Div. of Human Rights, 87 AD3d 268, reversed.

HEADNOTE**Civil Rights — State Division of Human Rights — Jurisdiction over Public School District**

Respondent New York State Division of Human Rights lacked jurisdiction to investigate complaints brought by students against petitioner public school districts for allegedly engaging in an unlawful discriminatory practice under the Human Rights Law (Executive Law § 290 *et seq.*) by permitting the harassment of the students on the basis of race and/or disability (Executive Law § 296 [4]), as a public school district is not an “education corporation or association” as contemplated by Executive Law § 296 (4). There is no definition of “education corporation or association” in the Human Rights Law, but it is evident from the legislative history that the term “education corporation or association,” the origins of which can be traced to the Tax Law, refers to only private, non-sectarian entities that are exempt from taxation under RPTL article 4. That such language was taken directly from the Tax Law and moved to Executive Law § 296 (4) bespeaks the Legislature’s intention that the term was to have the same meaning in the Executive Law as it did in former Tax Law § 4 (6). The “educational” property delineated in former Tax Law § 4 (6) plainly referred to privately owned property that was tax-exempt because it provided a public service; consequently, the use of the term “education corporation or association” in that same provision plainly referred to private, non-sectarian entities that owned “educational” property utilized for a public purpose. Moreover, the use of the phrase “non-sectarian” was plainly included in Executive Law § 296 (4) to carve out an exception for parochial schools, while reserving for respondent the jurisdiction to investigate section 296 (4) complaints against private, non-sectarian education corporations or associations.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Civil Rights § 358; AM JUR 2d, Schools §§ 20, 21.

McKINNEY’S, Executive Law § 296 (4).

NY JUR 2d, Civil Rights §§ 15, 20, 27; NY JUR 2d, Schools, Universities, and Colleges § 70.

ANNOTATION REFERENCE

See ALR Index under Civil Rights and Discrimination; Schools and Education.

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POINTS OF COUNSEL

Law Firm of Frank W. Miller, East Syracuse (*Frank W. Miller* and *Bryan Georgiady* of counsel), for appellant in the first

above-entitled proceeding. I. The North Syracuse Central School District's CPLR article 78 petition qualified for the "whole" jurisdictional exception to the administrative exhaustion rule. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Matter of Nicholson v State Commn. on Jud. Conduct*, 50 NY2d 597; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342, 14 NY3d 710; *Matter of Student Press v New York State Human Rights Appeal Bd.*, 44 AD2d 558; *Matter of Newfield Cent. School Dist. v New York State Div. of Human Rights*, 66 AD3d 1314; *Matter of Tessy Plastics Corp. v State Div. of Human Rights*, 47 NY2d 789; *Matter of Union Endicott Cent. School Dist. v New York State Div. of Human Rights*, 85 AD3d 1523; *Anker Mgt. Corp. v State of N.Y. Div. of Human Rights*, 215 AD2d 706; *Matter of General Ry. Signal Co. v New York State Div. of Human Rights*, 73 AD2d 834.) II. Appellate Division case law omitting to consider the "whole" jurisdictional exception conflicts with this Court's previous holding in *Watergate II Apts. v Buffalo Sewer Auth.* (46 NY2d 52 [1978]). (*Matter of Newfield Cent. School Dist. v New York State Div. of Human Rights*, 66 AD3d 1314; *Matter of Bettina Equities Co. LLC v State of N.Y. Exec. Dept., State Div. of Human Rights*, 9 AD3d 296.)

Bond, Schoeneck & King, PLLC, Syracuse (Jonathan B. Fellows of counsel), for appellant in the second above-entitled proceeding. I. The holding of the Appellate Division ignores the plain language of Executive Law § 296 (4). (*Enright v Eli Lilly & Co.*, 77 NY2d 377; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342, 14 NY3d 710.) II. The proper standard of liability under Executive Law § 296 (4) for "permitting" racial harassment is "deliberate indifference." (*Davis v Monroe County Bd. of Ed.*, 526 US 629; *Gant ex rel. Gant v Wallingford Bd. of Educ.*, 195 F3d 134; *Saggio v Sprady*, 475 F Supp 2d 203; *Yap v Oceanside Union Free School Dist.*, 303 F Supp 2d 284; *Crispim v Athanson*, 275 F Supp 2d 240.) III. There is no basis for a compensatory damages award to a parent of a student under section 296 (4) of the Executive Law. (*Rich v CooperVision, Inc.*, 198 AD2d 860; *Spoon v American Agriculturalist*, 120 AD2d 857; *Belanoff v Grayson*, 98 AD2d 353; *Hart v Sullivan*, 84 AD2d 865; *Gilbert v Stanton Brewery, Inc.*, 295 NY 270; *Devito v Opatich*, 215 AD2d 714; *Cavello v Sherburne-Earlville Cent. School Dist.*, 110 AD2d 253.)

Caroline J. Downey, General Counsel, New York State Division of Human Rights, Bronx (Michael K. Swirsky of counsel), for respondent in the first above-entitled proceeding. I. The alleged victim's complaint, alleging race and disability discrimination against a student, is an "individual's complaint of discrimination" that the Human Rights Law authorizes the New York State Division of Human Rights to determine, subject to judicial review of the final disposition. (*Matter of Tessy Plastics Corp. v State Div. of Human Rights*, 47 NY2d 789; *Matter of Town of Huntington v New York State Div. of Human Rights*, 82 NY2d 783; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342, 14 NY3d 710; *Matter of Hurwitz v New York City Commn. on Human Rights*, 142 Misc 2d 214, 159 AD2d 417, 76 NY2d 702; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Anker Mgt. Corp. v State of N.Y., Div. of Human Rights*, 215 AD2d 706; *Matter of Ken Edrich Leather Accessories v New York State Div. of Human Rights*, 269 AD2d 334; *Matter of Newfield Cent. School Dist. v New York State Div. of Human Rights*, 66 AD3d 1314; *Matter of Union Endicott Cent. School Dist. v New York State Div. of Human Rights*, 85 AD3d 1523; *Matter of Lake Delaware Farms v Rosa*, 200 AD2d 819.) II. Executive Law § 296 (4) covers discrimination against public school students. (*Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958, 62 NY2d 645; *Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104; *Matter of Crucible Materials Corp. v New York Power Auth.*, 50 AD3d 1353, 13 NY3d 223; *State Div. of Human Rights v Kilian Mfg. Corp.*, 35 NY2d 201; *Batavia Lodge No. 196, Loyal Order of Moose v New York State Div. of Human Rights*, 35 NY2d 143; *Gaynor v Rockefeller*, 15 NY2d 120; *New York Inst. of Tech. v State Div. of Human Rights*, 40 NY2d 316; *Matter of Cahill v Rosa*, 89 NY2d 14; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201.)

Caroline J. Downey, General Counsel, New York State Division of Human Rights, Bronx (Michael K. Swirsky of counsel), for New York State Division of Human Rights, respondent in the second above-entitled proceeding. I. The court below, examining the purpose of the Human Rights Law, correctly concluded that Executive Law § 296 (4) bars discrimination against public school students. (*Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Matter of*

Student Press v New York State Human Rights Appeal Bd., 44 AD2d 558; *Pratt v Indian Riv. Cent. School Dist.*, 803 F Supp 2d 135; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958, 62 NY2d 645; *Matter of New York Univ. v New York State Div. of Human Rights*, 84 Misc 2d 702, 49 AD2d 821; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.*, 291 AD2d 40, 97 NY2d 613, *lv to appeal denied sub nom. Alternative Southtown Design Comm. v Roosevelt Is. Operating Corp.*, 98 NY2d 608; *State of Ohio ex rel. Fulton v Saal*, 239 App Div 420, 264 NY 465; *Matter of Jacob*, 86 NY2d 651; *Matter of Malpica-Orsini*, 36 NY2d 568.) II. As substantial evidence supported the New York State Division of Human Rights' findings that the Ithaca City School District failed to take reasonable action to address the racial harassment of the victim, the Third Department correctly confirmed the order after hearing with respect to liability. (*Rainer N. Mittl, Ophthalmologist, PC. v New York State Div. of Human Rights*, 100 NY2d 326; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Mize v State Div. of Human Rights*, 33 NY2d 53; *Matter of Imperial Diner v State Human Rights Appeal Bd.*, 52 NY2d 72; *Matter of Club Swamp Annex v White*, 167 AD2d 400, 77 NY2d 809; *Matter of CUNY-Hostos Community Coll. v State Human Rights Appeal Bd.*, 59 NY2d 69; *Matter of State Div. of Human Rights [Granelle]*, 70 NY2d 100; *Lopez v Webster Cent. School Dist.*, 682 F Supp 2d 274; *Hayut v State Univ. of N.Y.*, 352 F3d 733; *Matter of Totem Taxi v New York State Human Rights Appeal Bd.*, 65 NY2d 300.) III. The New York State Division of Human Rights had the power to order the Ithaca City School District to pay compensatory damages to the victim's mother personally. (*Vig v New York Hairspray Co., L.P.*, 67 AD3d 140; *Spoon v American Agriculturist*, 120 AD2d 857; *Cavello v Sherburne-Earlville Cent. School Dist.*, 110 AD2d 253, 67 NY2d 601; *Matter of Imperial Diner v State Human Rights Appeal Bd.*, 52 NY2d 72.)

Schlather, Stumbar, Parks & Salk, LLP, Ithaca (Raymond M. Schlather and Diane V. Bruns of counsel), for Amelia Kearney, respondent in the second above-entitled proceeding. I. The New York State Human Rights Law applies to a public school district. (*Koerner v State of N.Y.*, *Pilgrim Psychiatric Ctr.*, 62 NY2d 442; *Matter of Cahill v Rosa*, 89 NY2d 14; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Matter of Student Press v New York State Human Rights Appeal Bd.*, 44 AD2d 558; *Matter of Newfield Cent. School Dist. v New York State Div. of Human Rights*, 66 AD3d

1314; *Bovich v East Meadow Pub. Lib.*, 16 AD3d 11; *Pratt v Indian Riv. Cent. School Dist.*, 803 F Supp 2d 135; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958; *Martin v Curran*, 303 NY 276; *Matter of Graves*, 171 NY 40.) II. The Appellate Division's conclusion that the Ithaca City School District had violated the Human Rights Law applies the appropriate standard of review and is supported by substantial evidence in the record. (*300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Matteo v New York State Div. of Human Rights*, 306 AD2d 484; *Matter of Club Swamp Annex v White*, 167 AD2d 400, 77 NY2d 809; *Matter of State Div. of Human Rights [Granelle]*, 70 NY2d 100; *Matter of CUNY-Hostos Community Coll. v State Human Rights Appeal Bd.*, 59 NY2d 69; *Gant ex rel. Gant v Wallingford Bd. of Educ.*, 195 F3d 134; *Saggio v Sprady*, 475 F Supp 2d 203; *Crispim v Athanson*, 275 F Supp 2d 240; *Yap v Oceanside Union Free School Dist.*, 303 F Supp 2d 284.) III. The award of damages to Amelia Kearney is both authorized under the Human Rights Law and supported by substantial evidence in the record. (*Hart v Sullivan*, 84 AD2d 865, 55 NY2d 1011; *Belanoff v Grayson*, 98 AD2d 353; *Spoon v American Agriculturalist*, 120 AD2d 857; *Rich v Cooper-Vision, Inc.*, 198 AD2d 860; *Gilbert v Stanton Brewery, Inc.*, 295 NY 270; *Devito v Opatich*, 215 AD2d 714; *Cavello v Sherburne-Earlville Cent. School Dist.*, 110 AD2d 253, 67 NY2d 601, 647; *Bovsun v Sanperi*, 61 NY2d 219; *Matter of Sherwood Terrace Apts. v New York State Div. of Human Rights*, 61 AD3d 1333; *Matter of Price v Southwest Airlines, Inc.*, 66 AD3d 1267, 14 NY3d 858, 15 NY3d 800.) IV. Pursuant to the State Administrative Procedure Act, the Ithaca City School District has waived any objection to the New York State Division of Human Rights' jurisdiction. (*300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Stefanis v New York State Div. of Human Rights*, 244 AD2d 342; *Matter of Farina v State Liq. Auth.*, 20 NY2d 484; *Matter of Nostima Foods v State Liq. Auth.*, 71 NY2d 648.)

Lambda Legal Defense and Education Fund, Inc., New York City (Thomas W. Ude, Jr., and Hayley J. Gorenberg of counsel), for Advocates for Children of New York, Inc. and others, amici curiae in the first above-entitled proceeding. The Human Rights Law applies to public school districts. (*Matter of Cahill v Rosa*, 89 NY2d 14; *Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104; *Matter of Crucible Materials Corp. v New York Power Auth.*, 50 AD3d 1353, 13 NY3d 223; *Matter of Board of Higher Educ. of City of N.Y. v Carter*, 16

AD2d 443, 14 NY2d 138; *Pocantico Home & Land Co., LLC v Union Free School Dist. of Tarrytowns*, 20 AD3d 458; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Matter of Perrenod v Liberty Bd. of Educ. for Liberty Cent. School Dist.*, 223 AD2d 870; *Woods v Rondout Val. Cent. School Dist. Bd. of Educ.*, 466 F3d 232.)

Eric T. Schneiderman, Attorney General, New York City (Cecilia C. Chang, Leslie B. Dubeck, Barbara D. Underwood, Spencer Freedman, Kristen Clarke and Kayla Gassmann of counsel), for State of New York, amicus curiae in the first and second above-entitled proceedings. The Human Rights Law protects public school students from discrimination. (*Sega v State of New York*, 60 NY2d 183; *Ward v Hasbrouck*, 169 NY 407; *Simar v Canaday*, 53 NY 298; *Matter of Board of Higher Educ. of City of N.Y. v Carter*, 14 NY2d 138; *Williams v Williams*, 23 NY2d 592; *People v Kern*, 75 NY2d 638; *Koerner v State of N.Y., Pilgrim Psychiatric Ctr.*, 62 NY2d 442; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Hayut v State Univ. of N.Y.*, 127 F Supp 2d 333; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958.)

Lambda Legal Defense and Education Fund, Inc., New York City (Hayley J. Gorenberg and Thomas W. Ude, Jr., of counsel), for Advocates for Children of New York, Inc. and others, amici curiae in the second above-entitled proceeding. The New York Human Rights Law protects students attending public schools against discrimination by and harassment in their school districts. (*Matter of Cahill v Rosa*, 89 NY2d 14; *Matter of Board of Higher Educ. of City of N.Y. v Carter*, 16 AD2d 443, 14 NY2d 138; *Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104; *Matter of Crucible Materials Corp. v New York Power Auth.*, 50 AD3d 1353, 13 NY3d 223; *Pocantico Home & Land Co., LLC v Union Free School Dist. of Tarrytowns*, 20 AD3d 458; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476; *State Div. of Human Rights v Board of Coop. Educ. Servs.*, 98 AD2d 958; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Matter of Perrenod v Liberty Bd. of Educ. for Liberty Cent. School Dist.*, 223 AD2d 870; *Woods v Rondout Val. Cent. School Dist. Bd. of Educ.*, 466 F3d 232.)

Jay Worona, Latham, and *Aileen Abrams*, for New York State School Boards Association, Inc., amicus curiae in the second above-entitled proceeding. The court below erred when it determined that Executive Law § 296 (4) is applicable to the Ithaca City School District and the State Division of Human Rights has jurisdiction to enforce that law in public schools. (*Roslyn Union Free School Dist. v Barkan*, 16 NY3d 643; *Lanza v Wagner*, 11 NY2d 317; *People ex rel. Elkind v Rosenblum*, 184 Misc 916, 269 App Div 859, 295 NY 929; *Gunnison v Board of Educ. of City of New York*, 176 NY 11; *Matter of Perrenod v Liberty Bd. of Educ. for Liberty Cent. School Dist.*, 223 AD2d 870; *Woods v Rondout Val. Cent. School Dist. Bd. of Educ.*, 466 F3d 232; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *TC v Valley Cent. School Dist.*, 777 F Supp 2d 577; *Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342; *Matter of Excellus Health Plan v Serio*, 2 NY3d 166.)

OPINION OF THE COURT

PIGOTT, J.

At issue on these appeals is whether a public school district is an “education corporation or association” as contemplated by Executive Law § 296 (4). We conclude that it is not, and, therefore, the New York State Division of Human Rights (SDHR) lacks jurisdiction to investigate complaints against public school districts under that provision.

Procedural Background

The public school students in these proceedings filed complaints with the SDHR, claiming that their respective school districts engaged in an “unlawful discriminatory practice” under article 15 of the Executive Law (Executive Law § 290 *et seq.* [Human Rights Law]) by permitting their harassment on the basis of race and/or disability (Executive Law § 296 [4]).

Both school districts commenced a CPLR article 78 proceeding seeking a writ of prohibition barring the SDHR from investigating the complaints on the ground that a public school district is not an “education corporation or association” as contemplated by Executive Law § 296 (4). Supreme Court in *Matter of North Syracuse Cent. School Dist.* granted the petition on that ground; Supreme Court in *Matter of Ithaca City School Dist.* held otherwise, concluding that a school district is an “education corporation” that the SDHR could investigate.

At this point, the procedural paths of the appeals diverged. The SDHR appealed in the *North Syracuse Cent. School Dist.* matter, and the Appellate Division, Fourth Department, reversed, holding that the SDHR's exercise of jurisdiction should have been challenged first during administrative review, not in a CPLR article 78 proceeding (83 AD3d 1472 [4th Dept 2011]).

The Ithaca City School District had withdrawn its appeal to the Appellate Division, Third Department. The parties proceeded to a hearing on the discrimination complaint before an administrative law judge, who concluded, among other things, that the district had permitted discriminatory conduct and awarded complainant and her mother \$500,000 each. The Commissioner of Human Rights reduced each award to \$200,000. The Ithaca City School District thereafter commenced a CPLR article 78 proceeding seeking vacatur and annulment of the SDHR's determination.

Supreme Court annulled the SDHR's determination, holding that it lacked the authority to hear and determine complaints against the district because a school district is not an "education corporation" under section 296 (4). The Appellate Division, Third Department, with one Justice dissenting, modified the mother's award by reducing it to \$50,000 and otherwise confirmed the determination. Relying on the legislative findings set forth in Executive Law § 290 (3) that the Human Rights Law was intended "to eliminate and prevent discrimination . . . in educational institutions," the Appellate Division held that "public school districts are among the 'educational institutions' over which [the] SDHR has jurisdiction and that Executive Law § 296 (4) is the statutory mechanism by which it can seek to eliminate any discrimination by such school districts" (87 AD3d 268, 273 [3d Dept 2011]). This Court granted leave in both appeals.

Analysis

Executive Law § 296 (4) provides, in relevant part, that

"[i]t shall be an unlawful discriminatory practice for an *education corporation or association* which holds itself out to the public to be non-sectarian and exempt from taxation pursuant to . . . [RPTL article 4] . . . to permit the harassment of any student or applicant, by reason of his race . . . [or] disability" (emphasis supplied).

The parties acknowledge that there is no definition of “education corporation or association” in the Human Rights Law.

Given the absence of a definition, one Appellate Division looked to the General Construction Law for guidance (*see Matter of East Meadow Union Free School Dist. v New York State Div. of Human Rights*, 65 AD3d 1342, 1343 [2d Dept 2009] [holding that because a school district is a “municipal corporation” and therefore a “public corporation” under the General Construction Law, it could not be an “education corporation” within the meaning of Executive Law § 296 (4)]). That approach is a legitimate one given that the General Construction Law is “applicable to *every statute* unless its general object, or the context of the language construed, or other provisions of law indicate that a different meaning or application was intended” (General Construction Law § 110 [emphasis supplied]). On the other hand, application of the General Construction Law is problematic, however, because the provision at issue in the Executive Law was enacted 15 years prior to General Construction Law §§ 65 and 66—the provisions upon which the Appellate Division relied on in *East Meadow Union Free School Dist.*—and the SDHR, relying on the exceptions contained in General Construction Law § 110, contends that the Legislature never meant for those definitions to apply to Executive Law § 296 (4). We need not address whether the General Construction Law is applicable here, however, because there is independent basis, supported by legislative history, for our conclusion that a public school district is not an “education corporation or association.”

The SDHR asks this Court to adopt the Appellate Division’s rationale in *Matter of Ithaca City School Dist.* and liberally construe the “general purpose” of the Human Rights Law, which is to “eliminate and prevent discrimination . . . in educational institutions” (Executive Law § 290 [3]), and conclude that a public school district is an “education corporation or association.” That argument, however, overlooks the basic premise that there must first be an underlying directive in the statute before this Court can apply such a construction. And it is evident from the legislative history that the term “education corporation or association,” the origins of which can be traced to the Tax Law, refers to only private, non-sectarian entities that are exempt from taxation under RPTL article 4.

The demarcation between tax exemption for public and certain private property dates back to 1896, when the Legislature enacted Tax Law § 4. That section expressly differentiated

the tax-exempt status for “[p]roperty of a municipal corporation of the state held for a public use” (Tax Law § 4 [3], as added by L 1896, ch 908), i.e., school district property, from the tax-exempt status of

“[t]he real property of a *corporation or association* organized exclusively for the moral or mental improvement of men or women, or for religious, bible, tract, charitable, benevolent, missionary, hospital, infirmary, educational, public playground, scientific, literary, bar association, library, patriotic, historical or cemetery purposes, or for the enforcement of laws relating to children or animals, or two or more such purposes and used exclusively for carrying out thereupon one or more of such purposes” (Tax Law § 4 [7] [emphasis supplied]).

Subdivisions (3) and (7) of Tax Law § 4 plainly had different aims, with the latter addressing the tax-exempt status of private property ostensibly used to carry out a public purpose (*see* Problems Relating to Taxation and Finance, 1938 Report of New York State Constitutional Convention Committee, vol 10, at 198, 201-205). Indeed, the Legislature enacted Tax Law § 4 (7) to prohibit the granting of special real property tax exemptions to individual *corporations*, and to ensure that such corporations received such an exemption only if they used their property to provide a public service (*id.* at 201-205).

In 1933, the Legislature retained the language set forth in Tax Law § 4 (7), renamed it Tax Law § 4 (6) (L 1933, ch 470, § 3), and in 1935 added the following proviso: “No *education corporation or association* that holds itself out to the public to be non-sectarian and exempt from taxation pursuant to the provisions of this section shall deny the use of its facilities to any person otherwise qualified, by reason of his race, color or religion” (L 1935, ch 852, § 1 [emphasis supplied]). The language was added after the Legislature received a report from the New York State Commission for the Revision of Tax Laws (Tax Commission), which, in part, addressed tax exemptions for government-owned and privately-owned real property (1935 NY Legis Doc No. 62, at 35-59). The exemptions discussed in that report were embodied in Tax Law § 4 (*id.* at 40 n 15).

In its report, the Tax Commission observed that “[m]ost of the exemptions of privately owned real property result[ed] from the enumeration and definition of specific public uses,” meaning

that tax exemptions for private property were granted because the exempt property was being “used in doing what the government might otherwise be compelled to do, in fulfilling a responsibility which it has definitely undertaken,” or, what the Legislature deemed a “*necessary* public purpose” (1935 NY Legis Doc No. 62, at 44). Significantly, as relevant to this appeal, under the heading “*Privately Owned Property Devoted to a Public Use*,” the Tax Commission listed a number of private entities referenced in now-former Tax Law § 4 (6) (*id.* at 44-48 [emphasis supplied]). The similarities between the types of privately-owned exempt property delineated in the Tax Commission’s Report and Tax Law § 4 (6) are striking and hardly coincidental.

For instance, the Tax Commission, utilizing terms almost identical to those used in Tax Law § 4 (6), listed as tax-exempt the following *private* property owned by *private* organizations: religious property (“organized exclusively for religious, bible, tract, or missionary purposes, or for the moral or mental improvement of men or women”); charitable property (“owned by associations organized exclusively for charitable purposes”); fraternal and benevolent property (which “relieve[s] the state of part of its traditional burden of caring for the poor, aged, and helpless”); hospital property (which “protect[s]” the public health, “one of the most important of the necessary public purposes of the state”); occupational association property (property of “[b]ar association” and use of county fair grounds for agricultural exhibitions); and miscellaneous property (cemeteries and property owned by “patriotic” organizations) (*compare* Tax Law § 4 [6], *with* 1935 NY Legis Doc No. 62, at 44-48).

The most significant item demarcated in the Tax Commission’s list of *private* property subject to tax exemption was “[e]ducational [p]roperty,” to which the Tax Commission devoted an entire section (1935 NY Legis Doc No. 62, at 44). The Tax Commission noted that “[r]eal property owned by educational institutions is exempt only to the extent that the educational purpose is ‘exclusively’ carried out ‘thereupon,’ ” quoting from Tax Law § 4 (6) that “real property of a corporation or association organized exclusively for . . . educational . . . purposes” is tax exempt if “used exclusively for carrying out thereupon” such a purpose (1935 NY Legis Doc No. 62, at

44).¹ Indeed, it was acknowledged after the enactment of Tax Law § 4 (6) that “[w]ith the assumption by the public authority of the function of public education, the basis for the exemption of . . . non-profit making private institutions which carried an elementary and secondary educational work changed,” and the State “recognized . . . that [such] institutions were performing not merely a *desirable* public purpose but even a *necessary* one—a purpose which the government itself was serving” (Problems Relating to Taxation and Finance, 1938 Report of New York State Constitutional Convention Committee, vol 10, at 217). Because the government derived a benefit from the work of these institutions, i.e., it was relieved of the expense of providing education to students of private institutions, “[t]he least that the public authority could do as a recompense of the institutions for the services they were rendering and the money they were saving the authority was to free these institutions from taxation” (*id.*).

Given the foregoing, the “educational” property delineated in Tax Law § 4 (6) plainly referred to privately-owned property that was tax-exempt because it provided a public service; consequently, the use of the term “education corporation or association” in that same provision plainly referred to private, non-sectarian entities that owned “educational” property utilized for a public purpose. Although the corporations and associations delineated in Tax Law § 4 (6) provide different services, they share one thing in common: their property is privately owned and it is afforded tax-exempt status because those corporations or associations perform a public service that the government recognizes as worthy of special tax treatment (1935 NY Legis Doc No. 62, at 44-48).

In light of the legislative history surrounding the enactment of Tax Law § 4 (6), and given the circumstances under which the Legislature transferred the term “education corporation or association” from Tax Law § 4 (6) to Executive Law § 296 (4), we reject the SDHR’s assertion that “education corporation or association” applies to a public school district. In 1951, the

1. The Tax Commission likewise stated that tax-exempt “[e]ducational [p]roperty” also included “[p]roperty belonging to *associations* organized for scientific, literary, public playground and library purposes” (*compare* 1935 NY Legis Doc No. 62, at 44, *with* Tax Law § 4 [6]). Such language distinctly tracks the language of Tax Law § 4 (6) as it existed in 1935, and such associations were plainly meant to be included as “education . . . association[s].”

Legislature created the State Commission Against Discrimination² to “eliminate and prevent discrimination in *employment* because of race, creed, color or national origin” (Executive Law §§ 290, 293, as added by L 1951, ch 800 [emphasis supplied]). The following year the law was amended granting the State Commission the authority to also “eliminate and prevent discrimination . . . in places of public accommodation, resort or amusement” (Executive Law § 290, as amended by L 1952, ch 285, § 1). As pertinent here, in 1958, the Legislature amended Executive Law § 296 (4) as follows:

“It shall be an unlawful discriminatory practice for an *education corporation or association* which holds itself out to the public to be non-sectarian and exempt from taxation pursuant to the . . . provisions of [RPTL article 4] to deny the use of its facilities to any person otherwise qualified, by reason of his race, color or religion” (L 1958, ch 960, § 23 [emphasis supplied]).

This language was taken almost verbatim from Tax Law § 4 (6).

The term “education corporation or association” is retained in Executive Law § 296 (4) to this day. The Human Rights Law is silent as to what constitutes an “education corporation or association,” but the fact that such language was taken directly from the Tax Law and moved to Executive Law § 296 (4) bespeaks the Legislature’s intention that the term was to have the same meaning in the Executive Law as it did in former Tax Law § 4 (6). Moreover, the use of the phrase “non-sectarian” was plainly included in Executive Law § 296 (4) to carve out an exception for parochial schools, while reserving for the SDHR the jurisdiction to investigate section 296 (4) complaints against private, non-sectarian education corporations or associations.

Public school districts are different from private, non-sectarian institutions and fall outside the purview of the SDHR’s jurisdiction relative to section 296 (4) claims. To be sure, school districts own tax-exempt property and serve a public purpose, but they do so as part of a public system, not a private one. And a public school district receives tax-exempt status by virtue of the fact that it is public, so there would never be any need for it to “hold[] itself out to the public to be non-sectarian” as, say, a private school.

2. This name was changed to the New York State Division of Human Rights in 1968.

The vicious attacks to which these students were subjected are deplorable, and our holding is not to be interpreted as indifference to their plight, since the merits of their underlying discrimination claims are not at issue on these appeals. Nor does our holding leave public school students without a remedy. In addition to potential remedies under federal law, public school students may file a complaint with the Commissioner of Education (*see* Education Law § 310). Moreover, in 2010, the Legislature enacted the “Dignity for All Students Act,” establishing article 2 of the Education Law, designed “to afford all [public school] students an environment free of any harassment that substantially interferes with their education, regardless of the basis of the harassment, and free of discrimination based on actual or perceived race, color, weight, national origin, ethnic group, religion, disability, sexual orientation, gender, or sex” (Sponsor’s Mem, Bill Jacket, L 2010, ch 482, at 21, 2010 McKinney’s Session Laws of NY, at 2051-2052; *see also* Education Law §§ 10-18 [eff July 1, 2012]). Although the SDHR lauded this legislation by acknowledging that it “addresses a myriad of harassment and discrimination issues that arise within a school context and its goals comport[] with the goals of the [Human Rights Law],” noticeably absent from its correspondence was any indication that it had previously handled similar claims of that nature arising in public schools (Letter from NY St Div of Human Rights, July 22, 2010, Bill Jacket, L 2010, ch 482, at 34).

Conclusion

Because a public school district is not an “education corporation or association” under Executive Law § 296 (4), the SDHR lacked jurisdiction to investigate the complaints filed by the students in these appeals.³

Accordingly, in *Matter of North Syracuse Cent. School Dist.*, the order of the Appellate Division should be reversed, with costs, and the resettled judgment of Supreme Court reinstated. In *Matter of Ithaca City School Dist.*, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

3. Given our holding, we do not address the separate jurisdictional issue raised by the North Syracuse Central School District that the Appellate Division erred in concluding that it should have exhausted its administrative remedies before commencing its CPLR article 78 proceeding.

CIPARICK, J. (dissenting). The Equal Protection Clause of the New York State Constitution explicitly prohibits both public and private discrimination (*see* NY Const, art I, § 11). Legislation implementing this provision states “[t]he opportunity to obtain education . . . without discrimination . . . is . . . recognized as and declared to be a civil right” (Executive Law § 291 [2]). Further, Executive Law § 296 (4) provides that

“[i]t shall be an unlawful discriminatory practice for an education corporation or association which holds itself out to the public to be non-sectarian and exempt from taxation pursuant to the provisions of article four of the real property tax law to deny the use of its facilities to any person otherwise qualified, or to permit the harassment of any student or applicant, by reason of his race, color, religion, disability, national origin, sexual orientation, military status, sex, age or marital status.”

Today, the majority curtails the breadth of this statute by limiting the definition of “education corporation or association” to only private schools and exempting public school districts from the jurisdiction of the State Division of Human Rights (SDHR). Because I believe that exclusion of public school children from the full protection of the Human Rights Law contradicts the plain language of the statute, the Legislature’s declared purpose and New York’s fundamental public policy against discrimination, I respectfully dissent.

I.

Ithaca City School District

During the 2005-2006 school year, petitioner’s daughter (E.K.), a 12-year-old African-American student attending public school in Ithaca, was repeatedly subjected to racial insults, threats and physical harm from a group of white male students. Among other things, the boys made comments to E.K. such as: “Do you mind if I call you my nigger?” and “we shoot niggers like you in the woods.” One student told E.K. that he had a hunting rifle with her name on it. The majority of the incidents occurred on the school bus. Petitioner repeatedly sought help from school officials. Despite acknowledging that there was a “racial tidal wave” at the school and that E.K.’s school bus was a “hell hole,” officials only meted out ineffective one or two day suspensions on the perpetrators and refused to ban the offending students from the school bus.

Because of the harassment, E.K.'s grades fell and her mental health deteriorated. Petitioner filed a complaint with the SDHR. After a public hearing before an administrative law judge, it was determined that the school district had violated Executive Law § 296 (4) by permitting the repeated harassment of a student on the basis of race. Specifically, the division found that the school district "repeatedly chose a course of action which both put the interests of the white male perpetrators ahead of the interests of the black female student, and was repeatedly shown to be, and acknowledged to be, ineffective in stopping the discriminatory conduct." The administrative law judge ordered the school district to pay compensatory damages to E.K. and her mother in the amount of \$500,000 each. The SDHR affirmed the findings, but lowered both damage awards to \$200,000. The school district challenged the determination. Supreme Court determined that the SDHR lacked jurisdiction to investigate public schools. The Appellate Division reversed holding that the SDHR did indeed have jurisdiction over public schools (*see Matter of Ithaca City School Dist. v New York State Div. of Human Rights*, 87 AD3d 268 [3d Dept 2011]).

North Syracuse Central School District

The underlying complaint in this case was filed by the mother of a 14-year-old African-American student (L.T.), who attended public school in North Syracuse. The mother complained that her child was targeted for abuse because of her race and had been called names such as "gorilla" and "fat black bitch." The SDHR investigated and interviewed school officials who confirmed that L.T. had been targeted by bullies but that the harassment was based on personal hygiene and weight as opposed to race and that the terms "gorilla" and "fat black bitch" were not "race based insults." The SDHR found probable cause to support a violation of Executive Law § 296 (4) and ordered a full public hearing on the issue. The school district filed a CPLR article 78 petition in Supreme Court challenging the SDHR's jurisdiction. Supreme Court granted the petition, finding that the SDHR had no jurisdiction over the school district. The Appellate Division reversed, holding that the school district was required to exhaust its administrative remedies, including raising its jurisdictional challenge to the SDHR prior to commencing an article 78 proceeding (*Matter of North Syracuse Cent.*

School Dist. v New York State Div. of Human Rights, 83 AD3d 1472 [4th Dept 2011]).¹

II.

The majority has determined, through an analysis of tax law statutory history, that the term “education corporation or association,” as used in Executive Law § 296 (4), is intended to cover only private schools and accordingly provide protection for a very small percentage of students in the state. However, such an interpretation is contradicted by a plain reading of the statute, which we have long recognized as the clearest indication of legislative intent (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Executive Law § 296 (4) prohibits discrimination by any “education corporation or association which holds itself out to the public to be non-sectarian and exempt from taxation pursuant to the provisions of article four of the real property tax law.” It is uncontroverted that the term “education corporation or association” is not defined within the Executive Law. It is beyond cavil that public school districts are corporations organized for educational purposes (*see NY Const*, art X, § 5) and public schools hold themselves out to the public as non-sectarian and are exempt from taxation pursuant to article 4 of the RPTL (*see RPTL* 408). Section 296 (4) brings within the protection of the Human Rights Law private educational institutions, which had not previously been covered. That it used identical language as the RPTL does not work to now exclude public school districts. Thus, a plain reading of the statute indicates that the Legislature intended to confer authority to the SDHR over both public and private schools and the historical statutory analysis performed by the majority runs counter to the plain language of the statute.²

Moreover, in interpreting the statute, we also examine the purpose of a statute in determining legislative intent (*see Matter of Sutka v Conners*, 73 NY2d 395, 403 [1989]). Interpreting

1. It should be noted that the statutory interpretation question was fully litigated below, although the Appellate Division did not reach it in dismissing the school district’s petition.

2. That the Legislature intended to cover public schools is evident in that on the same day that it enacted Executive Law § 296 (4) (*see L* 1958, ch 960, § 23) it also amended the RPTL, adding article 4, which expressly included public school districts (*see L* 1958, ch 959). In fact, the Legislature, in the preamble to the act that enacted section 296, stated that the purpose of the act is “to harmonize certain provisions [of the Executive Law] with the real property tax law” (*L* 1958, ch 960).

section 296 (4) as encompassing both public and private schools is in keeping with the overarching purpose of article 15 of the Executive Law—the Human Rights Law—which is:

“to assure that *every individual* within this state is afforded an equal opportunity to enjoy a full and productive life and that the failure to provide such equal opportunity, whether because of discrimination, prejudice, intolerance or *inadequate education*, training, housing or health care not only threatens the rights and proper privileges of its inhabitants but menaces the institutions and foundation of a free democratic state and threatens the peace, order, health, safety and general welfare of the state and its inhabitants” (Executive Law § 290 [3] [emphasis added]).

This statute also provides for the creation of the SDHR in order to

“encourage programs designed to insure that *every individual* shall have an equal opportunity to participate fully in the economic, cultural and intellectual life of the state; to encourage and promote the development and execution by all persons within the state of such state programs; to eliminate and prevent discrimination in employment, in places of public accommodation, resort or amusement, in *educational institutions*, in public services, in housing accommodations, in commercial space and in credit transactions and to take other actions against discrimination as herein provided; and the division established hereunder is hereby given general jurisdiction and power for such purposes” (*id.* [emphasis added]).

This language clearly indicates that “every individual”—including every school-age child—has a right to adequate education and that the SDHR has the authority, on behalf of “every individual,” to prevent discrimination in “educational institutions.”³ The majority’s limitation of the SDHR’s jurisdiction to only private schools does little to promote the broad purposes of the Human Rights Law, which is to provide a bias-free education for every individual.

3. Notably, the statute uses the term “educational institutions” here as opposed to, as the majority argues, the more restrictive term “education corporation or association.”

Furthermore, by its own statutory language, “[t]he provisions [of the Human Rights Law] shall be construed liberally for the accomplishment of the purposes thereof” (Executive Law § 300) and we have consistently embraced a liberal construction of the Human Rights Law in order to accomplish its stated purpose (see *Matter of Cahill v Rosa*, 89 NY2d 14, 20 [1996] [holding that a private dentist’s office is a place of public accommodation]). By adopting a strict and limiting interpretation of the statute, the majority is forgoing its duty to make sure that the Human Rights Law is implemented in such a way as to give every individual an opportunity for a bias-free education (see *City of Schenectady v State Div. of Human Rights*, 37 NY2d 421, 428 [1975] [“it is the duty of courts to make sure that the Human Rights Law works and that the intent of the Legislature is not thwarted by a combination of strict construction of the statute and a battle with semantics”]). It is antithetical to the purpose of the Human Rights Law to exempt public schools from its mandate. We have noted that discrimination is “all the more invidious” when practiced by state run entities (*Koerner v State of N.Y., Pilgrim Psychiatric Ctr.*, 62 NY2d 442, 448 [1984]). The clear and expressed intent of the Human Rights Law is to protect “every individual” in the state from the evils of discrimination. As argued by the State, nothing in the text of the Human Rights Law compels a reading, as that employed by the majority, that would exclude public school districts from the coverage of section 296 (4) and its remedial purpose. It is implausible that the Legislature intended to exempt public schools and the thousands of children who attend these schools from the protection of the Human Rights Law and the oversight of the SDHR.

Thus, I would affirm both Appellate Division orders.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

In each case: Order reversed, etc.

[973 NE2d 172, 950 NYS2d 77]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v CAROL
ELMER, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEVIN
O. COOPER, Appellant.

Argued May 30, 2012; decided June 27, 2012

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 19, 2011. The Appellate Division (1) dismissed the People's appeal from an oral decision of the St. Lawrence County Court (Jerome J. Richards, J.), which had partially granted defendant's motion to dismiss the indictment, and (2) remitted the matter for further proceedings not inconsistent with its decision.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Alex R. Renzi, J.), which had convicted defendant, upon a plea of guilty, of criminal possession of a controlled substance in the third degree.

People v Elmer, 84 AD3d 1593, reversed.

People v Cooper, 85 AD3d 1594, affirmed.

HEADNOTES

Crimes — Appeal — Review of Oral Order Issued on Pretrial Matter — Finality

1. An appeal lies from an oral order of a criminal court that finally disposes of the pretrial matter at issue, and a statute authorizing an appeal from an "order"—as opposed to a "written order"—should be construed to permit an appeal from either a written or oral order (*see* CPL 450.20 [1]; 710.70 [2]). The Legislature is presumed to be aware of the distinction between the terms "order" and "written order" and thus, absent an express definition, a broader view is ascribed to its use of the unqualified phrase "order." The Legislature, where deemed necessary, has provided for a "written order" in certain provisions of both the Criminal Procedure Law and the Penal Law. It is sound policy to permit appeals from oral orders so long as they are taken, in accordance with the appropriate governing criminal statute, from an oral order that conclusively disposes of the matter at issue. This provides a clear signal to the respective parties as to when the time to appeal certain orders commences,

mitigates potentially anomalous consequences, and reflects and accommodates the common experience of criminal practice where courts may issue oral decisions, often on a multitude of matters, without engaging in the additional affirmative step of ensuring that every order is reduced to writing. The failure to reduce an order to writing does not necessarily render an oral order infirm nor undermine its intended final authority.

Crimes — Appeal — Review of Oral Order Dismissing Indictment Counts

2. The Appellate Division erred in dismissing the People's appeal pursuant to CPL 450.20 (1) from an oral decision by the trial court that granted, in part, defendant's motion to dismiss the indictment, on the ground that the failure to obtain a written order precluded appellate review. An appeal lies from an oral order of a criminal court that finally disposes of the pretrial matter at issue, and a statute authorizing an appeal from an "order"—as opposed to a "written order"—should be construed to permit an appeal from either a written or oral order. Consequently, under CPL 450.20 (1), which provides that the prosecution can appeal from "[a]n order dismissing an accusatory instrument or a count thereof," the People were entitled to appellate review of the trial court's oral decision dismissing certain counts of the indictment.

Crimes — Appeal — Review of Oral Order Denying Suppression Motion

3. The Appellate Division erred in concluding that defendant's appeal pursuant to CPL 710.70 (2) from an oral order denying his suppression motion was forfeited by the entry of his guilty plea simply because the oral order had not been issued in writing. An appeal lies from an oral order of a criminal court that finally disposes of the pretrial matter at issue, and a statute authorizing an appeal from an "order"—as opposed to a "written order"—should be construed to permit an appeal from either a written or oral order. It is sound policy to permit appeals from oral orders so long as they are taken, in accordance with the appropriate governing criminal statute, from an oral order that conclusively disposes of the matter at issue. CPL 710.70 (2) provides that "[a]n order finally denying a motion to suppress evidence may be reviewed upon an appeal from an ensuing judgment of conviction notwithstanding the fact that such judgment is entered upon a plea of guilty." Here, it was evident that the oral order denying defendant's suppression motion was "an order finally denying a motion to suppress evidence." The suppression court issued its findings of fact on the record; found sufficient probable cause for the stop, arrest and search of defendant; denied the motion to suppress; noted defendant's exception and immediately set the matter for a trial date. The issuance of a written order, a ministerial act, was not a pending judicial action that rendered the oral order nonfinal.

Crimes — Appeal — Scope of Review

4. Although the Appellate Division erred in concluding that defendant's appeal pursuant to CPL 710.70 (2) from an oral order denying his suppression motion was forfeited by the entry of his guilty plea simply because the oral order had not been issued in writing, reversal was not warranted because the Appellate Division reached the merits and concurred with the trial court's determination that defendant's arrest was supported by probable cause. Moreover, defendant's assertion that the police lacked probable cause to effectuate an arrest and search presented a mixed question of law and fact beyond the purview of the Court of Appeals' jurisdiction so long as there was record support for the lower courts' determination. Here, there was sufficient record evidence that the police possessed probable cause, foreclosing further review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 201, 202, 205, 210, 621, 622; AM JUR 2d, Criminal Law §§ 624, 670, 672; AM JUR 2d, Evidence §§ 660, 664, 665, 667.
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:27, 182:28, 182:31; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:7, 207:14, 207:17, 207:170.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.2, 21.6, 27.2, 27.3, 27.5.
MCKINNEY'S, CPL 450.20 (1); 710.70 (2).
NY JUR 2d, Criminal Law: Procedure §§ 1486, 1487, 1506, 1620, 3479, 3490, 3491, 3497, 3498, 3596, 3638.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Exclusion and Suppression of Evidence; Guilty Plea.

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POINTS OF COUNSEL

Nicole Duvé, District Attorney, Canton (Amanda N. Nissen of counsel), for appellant in the first above-entitled action. The Appellate Division erred in dismissing the People's appeal because an appeal properly lies from an oral order. (People v Silva, 122 AD2d 750; People v Wallace, 220 AD2d 248; People v Parker, 223 AD2d 179; People v Ainsworth, 106 AD2d 357; People v Hetenyi, 277 App Div 310, 301 NY 757; People v Holmes, 206 AD2d 542; People v Herrera, 173 AD2d 850; People v Herne, 84 AD3d 1589; People v Price, 67 AD2d 990.)

Richard V. Manning, Parishville, for respondent in the first above-entitled action.

Timothy P. Donaher, Public Defender, Rochester (Drew R. DuBrin of counsel), for appellant in the second above-entitled action. I. The County Court's determination, made at the bench, is an order finally denying defendant's motion to suppress and, therefore, defendant did not forfeit his right to appellate review of his suppression claim by pleading guilty. (People v Fernandez, 67 NY2d 686; People v Taylor, 65 NY2d 1; People v Manini, 79 NY2d 561; Riley v County of Broome, 95 NY2d 455; People v

Coaye, 68 NY2d 857; *People v Kisina*, 14 NY3d 153; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Matter of Balter v Regan*, 63 NY2d 630; *People v Allman*, 133 AD2d 638; *People v Wallace*, 220 AD2d 248.) II. The Appellate Division correctly held that defendant's waiver of the right to appeal is unenforceable because the record fails to demonstrate that it was knowing, intelligent, and voluntary. (*People v Seaberg*, 74 NY2d 1; *People v Hidalgo*, 91 NY2d 733; *People v Harris*, 61 NY2d 9; *People v Callahan*, 80 NY2d 273; *People v Lopez*, 6 NY3d 248; *People v Moissett*, 76 NY2d 909; *People v Kemp*, 94 NY2d 831; *Jones v Barnes*, 463 US 745; *People v Louree*, 8 NY3d 541; *People v Murray*, 15 NY3d 725.) III. As a matter of law, the police's observations of a grocery bag stuffed with cash sticking out of defendant's shorts and a small baggie with white residue in the van defendant was driving did not give police probable cause to arrest him for possession of cocaine. (*People v Carrasquillo*, 54 NY2d 248; *People v Davis*, 36 NY2d 280; *People v Oden*, 36 NY2d 382; *People v McRay*, 51 NY2d 594; *People v Wirchansky*, 41 NY2d 130; *People v Dodt*, 61 NY2d 408; *People v Edwards*, 95 NY2d 486; *People v Nieves*, 67 NY2d 125; *People v Concepcion*, 17 NY3d 192; *People v Muhammad*, 17 NY3d 532.)

Sandra Doorley, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent in the second above-entitled action. I. As part of the agreed-upon plea, defendant waived his right to appeal. (*People v Ramos*, 7 NY3d 737; *People v Bradshaw*, 18 NY3d 257; *People v Kemp*, 94 NY2d 831.) II. By pleading guilty without obtaining an order finally denying his suppression motion, defendant forfeited any suppression issues. (*People v Konieczny*, 2 NY3d 569; *People v Fernandez*, 67 NY2d 686; *People v Hardy*, 13 NY3d 805; *People v Thomas*, 53 NY2d 338; *Burke v Crosson*, 85 NY2d 10; *People v Ventura*, 139 AD2d 196; *People v Williams*, 43 AD2d 884, 36 NY2d 829; *People v Taylor*, 65 NY2d 1; *People v Seaberg*, 74 NY2d 1.) III. Police had probable cause to arrest defendant. (*People v Silvestry*, 11 NY3d 902; *People v Edwards*, 14 NY3d 741; *People v Mizell*, 72 NY2d 651; *People v Shulman*, 6 NY3d 1; *People v Moore*, 6 NY3d 496; *People v Carrasquillo*, 54 NY2d 248; *People v Bigelow*, 66 NY2d 417.)

OPINION OF THE COURT

JONES, J.

The common issue presented by these appeals is whether an appeal lies from an oral order issued by a criminal court on a

pretrial matter. In *People v Elmer*, the People appealed pursuant to CPL 450.20 (1) from an oral decision by the trial court that granted, in part, defendant's motion to dismiss the indictment on speedy trial grounds. In *People v Cooper*, defendant sought review pursuant to CPL 710.70 (2) of an oral order denying his motion to suppress evidence obtained in a search attendant to his arrest. In both cases, the Appellate Division ruled adversely to the appellants, finding that the failure to obtain a written order precluded appellate review. We conclude otherwise, holding that an appeal does lie from an oral order of a criminal court that finally disposes of the pretrial matter at issue.

People v Carol Elmer

Defendant Carol Elmer was charged with 37 counts of overdriving, torturing and injuring an animal in violation of Agriculture and Markets Law § 353 for the alleged failure to properly care for horses within her custody. In a pretrial motion, defendant moved to controvert the search warrant used to enter her premises and to suppress evidence. Although County Court ordered a suppression hearing, the matter was adjourned several times by the People due to the ostensible unavailability of a witness. Consequently, defendant moved to dismiss the indictment on statutory speedy trial grounds.

County Court granted the motion in part, dismissing the first 22 counts of the indictment. Recounting the procedural history of the matter, the court noted the dilatory efforts of the prosecution in procuring the witness, remarking that “the People, by not being ready for a hearing, delayed, actually made it impossible [for] the scheduling of a trial, holding of a trial, and by not being ready for a suppression hearing concerning a search warrant, they should be held with post-readiness delay because it prevented the trial from going forward.” The court orally ordered that “[t]he first 22 counts are dismissed as defendant was denied her right to a speedy trial.”

The Appellate Division dismissed the People's appeal and remitted the matter to County Court for the issuance of a written order, concluding that no appeal lies from the “County Court's oral ruling dismissing the first 22 counts of the indictment [as it] was never reduced to a writing and was never entered” (84 AD3d 1593, 1593 [3d Dept 2011]). A Judge of this Court granted the People leave to appeal (17 NY3d 903 [2011]).

People v Kevin Cooper

As a result of a vehicular stop, arrest and search that uncovered narcotics, defendant Kevin Cooper was charged with criminal possession of a controlled substance in the third degree, criminal possession of a controlled substance in the fourth degree, bribery in the third degree and certain traffic violations.

Acting on an anonymous tip that a van marked by a light-colored stripe and driven by an individual wearing red shorts was transporting narcotics, the police stopped defendant's vehicle—which matched the description—after observing that it lacked a rear license plate lamp and had made an unlawful right turn without the appropriate signal. When the police approached the vehicle, they observed defendant dressed in red shorts and upon further inspection, in plain view, officers observed a grocery bag “bulging with money” on defendant's person and “a little dime baggie with white residue” on the vehicle's console. As a result, defendant was arrested and an ensuing search recovered a small portion of cocaine secreted in defendant's right sock.

Following a suppression hearing to preclude the recovered evidence, County Court denied defendant's motion to suppress. That court remarked and orally decided that

“Officer Masik had probable cause to stop the van initially for his observation of the vehicle and traffic violations of no tail lamp and failure to signal a turn and based upon the information that he received from the individual that everything matched the description. When Officer Masik observed the residue in the console of the car he had probable cause to ask the defendant out of the car and subsequently arrest him for possession of that residue . . . so the Court is going to deny the defendant's motion to suppress any evidence on the People's direct case. Your exception is noted for the record.”

Ultimately, defendant pleaded guilty to criminal possession of a controlled substance in the third degree.

On appeal from his judgment of conviction, defendant sought review pursuant to CPL 710.70 (2) of the suppression court's denial of his motion to suppress. The Appellate Division, however, concluded that defendant forfeited his statutory right of review because he had entered a guilty plea prior to the transcription of the oral order (85 AD3d 1594, 1595 [4th Dept

2011]). In that court's view, section 710.70 (2) was inapplicable because it did not permit appellate review of an oral bench decision denying a suppression motion. In the alternative, that court also addressed the merits and concurred with the trial court's determination that defendant's arrest was supported by probable cause. A Judge of this Court granted defendant leave to appeal (17 NY3d 902 [2011]). We now reverse in *Elmer* and affirm in *Cooper*.

Discussion

[1] The principal argument set forth by the appellants is that the term "order" encompasses both oral and written orders because the Legislature has expressly provided for a "written order" when specifically required. Accordingly, it is asserted that an appeal does lie from an oral "order." We agree.¹

The Legislature is presumed to be aware of the distinction between the terms "order" and "written order" and thus, absent an express definition, we ascribe a broader view to its use of the unqualified phrase "order." Where deemed necessary, the Legislature has provided for a "written order" in certain provisions of both the Criminal Procedure Law and the Penal Law (*see* CPL 195.30 [when a court approves waiver of an indictment, it must "execute a written order to that effect"]; Penal Law § 215.70 [a person is guilty of unlawful grand jury disclosure unless the disclosure was made "upon written order of the court"]; *see also* CPL 190.25 [4] [a]; CPL 420.10 [6]; CPL 420.40 [5]; Penal Law § 85.05 [3] [b]). By contrast, in *Elmer*, the People appeal under CPL 450.20 (1) which provides that the prosecution can appeal from "[a]n *order* dismissing an accusatory instrument or a count thereof, entered pursuant to section 170.30, 170.50 or 210.20" (emphasis added). Likewise, in *Cooper*, defendant relies upon CPL 710.70 (2) which provides that "[a]n *order* finally denying a motion to suppress evidence may be reviewed upon an appeal from an ensuing judgment of conviction notwithstanding the fact that such judgment is entered upon a plea of guilty" (emphasis added). These two provisions, and other similar penal statutes, significantly, permit appeals from an "order" without further restriction. It logically follows,

1. Our holding does not, in any way, abrogate the well settled rule that "[n]o appeal lies from a determination made in a criminal proceeding unless specifically provided for by statute" (*People v Pagan*, 19 NY3d 368, 370 [2012], quoting *People v Dunn*, 4 NY3d 495, 497 [2005]; *People v Hernandez*, 98 NY2d 8, 10 [2002]).

then, that a statute authorizing an appeal from an “order”—as opposed to a “written order”—should be construed to permit an appeal from either a written or oral order.²

This Court previously held as much in *People v Coaye* (68 NY2d 857 [1986]). In that case, upon the defendant’s motion, Supreme Court orally reduced an attempted murder conviction to a lesser degree and then immediately pronounced sentence, commencing the defendant’s 30-day period to appeal as of right from the judgment of conviction under CPL 460.10. While the defendant’s appeal was pending, the People obtained, some time thereafter, a written order memorializing the oral decision and then appealed from the written order on a separate appellate track. The Appellate Division ultimately consolidated the dual appeals and reversed, reinstating the jury’s original conviction on the attempted murder count. The defendant contended that the People’s appeal should not have been entertained because it had been commenced well beyond the 30-day period following the oral order. In turn, the People responded that an appeal is only appropriately taken upon the entry of a written order.

Under the factual circumstances of that case, where the oral decision rendered on the motion was subsumed by the judgment of conviction by virtue of the pronouncement of the sentence immediately after, we held that the People should have appealed from the oral order (68 NY2d at 858-859). Of primary concern was the potential unfairness engendered by the directives of section 460.10, namely, that a defendant has 30 days to appeal as of right from the judgment of conviction, whereas the People could conceivably enlarge the time to appeal by procuring a written order at a later date. Although *Coaye* presented unique factual circumstances, it demonstrated our willingness to sanction appeals from oral orders and we now think it is sound policy to permit such appeals so long as they are taken, in accordance with the appropriate governing criminal statute, from an oral order that conclusively disposes of the matter at issue.³ This not only provides a clear signal to the respective parties as

2. The Civil Practice Law and Rules, unlike the Criminal Procedure Law, explicitly defines the term “order” as written in nature, mandating that an order determining a motion “shall be in writing” or “shall be reduced to writing or otherwise recorded” (CPLR 2219 [a]). Moreover, a civil appeal as of right is to be taken within 30 days from service of “a copy of the judgment or order appealed from and written notice of its entry” (CPLR 5513 [a]; see also CPLR 2220).

3. We find no persuasive authority supporting a series of Appellate Division cases that routinely dismissed, or held in abeyance, appeals taken from

(n. cont’d)

to when the time to appeal certain orders commences, but also mitigates potentially anomalous consequences, as illustrated by *Coaye*. Further, our holding reflects and accommodates the common experience of criminal practice where courts may issue oral decisions, often on a multitude of matters, without engaging in the additional affirmative step of ensuring that every order is reduced to writing. The failure to do so does not necessarily render an oral order infirm nor undermine its intended final authority.

[2] In light of the foregoing, the Appellate Division erred in *People v Elmer* by dismissing the appeal and remitting the matter to County Court. The People were entitled under section 450.20 (1) to appellate review of the lower court's oral decision dismissing certain counts of the indictment.

[3] In *People v Cooper*, it was similarly error to conclude that defendant's appeal under section 710.70 (2) was forfeited by the entry of his guilty plea simply because the oral order had not been issued in writing. Although a guilty plea "generally results in a forfeiture of the right to appellate review of any nonjurisdictional defects in the proceedings," section 710.70 (2) has been recognized as a limited exception permitting appellate review, notwithstanding the entry of a guilty plea (*People v Fernandez*, 67 NY2d 686, 688 [1986]). Moreover, we have countenanced a forfeiture of this statutory right only where a defendant pleaded guilty "before the hearing on his suppression motion," thereby foreclosing appellate review for lack of a sufficient factual record (67 NY2d at 688). Here, even though the suppression motion was decided orally, it is evident that it was "an order finally denying a motion to suppress evidence." The suppression court issued its findings of fact on the record; found sufficient probable cause for the stop, arrest and search of defendant; denied the motion to suppress; noted defendant's exception and immediately set the matter for a trial date. We reject the People's contention that the issuance of a written order, a ministerial act, was a pending judicial action that rendered the oral order non-final (see *People v Allman*, 133 AD2d 638, 639 [2d Dept 1987] ["On this record, it cannot be stated that the hearing court's express denial of the defendant's omnibus

oral orders (see *People v Holmes*, 206 AD2d 542 [2d Dept 1994]; *People v Austin*, 208 AD2d 990 [3d Dept 1994]; *People v Herrera*, 173 AD2d 850 [2d Dept 1991]; cf. *People v Wallace*, 220 AD2d 248 [1st Dept 1995]; *People v Silva*, 122 AD2d 750 [1st Dept 1986]).

motion does not constitute ‘(a)n order finally denying a motion to suppress evidence’ ”)].

[4] However, with respect to *People v Cooper*, the Appellate Division did reach the merits of the parties’ contentions and reversal is not warranted here. Contrary to the People’s argument, despite defendant’s execution of a written waiver of the right to appeal, he did not knowingly, intelligently or voluntarily waive his right to appeal as the record fails to demonstrate a “full appreciation of the consequences of such waiver” (*People v Bradshaw*, 18 NY3d 257, 264 [2011] [internal quotation marks omitted]; *People v Lopez*, 6 NY3d 248, 256 [2006]). There was no “attempt by the court to ascertain on the record an acknowledgment from defendant that he had, in fact, signed the waiver or that, if he had, he was aware of its contents” (*People v DeSimone* [companion case to *People v Callahan*, 80 NY2d 273, 283 (1992)]). Moreover, defendant’s assertion that the police lacked probable cause to effectuate an arrest and search presents a mixed question of law and fact beyond the purview of this Court’s jurisdiction so long as there is record support for the lower courts’ determination (see *People v Bigelow*, 66 NY2d 417, 420 [1985]; *People v McRay*, 51 NY2d 594, 601 [1980]; *People v Wharton*, 46 NY2d 924, 925 [1979]). In this case, there is sufficient record evidence that the police possessed probable cause, foreclosing further review.

Accordingly, in *People v Elmer*, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division, Third Department, for consideration of the merits of the appeal taken to that court. In *People v Cooper*, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

In *People v Elmer*: Order reversed, etc.

In *People v Cooper*: Order affirmed.

[973 NE2d 743, 950 NYS2d 333]

GEORGIA MALONE & COMPANY, INC., Appellant, v RALPH RIEDER
et al., Defendants, and ROSEWOOD REALTY GROUP, INC., et
al., Respondents.

Argued May 31, 2012; decided June 28, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 7, 2011. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Eileen Bransten, J.), as had dismissed the complaint as against defendant Ralph Rieder and dismissed the unjust enrichment claim as against all of the defendants. The modification consisted of reinstating the unjust enrichment claim as against defendants Ralph Rieder and Elie Rieder. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: “Was the order of this Court, which modified the order of Supreme Court, properly made?”

Georgia Malone & Co., Inc. v Rieder, 86 AD3d 406, affirmed.

HEADNOTE

Equity — Unjust Enrichment — Relationship between Parties Too Attenuated

Plaintiff, a real estate brokerage firm that prepared due diligence reports for a developer in connection with the potential purchase of commercial properties, failed to state a cause of action for unjust enrichment against defendant rival brokerage firm, which allegedly acquired the due diligence materials from the developer and later obtained a commission on the ultimate sale of the properties, where the relationship between plaintiff and the rival brokerage firm as alleged in the complaint was too attenuated. A plaintiff cannot succeed on an unjust enrichment claim unless it has a sufficiently close relationship with the other party. Although a plaintiff need not allege privity, it must assert a connection between the parties that is not too attenuated. Here, plaintiff and the rival brokerage firm had no dealings with each other, and the complaint did not assert that they had any contact regarding the purchase transaction. Although the complaint stated that the rival brokerage firm “knew at all times” that plaintiff produced the due diligence reports and provided them to the developer with the expectation that it would be compensated in the event a purchase agreement was reached, there was no allegation that the rival brokerage firm was aware that plaintiff and the developer had agreed to the confidential nature of the due diligence information or that the developer had failed to pay plaintiff before the documents

were conveyed to the rival brokerage firm. Under these facts, mere knowledge that another entity created the due diligence reports was insufficient to support an unjust enrichment claim. There was no claim that the rival brokerage firm had anything other than arm's length business interactions with the developer, and the pleadings did not implicate the rival brokerage firm in the developer's alleged wrongdoing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Brokers §§ 165, 167, 261; AM JUR 2d, Restitution and Implied Contracts §§ 11, 159, 160, 164.

NY JUR 2d, Brokers §§ 36, 272; NY JUR 2d, Contracts §§ 523-525, 609, 610.

PROSSER AND KEETON, TORTS (5th ed) § 130.

ANNOTATION REFERENCE

See ALR Index under Brokers; Unjust Enrichment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: unjust! /2 enrich! & due /2 diligence /s report

POINTS OF COUNSEL

Adam Leitman Bailey, P.C., New York City (*Jeffrey R. Metz* and *Courtney Killelea* of counsel), for appellant. I. Georgia Malone & Company, Inc.'s complaint states a viable cause of action for unjust enrichment against Aaron Jungreis and Rosewood Realty Group, Inc. (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *Miller v Schloss*, 218 NY 400; *Byxbie v Wood*, 24 NY 607; *Blue Cross of Cent. N.Y. v Wheeler*, 93 AD2d 995; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Aetna Cas. & Sur. Co. v LFO Constr. Corp.*, 207 AD2d 274; *Carriafielio-Diehl & Assoc., Inc. v D&M Elec. Contr., Inc.*, 12 AD3d 478; *Wolf v National Council of Young Israel*, 264 AD2d 416; *Cohn v Rothman-Goodman Mgt. Corp.*, 155 AD2d 579.) II. The dissent properly interpreted this Court's decision in *Mandarin Trading Ltd. v Wildenstein* (16 NY3d 173 [2011]). (*Sperry v Crompton Corp.*, 8 NY3d 204; *Kagan v K-Tel Entertainment*, 172 AD2d 375.)

Westerman Ball Ederer Miller & Sharfstein, LLP, Uniondale (*Jeffrey A. Miller* of counsel), for respondents. I. Appellant's unjust enrichment claim was properly dismissed because appellant could not state the elements of the claim. (*Mandarin*

Trading Ltd. v Wildenstein, 16 NY3d 173; *Sperry v Crompton Corp.*, 8 NY3d 204; *Kagan v K-Tel Entertainment*, 172 AD2d 375; *Ehrlich v Froehlich*, 72 AD3d 1010; *Seneca Pipe & Paving Co., Inc. v South Seneca Cent. School Dist.*, 63 AD3d 1556; *M & B Joint Venture, Inc. v Laurus Master Fund, Ltd.*, 49 AD3d 258; *Clark v Daby*, 300 AD2d 732; *Monex Fin. Servs., Ltd. v Dynamic Currency Conversion, Inc.*, 62 AD3d 675; *Maywalt v Parker & Parsley Petroleum Co.*, 808 F Supp 1037; *Reading Intl., Inc. v Oaktree Capital Mgt. LLC*, 317 F Supp 2d 301.) II. In the alternative, appellant's unjust enrichment claim was properly dismissed because a valid and binding contract governed the subject transaction. (*American Sugar Ref. Co. of N.Y. v Waterfront Commn. of N.Y. Harbor*, 55 NY2d 11, appeal dismissed sub nom. *New York Shipping Assn., Inc. v Waterfront Commn. of N.Y. Harbor*, 458 US 1101; *Matter of Rivera v Smith*, 63 NY2d 501; *Telaro v Telaro*, 25 NY2d 433; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Seneca Pipe & Paving Co., Inc. v South Seneca Cent. School Dist.*, 63 AD3d 1556; *Feigen v Advance Capital Mgt. Corp.*, 150 AD2d 281; *Julien J. Studley, Inc. v New York News*, 70 NY2d 628.) III. The cases appellant cites in its brief either undermine appellant's position or have no application to this case. (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *Miller v Schloss*, 218 NY 400; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Bradkin v Leverton*, 26 NY2d 192; *Carriafielio-Diehl & Assoc., Inc. v D&M Elec. Contr., Inc.*, 12 AD3d 478; *Wolf v National Council of Young Israel*, 264 AD2d 416; *Ehrlich v Froehlich*, 72 AD3d 1010; *Aetna Cas. & Sur. Co. v LFO Constr. Corp.*, 207 AD2d 274; *Corto v Fujisankei Communications Intl.*, 177 AD2d 397.)

OPINION OF THE COURT

GRAFFEO, J.

In this action, a real estate company that prepared due diligence reports for a developer in connection with the potential purchase of commercial properties alleges that a rival brokerage firm was unjustly enriched when it acquired the materials from the developer and later obtained a commission on the ultimate sale of the properties. The issue before us is whether a sufficient relationship existed between the two real estate firms to provide a basis for an unjust enrichment cause of action. Based on the allegations presented in the complaint, we hold that the relationship between these two parties was too attenuated.

Plaintiff Georgia Malone & Company, Inc. (Malone) is a licensed real estate brokerage and consulting firm that provides

its clients with information regarding the purchase and sale of properties not yet on the market. Its principal officer is Georgia Malone. Defendant Rosewood Realty Group, Inc. (Rosewood) and defendant Aaron Jungreis, a broker in the firm, are also engaged in the real estate trade.

In the course of its realty business, Malone introduced defendant CenterRock Realty, LLC (CenterRock), a developer, to the sellers of residential apartment buildings in midtown Manhattan. Thereafter, Malone and CenterRock, by its managing member, defendant Ralph Rieder, entered into a contract in which Malone agreed to produce due diligence materials relating to the properties for CenterRock's review for potential acquisition. CenterRock acknowledged that it would keep the due diligence information confidential and agreed to pay Malone a commission of 1.25% of the total purchase price for its brokerage services.¹

Malone then provided CenterRock with certain documents, including an underwriting model, purchase contract, certificates of occupancy, income summary, short aging summary, bank accounts and bank deposit reports, rent rolls, reports of environmental and engineering investigations and recommendations for the selection of consultants. In December 2007, CenterRock executed a contract of sale with the owners to purchase the properties for \$70 million.

Under the terms of the purchase agreement, CenterRock had 25 days to perform due diligence investigations, during which time it could terminate the deal without a penalty. According to Malone, Rieder delayed tender of the down payment and the sellers agreed to extend the due diligence deadline an additional 21 days. During the due diligence period, Malone claims that it continued to collect, create and provide CenterRock with confidential information pertaining to the properties and that

1. Specifically, the agreement provided that CenterRock "agrees to treat all [i]nformation [furnished to it by Malone] as confidential and shall not duplicate, distribute, disclose, or disseminate such documentation or information without the prior written consent of [Malone], in each instance, which [Malone] may withhold in its sole discretion." The contract further stated that CenterRock could, on a confidential basis, "reveal the [i]nformation only to its affiliates, representatives, key employees, lenders, partners, advisors, outside counsel and accountants ('Related Parties') . . . who (x) need to know the [i]nformation for the purpose of evaluating the [p]roper[ti]es, and (y) are informed by [CenterRock] of the confidential nature of the [i]nformation." CenterRock also agreed to be held liable for the breach of the confidentiality clause by any of the Related Parties.

Rieder repeatedly represented that CenterRock would be ready to close on time.

About a week before the expiration of the contract extension, Georgia Malone received an e-mail from Rieder that stated: “See what you can do about finding [another] buyer for [the properties]. If it falls flat I am prepared to do whatever you think is fair including making up your entire fee. Ideally, I would like to tack it on to our next deal.” Malone attempted but failed to locate another buyer.² CenterRock terminated the contract on the last day of the due diligence period and refused to pay Malone’s demand for its commission in the amount of \$875,000 (1.25% of the contract price).

After CenterRock pulled out of the deal, Malone alleges that Elie Rieder gave the due diligence materials to a third party for the purpose of selling the documentation to Rosewood. In return, Rosewood paid the Rieders \$150,000 for the materials and obtained a new buyer who eventually purchased the properties for \$68.5 million. Rosewood received a commission of \$500,000 from the sale.

Following that transaction, Malone commenced this action alleging a breach of contract against CenterRock and Ralph Rieder and interposing unjust enrichment claims against all defendants. Supreme Court dismissed all claims except those against CenterRock. On Malone’s appeal, the Appellate Division modified, with two Justices dissenting, by reinstating the unjust enrichment claims against the Rieders and otherwise affirmed (86 AD3d 406 [2011]). The Appellate Division granted Malone’s motion for leave to appeal and certified the following question: “Was the order of this Court, which modified the order of the Supreme Court, properly made?” (2011 NY Slip Op 85308[U] [2011]).

On appeal, Malone seeks reinstatement of its unjust enrichment claim against Rosewood. Malone contends that Rosewood knew that it produced the due diligence materials and that, as a consequence, Rosewood unfairly profited at Malone’s expense by collecting a commission on the sale of the properties. In opposition, Rosewood argues that Malone’s complaint fails to make out an unjust enrichment claim against it because there was no

2. While these events were transpiring, Malone alleges that Rieder and defendant Elie Rieder (Rieder’s son and an officer of CenterRock) were secretly attempting to obtain equity partners in order to purchase the properties through another entity to avoid paying Malone its commission.

business relationship or connection between them. In addition, Rosewood submits that Malone's complaint is inadequate because it does not assert that Rosewood was aware that the information had been deemed confidential, nor does it allege that Rosewood knew that CenterRock had not paid Malone for production of the due diligence documents.

As we have stated on several occasions, “‘[t]he theory of unjust enrichment lies as a quasi-contract claim’” and contemplates “an obligation imposed by equity to prevent injustice, in the absence of an actual agreement between the parties” (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132, 142 [2009], quoting *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561, 572 [2005]). An unjust enrichment claim is rooted in “the equitable principle that a person shall not be allowed to enrich himself unjustly at the expense of another” (*Miller v Schloss*, 218 NY 400, 407 [1916]). Thus, in order to adequately plead such a claim, the plaintiff must allege “that (1) the other party was enriched, (2) at that party's expense, and (3) that it is against equity and good conscience to permit the other party to retain what is sought to be recovered” (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011] [brackets and internal quotation marks omitted]).

In *Sperry v Crompton Corp.* (8 NY3d 204 [2007]), we held that a plaintiff cannot succeed on an unjust enrichment claim unless it has a sufficiently close relationship with the other party. In that case, the plaintiff, who claimed to have purchased overpriced tires, asserted a cause of action for unjust enrichment against the producers of the chemicals used by tire manufacturers (*id.* at 209). The plaintiff's theory was that the chemical producers overcharged the tire manufacturers, who, in turn, passed the cost to the plaintiff and others similarly situated (*id.*). Defendants moved under CPLR 3211 to dismiss the claim for failure to state a cause of action and we held that, while “a plaintiff need not be in privity with the defendant to state a claim for unjust enrichment,” there must exist a relationship or connection between the parties that is not “too attenuated” (*id.* at 215-216).

More recently, we elaborated on the pleading requirements for unjust enrichment in *Mandarin*, wherein the plaintiff sought to purchase a famous painting with the intent to later auction it for a profit (16 NY3d at 177). The defendant, an alleged art expert, wrote a letter to a third party estimating the painting's value at \$15 million to \$17 million but the letter did not

disclose the defendant's ownership interest in the artwork (*id.*). After obtaining a copy of the letter, the plaintiff claimed to have relied on defendant's representations on valuation in ultimately purchasing the painting for \$11.3 million (*id.*). Unbeknownst to the plaintiff, \$8.8 million of the sale proceeds went to defendant (*id.*). When the plaintiff was unable to resell the painting for a price greater than or equal to its acquisition cost, it sued the defendant for unjust enrichment.

Upon defendant's motion to dismiss, we dismissed the unjust enrichment claim due to "the lack of allegations [in the complaint] that would indicate a relationship between the parties, or at least an awareness by [the defendant] of [the plaintiff's] existence" (*Mandarin*, 16 NY3d at 182). Reaffirming *Sperry*, we held that although the plaintiff was not required to allege privity, it had to assert a connection between the parties that was not too attenuated (*id.*). We concluded that

"under the facts alleged, there are no indicia of an enrichment that was unjust where the pleadings failed to indicate a relationship between the parties that could have caused reliance or inducement. Without further allegations, the mere existence of a letter that happens to find a path to a prospective purchaser does not render this transaction one of equitable injustice requiring a remedy to balance a wrong. Without sufficient facts, conclusory allegations that fail to establish that a defendant was unjustly enriched at the expense of a plaintiff warrant dismissal" (*id.* at 182-183).

Seizing on *Mandarin*'s reference to "awareness," Malone argues that its unjust enrichment claim should be allowed to proceed because Rosewood was aware that Malone had created the due diligence reports and Rosewood had used the materials for its own benefit without compensating Malone. But mere knowledge that another entity created the documents is insufficient to support a claim for unjust enrichment under the facts of this case. Our mention of awareness in *Mandarin* was intended to underscore the complete lack of a relationship between the parties in that case.³

Similar to *Sperry* and *Mandarin*, the relationship between Malone and Rosewood is too attenuated because they simply

3. Contrary to the dissent's contention, the "awareness" language in *Mandarin* was dicta since the thrust of the holding pertained to the attenuation of the relationship between the parties.

had no dealings with each other. Accepting as true the facts alleged in the complaint and affording Malone the benefit of every favorable inference, as we must on a motion to dismiss (*see Roni LLC v Arfa*, 18 NY3d 846, 848 [2011]), the complaint does not contain sufficient allegations to support an unjust enrichment claim against Rosewood. In particular, the complaint does not assert that Rosewood and Malone had any contact regarding the purchase transaction.⁴ And, although the complaint states that Rosewood “knew at all times” that Malone produced the due diligence reports and provided them to CenterRock with the expectation that it would be compensated in the event a purchase agreement was reached, there is no allegation that Rosewood was aware that Malone and CenterRock had agreed to the confidential nature of the due diligence information or that Rosewood knew that CenterRock had failed to pay Malone before the documents were conveyed to Rosewood. Indeed, Jungreis’s e-mail communications submitted by Malone in opposition to the motions to dismiss allude to Rosewood’s offer to pay the Rieders for the “due diligence costs” they “laid out,” suggesting that Rosewood believed that the Rieders had compensated Malone for its services.

Contrary to Malone’s contentions, there is no claim that Rosewood had anything other than arm’s length business interactions with CenterRock or the Rieders. The pleadings do not implicate Rosewood in the Rieders’ alleged wrongdoing. The Rieders furnished the due diligence documents and, in exchange, Rosewood paid them \$150,000. Rosewood obtained a buyer and negotiated the purchase transaction with the sellers and their broker. Hence, Malone’s argument that Rosewood profited without doing any work lacks merit.

The dissent cites *Simonds v Simonds* (45 NY2d 233 [1978]), a case that involved an unjust enrichment action against the second wife of the plaintiff’s ex-husband. Plaintiff sought a portion of her ex-husband’s life insurance proceeds obtained by the second wife. We imposed a constructive trust on the insurance proceeds held by the second wife on the basis that “[a] bona fide purchaser of property upon which a constructive trust would otherwise be imposed takes free of the constructive trust, but a gratuitous donee, however innocent, does not” (*id.* at 242). We determined that the second wife in *Simonds* was a

4. Malone conceded at oral argument that it had no relationship with Rosewood.

gratuitous donee. In contrast, here, Malone has alleged that Rosewood paid the Rieders for the due diligence files. Additionally, because the complaint fails to allege that Rosewood was aware of the wrongfulness of CenterRock's actions, Rosewood appears to fit the criteria of a good-faith purchaser for value which, under *Simonds*, would not support an unjust enrichment claim.

Moreover, regardless of whether Rosewood was a good-faith purchaser of the due diligence materials, the complaint fails to present a sufficient connection between Malone and Rosewood to form the basis of an unjust enrichment claim. In this respect, Malone's and the dissent's reliance on *Bradkin v Leverton* (26 NY2d 192 [1970]) is misplaced because the defendant in that case was an officer of the corporation with which the plaintiff contracted and thus his relationship with the plaintiff was much closer.

The rule urged by Malone would require parties to probe the underlying relationships between the businesses with whom they contract and other entities tangentially involved but with whom they have no direct connection. This would impose a burdensome obligation in commercial transactions. Although Malone's alleged loss of compensation for preparation of the due diligence reports certainly appears unfair, its unjust enrichment claim against Rosewood falls short of stating facts establishing a sufficient relationship to impose potential liability against that party. Such claims may be more properly pursued against CenterRock and the Rieders and, since those claims remain pending, Malone is not without recourse.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN (dissenting). We have established that "[t]he essential inquiry in any action for unjust enrichment . . . is whether it is against equity and good conscience to permit the defendant to retain what is sought to be recovered" (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011] [internal quotation marks and citation omitted]). It is apparent that equity and good conscience do not permit Rosewood to retain the benefits of Malone's diligent work, and that plaintiff has adequately pleaded that Rosewood was unjustly enriched. Therefore, I respectfully dissent.

The allegations of this complaint are sufficient to state a cause

of action that Rosewood cannot retain the sales commission it received by using Malone's work product. According to the pleadings, Malone performed the services and due diligence necessary to equip a buyer to negotiate and to execute the purchase of the commercial properties. Rosewood then profited by using the fruits of Malone's labor and transmitting the diligence materials to a different buyer, netting Rosewood a hefty commission while Malone never received compensation for its work. Furthermore, Rosewood had an appreciation and awareness that the diligence materials were drafted by Malone, as alleged in the complaint.¹ Rosewood knew that it was receiving a benefit from Malone, its competitor in the New York real estate brokerage market, because it was evident from the materials themselves. In an affidavit in opposition to Rosewood's motion to dismiss, Georgia Malone stated, "[A]ll of the [due diligence] materials either were printed on plaintiff's letterhead or contained other information linking them to plaintiff" (emphasis omitted). Evaluating Malone's unjust enrichment claim under the "broad considerations of equity and justice" (*Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415, 421 [1972]), it is only fair to allow Malone's claim against Rosewood to proceed at this early stage in the litigation. At the motion to dismiss stage under CPLR 3211, "the pleading is to be afforded a liberal construction," and we "accord plaintiffs the benefit of every possible favorable inference" (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). The majority's intimation that Rosewood believed Malone had been compensated by the Rieders for its services and that Rosewood is a good-faith purchaser for value inappropriately draws inferences in favor of defendants in the context of a CPLR 3211 motion to dismiss.

In addition to requiring proof that defendant was inequitably enriched at plaintiff's expense, we held in *Sperry v Crompton Corp.* (8 NY3d 204, 215-216 [2007]) that there needs to be some nexus between the plaintiff and defendant, and the "connection" between the party conferring the benefit and the enriched party cannot be "too attenuated." Disregarding the equitable concerns at hand, the majority rules on the basis that Malone's connection to Rosewood does not satisfy the standard of *Sperry*. The majority now requires plaintiffs pleading unjust enrichment to

1. Paragraph 86 of the complaint states, "Rosewood and Jungreis knew at all times that Malone[] had performed the aforementioned work, labor and services and had supplied the aforesaid information with the expectation that Malone[] would be compensated therefor in the event that an agreement was reached to purchase the Property."

have a “sufficient relationship” with defendant, involving “dealings with each other” (*see* majority op at 513, 518). Requiring a relationship of mutual dealing where the plaintiff confers a benefit on the unjustly enriched party treads too close to requiring privity, which this Court expressly disclaimed in *Sperry* and *Mandarin Trading*. Our holdings in *Sperry* and *Mandarin Trading* never required that there be direct contact or a close relationship between the parties.

In *Mandarin Trading*, we indicated that “an awareness” by defendant of plaintiff’s existence was sufficient for an unjust enrichment claim (16 NY3d at 182). The language describing the connection between Mandarin Trading and Wildenstein as not a “relationship . . . caus[ing] reliance or inducement” was merely for illustrative purposes and was dicta alluding back to how Mandarin also failed to meet the standard for negligent misrepresentation (*id.*). It was not a statement of the standard for unjust enrichment actions,² and the majority here likewise correctly refrains from applying the heightened reliance/inducement standard. Rather, our holding in *Mandarin Trading* was that the connection between the defendant, who was not aware of plaintiff’s existence, was “too attenuated” under *Sperry*. In *Mandarin Trading*, the appraisal letter drafted by Wildenstein was not addressed to Mandarin Trading, and there was no information about how the letter reached plaintiff’s hands. Also the plaintiff did not plead that Wildenstein was aware that Mandarin existed. The connection between the parties here by contrast was made out because Rosewood was aware that it was profiting from its competitor’s work. Williston on Contracts § 68:5 is instructive here, stating that an unjustly

2. Only plaintiffs pleading a quantum meruit theory of unjust enrichment are required to show that they performed services for the defendants or at the defendant’s behest (*see Monex Fin. Servs., Ltd. v Dynamic Currency Conversion, Inc.*, 62 AD3d 675, 676 [2d Dept 2009]). A claim of quantum meruit requires the plaintiff to allege that services were performed for defendant in good faith, that defendant accepted the services, an expectation of compensation arose, and the reasonable value of the services rendered (*AHA Sales, Inc. v Creative Bath Prods., Inc.*, 58 AD3d 6, 19 [2d Dept 2008]). The rule espoused in *Kagan v K-Tel Entertainment* (172 AD2d 375, 376 [1st Dept 1991]), which required that services resulting in unjust enrichment be performed at the “behest” of defendant, is not the correct standard for unjust enrichment. *Kagan* cited an action for quantum meruit in support of its “behest” requirement (*Kagan*, 172 AD2d at 376), and as noted by the dissent below, “limiting unjust enrichment claims to those where the benefit was conferred at the behest of the defendant . . . virtually collapses the distinction between claims for quantum meruit and those for unjust enrichment” (86 AD3d 406, 416 n 5 [1st Dept 2011]).

enriched party must have “an appreciation or knowledge . . . of the benefit” and have accepted or retained the benefit inequitably without payment for its value (26 Lord, Williston on Contracts § 68:5 [4th ed]). The Court here is dealing with an equitable concept and should not propagate a standard that gives an impregnable defense to a party allegedly dealing in misappropriated property.³

This Court’s precedent on unjust enrichment has never required that there be a close relationship or dealings between the parties. We stated in *Simonds v Simonds* (45 NY2d 233, 242 [1978], quoting *Miller v Schloss*, 218 NY 400, 407 [1916]) that “[u]njust enrichment, however, does not require the performance of any wrongful act by the one enriched Innocent parties may frequently be unjustly enriched. What is required, generally, is that a party hold property ‘under such circumstances that in equity and good conscience he ought not to retain it.’ ” In *Simonds*, plaintiff prevailed in an action against her ex-husband’s second wife and daughter for a portion of her ex-husband’s life insurance proceeds. We determined that though defendants had not acted wrongly and had no dealings with the plaintiff, they were still unjustly enriched as beneficiaries of the insurance policies (*Simonds*, 45 NY2d at 242-243). Nowhere in *Simonds* did we require defendant to have procured the unjust benefit or that there be contact between plaintiff and defendant. The majority attempts to distinguish *Simonds* on the basis that the defendant in *Simonds* did not pay for the insurance proceeds it received whereas Rosewood “appear[ed]” to be a good-faith purchaser for value of the diligence materials (majority op at 519). Drawing every inference in favor of plaintiff, Rosewood could not have been a good-faith purchaser because it had notice from Malone’s letterhead that the diligence materials did not belong to CenterRock and the Rieders. The requirement that defendant not be a gratuitous donee is only applicable in the context of constructive trusts, and more importantly, it is not relevant to the connection between the plaintiff and defendant. The fact that the defendant in *Simonds* did not pay for life insurance does not change the fact that she had no relationship with plaintiff. As we stated in *Simonds*, “to evolve formalisms narrowing the broad scope of equity is to defeat its essential purpose” (45 NY2d at 239).

3. The majority acknowledges that “Malone’s alleged loss of compensation for preparation of the due diligence reports certainly appears unfair” (see majority op at 519).

In *Bradkin v Leverton* (26 NY2d 192 [1970]), we found a viable unjust enrichment claim where there were no direct dealings between plaintiff and defendant. “[T]he defendant received a benefit from the plaintiff’s services under circumstances which, in justice, preclude him from denying an obligation to pay for them” (*id.* at 197). The defendant in *Bradkin* knowingly used plaintiff’s contacts without paying for them, similar to Rosewood’s alleged use of Malone’s due diligence materials.

The majority’s policy concerns are unfounded. A ruling that Rosewood was unjustly enriched here would not impede commercial transactions or create an excessive burden on contracting parties. If a business partner conveys information whose source is clearly the company’s direct competitor, the company can inquire about the circumstances of the transmission of the information. Since Malone’s name was allegedly printed on the due diligence materials themselves and Malone obviously had an interest in obtaining the sales commission, Rosewood should have known that the materials were suspect. The majority ruling would appear to simply condone willful ignorance.

For these reasons, I would modify the Appellate Division order to reinstate the unjust enrichment claims against Rosewood and Jungreis.

Judges CIPARICK, READ, SMITH and JONES concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents in a separate opinion in which Judge PIGOTT concurs.

Order affirmed, etc.

[973 NE2d 1284, 950 NYS2d 510]

LILLIAN ROBERTS, as Executive Director of District Council 37,
American Federation of State, County and Municipal Em-
ployees, AFL-CIO, et al., Appellants, v DAVID A. PATERSON,
as Governor of the State of New York, et al., Respondents.

Argued May 29, 2012; decided June 28, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 26, 2011. The Appellate Division affirmed an order of the Supreme Court, New York County (Cynthia S. Kern, J.; op 2011 NY Slip Op 30096[U] [2011]) which had denied plaintiffs' motion for a preliminary injunction requiring defendants to fund health insurance benefits for retirees of the New York City Off-Track Betting Corporation pending determination of plaintiffs' plenary action for the same relief. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Roberts v Paterson, 84 AD3d 655, affirmed.

HEADNOTE

**Horse Racing — Off-Track Betting — Funding Health Insurance
Benefits for Retirees of New York City Off-Track Betting Corpora-
tion**

Plaintiffs were not entitled to a preliminary injunction requiring defendants State of New York and City of New York to continue funding the health insurance benefits of New York City Off-Track Betting Corporation (NYC OTB) retirees after NYC OTB, a public benefit corporation, ceased operations. Plaintiffs did not demonstrate a likelihood of success on the merits of their claim against defendant City. NYC OTB retirees were not eligible for City-authorized benefits since a "City retiree" under Administrative Code of the City of New York § 12-126 (a) (ii), must (among other qualifications) have been a "City employee" as defined by section 12-126 (a) (i)—"employed by a department or agency of the city; and . . . paid out of the city treasury." As a public benefit corporation created by the State, NYC OTB was never a "department or agency" of the City (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 603). Moreover, NYC OTB retirees' participation in City-authorized health insurance and welfare benefit plans was contingent upon NYC OTB's reimbursement of the City for these benefits' actual costs (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 606 [4]) and such reimbursement was impossible once NYC OTB ceased operations. With respect to the State, plaintiffs stated no viable theory under which the State assumed responsibility for funding NYC OTB retirees' health benefits in the first place. A public benefit corporation, such as NYC OTB, enjoys an existence separate and apart from the State, its agencies and political subdivisions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Gambling § 41; AM JUR 2d, Pensions and Retirement Funds §§ 1169, 1173, 1174.

McKINNEY's, Racing, Pari-Mutuel Wagering and Breeding Law §§ 603, 606 (4).

NY JUR 2d, Gambling §§ 43, 44; NY JUR 2d, Pensions and Retirement Systems § 78.

ANNOTATION REFERENCE

See ALR Index under Gambling; Health and Accident Insurance; Pension and Retirement.

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POINTS OF COUNSEL

Stroock & Stroock & Lavan LLP, New York City (*Curtis C. Mechling*, *Alan M. Klinger*, *Ernst H. Rosenberger*, *Meredith Strauss* and *Dina Kolker* of counsel), and *Mary J. O'Connell*, *General Counsel*, *District Council 37, AFSCME, AFL-CIO*, for appellants. I. The lower courts erred in interpreting the New York Constitution and the Racing, Pari-Mutuel Wagering and Breeding Law. (*Williamsburgh Sav. Bank v State of New York*, 243 NY 231; *Schulz v State of New York*, 84 NY2d 231, 84 NY2d 851, 513 US 1127; *Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524; *Wein v Levitt*, 42 NY2d 300.) II. Appellants meet the standard for a mandatory injunction to restore their health insurance benefits. (*Second on Second Café, Inc. v Hing Sing Trading, Inc.*, 66 AD3d 255; *Tucker v Toia*, 54 AD2d 322; *Bingham v Struve*, 184 AD2d 85; *McCain v Koch*, 70 NY2d 109; *Tom Doherty Assoc., Inc. v Saban Entertainment, Inc.*, 60 F3d 27.) III. Appellants are likely to succeed on the merits under multiple legal theories. (*Cook v Arrowsmith Shelburne, Inc.*, 69 F3d 1235; *Lihli Fashions Corp., Inc. v National Labor Relations Bd.*, 80 F3d 743; *Strauss v New York State Dept. of Educ.*, 26 AD3d 67; *Matter of Kemp v City of Hornell*, 250 AD2d 950; *Kuznetz v County of Nassau*, 229 AD2d 476; *Matter of County of Ulster v CSEA Unit of Ulster County Sheriff's Dept.*, *Ulster County CSEA Ch.*, 37 AD2d 437; *Matter*

of *Jefferson County v New York State Pub. Empl. Relations Bd.*, 204 AD2d 1001; *Gulino v New York State Educ. Dept.*, 460 F3d 361; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776; *Agress v Clarkstown Cent. School Dist.*, 69 AD3d 769.) IV. The City of New York agrees that the State of New York is liable for the New York City Off-Track Betting Corporation's remaining obligations.

Eric T. Schneiderman, Attorney General, New York City (Laura R. Johnson, Barbara D. Underwood and Richard Dearing of counsel), for David A. Paterson and another, respondents. I. The complaint fails to allege that plaintiffs have any contractual right to health benefits, even as to the New York City Off-Track Betting Corporation itself. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 245 AD2d 1042, 92 NY2d 326.) II. Because the State of New York was never plaintiffs' employer, any contractual right to benefits does not run against the State. (*Schulz v State of New York*, 84 NY2d 231; *Bordeleau v State of New York*, 18 NY3d 305; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361; *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn. v New York State Thruway Auth.*, 5 NY2d 420; *Arculeo v On-Site Sales & Mktg., LLC*, 425 F3d 193; *Arbaugh v Y & H Corp.*, 546 US 500; *Strauss v New York State Dept. of Educ.*, 26 AD3d 67; *Matter of Kemp v City of Hornell*, 250 AD2d 950; *Kuznetz v County of Nassau*, 229 AD2d 476; *Matter of Jefferson County v New York State Pub. Empl. Relations Bd.*, 204 AD2d 1001.)

Michael A. Cardozo, Corporation Counsel, New York City (Sharyn Rootenberg, Larry A. Sonnenshein and Janice Birnbaum of counsel), for Michael Bloomberg and another, respondents. Appellants failed to demonstrate a likelihood of success against the City of New York, as the City is not legally or statutorily required to assume the New York City Off-Track Betting Corporation's (NYC OTB) obligation to pay the actual cost of NYC OTB retirees' health insurance and welfare benefits premiums. (*Bordeleau v State of New York*, 18 NY3d 305; *Schulz v State of New York*, 84 NY2d 231; *Matter of Haynes v Giuliani*, 238 AD2d 257; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Palmer v Spaulding*, 299 NY 368; *Johnson v Hudson Riv. R.R. Co.*, 49 NY 455; *People v Felix*, 58 NY2d 156.)

Colleran, O'Hara & Mills, L.L.P., Garden City (*Edward J. Groarke* of counsel), for New York State AFL-CIO, amicus curiae.

OPINION OF THE COURT

READ, J.

The New York City Off-Track Betting Corporation (NYC OTB or the Corporation) was created in 1970 as a public benefit corporation charged with operating an off-track pari-mutuel betting system within New York City. The Corporation, which was established and governed by the Racing, Pari-Mutuel Wagering and Breeding Law, collected about \$1 billion a year in wagers in each of the four fiscal years ending on June 30, 2008. The lion's share (roughly 80%) went to winning bettors, with the remainder distributed to the City, the racing industry and the State in accordance with statutory formulas. After paying these mandatory statutory distributions, however, NYC OTB was left with insufficient funds to cover operating expenses, and so accumulated growing deficits. When the Corporation prepared to cease operations in June of 2008, the Legislature stepped in and enacted a statute designed to stabilize NYC OTB's financial position to allow time for restructuring (*see* L 2008, ch 115 [NYC OTB Act]). Under the NYC OTB Act, the Governor (rather than the Mayor) appointed the Corporation's five-member board, and NYC OTB was temporarily empowered to retain more revenue to cover operating expenses.

Nevertheless, the Corporation continued to hemorrhage money, leading its board to file for bankruptcy protection under chapter 9 of the Bankruptcy Code (11 USC) on December 3, 2009 (*see* 427 BR 256 [SD NY 2010] [detailing NYC OTB's business operations, capital and debt structure and the events leading to the filing of the chapter 9 petition]). After the New York State Senate declined to adopt legislation implementing NYC OTB's proposed reorganization plan, the Corporation shut down on December 7, 2010 and the bankruptcy case was dismissed (*see* 2011 WL 309594, 2011 Bankr LEXIS 319 [SD NY 2011]). By letter dated December 8, 2010, the City's Corporation Counsel informed NYC OTB that in light of its decision to close, NYC OTB retirees would lose coverage under the City's health insurance and welfare benefit plans because the Corporation was no longer able to reimburse the City, as required by Racing,

Pari-Mutuel Wagering and Breeding Law § 606 (4)¹ and section 30 of chapter 115 of the Laws of 2008.²

By summons and complaint dated December 23, 2010, District Council 37, AFSCME, AFL-CIO (DC 37), and its Local 2021, which represented 1,027 NYC OTB employees and more than 600 retirees; the DC 37 Benefits Fund Trust; officers of these entities, including two prospective NYC OTB retirees; and four NYC OTB retirees (collectively, plaintiffs) brought suit against the State and the Governor (collectively, the State) and the Mayor and the City (collectively, the City). Plaintiffs sought a judgment declaring that the failure of the State and the City to fund, and the termination of, retiree health insurance and supplemental benefits violated section 12-126 of the New York City Administrative Code and “other express and implied obligations”; and ordering the State and the City to “immediately fund and reinstate retiree health insurance coverage and supplemental benefits, and not to terminate [these] benefits as of December 31, 2010, or at any later date.”

On December 27, 2010, plaintiffs obtained a temporary restraining order requiring the State and City to continue funding their health insurance benefits, and moved for a preliminary injunction to the same effect. After a hearing on January 5, 2011, Supreme Court vacated the temporary restraining order as of January 12 and issued a decision and order, dated January 18, denying plaintiffs’ request for a preliminary injunction (2011 NY Slip Op 30096[U] [Sup Ct, NY County 2011]). The judge reasoned that plaintiffs could not demonstrate a

1. Section 606 (4) states that
“[a]ll employees and officers of the corporation in classes or positions whose incumbents, in equivalent classes or positions of the city, are eligible, as of the effective date hereof, to participate in, and receive benefits from any city authorized health insurance or welfare benefit program, shall be eligible to participate in, and receive benefits from any such health insurance or welfare benefit program; *provided, however, that [NYC OTB] shall reimburse the city or its designee for the actual cost of benefits under this subdivision*” (emphasis added).
2. Section 30 provides as follows:
“Notwithstanding any other provision of law or regulation, nothing in [the NYC OTB Act] shall diminish the rights that retired employees and officers of [the NYC OTB] have to participate in, and receive benefits from any city authorized health insurance or welfare benefit program; *provided, however, that [the NYC OTB] shall reimburse the city or its designee for the actual cost of such benefits*” (emphasis added).

likelihood of success on the merits because there were “three statutes or constitutional provisions that provide that NYC OTB is responsible for funding its retirees['] health benefits, two of which *specifically prohibit* the State from assuming those obligations” (2011 NY Slip Op 30096[U], *4 [emphasis added]); namely, Racing, Pari-Mutuel Wagering and Breeding Law § 614;³ article X, § 5 of the New York State Constitution;⁴ and section 30 of the NYC OTB Act.

Next, Supreme Court rejected the four theories advanced by plaintiffs to support State or City liability for NYC OTB retiree health benefits. First, the judge held that the joint employer doctrine did not override statutory and constitutional provisions prohibiting the State from assuming NYC OTB’s liabilities and obligations. Additionally, Supreme Court cited *Gulino v New York State Educ. Dept.* (460 F3d 361, 378 [2d Cir 2006]) for the proposition that extending this doctrine to “cases involving the complex relations between levels of government would be impracticable and would implicate . . . constitutional concerns.”

Second, Supreme Court turned away plaintiffs’ estoppel argument, which primarily relied on statements attributed to former Governor Paterson to the effect that NYC OTB’s closure would foist \$600 million in pension obligations onto the State. The

3. Racing, Pari-Mutuel Wagering and Breeding Law § 614 states that “[t]he *bonds, notes or other obligations* of the [NYC OTB] shall not be a debt of either the state or the city, and neither the state nor the city shall be liable thereon, nor shall they be payable out of any funds other than those of the corporation” (emphasis added). Relatedly, section 624 of the Racing, Pari-Mutuel Wagering and Breeding Law, as amended by the NYC OTB Act, provides that the

“[NYC OTB] and its corporate existence shall continue until terminated by law; provided, however, that no such law shall take effect so long as the corporation shall have *bonds, notes or other obligations outstanding*. Upon termination of the existence of the corporation all of its rights, property, assets and funds shall thereupon vest in and be possessed by the state” (emphasis added).

4. The State cannot be liable for the obligations of a public corporation under the New York Constitution, the applicable portion of which states that

“[n]either the state nor any political subdivision thereof shall at any time be liable for the payment of any *obligations issued* by such a public corporation heretofore or hereafter created, nor may the legislature accept, authorize acceptance of or impose such liability upon the state or any political subdivision thereof; but the state or a political subdivision thereof may, if authorized by the legislature, acquire the properties of any such corporation and pay the indebtedness thereof” (NY Const, art X, § 5 [emphasis added]).

judge considered this insufficient to create estoppel because any such representation would have been “contrary to the statutes and constitutional provisions” she had previously cited and, in any event, plaintiffs had not established detrimental reliance (2011 NY Slip Op 30096[U], *5).

Third, Supreme Court concluded that the State did not breach a fiduciary duty by causing NYC OTB to “plunge into ‘deepening insolvency’ ” (*id.* at *6). In the judge’s view, plaintiffs had not established that the State or City owed a fiduciary duty to NYC OTB, let alone that the State pushed NYC OTB into “deepening insolvency” by enacting the NYC OTB Act, which created a lifeline for the Corporation. Finally, Supreme Court held that NYC OTB retirees were not “City retirees” within the meaning of section 12-126 (a) (ii) of the Administrative Code because, quite simply, they were never employed by the City (*id.*). Plaintiffs appealed.

On May 26, 2011, the Appellate Division unanimously affirmed in a memorandum decision, which stated in its entirety as follows:

“The City and the State are precluded by NY Constitution, article X, § 5, and Racing, Pari-Mutuel Wagering and Breeding Law § 614 from assuming the legal obligation to pay the NYC OTB retirees’ health insurance benefits. Thus, plaintiffs cannot show a probability of success on the merits or otherwise meet the ‘heightened standard’ governing their application for a mandatory preliminary injunction” (84 AD3d 655 [1st Dept 2011]).

Then on July 14, 2011, the Appellate Division granted plaintiffs’ motion for leave to appeal, certifying the following question to us: “Was the order of Supreme Court, as affirmed by [the Appellate Division], properly made?” We answer the certified question in the affirmative, but on a different ground.

First, plaintiffs did not demonstrate a likelihood of success on the merits of their claim against the City. Plaintiffs argued in the lower courts that NYC OTB retirees were eligible for City-authorized benefits as “City retiree[s]” under section 12-126 (a) (ii) of the Administrative Code. As Supreme Court pointed out, however, a “City retiree” (with an exception not relevant here) within the meaning of section 12-126 (a) (ii) must (among other qualifications) have been a “City employee” as defined by section 12-126 (a) (i). And this latter provision requires a “City

employee” to have been “employed by a *department or agency of the city*; and . . . *paid out of the city treasury*” (again, among other qualifications) (*see* Administrative Code of City of NY § 12-126 [a] [i] [emphasis added]).

As a public benefit corporation created by the State, though, NYC OTB was never a “department or agency” of the City (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 603; *Bordeleau v State of New York*, 18 NY3d 305, 316 [2011] [(t)his Court has ‘consistently recognized public authorities as legal entities separate from the State, enjoying an existence separate and apart from the State, its agencies and political subdivisions’ ” (quoting *Schulz v State of New York*, 84 NY2d 231, 246 n 4 [1994])). In opposition to plaintiffs’ motion for preliminary injunctive relief, the assistant director of the City’s Office of Management and Budget attested in an affidavit that NYC OTB’s employees had “never been issued City paychecks” and were “never . . . paid for their OTB employment from the City’s treasury.” These statements are uncontested.

Further, NYC OTB retirees’ participation in City-authorized health insurance and welfare benefit plans was contingent upon the Corporation’s reimbursement of the City for these benefits’ actual costs (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 606 [4]; L 2008, ch 115, § 30). The assistant director attested in her affidavit that, as of early January 2011, NYC OTB was, in fact, nearly \$8 million in arrears in payments to the City. And once NYC OTB ceased operations on December 7, 2010, there was no way for the Corporation to reimburse the City for NYC OTB retirees’ health insurance benefits going forward, the circumstance that prompted the Corporation Counsel’s letter of the next day.

With respect to the State, plaintiffs principally focus on whether the lower courts erred when deciding that Racing, Pari-Mutuel Wagering and Breeding Law § 614 and/or article X, § 5 of the New York State Constitution prohibit the State from funding NYC OTB retirees’ health benefits. They contend that the word “obligations” in these provisions refers exclusively to debt obligations—i.e., bonds and other debt instruments issued by public authorities. On this appeal, we need not resolve and express no opinion about this question: whether or not section 614 and/or article X, § 5 prohibit the State from paying for the NYC OTB retirees’ health insurance and supplemental benefits is beside the point since plaintiffs have stated no viable theory under which the State assumed responsibility for this assistance in the first place.

We return to the bedrock principle that a public benefit corporation, such as NYC OTB, “enjoy[s] an existence separate and apart from the State, its agencies and political subdivisions” (*Bordeleau*, 18 NY3d at 316 [internal quotation marks omitted]). Indeed, “a prime purpose for creating such corporations [is] to separate their administrative and fiscal functions from the State and its subdivisions” (*Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361, 367-368 [1984] [holding that public benefit corporation was not subject to constitutional provisions regarding civil service appointment]).

Plaintiffs advance several theories (i.e., joint or single employer, estoppel, fiduciary duty, piercing the corporate veil) in an attempt to get around or nullify NYC OTB’s separate legal identity, but this obstacle to their success on the merits is insuperable. The NYC OTB remained “a body corporate and politic constituting a public benefit corporation” (Racing, Pari-Mutuel Wagering and Breeding Law § 603 [1]) under the NYC OTB Act, the State’s last-ditch effort to revive the Corporation’s fortunes. And when the Legislature adopted the act, it amended section 606 of the Racing, Pari-Mutuel Wagering and Breeding Law, governing pension, retirement and other benefits, to add a new subdivision (1). This provision assures that “[f]or the purposes of this section [606], *all employees of the [NYC OTB]* on or after the effective date of the chapter of the laws of two thousand eight which amended this section *shall remain employees of such corporation* after such effective date” (Racing, Pari-Mutuel Wagering and Breeding Law § 606 [1] [emphasis added]). As previously discussed, the Legislature also amended subdivision (4) of section 606 and adopted section 30 of chapter 115 of the Laws of 2008 so as to condition eligibility for benefits from City-authorized health insurance or welfare benefit programs on the Corporation’s reimbursement of the City’s actual costs (*see nn 1, 2*).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

[975 NE2d 470, 951 NYS2d 89]

In the Matter of TODD M. SMITH, Respondent, v JAMES C. TORMEY, as District Administrative Judge for the Fifth Judicial District, Respondent, and COUNTY OF ONONDAGA et al., Appellants.

Argued April 26, 2012; decided June 12, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 1, 2011, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 506 [b] [1]). The Appellate Division (1) granted the part of the petition that sought to annul the administrative determination of respondent James C. Tormey, as District Administrative Judge for the Fifth Judicial District, that Onondaga County Court, which presided over the underlying criminal proceeding, had no authority to appoint petitioner as assigned counsel in the criminal proceeding or to award legal fees to petitioner; and (2) annulled the administrative determination.

Matter of Smith v Tormey, 83 AD3d 1425, affirmed.

HEADNOTE

Attorney and Client — Assignment of Counsel — Administrative Judge Not Authorized to Review Validity of Assignment

Respondent Administrative Judge exceeded the authority conferred upon him by 22 NYCRR 127.2 (b) by considering the validity of the County Court order that retroactively assigned petitioner attorney, under County Law article 18-B, to a criminal proceeding, and vacating the order of assignment. Any objection to County Court's determination should have been raised through a CPLR article 78 proceeding seeking a writ of prohibition. Section 127.2 (b), which is notably silent on the issue of assignment, only empowers administrative judges to assess the amount of compensation awarded, permitting a reduction of awards deemed excessive. Certain distinctions between the nature of assigning and compensating counsel warrant different avenues of review. Appellate review of compensation orders is impractical as appellate courts are too removed to assess the propriety of the trial court's discretionary decision-making in fixing compensation. Recognition of such impracticability led to the amendment of section 127.2 (b) so as to provide for review of compensation orders by an administrative judge. An allegation concerning a trial court's overreach, however, raises judicial or quasi-judicial issues amenable to judicial review under CPLR 7803 (2), which is suited for instances where "the body or officer proceeded, is proceeding or is about to proceed without or in excess of jurisdiction."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 489, 567, 572, 573; AM JUR 2d, Prohibition §§ 27, 47, 49.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:81, 145:164, 145:167, 145:811, 145:907; CARMODY-WAIT 2d, Right to Counsel § 184:55.

McKINNEY's, CPLR 7803 (2).

22 NYCRR 127.2 (b).

NY JUR 2d, Administrative Law § 240; NY JUR 2d, Article 78 and Related Proceedings §§ 147, 158.

SIEGEL, NY PRAC § 559.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Attorneys; Prohibition Writ.

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POINTS OF COUNSEL

Bond, Schoeneck & King, PLLC, Syracuse (*Jonathan B. Fellows* of counsel), for appellants. I. The Appellate Division's holding that the assignment and compensation of counsel under article 18-B of the County Law is a matter for judicial review conflicts with decisions of this Court. (*Matter of Parry v County of Onondaga*, 51 AD3d 1385; *Levenson v Lippman*, 4 NY3d 280; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek]*, 87 NY2d 191; *Matter of Werfel v Agresta*, 36 NY2d 624; *People v Ward*, 199 AD2d 683; *Kraham v Mathews*, 305 AD2d 746; *Goehler v Cortland County*, 70 AD3d 57; *Matter of Legal Aid Socy. of Orange County v Patsalos*, 185 AD2d 926; *Matter of Harvey v County of Rensselaer*, 83 NY2d 917.) II. The Appellate Division's improperly narrow reading of section 127.2 (b) of the Rules of the Chief Administrator of the Courts (22 NYCRR) conflicts with this Court's decisions and unconstitutionally interferes with the authority of the Chief Administrative Judge. (*Matter of Werfel v Agresta*, 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek]*, 87 NY2d 191; *Levenson v Lippman*, 4 NY3d 280; *People v Ward*, 199 AD2d 683; *Taddeo v Medallic Art Co., Ltd.*, 40 AD3d 444.)

Gary H. Collison, Liverpool, for respondent. I. The Appellate Division, Fourth Department, was correct in holding that the appointment of respondent Todd M. Smith, Esq. to defend Stacey Castor was subject to judicial review, rather than administrative review. (*Public Serv. Commn. v Grand Cent. Cadillac Renting Corp.*, 273 App Div 595; *Kocak v Metropolitan Life Ins. Co.*, 144 Misc 422, 237 App Div 780, 263 NY 518; *Matter of Dobess Realty Corp. v Magid*, 186 Misc 225; *Matter of Wendell v Lavin*, 246 NY 115; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Palmer v Van Santvoord*, 153 NY 612; *Allen v Stevens*, 161 NY 122; *Salamone v Wincaf Props.*, 9 AD3d 127; *Rangolan v County of Nassau*, 96 NY2d 42; *LaSalle Bank, N.A. v Pace*, 31 Misc 3d 627.) II. The Appellate Division, Fourth Department, correctly held that respondent Honorable James C. Tormey exceeded the scope of his authority to conduct an administrative review under 22 NYCRR 127.2 by ruling on the eligibility of respondent Todd M. Smith, Esq. to be assigned to defend Stacey Castor, rather than reviewing the amount. (*Matter of Parry v County of Onondaga*, 51 AD3d 1385; *Matter of Werfel v Agresta*, 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek]*, 87 NY2d 191.)

Stillman & Friedman, P.C., New York City (Nathaniel Z. Marmur and Laura P. Wexler of counsel), and *Richard D. Willstatter*, White Plains, for New York State Association of Criminal Defense Lawyers, amicus curiae. 22 NYCRR 127.2 (b) does not allow an administrative judge to nullify the appointment of counsel for an indigent defendant. (*Gideon v Wainwright*, 372 US 335; *People v Witenski*, 15 NY2d 392; *McMann v Richardson*, 397 US 759; *Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Matter of Werfel v Agresta*, 36 NY2d 624; *Levenson v Lippman*, 4 NY3d 280; *People v Ward*, 199 AD2d 683; *Matter of Stream v Beisheim*, 34 AD2d 329; *People v Brabson*, 9 NY2d 173.)

OPINION OF THE COURT

JONES, J.

The primary issue presented on this appeal is whether an Administrative Judge exceeded his authority pursuant to 22 NYCRR 127.2 (b) by considering the order of a trial court assigning an attorney, under article 18-B of the County Law, to a criminal proceeding. We hold that section 127.2 (b), which only provides for an administrative judge's review of orders awarding legal fees to attorneys, did not authorize the Administrative Judge to review the assignment of counsel.

Pursuant to article 18-B of the County Law, all counties within the State of New York must maintain a plan to provide counsel to those charged with a crime or otherwise entitled to such representation (*see* County Law § 722; *Levenson v Lippman*, 4 NY3d 280, 285 [2005]). Respondent Onondaga County maintains a contractual agreement with respondent Assigned Counsel Program, Inc. (ACP), a not-for-profit corporation that delivers legal services to discharge the County's duty to provide legal representation. Accordingly, ACP, as administrator, oversees panel lists of qualified attorneys eligible to provide criminal representation in the County, including misdemeanor, felony and homicide panels.

This particular appeal arises from a criminal homicide prosecution in September 2007 against defendant Stacey Castor. Defendant was represented by privately retained counsel, Charles Keller, who, in light of the high-profile and complex nature of the case, asked petitioner Todd Smith to assist and serve as second-chair "based on [petitioner's] level of experience as an attorney who has been trying both felony and misdemeanor cases." At the time he was asked to assist in the defense, petitioner was not included on any panel list for assigned criminal counsel in the County.

Months later, after defendant exhausted her legal retainer, County Court designated Mr. Keller as assigned counsel, but petitioner remained unappointed. Ultimately, the matter proceeded to trial in January 2009 and a verdict was rendered on February 5, 2009. Petitioner had applied during the course of his participation in the defense to be placed on ACP's misdemeanor and felony panel lists, but was not accepted onto the felony panel list until two weeks after the verdict was issued.

In March 2009, after the completion of the trial, petitioner submitted a form to County Court entitled "Order Upon Request To Withdraw As Assigned Counsel" which claimed that petitioner had "been assigned on or about the 20th day of February, 2008." The court signed the form, retroactively appointing petitioner to the matter. As a result, petitioner submitted a voucher for payment to ACP seeking remuneration in the sum of \$31,412.50 for 105.7 hours of in-court work and 313.8 hours of out-of-court work. ACP declined to remit payment because petitioner was "off panel" and "2nd chair not approved for pay" at the time he assisted in defendant's case. ACP's Executive Committee affirmed the denial of payment on identical grounds.

Petitioner subsequently moved before County Court, pursuant to County Law § 722-b and 22 NYCRR 1022.12, for an order awarding legal fees. County Court granted the motion, concluding that the “extraordinary circumstances [of the criminal matter] justified, and in fact, necessitated, the assignment of a ‘second chair’ to assure” that defendant received effective assistance of counsel. Recognizing that petitioner “was not on the ACP panel throughout his representation of [defendant], but was added to the panel at sometime in November of 2008,” the court ordered that petitioner be paid for services rendered from November 2008 to the conclusion of the case.

Pursuant to 22 NYCRR 127.2 (b), the County and ACP made an application to the Administrative Judge of the Fifth Judicial District seeking review of County Court’s order directing that petitioner be awarded legal fees. The Administrative Judge found that it was beyond the purview of County Court, in contravention of County Law § 722-b, to appoint petitioner as he “never timely applied to be appointed for ACP nor was he qualified to be appointed by ACP as a second-seated counsel in this matter.” Rejecting petitioner’s argument that his scope of review was limited to orders of compensation, the Administrative Judge concluded that he was vested with authority under rule 127.2 to also consider the propriety of an appointment because “the improper appointment of counsel to an indigent person under the auspices of [the] County Law in and of itself makes any fees or determination of compensation improper.” Upon such review, the Administrative Judge determined that County Court exceeded its authority in awarding compensation because “[w]ithout proper appointment pursuant to the Rules, any legal fee award is ‘excessive.’ ”

Consequently, petitioner commenced a CPLR article 78 proceeding in the Appellate Division to annul the determination of the Administrative Judge and seeking a judgment that he be paid for services in accordance with County Court’s order awarding legal fees. The Appellate Division granted the petition in part, concluding that the Administrative Judge exceeded the authority conferred by section 127.2 (b) (83 AD3d 1425 [4th Dept 2011]). As an initial matter, the court rejected the County and ACP’s contention that it lacked the authority to review administrative determinations assigning counsel, remarking that it had the power “to review challenges related to the court’s *power* to assign and compensate counsel pursuant to a plan or statute” (83 AD3d at 1427). As such, that court stated that the

Administrative Judge exceeded his authority by considering the validity of the underlying appointment, reasoning that section 127.2 (b) only permits an administrative judge to review a claim for compensation in excess of statutorily defined limits. With respect to the petition's additional request for relief, the Appellate Division opined that it was rendered academic by its holding. And in any event, petitioner's qualifications as assigned counsel under ACP's rules and plans should have been contested by the County or ACP through the commencement of a CPLR article 78 proceeding or appeal of the County Court order assigning petitioner retroactively.

This Court granted the County and ACP leave to appeal (17 NY3d 704 [2011]), and we now affirm.

The County and ACP contend that the Administrative Judge did not exceed his authority in considering the order that retroactively assigned petitioner to the criminal proceedings. Relying primarily on *Matter of Werfel v Agresta* (36 NY2d 624 [1975]) and *People v Ward* (199 AD2d 683 [3d Dept 1993]), they assert that a trial court's orders assigning and compensating counsel are not amenable to judicial review and are properly challenged by application to the appropriate administrative judge. In turn, petitioner, in reliance on section 127.2 (b) and *Matter of Legal Aid Socy. of Orange County v Patsalos* (185 AD2d 926 [2d Dept 1992]), argues that administrative judges are limited in review to the amount of awarded compensation, and any challenge to the underlying assignment of counsel is properly commenced by filing a CPLR article 78 proceeding in the nature of prohibition. We find the County and ACP's arguments unavailing and hold that the Administrative Judge exceeded the authority conferred by section 127.2 (b) by considering the order of assignment. Any objection to that determination of the trial court should have been raised by the County or ACP through an article 78 proceeding seeking a writ of prohibition.

In 2001, the Chief Administrative Judge amended 22 NYCRR 127.2 (b), which now provides that

“[t]he order of the trial judge with respect to a claim for compensation in excess of the statutory limits may be reviewed by the appropriate administrative judge, with or without application, who may modify the award if it is found that the award reflects an abuse of discretion by the trial judge. Any order modifying a trial judge's award shall be in writing.”

The rule was amended in response to a series of cases, starting in *Werfel* (36 NY2d 624 [1975]), where this Court observed that awards of legal fees are not amenable to appellate review as there are no pertinent criminal statutes expressly permitting consideration of an amount of compensation, nor an equivalent vehicle for civil review of such awards. For example, CPLR 7801 was deemed an inadequate basis for review as it “precludes the kind of determination petitioner seeks, which is, in effect, to obtain a higher allowance than he was awarded” (*Werfel*, 36 NY2d at 626). Accordingly, the petitioner in that case was directed to seek review of the award of compensation “by application through the several layers of judicial administration, that is, to the appropriate Administrative Judges and even to the Administrative Board of the court system” (*id.* at 627). We affirmed the Appellate Division’s dismissal of the article 78 challenge to the order of compensation.

Subsequently, in *Matter of Director of Assigned Counsel Plan of City of N.Y. (Bodek)* (87 NY2d 191 [1995]), we reaffirmed the holding of *Werfel*, remarking that “formal appellate review of these compensation orders is impractical, since the appeals courts are several steps removed from the circumstances in which the services were rendered and are therefore not well positioned to assess the wisdom of the Trial Judges’ discretionary choices” (*Bodek*, 87 NY2d at 194). In that case, which dealt solely with the appealability and reviewability of compensation orders, we again affirmed the Appellate Division’s declination to engage in appellate review of an order of compensation.

Finally, in *Levenson* (4 NY3d 280 [2005]), we rejected a constitutional challenge to amended section 127.2 (b), concluding that the Chief Administrative Judge had properly amended the rule pursuant to his power under the State Constitution and the Judiciary Law, and did not unconstitutionally divest the Appellate Division departments of jurisdiction to review compensation orders—they have never enjoyed such inherent authority (*see Levenson*, 4 NY3d at 289).

In light of the foregoing, it is evident the Administrative Judge exceeded his authority under section 127.2 (b) when he considered and vacated the order of assignment. That provision, which is notably silent on the issue of assignment, only empowers administrative judges to assess the amount of compensation awarded, permitting a reduction of awards deemed excessive. The rule is a codification of this Court’s consistent holdings in *Werfel* and *Bodek* that orders of compensation can only be

reviewed before an administrative judge. Indeed, the rule was amended with the sole purpose of furnishing a “mechanism to review . . . enhanced awards” (*Levenson*, 4 NY3d at 286) and does not authorize, as was done here, an administrative judge to conflate the issues of assignment and compensation.

The County and ACP refer to this Court’s remark in *Werfel* that “[t]he assignment and compensation of counsel in criminal matters . . . might be characterized as administrative” (36 NY2d at 626 [internal quotation marks omitted]) to contend that an assignment, because it is a similarly administrative function as an order of compensation, should also be reviewed by an administrative judge. Although we have previously observed that both the assignment and compensation of counsel in criminal matters do not fall squarely into either criminal or civil proceedings, and can be most closely characterized as administrative in nature, the County and ACP place undue emphasis on that similarity (*see Werfel*, 36 NY2d at 626). *Werfel*, *Bodek* and *Levenson* have exclusively concerned orders of compensation and simply established that administrative judges may consider awards of legal fees. We have never spoken on the appealability and reviewability of an order of assignment, nor expanded the scope of an administrative judge’s authority to encompass review of an assignment of counsel. Thus, the County and ACP’s reliance on *Ward* (199 AD2d at 684 [“The appeal must be dismissed, for this Court lacks jurisdiction to entertain appeals involving the ‘assignment and compensation of counsel in criminal matters’ ”]) is misplaced to the extent that the decision broadly interpreted this Court’s holding in *Werfel* to apply to orders of assignment and compensation alike. Rather, certain distinctions between the nature of assigning and compensating counsel warrant different avenues of review.

Most significantly, the *Bodek* Court opined that appellate review of compensation orders is impractical as appellate courts are too removed to assess the propriety of the trial court’s discretionary decision-making in fixing compensation. Consequently, as noted in *Werfel*, there are no adequate judicial methods of review for orders of compensation. Thus, a challenge should be presented before the appropriate administrative judge, as now codified in section 127.2 (b).

An order of assignment, however, is properly contested by a CPLR article 78 proceeding in the nature of prohibition. Although an extraordinary remedy, a writ of prohibition is appropriate in “cases where a court acts without jurisdiction” as

the “function of the writ . . . [is] not merely to restrain an unwarranted assumption of jurisdiction, but also to restrain an inferior court from exceeding its authorized powers in a proceeding over which it has jurisdiction” (*Matter of Lee v County Ct. of Erie County*, 27 NY2d 432, 436-437 [1971]). County Law § 722 (4) requires courts “[to] assign counsel . . . in accordance with a plan conforming to the requirements of [section 722]” and permits courts to exercise their inherent authority to assign counsel in the event a particular county or city lacks a plan in conformance with the mandates of article 18-B (*Matter of Stream v Beisheim*, 34 AD2d 329, 333 [2d Dept 1970] [a court has “inherent power (in) the performance of its constitutional or statutory duty to furnish proper counsel to an indigent defendant”]).

A challenge that a trial court’s order of assignment is infirm for failure to adhere to the particular requirements and qualifications enumerated under a county’s plan, is pointed at a court’s inherent or statutorily based authority to assign counsel. Such a challenge, pertaining to a court’s exercise of authority in excess of its jurisdiction, constitutes a justiciable matter as appellate courts “have the authority to review challenges related to the [trial] court’s *power* to assign and compensate counsel pursuant to a plan or statute” (*Goehler v Cortland County*, 70 AD3d 57, 61 [3d Dept 2009]; *see also Matter of Parry v County of Onondaga*, 51 AD3d 1385 [4th Dept 2008]; *Matter of Legal Aid Socy. of Orange County v Patsalos*, 185 AD2d 926 [2d Dept 1992]). Put another way, an allegation concerning a trial court’s overreach raises judicial or quasi-judicial issues amenable to judicial review under CPLR 7803 (2) which is suited for instances where “the body or officer proceeded, is proceeding or is about to proceed without or in excess of jurisdiction.”

Our holding should not be misconstrued to unduly constrain the authority of administrative judges. Section 127.2 (b) does allow review and modification of an order of compensation “with or without application.” For instance, although the Administrative Judge here exceeded his authority under section 127.2 (b) by addressing the assignment of petitioner, he has not yet assessed whether the amount of compensation was adequate or excessive—an issue that is still open and not within our purview to address. However, it is evident that section 127.2 (b), which is a vehicle established for the exclusive review of awards of legal fees, cannot be used to circumvent a failure to contest an underlying order of assignment. Had the County and ACP

sought to challenge the underlying order assigning petitioner to the matter nunc pro tunc, they should have commenced a timely CPLR article 78 proceeding in the nature of prohibition, challenging the County Court's assignment as exceeding its authority under County Law § 722 (4).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[973 NE2d 703, 950 NYS2d 293]

OSQUGAMA F. SWEZEY, Appellant, v MERRILL LYNCH, PIERCE,
FENNER & SMITH, INCORPORATED, Respondent, and PHILIP-
PINE NATIONAL BANK et al., Intervenors-Respondents.

Argued April 24, 2012; decided June 26, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 16, 2011. The Appellate Division (1) reversed, on the law and the facts, so much of a judgment of the Supreme Court, New York County (Charles E. Ramos, J.; op 2009 NY Slip Op 32650[U] [2009]), as had denied a motion by the intervenors to dismiss the petition pursuant to CPLR 3211 (a) (7) and (10); (2) granted the motion pursuant to CPLR 3211 (a) (10); and (3) dismissed the proceeding without prejudice. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court insofar as appealed from and dismissed petitioner’s proceeding, properly made?”

Swezey v Merrill Lynch, Pierce, Fenner & Smith, Inc., 87 AD3d 119, affirmed.

HEADNOTES

Parties — Necessary Parties — Party “Inequitably Affected” by Judgment

1. In a CPLR 5225 turnover proceeding commenced by petitioner, a member of a class of victims of human rights abuses committed by a former dictator of the Philippines that obtained a federal court judgment against the former dictator’s estate, seeking to execute that judgment against a brokerage account in New York, the Republic of the Philippines was a necessary party. Under CPLR 1001 (a), an individual or entity is a necessary party to litigation “if complete relief is to be accorded between the persons who are parties to the action” or if the entity “might be inequitably affected by a judgment in the action.” The brokerage account at issue contained assets also sought by the Republic and a Philippine commission organized for the purpose of identifying, locating and retrieving national assets stolen by the former dictator and his administration. Philippine courts determined that the funds the former dictator used to establish the brokerage account had been stolen from the Republic and that, under Philippine law, the assets in question had been forfeited to the Republic when the misappropriation occurred. In this context, the involvement of the Republic of the Philippines was necessary because if the turnover action continued, and petitioner prevailed on the merits, the assets of the brokerage account would have been liquidated and the Republic’s claim would have been “inequitably affected” (CPLR 1001 [a]).

Parties — Necessary Parties — Foreign Government — Sovereign Immunity

2. In a CPLR 5225 turnover proceeding commenced by petitioner, a member of a class of victims of human rights abuses committed by a former dictator of the Philippines that obtained a federal court judgment against the former dictator's estate, and was seeking to execute that judgment against a brokerage account in New York, the invocation of sovereign immunity by the Republic of the Philippines, a necessary party since it also claimed ownership to the assets of the brokerage account, required dismissal of the action (*see* CPLR 1003). If jurisdiction over a necessary party can only be obtained by the entity's consent or voluntary appearance—as in the situation where a sovereign nation invokes its right to immunity—the court, when justice requires, may allow the action to proceed without the entity being made a party. In reaching a determination, the court must consider the five factors delineated in CPLR 1001 (b). Here, although petitioner and her fellow class members would not have a readily available remedy if the turnover proceeding was dismissed for nonjoinder, based on a balancing of all of the five factors in CPLR 1001 (b), the case could not have been decided without the presence of the Republic. The Republic's declaration of sovereign immunity was entitled to recognition because it has a significant interest in allowing its courts to adjudicate the dispute over property that may have been stolen from its public treasury by the former dictator and transferred to New York through no fault of the Republic. The dispute here did not justify an exception to the general rule that an assertion of immunity by a sovereign entity requires dismissal of an action in which it is a necessary party if the entity's claims are not frivolous and there is a potential for injury to its interests.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts and Judges §§ 59, 65; AM JUR 2d, Executions and Enforcement of Judgments §§ 173, 636, 637; AM JUR 2d, International Law §§ 94, 96, 162, 167; AM JUR 2d, Parties §§ 114, 116, 127.

CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:78; CARMODY-WAIT 2d, Parties §§ 19:49, 19:58, 19:81, 19:83, 19:84; CARMODY-WAIT 2d, Enforcement of Judgments § 64:362.

McKINNEY's, CPLR 1001 (a), (b).

NY JUR 2d, Enforcement and Execution of Judgments §§ 258, 264; NY JUR 2d, Parties §§ 93–95, 113.

SIEGEL, NY PRAC §§ 132, 133, 510.

ANNOTATION REFERENCE

Modern status of the rule as to immunity of foreign sovereign from suit in federal or state courts. 25 ALR3d 322.

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POINTS OF COUNSEL

Kohn, Swift & Graf, P.C. (Robert A. Swift, of the Philadelphia bar, admitted pro hac vice, of counsel), and *Anderson Kill & Olick, P.C.*, New York City (Jeffrey E. Glen of counsel), for appellant. I. The New York statute of limitations precludes the Republic of the Philippines from being a necessary party in this turnover proceeding. (*Guaranty Trust Co. v United States*, 304 US 126; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452.) II. Supreme Court correctly exercised its discretion by denying dismissal for failure to join a necessary party. (*Aldinger v Howard*, 427 US 1; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Wilbur v Locke*, 423 F3d 1101; *Eclair Advisor Ltd. v Jindo Am., Inc.*, 39 AD3d 240; *Matter of Herald Co. v Feurstein*, 3 Misc 3d 885; *Plaut v HGH Partnership*, 59 AD2d 686; *Republic of Philippines v Pimentel*, 553 US 851.) III. The Appellate Division erred in according overriding weight to a nonparty's sovereignty in a CPLR 1001 (b) analysis. (*Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Lamont v Travelers Ins. Co.*, 281 NY 362; *Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.) IV. The Appellate Division majority opinion effectively denies to New York litigants the opportunity to contest the accuracy and the bona fides of a foreign sovereign's determination of its own financial interests in property located in New York. (*Republic of Philippines v Pimentel*, 553 US 851.) V. The Appellate Division erred in holding that human rights victims will be bound by a decision of the Philippine court to which they are not parties. (*Hilao v Estate of Marcos*, 103 F3d 762; *Buechel v Bain*, 97 NY2d 295; *Baten v Northfork Bancorporation, Inc.*, 85 AD3d 697; *Huntington Natl. Bank v Cornelius*, 80 AD3d 245; *Siderman de Blake v Republic of Argentina*, 965 F2d 699.)

Sidley Austin LLP, New York City (Daniel A. McLaughlin, A. Robert Pietrzak and Cameron Moxley of counsel), for respondent. This Court should not resolve statute of limitations arguments in favor of the Republic of the Philippines and the Philippine Commission on Good Government. (*Republic of Philippines v Pimentel*, 553 US 851; *Baena v Woori Bank*, 515 F Supp 2d 414; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *State of New York v Fenton*, 68 AD2d 951.)

Mayer Brown LLP (Charles A. Rothfeld of the District of Columbia bar, admitted pro hac vice, and Brian J. Wong of counsel) and *Mayer Brown LLP*, New York City (Michael O. Ware and Andrew J. Calica of counsel), for intervenors-respondents. I. The Appellate Division correctly determined that the Republic of the Philippines is a necessary and indispensable party to the turnover proceeding because it is a foreign sovereign that has asserted nonfrivolous claims to the Arelma assets. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Triangle Pac. Bldg. Prods. Corp. v National Bank of N. Am.*, 62 AD2d 1017; *Republic of Philippines v Pimentel*, 553 US 851; *Mechta v Scaretta*, 52 Misc 2d 696; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *County of Los Angeles v Davis*, 440 US 625; *Taylor v Sturgell*, 553 US 880; *Minnesota Mut. Life Ins. Co. v Ensley*, 174 F3d 977; *National Life Ins. Co. v Alembik-Eisner*, 582 F Supp 2d 1362; *Commerce Funding Corp. v Southern Fin. Bank*, 80 F Supp 2d 582.) II. In the event that the court holds that the Republic of the Philippines is not an indispensable party, it should remand the case to the Appellate Division to consider the argument raised by intervenors but not addressed by that court, that Osqugama F. Swezey lacks a judgment that is enforceable in New York. (*In re Estate of Ferdinand E. Marcos Human Rights Litig.*, 536 F3d 980; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Crawford v Liz Claiborne, Inc.*, 11 NY3d 810; *De Leon v Marcos*, 742 F Supp 2d 1168, 659 F3d 1276.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case whether the invocation of sovereign immunity by the Republic of the Philippines in this turnover proceeding requires dismissal of the action under CPLR 1001.

I

Ferdinand E. Marcos was elected president of the Philippine Republic in 1965 and 1969. The constitution of that country, similar to the United States Constitution, limited the chief executive to a maximum of two four-year terms. Under that term limit, Marcos should have left office in 1973.

Rather than relinquishing power, President Marcos imposed martial law on the nation in September 1972, suspended the constitution and seized control of the entire government. He amended the constitution the following year, cementing his

status as dictator of the Philippines. In that role, Marcos initiated a campaign of human rights violations against Philippine dissidents that included arrests, torture, summary executions and other actions.

President Marcos also systematically transferred public assets and property to his personal control through various schemes. Over time, he amassed a fortune that was estimated to be worth billions of dollars. Marcos was eventually deposed from power in 1986 and fled to Hawaii.

Almost immediately after President Marcos departed from his country, the Republic of the Philippines organized the Presidential Commission on Good Government (PCGG) for the purpose of identifying, locating and retrieving national assets stolen by Marcos and his administration. The PCGG relied on a 1955 Philippine law, which declared that any property derived from misfeasance in public office was deemed forfeited to the Republic when the misappropriation occurred.¹ In addition to the efforts undertaken by the PCGG, Marcos was sued in a U.S. federal court in Hawaii by approximately 10,000 Philippine victims of his human rights abuses or their survivors, a group that is collectively known as the “Pimentel class.” After Marcos died, the class obtained a judgment against his estate for almost \$2 billion (*see In re Estate of Marcos Human Rights Litig.*, 910 F Supp 1460, 1464 [D Haw 1995], *affd sub nom. Hilao v Estate of Marcos*, 103 F3d 767 [9th Cir 1996]).

Enforcing the judgment proved to be a difficult task, however, because the Pimentel class was seeking to obtain monies and assets also sought by the Republic and PCGG.² One such dispute involved the assets of Arelma, S.A., a Panamanian corporation.

1. This act provided that “[w]hensoever any public officer or employee has acquired during his incumbency an amount of property which is manifestly out of proportion to his salary as such public officer or employee and to his other lawful income and the income from legitimately acquired property, said property shall be presumed *prima facie* to have been unlawfully acquired” and if the individual “is unable to show to the satisfaction of the court that he has lawfully acquired the property in question, then the court shall declare such property, forfeited in favor of the State, and by virtue of such judgment the property aforesaid shall become property of the State” (*see An Act Declaring Forfeiture in Favor of the State Any Property Found to Have Been Unlawfully Acquired by Any Public Officer or Employee and Providing for the Proceedings Therefor*, Rep Act No. 1379, §§ 2, 6, 51:9 O.G. 4457 [June 18, 1955] [Phil]).

2. The Pimentel class tried to obtain relief in Philippine courts but it was stymied by a judicial ruling that set the filing fee at \$8.4 million and the appeal of that ruling took over six years before a resolution was issued in favor

(n. cont’d)

Marcos had transferred \$2 million to the company for deposit in a brokerage account at the New York office of Merrill Lynch, Pierce, Fenner & Smith, Inc. The Republic subsequently discovered that the bearer shares pertaining to the ownership of Arelma (along with funds controlled by several other entities connected to Marcos) were located in Switzerland. At the PCGG's urging, Swiss authorities froze those assets and the seizure was upheld by Switzerland's Federal Supreme Court. Those assets, including the Arelma shares, were deposited in an escrow account established by the PCGG at the Philippine National Bank (PNB), pending a determination by a special Philippine anti-corruption court—the Sandiganbayan—as to whether the assets were owned by the Marcos estate or were forfeited to the people of the Republic.³

The Republic and PCGG also requested that Merrill Lynch transfer the Arelma brokerage account (valued at approximately \$35 million in 2000) to the PNB escrow account. Merrill Lynch declined to do so because of competing claims to the property, including that of the Pimentel class. The brokerage firm then commenced an interpleader action in federal court in Hawaii against a number of parties, among them the Republic, PCGG, Arelma, PNB and the Pimentel class, and deposited the Arelma assets with the court clerk.⁴ Invoking sovereign immunity, the Republic and PCGG moved to dismiss the interpleader action pursuant to rule 19 (b) of the Federal Rules of Civil Procedure for failure to join a required party. The motion was denied and the district court awarded ownership of the Arelma assets to the Pimentel claimants. The United States Court of Appeals for the Ninth Circuit affirmed (*see Merrill Lynch, Pierce, Fenner & Smith, Inc. v ENC Corp.*, 464 F3d 885 [9th Cir 2006]).

In 2008, the United States Supreme Court reversed that determination and held that the assertion of sovereign immunity by the Republic and PCGG required dismissal for lack of a required party under rule 19 (b) (*see Republic of Philippines v*

of the class. The issues stemming from the filing fee imbroglio caused a committee of the United Nations to conclude that the Republic had violated the Optional Protocol to the International Covenant on Civil and Political Rights.

3. Excluding the Arelma shares, the remaining assets were valued at over \$350 million at the time of the transfer to PNB.

4. While the interpleader action was pending, the Sandiganbayan and Philippine Supreme Court determined that the non-Arelma property that had been transferred to the PNB escrow account by Swiss officials (the value of which had grown to over \$650 million) was forfeited to the Republic under the Philippine misappropriation statute.

Pimentel, 553 US 851 [2008]). The Supreme Court explained that “where sovereign immunity is asserted, and the claims of the sovereign are not frivolous, dismissal of the action must be ordered where there is a potential for injury to the interests of the absent sovereign” (*id.* at 867). Observing that the “Republic and the [PCGG] have a unique interest in resolving the ownership of or claims to the Arelma assets,” the Court noted that there was “a comity interest in allowing a foreign state to use its own courts for a dispute if it has a right to do so” (*id.* at 866). In this regard, the Court explained that the “dignity of a foreign state is not enhanced if other nations bypass its courts without right or good cause” (*id.*).

Yet, the Supreme Court recognized the interests of the Pimentel class, stating that the passage of time or the occurrence of specific events could alter the balance of the equities under a rule 19 (b) analysis. In particular, a relevant consideration would be “if it appears that the Sandiganbayan cannot or will not issue its ruling within a reasonable period of time” (*id.* at 873). Similarly, a decision by the Sandiganbayan that the Arelma assets do not belong to the Republic would cause its claim in the interpleader case to be “less substantial” (*id.*). But if the Sandiganbayan were to rule in favor of the Republic and PCGG, the Republic could waive sovereign immunity and seek enforcement of its judgment in American courts or consent to join an interpleader action (*see id.*).

As a result of the *Pimentel* decision in 2008, the federal district court in Hawaii returned the Arelma assets to Merrill Lynch in early 2009. Two events occurred shortly afterward. First, petitioner Osqugama Swezey—a member of the Pimentel class—commenced this CPLR 5225 turnover proceeding in New York Supreme Court against Merrill Lynch seeking to execute the Pimentel \$2 billion judgment against the Arelma brokerage account. Second, the Sandiganbayan ruled that the funds Marcos used to establish the Arelma account had been stolen from the Republic and that the company’s assets had therefore been forfeited to the Republic.⁵

In the New York Supreme Court turnover proceeding, PNB

5. In awarding the Arelma assets to the Republic, the Sandiganbayan stated that the lawful income of President Marcos and his wife during his tenure in office had been the equivalent of \$304,372.43, but that the value of the Arelma account in 1983 was more than \$3.3 million. Consistent with the Philippine misappropriation law, the Sandiganbayan indicated that it ruled in the Republic’s favor because representatives of the estate of Marcos failed to

(n. cont’d)

and Arelma moved to intervene and requested dismissal of the action under CPLR 1001, asserting that the Republic and PCGG were necessary parties but could not be subject to joinder in light of the assertion of sovereign immunity. Supreme Court denied the motion to dismiss, finding that a balancing of the interests allowed the matter to go forward without the Philippine government as a party (2009 NY Slip Op 32650[U] [2009]).⁶ The Appellate Division reversed, concluding that the invocation of sovereign immunity mandated dismissal under CPLR 1001 (87 AD3d 119 [1st Dept 2011]). The Appellate Division then certified a question to us asking if its decision was correctly made.

II

Swezey, representing the Pimentel class, urges us to answer the certified question in the negative and hold that dismissal of this turnover proceeding is not required by CPLR 1001. She contends that the Appellate Division placed undue emphasis on the Republic's sovereign status and too little weight on the ability of the Pimentel class to challenge the Republic's claim that it owns the Arelma assets. Swezey also submits that the motion to dismiss should have been denied under *Saratoga County Chamber of Commerce v Pataki* (100 NY2d 801 [2003]). She further maintains that it is unnecessary to join the Republic as a party in this case because the statute of limitations bars the Republic's claim to the Arelma account.

Notably, the day after oral argument was heard on the appeal in our Court, a panel of the Philippine Supreme Court affirmed the Sandiganbayan's decision, ruling that the Arelma assets were forfeited to the Republic (*see Marcos v Republic of the Philippines*, G.R. Nos. 189434 & 189505 [Sup Ct, 2d Div, Apr. 25, 2012] [Phil]). In light of that decision, Swezey claims that she is not bound by the order awarding the Arelma assets to the Republic since she was not a party to the litigation in the Philippines.

CPLR 1001 (a) states that an individual or entity is a necessary party to litigation "if complete relief is to be accorded between the persons who are parties to the action" or if the entity "might be inequitably affected by a judgment in the action."

explain how Marcos could have lawfully acquired the funds deposited in the brokerage account.

6. At some point, Merrill Lynch transferred the Arelma assets (now valued at approximately \$40 million) to New York City's Commissioner of Finance pursuant to a court order.

Joinder is mandatory if the nonparty is subject to the court's jurisdiction (*see* CPLR 1001 [b]). If jurisdiction can be obtained only by the entity's consent or voluntary appearance—as in the situation where a sovereign nation invokes its right to immunity—"the court, when justice requires, may allow the action to proceed without [the entity] being made a party" (*id.*). Five factors must be considered in reaching a determination:

"1. whether the plaintiff has another effective remedy in case the action is dismissed on account of the nonjoinder;

"2. the prejudice which may accrue from the nonjoinder to the defendant or to the person not joined;

"3. whether and by whom prejudice might have been avoided or may in the future be avoided;

"4. the feasibility of a protective provision by order of the court or in the judgment; and

"5. whether an effective judgment may be rendered in the absence of the person who is not joined" (*id.*).

Although a court must consider all five criteria, no single factor is determinative in the discretionary analysis of whether an action may proceed in the absence of a necessary party who is not subject to mandatory jurisdiction (*see Matter of Red Hook/Gowanus Chamber of Commerce v New York City Bd. of Stds. & Appeals*, 5 NY3d 452, 459 [2005]). The overall statutory design is intended to (1) "guarantee[] that absent parties at risk of prejudice will not be 'embarrassed by judgments purporting to bind their rights or interests where they have had no opportunity to be heard' " and (2) "protect against multiple lawsuits and inconsistent judgments" (*id.* at 458-459, quoting *First Natl. Bank of Amsterdam v Shuler*, 153 NY 163, 170 [1897]).

[1] Based on these principles, we must first determine whether the Republic of the Philippines is a necessary party to this turnover proceeding. The Republic submits that the Arelma brokerage account was funded with money that Marcos stole from the government during his dictatorial reign. If the turnover action continues and Swezey prevails on the merits, the Arelma assets will be liquidated and the Republic's claim will be "inequitably affected" (CPLR 1001 [a]). The involvement of the

Republic is therefore necessary in the context of this proceeding. And since the principles of sovereign immunity require the Republic's consent before a New York court may exercise jurisdiction over it, our second task is to analyze the five statutory factors to determine whether the case can proceed without the Republic as a party (*see* CPLR 1001 [b]).⁷

[2] The first factor weighs in Swezey's favor. She and her fellow class members will not have a readily available remedy if this proceeding is dismissed for nonjoinder. In fact, she lacks a forum to identify which entity owns the Arelma assets and, at least for the immediate future, she must await a waiver of sovereign immunity by the Republic before an American court can intercede in the matter.

The second factor, however, strongly supports the Republic. Its national interests would be severely prejudiced by a turnover proceeding because it has asserted a claim of ownership regarding the Arelma assets that rests on several bases: the Philippine forfeiture law that predated the tenure of President Marcos; evidence demonstrating that Marcos looted public coffers to amass a personal fortune worth billions of dollars; findings by the Philippine Supreme Court and Swiss Federal Supreme Court that Marcos stole related assets from the Republic; and, perhaps most critically, the recent determination by the Philippine Supreme Court that Marcos pilfered the money that was deposited in the Arelma brokerage account. Consequently, allowing the federal court judgment against the estate of Marcos to be executed on property that may rightfully belong to the citizens of the Philippines could irreparably undermine the Republic's claim to the Arelma assets.

Nor does the third factor—focusing on who can minimize prejudice—weigh against the Republic. The immunity principle is part of the natural law of nations and is “premised upon the ‘perfect equality and absolute independence of sovereigns, and th[e] common interest impelling them to mutual intercourse’ ” (*Republic of Philippines v Pimentel*, 553 US at 865, quoting *Schooner Exchange v McFaddon*, 7 Cranch [11 US] 116, 137 [1812]). It has been a doctrine in our legal system for centuries and is currently codified in federal statutes (*see* 28 USC §§ 1330, 1602-1611). The “privilege is much diminished if an important and consequential ruling affecting the sovereign's substantial

7. To the extent Swezey argues that the Republic has not validly asserted sovereign immunity, diplomatic correspondence in the record refutes that claim.

interest is determined . . . by a . . . court in the sovereign's absence and over its objection" (*Republic of Philippines v Pimentel*, 553 US at 868-869).

The Republic's declaration of sovereign immunity in this case is entitled to recognition because it has a significant interest in allowing its courts to adjudicate the dispute over property that may have been stolen from its public treasury and transferred to New York through no fault of the Republic. The high courts of the United States, the Philippines and Switzerland have clearly explained in decisions related to this case that wresting control over these matters from the Philippine judicial system would disrupt international comity and reciprocal diplomatic self-interests. Since only the Republic can decide whether it should submit to New York's jurisdiction, it would be inappropriate to force the Republic to litigate in our state court system contrary to an otherwise valid invocation of the sovereign prerogative.

Swezey correctly notes that we allowed a claim to proceed in a sovereign's absence in *Saratoga County Chamber of Commerce v Pataki* (100 NY2d 801 [2003]). But the underlying question in that case pertained to an important question about the fundamental balance of governmental powers under our State Constitution. We specifically observed that a dismissal premised on sovereign immunity claimed by the St. Regis Mohawk Tribe would have left the substantive issue unanswered because "no member of the public will ever be able to bring th[e] constitutional challenge" (*id.* at 820). And this would have allowed the Governor, in effect, to "sign agreements with any [sovereign] entity beyond the jurisdiction of the Court, free of constitutional interdiction . . . a prospect antithetical to our system of checks and balances" (*id.*).

The dispute here, in stark contrast, involves a far different subject—the ownership of investment assets—that does not justify another limited exception to the general rule that an assertion of immunity by a sovereign entity requires dismissal of an action in which it is a necessary party if the entity's claims are not frivolous and there is a potential for injury to its interests (*see Republic of Philippines v Pimentel*, 553 US at 867). To hold otherwise would flout the U.S. Supreme Court's decision involving the same interested entities, the same property and the same general issues that are before us (*see id.*). Moreover, and unlike the situation in *Saratoga County*, a dismissal will not consign the question about Arelma's ownership to potentially limitless legal purgatory because the matter has

been decided by the Philippine court system and further proceedings in New York can address the final disposition of the Arelma assets held in this state.⁸

We view the fourth factor—the feasibility of a protective order—as further support for a dismissal on these facts. In the context of this turnover proceeding, the only ruling by a New York court that can simultaneously safeguard the interests of the Pimentel class and the Republic is one that prevents either from accessing the Arelma assets so that neither claim to the property is irreparably prejudiced. The dismissal of the turnover action would accomplish that result at this point in time.

The fifth factor—whether an effective judgment can be entered in the absence of the Republic as a party to the litigation—tilts in favor of the Republic because allowing the turnover proceeding to go forward would create the possibility of multiple conflicting judgments. A turnover order in Swezey’s favor would not be binding on a nonparty such as the Republic. Furthermore, the ruling by the Philippine Supreme Court awarding ownership of the Arelma assets to the Republic now permits that nation to seek enforcement of its foreign judgment in New York. But if the turnover proceeding advances and Swezey prevails, the Arelma assets will be disbursed and the Republic may turn to Merrill Lynch for satisfaction, placing that firm at possible risk of duplicative liability even though it has been trying to remove itself from this battle involving the Arelma assets for over a decade. Thus, it is evident that continuation of the turnover action “would not further the public interest in settling the [ownership] dispute as a whole” (*Republic of Philippines v Pimentel*, 553 US at 870-871).

Based on our balancing of the five factors delineated in CPLR 1001 (b), we conclude that this case “cannot be decided without the presence of the foreign government” (*Lamont v Travelers Ins. Co.*, 281 NY 362, 373 [1939]; see *Oliner v Canadian Pac. Ry. Co.*, 27 NY2d 988 [1970], *affg* 34 AD2d 310 [1st Dept 1970])

8. Since Swezey has not definitively established that a statute of limitations precludes the Republic from obtaining the Arelma assets, she is unable to show that the Republic has fatally undermined its ability to pursue the property (see *Republic of Philippines v Pimentel*, 553 US at 867-868; see generally *Matter of Red Hook*, 5 NY3d at 462 [where jurisdiction may be obtained only by consent or appearance, a statute of limitations issue should be considered in the five-factor CPLR 1001 (b) analysis]; cf. *Windy Ridge Farm v Assessor of Town of Shandaken*, 11 NY3d 725, 726-727 [2008] [the five-factor test does not apply if a necessary party with a valid statute of limitations defense is subject to the court’s jurisdiction]).

and that the Republic's absence compels dismissal without prejudice under these circumstances (*see* CPLR 1003).

Similar to the U.S. Supreme Court, we are certainly sympathetic to the plight of Swezey and her fellow class members. They are survivors of Marcos' reign of terror and the heirs of individuals who were horrifically brutalized by his nefarious regime. Their entitlement to compensation is well recognized in international circles. Regrettably, their multi-billion dollar judgment remains predominantly unsatisfied despite their best efforts over the past two decades.

But the judgment that they secured is against the estate of Ferdinand Marcos and it can be lawfully executed only against property that the estate legally owns. If the Arelma assets belong to the people of the Philippines—as that country's highest court has declared⁹—the class has no claim to that property and the assets should be returned to the people of the Philippines, who were also victimized by the Marcos government. Consequently, final judicial disposition of the Arelma assets will have to await the Republic's voluntary submission to our jurisdiction. Although unlikely, if the Republic fails to seek enforcement of its judgment or some other avenue of recourse, the time may come when the Pimentel class could again ask a New York court to reconsider the enforcement of its judgment. For now, New York courts should not intercede in a matter that remains within the province of Philippine self-governance and national sovereignty.

For all of these reasons, we hold that the Appellate Division did not err as a matter of law when it concluded that dismissal of this turnover proceeding without prejudice was required under CPLR 1001 (b).

* * *

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

9. The panel's decision appears to be final but under Philippine court rules, the Second Division may be able to refer the case to the full Philippine Supreme Court for en banc consideration (*see* Republic of the Philippines, Internal Rules of the Supreme Court, A.M. No. 10-4-20-SC, part I, rule 2, § 11 [May 4, 2010]).

[973 NE2d 711, 950 NYS2d 301]

JASMINE ZHENG et al., Appellants, v CITY OF NEW YORK et al.,
Respondents.

Argued May 31, 2012; decided June 26, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 20, 2012. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Judith J. Gische, J.; *see* 2011 NY Slip Op 31120[U] [2011]), entered after a nonjury trial, which had (1) dismissed the causes of action for specific performance, an injunction and due process violations, and (2) declared that defendants are not contractually obligated to continue making rent subsidy payments under the Advantage program and have no ongoing obligation, contractual or otherwise, to continue the Advantage program.

Zheng v City of New York, 93 AD3d 510, affirmed.

HEADNOTE

Contracts — Formation of Contract — No Contractual Obligation under Advantage New York Rental Assistance Program

An Appellate Division order affirming Supreme Court's dismissal of plaintiff tenants' action seeking a declaratory judgment that the defendant City of New York was contractually obligated to pay rent subsidies to their landlords under the discontinued Advantage rental assistance program until expiration of their leases was affirmed as there was record support for the affirmed finding of fact that defendant did not intend to enter into enforceable contracts with plaintiffs or their landlords under the Advantage program. In deciding a case where, as here, the issue is "whether the course of conduct and communications between [the parties have] created a legally enforceable agreement," the key question of fact for the factfinder to decide is whether the parties exhibited "an intent to contract." The Advantage program, created by defendant to help homeless single adults and families achieve independent living, was carried out through a lease between landlord and tenant to which defendant was not a party, and four "program documents" drafted by defendant. Following a nonjury trial Supreme Court held that the Advantage program was nothing more than a social benefit program, which defendant had the right to terminate based upon lack of funding, and that defendant had no contractual obligation to continue the program. The clearest of contract terms are generally to be found in a written agreement executed by contracting parties, but here no document whatsoever was executed by the defendant and any landlord respecting the Advantage program. Supreme Court painstakingly applied the standard for determining whether the parties exhibited an intent to contract, and there was more than sufficient evidence in the record to support Supreme Court's affirmed findings of fact.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 19, 30; AM JUR 2d, Welfare § 67.
NY JUR 2d, Contracts §§ 9, 28; NY JUR 2d, Public Welfare
and Old Age Assistance § 411.

ANNOTATION REFERENCE

See ALR Index under Contracts; Municipal Corporations;
Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: rent /2 assistance subsidy & contract /5 enforce!

POINTS OF COUNSEL

Legal Aid Society, New York City (*Steven Banks, Jane Sujen Bock, Joshua Goldfein* and *Judith Goldiner* of counsel), and *Weil, Gotshal & Manges LLP* (*Konrad L. Cailteux, Isabella C. Lacayo, Jesse Morris, Emily L. Pincow* and *Lisa Sokolowski* of counsel), for appellants. I. The First Department erred as a matter of law when it applied the wrong standard in determining that there was no mutual assent to contract. (*Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Mencher v Weiss*, 306 NY 1; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Ahlstrom Mach. v Associated Airfreight*, 272 AD2d 739; *TAJ Intl. Corp. v Bashian & Sons*, 251 AD2d 98; *Accurate Realty, LLC v Donadio*, 80 AD3d 1041; *Keis Distrib. v Northern Distrib. Co.*, 226 AD2d 967; *Conopco, Inc. v Wathne Ltd.*, 190 AD2d 587; *Baum v County of Rockland*, 337 F Supp 2d 454; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106.) II. But for the First Department majority's misapplication of the legal standard for mutual assent, the Advantage tenants would have prevailed. (*Greenfield v Philles Records*, 98 NY2d 562; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *De Kovessey v Coronet Props. Co.*, 69 NY2d 448; *Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Matter of 166 Mamaroneck Ave. Corp. v 151 E. Post Rd. Corp.*, 78 NY2d 88; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475.) III. Social services programs can be operated through contracts with third parties. (*Marks v City of New York*, 121 Misc 2d 303; *McNeill v New York City Hous. Auth.*, 719 F Supp 233; *Mutual Hous. of Tompkins County, Inc. v Hawes*, 4 Misc 3d 247.)

Michael A. Cardozo, Corporation Counsel, New York City (*Eric Rundbaken, Allan G. Krams, Nancy F. Brodie, David Cooperstein and Michael Adler* of counsel), for respondents. I. This Court cannot reweigh the evidence that led the trial court and Appellate Division to conclude that the City of New York did not contractually obligate itself to continue paying plaintiffs' Advantage rent subsidies after the Legislature decided to cut off the bulk of the program's funding. (*Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Rudman v Cowles Communications*, 30 NY2d 1; *Farrell Lines v City of New York*, 30 NY2d 76; *Levine v Shell Oil Co.*, 28 NY2d 205; *Cohen v Hallmark Cards*, 45 NY2d 493; *Jacobellis v New York State Thruway Auth.*, 51 AD3d 976.) II. The Appellate Division applied the *Brown Bros. Elec. Contrs. v Beam Constr. Corp.* (41 NY2d 397 [1977]) standard, not one based on subjective intent. (*Sokoloff v National City Bank of N.Y.*, 239 NY 158.) III. The trial evidence is legally sufficient to support the finding that the City of New York did not enter into contracts in the Advantage program. (*Seif v City of Long Beach*, 286 NY 382; *Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126; *Rock Island, A. & L. R. Co. v United States*, 254 US 141; *Marks v City of New York*, 121 Misc 2d 303; *Mutual Hous. of Tompkins County, Inc. v Hawes*, 4 Misc 3d 247; *Richardson v Belcher*, 404 US 78; *Matter of Judge Rotenberg Educ. Ctr. v Maul*, 91 NY2d 298.) IV. The Advantage certification letter did not constitute an offer that could be accepted and create a contract with the City of New York. (*1240 Third Ave., Inc. v Birns*, 232 App Div 522; *Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Carmon v Soleh Boneh Ltd.*, 206 AD2d 450; *De Kovessey v Coronet Props. Co.*, 69 NY2d 448; *Paige v Faure*, 229 NY 114.) V. Even if the City of New York had contracted with Advantage landlords, it retained discretion not to continue Advantage subsidies for a second year. (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Jiggetts v Grinker*, 75 NY2d 411; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Matter of Marro v Bartlett*, 61 AD2d 729, 46 NY2d 674; *Matter of Riches v New York City Council*, 75 AD3d 33, 15 NY3d 735; *Brown v Manufacturers Trust Co.*, 278 NY 317.)

Gibson, Dunn & Crutcher LLP, New York City (*Randy M. Mastro and Christopher Muller* of counsel), for Sanctuary for Families and others, amici curiae. I. The City of New York designed Advantage to convince participants that payments

were assured. (*Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397.) II. Domestic violence victims forced out of Advantage housing will be at serious risk of violence and other harm.

OPINION OF THE COURT

READ, J.

Plaintiffs claim that the City of New York is contractually obligated to pay rent subsidies to their landlords under the Advantage New York program until expiration of their leases. State and federal reimbursement for two thirds of the Advantage program's costs ended on April 1, 2011, causing the City to discontinue it as of that date. Both lower courts found that the City did not intend to enter into enforceable contracts with plaintiffs or their landlords under the Advantage program, and the record supports this affirmed finding of fact (*see Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397, 400 [1977]). Accordingly, we affirm dismissal of the lawsuit.

I.

The City created the Advantage rental assistance program in 2007 to help homeless single adults and families achieve independent living. The Advantage program replaced and was designed to fix unanticipated problems thought to compromise the effectiveness of a predecessor program called Housing Stability Plus (HSP). HSP provided a five-year rent subsidy that was reduced automatically each year by 20%. Participants in HSP were required to remain eligible for public assistance (PA) and to comply with all PA requirements. Two problems became apparent over time as a result. First, some tenants limited the hours they worked because a higher income would render them ineligible for PA and, consequently, the HSP rent supplement. Second, landlords grew reluctant to participate in this program because subsidies were cut off whenever a tenant's PA case was sanctioned or closed, thus interrupting the flow of rental revenue.¹ Under the Advantage program, by contrast, landlords were assured that changes in a tenant's PA status would not disrupt payment of the rent subsidy over the course of the lease.

1. At the trial in this case, a real estate broker specializing in apartment rentals testified that "[c]lients kept on falling off [PA] eligibility status in the middle of the program and landlords stopped getting paid and because of that, they just shied away from the program [—] they said don't bring HSP, not interested."

There were various versions of the Advantage program, with differing eligibility requirements. For example, the program made rent subsidies payable to landlords for households where at least one adult worked 20 hours or more weekly at minimum wage or above (Work Advantage), received a fixed income benefit such as Supplemental Security Income or Social Security Disability Insurance (Fixed Income Advantage) or had an active case with the City's Administration for Children's Services while in shelter (Children Advantage). In general, the family or single adult had to have resided in shelter for a certain number of days, and have an active PA case and a gross household income not exceeding a specified percentage of the federal poverty level.

The Advantage program was carried out through a lease between landlord and tenant to which the City was not a party, and four documents drafted by the City: a certification letter, participant statement of understanding, landlord statement of understanding and lease rider. These four documents differed depending on the program type and participant (family or single adult), vintage or agency, but contained the same basic provisions. The Advantage program was approved by the State's Office of Temporary and Disability Assistance (OTDA), as required by state regulation (*see* 18 NYCRR 352.3 [a] [3] [ii] [a social services district may, with OTDA's prior approval, provide an additional shelter supplement for PA recipients to reside in private housing, provided OTDA "determines that there are sufficient funds available to provide such reimbursement"]).

The City's Department of Homeless Services (DHS) and Human Resources Administration (HRA) jointly administered the Advantage program. To begin with, the City provided eligible individuals or families with a certification letter on DHS or HRA letterhead, which was routinely signed by city workers from these agencies, sometimes by facsimile rather than original signature. Several versions of this letter included the following subject line in boldface type: "Re: Advantage Program (Guaranteed Rent Not Tied to [PA])."

The certification letter generally informed recipients that they were "now eligible for the Advantage rental assistance program"; and set out the certification and expiration dates, the length of time that the certification would be valid, the total maximum rent allowed, the monthly tenant contribution (based on total gross household income as of the certification date) and the maximum subsidy amount. The letter also stated that "[t]he Advantage program guarantees that the subsidy portion of the

rent will be paid directly to your landlord for one year,” and that a “second year of rental assistance under Advantage” was available if the tenant met the eligibility criteria. Recipients were encouraged to show the letter to prospective landlords and brokers when searching for apartments.

At lease signing, the tenant subscribed a participant statement of understanding, which indicated that “[u]nder the Advantage Program, [the City] will pay a portion of my monthly rent (over and above [the tenant’s] monthly rent contribution) directly to my Landlord.” As a “condition” of “participation” in the program, the tenant made 22 “commitments,” which included understandings and agreements to file for work supports and tax credits, notify HRA of a change in address, seek appropriate services to maintain the tenancy, repay the security deposit and certain other payments if failing to move into the apartment after signing the lease, cooperate with the City in its administration of the program and take part in program surveys and publicity. The participant statement was signed by adult household members, who represented that they had “read and under[stood their] obligations under [the participant statement]”; and by a city case manager and/or housing specialist, who “confirm[ed] that all present adult household members have verbalized their understanding [of] the agreements outlined in this document, and that all adult household members have signed and received a copy of this agreement.”

Also at lease signing, the landlord (or an authorized representative) subscribed a landlord statement of understanding, which specified that the City “will issue” or “will pay” rent subsidies directly to the landlord on behalf of the tenant, who remained “responsible for paying directly to . . . the Landlord, a monthly rent contribution” in a specified amount “to cover the remaining portion of the rent under the Lease and Rider.” Further, as a “condition” to “participation” in the program, the landlord made 12 “commitments,” which included understandings and agreements not to charge an Advantage tenant “any amount” beyond the agreed-upon rent; and to offer the apartment at the same level of rent for a second year, pay for heat and water and, in the event an Advantage tenant vacated the premises “due to an eviction or move,” return any prepaid rent to the City or, at the City’s option, allow another program participant to reside in the apartment for the remainder of the lease’s term.

Lastly, at lease signing the tenant and landlord both signed a rider to the landlord’s standard lease. In the rider, the tenant

“agree[d] [to] authorize[]” the City to pay “rental assistance directly to the Landlord.”² The rider also generally reiterated the landlord’s obligations set out in the landlord statement. Additionally, the landlord “acknowledge[d] that . . . the amount and duration” of subsidies was “subject to all applicable rules and requirements” of the Advantage program, and agreed to make the apartment available for inspection. If the landlord “materially violate[d]” any of the terms of the lease or rider, the tenant could terminate the lease, and the landlord was barred from participation in the program. A city worker signed the lease rider as either a DHS or HRA witness.

The Advantage program was funded in equal parts by the city, state and federal governments. But the Governor’s executive budget for fiscal year 2011-2012, submitted to the Legislature on February 1, 2011, did not include an appropriation for the program. Although the City aggressively lobbied the State for the Advantage program’s continuation, funding was not restored in the subsequently enacted state budget; once state financial support was withdrawn, federal moneys were also no longer available. Faced with the imminent loss of two thirds of the program’s funding, the City closed the Advantage program to entrants in mid-March 2011, and informed participants that their rental subsidies would end on April 1, 2011, the beginning of the State’s fiscal year.

On March 28, 2011, plaintiffs Jasmine Zheng and A.T.,³ on behalf of themselves and all others similarly situated, brought this lawsuit against the City as well as DHS and HRA and their respective commissioners (collectively, the City). Plaintiffs alleged that they were “Advantage recipients, now Advantage tenants,” suing on behalf of themselves and a class consisting of “approximately 15,000 current Advantage Tenants,” and claimed that the City was contractually obligated to continue to pay the rent subsidies provided for under the Advantage program. They sought specific performance of this alleged contract; a declaratory judgment that the City was “contractually obligated to continue to make Advantage subsidy payments

2. The tender of payments for PA is generally to be made directly to the recipient with exceptions, notably including “when the applicant/recipient requests in writing that vendor or protective payments be made” (18 NYCRR 381.2 [a] [emphasis added]).

3. Zheng later withdrew as a named plaintiff, although she has continued as a class member; the identity of A.T. has remained confidential throughout this proceeding because she is a victim of domestic abuse.

to Advantage Tenants' landlords for the remainder of [the alleged contracts] and for a second year if the Advantage Tenants [met the City's] eligibility criteria"; injunctive relief to prevent the City from discontinuing rent subsidy payments to landlords before expiration of the alleged contracts; and "injunctive relief to prevent [the City] from taking Advantage Tenants' property interests without due process of law." Basically, plaintiffs were looking for the City to subsidize their leases for a full two years, notwithstanding the loss in the interim of state and federal funding for this purpose. Supreme Court signed the accompanying order to show cause, thereby directing a hearing on plaintiffs' request for injunctive relief and class certification, and temporarily restraining the City from discontinuing the rent subsidies.

On May 2, 2011, Supreme Court entered a decision and order denying plaintiffs' motion for a preliminary injunction and the City's cross motion to dismiss the complaint (2011 NY Slip Op 31120[U] [NY County 2011]). Based on her review of the "program documents" (i.e., the certification letter, participant and landlord statements of understanding and the lease rider), the judge concluded that the complaint "survive[d]" the City's motion to dismiss, but that plaintiffs had not shown "a likelihood of success on their claims that the program documents constitute enforceable contracts" (*id.* at *26).⁴ Supreme Court, however, continued the temporary restraining order for 10 days to permit plaintiffs the opportunity to seek a stay from the Appellate Division.

Plaintiffs filed a notice of appeal with the Appellate Division on May 10, 2011, and on May 12, 2011, they moved for injunctive relief. On June 2, 2011, the Appellate Division granted plaintiffs' motion "to [the] extent of directing [that the Advantage program] payments . . . be maintained pending hearing and determination of the appeal" (2011 NY Slip Op 74744[U] [2011]).

Following an expedited, five-day nonjury trial in June and July and the completion of posttrial submissions on August 11, Supreme Court issued a decision dated September 13, 2011 in which she held that

4. Supreme Court also decided that class certification was "unnecessary at this time" in light of the City's agreement "to apply [her] determination equally to all similarly situated"; and therefore also denied plaintiffs' motion for class certification (2011 NY Slip Op 31120[U] at *25). Before the first day of trial, the City agreed to certification of the plaintiff class in this action.

“the Advantage program, no matter how laudable its goals, is nothing more than a social benefit program, which [the City] had the right to terminate based upon the lack of funding available for its continuation. [The City has] no ongoing obligation, contractual or otherwise, to continue the Advantage Program.”

The judge observed that “[w]hile a social services program can be structured in such a way as to be operated and implemented through enforceable contracts,” plaintiffs were required to prove by a fair preponderance of the evidence that, in this instance, enforceable contracts did, in fact, exist between tenants and the City or landlords and the City. She listed the elements required for contract formation and pointed out that the parties did not dispute “capacity to contract” or that “if the court were to find that [the City had] entered into enforceable contracts with the Advantage Landlords, the Advantage Tenants [would] have standing to enforce them as third party beneficiaries.” She then turned to the two elements of contract formation disputed by the parties—mutual assent and consideration.

With respect to mutual assent, Supreme Court remarked that “[w]hile a formally executed document is not always necessary,” the proponent of the existence of a contract—here, plaintiffs—“must still prove an intent of the parties to be bound.” Citing our decision in *Brown Bros.*, the judge stated that “[i]n finding [intent to be bound], the court does not depend on the subjective intent of the parties, [but] rather . . . looks to objective manifestations of the intent of the parties as gathered by their expressed words and deeds.” In undertaking this analysis, “[t]he parties’ communicated expressions are interpreted objectively to give effect to the reasonable expectations of the parties, not necessarily their actual expectations.” Further, “[t]he fact finder should not put disproportionate emphasis on any single act, phrase or other expression, but instead, should consider the totality of the circumstances, the situation of the parties and the objectives they were trying to attain.”

After “viewing the evidence as a whole” in light of these principles, Supreme Court “conclude[d] that [the City] did not manifest an intent to be contractually bound to provide the benefits associated with the Advantage program.” While the judge also expressed her belief that “neither the tenants nor the landlords manifested an intent to be contractually bound,”

she added that “it would not matter even if they did” because “the requirement of intent must be mutual.” She then reviewed the proof that supported her finding that the City lacked the intent to be bound.

First, there were “no formal contracts” between the City and tenants or the City and landlords. As a result, plaintiffs relied on the four “program documents” (the certification letter, participant and landlord statements of understanding and lease rider) to argue that the City intended to be contractually obligated to fund plaintiffs’ rent subsidies under the Advantage program. With respect to these documents, the judge addressed the parties’ disputes over the importance of the presence of the signatures of city workers on certain of them. She determined that the “confirmation” signed by a city caseworker on the bottom of the participant statement “[did] not manifest any intent by [the City] to enter into a contractual relationship”; and neither did the signature of a city caseworker as a witness to the lease rider. She noted that the certification letter was “signed by NYC representatives,” sometimes by facsimile, but, contrary to the City’s arguments, “the fact that each signature was not original [was] not legally significant.” Supreme Court added that “[w]hile [the City could not] rely on the lack of a signature on the certification letter to disprove its intention to be bound, the court still [would] need[] to look at the content of the documents and the circumstances of their making in determining mutual assent.”

The judge described “language used in the program documents” as “[m]ost important” in ascertaining whether there was contractual intent, followed by “evidence in the form of collateral writings (e.g. promotional materials) and what the parties said and did at the time the program was implemented”; and “[t]he historical context of the formation of the relationships.” She added that “the unexpressed subjective thinking of the parties at the time the program was implemented and/or the documents signed or generated” was “[n]ot relevant.” Supreme Court then reviewed the program documents in detail.

The judge stressed the absence of such “traditional contract phrases” as “‘the parties agree’ ” or “‘the parties covenant.’ ” Instead, these documents consistently referred to Advantage as a “program.” And while “[t]he documents [had] program ‘conditions’ for tenants and landlords . . . [t]he language [did] not expressly impose any mutuality of obligation on [the City].” Additionally, “representation[s] that [the City] will pay or will issue checks” merely “set[] out the program benefits” and were

“entirely consistent with the administration of the Advantage program,” rather than “prov[ing] contractual obligations.”

Supreme Court then considered the word “guarantee,” which was “more problematic” for the City “because ‘guarantee’ is a contractual term, which generally refers to an obligation to be responsible for the debt of another.” She added, however, that “there are times when, depending on the context of the use of the word, no binding obligation is created,” so “[i]t is important . . . to understand the context in which [the City] used . . . the term guarantee in program or other documents.” Here, the certification letter was the only program document to use the word “guarantee.” Specifically, these letters typically included this word in the subject line—i.e., “Re: Advantage Program (Guaranteed Rent Not Tied to [PA])—and referred to the subsidies as being “guaranteed for up to one year.” The judge noted that the word “guarantee” also appeared in promotional materials given to landlords and brokers.

Supreme Court then found that

“[t]he use of the word guarantee was deliberate and made to induce landlords to participate in the Advantage rental assistance program. The word was used to differentiate the Advantage program from predecessor programs [i.e., HSP] where a disruption in a tenant’s public assistance case, for any reason whatsoever, would interrupt the rental subsidy payments to a participating landlord. *Under the Advantage program, the guarantee was that the rental assistance benefit would be paid to landlords, even if the tenant’s public assistance payment was interrupted for any reason.* This meaning was communicated to landlords and/or their representatives in meetings and fairs that [the City] held to induce landlords to participate in the program. The certification letters’ references to guarantees of rent are expressly ‘not tied to public assistance payments.’ The program documents and the promotional material pervasively used language indicating that Advantage was a program, that rental assistance payments were benefits and that the tenants and landlords had to fulfill conditions to participate in the program” (emphasis added).

Thus, Supreme Court found that the certification letter and promotional documents “do not, when read as a whole, contain

a contractual guarantee of payment if the program is no longer funded.” She called plaintiffs’ argument that the City might have included language in the program documents stating that payments were contingent on continued program funding “a red herring” because “[t]his language would only be important if there was a contract between the parties” in the first place.

Supreme Court also assessed the evidence of the City’s communications with landlords to promote the Advantage program, which belied any intent on the part of the City to be bound contractually. Specifically, the judge found that during meetings held by the City “to induce the landlords to participate in the Advantage program . . . landlords asked [the City] to obligate [itself] to the leases. Whenever these suggestions were made, [the City] made it clear to landlords that the lease obligations would be between the landlord and the tenant and that NYC would not obligate itself.”⁵

The judge contrasted this objective contemporaneous evidence of the City’s intent with the testimony of A.T. and her landlord at trial as to their after-the-fact professed subjective belief that they had entered into contracts with the City. Moreover, “[t]estimony by other landlords, real estate brokers and property managers[] indicates they either had no understanding about whether they had a contractual relationship with [the City] or they understood they had no such relationship.” Indeed, “a real estate broker with extensive experience about rental assistance programs,” who was called by plaintiffs, “testified that he did not believe [the City] had entered into contracts with individual landlords, and, further, that it never entered his mind to suggest that NYC sign a separate contract with the landlords.”⁶ She added, however, that “these varied subjective

5. While the judge discussed this evidence solely with respect to the City’s intent, it also bears on the intent of landlords—i.e., why would landlords make these entreaties if, as the dissenters contend, “a reasonable person” in their position would have clearly understood that the City, by virtue of the program documents, “entered into a separate and distinct agreement with [them] to subsidize the rent obligations created by the leases” (dissenting op at 582)? Although the dissenters criticize Supreme Court for not undertaking the “vital analysis” of landlord intent (*id.*), the judge explained, as noted earlier, that once she found no intent on the part of the City, landlord intent did “not matter” because intent must be mutual.

6. In other words, although the dissenters assert that “a reasonable person in the position of the Advantage landlords” would have clearly understood that the City had contracted with them and, indeed, it would have been “unreasonable” to conclude otherwise (dissenting op at 580), the overwhelming

(n. cont’d)

understandings . . . [were] not probative on the issue of mutual assent.”

Next, Supreme Court rejected plaintiffs’ argument that the certification letter constituted an offer accepted by the tenants and landlords “by their actual participation” in the Advantage program because “it lack[ed] the requisite specificity”: “the specific landlord was not identified, the specific apartment was not identified, the term of the lease was not identified, nor were all of the conditions, as otherwise stated in the participant statement, the landlord statement and lease rider.”

Plaintiffs argued there was consideration for their alleged contracts with the City because “they entered into contracts with private landlords for rents that they could not otherwise afford,” and “obtained employment and incurred expenses for such things as child care, all in connection with fulfilling their obligations” under the Advantage program. Supreme Court disagreed, though, “[s]ince participation in the Advantage program was required as part of continued eligibility [for] temporary housing”; therefore, “the tenants’ requirements of eligibility for the Advantage program [did not] constitute[] consideration that would support a contract” with the City.

Further,

“[the] argument[] that Advantage Tenants gave up other available housing and/or programs to participate in the Advantage program[] was never proven at trial. In fact, there was testimony . . . that the Advantage program was perceived as a means to fill what was then the prevailing time gap in the availability of section 8 housing.”⁷

As the judge commented, while section 8 housing “was always

after-the-fact testimony was that landlords harbored no such illusion. While subjective understandings, as Supreme Court noted, are “not probative on the issue of mutual assent,” it is impossible to reconcile the fact that actual participants in the Advantage program from the real estate community did not consider the City to be contractually bound with the dissenters’ conclusion that “the Advantage program documents *unambiguously* memorialize[d] a bargained-for exchange between the City and the Advantage landlords to which [they] mutually assented” (*id.* at 579 [emphasis added]).

7. Section 8 of the Housing Act of 1937 (42 USC § 1437f), as repeatedly amended, authorizes a variety of rental assistance programs on behalf of low-income households. A document pertaining to Section 8 benefits, captioned “Housing Assistance Payments Contract (HAP Contract),” which is executed (not merely witnessed) by a representative of a city public housing agency and the rent-subsidized tenant’s landlord, was entered into evidence at trial (*see*

(n. cont’d)

subject to long waiting lists,” by 2010 it had become “virtually unavailable, due to severe budget cutbacks.”

Supreme Court also disagreed with plaintiffs’ “collateral argument (raised in the context of consideration) that, absent a contractual relationship, the Advantage landlords would not have participated in the program,” based on the history of landlord participation in the City’s rental assistance programs. Finally, the judge remarked that plaintiffs’ claims of entitlement to a second year of eligibility under the Advantage program and of due process violations “fail[ed]” in view of her finding that there were no contractual obligations. Supreme Court’s decision was entered by order and judgment on October 6, 2011. Plaintiffs took an appeal.

On February 2, 2012, the Appellate Division granted the City’s motion to dismiss plaintiffs’ appeal of Supreme Court’s interlocutory order entered on May 2, 2011 and to vacate the stay; and denied plaintiffs’ motion seeking to consolidate the appeals of Supreme Court’s two orders and continue the stay (92 AD3d 412 [1st Dept 2012]). The court held that the entry of final judgment dismissing the complaint terminated plaintiffs’ right to appeal from the interlocutory order, and that the preliminary injunction “must be dissolved since the purpose of a preliminary injunction is to maintain the status quo while an action is pending” (*id.* at 413).

On February 16, 2012, a separate panel, with one Justice dissenting, denied plaintiffs’ motion for a further stay pending determination of their appeal from the final judgment (2012 NY Slip Op 64817[U] [1st Dept 2012]). On March 20, 2012, the same panel, with the same Justice dissenting, affirmed Supreme Court’s order and judgment dismissing the complaint (93 AD3d 510 [1st Dept 2012]). The Appellate Division concluded “that the trial court correctly found that the Advantage rent subsidy program for the homeless was simply a social services program, and that [the City] did not intend to be bound contractually” (*id.* at 511).

The court cited our decision in *Brown Bros.* as setting out the proper framework for resolving the factual question of contractual intent, whereas “plaintiffs and the dissent place[d] undue emphasis on the trappings of contract language such as ‘guarantee’ or ‘will pay,’ construing them as legal promises

McNeill v New York City Hous. Auth., 719 F Supp 233, 238-240 [SD NY 1989] [discussing the Section 8 program]).

rather than mere assurances” (*id.*). The Appellate Division, like Supreme Court, found that the word “guarantee” was intended “to allay fears that rents would not be paid in the absence of public assistance, as had often happened under previous subsidy programs”; and that “the signing procedure . . . was meant to accomplish no more than ensure that participants were aware of the terms of the [Advantage] program” (*id.*). “Even if the tenant participants and the landlords intended to be contractually bound,” the court continued,

“there [was] no enforceable contract in either instance because [the City] profess[es] to have understood the documents differently with respect to their basic material nature [and thus] there was no meeting of the minds.

“Ultimately, as [Supreme Court] properly found at the nonjury trial, all of the surrounding circumstances lead to the ineluctable conclusion that the Advantage program was a social service program no different from any other, and not a contractual obligation undertaken by government” (*id.* at 512 [citation omitted]).

Although the Appellate Division did not need to reach the issue of whether there was “consideration for plaintiffs’ becoming participants in the Advantage program,” the court nonetheless observed that “a promise to perform an existing obligation is not valid consideration”; and here, “[p]ursuant to 18 NYCRR 352.35, plaintiffs were obligated to cooperate and accept the housing offered by the Advantage program” (*id.*). As a result, plaintiffs’ “claim of providing consideration by suffering the detriment of leaving shelters and of leasing apartments that cost more than they could afford” was without merit (*id.*).

The dissenting Justice concluded that the City implemented the Advantage program through enforceable contracts by “agree[ing] to pay plaintiffs’ rent in return for [their] leaving the shelter system [and agreeing] to pay rent so the landlords would provide housing for the . . . program”; and that “[t]hese bargained for exchanges support[ed] the existence of a contract, primarily between the participants and the City, but also between the landlords and the City” (*id.* at 513). She disagreed with Supreme Court’s finding that mutual assent and consideration were lacking.

Addressing plaintiffs first, the dissenting Justice stated that, in her view, “there [was] a contract between the City and the

Advantage participants by virtue of the Certification Letter, the Participant Statements and the riders to the leases through which the City agreed to pay plaintiffs' rent for two years" (*id.* at 515). She construed the certification letter as an offer, which Advantage participants accepted by signing the participant statement and lease rider; she found it "clear [that] plaintiffs provided consideration to support the contract" by moving out of shelters and saving the City money which would otherwise have been spent on the shelter system (*id.* at 516).

Additionally, the dissenting Justice concluded that the City had contracted with landlords. Based on her review of the program documents, she opined that "[a] clearer indication of assent to guarantee rent payment would be hard to imagine" as a consequence of the City's use of the word "guarantee" and such phrases as "will pay" and "shall pay" in program documents, which thereby "demonstrate[d] an intent to bind oneself contractually" (*id.* at 517-518). In her view, "[t]he trial court was also incorrect in finding that the landlords did not manifest assent" because the commitments they made in the lease riders in exchange for guaranteed rental payments evinced an intent to be contractually bound (*id.* at 518-519).

On March 29, 2012, plaintiffs sought, by order to show cause, permission to appeal, an expedited appeal with a time preference and interim relief; on March 30, 2012, a Judge of this Court signed the order to the extent of bringing on the motion for permission and preference. On May 8, 2012, we granted plaintiffs leave to appeal and denied their request for interim relief (19 NY3d 849 [2012]). We now affirm.

II.

Brown Bros. presents the template for deciding a case, such as this one, where the issue is "whether the course of conduct and communications between [the parties have] created a legally enforceable agreement" (*Brown Bros.*, 41 NY2d at 398). There, in January 1967, the owner and builder of a shopping plaza entered into a written contract with a general contractor to construct a section of the plaza. The general contractor, in turn, subcontracted with Brown for the electrical work. Starting as early as March, the general contractor, although more than current in the receipt of moneys from the owner/builder, was running behind in its payments to Brown. As a result, Brown threatened in writing to claim a breach of contract unless the payments were brought up to date. Then in July, the general contractor abandoned the job.

Between March and July, Brown and the owner/builder had discussed ways and means to secure payment for Brown. And with the owner/builder's knowledge, consent and cooperation, Brown continued to perform electrical work on the project after the general contractor departed. Brown finished this work by the end of August, and sent the owner/builder an invoice for the amount still due. The owner/builder wrote back in September that it would send its check for "payment of the balance" upon receipt of underwriters' inspection certificates from Brown. When Brown sent the certificates, though, the owner/builder did not make any payment, prompting Brown to sue. In the ensuing litigation, the owner/builder argued that it had not entered into a contract directly with Brown, and that Brown had done no more, in completing the electrical work, than fulfill its obligation to the general contractor.

The trial court, sitting without a jury, handed down a decision in favor of Brown. The Appellate Division affirmed, finding that the record developed at trial established the existence of a contract between Brown and the owner/builder and that, in accordance with that contract, the latter was obligated to pay the former the balance due for electrical work performed up to the time of completion. We affirmed, stating that "[o]ur own examination of the proof reveals that the course of conduct between [the owner/builder] and Brown, including their writings, especially taken against the continuum of events from March through September, was sufficient to spell out a binding contract between Brown and [the owner/builder] independent from the one that had pre-existed between Brown and [the general contractor]" (41 NY2d at 399). We then set out the principles governing our analysis leading to this result.

First, we explained, "the existence of a binding contract [was] not dependent on the subjective intent of either" Brown or the owner/builder because

"[i]n determining whether the parties entered into a contractual agreement and what were its terms, it is necessary to look, rather, to the objective manifestations of the intent of the parties as gathered by their expressed words and deeds. In doing so, disproportionate emphasis is not to be put on any single act, phrase or other expression, but, instead, on the totality of all of these, given the attendant circumstances, the situation of the parties, and the

objectives they were striving to attain” (*id.* at 399-400 [citations omitted]).

We added that the “aim” of this exercise was “a practical interpretation of the expressions of the parties to the end that there be a realization of [their] reasonable expectations” (*id.* at 400 [internal quotation marks omitted]).

Next, we pointed out that “while it is the responsibility of the court to interpret written instruments, *where a finding of whether an intent to contract is dependent as well on other evidence from which differing inferences may be drawn, a question of fact arises*” (*id.* [internal quotation marks and citations omitted] [emphasis added]). Because each of the lower courts found as a fact that Brown and the owner/builder “intended to contract,” our review was confined to an “examin[ation of] the nature of the proof to determine whether [the lower courts] were warranted” in finding this fact (*id.*).

We then detailed the course of conduct and communications between Brown and the owner/builder between March and September 1967, as proved at trial, concluding that “[t]his step-by-step continuum of events and permissible inferences, viewed in totality, brought the determination of whether there was an intent to contract within the realm of fact finding”; that the Appellate Division had found that there was a contract between Brown and the owner/builder under “the terms of which Brown would be bound to continue to perform the electrical installations which remained undone and [the owner/builder] would be bound to pay Brown all sums still unpaid when the work was completed”; and that we “[could not] say that there was insufficient evidence to support that finding” (*id.* at 401-402).

On this appeal, plaintiffs argue that the lower courts misapplied the *Brown Bros.* standard for mutual assent and abused their discretion in reaching a conclusion that was not supported by the record, which they claim establishes enforceable contracts between the City and the landlords, to which they are third-party beneficiaries. In particular, plaintiffs portray the lower courts as improperly focused on the City’s subjective intent. As proof of this proposition, they lean heavily on two isolated phrases in the Appellate Division’s decision: “that [the City] did not intend to be bound contractually” (93 AD3d at 511), and “understood the [program] documents differently with respect to their basic material nature” (*id.* at 512).

But we made clear in *Brown Bros.* that the key question of fact for the factfinder to decide in a case such as this is whether

the parties to the putative contract exhibited “an intent to contract.” This is no different from asking whether they “intend[ed] to be bound contractually,” as the Appellate Division put it, or—in expressions of Supreme Court also criticized by plaintiffs—whether the City “manifest[ed] an intent to be contractually bound to provide the benefits associated with the Advantage program” or “manifest[ed] an intent to create a contractual obligation.” Further, the other supposedly improper phrase in the Appellate Division’s decision, when read in context, simply makes the unexceptional point that mutuality of intent is necessary for a valid contract.⁸

Contrary to plaintiffs’ assertions, Supreme Court painstakingly applied the *Brown Bros.* standard, as our detailed discussion of the judge’s opinion demonstrates: she “look[ed] . . . to the objective manifestations of the intent of the parties”—in particular, the City—by reviewing “expressed words and deeds”; and “[i]n doing so,” the judge did not place “disproportionate emphasis . . . on any single act, phrase or other expression, but, instead, [considered] the totality of all of these, given the attendant circumstances, the situation of the parties, and the objectives they were striving to attain” (*Brown Bros.*, 41 NY2d at 399-400).

For example, plaintiffs fault Supreme Court for affording insufficient weight to the word “guarantee” in the certification letter sent to a prospective Advantage tenant, which they construe as an offer to a landlord to contract. But consistent with *Brown Bros.*, Supreme Court did not look at the word “guarantee” or the certification letter in which it appeared in isolation. Rather, the judge looked at the word as it appeared in the document’s subject line—i.e., followed by the parenthetical “(*Guaranteed Rent Not Tied to [PA]*)” (emphasis added)—and in light of “the attendant circumstances, the situation of the parties, and the objectives they were striving to attain.” In this regard, several witnesses, representing both landlords and the City, testified that the defining characteristic of the Advantage

8. The complete sentence reads as follows:

“Even if the tenant participants and the landlords intended to be contractually bound, there is no enforceable contract in either instance because [the City] profess[es] to have understood the documents differently with respect to their basic nature, i.e., that the City was undertaking a governmental social services obligation that was within its discretion to terminate rather than a contractual obligation; there was no meeting of the minds” (93 AD3d at 512).

program was that subsidy payments would not be tied to a tenant's PA eligibility; there was testimony that the program was designed in this way so as to avoid some of the problems that had hampered the effectiveness of HSP, a predecessor program with the same goal of moving homeless families and single adults from temporary shelter to permanent housing. In light of the totality of the evidence, Supreme Court found, as a matter of fact, that the City had not, when it used the word "guarantee" in the certification letter or promotional materials, intended to make a contractual guarantee of payment to landlords under the Advantage program (*see supra* at 566). The Appellate Division agreed.

As *Brown Bros.* also teaches, our review in this case, where Supreme Court's factual findings have been affirmed by the Appellate Division, is limited to whether there is sufficient evidence in the record to support Supreme Court's determinations; in particular, the finding that the City did not intend to enter into enforceable contracts with plaintiffs or their landlords under the Advantage program. While plaintiffs urge otherwise, there is more than sufficient evidence in the record to support Supreme Court's findings of fact.

The dissenters warn that "[a]fter today, even the clearest of contract terms on which public and private entities routinely rely to efficiently coordinate their transactions apparently will grant no assurance that the law will recognize an agreement and provide a remedy for its breach" (dissenting op at 582). We suggest, however, that the "clearest of contract terms" are generally to be found in a written agreement executed by contracting parties, which "when unambiguous on its face must be enforced according to the plain meaning" (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Here, no document whatsoever was executed by the City and any landlord respecting the Advantage program. By contrast, as part of a Section 8 housing program, a city agency and a landlord execute a document specifically captioned "Housing Assistance Payments Contract (HAP Contract)," by which the City is, in fact, contractually obligated to pay rent subsidies to the landlord on behalf of the specific tenant household identified in the agreement (*see supra* at 568 n 7).

Additionally, the dissenters lament the "human consequences" of our decision (dissenting op at 582). But we are not well-positioned to predict what "human consequences" may result from termination of the Advantage program. The City

represented at oral argument that it is committed to helping tenants deal with the loss of the Advantage subsidy and that, to date, very few have returned to shelters. For their part, the dissenters simply disregard that knowledgeable city officials—charged with equitable distribution of services for *all* vulnerable New York City residents, not just these plaintiffs—made a considered judgment in 2011 that the roughly \$160 million required to continue the Advantage program was better spent in other ways.⁹

This judgment was obviously reluctantly reached by city officials, who developed and championed the Advantage program in the first place, but the loss of two thirds of the funding forced a policy choice. The courts are not empowered to second-guess the City by conjuring up a “contract” from bits and pieces of documents meant to explain and condition participation in what was a voluntary government program. Indeed, doing so can only discourage governmental bodies from enacting voluntary programs to help the needy; they will fear being compelled by judges to continue such programs even if sources of funding are reduced or withdrawn. However much our sympathies may lie with plaintiffs, the fact remains that the courts below found, with record support, that the City made no contractual commitment to continue the Advantage program through expiration of plaintiffs’ leases.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

CIPARICK, J. (dissenting). In the City of New York, the number of people currently in need of shelter, that most basic of human necessities, is staggering: on a recent night in June, 42,007 individuals were in the city shelter system; 17,301 of them were

9. In a letter submitted to us in connection with plaintiffs’ motion for leave to appeal, Corporation Counsel stated that

“[w]hen plaintiffs appealed the order denying their motion for a preliminary injunction, a short-lived trial-court stay and ensuing Appellate Division preliminary injunction required the City to continue making rent payments through January 2012. As a result, the City was forced to expend approximately \$115 million of the \$160 million it expected not to have to use to continue Advantage subsidies. The City’s savings diminish dramatically over time since tenant leases expire every month, and all will be expired by March 2013.”

According to plaintiffs’ counsel, roughly 8,000 households remained in the Advantage program as of February 1, 2012.

children (*see* <http://www.nyc.gov/html/dhs/downloads/pdf/dailyreport.pdf> [accessed June 14, 2012]). In 2007, the City, through its agencies and codefendants the Department of Homeless Services (DHS) and Human Resources Administration (HRA), created Advantage New York, a program designed to move homeless individuals and families out of shelters and into permanent housing by providing rental subsidies to enable them to lease apartments from private landlords. Because I believe that the City, as a matter of law, formed a contract with participating landlords to continue paying rental subsidies on behalf of current Advantage tenants like plaintiffs—an agreement that plaintiffs rightly seek to enforce as third-party beneficiaries—I respectfully dissent.

It is axiomatic that “[t]o create a binding contract, there must be a manifestation of mutual assent sufficiently definite to assure that the parties are truly in agreement with respect to all material terms” (*Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584, 589 [1999]). “Generally, [we] look to the basic elements of the offer and the acceptance to determine whether there is an objective meeting of the minds sufficient to give rise to a binding and enforceable contract” (*id.*).

“In determining whether the parties entered into a contractual agreement and what were its terms, it is necessary to look . . . to the objective manifestations of the intent of the parties as gathered by their expressed words and deeds” (*Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397, 399 [1977]; *see also Mencher v Weiss*, 306 NY 1, 7 [1953] [“It is well-established contract law that in determining whether the parties possessed the necessary intention to contract, an objective test is generally to be applied”] [internal quotation marks, brackets and citation omitted]). One party’s subjective or actual intent not to be legally bound is of no moment (*see* Lord, Williston on Contracts § 4:1 [“(I)t was long ago settled that secret, subjective intent is immaterial”]), unless “*the other knows or has reason to know of that intention*” (Restatement [Second] of Contracts § 21, Comment *a*, Illustration 2 [emphasis added]). Thus, as Judge Learned Hand stated, even “[i]f . . . it were proved by twenty bishops that either party, when he used the words, intended something else than the *usual meaning which the law imposes upon them*, he would still be held, unless there were some mutual mistake, or something else of the sort” (*Hotchkiss v National City Bank of N.Y.*, 200 F 287, 293 [SD NY 1911] [emphasis added]).

It follows that, here, while “disproportionate emphasis is not to be put on any single act, phrase or other expression” (*Brown Bros.*, 41 NY2d at 399-400), we must ascertain the City’s manifested intent, in the first instance, “from the language [it] used” (*Lally v Cronen*, 247 NY 58, 63 [1928]) in the documents that implemented the Advantage program. “[T]he aim is a practical interpretation of the expressions of the parties to the end that there be a realization of their reasonable expectations” (*Brown Bros.*, 41 NY2d at 400 [internal quotation marks and brackets omitted]). To that end, we apply the well-settled principle that “an interpretation which gives a reasonable, lawful, and effective meaning to all the terms is preferred to an interpretation which leaves a part . . . of no effect” (Restatement [Second] of Contracts § 203 [a]).

Relying on *Brown Bros.* and proceeding on the premise that the “issue is whether the course of conduct and communications between the parties have created a legally enforceable agreement” (majority op at 571 [internal quotation marks and brackets omitted]), the majority erroneously determines that Supreme Court’s affirmed finding (that the City did not manifest its assent to contract with Advantage landlords) is one of fact, such that our review is limited to whether record evidence supports that determination (see majority op at 573, 573-574). But “where a question of intention is determinable by written agreements, the question is one of law, appropriately decided by an appellate court” (*Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285, 291 [1973] [emphasis added]). Here, there is no need to look to the parties’ course of conduct or any “continuum of events and permissible inferences” (*Brown Bros.*, 41 NY2d at 401) because we can determine the question of the City’s intent—and, more importantly, what a reasonable person in the position of the landlords would reasonably have understood the City’s intent to be—from the language of the Advantage program documents alone.¹ Thus, our inquiry is one of law, guided by the familiar principles discussed above.

1. In *Brown*, by contrast, there was no writing or set of writings embodying a complete agreement; rather, an invoice sent by Brown, a subcontractor, to the defendant owner and the owner’s response that it would “pay . . . the balance” evinced that the parties may have come to a prior, unmemorialized agreement (see 41 NY2d at 399). Only upon thoroughly examining the surrounding circumstances and the parties’ communications, however, was it apparent that the owner and subcontractor, out of mutual self-interest, had arrived at an agreement for the latter to complete the electrical work it was

(n. cont’d)

Taken together, the Advantage program documents unambiguously memorialize a bargained-for exchange between the City and the Advantage landlords to which the parties mutually assented. In the Certification Letter, which was drafted on DHS and HRA letterhead,² signed by a city representative and shown to the landlords to induce them into renting apartments to plaintiffs in lieu of other potential tenants, the City “*guarantee[d] that the subsidy portion of the rent will be paid directly to [the] landlord for one year*”³ (emphasis added). Having accepted the City’s offer in accordance with its terms,⁴ a landlord signed a Landlord Statement of Understanding, printed on DHS letterhead, that indicated his or her understanding that “the [City] *will pay directly to me, the Landlord, monthly rent . . . for a period of one year*” and that an Advantage tenant “is automatically entitled to a self-executing renewal of the Lease for a second year” (emphasis added). In exchange, the landlord made significant “commitments,” including to refrain from charging an Advantage tenant any amount beyond the agreed upon rent, to offer the apartment at the same level of rent for a second year, to supply heat and hot water and to allow the City to place another Advantage tenant in the apartment in the event the original tenant moved or was evicted.⁵ Lastly, an Advantage tenant and participating landlord signed a lease rider, providing that the tenant “agree[d] [to] authorize[]” the City to pay “rental assistance directly to the Landlord” and that the City

hired to perform by the general contractor, despite the general’s default (*see id.* at 400-401).

2. Under New York law, official letterhead of a city agency such as DHS and HRA constitutes the signature of that agency, and, by extension, the City (*see* General Construction Law § 46). However, the absence of a signature would still not be fatal to an agreement possessing the requisite elements of a contract in light of the “common-law rule that written documents can be enforced even if they are not signed” (*Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363, 369 [2005]).

3. The Certification Letter also indicated the total rent allowable under the program, the amount of rent the City would subsidize, the amount of rent for which the tenant was responsible, the initial prerequisites for the program and when the certification would expire.

4. The Certification Letter contained a section entitled “Information for Brokers and/or Landlords,” instructing landlords to contact DHS at a provided phone number and stipulating that “[a]ll apartments must pass a Housing Quality Standard inspection before being leased.”

5. The Participant Statement, also printed on DHS letterhead and signed by the tenant and a city representative, provided that “[u]nder the Advantage Program, [the City] will pay a portion of [the tenant’s] monthly rent . . . directly to [his or her] Landlord.”

“shall pay” those subsidies. None of the statements contained in those documents were conditioned on the City’s receipt of state or federal aid, or on the City’s ability to fund the subsidies.

Terms and phrases such as “guarantee,” “shall” and “will pay” are not merely “trappings of contract language” or “mere assurances,” as the Appellate Division majority declared (*Zheng v City of New York*, 93 AD3d 510, 511 [1st Dept 2012]). Rather, “the usual meaning which the law [and common usage] impose[] upon” these words (*Hotchkiss*, 200 F at 293) is one of binding obligation, not election (see Black’s Law Dictionary 772 [9th ed 2009] [defining “guarantee” as “(t)he assurance that a contract or legal act will be duly carried out”]; see also *Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531, 536 [1992]; *Matter of Jewett v Luau-Nyack Corp.*, 31 NY2d 298, 304 [1972] [construing “shall” as mandatory, rather than permissive]). Thus, a reasonable person in the position of the Advantage landlords would justifiably understand that the City was, by virtue of that mandatory language, promising to pay rental subsidies on plaintiffs’ behalf for the term of plaintiffs’ leases. Indeed, it would have been patently *unreasonable* for landlords to read such language in the anomalous manner of the courts below, which, in essence, found that “guaranteed” meant “not guaranteed,” “shall” meant “may,” and “will pay” meant “may pay.” That strained interpretation renders the City’s own choice of words of no effect, an outcome the law instructs us to avoid (see *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475, 483 [1989] [“the conclusion that a party’s promise should be ignored as meaningless is at best a last resort”] [internal quotation marks omitted]; see also Restatement [Second] of Contracts § 203 [a]).

Both Supreme Court and the Appellate Division majority determined that, in using the mandatory language discussed above, the City meant to distinguish the Advantage program from its predecessor program, Housing Stability Plus (HSP), which tied the receipt of rental subsidies to the tenant’s public assistance (PA) status and, to the ire of landlords, resulted in frequent subsidy disruptions. The courts found that in “guarantee[ing]” subsidy payments regardless of changes in a tenant’s PA status, the City intended not to bind itself contractually, but to allay landlords’ concerns that rent would go unpaid (see *Zheng*, 93 AD3d at 511). But accepting this manufactured definition of “guarantee” is problematic for two reasons. First, it mistakenly relies almost entirely on the City’s subjective

understanding of the language it used, as opposed to what a reasonable person in the landlords' position would understand the language to have meant. In neither decision below was that vital analysis undertaken with regard to any of the program documents.⁶ Secondly, even if one in that position would have understood the City's mandatory language as conveying a distinction from HSP—due to the parenthetical appearing in the Certification Letter's subject line, "(Guaranteed Rent Not Tied to [PA])"—it would only serve to enhance one's belief that the City's commitment to consistent subsidy payments was binding. After all, that changes in PA status would not disrupt payment of a rental subsidy would be a promise of scant value if, in actuality, the City was under no continuing obligation to pay the subsidy at all and could terminate it at will.

The majority's statement that "no document whatsoever was executed by the City and any landlord respecting the Advantage program" (majority op at 575) effectively cuts the Landlord Statement of Understanding—drafted on city letterhead, signed by landlords and embodying the parties' mutual promises regarding the Advantage program—right out of the record. That this and other Advantage program documents were not "specifically captioned" as a contract, like documents used pursuant to the Section 8 housing assistance program (*see id.*), is not determinative of whether they created a contract as a matter of law (*see generally Winston v Mediafare Entertainment Corp.*, 777 F2d 78, 80 [2d Cir 1986]; *see also* 1 Williston on Contracts § 1:3 ["A binding agreement sufficient to establish a contract requires no precise formality"]).

Although I strongly maintain that the question before us is one of law, even if it were, as the majority holds, one of fact (*see* majority op at 573), the record evidence purportedly supporting the conclusion that the City did not manifest its assent to a contract with the landlords is inapposite. The City's unwillingness, for example, to become a party to the underlying leases between the Advantage tenants and landlords has nothing to do

6. The majority incorrectly states that the analysis we find lacking in the decisions below concerned the landlords' intent (majority op at 567 n 5). Rather, as we have explained, what is at issue is the City's objectively manifested intent, which should be gleaned from looking to what a reasonable person in the position of the landlords, as promisees, would have understood from the City's writings (*see* 1 Lord, Williston on Contracts § 1:2 [4th ed] ["(W)hether a manifestation of intention by the promisor will have operative effect as a promise depends upon how the promisee understands the manifestation. That manifestation, however, is judged by an objective standard"]).

with whether the City entered into a separate and distinct agreement with Advantage landlords to subsidize the rent obligations created by the leases. Quite simply, the City's emphasis on its status as a nonparty to any Advantage lease is entirely misplaced; that one is not bound by contract A has no bearing on whether one assented to be bound by contract B.

Much has been made of the fact that “the Advantage rent subsidy program for the homeless was simply a social services program” (*Zheng*, 93 AD3d at 511), as though the term “social services program” were anathema to the law of contracts; it is not. Nor is it a shield that, when invoked, permits the City to renege on the very promises it used to induce private parties—here, the landlords, who received no program benefits—to enter into separate agreements, causing them to forgo profitable alternatives for the use of their property. The result of the majority's decision is cause for concern. After today, even the clearest of contract terms on which public and private entities routinely rely to efficiently coordinate their transactions apparently will grant no assurance that the law will recognize an agreement and provide a remedy for its breach.

The human consequences of today's decision are even more compelling. As Justice Moskowitz opined in her dissent:

“Now, because the City breached its contractual obligations, the landlords face the expense of eviction proceedings in court and nonreceipt of rent. Plaintiffs are now potentially liable for the balance of leases they cannot afford. They are also in an untenable situation whereby they face eviction and homelessness. Many Advantage participants are victims of domestic violence. They will not be eligible to return to the relative safety of the domestic violence shelter system unless they suffer new incidents of domestic violence” (*id.* at 519).

Accordingly, I would reverse the order of the Appellate Division and grant the relief sought, a declaration that the City entered into binding contracts with its Advantage landlords and that plaintiffs are entitled to specific performance of those contracts.

7. We now know from the City's post-argument submission that, in fact, 252 families within the class are victims of domestic violence (*see* letter of defendant, June 4, 2012 ¶ 2).

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ;
Judge CIPARICK dissents and votes to reverse in a separate
opinion in which Chief Judge LIPPMAN and Judge JONES concur.
Order affirmed, without costs.

[973 NE2d 735, 950 NYS2d 325]

ODDO ASSET MANAGEMENT, Appellant, v BARCLAYS BANK PLC et al., Respondents, et al., Defendants.

Argued May 30, 2012; decided June 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 36 Misc 3d 1205[A], 2010 NY Slip Op 52449[U] [2010]), which had dismissed the complaint.

Oddo Asset Mgt. v Barlays Bank PLC, 84 AD3d 692, affirmed.

HEADNOTES

Torts — Breach of Fiduciary Duty — Holder of Mezzanine Notes and Collateral Manager of Structured Investment Vehicle

1. Plaintiff asset management company, the holder of mezzanine notes issued by two SIV-Lites, structured investment vehicles that ultimately collapsed, failed to allege facts in its complaint giving rise to a fiduciary duty owed to it by the collateral managers of the SIV-Lites. Accordingly, defendants, the corporation that created the SIV-Lites and the corporation that owned Standard & Poor's, which had evaluated the risk of default for the issued notes, could not be liable for aiding and abetting a breach of that fiduciary duty. There is generally no fiduciary obligation in a contractual arm's length relationship between a debtor and a note-holding creditor. A debtor and creditor have no special relationship of confidence and trust, and the relationship is generally controlled by contract. The mezzanine notes plaintiff held were a form of debt, and although they did have some equity-like features in that noteholders could vote to remove the collateral managers, there was no factual basis to elevate plaintiff's rights to those of a shareholder. Plaintiff did not own shares or a fractional interest in the two SIV-Lites; it was essentially a lender entitled to receive a fixed rate of return and have its principal returned upon maturity. Moreover, plaintiff had no contractual relationship with the collateral managers and no direct dealings with them. While the collateral managers may have owed fiduciary and contractual duties to the SIV-Lites, there was no factual basis to create fiduciary duties running from the managers to the mezzanine noteholders.

Torts — Interference with Contractual Relations — Holder of Mezzanine Notes and Creator of Structured Investment Vehicle

2. Plaintiff asset management company, the holder of mezzanine notes issued by two SIV-Lites, structured investment vehicles created by defendant corporation that ultimately collapsed, failed to state a cognizable claim against

defendant for tortious interference with contract. In order to make a claim for tortious interference, plaintiff was required to plead the existence of a valid contract between plaintiff and the SIV-Lites, defendant's knowledge of that contract, and defendant's intentional procurement of the SIV-Lites' breach of the contract without justification, actual breach of the contract, and plaintiff's damages resulting from the breach. However, the SIV-Lites never breached their contractual obligations to plaintiff when expanding the size of their investment portfolios and acquiring additional securities. The required note-holder consents for expansion were properly obtained as were confirmations from Standard & Poor's of the ratings for the commercial paper and mezzanine notes prior to the acquisition of the warehoused securities. The warehousing provision in the contracts provided that the SIV-Lites would pay the defendant's purchase price for the securities, despite any fluctuations in the market price. The risk of a shift in the market price of the warehoused securities was included in the information memoranda and known to plaintiff at the time it purchased the mezzanine notes. Moreover, plaintiff's claim for inducing breach of an implied covenant of good faith and fair dealing also failed. The bad faith and unfair dealing alleged in the complaint was not that of the SIV-Lites, who were themselves victims of the alleged scheme, but of defendant and its managers, with which plaintiff had no contract.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Interference §§ 4, 5, 39, 56, 57; AM JUR 2d, Investment Companies and Advisers §§ 6, 12, 14, 19.

NY JUR 2d, Agency and Independent Contractors § 218; NY JUR 2d, Interference §§ 23, 25; NY JUR 2d, Investment Securities § 279.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 129.

ANNOTATION REFERENCE

See ALR Index under Fiduciaries and Personal Representatives; Investments.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: breach /5 fiduciary /2 duty /p collateral /2 manager

POINTS OF COUNSEL

Grant & Eisenhofer P.A., New York City (*Geoffrey C. Jarvis, Jay W. Eisenhofer, Deborah A. Elman and David M. Haendler* of counsel), for appellant. I. The Appellate Division erred in finding, on a pre-answer motion, that the managers of the SIV-Lites

did not owe a fiduciary duty to Oddo Asset Management. (*Sergeants Benevolent Assn. Annuity Fund v Renck*, 19 AD3d 107; *Wiener v Lazard Freres & Co.*, 241 AD2d 114; *Bank of Am. Corp. v Lemgruber*, 385 F Supp 2d 200; *Mandelblatt v Devon Stores*, 132 AD2d 162; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Anonymous v CVS Corp.*, 188 Misc 2d 616; *Bestolife Corp. v American Amicable Life*, 5 AD3d 211; *Frydman & Co. v Credit Suisse First Boston Corp.*, 272 AD2d 236; *Bernstein v Kelso & Co.*, 231 AD2d 314; *Bullmore v Ernst & Young Cayman Is.*, 45 AD3d 461.) II. The Appellate Division's conclusion that no contract was breached is legally and factually flawed. (*State St. Bank & Trust Co. v Inversiones Errazuriz Limitada*, 374 F3d 158; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Richbell Info. Servs. v Jupiter Partners*, 309 AD2d 288; *Sorenson v Bridge Capital Corp.*, 52 AD3d 265, 12 NY3d 748; *Pernet v Peabody Eng'g Corp.*, 20 AD2d 781; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Lama Holding Co. v Smith Barney*, 88 NY2d 413; *Marks v Smith*, 65 AD3d 911; *Frydman & Co. v Credit Suisse First Boston Corp.*, 272 AD2d 236.)

Linklaters LLP, New York City (*Lance Croffoot-Suede*, *Sterling P.A. Darling, Jr.*, and *Katherine R. Ryan* of counsel), for Barclays Bank PLC and another, respondents. I. Oddo Asset Management's failure to plead breaches of its contracts with Golden Key Ltd. and Mainsail II Ltd. precludes its claims for tortious interference with contract. (*Lama Holding Co. v Smith Barney*, 88 NY2d 413; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Jack L. Inselman & Co. v FNB Fin. Co.*, 41 NY2d 1078; *Rosen Assoc. Mgt. Corp. v Bruckner Plaza Assoc.*, 294 AD2d 556; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Amcan Holdings, Inc. v Canadian Imperial Bank of Commerce*, 70 AD3d 423; *Pernet v Peabody Eng'g Corp.*, 20 AD2d 781; *Pramer S.C.A. v Abaplus Intl. Corp.*, 76 AD3d 89; *Accurate Copy Serv. of Am., Inc. v Fisk Bldg. Assoc. L.L.C.*, 72 AD3d 456; *Murphy v American Home Prods. Corp.*, 58 NY2d 293.) II. The Commercial Division's use of the term "sophisticated" and its description of Oddo Asset Management as a creditor is not error. (*Wachovia Sec., LLC v Joseph*, 56 AD3d 269; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 76 AD3d 310, 17 NY3d 269; *Arfa v Zamir*, 76 AD3d 56, 17 NY3d 737; *RNK Capital LLC v Natsource LLC*, 76 AD3d 840; *Ark Bryant Park Corp. v Bryant Park Restoration Corp.*, 285 AD2d 143.)

Cahill Gordon & Reindel LLP, New York City (Dean Ringel, Floyd Abrams and Victor Suthammanont of counsel), for McGraw-Hill Companies, Inc., respondent. I. The Appellate Division correctly determined that plaintiff failed to state a cause of action for aiding and abetting a breach of a fiduciary duty. (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *Meinhard v Salmon*, 249 NY 458; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553; *Marmelstein v Kehillat New Hempstead: The Rav Aron Jofen Community Synagogue*, 45 AD3d 33; *United States v Chestman*, 947 F2d 551; *Dobroski v Bank of Am., N.A.*, 65 AD3d 882; *AJW Partners LLC v Itronics Inc.*, 68 AD3d 567; *WIT Holding Corp. v Klein*, 282 AD2d 527; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *SNS Bank v Citibank*, 7 AD3d 352.) II. Plaintiff failed to allege McGraw-Hill's knowing participation or substantial assistance in any breach of fiduciary duty or that McGraw-Hill's acts proximately caused plaintiff's damages. (*Kaufman v Cohen*, 307 AD2d 113; *Bullmore v Ernst & Young Cayman Is.*, 45 AD3d 461; *Roni LLC v Arfa*, 15 NY3d 826; *Global Mins. & Metals Corp. v Holme*, 35 AD3d 93; *Mazzaro de Abreu v Bank of Am. Corp.*, 525 F Supp 2d 381; *Harlow v Fitzgerald*, 457 US 800; *Gall v Summit, Rovins & Feldesman*, 222 AD2d 225.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Following the collapse of two investment vehicles, known as SIV-Lites, Oddo Asset Management (Oddo) commenced this action against Barclays Bank PLC, Barclays Capital Inc. (collectively, Barclays), and the McGraw-Hill Companies, Inc. (parent company of Standard & Poor's) claiming aiding and abetting breach of fiduciary duty and tortious interference with contract. For the reasons that follow, we conclude that the collateral managers appointed to oversee the assets of the SIV-Lites did not owe a fiduciary duty to plaintiff, and plaintiff failed to state a cognizable claim for tortious interference with contract. We therefore affirm the Appellate Division order upholding the dismissal of the complaint.

I.

Plaintiff Oddo Asset Management, a leading French asset management company with over 350 institutional clients and

investments of €16.6 billion,¹ purchased \$30 million in Golden Key Ltd. (Golden Key) AAA-rated and AA-rated mezzanine notes from Barclays in 2005 and 2006 and \$20 million in AAA-rated mezzanine notes in Mainsail II (Mainsail) from Barclays in July 2006. Golden Key and Mainsail were SIV-Lites, a type of structured investment vehicle that borrowed money and raised equity to purchase asset-backed securities. The SIV-Lites borrowed money by issuing commercial paper, mezzanine notes, and capital notes. Commercial paper (essentially short-term promissory notes) comprised about 90% of the funding for Golden Key and Mainsail and was senior in terms of priority of distributions. Commercial paper holders were paid a fixed rate of return and their entire principal was to be repaid upon maturity, in 90 days. When the commercial paper notes matured, the SIV-Lites were required to raise fresh funds in a process known as “rolling over” their commercial paper. The mezzanine notes had a four- or five-year term of maturity and also paid a set rate of return, and the principal was to be returned upon maturity. The capital notes had a later maturity date than the mezzanine notes and would be the first to absorb losses related to declines in the SIV-Lites’ asset value. The SIV-Lite business model was to generate a higher rate of return from its asset-backed securities, which were comprised primarily of residential mortgage-backed securities (RMBS) and commercial mortgage-backed securities (CMBS), than the interest the SIV-Lite had to pay the holders of the commercial paper, mezzanine notes, and capital notes.² The profits of the SIV-Lites were split between the capital noteholders and the collateral managers.

Defendant Barclays arranged the creation of Golden Key and Mainsail by incorporating the SIV-Lites as limited liability entities in the Cayman Islands. Barclays also determined the size and leverage of the SIV-Lites and prepared the information memoranda describing the SIV-Lites and the notes to be issued.

1. Oddo’s asset portfolio was €16.6 billion as of the end of 2006.

2. While structured investment vehicles (SIVs) invested in a variety of asset classes such as mortgages, credit cards, auto loans, and subordinated bank debt and had no termination date, SIV-Lites mainly invested in RMBS and had a limited duration. SIV-Lites also had defined reinvestment strategies and reduced funding costs, but were riskier because they had large asset concentrations in a particular class (O’Leary, *The Seductive Qualities of SIVs*, 1 Am Securitization J [No. 2] 22, 24-26 [2007]).

Barclays warehoused asset-backed securities³ for purchase and provided loans in the event of a liquidity shortage.⁴

Barclays also selected the collateral managers of Golden Key and Mainsail. Nonparty Avendis Financial Services Limited (Avendis) and defendant Solent Capital (Jersey) Limited (Solent) were appointed as collateral managers to invest and manage the proceeds raised from the issuance of notes in Golden Key and Mainsail, respectively. The collateral managers were responsible for ensuring that the investment portfolio satisfied “Specific Investment Eligibility Criteria” and maintained a certain credit quality. For instance, instruments acquired by Golden Key were required to have a minimum public rating of at least AA- by Standard & Poor’s (S&P) at the time of acquisition. The collateral managers were also responsible for making trades, reinvesting principal proceeds from maturing assets, and maximizing recovery rates when defaults on the SIV-Lite’s asset pool occurred. In their management agreements, Solent and Avendis agreed to perform their responsibilities with “reasonable care, in good faith and in a manner generally consistent with . . . [the] standard of care and degree of skill . . . exercised by[] institutional managers of international standing.” The collateral managers sent weekly reports to the ratings agencies regarding the status of the investments. Periodic valuation

3. SIV-Lites entered into warehousing transactions because, prior to issuing their notes, they did not have the capital necessary to purchase investments to generate returns used to make interest payments to the noteholders. Golden Key and Mainsail entered into credit agreements with Barclays, and Barclays agreed to purchase specific asset-backed securities and hold them for eventual sale or transfer to Golden Key or Mainsail, once they sold their notes. The warehousing provision of the information memoranda provided,

“the Warehousing Party [Barclays] has agreed to acquire specified Investments for the Issuer [Golden Key and Mainsail] . . . and hold them for purchase by, or transfer to, the Issuer. The Issuer will . . . purchase . . . the Warehousing Investments; *provided*, that the Issuer will not purchase or take delivery of any Warehousing Investment that at the time of purchase or delivery by it is not an Eligible Investment.”

The SIV-Lites agreed to pay Barclays’ purchase price for the warehoused investments.

4. Unlike traditionally supported asset-backed commercial paper conduits, SIVs and SIV-Lites had limited liquidity support. They did not have access to full liquidity support from a highly rated financial institution, and their liquidity was totally dependent on their continued ability to issue new notes and on the market value of their assets (*see Borgman, Prudent Investing? The Credit Crisis of August 2007, Mainsail II SIV-Lite, and the State Cash Investment Pool*, Amfiteatru Econ J, Special No. 3, at 645, 652 [2009]).

reports for the SIV-Lites were sent by the administrator, QSR Management, to the noteholders.

S&P (owned by defendant the McGraw-Hill Companies) evaluated the risk of default for the issued notes and rated Golden Key and Mainsail's "Tier 1" mezzanine notes AAA⁵ and "Tier 2" mezzanine notes AA. A security trustee, the Bank of New York, was also appointed to represent the interests of noteholders and was granted a security interest in all of Golden Key's and Mainsail's assets, securing the mezzanine notes.⁶

According to Oddo, Avendis and Solent conspired with Barclays to transfer to Golden Key and Mainsail impaired sub-prime mortgage-backed securities at inflated prices. In July and August 2007, after obtaining the required noteholder consents⁷ and ratings confirmations from S&P,⁸ Golden Key increased its size by purchasing \$574 million in warehoused sub-prime

5. A rating of AAA denotes high credit quality and is the same rating as those typically assigned to bonds backed by the full faith and credit of the United States Government, such as treasury bills.

6. The terms of Golden Key's information memorandum provided that if the market value of Golden Key's investment portfolio declined below 92% of the value of its total outstanding obligations, a mandatory acceleration event, or wind-down event, would occur. Golden Key's debt obligations would accelerate, and all responsibility for managing investments would be transferred from Avendis to the trustee, the Bank of New York. Golden Key would be placed in a "frozen" state, and a receiver would be appointed to pay creditors in order of seniority from the entity's remaining assets. Mainsail had similar provisions to guard against the structure taking on serious losses. The SIV-Lites had to pass a series of tests (e.g., capital wind-down test, commercial paper coverage test, leverage tests, market value coverage test) each business day in order to avoid a wind-down event. If interest was not paid on the commercial paper and mezzanine notes each month, that would constitute a wind-down event.

The information memoranda also provided that interest payments "will be payable solely from, and to the extent of, the available proceeds" from the asset-backed securities and from the proceeds of additional offered notes. The information memoranda further advised noteholders that they should be aware of the risks involved in investing in leveraged asset-backed securities and that the securities may be subordinate in right of payment to other securities, despite being highly rated by S&P.

7. Oddo never consented to the proposed expansion of Golden Key and even offered to sell its mezzanine notes to Barclays. Barclays agreed to purchase \$7 million in AAA-rated mezzanine notes from Oddo. With consent from a sufficient number of noteholders, the increase in the size of Golden Key was approved.

8. S&P was asked to give its opinion on the creditworthiness of the SIV-Lites in light of the proposed increase in size of the SIV-Lites' assets and liabilities. S&P confirmed the AAA ratings for the mezzanine notes of both Golden Key and Mainsail in April 2007 and July 2007. S&P was not asked to

(n. cont'd)

mortgage-backed securities from Barclays at par, meaning at the price that Barclays paid for them. Upon transfer, Golden Key allegedly suffered an immediate loss of approximately \$123 million, or 21% of the value transferred to Barclays. Likewise, Barclays sold \$400 million in warehoused mortgage-backed securities to Mainsail in April 2007 and an additional \$637 million in securities to Mainsail in July 2007. Mainsail purchased the securities at par, despite the fact that the securities had fallen significantly in value. The SIV-Lites were required to purchase at par according to their warehousing agreements with Barclays (*see* n 3, *supra*). Immediately after acquisition, Mainsail allegedly suffered a loss of \$505 million. Oddo maintains that Barclays offloaded the sub-prime asset-backed securities onto the balance sheets of Golden Key and Mainsail in order to shift losses from Barclays to the SIV-Lites, knowing that the securities would plummet in value. Oddo claims that both Avendis and Solent acquiesced to the expansion because they did not want to jeopardize their relationships with Barclays. The collateral managers sought to be appointed as managers on future Barclays-arranged investment vehicles and were hoping to obtain a larger fee with an expanded investment portfolio, according to Oddo.

About 28 days after S&P had confirmed the AAA ratings of the mezzanine notes of both Golden Key and Mainsail in July 2007, S&P issued a report downgrading the ratings of both SIV-Lites by 17 notches, from AAA to CCC. Oddo alleges that S&P knew that Golden Key and Mainsail's investment portfolios were at serious risk of downgrade, even prior to the acquisition of the warehoused securities from Barclays. Oddo claims that S&P abandoned its professional standards by confirming Golden Key and Mainsail's AAA ratings prior to the expansion of the investment portfolios. S&P allegedly acted as it did because Barclays was an important repeat customer.

Because both Golden Key and Mainsail held assets that were worth significantly less than their liabilities, the SIV-Lites were unable to reborrow in the commercial paper market, which triggered mandatory acceleration events. The vehicles ultimately collapsed, and both Golden Key and Mainsail investors lost nearly all of their investments. Oddo allegedly lost a total of \$43 million (\$50 million minus the \$7 million in notes that Barclays bought back).

perform a credit analysis of the specific investment assets to be acquired by the vehicles.

In July 2008, Oddo commenced this action against Barclays, S&P, and Solent.⁹ Oddo asserts that Solent breached its fiduciary duty to the investors of Mainsail and Avendis breached its fiduciary duty to the investors of Golden Key, and that Barclays and S&P aided and abetted these breaches. Oddo claims Avendis and Solent conspired with Barclays to transfer the mortgage-backed securities to the SIV-Lites even though Barclays knew that the securities were toxic. S&P was allegedly complicit in the collateral managers' breach of fiduciary duty by issuing favorable ratings for the various notes issued by Golden Key and Mainsail, despite knowing that they were at risk of a downgrade. Oddo also claims that Barclays tortiously interfered with Oddo's contract with Golden Key and Mainsail.¹⁰

Defendants moved to dismiss the complaint for lack of personal jurisdiction against Solent and for failure to state a cause of action, arguing that neither Avendis nor Solent owed a fiduciary duty to plaintiff under applicable law. Barclays argued that Oddo failed to state a claim for tortious interference because it did not allege an underlying breach of the mezzanine notes. Supreme Court dismissed the claims against Solent for lack of personal jurisdiction and also dismissed all claims against Barclays and S&P (36 Misc 3d 1205[A], 2010 NY Slip Op 52449[U] [2010]). Plaintiff appealed as to Barclays and S&P, and the Appellate Division affirmed, holding that "[t]he causes of action for aiding and abetting a breach of fiduciary duty fail[ed] to allege that the collateral managers of the [SIV-Lites] had any contact or relationship with plaintiff such as would give rise to an underlying fiduciary duty" (*Oddo Asset Mgt. v Barclays Bank PLC*, 84 AD3d 692, 693 [1st Dept 2011]). The Appellate Division further determined that plaintiff's tortious interference claim failed because Oddo did not allege an actual breach of the underlying contract (*id.*). We granted plaintiff's motion for leave to appeal (17 NY3d 713 [2011]), and now affirm.

II.

In *Roni LLC v Arfa* (18 NY3d 846, 848 [2011]), we held that a "fiduciary relationship arises between two persons when one of them is under a duty to act for or to give advice for the benefit

9. In November 2007, Avendis ceased all operations and went into liquidation.

10. S&P is not a defendant on the tortious interference with contract claim.

of another upon matters within the scope of the relation” ([internal quotation marks omitted], quoting *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). A fiduciary relationship is “necessarily fact-specific” and is also “grounded in a higher level of trust than normally present in the marketplace between those involved in arm’s length business transactions” (*EBC I*, 5 NY3d at 19). While a contractual relationship is not required for a fiduciary relationship, “if [the parties] do not create their own relationship of higher trust, courts should not ordinarily transport them to the higher realm of relationship and fashion the stricter duty for them” (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 162 [1993]; see *EBC I*, 5 NY3d at 20 [same]).

[1] Foremost, there is generally “no fiduciary obligation in a contractual arm’s length relationship between a debtor and a note-holding creditor” (see *AJW Partners LLC v Itronics Inc.*, 68 AD3d 567, 568 [1st Dept 2009]; *SNS Bank v Citibank*, 7 AD3d 352, 354 [1st Dept 2004]). A debtor and creditor have no special relationship of confidence and trust (see *Dobroshi v Bank of Am., N.A.*, 65 AD3d 882, 884 [1st Dept 2009], *lv dismissed* 14 NY3d 785 [2010]), and the relationship is generally controlled by contract. Oddo admits in the complaint that the mezzanine notes it held were a “form of debt.” While the mezzanine notes did have some equity-like features in that noteholders could vote to remove the collateral managers, there is no factual basis to elevate Oddo’s rights to those of a shareholder. Shareholders of corporations hold the rights to have their assets managed honestly and prudently for the shareholders’ benefit. However, Oddo did not own shares or a fractional interest in the two SIV-Lites (see *Yuko Ito v Suzuki*, 57 AD3d 205, 207-208 [1st Dept 2008]); it was essentially a lender. The holders of equity (also known as the capital noteholders) in Golden Key and Mainsail absorbed the first losses to the SIV-Lites and would share in the potential profits. On the other hand, Oddo, a mezzanine noteholder, received a fixed rate of return and was to have its principal returned upon maturity. Even though the nature of the SIV-Lites was unique, the facts alleged in the complaint are insufficient to accord Oddo a status equivalent to a shareholder of Golden Key and Mainsail. While the collateral managers may have owed fiduciary and contractual duties to the SIV-Lites, there is no factual basis to create fiduciary duties running from the managers to the mezzanine noteholders. It is the receivers for the SIV-Lites who can bring claims for breach of fiduciary

duty and breach of the management agreements against entities such as Solent, Barclays, and S&P.

There are additional reasons to conclude that the collateral managers did not owe a fiduciary duty to Oddo. Oddo had no contractual relationship with Avendis and Solent¹¹ and no direct dealings with them. While Oddo argues that it received monthly investment reports from Avendis and Solent, the complaint provides that the administrator, QSR Management Limited, was the entity that sent noteholders periodic valuation reports. The complaint never alleged any direct communications between plaintiff and the collateral managers, and consequently, there is insufficient factual basis to establish a relationship of higher trust between Oddo and Avendis and Solent.

Therefore, affording every favorable inference to plaintiff and taking the allegations of the complaint as true (*see EBC I*, 5 NY3d at 19), we hold that plaintiff failed to allege facts giving rise to a fiduciary duty owed to it, and therefore S&P and Barclays cannot be liable for aiding and abetting a breach of such fiduciary duty.

III.

Plaintiff also alleges that Barclays tortiously interfered with plaintiff's contracts with Golden Key and Mainsail. In order to make a claim for tortious interference, plaintiff must plead the existence of a valid contract between the plaintiff and the SIV-Lites, Barclays' knowledge of that contract, and Barclays' intentional procurement of Golden Key's and Mainsail's breach of the contract without justification, actual breach of the contract, and Oddo's damages resulting from the breach (*see Lama Holding Co. v Smith Barney*, 88 NY2d 413, 424 [1996]). Oddo claims that Golden Key and Mainsail breached their contractual obligations by "acquiring the warehoused securities . . . [which] devalued the investors' security interest in [the SIV-Lites'] investment portfolio and damaged [the SIV-Lites'] ability to pay interest" on the mezzanine notes (complaint ¶¶ 182, 199).

[2] However, Golden Key and Mainsail never breached their contractual obligations to Oddo when expanding the size of

11. Oddo's purchases of the mezzanine notes was documented by a contract with the SIV-Lites, though Oddo had no contractual relationships with collateral managers, Avendis and Solent. The notes and corresponding offering documents explicitly stated that "in connection with the purchase of the mezzanine notes," the collateral manager was not "acting as a fiduciary or financial or investment adviser for the holder."

their investment portfolios and acquiring the additional securities. Barclays properly obtained the required noteholder consents to expand Golden Key. Barclays, Avendis, and Solent also obtained confirmations from S&P of the ratings for the commercial paper and mezzanine notes prior to the acquisition of the warehoused securities. The warehousing provision in the contracts provided that the SIV-Lites would pay the warehouse's (Barclays') purchase price for the securities, despite any fluctuations in the market price. The risk of a shift in the market price of the warehoused securities was included in the information memoranda and known to Oddo at the time it purchased the mezzanine notes. As such, the expansion of the SIV-Lites' investment portfolio and the acquisition of the warehoused securities did not breach any express term in Oddo's contracts with Golden Key and Mainsail.¹²

Moreover, Oddo's claim for inducing breach of an implied covenant of good faith and fair dealing also fails. The bad faith and unfair dealing alleged in the complaint is not that of the SIV-Lites, who were themselves victims of the alleged scheme, but of Barclays and their managers, with which Oddo had no contract.¹³ Since there was no underlying breach of contract, Oddo's tortious interference claim against Barclays also fails.

IV.

The present case demonstrates how the utility of SIV-Lites themselves was undermined by the collapse of the housing boom in 2007 and 2008,¹⁴ which precipitated the credit crisis that decimated global financial markets. Prior to the demise of Golden Key and Mainsail, investors, rating agencies, and the arranging banks all wrongly assumed that credit markets would not dry up, and that the markets would always supply liquidity

12. Additionally, Oddo was explicitly warned in the information memoranda that it could lose its principal and interest payments if the underlying investments (i.e., the mortgage-backed securities) failed and the entities became insolvent. The terms of the mezzanine notes also notified Oddo that, following a wind-down event, Oddo would only receive its principal and interest payments after Golden Key and Mainsail satisfied their obligations to commercial paper holders.

13. Insofar as there were contractual duties between Avendis/Solent and the SIV-Lites, plaintiff can obtain no benefit because the management agreements disclaimed any implied third-party beneficiary status.

14. See Davies and Sakoui, *Sigma Collapse Marks End of SIV Era*, Financial Times, Oct. 1, 2008.

and provide a constant stream of funding.¹⁵ In hindsight, it is apparent that a greater degree of vigilance was necessary from all concerned before soliciting funds for, committing funds to, and rating esoteric entities with little understood risks, such as the SIV-Lites—whose fate was dependent almost exclusively on sub-prime residential and commercial mortgage-backed securities. That being said, Oddo has nevertheless failed to state a claim for aiding and abetting breach of fiduciary duty and tortious interference with contract, although remedies may be available to the receivers for the SIV-Lites.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

15. See Jickling, *Averting Financial Crisis*, Congressional Research Service Report for Congress, at CRS-5 (Mar. 21, 2008).

[973 NE2d 730, 950 NYS2d 320]

N.J.R. ASSOCIATES, a New York Limited Partnership, Appellant,
v NICOLE TAUSEND, a Limited Partner of N.J.R. ASSOCIATES,
Respondent.

Argued May 29, 2012; decided June 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 26, 2011. The Appellate Division modified, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Joan A. Madden, J.; op 2010 NY Slip Op 32936[U] [2010]), to the extent it had granted the petition to stay arbitration of respondent's fraud-based counterclaims, denied respondent's motion to dismiss the petition, and denied respondent's request for sanctions. The modification consisted of denying the petition and granting the motion to dismiss the petition. The Appellate Division affirmed the order and judgment as modified.

N.J.R. Assoc. v Tausend, 83 AD3d 596, affirmed.

HEADNOTE

Arbitration — Matters Arbitrable — Statute of Limitations Challenge to Counterclaims

In a dispute between a partnership and a partner that was subject to an arbitration clause and a New York choice of law provision included in the partnership agreement, the appropriate forum to resolve the partnership's statute of limitations challenge to counterclaims interposed by the partner was arbitration, not a court, whether the agreement was governed by the Federal Arbitration Act (9 USC § 1 *et seq.* [FAA]) or New York law. Under the FAA, resolution of a statute of limitations defense is presumptively reserved to the arbitrator. In contrast, New York law allows a threshold issue of timeliness to be asserted in court by "a party who has not participated in the arbitration and who has not made or been served with an application to compel arbitration" (CPLR 7503 [b]). A contract may be governed by the FAA yet subject to the New York rule if it specifies that New York law shall govern both the agreement and its "enforcement." Assuming that the partnership agreement was governed by the FAA, the document did not include the critical "enforcement" language and thus failed to unequivocally invoke the New York standard. Under New York law, CPLR 7503 (b) prevented the partnership, which initiated and participated in the arbitration of issues stemming from the dispute, from asking a court to dismiss the partner's counterclaims due to expiration of the statute of limitations. A party cannot compel arbitration of its own causes of action, prevent its adversary from obtaining judicial relief and then ask a court to block the adversary's counterclaims from being arbitrated by raising a statute of limitations defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution §§ 88, 89, 100, 102.
CARMODY-WAIT 2d, Arbitration §§ 141:89, 141:91, 141:119, 141:120, 141:138.
McKINNEY's, CPLR 7503 (b).
NY JUR 2d, Arbitration and Award §§ 69, 70, 99, 118, 123–125.
SIEGEL, NY PRAC §§ 588, 590, 592.
9 USCA § 1 *et seq.*

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Counterclaim and Setoff; Limitation of Actions.

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POINTS OF COUNSEL

Wilk Auslander LLP, New York City (*Alan D. Zuckerbrod* and *Eric B. LaMons* of counsel), for appellant. I. The First Department's decision violates CPLR 7502 (b) and related case law which provides that any statute of limitations defense to arbitral claims is to be determined by the courts, not the arbitrators. (*Morfopoulos v Lundquist*, 191 AD2d 197; *Matter of Carranza v Prinz*, 240 AD2d 405; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *Matter of County of Rockland [Primiano Constr. Co.]*, 51 NY2d 1; *Matter of Volpe v Volpe*, 16 AD3d 1176; *Matter of County of Nassau v Civil Serv. Empls. Assn., Inc.*, 14 AD3d 509; *Marillo v Shearson Hayden Stone*, 159 AD2d 1012; *Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669; *Matter of Avondale Mills [Majestic Carpet Mills, Div. of Celotex Corp.]*, 60 AD2d 542; *Matter of Schwarzler v Garage Empls. Union Local No. 272, I.B.T.*, 52 AD2d 545.) II. Appellant's counterclaims sounding in fraud are barred by collateral estoppel and the statute of limitations. (*D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Matter of Neville v Martin*, 38 AD3d 386; *Da Silva v Musso*, 76 NY2d 436; *Roslyn Union Free School Dist. v Barkan*, 16 NY3d 643; *Fava v Kaufman*, 124 AD2d 42; *Vastola v Maer*, 39 NY2d 1019.)

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York

City (*John G. Nicolich* of counsel), for respondent. I. Nicole Tausend seeks to void the N.J.R. Associates (NJR) partnership agreement because Ronald Tausend fraudulently induced Nicole to become a partner of NJR. (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146; *Sergeants Benevolent Assn. Annuity Fund v Renck*, 19 AD3d 107; *Wiener v Lazard Freres & Co.*, 241 AD2d 114; *Meinhard v Salmon*, 249 NY 458; *Birnbaum v Birnbaum*, 73 NY2d 461; *Riviera Congress Assoc. v Yassky*, 18 NY2d 540; *Tobias v First City Natl. Bank & Trust Co.*, 709 F Supp 1266; *R. C. Gluck & Co. v Tankel*, 12 AD2d 339, 24 Misc 2d 841; *Fraw Realty Co. v Natanson*, 261 NY 396; *Wood v Rabe*, 96 NY 414.) II. The Appellate Division properly ruled that N.J.R. Associates may not seek to stay arbitration of Nicole Tausend's counterclaims based on the statute of limitations. (*Morfopoulos v Lundquist*, 191 AD2d 197; *Long Is./Conn. Limousine Group v Airlimo Express*, 231 AD2d 610; *Allied-Bruce Terminix Cos. v Dobson*, 513 US 265; *Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247; *Matter of Lester Schwab Katz & Dwyer v Yukevich*, 167 Misc 2d 1004; *Masthead MAC Drilling Corp. v Fleck*, 549 F Supp 854; *New Castle County v United States Fire Ins. Co.*, 728 F Supp 318; *Matter of Laszlo N. Tauber & Assoc. I v American Mgt. Assn.*, 304 AD2d 413; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *Matter of Edward D. Jones & Co. v American Stock Exch., LLC*, 22 AD3d 319.) III. Nicole Tausend's counterclaims are not barred by collateral estoppel. (*Merrill Lynch, Pierce, Fenner & Smith v Benjamin*, 1 AD3d 39; *Matter of Falzone [New York Cent. Mut. Fire Ins. Co.]*, 15 NY3d 530; *John Hancock Mut. Life Ins. Co. v Olick*, 151 F3d 132; *Miller v Runyon*, 77 F3d 189; *Sherrill v Grayco Bldrs.*, 64 NY2d 261; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *Tydings v Greenfield, Stein & Senior, LLP*, 11 NY3d 195; *Gelb v Royal Globe Ins. Co.*, 798 F2d 38; *D'Arata v New York Cent. Mut. Fire Ins. Co.*, 76 NY2d 659; *Buechel v Bain*, 97 NY2d 295.) IV. Nicole Tausend's counterclaims are not barred by the statute of limitations. (*Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669; *Greene v Greene*, 56 NY2d 86; *Transport Workers Union of Am. Local 100 AFL-CIO v Schwartz*, 17 AD3d 218; *Westchester Religious Inst. v Kameran*, 262 AD2d 131; *Matter of Barabash*, 31 NY2d 76; *St. John's Univ., N.Y. v Bolton*, 757 F Supp 2d 144; *Golden Pac. Bancorp v Federal Deposit Ins. Corp.*, 273 F3d 509; *Erbe v Lincoln Rochester Trust Co.*, 3 NY2d 321; *Trepuk v Frank*, 44 NY2d 723; *Saphir Intl., SA v UBS PaineWebber Inc.*, 25 AD3d 315.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case to determine what is the appropriate forum to resolve a statute of limitations challenge to counterclaims interposed in an arbitration proceeding—the arbitrator or a court. Based on the particular facts presented, we hold that the timeliness question is to be decided by the arbitrator.

I

Ronald Tausend and his two children, Nicole and Jeffrey Tausend, were the beneficiaries of a trust that was established by Ronald's mother. Ronald was entitled to most of the trust's income during his lifetime, with the balance of income reserved for his children. Nicole and Jeffrey were to begin receiving principal at the age of 25 and, upon their father's death, the remaining principal would be distributed to them.

The trust owned two New York City buildings referred to as the "East End properties." In 1985, when Nicole was 19 years old, her father formed the N.J.R. Associates partnership (NJR) for the purpose of acquiring the East End properties. Ronald held a 60% stake in the partnership; Nicole and Jeffrey each received a 20% share. The partnership agreement included an arbitration clause as well as a New York choice of law provision.

The bank that served as trustee obtained an appraisal valuing the two properties at \$1.8 million. However, that figure did not include the value of air rights because the appraiser believed that they had no intrinsic worth.¹ NJR subsequently purchased the properties from the trust for \$1.9 million. Later that day, NJR sold the air rights for one of the buildings for \$1.75 million. Approximately two decades later, NJR sold its remaining interest in that property for \$10.25 million. The partnership also converted the other building into a condominium and sold a number of units.

During this time period, Nicole received monetary distributions from both the trust and NJR. NJR also provided her with the use of an apartment in one of the East End buildings. In 2005, Ronald surrendered his interest in the trust and the remaining principal was distributed to Nicole and Jeffrey.

Three years later, Nicole's financial advisor asked NJR for information pertaining to the sale of the East End property but

1. An air right is the ability "to use all or a portion of the airspace above real property" for future development (Black's Law Dictionary 82 [9th ed]).

Ronald allegedly spurned that request. Nicole hired a law firm to represent her interests and its overtures were similarly rejected.

Nicole then commenced a CPLR article 78 proceeding against NJR and her father in order to obtain access to partnership documents and an accounting of its finances. In response, NJR issued a demand for arbitration, causing Nicole to file a petition to stay arbitration. Supreme Court denied the stay and ordered the parties to arbitration, and the Appellate Division affirmed (67 AD3d 441 [1st Dept 2009]).

Nicole appeared in the arbitration and asserted several counterclaims, which lead to NJR's commencement of this court proceeding seeking to stay arbitration of the counterclaims on the basis of the expiration of the statute of limitations. Nicole moved to dismiss the proceeding, asserting that the timeliness challenge should be raised before the arbitrator. Supreme Court granted the petition and stayed arbitration of the counterclaims (2010 NY Slip Op 32936[U] [2010]). The Appellate Division modified by dismissing NJR's petition to stay arbitration of the counterclaims, reasoning that CPLR 7503 (b) precluded the partnership from obtaining a stay because it had initiated and participated in the arbitration (83 AD3d 596 [1st Dept 2011]).

We granted leave to appeal (17 NY3d 848 [2011]) and now affirm.

II

NJR maintains that it is not prohibited from requesting that arbitration of the counterclaims be stayed under CPLR 7503 because its decision to arbitrate did not waive its right to challenge the timeliness of the counterclaims in court. Nicole contends that the initiator of arbitration is statutorily barred from requesting judicial review of a counterclaim and must instead submit all matters to the arbitrator. Nicole alternatively argues that the language of the choice of law clause in the partnership agreement was insufficient to invoke the New York rule that a statutory timeliness issue may be subject to judicial determination and that an arbitrator is therefore required under federal law.

The Federal Arbitration Act (9 USC § 1 *et seq.* [FAA]) applies to any arbitration provision in a contract that affects interstate commerce (*see Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247, 252 [2005]). Under the federal act, resolution of a statute of limitations defense is

presumptively reserved to the arbitrator, not a court (*see id.*). New York law, in contrast, allows a threshold issue of timeliness to be asserted in court (*see* CPLR 7502 [b]; 7503 [a]). A contract may be governed by the FAA yet subject to the New York rule if the agreement between the parties so provides. We have explained that a contract specifying that “New York law shall govern both ‘the agreement *and its enforcement*[]’ adopts” the New York rule that threshold statute of limitations issues are resolved by the courts and not arbitrators (*Diamond Waterproofing*, 4 NY3d at 253, quoting *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 202 [1995], *cert denied sub nom. Manhard v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 516 US 811 [1995]).

It is unnecessary for us to decide whether the contract at issue is subject to the FAA or New York law because under either analysis, the proper forum is arbitration. Assuming that the partnership agreement affects interstate commerce and is governed by the FAA, this document does not include the critical “enforcement” language identified in *Diamond Waterproofing*—it states that “This Agreement shall be governed by, and construed in accordance with, the laws and decisions of the State of New York.” Since the agreement fails to unequivocally invoke the New York standard, the timeliness question must be resolved by an arbitrator under FAA principles.

The outcome is the same under New York law. A statute of limitations defense may be raised in state court by “a party who has not participated in the arbitration and who has not made or been served with an application to compel arbitration” (CPLR 7503 [b]; *see also* CPLR 7502 [b]). In light of the procedural history of this case, CPLR 7503 (b) prevents NJR from asking a court to dismiss Nicole’s counterclaims due to expiration of the statute of limitations. NJR not only initiated arbitration, it also successfully defended against Nicole’s petition to stay arbitration in court, received an application to compel arbitration in connection with Nicole’s counterclaims and sought a court order to prevent the counterclaims from being considered by the arbitrator. In our view, this was enough to constitute “participation” within the meaning of CPLR 7503 (b). It is also inconsistent for NJR to assert that Nicole’s counterclaims are not arbitrable—a party cannot compel arbitration of its own causes of action, prevent its adversary from obtaining judicial relief and then ask a court to block the adversary’s counterclaims from being arbitrated by raising a statute of limitations defense (*see generally* Alexander, Practice Commentaries, McKinney’s Cons

Laws of NY, Book 7B, CPLR 7503:2, at 456 [arbitration should proceed “(i)f there is at least one arbitrable issue” in a case]). Hence, since NJR initiated and participated in the arbitration of issues stemming from the dispute, its timeliness challenge to the counterclaims must be decided by an arbitrator.²

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). Unlike the majority, I find it necessary to decide whether the contract at issue here is governed by the Federal Arbitration Act (FAA) or by New York law. I conclude that the FAA governs, and that the result the majority reaches is therefore correct.

I

I agree with the majority that, for the reasons it explains, under federal law the statute of limitations issue is for the arbitrator. But under state law, “statutory time limitations questions . . . are for the courts, not the arbitrators” (*Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 202 [1995] [emphasis omitted]). CPLR 7502 (b) says:

“If, at the time that a demand for arbitration was made or a notice of intention to arbitrate was served, the claim sought to be arbitrated would have been barred by limitation of time had it been asserted in a court of the state, a party may assert the limitation as a bar to the arbitration on an application to the court as provided in section 7503”

CPLR 7503 (b) permits “a party who has not participated in the arbitration and who has not made or been served with an application to compel arbitration” to apply for a stay of arbitration “on the ground . . . that the claim sought to be arbitrated is barred by limitation.” The majority holds that NJR may not proceed under this statute because it “participated in the arbitration.” I do not agree.

It is true, of course, that NJR participated in, and indeed initiated, its own arbitration against Nicole Tausend. It did not, however, participate in the arbitration of Nicole’s counterclaims. On the contrary, it made a timely application to prevent those claims from being arbitrated. I see no reason why a party against whom an arbitration counterclaim is brought should be denied the right to seek relief in court that it would have if the

2. NJR’s remaining contentions are meritless.

counterclaim were an independent arbitration proceeding. Thus, NJR should not be held to have “participated in the arbitration” within the meaning of CPLR 7503 (b).

The majority says that

“NJR not only initiated arbitration, it also successfully defended against Nicole’s petition to stay arbitration in court, received an application to compel arbitration in connection with Nicole’s counterclaims and sought a court order to prevent the counterclaims from being considered by the arbitrator” (majority op at 602).

But if NJR’s initiation of the arbitration is not enough—as it should not be—to deprive it of the right to assert in court its statute of limitations defense to the counterclaims, the other activities mentioned by the majority should not change the result. Any party that initiates an arbitration can be expected, if necessary, to defend against a petition to stay; and to say that NJR received an application to compel* and sought a court order to prevent the counterclaims from being considered is to say only that arbitration counterclaims were brought against it, and that it went to court to assert that these claims were barred by limitation of time. Nor is NJR guilty of inconsistency, as the majority asserts. The majority says that a party “cannot compel arbitration of its own causes of action . . . and then ask a court to block the adversary’s counterclaims from being arbitrated by raising a statute of limitations defense” (*id.*). But why not, if the party’s own claims are not time-barred and its adversary’s are?

II

Thus for me, this case turns on whether the governing rule is supplied by the FAA or by New York law. The FAA governs if the contract containing the arbitration clause—the NJR partnership agreement—is “a contract evidencing a transaction involving commerce” within the meaning of FAA § 2 (9 USC § 2), where “commerce” means (as relevant here) “commerce among the several States or with foreign nations” (9 USC § 1). In light of the broad reading that the United States Supreme

* Strictly speaking, the majority is incorrect to say that NJR “received an application” by Nicole “to compel arbitration” of the counterclaims. Nicole moved only to dismiss NJR’s petition for a stay. If she had made a motion to compel arbitration, the court would have been required by CPLR 7503 (a) to decide whether her claims were time-barred.

Court has given to these terms, it is clear to me that the FAA applies to this contract.

In *Allied-Bruce Terminix Cos. v Dobson* (513 US 265, 268 [1995]), the Supreme Court held that section 2 of the FAA should be read “broadly, extending the Act’s reach to the limits of Congress’ Commerce Clause power.” The words “involving commerce” were held to have the same meaning as “affecting commerce”; “the word ‘involving,’ like ‘affecting,’ signals an intent to exercise Congress’ Commerce power to the full” (*id.* at 277). The Court also concluded that the statutory word “evidencing” means “only that the transaction (that the contract ‘evidences’) must turn out, *in fact*, to have involved interstate commerce” (*id.*). In short, the FAA applies here unless the transaction reflected by the partnership agreement, as that transaction was in fact implemented, is beyond Congress’s power to regulate under the Commerce Clause.

Whatever might be said about the power of Congress to require the purchase of health insurance or broccoli, I see no basis under the current state of the law for an argument that the transaction in this case was beyond Congress’s reach. Indeed, the transaction, as it has turned out, is both an interstate and international one: The record shows that the three partners of NJR—Ronald, Nicole and Jeffrey Tausend—are residents of New York, Italy and California respectively. The purpose of the transaction was to acquire Manhattan residential properties for \$1.9 million. The properties were acquired, and the transaction was financed by Bankers Trust Company. It is unimaginable that, under modern precedents, such a transaction could be found to have no effect on interstate or foreign commerce (*see Wickard v Filburn*, 317 US 111 [1942]; *Gonzales v Raich*, 545 US 1 [2005]; *Allied-Bruce*, 513 US at 282; *Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247, 252-253 [2005]).

Because this is an FAA transaction, the majority is correct in deciding that the statute of limitations question must be decided in arbitration. The majority’s discussion of New York law is not only mistaken, but also unnecessary.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH concurs in a separate opinion.

Order affirmed, with costs.

[973 NE2d 697, 950 NYS2d 287]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEVIN
CHESTNUT, Appellant.

Argued May 3, 2012; decided June 7, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 1, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (John B. Latella, J., on pretrial omnibus motion; Michael B. Aloise, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

People v Chestnut, 81 AD3d 661, reversed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — “Specific Objection” Requirement

1. In a robbery prosecution in which defendant and his codefendant were charged in a single indictment on an acting-in-concert theory, defendant’s argument that the joinder of drug and resisting arrest counts relating only to his codefendant violated CPL 200.40 (1)’s direction concerning when defendants may be jointly charged in a single indictment, was preserved for review. For preservation purposes, a party must make a specific objection regarding a claimed error in order to afford the trial court an opportunity to correct the error. However, the preservation rule’s “specific objection” requirement should not be applied in an overly technical way; nor should a party’s adherence to that requirement focus on minutiae or emphasize form over substance. Here, defendant’s numerous requests for a severance and other related statements in the record, which focused on the prejudicial effect of the jury’s exposure to spillover evidence concerning the drug and resisting arrest offenses allegedly committed by defendant’s codefendant, apprised the trial court as to why severance was appropriate and clearly indicated that the joinder of defendant and his codefendant was improper. The trial judge, who was presumed to have known the law, denied all of defendant’s requests for severance.

Crimes — Harmless and Prejudicial Error — Joint Trial — Improper Joinder of Counts Relating Only to Codefendant

2. In a robbery prosecution in which defendant and his codefendant were charged in a single indictment on an acting-in-concert theory, the trial court’s error in denying defendant’s requests to sever his trial from that of his codefendant based on the improper joinder of drug and resisting arrest counts relating only to his codefendant, in clear violation of CPL 200.40 (1)’s direction concerning when defendants may be jointly charged in a single indictment, was not harmless. The harmless error doctrine applies only if the evidence against the defendant is overwhelming, such that it is likely that the trial error did not infect the jury’s finding. Here, the evidence against defendant was

far from overwhelming where the sole identifying witness was the complainant and there was reason to doubt the reliability of his identification of defendant. In addition, there was a great risk that the trial court's error infected the jury's finding of guilt against defendant. The prejudicial effect of the jury's exposure to the voluminous evidence concerning the drug and resisting arrest offenses having nothing to do with defendant was clear: the jury could logically find that defendant, like his codefendant, was involved with drugs and that the robbery at issue was committed for a drug-related purpose. Under these circumstances, the trial court's curative instructions did not cure the prejudice to defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 654, 657, 659, 671–674; AM JUR 2d, Indictments and Informations §§ 196, 199.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury § 178:334; CARMODY-WAIT 2d, Pretrial Motions §§ 189:230, 189:231; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18–207:20, 207:41.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 27.5.

McKINNEY's, CPL 200.40 (1).

NY JUR 2d, Criminal Law: Procedure §§ 1262–1266, 1633, 1636, 3454–3456, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Indictments and Informations.

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Database: NY-ORCS

Query: join! /5 indictment & harmless /2 error & preserv!

POINTS OF COUNSEL

Appellate Advocates, New York City (William G. Kastin and Lynn W.L. Fahey of counsel), for appellant. In this one-witness identification case, the conceded misjoinder of appellant's robbery charge with his codefendant's unrelated drug and resisting arrest counts was not harmless error when it resulted in the admission of otherwise admissible and inflammatory evidence amounting to nearly one half of the trial testimony. (*People v Castro-Restrepo*, 169 AD2d 454; *People v Mahboubian*, 74 NY2d 174; *Wilson v Sirmons*, 536 F3d 1064; *United States v Francis*, 131 F3d 1452; *United States v Santoni*, 585 F2d 667; *People v*

Gutkaiss, 206 AD2d 628; *People v Minor*, 49 AD2d 828; *United States v Turoff*, 853 F2d 1037; *People v Pepin*, 6 AD2d 992; *People v Jorge*, 172 Misc 2d 795.)

Richard A. Brown, District Attorney, Kew Gardens (*Jennifer Hagan* and *John M. Castellano* of counsel), for respondent. Defendant's claim that his case was improperly joined with codefendant Hall's case is unpreserved for appellate review. Any error in the trial court's denial of defendant's motion for severance was, in any event, harmless. (*People v Person*, 8 NY3d 973; *People v Graves*, 85 NY2d 1024; *People v Garcia*, 83 NY2d 817; *People v Stephens*, 84 NY2d 990; *People v Kello*, 96 NY2d 740; *People v Liccione*, 50 NY2d 850; *People v Wells*, 15 NY3d 927; *Zafiro v United States*, 506 US 534; *United States v Lane*, 474 US 438; *People v Crimmins*, 36 NY2d 230.)

OPINION OF THE COURT

JONES, J.

The issue presented is whether Supreme Court's error in denying defendant's requests for a severance based on the improper joinder of certain counts relating only to codefendant (*see* CPL 200.40 [1]) is harmless. We hold that Supreme Court's conceded error is not.

On November 6, 2005, in broad daylight, two assailants robbed the complainant at gunpoint as he was loading packages into his car on a street in Queens. Jewelry, cash, a cell phone, two fur coats and an expensive bag were forcibly stolen from the complainant. By Queens County indictment No. 658/2006, defendant and his codefendant were charged, on an acting-in-concert theory, with first- and second-degree robbery based solely on the complainant's identification. The same indictment also separately charged only the codefendant with four drug offenses and resisting arrest stemming from his arrest at his mother's home on January 16, 2006. Although the drug counts and the resisting arrest count had no connection to defendant or the November 6, 2005 incident, defendant, who was arrested in December 2005, and his codefendant were tried together, before a jury, on the single indictment.

Defendant's counsel, at numerous points during the proceedings, sought to sever the joint trial or otherwise advise the court of the impropriety of a joint trial in this case. For example, he:

- (1) noted, in defendant's pretrial omnibus motion, that defendant's codefendant had been "indicted for

a number of drug related offense[s] which by necessity will create substantial prejudice which will spill over and infect [defendant]”;

(2) stated, in support of defendant’s motion to sever, that “joint trials can be prejudicial when one defendant is not being accused of the same crimes as his co-defendant” and that defendant “should not be placed in a position where spillover testimony can adversely affect jury deliberations” (citing *Zafiro v United States*, 506 US 534, 539 [1993]);

(3) argued, during voir dire (about one week before trial), that defendant and his codefendant should not be tried jointly;

(4) stated, on the record just prior to jury selection, that defendant’s codefendant “is charged with drugs in this case. My client is not. I think I have a Herculean task [in] preventing the jury from mixing that mash together”;

(5) explained, following the trial court’s opening remarks to the jury pool, “Your Honor, during the course of the trial I am anticipating that the People by virtue of the posture of this indictment are about to be offering proof of [defendant’s codefendant] being involved in narcotics. . . . It’s my intention that each and every time . . . the prosecutor attempts to do that, I am going to be objecting to it, Judge.”

At this time, counsel further argued that a severance was “in order” because the drug evidence against defendant’s codefendant “will enure to the total detriment of [defendant] who is not charged in any way with any narcotics”;

(6) noted, in response to the trial court’s statement that it had instructed the jury pool to consider the charges separately, that such an instruction was “insufficient to cure the prejudicial effect” of a joint trial, and that the People were “making a grave mistake” by pursuing such a trial;

(7) objected to that portion of the prosecutor’s opening statement which referred to the warrant officers and the drug allegations because they did not

pertain to defendant. At this point in the proceedings, the trial court indicated that it understood counsel's objection and that counsel did not have to keep objecting;

(8) renewed his motion for severance based on the prosecutor's opening statement, arguing that the prosecutor exposed the jury to "excessive prejudicial information," and that defendant, who was not charged with any drug offenses, could "no longer get a fair hearing"; and

(9) objected to the drug-related testimony of police officers and other witnesses, and renewed his severance motion when one of the officers testified.

Although defendant's counsel made numerous requests for a severance, the People never took a position on any of defendant's applications; further, Supreme Court denied all of defendant's requests for severance without explanation.

Defendant and his codefendant were convicted, upon a jury verdict, of first-degree robbery. In addition, defendant's codefendant was convicted of three drug counts and resisting arrest. Defendant was sentenced to 12 years; his codefendant was sentenced to 25 years to life.

On appeal, defendant argued that the joinder of his robbery charges with the drug and resisting arrest charges against his codefendant violated CPL 200.40 (1), which provides that defendants may be jointly charged in a single indictment if (a) "all such defendants are jointly charged with every offense"; (b) "all the offenses charged are based upon a common scheme or plan"; (c) "all the offenses charged are based upon the same criminal transaction"; or (d) under certain circumstances where the indictment includes a count of enterprise corruption. The Appellate Division affirmed Supreme Court's judgment, holding:

"As the People correctly concede, the codefendant should have been tried separately pursuant to CPL 200.40 (1) as to the drug counts and resisting arrest count against him, as those counts in no way related to the defendant. Although the Supreme Court erred in denying the defendant's motion to sever the unrelated counts applicable only to the codefendant, the error was harmless" (81 AD3d 661 [2d Dept 2011] [citations omitted]).

A Judge of this Court granted defendant leave to appeal (17 NY3d 814 [2011]), and we now reverse.

[1, 2] The Appellate Division concluded, and the parties agree, that Supreme Court erred in denying defendant's motion to sever the unrelated counts applicable only to his codefendant (*see* CPL 200.40 [1]). This error is clear because the Queens County indictment which charged defendant and his codefendant violated section 200.40 (1)'s direction concerning when defendants may be jointly charged in a single indictment; in other words, the instant joint trial was prohibited under CPL 200.40 (1).¹ Thus, the question before us is whether this nonconstitutional error is harmless.²

The harmless error doctrine is applicable only if: (1) the quantum and nature of the evidence against the defendant must be great enough to excise the error, and (2) the causal effect

1. CPL 200.40 (1) provides that defendants may be jointly charged in a single indictment if (a) "*all such defendants are jointly charged with every offense*"; (b) "*all the offenses charged are based upon a common scheme or plan*"; (c) "*all the offenses charged are based upon the same criminal transaction*"; or (d) under certain circumstances, the indictment includes a count of enterprise corruption (emphasis added).

2. We conclude, consistent with the Appellate Division, that defendant's argument was sufficiently preserved for appellate review. Contrary to the dissent's view, defendant's numerous requests for a severance, and other related statements in the record, not only apprised the trial court as to why severance was appropriate, they clearly indicated that the joinder of defendant and his codefendant was improper. Accordingly, the dissent's position that defendant's repeated objections arguably "reinforced the incorrect view that joinder was proper" such "that the trial judge had discretion to order severance" (dissenting op at 615) is untenable. CPL 200.40 (1), the sole provision that relates to the problem defendant repeatedly raised before the court, only allows a trial judge discretion to sever when joinder is proper, i.e., in accordance with the statute. Where, as argued at trial and conceded here, the joinder was *improper*, discretion does not apply; severance is required under the statute and severance is precisely the remedy defendant repeatedly sought. In further support of the conclusion that defendant's argument was preserved, the court, during the prosecutor's opening statement, confirmed that it understood defendant's objection and, following its denial of another severance application, stated, "You have an exception. It's noted. You don't have to keep doing this . . . It's preserved."

For preservation purposes, a party must make a specific objection regarding a claimed error in order to afford the trial court an opportunity to correct the error. However, the preservation rule's "specific objection" requirement should not be applied in the overly technical way the dissent urges; nor should a party's adherence to this requirement focus on minutiae or emphasize form over substance. In this case, where the facts demonstrate that defendant not only met the specific objection requirement (by repeatedly apprising the court of the error), but provided more information than was required, and where there is a judge, who is not only presumed to know the law, but has been apprised of and ruled on the specific issue numerous times, the preservation requirement is met.

that the error may nevertheless have had on the jury must be overcome (*see People v Crimmins*, 36 NY2d 230, 240 [1975]). That is, it must be established that the evidence against the defendant is overwhelming, such that it is likely that the trial error did not infect the jury's finding (*see id.* at 240-242). Stated differently, an error may be found to be harmless only where proof of guilt without reference to the error is overwhelming.

Contrary to the People's contention, the evidence in this case is far from overwhelming. This was a one-witness identification case where the sole identifying witness was the complainant (i.e., only the complainant identified defendant as a perpetrator). There was no corroborating evidence. No physical evidence linked defendant to the robbery and he made no inculpatory statements. To establish that the evidence of defendant's guilt was overwhelming in this case, the reliability of the complainant's identification of defendant cannot be in question. Because there was reason to doubt the reliability of the complainant's identification of defendant in the first instance, we reject the People's contention that the evidence was overwhelming in establishing defendant's guilt.

Indeed, the complainant's description of the second assailant (alleged to be defendant) did not fit defendant. The complainant, who is five feet eight inches, said the second assailant was his height; defendant is 5 feet 11 inches. Further, although the crime occurred in broad daylight, the complainant did not notice certain physical features of defendant (e.g., tattoos on his hands), even though he claimed he looked at that assailant's hands, which were six to seven inches away, "very closely" as he removed the complainant's jewelry, but he never reported seeing tattoos on those hands.

The complainant also gave only the most general descriptions of his assailants to the police (i.e., a five feet seven inch black man of average build and a lighter-skinned five feet eight inch man). These vague descriptions cast doubt on the accuracy of his subsequent identification, especially because the complainant testified that he was in close proximity to the assailant, alleged to be defendant, and that he looked at him for "at least a minute."

In addition, the complainant was tentative and uncertain in his initial identification of defendant. The complainant failed to definitively identify defendant's photograph two hours after the robbery, instead asking to have it enlarged and saying it

“look[ed] like” the man; a few weeks later the complainant could only say that defendant was “possibly” or “look[ed] like” the robber; the complainant only became “positive” in his identification of defendant about five weeks after the crime.

We further conclude that the second prong of the harmless error test was not met because here there is a great risk that Supreme Court’s error infected the jury’s finding. The improper joinder (of defendant and his codefendant) Supreme Court allowed, in clear violation of CPL 200.40 (1), necessarily prejudiced defendant.³ Moreover, the prejudice to defendant was exacerbated by what flowed from the trial court’s decision not to grant a severance.

The jury not only learned that four drug offenses and the offense of resisting arrest were allegedly committed by defendant’s codefendant, but heard detailed testimony about these charges. This evidence concerned the police warrant squad’s search of codefendant’s mother’s home, the propriety of the search, whether codefendant was using the bedroom where the drugs were found, the volume of drugs found (10 bags of crack cocaine, a “large bag” of marijuana, and 56 ziplock bags of marijuana), the drug paraphernalia used to package crack and marijuana, codefendant’s refusal to comply with police orders, and police efforts to subdue and arrest codefendant. In total, 184 out of 400 pages, or 46%, of the trial testimony, 6 out of the 10 witnesses who testified, and 8 out of the 16 exhibits introduced at trial, related to the drug and resisting arrest counts, which, as stated, had nothing to do with defendant. The prejudicial effect of this voluminous testimony and other evidence (which came close to dominating the main issue at trial—i.e., how reliable was the complainant’s identification) is clear: the jury could logically find that because defendant was involved with his codefendant, he, like the codefendant, was involved with drugs; if the jury made that finding, an inference could be drawn that the robbery at issue was committed for a drug-related purpose (e.g., to buy drugs).

In sum, the improper joinder, and what flowed from it, arguably tainted the proceedings by creating a strong risk that the voluminous evidence, unrelated to defendant, colored the jury’s evaluation of defendant’s robbery case, and, thereby, prejudiced defendant to the point that precludes us from concluding that Supreme Court’s error is harmless.

3. Some degree of prejudice is inherent in every joint trial (see *People v Mahboubian*, 74 NY2d 174, 183-184 [1989]).

Finally, under these circumstances, the trial court's curative instructions did not cure the prejudice to defendant. That is, although the trial court (1) made it clear, in its final charge to the jury, that the counts of the indictment that were not related to the robbery applied only to defendant's codefendant and not to defendant, and (2) provided the jury with separate verdict sheets as to each defendant, the court did not instruct the jury to disregard the evidence related to those unrelated counts when considering defendant's guilt or innocence.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

READ, J. (dissenting). Defendant Kevin Chestnut never protested joinder on the ground he advances on appeal. Because he did not preserve his objection, we may not review it. I would therefore affirm the conviction without reaching the issue of harmless error addressed by the majority.

CPL 200.40 (1) permits joinder of criminal counts against two or more defendants where (a) the defendants are charged with every offense alleged in the indictment, (b) all the offenses charged are based upon a common scheme or plan, (c) all of the offenses are based upon the same criminal transaction or (d) the indictment includes a count charging enterprise corruption. Joinder is prohibited where these specified circumstances do not exist (*see People v Spencer*, 67 AD2d 867 [1st Dept 1979]; *People v Banks*, 45 AD2d 1024 [2d Dept 1974]).

Further, where counts are properly joined pursuant to CPL 200.40 (1), a defendant may nonetheless move for severance upon "good cause shown" (*People v Mahboubian*, 74 NY2d 174, 183 [1989]; *People v McGee*, 68 NY2d 328, 333 [1986]). Good cause includes, but is not limited to, a finding that the defendant will be unduly prejudiced by a joint trial (*see Mahboubian*, 74 NY2d at 183). "Upon such a finding of prejudice, the court may order counts to be tried separately, grant a severance of defendants or provide whatever other relief justice requires" (CPL 200.40 [1]).

As the majority points out, defendant on at least nine occasions "sought to sever the joint trial or otherwise advise the court of the impropriety of a joint trial in this case" *solely* on the basis of the prejudicial "spillover" effect of the proof against his codefendant on the drug and resisting arrest charges (majority op at 608, 609). In short, defendant made an objection that the trial court should exercise discretion to sever the charges;

he never once objected on the entirely different ground that the statute prohibited joinder altogether.

“The chief purpose of demanding notice through objection or motion in a trial court, as with any specific objection, is to bring the claim to the trial court’s attention,” thus affording the judge an opportunity to rectify an error or oversight, thereby maintaining the integrity of the eventual jury verdict in the interests of finality (*People v Gray*, 86 NY2d 10, 20 [1995]; see also *People v Patterson*, 39 NY2d 288, 294-295 [1976] [“A failure to object to a charge at a time when the trial court had an opportunity to effectively correct its instructions does not preserve any question of law that (the Court of Appeals) can review”]). Here, where defendant repeatedly focused on prejudice and did not object that CPL 200.40 (1) prohibited joinder under the circumstances presented in this case, the trial court was not apprised of and had no opportunity to rule on the latter ground (see *People v Robinson*, 88 NY2d 1001, 1002 [1996] [“to frame and preserve a question of law reviewable by this Court, an objection or exception must be made with sufficient specificity at the trial, when the nisi prius court has an opportunity to consider and deal with the asserted error”]). Indeed, defendant’s repeated prejudice-related objections arguably reinforced the incorrect view that joinder was proper, but that the trial judge had discretion to order severance if he agreed that defendant’s defense against the robbery counts would be unduly prejudiced by presentation of proof on the unrelated counts brought against codefendant.

It surely furthers the underlying purposes of preservation for parties to refer to the specific statutory text in a case such as this, where a statute clearly precludes the court’s actions. Even so, I would consider defendant’s objection preserved if he had at least once claimed to the trial judge that severance of the unrelated counts was required as a matter of law rather than as a matter of discretion. But he did not. Accordingly, I respectfully dissent.

Chief Judge LIPPMAN and Judges CIPARICK and PIGOTT concur with Judge JONES; Judge READ dissents and votes to affirm in a separate opinion in which Judges GRAFFEO and SMITH concur.

Order reversed, etc.

[973 NE2d 1270, 950 NYS2d 496]

In the Matter of RONALD MARCHAND, JR., et al., Appellants, v
NEW YORK STATE DEPARTMENT OF ENVIRONMENTAL CONSER-
VATION, Defendant, and INCORPORATED VILLAGE OF
BAYVILLE, Respondent.

Argued May 31, 2012; decided June 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 3, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Ute Wolff Lally, J.), entered in a hybrid proceeding pursuant to CPLR article 78 and action pursuant to RPAPL article 15, which, upon an order of that court (William R. LaMarca, J., op 2009 NY Slip Op 33292[U] [2009]), among other things, granting that branch of the cross motion of the respondent/defendant Incorporated Village of Bayville which was for summary judgment declaring that the subject property became a village street by prescription under Village Law § 6-626 and, after a nonjury trial on the issue of whether the street ceased to be a village street by prescription because it had been abandoned by non-use, (1) was in favor of the respondent/defendant Incorporated Village of Bayville and against petitioner/plaintiffs, (2) declared that the property was and continued to be a village street by prescription and a public right-of-way, and (3) enjoined petitioner/plaintiffs from obstructing or interfering in any way with respondent/defendant's use of the subject property.

Matter of Marchand v New York State Dept. of Envtl. Conservation, 84 AD3d 808, reversed.

HEADNOTE

Highways — Highway by Use — Village to Maintain and Repair Road

A private road cannot become a public street pursuant to Village Law § 6-626 if the street is not maintained and repaired by the village. The road must not only be traveled upon, but it must be “kept in repair or taken in charge” by the public authorities, and in order to satisfy that requirement it must be maintained and repaired by the public. Here, although the village provided police and fire protection, plowed and sanded the road in winter, inspected and maintained water mains and fire hydrants, and picked up garbage, maintenance or repair was performed by the current and prior owners of the property and consequently the road was a private road and not a village street.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Dedication §§ 7, 8; AM JUR 2d, Highways, Streets, and Bridges §§ 30, 50, 69–72.

NY JUR 2d, Dedication § 27; NY JUR 2d, Highways, Streets, and Bridges § 66.

ANNOTATION REFERENCE

See ALR Index under Dedication; Highways and Streets; Villages.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: private /2 road /s public /s village /p maint!

POINTS OF COUNSEL

Albanese & Albanese LLP, Garden City (Bruce W. Migatz of counsel), for appellants. I. To become a village street by prescription a private road must be maintained by the village. (*Diamond Int. Corp. v Little Kildare*, 22 NY2d 819; *Speir v Town of New Utrecht*, 121 NY 420; *People v Underhill*, 144 NY 316; *People v Sutherland*, 252 NY 86; *People v Brooklyn & Queens Tr. Corp.*, 273 NY 394; *Impastato v Village of Catskill*, 55 AD2d 714, 43 NY2d 888; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Town of Addison v Meeks*, 233 AD2d 843; *Pinsly v Town of Huntington*, 81 AD3d 910; *Salvador v New York State Dept. of Transp.*, 234 AD2d 741.) II. A village street by prescription must be maintained by the village. (*Stiuso v City of New York*, 87 NY2d 889; *Friedman v State of New York*, 67 NY2d 271; *Lopes v Rostad*, 45 NY2d 617; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Impastato v Village of Catskill*, 55 AD2d 714.)

Ackerman, Levine, Cullen, Brickman & Limmer, LLP, Great Neck (James A. Bradley of counsel), for respondent. I. The factual findings of the Second Department that Washington Avenue has been used by the public and that the Incorporated Village of Bayville performed over that road the municipal services it described in its affidavits cannot be reviewed by this Court. (*Glenbriar Co. v Lipsman*, 5 NY3d 388.) II. Where there has been the requisite period of public use, a private street becomes a village street under Village Law § 6-626 where the village has

taken charge and assumed control of the street, even if the village does not maintain it. (*Diamond Int. Corp. v Little Kildare*, 22 NY2d 819; *People v Sutherland*, 252 NY 86; *Speir v Town of New Utrecht*, 121 NY 420; *Pirman v Confer*, 273 NY 357; *People v Underhill*, 144 NY 316; *Impastato v Village of Catskill*, 55 AD2d 714, 43 NY2d 888; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Town of Addison v Meeks*, 233 AD2d 843; *Nogard v Strand*, 38 AD2d 871; *De Haan v Broad Hollow Estates*, 3 AD2d 848.) III. Services performed by the Incorporated Village of Bayville and its regulation through article III of chapter 64 of the Code of the Incorporated Village of Bayville are actions by the Village to take charge and assume control of Washington Avenue so as to support a finding that it is a village street by prescription. (*Provencher v Town of Saranac*, 168 AD2d 770; *Stuart v Town of Wells*, 161 AD2d 1073; *American Nassau Bldg. Sys. v Press*, 143 AD2d 789; *Nogard v Strand*, 38 AD2d 871; *La France v Town of Altamont*, 277 App Div 917; *La-Salle Co. v Town of Hillsdale*, 199 AD2d 685; *People v Brooklyn & Queens Tr. Corp.*, 273 NY 394; *Matter of Hillelson v Grover*, 105 AD2d 484; *People v Underhill*, 144 NY 316.) IV. The Incorporated Village of Bayville's legislative findings made in enacting Code of the Incorporated Village of Bayville article III, chapter 64 are entitled to great weight by the court. (*East N.Y. Sav. Bank v Hahn*, 293 NY 622, 326 US 230; *People v Walker*, 81 NY2d 661; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Big Apple Ice Cream v City of New York*, 7 AD3d 282.) V. The Incorporated Village of Bayville is not required to maintain a village street by prescription. (*Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Stiuso v City of New York*, 87 NY2d 889; *Friedman v State of New York*, 67 NY2d 271; *Lopes v Rostad*, 45 NY2d 617; *Impastato v Village of Catskill*, 55 AD2d 714, 43 NY2d 888.)

OPINION OF THE COURT

SMITH, J.

We hold that a private road cannot become a public street pursuant to Village Law § 6-626 if the street is not maintained and repaired by the village.

Ronald and Margaret Marchand own property in the Village of Bayville through which runs a dirt road referred to by several names, one of which is the "Travelled Way." The Marchands assert that the road is private property, while the Village says that it is a village street. This litigation began when the Village

obtained a permit from the Department of Environmental Conservation (DEC) to do drainage work under the road, and the Marchands challenged the issuance of the permit. The Village no longer seeks to do the drainage work, however, and the DEC is no longer in the case. The action now is simply one by the Marchands against the Village to quiet title to the Travelled Way.

Supreme Court, after a nonjury trial, entered a judgment in favor of the Village, declaring that the Travelled Way is a village street. The Appellate Division affirmed (*Matter of Marchand v New York State Dept. of Env'tl. Conservation*, 84 AD3d 808 [2011]). We granted leave to appeal, and now reverse.

Village Law § 6-626 says: “All lands within the village which have been used by the public as a street for ten years or more continuously, shall be a street with the same force and effect as if it had been duly laid out and recorded as such.”

The courts below found that the Travelled Way had been “used by the public” for more than 10 years in the sense that members of the public had walked and driven along it, and the Marchands do not challenge that finding here. But, as the Village acknowledges, public use in that sense is not enough to satisfy the statute. We held more than a century ago, interpreting similar language in an earlier statute: “The road must not only be traveled upon, but it must be kept in repair or taken in charge and adopted by the public authorities” (*Speir v Town of New Utrecht*, 121 NY 420, 429-430 [1890]). The issue here is whether the Travelled Way has been “kept in repair or taken in charge” by the Village.

The Village acknowledges that it has not maintained or repaired the road; to the extent that that has been done, it has been done by the Marchands and their predecessors as owners of the property. But the Village claims that it has taken the property “in charge.” The Village points out that it provides police and fire protection, plows and sands the road in winter, inspects and maintains water mains and fire hydrants, and picks up garbage. The Marchands reply that the Village provides similar services on county and town roads, and say that services like these do not turn a road into a village street.

Lower court cases go both ways on the question of whether a public body can be said to have “taken in charge” a road that it does not maintain and repair (*compare American Nassau Bldg. Sys. v Press*, 143 AD2d 789, 791 [2d Dept 1988] [road held to be

a public street “even though there has been no showing that the city engaged in regular repair”], and *Jakobson v Chestnut Hill Props.*, 106 Misc 2d 918, 927-928 [Sup Ct, Nassau County 1981] [same] with *Long Pond Assn., Inc. v Town of Carmel*, 87 AD3d 525, 526 [2d Dept 2011] [roads not town highways “in the absence of proof of regular maintenance and repair . . . by the Town”]). Our cases, however, agree with the Marchands’ position that a road, to be public, must be maintained and repaired by the public. In *People v Sutherland* (252 NY 86, 91 [1929]), we held that a road was not shown to be a public highway where there was no proof “that the town became responsible for its condition.” And in *Impastato v Village of Catskill* (43 NY2d 888 [1978]) we adopted the Appellate Division opinion, which said: “[N]aked use by the public is not enough, as plaintiffs must further demonstrate that the village has continuously maintained and repaired the alleged street and, thus, assumed control thereof during the period of time in question” (55 AD2d 714, 715 [3d Dept 1976]).

The rule we endorsed in *Sutherland* and *Impastato* is a fair one: a road is not public unless the public takes responsibility for maintaining and repairing it. We reaffirm that rule today.

Accordingly, the order of the Appellate Division should be reversed, with costs, and judgment granted to the Marchands declaring that the road referred to in the complaint as the “Travelled Way” is a private road and not a village street.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[974 NE2d 658, 950 NYS2d 612]

In the Matter of LAFAYETTE D. YOUNG, JR., a Justice of the Macomb Town Court, St. Lawrence County, Petitioner. STATE COMMISSION ON JUDICIAL CONDUCT, Respondent.

Argued May 31, 2012; decided June 26, 2012

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated October 7, 2011. The Commission determined that petitioner should be removed from the office of Justice of the Macomb Town Court, St. Lawrence County.

HEADNOTE

Judges — Removal from Office — Recusal in Cases Involving Paramour's Relatives — Ex Parte Communications

A determination of the State Commission on Judicial Conduct that petitioner Town Justice should be removed from office was accepted. Petitioner, a nonlawyer, engaged in serious misconduct when he presided over numerous cases involving his paramour's relatives, failed to disclose his relationships with the litigants, and engaged in ex parte communications. The Rules Governing Judicial Conduct clearly provide that a judge shall disqualify himself or herself in a proceeding in which the judge's impartiality might reasonably be questioned; that a judge shall not initiate, permit, or consider ex parte communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding; and that a judge has a duty to conduct himself in such a manner as to inspire public confidence in the integrity, fair-mindedness and impartiality of the judiciary (*see* 22 NYCRR 100.3 [E] [1]; [B] [6]). Petitioner engaged in serious misconduct when he presided over matters involving persons with whom he and his paramour had close relationships without disclosing those relationships. Additionally, in many of the cases at issue, petitioner's conduct gave the appearance of favoritism towards the family of his paramour. Moreover, the ex parte communications further exacerbated petitioner's improper conduct as they highlighted his close relationships to the family of his paramour and his partiality towards them. Such conduct demonstrated a misuse of his judicial office and damaged public confidence in his integrity and impartiality.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 16, 17, 19, 112–114.
CARMODY-WAIT 2d, Officers of Court §§ 3:107–3:109, 3:113,
3:138, 3:139, 3:144, 3:149.
22 NYCRR 100.3 (B), (E).

NY JUR 2d, Courts and Judges §§ 343, 344, 357, 359, 360, 444, 447.

ANNOTATION REFERENCE

Disciplinary action against judge for engaging in ex parte communication with attorney, party, or witness. 82 ALR4th 567.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: town /4 justice & remov! & “ex parte” & favoritism

POINTS OF COUNSEL

Lafayette D. Young, Jr., appellant pro se. Petitioner had a right to hear the cases due to the nonfamily relationship.

Robert H. Tembeckjian, Albany, *Edward Lindner*, *Mary C. Farrington* and *Thea Hoeth*, for respondent. Petitioner engaged in serious misconduct warranting his removal. (*Matter of LaBombard* [State Commn. on Jud. Conduct], 11 NY3d 294; *Matter of Going*, 97 NY2d 121; *Matter of Robert*, 89 NY2d 745; *Matter of Murphy*, 82 NY2d 491; *Matter of Fabrizio*, 65 NY2d 275; *Matter of Wait*, 67 NY2d 15; *Matter of Tyler*, 75 NY2d 525; *Matter of Sims* [State Commn. on Jud. Conduct], 61 NY2d 349; *Matter of Marshall*, 8 NY3d 741; *Matter of Assini*, 94 NY2d 26.)

OPINION OF THE COURT

Per Curiam.

Petitioner, a Justice of the Macomb Town Court, St. Lawrence County, commenced this proceeding to review a determination of the State Commission on Judicial Conduct that sustained six charges of misconduct against him and determined that he should be removed from office (see NY Const, art VI, § 22; Judiciary Law § 44). In seeking review, petitioner asserts that he lacked a familial relationship to the persons in the cases at issue and therefore had a “right to hear those cases.” Upon our plenary review of the record, we conclude that removal is the appropriate sanction.

Petitioner, a nonlawyer, served as a Macomb Town Court Justice since January 2004. By formal complaint dated February 25, 2010, the Commission served him with seven charges. Charges I to VI of the complaint alleged that, regarding numerous cases involving his paramour’s relatives, he failed to

disqualify himself, failed to disclose the relationship and engaged in *ex parte* communications.¹

The Commission considered the record of the proceeding and concluded that petitioner violated numerous sections of the Rules Governing Judicial Conduct.² It sustained six of the seven charges, concluding that petitioner violated the cited sections of the Rules Governing Judicial Conduct when, presiding over cases involving his paramour's relatives, he failed to disqualify himself, failed to disclose the relationship and engaged in *ex parte* communications. The Commission determined that the appropriate sanction is removal.

Based on the evidence adduced at a hearing held on November 16 and 17, 2010 before a referee, the Commission found as follows. From 2005 to approximately October 2010, Robyne Petrie-Platt was petitioner's paramour, and they resided together. Petitioner grew up with members of his paramour's family. His sister was married to his paramour's brother. He officiated at her parents' marriage renewal and at a wedding of a Petrie family member. He socialized with her relatives and attended some family gatherings.

Each of the first six charges arose from petitioner's decision to preside over a case involving a person closely related to his paramour. Charge I involved a 2007 criminal charge against a defendant for unlawfully dealing with a child in the second degree, alleging that the defendant provided alcohol to his paramour's daughter who was under the age of 21. After an *ex*

1. Charge VII alleged that he engaged in improper political activity; it was dismissed.

2. The Commission concluded that petitioner violated the following sections among others. "A judge should participate in establishing, maintaining and enforcing high standards of conduct, and shall personally observe those standards so that the integrity and independence of the judiciary will be preserved" (22 NYCRR 100.1). "A judge shall respect and comply with the law and shall act at all times in a manner that promotes public confidence in the integrity and impartiality of the judiciary" (22 NYCRR 100.2 [A]). "A judge shall not allow family, social, political or other relationships to influence the judge's judicial conduct or judgment" (22 NYCRR 100.2 [B]). "A judge shall not lend the prestige of judicial office to advance the private interests of the judge or others; nor shall a judge convey or permit others to convey the impression that they are in a special position to influence the judge" (22 NYCRR 100.2 [C]). "A judge shall disqualify himself or herself in a proceeding in which the judge's impartiality might reasonably be questioned" (22 NYCRR 100.3 [E] [1]). "A judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding" (22 NYCRR 100.3 [B] [6]).

parte request from his paramour, the petitioner issued an order of protection directing the defendant to stay away from Ms. Petrie-Platt's daughter. The defendant's attorney learned from his client of the petitioner's relationship with the complaining witness and, by letter, requested petitioner's recusal due to the relationship. In a telephone conversation, petitioner initially refused to disqualify himself. He later signed a certificate of disqualification after defense counsel informed petitioner that he would make a motion for recusal and file a complaint with the Commission.

In charge II, in 2005, Merton Petrie, Ms. Petrie-Platt's nephew and the son of petitioner's former brother-in-law, was arraigned on charges of criminal mischief in the third degree and making a false written statement in Rossie Town Court. The matter was transferred to the Macomb Town Court. Petitioner accepted Mr. Petrie's guilty plea to criminal mischief in the fourth degree in full satisfaction of both charges, as recommended by the District Attorney, and imposed a one-year conditional discharge, requiring him to perform 60 hours of community service and to pay restitution and a surcharge. Petitioner neither disqualified himself nor disclosed his relationships. In 2006, Mr. Petrie violated the terms of his conditional discharge by failing to complete the required community service. Petitioner executed a declaration of delinquency to resentence Mr. Petrie. Prior to resentencing, during a Petrie family gathering, petitioner discussed Mr. Petrie's case with members of the Petrie family. The family members advised petitioner to send Mr. Petrie to jail. Petitioner, during that weekend, informed Mr. Petrie that he would resentence him to jail for failing to complete community service. He also had other ex parte communications concerning that matter with Ms. Petrie-Platt's mother and sister. Mr. Petrie's attorney learned of the ex parte conversations and requested that petitioner recuse himself. He did not. In September 2006, after the St. Lawrence County Department of Probation recommended that Mr. Petrie receive three years of probation, petitioner resentenced Mr. Petrie to 45 days in jail and three years' probation for violating the terms of his conditional discharge. Mr. Petrie had two additional cases before petitioner in April 2007 and July 2008 where petitioner neither disqualified himself nor disclosed his relationship with the defendant's aunt and father.

Similarly, charge III involved a case before petitioner in which Sandra Petrie, Ms. Petrie-Platt's mother, was the complaining

witness. There, the defendant, Sandra Petrie's granddaughter by marriage, was charged with petit larceny for allegedly using the telephone of Sandra Petrie to make long-distance phone calls without her permission and consent. Petitioner issued a temporary order of protection in Sandra Petrie's favor. The District Attorney was unaware of the family relationships among the parties and petitioner. Petitioner discussed the case *ex parte* with his paramour and her sister. Petitioner neither disqualified himself nor disclosed his relationships with the complaining witness and her daughter.

As to charge IV, James R. Petrie, Jr., a nephew of Ms. Petrie-Platt, was charged with criminal mischief in the third degree, among other charges. Petitioner dismissed the charge of criminal mischief in the third degree for facial insufficiency at the request of Mr. Petrie's attorney and without notice to or consent of the prosecution. Petitioner neither disqualified himself nor disclosed his relationship to the defendant's aunt. In charge V, in 2007, petitioner dismissed, without notice to or the consent of the prosecution, a charge for failure to wear a helmet on an ATV against Scott Parker, another nephew of Ms. Petrie-Platt. Petitioner neither disqualified himself nor disclosed his relationship to the defendant's aunt. In charge VI, Justin R. Petrie, another nephew of petitioner's paramour was before petitioner for the unsafe backing in violation of section 1211 (a) of the Vehicle and Traffic Law. Petitioner dismissed the charge despite a negotiated plea between the defendant and the District Attorney's office. Petitioner neither disqualified himself nor disclosed his relationship with the defendant's aunt.

Petitioner contends that he did not violate any Rules Governing Judicial Conduct because he presided over cases involving persons of no familial relation to him by marriage. We conclude, after a full record, that each of the charges is established.

Rules Governing Judicial Conduct (22 NYCRR) § 100.3 (E) (1) clearly states, "A judge shall disqualify himself or herself in a proceeding in which the judge's impartiality might reasonably be questioned." Additionally, "[a] judge shall not initiate, permit, or consider *ex parte* communications, or consider other communications made to the judge outside the presence of the parties or their lawyers concerning a pending or impending proceeding" (22 NYCRR 100.3 [B] [6]). A judge has "a duty to conduct himself in such a manner as to inspire public confidence in the integrity, fair-mindedness and impartiality of the judiciary" (*Matter of Esworthy*, 77 NY2d 280, 282 [1991]).

Petitioner engaged in serious misconduct when he presided over matters involving persons with whom he and his paramour had close relationships (see *Matter of LaBombard* [*State Commn. on Jud. Conduct*], 11 NY3d 294 [2008]; *Matter of Robert*, 89 NY2d 745 [1997]; *Matter of Fabrizio*, 65 NY2d 275 [1985]). In all cases, but one, petitioner neither disqualified himself nor disclosed his relationship to the defendant or complaining witness. Additionally, in many of the cases at issue, petitioner's conduct gave the appearance of favoritism towards the Petrie family defendant or complaining witness. Moreover, the ex parte communications further exacerbated petitioner's improper conduct as they highlight his close relationships to the Petrie family and his partiality towards them. Such conduct demonstrates a misuse of his judicial office and damages public confidence in his integrity and impartiality.

Accordingly, the determined sanction of removal should be accepted, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Determined sanction accepted, without costs, and Lafayette D. Young, Jr. removed from the office of Justice of the Macomb Town Court, St. Lawrence County.

[975 NE2d 475, 951 NYS2d 94]

AMINE BABA-ALI, Appellant-Respondent, v STATE OF NEW YORK,
Respondent-Appellant.

Argued May 29, 2012; decided June 28, 2012

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 14, 2010. The Appellate Division (1) reversed, on the law, on the facts, and in the exercise of discretion, so much of a judgment of the Court of Claims (Melvin L. Schweitzer, J.; op 24 Misc 3d 576 [2009]), entered after a nonjury trial, as had awarded claimant nonpecuniary damages in the principal sum of \$1,750,000; (2) reduced the award of nonpecuniary damages to the principal sum of \$1,000,000; (3) remitted the matter to the Court of Claims for the entry of an appropriate amended judgment; and (4) affirmed so much of the judgment as had (a) failed to award claimant damages for future lost earnings, and (b) awarded claimant damages for past lost earnings in the principal sum of \$343,428. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 5, 2005 (20 AD3d 376 [2005]). The Appellate Division had (1) reversed so much of an order of the Court of Claims (S. Michael Nadel, J.), as had denied claimant's cross motion for summary judgment on the issue of liability; (2) granted the cross motion; and (3) affirmed so much of the order as had denied defendant's motion pursuant to CPLR 3211 (a) (7) to dismiss the claim for failure to state a cause of action.

Baba-Ali v State of New York, 76 AD3d 940, modified.

HEADNOTES

State — Unjust Conviction and Imprisonment Act — Conviction Procured by Prosecutorial Misconduct Amounting to Fraud

1. In an unjust conviction and imprisonment action pursuant to Court of Claims Act § 8-b brought by defendant after his conviction for various sex offenses against his daughter was reversed and the indictment was dismissed, the Appellate Division erred by granting claimant summary judgment as to liability on the theory that claimant's conviction had been procured by prosecutorial misconduct amounting to fraud (Court of Claims Act § 8-b [5] [b]; CPL 440.10 [1] [b]). Where there has been a reversal and a remand for a new trial, section 8-b only permits recovery if the claimant's conviction had been reversed and the indictment dismissed on certain grounds, which include prosecutorial misconduct amounting to fraud but not ineffective assistance of

counsel. Here, the reversal was premised upon the manner in which an evidently exculpatory medical exam of the daughter had been dealt with, both by the trial prosecutor and defense counsel. In granting claimant summary judgment as to liability on his section 8-b claim the Appellate Division held that its reversal of the judgment of conviction was premised, at least in part, upon prosecutorial misconduct amounting to fraud, and it found no residual factual issue as to whether there had been fraud by the prosecutor, or as to whether the other elements of the claim had been established by clear and convincing evidence. The relation between counsel's ineffectiveness, any disclosure delay and the verdict, however, was factually complex, and it was not possible to determine as a matter of law that the wrongful verdict against claimant was properly attributable solely to counsel's inadequate representation, and concomitantly that it was not also significantly and actionably procured by the alleged prosecutorial misconduct. Whether there was procuring fraud was an issue for the factfinder. Although there was evidence from which it might have been reasonably inferred that, as the Appellate Division found, the trial prosecutor deliberately suppressed the medical records until the eve of trial, and by thus frustrating defendant's use of the records induced the conviction of an innocent man, the submissions placed before the court in support of the summary judgment motion raised triable issues, not only as to whether any withholding of the exculpatory records was, in fact, the procuring cause of claimant's conviction, but also as to the timing of the disclosure of those records and the intent of the prosecutor.

Appeal — Matters Reviewable — Court of Appeals — Reduction in Award for Nonpecuniary Damages

2. In an unjust conviction and imprisonment action pursuant to Court of Claims Act § 8-b resulting in a nonpecuniary damage award following a nonjury trial that was reduced by the Appellate Division, claimant's challenge to the reduction of the award was not reviewable by the Court of Appeals. Where, as here, the Appellate Division reviews a judgment after a nonjury trial it has virtually plenary power to render the judgment it finds warranted by the facts. There was no basis to conclude that the Appellate Division exceeded that power here in reducing claimant's nonpecuniary damage award as it did. Claimant's challenge to the adequacy of the award for lost earnings was simply an assertion that the affirmed facts, fairly interpreted, warranted a larger recovery and was not a claim the Court of Appeals could pass upon.

Appeal — Matters Reviewable — Court of Appeals — Failure to Award Loss of Future Earnings

3. In an unjust conviction and imprisonment action pursuant to Court of Claims Act § 8-b resulting in a verdict in claimant's favor and award of damages following a nonjury trial but no award for loss of future earnings, claimant's challenge to the lack of a loss of future earnings award was not reviewable by the Court of Appeals. Although claimant raised a legal issue when he argued that the Court of Claims applied the wrong standard in rejecting his claim for loss of future earnings, the argument was without merit. The court properly required claimant to prove his entitlement to such damages by a reasonable certainty. The court's conclusion that he had not done so was premised on its record based factual findings which, as affirmed by the Appellate Division, were beyond review by the Court of Appeals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 256, 280; AM JUR

2d, False Imprisonment §§ 23, 98; AM JUR 2d, Municipal County, School, and State Tort Liability § 406.

CARMODY-WAIT 2d, Actions in the Court of Claims §§ 120:22–120:24; CARMODY-WAIT 2d, Discovery §§ 187:98, 187:99; CARMODY-WAIT 2d, Postjudgment Motions §§ 205:7, 205:13; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:14.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6, 27.2.

McKINNEY'S, Court of Claims Act § 8–b (5) (b); CPL 440.10 (1) (b).

NY JUR 2d, Criminal Law: Procedure §§ 1701, 3379, 3588; NY JUR 2d, Government Tort Liability §§ 156, 157.

PROSSER AND KEETON, TORTS (5th ed) § 11.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Disclosure; False Imprisonment and Arrest.

FIND SIMILAR CASES ON WESTLAW®

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Query: unjust /2 conviction & reversed & prosecutorial /2 misconduct & summary /2 judgment

POINTS OF COUNSEL

Harris & Panels, Syracuse (*Michael W. Harris* of counsel), *Bond, Schoeneck & King, PLLC*, Albany (*Carl Rosenbloom* of counsel), and *Law Office of Peter Wessel, PLLC*, New York City (*Peter Wessel* of counsel), for appellant-respondent. I. Under the circumstances of this case, the reduction of nonpecuniary damages to \$1,000,000 by the Appellate Division was legally erroneous and an abuse of discretion. (*Harris v State of New York*, 38 AD3d 144; *Carter v State of New York*, 139 Misc 2d 423; *Reed v City of New York*, 304 AD2d 1; *Donlon v City of New York*, 284 AD2d 13.) II. Claimant's uncontradicted evidence in the record conclusively established his claims for past lost earnings and impairment of future earning capacity. (*Thompson v State of New York*, 63 AD3d 825; *Lodato v Greyhawk N. Am., LLC*, 39 AD3d 494; *Walsh v State of New York*, 232 AD2d 939; *Karagianis v New York State Thruway Auth.*, 187 AD2d 1009; *Hoerner v Chrysler Fin. Co., L.L.C.*, 21 AD3d 1254; *McKay v Ciani*, 288 AD2d 587; *Matter of Commissioner of Social Servs. v Amine B.*, 223 AD2d 703; *Kotler v State of New York*, 255 AD2d 429; *Alferoff v Casagrande*, 122 AD2d 183; *Brock v State of New York*, 77 AD2d 670.)

Eric T. Scheiderman, Attorney General, Albany (Cecelia C. Chang, Barbara D. Underwood, Andrew D. Bing, Alison J. Nathan and Robert M. Goldfarb of counsel), for respondent-appellant. I. The Appellate Division's summary judgment liability determination should be reversed. (*Britt v State of New York*, 260 AD2d 6, 95 NY2d 753; *Leka v State of New York*, 16 AD3d 557; *Tyson v State of New York*, 182 Misc 2d 707, 280 AD2d 934; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Reno v Bull*, 226 NY 546; *Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Brunetti v Mussallam*, 11 AD3d 280; *United States v Agurs*, 427 US 97.) II. The Appellate Division's damages determinations should not be disturbed. (*Donlon v City of New York*, 284 AD2d 13; *People v Paige*, 16 NY3d 816; *Northern Westchester Professional Park Assoc. v Town of Bedford*, 60 NY2d 492; *Bernardine v City of New York*, 294 NY 361; *Duzon v State of New York*, 244 AD2d 189; *Auer v State of New York*, 289 AD2d 626; *Doe v State of New York*, 189 AD2d 199; *Carter v State of New York*, 139 Misc 2d 423, 154 AD2d 642; *Kotler v State of New York*, 255 AD2d 429.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Claimant in this action to recover for unjust conviction and imprisonment pursuant to section 8-b of the Court of Claims Act was convicted in December 1989, after a nonjury trial, of having committed various sex offenses against his daughter in December 1987 and February 1988 when the child was four years of age. The abuse allegedly occurred during claimant's weekend visits with the child; claimant and the child's mother were at the time estranged and in the middle of acrimonious divorce proceedings.

The most serious of the crimes for which claimant was convicted—rape, incest and sodomy—involved either genital or anal penetration. That element was established before the grand jury and at trial exclusively through the testimony of Dr. Nadine Sabbagh.¹ On examining the child some 3½ months subsequent to the alleged abuse pursuant to a referral by a Queens County Sex Crimes Squad detective, Dr. Sabbagh found numerous signs of anal and vaginal penetration and noted various

1. Although the child testified that she felt as if something had happened to her, she did not implicate her father.

genital abnormalities, most prominent among them that the child's hymen was missing. In her trial testimony, she stated repeatedly and emphatically that "there was definitely no hymen," and estimated that the child had been abused within 12 to 18 weeks of her examination "give or take four to six weeks," a period possibly encompassing claimant's weekends with the child the preceding December and February—the last unsupervised visits with his daughter claimant would have.

In January 1992, the Appellate Division, on direct review, reversed claimant's judgment of conviction and ordered a new trial (*see People v Baba-Ali*, 179 AD2d 725 [2d Dept 1992]). The reversal was premised upon the manner in which certain evidently exculpatory evidence had been dealt with, both by the trial prosecutor and defense counsel. That evidence consisted of a report of a full and evidently lengthy medical examination of claimant's daughter conducted by Dr. Daniel Hyman at the Children's Hospital of Philadelphia (CHOP) on February 15, 1988—just over a week after the most recent of the charged sex offenses—specifically to ascertain whether the child had been sexually abused, as her mother and pediatrician suspected.² No evidence of abuse was found. Indeed, Dr. Hyman made particular note in the hospital record of the absence of any external sign of abuse in the child's rectal and genital regions. The Appellate Division found that the CHOP records had "not even" been presented by the prosecutor to the grand jury (179 AD2d at 730) and had been inexcusably withheld from defense counsel until the eve of trial, even though they had been ordered to be disclosed and had been in the prosecutor's possession for months (*see id.* at 729-730). The Court found as well that defense counsel had been ineffective for failing timely to seek compliance with the trial court's order directing the People to turn over a complete set of medical records (*see id.* at 729), and for failing, once he had been given the CHOP records, to attempt to secure the testimony of Dr. Hyman or another independent expert (*see id.*). At the same time, however, the Court signaled

2. The child also was gynecologically examined to rule out sexual abuse two days before at Crozer-Chester Hospital. The records from that exam, which were entirely consistent with the subsequent CHOP exam findings—no signs of abuse having been detected—were turned over to defendant well in advance of trial, but their probative value was significantly compromised by the admittedly cursory quality of the exam, its subject reportedly having been completely uncooperative; the ensuing CHOP exam was performed to assure that the child had been fully evaluated. There is no allegation of prosecutorial misconduct with respect to the Crozer-Chester records.

its understanding that the prejudicial consequence of counsel's ineptitude had been heightened by the cited prosecutorial misconduct: "[h]ad the defendant known of the existence of those medical records well in advance of the trial, as he should have, there is a 'reasonable possibility' that the outcome of the trial would have been different (*see People v Vilardi*, 76 NY2d 67, 77)" (*id.* at 730).

The People moved to amend the Appellate Division's decision to delete its prosecutorial misconduct rationale. In submissions by the attorney who handled the matter on appeal and the trial prosecutor, the People stated that the last paragraph of the decision, in which that rationale was set forth, was superfluous and based on factual errors. They said it was not true that the prosecutor withheld the CHOP records from defendant's attorney for months and asserted that the existence of the records had been known to defendant long before the trial. In this connection, the trial prosecutor affirmed that she had turned over the CHOP records shortly after she received them in February 1989, some 10 months before the trial. She acknowledged giving defendant's attorney copies of the records just prior to trial,³ but explained that she did so because defendant's attorney had misplaced some of the originally turned over documents. The appeals bureau affiant apologetically offered that he may have inadvertently misled the appellate panel by representing that the records had been turned over just before trial; he claimed not to have known at the time of the appeal's briefing and argument that the records had, in addition, been given to defendant months in advance of trial.

Defendant's appellate counsel filed a reply, noting, *inter alia*, that there was no documentary confirmation (i.e., on the voluntary disclosure form or in the court minutes) that the CHOP records had, in fact, been turned over in February 1989; that, if those records had then been turned over, appellate counsel, who was intimately familiar with the matter having recently handled the People's response to defendant's CPL 440.10 motion, would surely have been aware of it; and that there was reason to suppose that the People were in possession of the CHOP records well before February 1989, since in responding to defendant's motion to dismiss the indictment by reason of the People's failure to present exculpatory evidence to the grand jury, the trial prosecutor did not represent that she did not have the CHOP

3. This was the only turnover reflected in the trial transcript.

records and, accordingly, could not present them, but rather urged that the records were not exculpatory.

The motion to amend was denied by the Appellate Division without explanation by order dated March 12, 1992.

Before retrying claimant, the People, in May 1992, had the child reexamined at New York Hospital by Dr. Philip W. Hyden, Director of the hospital's Child Protection Team. He reported that, although there were some genital abnormalities possibly indicative of prior abuse, "the presence of the hymen is in direct conflict with a previous examination [that of Dr. Sabbagh] which indicated its complete absence."⁴ Thereafter, the indictment was dismissed on the People's motion.

Following his release from prison, claimant, in May 1993, commenced this action. The State moved to dismiss upon the ground that claimant's wrongful conviction had not been found to have been actionably eventuated. In this connection the State pointed out that section 8-b of the Court of Claims Act would only permit recovery in a situation such as this one, where there had been a reversal and a remand for a new trial, if the claimant's conviction had been reversed and the indictment dismissed on a ground set forth in CPL 440.10 (1) (a), (b), (c), (e) or (g) (Court of Claims Act § 8-b [3] [b]; [5] [b]). It argued that claimant's judgment of conviction was reversed principally on the ground of ineffective assistance of counsel—one not included in section 8-b's enumeration of permissible CPL 440.10 predicates—and that the Appellate Division's other ground for reversal—that there had been a *Brady* violation—also did not correspond to a cognizable section 8-b predicate.⁵

Claimant opposed the State's motion and cross-moved for summary judgment as to liability, arguing that the Appellate Division's reversal along with certain documentary evidence, established that claimant's conviction had been procured by

4. As is well known, and as Dr. Hyden in any case explained in an affidavit submitted in this action, hymenal tissue does not regenerate; if the child's hymen was missing at the time of Dr. Sabbagh's examination, it could not have been present at any subsequent examination.

5. Conspicuously omitted as a ground for Court of Claims Act § 8-b recovery is that set forth in CPL 440.10 (1) (h), namely, that "[t]he judgment was obtained in violation of a right of the defendant under the constitution of this state or of the United States." Ineffective assistance and *Brady* claims fit within the description of paragraph (h). Reversals based upon noncompliance with pretrial disclosure obligations have also been deemed to fall within the category described by CPL 440.10 (1) (f). But that paragraph too is excluded from the section 8-b enumeration.

prosecutorial misconduct amounting to fraud and thus fell within the description of CPL 440.10 (1) (b), one of the grounds included in the Court of Claims Act § 8-b (3) (b) and (5) (b) enumeration.

The Court of Claims (Nadel, J.) denied the State's motion and claimant's cross motion. It found that the Appellate Division's reversal of claimant's conviction had been, at least in part, for prosecutorial misconduct rising to the level of misrepresentation or fraud. Judge Nadel thus concluded that there was a sufficient reversal predicate for claimant's Court of Claims Act § 8-b claim, at least for purposes of determining whether a viable claim was presented. He, however, denied the cross motion for summary judgment because claimant, as the motion's proponent, had not shown by clear and convincing evidence (*see* Court of Claims Act § 8-b [5] ["In order to obtain a judgment in his favor, claimant must prove (the elements of his or her claim) by clear and convincing evidence"]) the absence of triable issues respecting the State's liability.

The Appellate Division in the decision and order now principally at issue affirmed the denial of the State's motion to dismiss but reversed the denial of claimant's cross motion, awarding claimant summary judgment upon the issue of liability (20 AD3d 376 [2d Dept 2005]). The Court agreed with claimant (and the Court of Claims) that its reversal of the judgment of conviction was premised, at least in part, upon prosecutorial misconduct amounting to fraud. Unlike the Court of Claims, however, the Appellate Division found no residual factual question as to whether there had been fraud by the prosecutor, or as to whether the other elements of claimant's Court of Claims Act § 8-b claim had been established by clear and convincing evidence (*id.* at 377-378). It said:

"The prosecutor's deliberate withholding of evidence which tended to exonerate the claimant constituted a 'fraudulent act,' which is '[c]onduct involving bad faith, [or] dishonesty,' (Black's Law Dictionary 687 [8th ed 2004]), as well as a 'fraud on the court,' which is 'a lawyer's . . . misconduct [in a judicial proceeding] so serious that it undermines . . . the integrity of the proceeding' (*id.* at 686)" (20 AD3d at 377).

After a trial on the issue of damages, the Court of Claims awarded claimant nonpecuniary damages in the amount of

\$1,750,000 and \$343,428 in past lost earnings (24 Misc 3d 576 [2009]). No award for loss of future earnings was made. On the ensuing appeal by the State and cross appeal by claimant, the Appellate Division modified solely to reduce the nonpecuniary damage award to \$1 million (76 AD3d 940 [2d Dept 2010]).

The present appeals followed, pursuant to leave grants by this Court. Defendant State now challenges the liability finding made on summary judgment by the Appellate Division and, moreover, urges that its motion to dismiss the claim should have been granted. Claimant challenges the Court of Claims' damage awards, both as affirmed and as modified by the Appellate Division: he maintains that the award for past lost earnings was inadequate, that the denial of an award for future loss of earnings was in error, and that the Appellate Division's reduction of the award for nonpecuniary damages was unjustified. We modify to deny claimant's motion for summary judgment as to liability, and otherwise affirm.

It is, to begin, clear that the criminal case against claimant was deeply and irredeemably flawed. The CHOP records, properly understood, exculpated claimant. As Dr. Daniel Hyman would later set forth more comprehensively in affidavit form,⁶ those records documented his examination of the child at CHOP on February 15, 1988 specifically for the purpose of ruling out recent sexual abuse. No injury or abuse of any kind was detected. After exhaustively detailing the procedures followed during his full examination and his negative abuse findings—including most notably that the child had an intact hymen—Dr. Hyman stated,

“In my opinion, with[in] a reasonable degree of medical certainty, there was no physical examination evidence that [the child] was raped or sodomized as of the date of my examination of [the child] on February 15, 1988; assuming the accuracy of the records of Dr. Sabbagh, there was evidence to substantiate the further conclusion that [the child] was raped, sodomized or otherwise sexually abused sometime after February 15, 1988.

“[] If Mr. Amine Baba-Ali was convicted for having on February 6-7, 1988 and December 25-26, 1987

6. This affidavit was obtained by defendant and submitted in support of his CPL 440.10 motion for post-conviction relief.

caused the injuries to his daughter that resulted in the abnormalities observed by Dr. Sabbagh during her May 26, 1988 examination of [the child] then a terrible injustice has occurred because Mr. Baba-Ali was convicted for having committed crimes that occurred after, not before, the date of my examination.”⁷

According to Dr. Hyman, he was never contacted about the matter by the office of the Queens District Attorney and spoke only once (i.e., without any follow-up) to a criminal defense attorney.

The Appellate Division in the decision and order we now review plainly and reasonably attributed the underlying prosecution’s miscarriage to the late introduction of the exculpatory CHOP records into the criminal proceeding’s evidentiary calculus. And, indeed, it should involve no supposition to conclude that had those records timely been accorded the attention they deserved, there would have been no indictment, much less a conviction.

It is true that the Appellate Division premised its reversal of claimant’s conviction on findings that claimant had been denied effective assistance of counsel and that there had been a *Brady* violation, and that neither of those grounds for reversal itself qualifies as a predicate for a Court of Claims Act § 8-b claim (see *supra* at 633 n 5). It is, however, also true that, as Judge Nadel noted, the Appellate Division, even while not considering the matter in a CPL 440.10 context, identified, in addition to those non-actionable constitutional violations, an element of prosecutorial misconduct going well beyond a simple *Brady* violation—one consistent with the sort of misrepresentation and fraud described by CPL 440.10 (1) (b). There is no dispute that if claimant’s conviction was reversed and the indictment dismissed upon the ground that the conviction was procured by misrepresentation or fraud within the meaning of CPL 440.10 (1) (b), there exists a Court of Claims Act § 8-b (3) (b) predicate for the present action.

In support of its motion to dismiss, the State contends that the Appellate Division did not actually premise its reversal on prosecutorial misconduct. The decision itself, however, reads to

7. Dr. Hyman’s assumption that Dr. Sabbagh’s report had been accurate would prove generous. As noted, her abuse findings—the only such findings in the case—were completely discredited by the authoritative independent examination report of Dr. Hyden, finally obtained by the People after the by then 2½-year-old conviction had been reversed on appeal.

the contrary,⁸ and the Appellate Division's denial of the People's motion to amend its decision to delete as unnecessary its discussion of the prosecutor's lengthy and purposeful withholding of the potentially exculpatory CHOP records, suggests, at the very least, that the Court did not view the objected to language as dispensable or tangential. The Court's subsequent gloss of its decision of the criminal appeal in the decision we now review, where it explicitly found that the prosecutor's deliberate withholding of exculpatory material amounted to a fraud on the court within the description of CPL 440.10 (1) (b) (*see* 20 AD3d at 377), would seem to be authoritative, at least as to whether that same Court had intended fraud to be a ground for reversing the subject judgment of conviction. Whether the Appellate Division was correct in folding prosecutorial fraud into its rationale for reversal and deeming fraud to have been established as a matter of law is another question. For purposes of presenting a claim pursuant to Court of Claims Act § 8-b (3) (b), it is sufficient that there is documentary evidence to place the claim within one of the allowed CPL 440.10 predicates. That requirement was met here by the Appellate Division's decisions.

The State's more substantial argument for dismissal of the claim is that, even if there was misrepresentation by the prosecutor, claimant will be unable to show, as he must to recover, that that was the procuring cause of his conviction (*see* Court of Claims Act § 8-b [5] [b] *and* CPL 440.10 [1] [b]). The State argues that any claim that nondisclosure operated to procure the verdict must be defeated by the circumstance that the CHOP records were in the end disclosed, even if belatedly, and placed in evidence for consideration by the factfinder. We cannot agree, however, that an eleventh hour turnover would invariably so neatly sever the causal link between prolonged suppression of exculpatory evidence and a guilty verdict. Here, the Appellate Division found, and we agree, that had the records been turned over well in advance of trial a different outcome would have been reasonably possible. Indeed, if the significance of the records had been properly conveyed and understood, an acquittal would have been the only rational outcome.

8. Indeed, the decision states in so many words, "We find merit to the defendant's challenge to his judgment of conviction premised on the claimed ineffective assistance of trial counsel *and on the prosecutor's misconduct in withholding the CHOP medical records*, which contained potentially exculpatory medical evidence, until the eve of trial" (*People v Baba-Ali*, 179 AD2d at 728-729 [emphasis added]).

The CHOP records, although facially reflective of a full physical examination that disclosed no signs of abuse, consisted of hospital forms filled out with check marks and brief notations; the records contained no narrative account of the examination or of the examiner's findings. While the presence of an intact hymen was inferable from the notation that there were "no external signs of [rectal or genital] abuse,"⁹ there was no express statement specifically noting an extant hymen. The records, then, required some expert explanation if the full significance of the documented examination was effectively to be communicated to the factfinder. Any suppression of these uniquely probative documents¹⁰ that functioned to diminish their exculpatory utility may in this highly sensitive context have been a procuring cause of claimant's wrongful conviction.

[1] Even with defense counsel's representational shortcomings, the possibility cannot now be excluded that he would have realized the very considerable exculpatory potential of the CHOP records, if they had been turned over to him in timely fashion. Counsel plainly recognized that the records were exculpatory; his efforts to make use of them although clumsy and ineffective when they took place, might well have been significantly more efficacious had they been undertaken months before. The relation between counsel's ineffectiveness, any disclosure delay and the verdict is factually complex. We do not think it possible to determine as a matter of law that the wrongful verdict against claimant was properly attributable solely to counsel's inadequate representation, and concomitantly that it was not also significantly and actionably procured by the alleged prosecutorial misconduct. Whether there was procuring fraud is on this record an issue for the factfinder. This brings us somewhat anticipatorily to the question of whether the Appellate Division's grant of summary judgment to claimant on the issue of liability was proper.

Although there is evidence in the present record to support the imposition of liability on a procuring fraud theory—

9. Although the trial court and prosecutor made much of this notation's use of the term "external," it is clear from the expert affidavits now of record, including that of Dr. Hyman, that an external gynecological exam involves, *inter alia*, visualization of the hymen.

10. As noted there was no other complete pelvic examination of the child proximate to the dates of the alleged abuse. The evidence of the exam was critically important particularly where the People, although aware of the earlier exam, had elected to rely on an exam conducted months later that purported to disclose abuse of highly uncertain vintage.

evidence from which it might be reasonably inferred that, as the Appellate Division found, the trial prosecutor deliberately suppressed the CHOP records until the eve of trial, and by thus frustrating defendant's use of the records induced the conviction of an innocent man—the question immediately before us is whether, solely on such evidence, the Appellate Division's grant of summary judgment as to liability was proper. We cannot conclude that it was. The submissions placed before the court in support of the summary judgment motion in their more complete aspect raise triable issues, not only as to whether any withholding of the exculpatory records was, in fact, the procuring cause of claimant's conviction, but also as to the timing of the disclosure of those records and the intent of the prosecutor. A grant of summary judgment must be based on evidence "sufficient . . . to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). That standard is not met here.

While, in considering defendant's motion to dismiss claimant's Court of Claims Act § 8-b claim it was appropriate to assume the truth of claimant's documented allegations, in now considering claimant's summary judgment motion that assumption must give way; the question is not simply whether claimant has a claim, but whether he has by his submissions actually clearly and convincingly proved one.

The issue of fraud in the underlying prosecution, although adequately presented, has not yet been conclusively litigated. While the Appellate Division in looking back at its decision reversing claimant's conviction apparently understood the issue to have been decided, if it was decided, it was only upon the apparent concession of the attorney who handled the appeal for the People to the effect that the CHOP records had not been turned over until just before the trial.¹¹ As the submissions on the motion to amend from dehors the appellate record showed, however, the pivotal factual question of the disclosure's timing was actually closely disputed and presented sharply defined credibility issues. The Appellate Division's denial of the motion to amend did not and could not properly resolve that triable question; the denial, correctly understood, represented no more than an exercise of discretion as to whether there had been a

11. There would have been no other basis for the Court's fixing of the turnover date since the Court was careful to note in its decision's decretal paragraph that "[n]o questions of fact have been raised or considered" (*People v Baba-Ali*, 179 AD2d at 725).

sufficient reason advanced for the Court to take the extraordinary step of making a very significant substantive excision from a decision which, in its relevant parts, fairly reflected representations previously made by the party seeking the change. However appropriate that denial may have been within the immediate context of the criminal appeal, it should not be accorded broader preclusive effect. The People's appellate concession should not now be collaterally binding as against the State in its defense of the present Court of Claims Act § 8-b claim. Proof of a matter, particularly one as serious as prosecutorial fraud, cannot be clear and convincing if it is not shown to be actually rooted in the facts, but is instead based in essential part solely on an attorney's second-hand impression of the facts. If it is found, as the trial prosecutor repeatedly represented during the criminal proceedings in opposing the assertedly belated efforts of claimant's attorney to use the CHOP documents, that the disputed exculpatory materials were turned over to claimant in February 1989, months in advance of the trial, there can be no tenable claim of fraud. If, however, it is found that the records were, in fact, withheld until the eve of trial, the fraud claim will be viable but will require for its determination the resolution of other material factual issues, namely, whether the prosecutor's withholding of the exculpatory material amounted to a "deliberate tactical concealment" (*see Leka v Portuondo*, 257 F3d 89, 103 [2d Cir 2001]), and, as discussed above, whether the wrongful conviction was procured by the withholding. The Appellate Division was not wrong to think on its review of the record that claimant could prove even these unusually exacting elements of his fraud claim, it erred only to the extent that it held he did.

[2, 3] Turning finally to claimant's appeal, the predominantly factual issues presented are for the most part unreviewable in this Court. Indeed, where, as here, the Appellate Division reviews a judgment after a nonjury trial it has virtually plenary power to "render the judgment it finds warranted by the facts" (*Northern Westchester Professional Park Assoc. v Town of Bedford*, 60 NY2d 492, 499 [1983]). We perceive no basis to conclude that the Appellate Division exceeded that power in reducing claimant's nonpecuniary damage award as it did. Claimant's challenge to the adequacy of the award for lost earnings is simply an assertion that the affirmed facts, fairly interpreted, warranted a larger recovery. That is not a claim we can pass upon. Last, while claimant raises a legal issue when he argues

that the Court of Claims applied the wrong standard in rejecting his claim for loss of future earnings, the argument is without merit. The court properly required claimant to prove his entitlement to such damages “by a reasonable certainty” (see *Shubuck v Conners*, 15 NY3d 871, 872 [2010]). The court’s conclusion that he had not done so was premised on its record based factual findings which, as affirmed, are beyond our review (see *Cannon v Putnam*, 76 NY2d 644, 651 [1990]).

Accordingly, the order of the Appellate Division should be modified, without costs, by denying claimant’s motion for summary judgment on the issue of liability and remitting to the Court of Claims for further proceedings in accordance with this opinion and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Judge READ taking no part.

Order modified, etc.

[975 NE2d 907, 951 NYS2d 461]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JESSIE VELEZ, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VINCENT RODRIGUEZ, Appellant.

Argued May 29, 2012; decided June 28, 2012

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 14, 2010. The Appellate Division (1) reversed, on the law, a judgment of resentence of the Supreme Court, Bronx County (Efrain L. Alvarado, J.), which had resented defendant to a term of imprisonment of nine years with five years' postrelease supervision, (2) vacated the resentence, and (3) reinstated the original sentence without postrelease supervision.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 20, 2011. The Appellate Division affirmed a judgment of resentence of the Supreme Court, New York County (Daniel P. FitzGerald, J.), which had resented defendant to an aggregate term of imprisonment of 10 years with five years' postrelease supervision.

People v Velez, 79 AD3d 542, affirmed.

People v Rodriguez, 88 AD3d 557, affirmed.

HEADNOTES

Crimes — Sentence — Correction of Erroneous Sentence — Failure to Include Term of Postrelease Supervision — Noncompliance with Statutory Deadlines

1. Failure to comply with Correction Law § 601-d (4) (d), which imposes a 40-day deadline for resentencing a defendant whose original sentence erroneously failed to include a term of postrelease supervision, does not invalidate the resentencing. The statute does not say that no person may be resented if the 40-day deadline (or any of the other deadlines listed in subdivision [4]) is not met, although the Legislature could easily have so provided. Moreover, the legislative history of section 601-d is persuasive that the deadlines in that section were not intended to be a limitation on a court's power to resentence. The statute should therefore be construed not to bar a resentencing after the 40-day deadline has passed, at least where the delay was not egregious and

where there was no suggestion that it was willfully caused by the People or that defendant was prejudiced.

Crimes — Sentence — Correction of Erroneous Sentence — Double Jeopardy

2. Defendant's resentencing to impose an illegally omitted term of post-release supervision was barred by the Double Jeopardy Clause of the Federal Constitution where his resentencing took place after his original sentence had expired. Even where a defendant's sentence is illegal, there is a legitimate expectation of finality once the initial sentence has been served and the direct appeal has been completed or the time to appeal has expired. Moreover, a defendant may not be resentenced where a proceeding to resentence him or her had begun, but he or she had not actually been resentenced before the original sentence expired. Prohibiting resentencing after the original sentence has been completed promotes clarity, certainty and fairness. To otherwise provide that the expectation of finality ends when a resentencing proceeding begins would undermine clarity, because the moment when a proceeding pursuant to Correction Law § 601-d to correct a sentencing error begins is hard to fix.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 275, 276, 296, 859, 862.
CARMODY-WAIT 2d, Exemption from Prosecution by Reason of Previous Prosecution § 185:53; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:209, 203:210, 203:213, 203:214.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.7.
MCKINNEY'S, Correction Law § 601-d (4) (d).
NY JUR 2d, Criminal Law: Procedure §§ 1931, 1958, 2927, 2928, 3178, 3179.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

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Query: resentenc! /p prs /s omit! fail! & 40-day

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Bari L. Kamlet and Joseph N. Ferdenzi of counsel), for appellant in the first above-entitled action. I. The Court's decision and order vacating defendant's resentence and reinstating defendant's original sentence without a period of postrelease supervision was erroneous in light of People v Lingle (16 NY3d 621 [2011]) and People v Sharlow (16 NY3d 621 [2011]) and must be reversed.

(*People v Williams*, 14 NY3d 198; *People v Sparber*, 10 NY3d 457.) II. Defendant cannot argue that his resentencing was precluded under Correction Law § 601-d when he acquiesced to necessary adjournments generated for his benefit or caused by the court's consideration of defendant's objections to resentencing. (*People v Cona*, 49 NY2d 26; *People v Sparber*, 10 NY3d 457; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People ex rel. McLaughlin v Board of Police Commrs. of City of Yonkers*, 174 NY 450; *Selzer v Baker*, 295 NY 145; *People v Jordan*, 16 NY3d 845; *People v Acevedo*, 17 NY3d 297.)

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for respondent in the first above-entitled action. I. The court's addition of five years' postrelease supervision to respondent's sentence after that sentence had been completed, and after the People's time to challenge the sentence's legality expired violated double jeopardy. (*People v Williams*, 14 NY3d 198; *People v Lingle*, 16 NY3d 621; *People v Catu*, 4 NY3d 242; *People v Louree*, 8 NY3d 541; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *Earley v Murray*, 451 F3d 71, 462 F3d 147.) II. The court's failure to impose resentence within the 40-day time limit fixed by Correction Law § 601-d (4) (c) and (d) rendered the resentence untimely and unlawful, or in the alternative, created its own constitutionally enforceable expectation of finality. (*People v Liotta*, 79 NY2d 841; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Ballman*, 15 NY3d 68; *People v Paulin*, 17 NY3d 238; *People v Santiago*, 17 NY3d 246; *United States v DiFrancesco*, 449 US 117; *People v Williams*, 14 NY3d 198; *People v Lingle*, 16 NY3d 621.)

Center for Appellate Litigation, New York City (Mark W. Zeno and Robert S. Dean of counsel), for appellant in the second above-entitled action. The court's failure to impose resentence within the 40-day time limit fixed by Correction Law § 601-d (4) (d) rendered the resentence untimely and unlawful, or in the alternative, created its own constitutionally enforceable expectation of finality. (*People v Catu*, 4 NY3d 242; *People v Louree*, 8 NY3d 541; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *Earley v Murray*, 451 F3d 71, 462 F3d 147; *People v Liotta*, 79

NY2d 841; *People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198; *People v Savery*, 90 AD3d 1505; *People v Becker*, 72 AD3d 1290.)

Cyrus R. Vance, Jr., District Attorney, New York City (John B.F. Martin and Alan Gadlin of counsel), for respondent in the second above-entitled action. Correction Law § 601-d does not prevent the court from exercising its inherent authority to correct an unlawful sentence and therefore the court properly resentenced defendant. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *People v Sturgis*, 69 NY2d 816; *People v Dodson*, 48 NY2d 36; *People v DeValle*, 94 NY2d 870; *People v Williams*, 87 NY2d 1014; *People v Wright*, 56 NY2d 613; *People v Minaya*, 54 NY2d 360; *People v Savery*, 90 AD3d 1505; *People v Becker*, 72 AD3d 1290, 15 NY3d 747.)

OPINION OF THE COURT

SMITH, J.

Correction Law § 601-d provides a procedure for resentencing defendants in cases where the original sentence illegally omitted a term of postrelease supervision (PRS). In these two cases, defendants claim that their resentencings under the statute were untimely, and therefore invalid. Both defendants rely on the failure of the courts that resentenced them to meet a deadline contained in the statute; defendant Jessie Velez also complains that his resentencing took place after his original sentence had expired, and thus violated constitutional prohibitions on double jeopardy.

We hold that the failure to meet the statutory deadline does not impair the validity of the resentencings in these cases. We agree with Velez, however, that his resentencing was barred by double jeopardy under our decision in *People v Williams* (14 NY3d 198 [2010]).

I

Both defendants were convicted of violent felonies—Velez of burglary and defendant Vincent Rodriguez of assault. Both received determinate sentences of imprisonment (*see* Penal Law § 70.02 [2] [a]). Their sentences were required by law to include a period of PRS (Penal Law § 70.00 [6]; § 70.45 [1]), but in each case the court failed to impose a PRS term. We held in *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358, 360 [2008]) that the Department of Correctional Services

(DOCS) (now the Department of Corrections and Community Supervision) cannot remedy such an error by administrative action: “only a judge may impose a PRS sentence.” We said in *Garner* that our holding was “without prejudice to any ability that either the People or DOCS may have to seek the appropriate resentencing” (*id.* at 363 n 4).

The Legislature responded to *Garner* by enacting Correction Law § 601-d. That statute provides for a procedure to be initiated by DOCS where a person in DOCS’s custody, or under its supervision, was given a determinate sentence which was required by law to include PRS, but where DOCS’s records do not show that a PRS term was actually imposed. In such a case, DOCS must “make notification of that fact to the court that sentenced such person, and to the inmate or releasee” (Correction Law § 601-d [2]). The court, when it receives the notification, “shall promptly seek to obtain sentencing minutes, plea minutes and any other records and shall . . . conduct any reconstruction proceedings that may be necessary” (Correction Law § 601-d [4] [b]). The statute contains a series of deadlines, all running from the date the court receives DOCS’s notification: Within 10 days, the court is required to appoint counsel for the defendant and to calendar a court appearance (Correction Law § 601-d [4] [a]); within 20 days, an initial court appearance must occur (*id.*); within 30 days, the court “shall commence a proceeding to consider resentence” (Correction Law § 601-d [4] [c]); and within 40 days after receiving the notification, the court “shall . . . issue and enter a written determination and order” (Correction Law § 601-d [4] [d]).

In both of these cases, DOCS sent notices to the sentencing courts and to defendants pursuant to section 601-d. In both cases, the resentencings were delayed.

The notice in *Velez* was sent on October 14, 2008. At that time, though Velez had been conditionally released, after serving more than seven years of his nine-year prison sentence, the full term of the sentence had not expired. An initial court appearance (at which Velez’s presence was excused) took place on November 17, 2008. The court and counsel tried to obtain minutes of the original sentencing, but that proved difficult; after several adjournments, the court finally received a copy of the minutes, which it supplied to counsel on April 8, 2009. By then, not only had the statutory 40-day deadline passed, but the maximum term of Velez’s prison sentence had expired, on March 3, 2009. Velez was resentenced on June 18, 2009.

In *Rodriguez*, DOCS sent its notice on April 23, 2010. For reasons not clear from the record, Rodriguez was not resentenced until June 18, 2010, concededly beyond the statutory 40-day limit. Rodriguez, unlike Velez, was still serving his original sentence at the time of his resentencing.

The Appellate Division reversed in *Velez* and vacated Velez's sentence on double jeopardy grounds. The court relied on *People v Williams* and said that "the controlling date for double jeopardy purposes under *Williams* is the date of release from prison, not the expiration date of the sentence" (*People v Velez*, 79 AD3d 542 [1st Dept 2010]). The Appellate Division affirmed in *Rodriguez*, concluding that the resentencing "was neither barred by double jeopardy nor otherwise unlawful" (*People v Rodriguez*, 88 AD3d 557 [1st Dept 2011]). Judges of this Court granted leave to appeal to the People in *Velez* (17 NY3d 802 [2011]) and to Rodriguez (18 NY3d 886 [2012]), and we now affirm the Appellate Division order in each case.

II

[1] We conclude that the violations of the 40-day deadline in these cases do not invalidate the resentencings.

The statute does not say that no person may be resentenced if the 40-day deadline (or any of the others listed in subdivision [4] of the statute) is not met. The only language that describes the consequences of missing a deadline is in subdivision (6), which says that if DOCS is not notified that the court has made a timely determination, DOCS "may notify the court that it has not received a determination and, in any event, shall adjust its records with respect to post-release supervision noting that the court has not, in accordance with subdivision four of this section, imposed a sentence of post-release supervision" (Correction Law § 601-d [6]). Thus, the People argue, the only effect of a tardy ruling is to allow DOCS to send another notification and to require it to make a notation in its records.

Defendants argue that the Legislature could not have meant a breach of the statutory deadlines to be of so little importance. They point out that the Legislature not only enacted the deadlines, but enacted specific, and quite limited, provisions for extending them: The defendant "may, with counsel, knowingly consent to extend" the 30-day and 40-day deadlines and the People "may apply to the court for an extension of ten days on the basis of extraordinary circumstances that preclude final resolution" of the resentencing issue within the statutory period

(Correction Law § 601-d [4] [e]). Why, defendants ask, would the Legislature regulate so strictly the extension of deadlines that have no substantive significance? The question is a fair one; but the fact remains that the Legislature did not say, as it could easily have said, that resentencings after the 40-day deadline are forbidden.

We find in the text of the statute no conclusive answer to whether the authors of the statute intended the deadlines to be a limitation on a court's power to resentence. There is specific discussion of that issue, however, in the legislative history, which persuades us to read the statute as the People do.

Section 601-d was part of a Governor's program bill (*see* Division of Budget Bill Mem, Bill Jacket, L 2008, ch 141, at 14). Thus interested agencies in the Executive Department, and the Governor, might be expected to know what the legislation was intended to mean. One interested agency, and the Governor himself, expressed themselves directly on the point that concerns us. The Division of Criminal Justice Services said, in a letter commenting on the bill, that "[i]f the statutory timeframes are not adhered to, there is nothing in the bill that prohibits resentencing of the inmate/releasee at a later date" (Letter of Denise E. O'Donnell to Hon. David Nocenti, June 26, 2008, Bill Jacket, L 2008, ch 141, at 21). And the Governor observed, in his memorandum approving the bill:

"re-sentencing is not precluded if a court fails to issue a decision within the mandated time. Instead, DOCS or Parole will be required to revise their records to reflect the absence of a PRS term. If the court later re-sentences the defendant to impose such a term, of course, the agencies would follow that judicial direction by again revising their records accordingly." (Governor's Approval Mem, Bill Jacket, L 2008, ch 141, at 6, 2008 McKinney's Session Laws of NY, at 1653-1654.)

We have found no comments from members of the Legislature that directly address our issue. However, a memorandum by the bill's sponsor stresses the importance of imposing PRS where it is warranted: "There would be unacceptable consequences for public safety if custody or supervision ended when it should be continued" (Senate Introducer's Mem in Support, Bill Jacket, L 2008, ch 141, at 11, 2008 McKinney's Session Laws of NY, at 1820). It is reasonable to infer that the Legislature would not

have wanted to endanger public safety solely because a timetable was not met.

We therefore interpret the statute not to bar a resentencing after the 40-day deadline of Correction Law § 601-d (4) (d) has passed, at least in cases like these, where the delays were not egregious, and where nothing suggests that they were willfully caused by the People or that they prejudiced defendants. We need not consider whether different cases would call for different results.

III

While both defendants make double jeopardy arguments, we find Rodriguez's to be without merit. We conclude, however, that Velez's resentencing was barred by double jeopardy.

[2] The controlling case on this issue is *Williams*, in which we held that, where a sentence is no longer subject to appeal, the Double Jeopardy Clause of the Federal Constitution forbids a resentencing to add PRS after the original sentence is completed. We said in *Williams*:

“Even where a defendant's sentence is illegal, there is a legitimate expectation of finality once the initial sentence has been served and the direct appeal has been completed (or the time to appeal has expired). In these situations, the sentences are beyond the court's authority and an additional term of PRS may not be imposed” (14 NY3d at 217).

The Appellate Division held that Velez was protected against resentencing by the rule of *Williams*, because he had been conditionally released, and thus his sentence had been “served,” before he was resentenced (79 AD3d at 542). This rationale was mistaken, as Velez concedes; after the Appellate Division decision in *Velez*, we held in *People v Sharlow* (companion case to *People v Lingle*, 16 NY3d 621, 630-631, 631 n 1 [2011]) that a defendant who is conditionally released before his sentence expires has not served his sentence within the meaning of *Williams*. But, as Velez points out, the Appellate Division's error was immaterial in his case, because his full nine-year sentence expired on March 3, 2009, more than three months before he was resentenced.

The People argue that Velez cannot benefit from *Williams* because a proceeding to resentence him had begun—though he had not actually been resentenced—before his original sentence

expired. We reject the argument. *Williams* says that “once the initial sentence has been served . . . an additional term of PRS may not be *imposed*” (14 NY3d at 217 [emphasis added]). Under *Williams*, a defendant acquires a “legitimate expectation of finality” when his sentence has been fully served, and the sentence may not then be enhanced by adding a term of PRS, even though the defendant may be—as the defendants in *Williams* itself were—on notice that his original sentence was illegal. The beginning of a resentencing proceeding cannot affect that “legitimate expectation” because under the theory of *Williams* a defendant can have such an expectation even when he knows of the defect in his original sentence.

It was part of our purpose in *Williams* to identify “a temporal limitation on a court’s ability to resentence a defendant” (*id.*)—a clear point in time at which a resentencing to add PRS is constitutionally barred. As we said in *Lingle*, “our rule in *Williams* . . . promotes clarity, certainty and fairness” (16 NY3d at 631). The rule the People suggest—that the expectation of finality ends when a resentencing proceeding begins—would undermine clarity, because the moment when a Correction Law § 601-d proceeding begins is hard to fix. The People implicitly admit this by declining to choose a specific beginning date: They say only that it begins “at the latest” on the date of the first court appearance in the resentencing process. They do not argue that the beginning date is the one on which DOCS sends its notification to the court; while that date does initiate the resentencing proceeding in a sense, it could hardly affect a defendant’s “expectation of finality,” because the defendant does not know the notification has been sent until he receives it. And to say that the proceeding begins when the defendant receives the notification is unsatisfactory, because the date of receipt will often be hard to prove: How is a court to know when a defendant, whether in prison or on conditional release, actually received or should be deemed to have received his mail? The date of the first court appearance is also an unsatisfactory beginning date, because the proceeding has obviously begun some time before that, and the appearance itself cannot affect defendant’s “legitimate expectation.” On the first court date the defendant may not even be personally present—as Velez was not.

The People argue that, if a resentencing proceeding that is begun before defendant’s original sentence expires may not be completed after the expiration date, defendants will have an incentive to stall. We do not think this problem should be a

major one. The expiration date of a defendant's original sentence is, or easily can be, known in advance to DOCS, the prosecutors and the court. DOCS should be able, in most cases, to notify the court of the need for resentencing well in advance of the expiration date, and courts and prosecutors can simply refuse adjournments that would take the proceeding beyond that date.

It should rarely, if ever, be impossible to complete the resentencing process before a defendant's term of imprisonment expires. It is no doubt sometimes preferable to wait, as Supreme Court did in *Velez*, until the original sentencing minutes are available. Having those minutes enables a court to be sure that a resentencing is necessary—that the defendant was not sentenced to PRS already—and unnecessary resentencings might create problems in some contexts (*cf. People v Acevedo*, 17 NY3d 297, 299 [2011] [discussing the effect of resentencing on a “conviction’s utility as a predicate for enhanced sentencing” in other cases]). But it is not essential to have the sentencing minutes at the time a defendant is resentenced. Ordinarily if it turns out the resentencing was unnecessary, little harm will be done.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

In *People v Velez*: Order affirmed.

In *People v Rodriguez*: On review of submissions pursuant to section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11), order affirmed.

[978 NE2d 1231, 954 NYS2d 763]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WESTERN EXPRESS INTERNATIONAL, INC., et al., Defendants, and DOUGLAS LATTA et al., Appellants.

Argued September 5, 2012; decided October 18, 2012

SUMMARY

APPEALS, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 19, 2011. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, orders of the Supreme Court, New York County (Bruce Allen, J.), which had dismissed the enterprise corruption counts of the indictment as against defendants, and (2) reinstated those counts.

People v Western Express Intl., Inc., 85 AD3d 1, reversed.

HEADNOTE

Crimes — Enterprise Corruption — Cybercrime — Common Purpose and Ascertainable Structure

In a prosecution arising from the alleged trafficking of stolen credit card information via the Internet, the evidence presented to the grand jury was insufficient to support a count of enterprise corruption under Penal Law § 460.20 (1) (a) against four individual defendants, three purchasers of stolen credit card data (carders), and the president of the corporate defendant, which offered a digital currency exchange service on its websites to facilitate “carding.” Under the Organized Crime Corruption Act (Penal Law § 460.00 *et seq.*), a “criminal enterprise” is defined as a “group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity” (Penal Law § 460.10 [3]). While the People presented evidence of a pattern of illegal activity, they did not present evidence from which a petit jury could reasonably infer that that activity bore the requisite relation to a distinct criminal enterprise. The People’s proposed structure composed of buyers and sellers of stolen credit card information arrayed around the corporate defendant’s hub-like websites, drawn there by reason of the sites’ menu of facilitative services, did no more than describe a prevalent pattern evidently organic to the carding market, and was not indicative of a distinct, structured criminal enterprise. There was no hint that any of the market participants acted except for and according to their own particular interests, much less that their actions within the illicit market were somehow connected to the workings of a structured, purposeful criminal organization. While the corporate defendant may have sought to make its websites attractive to carders, the sites themselves presented simply as publicly accessible loci for the conduct of business, the legality of which turned in the end upon the independent agendas of individual users.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Extortion, Blackmail, and Threats §§ 208, 213, 214.

McKINNEY'S, Penal Law §§ 460.10 (3); 460.20 (1) (a).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 352, 355, 356, 358, 361.

ANNOTATION REFERENCE

See ALR Index under Credit Cards; Organized Crime.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: enterprise /2 corruption & common /2 purpose & ascertainable

POINTS OF COUNSEL

Douglas Latta, pro se, and *Center for Appellate Litigation*, New York City (*Jan Hoth* and *Robert S. Dean* of counsel), for Douglas Latta, appellant. Where appellant's web-based activities were based on ad hoc associations and not part of an "ascertainable structure," the evidence before the grand jury failed to establish the existence of a criminal enterprise under Penal Law § 460.10 (3) and thus, the Appellate Division erroneously reinstated the previously dismissed "enterprise correction" count. (*People v Bello*, 92 NY2d 523; *People v Jennings*, 69 NY2d 103; *People v Galatro*, 84 NY2d 160; *People v Pelchat*, 62 NY2d 97; *People v Besser*, 96 NY2d 136; *People v Wakefield Fin. Corp.*, 155 Misc 2d 775; *People v Cantarella*, 160 Misc 2d 8; *People v Yarmy*, 171 Misc 2d 13; *People v Conigliaro*, 290 AD2d 87; *Boyle v United States*, 556 US 938.)

Marianne Karas, Thornwood, for Vadim Vassilenko, appellant. The Appellate Division erroneously reinstated the previously dismissed "enterprise corruption" count where the grand jury evidence failed to establish defendant's participation in a criminal enterprise. (*People v Yarmy*, 171 Misc 2d 13; *People v Wakefield Fin. Corp.*, 155 Misc 2d 775; *People v Cantarella*, 160 Misc 2d 8; *People v Pustilnik*, 14 Misc 3d 1237[A], 2007 NY Slip Op 50407[U]; *People v Moscatiello*, 149 Misc 2d 752.)

Steven Banks, *Legal Aid Society*, New York City (*Allen Fallek* of counsel), for Lyndon Roach, appellant. The Appellate

Division erroneously reinstated the previously dismissed “enterprise corruption” count where the grand jury evidence failed to establish appellant’s participation in a criminal enterprise that had an “ascertainable structure.” (*Boyle v United States*, 556 US 938; *People v Newspaper & Mail Deliverers’ Union of N.Y. & Vicinity*, 250 AD2d 207; *People v Besser*, 96 NY2d 136; *United States v Turkette*, 452 US 576; *People v Conigliaro*, 290 AD2d 87; *People v Yarmy*, 171 Misc 2d 13; *People v Moscatiello*, 149 Misc 2d 752; *People v Manini*, 79 NY2d 561.)

Galluzzo & Johnson LLP, New York City (*Matthew J. Galluzzo* of counsel), for Angela Perez also known as Anna Ciano, appellant. The evidence before the grand jury was insufficient to sustain the charge of enterprise corruption. (*People v Pustilnik*, 14 Misc 3d 1237[A], 2007 NY Slip Op 50407[U]; *People v Wakefield Fin. Corp.*, 155 Misc 2d 775; *People v Moscatiello*, 149 Misc 2d 752; *People v Cantarella*, 160 Misc 2d 8; *People v Capaldo*, 151 Misc 2d 114; *Odom v Microsoft Corp.*, 486 F3d 541; *United States v Turkette*, 452 US 576; *United States v Patrick*, 248 F3d 11; *United States v Cagnina*, 697 F2d 915; *Richmond v Nationwide Cassel L.P.*, 52 F3d 640.)

Cyrus R. Vance, Jr., District Attorney, New York City (*David M. Cohn* and *Alan Gadlin* of counsel), for respondent. The evidence before the grand jury sufficiently established the existence of a criminal enterprise. (*People v Grant*, 17 NY3d 613; *People v Bello*, 92 NY2d 523; *People v Garson*, 6 NY3d 604; *People v Jennings*, 69 NY2d 103; *People v Besser*, 96 NY2d 136; *Boyle v United States*, 556 US 938; *United States v Turkette*, 452 US 576; *United States v Lemm*, 680 F2d 1193; *People v Graziano*, 34 AD3d 597; *People v Conigliaro*, 290 AD2d 87.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Appellants have been indicted for enterprise corruption (Penal Law § 460.20 [1] [a]), a class B felony, based in essential part on their commission of numerous predicate offenses.¹ There was proof before the grand jury that three of them—Douglas Latta, Lyndon Roach and Angela Perez—repeatedly purchased stolen

1. These included scheme to defraud, conspiracy, grand larceny, money laundering, possession of stolen property, and falsifying business records. No issue is before us respecting the sufficiency of the counts charging these offenses; this appeal concerns no more than the sufficiency of the evidence offered in support of the enterprise corruption count.

credit card data which they then used for fraudulent purposes, and that the remaining appellant, Vadim Vassilenko, through the company he controlled, defendant Western Express International, Inc. (Western Express), facilitated transactions by which the purloined credit card data was transferred.

Appellants' conduct, the People claim, was part of a larger enterprise to traffic in stolen credit card information. To make out the corrupt enterprise, the People adduced before the grand jury proof that Eastern European vendors of stolen credit card data engaged in Internet transactions with buyers in New York. There was also proof that, in consummating these transactions, buyers and sellers sometimes availed themselves of services offered by Western Express through its publicly accessible Internet websites. While Western Express's menu of services—i.e., check cashing, mail receiving, issuing money orders, digital currency exchange, and Russian/English translation—was superficially unremarkable, the services themselves being legal and admitting of legitimate utility in the conduct of international transactions, there was evidence that some Western Express customers, among them defendants Latta, Roach and Perez, used the company's services for "carding" purposes, i.e., to traffic in stolen credit card information.

The People, in presenting the matter to the grand jury, dwelt principally on the carders' use of Western Express's digital currency exchange service. Western Express, having purchased large sums of the unregulated Internet currencies EGold and Webmoney, was an authorized vendor of those forms of tender. For a commission of between two and five percent, the company would transfer into a customer Internet account held in an assumed name digital currency purchased from it by the customer with US dollars. The digital currency could then be, and on occasion was, transferred to pay for stolen credit card information, after which the vendor would sell the digital currency received in payment back to Western Express for its value in another digital currency or US dollars, with Western Express taking an additional commission. This transactional pattern recommended itself for money laundering purposes by reason of the circumstance that E-currency was not government regulated and that international transactions using it went largely unscrutinized.

There was evidence that Western Express was not a neutral observer of this use of its services; its employees offered advice on how to structure transactions to avoid detection and defendant

Vassilenko, the company's president, recognizing that a significant portion of Western Express's business was from "carding" transactions,² actively sought the patronage of carders. Carder business was encouraged by postings on the Western Express websites and there was proof that Vassilenko attempted (evidently unsuccessfully) to advertise Western Express's services on Carder Planet, a members-only website devoted exclusively to facilitating illegal carding activities.

Supreme Court granted appellants' respective motions to dismiss the subject indictment's enterprise corruption count upon the ground that the proof before the grand jury, even when viewed most favorably to the People, did not make out the existence of a "criminal enterprise." As is here relevant, guilt of enterprise corruption under New York's Organized Crime Control Act (OCCA) (Penal Law § 460.00 *et seq.*) requires proof that the accused "when, having knowledge of the existence of a criminal enterprise and the nature of its activities, and being employed by or associated with such enterprise . . . intentionally conducts or participates in the affairs of [the] enterprise by participating in a pattern of criminal activity" (Penal Law § 460.20 [1] [a]). For OCCA purposes a "criminal enterprise" is "a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents" (Penal Law § 460.10 [3]). In dismissing the enterprise corruption count, Supreme Court focused upon the absence of proof of an "ascertainable structure distinct from a pattern of criminal activity":

"Here, the People have failed to even articulate—much less adduce evidence proving—any system of authority or hierarchy in which the defendants participated . . . [W]hat the People allege are a series of arms-length business transactions—admittedly extensive and, if the People's allegations are true, illegal—conducted by a variety of organizations and individuals, each operating independently and with no overarching structure or system of authority. In essence, the People have described an illegal industry rather than a corrupt enterprise,

2. Vassilenko estimated that 5% of his business was from carding transactions. The People contend that the actual percentage was much higher.

the criminal parallel of a typical legitimate industry consisting of producers, wholesalers, distributors, retail outlets, and credit suppliers, each of [whom] has a unique but independent role in the industry.”

In reversing and reinstating the enterprise corruption count (85 AD3d 1 [1st Dept 2011]), the Appellate Division, while acknowledging that there was no evidence of a traditionally structured, i.e., hierarchical, entity, theorized that Vassilenko had used Western Express to create a structured enterprise the purpose of which was to “actively encourage more and larger transactions by its participants on an ongoing basis” (*id.* at 14). The evidence, said the court, permitted the inference that defendants knowingly played roles in the enterprise even though, for the most part, they had no personal interaction (*id.*). Two Justices dissented, expressing the view that the requisite “ascertainable structure” to the alleged enterprise had not been demonstrated, even to the bare bones extent necessary to sustain the enterprise corruption count to trial. The dissenters found compelling the absence of “evidence of any collective decision-making or coordination with respect to the purported enterprise’s activities or of any overarching structure of authority or hierarchy in which defendants participated” (*id.* at 19). One of the dissenting Justices granted appellants’ separate applications for permission to appeal to this Court (2011 NY Slip Op 80670[U] [2011]; 2011 NY Slip Op 80671[U] [2011]; 2011 NY Slip Op 83743[U] [2011]; 2011 NY Slip Op 83744[U] [2011]). We now reverse and reinstate the orders of Supreme Court dismissing the enterprise corruption count as against appellants.

New York’s OCCA was enacted in 1986 to afford state prosecutors a means of exacting heightened penalties for criminal activity referable to or generative of structured criminal enterprises (*see* Penal Law § 460.00). Those enterprises were understood to present a distinct evil by reason of their unique capacity to plan and carry out sophisticated crimes on an ongoing basis while insulating their leadership from detection and prosecution (*see id.*; *People v Besser*, 96 NY2d 136, 142 [2001]). The Federal Racketeer Influenced and Corrupt Organizations Act (RICO) (18 USC § 1961 *et seq.*) had, of course, for some time enabled federal prosecutors to prosecute enterprise corruption as such, but until the enactment of the OCCA there was no New York State analogue.

The common challenge posed both federal and state legislators in penalizing enterprise corruption as a separate crime was

to delineate the circumstances under which conduct already fitting under a criminal definition would additionally be subject to prosecution and more serious penalization for its connection to a criminal organization. To justify the superadded penalties for participation in a corrupt enterprise, and concomitantly to avoid sweeping relatively minor offenders into complex multidefendant, multicount prosecutions entailing a risk of draconian punishment, it was necessary to distinguish between what on the one hand were merely patterns of criminal conduct and what on the other were patterns of such conduct demonstrably designed to achieve the purposes and promote the interests of organized, structurally distinct criminal entities. Accordingly, both RICO and the OCCA require the prosecution to prove, in addition to a pattern of criminal activity, the existence of a separate criminal enterprise to which that pattern of activity is beneficially connected (*see United States v Turkette*, 452 US 576, 583 [1981]; Penal Law §§ 460.20 [1]; 460.10 [3]). While RICO does not explicitly require proof of the enterprise's structural integrity, it is settled that a qualifying enterprise must have structure (*Boyle v United States*, 556 US 938, 940-941 [2009]). And, as noted, the OCCA, which is assertedly of more narrow application than RICO (Penal Law § 460.00),³ makes the requirement of "an ascertainable structure distinct from a pattern of criminal activity" express in its definition of "criminal enterprise" (Penal Law § 460.10 [3]). Both statutes demand or have been understood to demand proof of an association possessing a continuity of existence, criminal purpose, and structure—which is to say, of constancy and capacity exceeding the individual crimes committed under the association's auspices or for its purposes (*id.*; *Boyle*, 556 US at 946).

There is no question that the People presented as to each appellant considerable evidence of a pattern of illegal activity. The issue to be decided is whether they also presented evidence from which a petit jury could reasonably infer (*see People v Bello*, 92 NY2d 523, 525 [1998]) that that activity bore the

3. As is here relevant the legislature in enacting the OCCA was careful to explain that

"[t]he organized crime control act is a statute of comparable purpose [to that of RICO] but tempered by reasonable limitations on its applicability, and by due regard for the rights of innocent persons. *Because of its more rigorous definitions*, this act will not apply to some situations encompassed within comparable statutes in other jurisdictions" (Penal Law § 460.00 [emphasis supplied]).

requisite relation to a distinct criminal enterprise—a “group of persons” seeking a “common purpose” and associated in an ascertainably structured entity. The People and the Appellate Division majority proposed a structure composed of buyers and sellers of stolen credit card information arrayed around Western Express’s hub-like websites, drawn there by reason of the sites’ menu of facilitative services. As Supreme Court perceptively observed, however, this does no more than describe a prevalent pattern evidently organic to the “carding” market; it is how that business often happens to be configured given the needs and interests of the individual market participants. It is, however, not indicative of a distinct, structured criminal enterprise. There is no hint that any of the market participants acted except for and according to their own particular interests,⁴ much less that their actions within the illicit market were somehow connected to the workings of a structured, purposeful criminal organization.

The People urge that a criminal enterprise need not be hierarchical to be structured and that structure may be inferred from patterns of criminal conduct. While both of these propositions may be true in theory, it remains that under the OCCA a “common purpose” is required and the structure of a criminal enterprise must be “ascertainable.” Here these conditions are not met. The presented evidence was indicative of no more than the manner in which international transactions in stolen credit card data were commonly conducted, with or without the use of Western Express’s services;⁵ it did not support the further inference of a distinct, beneficially related criminal enterprise.

It is true that in *Boyle* the RICO requirement of enterprise structure was deemed satisfied simply by proof of the underlying pattern of criminal activity and the inference of structure that that proof would bear (*see* 556 US at 947-948). The OCCA, unlike RICO, however, specifically demands that the structure be distinct from the predicate illicit pattern, and not surprisingly there are no New York cases in which the requisite

4. We note that, while the Appellate Division offered that the common purpose of the purported enterprise was to encourage more and larger criminal transactions, there was no proof that Western Express’s customers availed themselves of the company’s services with any objective other than the expedient conduct of their own individual transactions.

5. There are numerous providers of such services and, in fact, after Western Express’s demise, its carder clientele simply switched to different providers of comparable services.

structure has been inferred simply from an underlying pattern. Moreover, *Boyle* involved a ring of thieves whose relatively constant membership met from time to time to plan and execute bank heists, the proceeds of which they shared (*see id.* at 941). There was, then, some evidence from which a continuing cooperative criminal enterprise possessed of a common purpose and some, albeit loose, structure could be inferred. Here, although there was evidence of many arms' length transactions, there was no proof of concerted activity from which a petit jury might reasonably have gathered that the appellants were knowing participants in the affairs of a "criminal enterprise" within the meaning of Penal Law § 460.10 (3).

Doubtless, the Internet may be used to facilitate crime, and we do not exclude the possibility that a website singularly preoccupied with processing a screened clientele's illicit transactions could be understood as elemental to and reflective of a criminal enterprise. But crimes committed by resort to cyber means are not invariably referable to distinct nefarious enterprises, and the websites here involved do not permit the inference of an overarching criminal purpose or organization; while Western Express may have sought to make its websites attractive to carders, the sites themselves presented simply as publicly accessible loci for the conduct of business, the legality of which turned in the end upon the independent agendas of individual users. To the extent that the usage was for illegal purposes, it reflected the existence of a prevalent black market but did not reasonably justify the additional inference necessary to the viability of the proposed enterprise corruption prosecution, that there was within that market an enduring structurally distinct symbiotically related criminal entity with which appellants were purposefully associated.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed and the orders of Supreme Court, New York County, dismissing the enterprise corruption count of the indictment as against appellants, reinstated.

PIGOTT, J. (dissenting). The days of traditional organized crime families seem to be fading. Instead, in today's modern world, criminal organizations now vary in size and even operate on a global span by way of the computer. Criminal organizations operating on the Internet do so without any notion of a hierarchy or any formalized decision-making process. The New York State Legislature, recognizing that organized crime is evolving,

has expressly permitted courts and prosecutors to apply the enterprise corruption statute (Penal Law § 460.20 [1] [a]), in their discretion, to organizations that engage in a pattern of criminal activity and that possess any sort of “ascertainable structure” (*see* Penal Law § 460.00).

The majority correctly summarizes the grand jury presentation by the People, noting the following: (1) defendant Western Express purchases “large sums of the unregulated Internet currency”; (2) it then transfers this money to customers with “assumed name” accounts; (3) those “customers” then buy stolen credit card information with this unregulated money; and (4) the “customer” then sells the currency back to Western Express obtaining U.S. dollars in return with Western Express taking an additional commission (majority op at 655). As the majority notes, this is simply a digital form of money laundering.

My colleagues conclude that no “ascertainable structure” was presented to the grand jury in this case because, although there was a “prevalent black market” for stolen credit card information, within that market there was no “enduring structurally distinct symbiotically related criminal entity with which appellants were purposefully associated” (majority op at 660). I find no such requirement in the statute.

The People allege that a cybercrime group (which the People termed the Western Express Cybercrime Group), was formed. The group included a preexisting corporation, Western Express International, Inc., that acted as the “money mover” for the other members of the group. Those other members included “vendors” and “buyers” who trafficked in stolen credit card numbers and other stolen personal identifying information.

The group acted with a common purpose to engage in conduct constituting the crime, among others, of trafficking stolen information, while avoiding detection by law enforcement. Specifically, the vendors and buyers, through Western Express, were permitted to conduct anonymous transactions, via the Internet and by other means, using sophisticated payment schemes. Western Express further assisted the buyers and vendors by helping structure the transactions to avoid federal reporting requirements. For instance, via computer, Western Express employees advised certain members to structure wire transfers in small amounts under various names. Thus, although the members had their own self-interest to profit from the criminal activity, they also acted for the benefit of both the vendors and buyers. Indeed, all of the participants of the group were acting

together for the intended result and common goal of ensuring that all parties to and proceeds of the transactions remain virtually untraceable.

The purpose in enacting the enterprise corruption statute “was to address the particular and cumulative harm posed by persons who band together in complex criminal organizations” (*People v Besser*, 96 NY2d 136, 142 [2001]). Here, Western Express and the other group members banded together in a way that was distinct from a simply buy-sell transaction on the black market. Rather, the parties acted in an organized way, or, in other words by an “ascertainable structure,” which allowed the members to be more successful in effecting their criminal purpose and to avoid detection from law enforcement for several years.

I would, therefore, affirm the order of the Appellate Division.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to affirm in a separate opinion.

Order, insofar as appealed from, reversed, etc.

[978 NE2d 1241, 954 NYS2d 772]

In the Matter of MICHAEL D'ANGELO, Respondent, v NICHOLAS SCOPPETTA, as Commissioner of the Fire Department of the City of New York, et al., Appellants.

Argued September 7, 2012; decided October 18, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 15, 2011. The Appellate Division affirmed a judgment of Supreme Court, Kings County (David B. Vaughan, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to the extent of (1) annulling respondents' determination that petitioner made "inappropriate and offensive comments of a racial nature" to another employee, and recommended that the petitioner sign and acknowledge an Advisory Memorandum regarding the rights and responsibilities of an employee with the Fire Department of the City of New York and that he receive additional Equal Employment Opportunity training, and (2) directing that a certain letter be expunged from petitioner's Equal Employment Opportunity file.

Matter of D'Angelo v Scopetta, 81 AD3d 820, affirmed.

HEADNOTE

Civil Service — Firefighters — Expungement of Letter from Personnel File — Disciplinary Reprimand without Hearing

Petitioner firefighter was entitled to have expunged from his permanent Equal Employment Opportunity (EEO) file a written letter from the Assistant Commissioner of the Fire Department of the City of New York advising him that he had violated the Department's Code of Conduct and EEO Policy by exercising "unprofessional conduct" and making "an offensive racial statement" to another Department member where the Department did not afford petitioner the opportunity for a hearing pursuant to Administrative Code of the City of New York § 15-113. While a critical evaluation of an employee by an immediate supervisor identifying a minor breach of policy does not trigger due process protections, Administrative Code § 15-113 requires a hearing before a Fire Department member is subject to punishment by formal reprimand, as indicated by the phrase "on conviction" in the statute. Here, the letter placed in petitioner's file constituted a formal reprimand rather than a critical evaluation. Petitioner was the subject of a two-year formal investigation conducted by the Department, which involved the interviewing of several witnesses and culminated in a finding that the evidence substantiated the complaint detailed in a report to the Assistant Commissioner, who then conferred with the Commissioner before issuing the letter. Also, the determination that petitioner directed a racial epithet at the other employee could not

be characterized as a minor policy breach inasmuch as the letter, which served as a formal notice of disposition of the complaint and advised petitioner that he was required to review and sign an EEO Advisory Memorandum and participate in additional EEO training, clearly reflected the serious nature of the investigation. The additional training requirement constituted a form of discipline rather than an encouragement to comply with the racial discrimination policy. Moreover, a breach of the policy is serious misconduct that could negatively impact petitioner's eligibility for future promotion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 54, 77, 94, 95.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 508, 520, 540.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Due Process; Ex-pungement; Fire Departments and Firefighters.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: firefighter & reprimand & hearing

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Ellen Ravitch, Georgia Pestana and Pamela Seider Dolgow of counsel), for appellants. The order of the Appellate Division should be reversed because the CPLR article 78 petition failed to state a cause of action to compel removal of the letter and the Advisory Memorandum from petitioner's Equal Employment Opportunity file. Petitioner failed to establish that the letter and the Advisory Memorandum constitutes "discipline," that he was denied due process, or that respondents' decision was arbitrary or capricious. (*Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *Matter of Cohn v Board of Educ. of the City School Dist. of the City of N.Y.*, 74 AD3d 457, 17 NY3d 729; *Matter of Hoffman v Village of Sidney*, 235 AD2d 698; *Matter of Von Essen v New York City Civ. Serv. Commn.*, 4 NY3d 220; *Matter of O'Connor v Sobol*, 173 AD2d 74, 80 NY2d 897; *Tomaka v Evans-Brant Cent. School Dist.*, 107 AD2d 1078, 65 NY2d 1048; *Matter of Alpert v Grecco*, 73 AD2d 710; *Matter of Cassone v Westchester County Health Care Corp.*, 5 AD3d 764, 3 NY3d 604; *Matter of Memminger v Westbury Union Free School Dist.*, 80 AD2d 918, 55 NY2d 867; *TeBordo v Cold Spring Harbor Cent. School Dist.*, 126 AD2d 542, 70 NY2d 605.)

Sullivan Papain Block McGrath & Cannavo, P.C., New York City (*Michael N. Block* and *Stephen C. Glasser* of counsel), for respondent. The Appellate Division correctly affirmed the Supreme Court's finding that the fire department's "formal notice of disposition" placed in petitioner's file 2½ years after a complaint was filed against him was the equivalent of a disciplinary reprimand rather than a *Holt* "critical evaluation," thus triggering the procedural due process safeguards of Civil Service Law § 75, where it (i) "*substantiated*" allegations that petitioner "exercised unprofessional conduct" and made "inappropriate and offensive comments of a racial nature in the workplace to another fire department employee" which conduct "violates the fire department's Equal Employment Opportunity (EEO) policy and code of conduct"; (ii) made a formal finding of misconduct in that it resulted from the fire department's EEO office having "conduct[ed] a thorough investigation," including "interviewing witnesses and reviewing relevant facts presented in the complaint," all without affording any protection under Civil Service Law § 75; (iii) was issued only after a separate memorandum of these findings was "*reviewed and approved*" by an "impartial" administrator, the fire commissioner himself; and (iv) had both immediate consequences of ordering petitioner to take "additional EEO training," as well as long-term consequences since these findings could be used against petitioner when he seeks promotion under the "1 in 3 rule" of Civil Service Law § 61. (*Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *Matter of Civil Serv. Empls. Assn. v Southold Union Free School Dist.*, 204 AD2d 445; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Thompson v Grumman Aerospace Corp.*, 78 NY2d 553; *Matter of Exley v Village of Endicott*, 51 NY2d 426; *Walls v Turner Constr. Co.*, 4 NY3d 861; *Burns Elec. Co. v Walton St. Assoc.*, 136 AD2d 291, 73 NY2d 738; *Matter of Franks v DiNapoli*, 53 AD3d 897; *Matter of Rednow Realty Corp. v Tully*, 72 AD2d 621, 48 NY2d 610; *Matter of Gomez v Hernandez*, 50 AD3d 404.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we consider whether a written letter from the Assistant Commissioner of the Fire Department of the City of New York (the Department) to petitioner firefighter advising him that he violated the Department's Code of Conduct and Equal Employment Opportunity (EEO) Policy may be made

part of petitioner's permanent EEO file without affording him an opportunity for a hearing pursuant to section 15-113 of the Administrative Code of the City of New York. We conclude that petitioner is entitled to a hearing before the Department may place such letter in his permanent file.

Petitioner has been employed as a firefighter with the Department since 2003. On January 22, 2006, petitioner and Russell Harris, an emergency medical technician with the Department, separately responded to the scene of a motor vehicle accident in Brooklyn. There, Harris alleges that petitioner assaulted him and yelled a racial epithet at him. In response, Harris filed a police report and notified a supervisor. A lieutenant at Harris' station prepared an Unusual Occurrence Report (UOR) describing the purported incident and identifying potential witnesses. Based upon this UOR, the Department's Bureau of Investigations and Trials (BIT) initiated an internal investigation.*

Three days later, Harris lodged a complaint with the Department's EEO office and a two-year investigation ensued. During this time, the EEO office notified petitioner of the complaint and interviewed him. The EEO office also questioned other personnel present at the time of the alleged incident, including individuals named by petitioner. At the conclusion of the investigation, the EEO office found that the evidence substantiated Harris' allegations that petitioner made an inappropriate racial slur.

An attorney with the EEO office prepared a report summarizing the findings of its investigation and furnished it to the Assistant Commissioner of the Department. In turn, the Assistant Commissioner submitted her own report to the Department's Commissioner, detailing the determination of the EEO office and recommending that petitioner receive additional EEO training and that he "sign and acknowledge an Advisory Memorandum regarding the rights and responsibilities" of an employee with the Department. Upon review, the Commissioner approved this recommendation.

Accordingly, by letter dated June 5, 2008, the Assistant Commissioner informed petitioner that the EEO office had determined he "exercised unprofessional conduct and made an offensive racial statement" in connection with the complaint filed against him by Harris. The letter instructed him to read and sign the attached Advisory Memorandum and advised him that

* Neither the police nor BIT ultimately took any action against petitioner.

he would receive further EEO training at a future date. The Commissioner characterized the letter to petitioner “as a formal Notice of Disposition of the filed Complaint.” The letter was subsequently placed in petitioner’s permanent EEO file.

Petitioner objected to the placement of this letter in his EEO file contending that the Department denied him due process in that he had no opportunity to confront and cross-examine witnesses or present witnesses on his own behalf. On September 29, 2008, petitioner commenced this CPLR article 78 proceeding, requesting Supreme Court, among other things, to annul the Department’s determination that petitioner made racially offensive remarks to Harris. Petitioner further sought the court to direct the Department to provide petitioner with a hearing on the matter.

By order entered on December 10, 2009, Supreme Court annulled the Department’s determination and expunged the Assistant Commissioner’s letter from petitioner’s EEO file. The court concluded that “the letter [was] a disciplinary reprimand and not a critical evaluation” and, therefore, petitioner had the right to a formal hearing and other due process safeguards. Supreme Court further observed that it could not order a hearing because, as the parties conceded, the applicable statute of limitations for conducting a hearing had expired. The Appellate Division affirmed the order of Supreme Court, similarly concluding that the Department did not “comport[] with the requirements of due process” (*Matter of D’Angelo v Scopetta*, 81 AD3d 820, 821 [2d Dept 2011]). We granted the Department leave to appeal (17 NY3d 710 [2011]) and now affirm.

Our analysis begins with section 15-113 of the Administrative Code, which relates to discipline and removal procedures for members of the Department (*see generally Matter of Von Essen v New York City Civ. Serv. Commn.*, 4 NY3d 220, 223-224 [2005]). The statute provides that

“[t]he commissioner shall have power, in his or her discretion on conviction of a member of the force of any legal offense or neglect of duty, or violation of rules, or neglect or disobedience of orders or incapacity . . . or immoral conduct, or conduct unbecoming an officer or member, or other breach of discipline, to punish the offending party by reprimand . . . or dismissal from the force” (Administrative Code § 15-113).

In *Matter of Tiernan v Walsh* (294 NY 299 [1945]), we examined this statute, then section 487a-12.0 of the Administrative Code, and concluded that “the phrase ‘on conviction’ . . . imports a trial or hearing as a necessary incident to a disciplinary proceeding” (*id.* at 304).

The Department does not dispute that Administrative Code § 15-113 requires a hearing before its members are subject to punishment by reprimand. Rather, the Department argues that a hearing was not necessary in this case because the letter it placed in petitioner’s permanent EEO file was not a formal reprimand but merely a critical evaluation not subject to the same due process protections. We disagree.

In that regard, our decision in *Holt v Board of Educ. of Webutuck Cent. School Dist.* (52 NY2d 625 [1981]) is instructive. There, two tenured teachers commenced separate proceedings against their respective school districts after school administrators placed letters in their permanent files criticizing their performance without conducting a hearing pursuant to section 3020-a of the Education Law. In the first case, school administrators issued the teacher two letters, one admonishing him for failing to maintain an orderly classroom after he had been directed to do so and the other scolding him for interrupting the class of another (*see id.* at 629-630). The letters described the teacher as incompetent, insubordinate and unbecoming (*see id.* at 629-630). In the second case, a school administrator sent the teacher one letter warning him that his regular absences from his assigned duties violated school policy.

We concluded these letters did not trigger the due process protections of Education Law § 3020-a because they were simply “critical evaluations” and not “formal reprimand[s]” (*id.* at 633). Although we acknowledged that the letters at issue were “sharply critical,” we observed that the fundamental purpose of these communications was not to punish but to identify “a relatively minor breach of school policy and to encourage compliance with that policy in the future” (*id.*). We further noted that individual school administrators issued these letters and that neither teacher was subject to an investigation conducted by the board of education. Thus, we opined:

“[w]hile the inclusion of such letters in the teacher’s permanent file may have some effect on his future advancement or potential employability elsewhere, it is by no means as damaging as a formal reprimand

issued by the board of education as the result of a determination of misconduct made by an impartial hearing panel. Each letter represents one administrator's view, not a formal finding of misconduct" (*id.*).

The facts in this case are readily distinguishable from the facts in *Holt*. To begin, petitioner here did not merely receive a letter from an immediate supervisor criticizing his performance. Rather, petitioner was the subject of a formal investigation conducted by the Department's EEO office in response to the complaint that he directed racially offensive language at Harris. That investigation, which took place over a two-year period, involved the interviewing of several eyewitnesses including the complainant and petitioner. After completing these interviews, the EEO office determined that the evidence they collected substantiated Harris' complaint and, as a result, they supplied a detailed report to the Assistant Commissioner. In turn, the Assistant Commissioner reviewed the EEO office's findings and then conferred with the Commissioner himself who ultimately approved the EEO office's determination. Thus, the letter in this case stands in contrast to the letters in *Holt*, which only reflect the views of a particular supervisor (*see* 52 NY2d at 633).

Second, there is no way to characterize the determination that petitioner directed a racial epithet at Harris as a "minor breach" of the Department's EEO policy. The letter clearly reflects the serious nature of the Department's investigation of the complaint. The Assistant Commissioner wrote the letter to petitioner and noted that such document "serve[d] as a formal Notice of Disposition of the filed Complaint." The letter, in no uncertain terms, informs petitioner that a thorough investigation revealed that he "exercised unprofessional conduct" and "made an offensive racial statement." The letter further advises petitioner that, as a consequence of his misconduct, he was required to review and sign an EEO Advisory Memorandum and participate in further EEO training. On that note, we agree with petitioner that the requirement to participate in additional EEO training is a form of discipline and not, as the Department contends, mere encouragement to comply with EEO policy (*cf. Holt*, 52 NY2d at 633). Moreover, as the Department conceded at oral arguments, the EEO's finding that petitioner was in breach of its racial discrimination policy is serious misconduct that could negatively impact his eligibility for future promotion.

In sum, we conclude that the letter issued to petitioner constitutes a formal reprimand under Administrative Code

§ 15-113. Because the Department denied petitioner his right to due process by placing the letter in his file without conducting a hearing, the letter was properly expunged from petitioner's permanent EEO file.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). I dissent because I do not think the Assistant Commissioner's letter to petitioner is a "reprimand" as we interpreted that term in *Holt v Board of Educ. of Webutuck Cent. School Dist.* (52 NY2d 625 [1981]).

Laws governing the discipline of civil servants, including Administrative Code of the City of New York § 15-113, often require a trial or hearing, with due process protections, before an employee can be given a "reprimand." If that term were given a broad interpretation, it could make the lives of public employers almost impossible: They would have to go through a proceeding before a neutral factfinder, with witnesses and cross-examination, every time they wanted to say a harsh word to an employee.

In recognition of this problem, we interpreted "reprimand" narrowly in *Holt*, to include only a "formal reprimand" (52 NY2d at 633). One of the documents before us in *Holt* was a letter from a district principal to a schoolteacher, placed in the teacher's personnel file, that said the teacher had been "insubordinate" and behaved in a way "unbecoming of a teacher" (*id.* at 630). We held that this letter, and a somewhat similar letter involved in a companion case, were not reprimands within the meaning of the statute but only "critical evaluations" (*id.* at 633). The purpose of the letters, we said, was "to warn, and hopefully to instruct—not to punish" (*id.*). We added:

"While the inclusion of such letters in the teacher's permanent file may have some effect on his future advancement or potential employability elsewhere, it is by no means as damaging as a formal reprimand issued by the board of education as the result of a determination of misconduct made by an impartial hearing panel. Each letter represents one administrator's view, not a formal finding of misconduct" (*id.*).

I see no essential difference between the letter in this case and the letter in *Holt*. The letter here, which said that petitioner "exercised unprofessional conduct and made an offensive racial

statement” does not seem materially harsher in its language than the letter at issue in *Holt*. It is true, as the majority emphasizes (majority op at 669), that the letter in this case was preceded by a more elaborate investigation than the *Holt* letter. On the other hand, the letter here made its “purpose to warn, and . . . instruct—not to punish” clearer than the *Holt* letter did: The letter in this case enclosed an “EEO Advisory Memorandum” for petitioner to review and informed him that he would be receiving “EEO Training.”

As I interpret *Holt*, it allows public employers broad discretion to convene or not to convene “an impartial hearing panel” to make a “determination of misconduct” justifying the issuance of a “formal reprimand.” The formality of that procedure in itself, as *Holt* explained, significantly increases the damage done by the reprimand to an employee’s career. Employers should not be deterred from choosing, where they think it wise, a less formal and less damaging means of communicating their displeasure with an employee’s conduct.

The Appellate Division decision in *Matter of Civil Serv. Empls. Assn. v Southold Union Free School Dist.* (204 AD2d 445 [2d Dept 1994]), assuming that it is correctly decided, is distinguishable. The critical document in that case was explicitly “designated a ‘formal reprimand’ ” (*id.* at 445). *Southold* thus stands for the proposition when an employer seeks the impact that the words “formal reprimand” impart, it must invoke the formal procedures required by civil service legislation.

I would accordingly reverse the Appellate Division’s order and dismiss the petition.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

[981 NE2d 236, 957 NYS2d 640]

JAMES KNAPP et al., Respondents, v JAMES R. HUGHES et al., Appellants.

Argued September 12, 2012; decided October 18, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Broome County (Phillip R. Rumsey, J.), entered July 26, 2011. The Supreme Court, among other things, determined the boundaries and easement rights pertaining to parcels of property owned by several of the defendants. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 12, 2006. The Appellate Division order, insofar as brought up for review, reversed, on the law, so much of an order of the Supreme Court, Broome County (Ferris D. Lebous, J.), as had granted defendants summary judgment dismissing the complaint.

Knapp v Hughes, 32 Misc 3d 1216[A], 2011 NY Slip Op 51341[U], reversed.

Knapp v Hughes, 25 AD3d 886, reversed.

HEADNOTES

Waters and Watercourses — Littoral Rights — Conveyance of Land on Pond or Stream to Include Land under Water to Center of Pond or Stream Unless Contrary Intent Clear

1. A conveyance of land on a pond or stream includes the land under the pond or stream, to the center of the water, unless a contrary intention is made clear, and the application of that principle does not depend on minor variations in the language of the conveyance. Accordingly, in an action in which both parties claimed to own land under a pond that was adjacent to defendants' waterfront property and asserted the exclusive right to use that part of the pond for swimming, fishing and other purposes, defendants were entitled to a judgment declaring their rights to the disputed underwater land where there was nothing in their deeds showing an intention to withhold the underwater lands from their grants. Since the conveyance of title to defendants' predecessors did not expressly exclude underwater lands, the deeds must be read as conveying such land to the center of the pond. While defendants' deeds described the parcels' boundaries as "along the edge of [the] Pond," the effect of a grant should not turn on such fine distinctions as that between "side" and "edge." To make a plain and express reservation of rights to underwater land, a grantor must do more than use the word "edge" or "shore" in a deed. The deed must say that land under water is not conveyed in those words or words equally clear in meaning. Therefore, in the absence of an explicit reservation, a grant of land on the shore of a pond or stream will be held to include the adjoining underwater land, except in unusual cases where the nature of the grant itself shows a contrary intention.

Waters and Watercourses — Littoral Rights — Conveyance of Land on Pond or Stream to Include Land under Water to Center of Pond or Stream Unless Contrary Intent Clear

2. The dictum in *White v Knickerbocker Ice Co.* (254 NY 152, 156 [1930]), implying that the words “edge . . . of the lake” in a conveyance of property adjacent to a body of water were insufficient to convey land under water and that such a grant is limited to the land adjoining the water, as well as similar dictums in other decisions, were mistaken and should not be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Deeds §§ 59, 60, 65; AM JUR 2d, Waters §§ 30, 31, 35, 38, 41, 44, 45.

NY JUR 2d, Deeds §§ 38, 40, 41, 58–62; NY JUR 2d, Waters §§ 3–6, 13, 17.

NEW YORK REAL PROPERTY SERVICE §§ 4:3–4:7, 20:36–20:39.

ANNOTATION REFERENCE

Allocation of water space among lakefront owners, in absence of agreement or specification. 14 ALR4th 1028.

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POINTS OF COUNSEL

Sullivan Papain Block McGrath & Cannavo P.C., New York City (*Brian J. Shoot* of counsel), and *Coughlin & Gerhart, L.L.P.*, Binghamton (*Robert R. Jones* of counsel), for appellants. The Appellate Division's “waters edge” ruling was wrong both in terms of the governing precedent and in terms of the cogent policies underlying that precedent. (*Gouverneur v National Ice Co.*, 134 NY 355; *Seneca Nation v Knight*, 23 NY 498; *Stewart v Turney*, 237 NY 117; *White v Knickerbocker Ice Co.*, 254 NY 152; *Hammel v Camp Ranger, Inc.*, 275 App Div 23, 300 NY 602; *Waters of White Lake, Inc. v Fricke*, 282 App Div 333, 308 NY 899; *Land & Lake Assn. v Conklin*, 182 App Div 546; *Confer v Pirman*, 247 App Div 825; *Town of Guilderland v Swanson*, 29 AD2d 717.)

Law Office of Patrick J. Kilker, Binghamton (*Patrick J. Kilker* of counsel), for respondents. I. The Appellate Division was right when it determined that language in a deed which runs title to

the “edge” of a small inland non-navigable pond is an express reservation of the lands under the waters of the pond. (*Gouverneur v National Ice Co.*, 134 NY 355; *Halsey v McCormick*, 13 NY 296; *White v Knickerbocker Ice Co.*, 254 NY 152; *Waters of White Lake, Inc. v Fricke*, 282 App Div 333, 308 NY 899; *Hammel v Camp Ranger, Inc.*, 275 App Div 23; *Confer v Pirman*, 247 App Div 825; *Calkins v Hart*, 219 NY 145; *Hardin v Jordan*, 140 US 371.) II. The court below failed to acknowledge the validity of a corrective deed. (*Hart v Blabey*, 287 NY 257; *Heath v Hewitt*, 127 NY 166; *Lipton v Bruce*, 1 NY2d 631.)

OPINION OF THE COURT

SMITH, J.

It has long been established New York law that a conveyance of land on a pond or stream includes the land under the pond or stream, to the center of the water, unless a contrary intention is made clear. We reaffirm that principle in this case, and hold that its application does not depend on minor variations in the language of the conveyance.

I

Defendants own land on the shore of Perch Pond. Both plaintiffs and defendants claim to be the owners of the land under the pond that is adjacent to defendants’ waterfront land. Both thus claim to have the exclusive right to use that part of the pond for swimming, fishing and other purposes.

The parties’ claims depend on the interpretation of two 1973 deeds from Anthony and Marilyn Furlano to defendants’ predecessors in title. According to defendants, these deeds conveyed both waterfront land and land under the water; plaintiffs say that only the waterfront land was conveyed.

It is undisputed that the Furlanos owned both waterfront and submerged land. Anthony Furlano had received in 1968 a deed conveying land “along the edge of Perch Pond.” That deed added the words: “The Grantor further conveys any rights which he may have in and to the lands under the waters of Perch Pond which bound and abut unto the lands hereinabove conveyed.” But when the Furlanos sold most of their land in 1973 to defendants’ predecessors in title, the conveyances they gave echoed the first of the quoted phrases from the 1968 deed, but not the second: the 1973 deeds conveyed land “along the waters [sic] edge of Perch Pond” and “along the edge of Perch Pond.” Plaintiffs, claiming under a 1993 deed by which the Furlanos

conveyed their remaining waterfront property and “all remaining lands of Grantors,” assert that the 1973 deeds conveyed only the land next to the water, not the land under it, and that all the submerged land once owned by the Furlanos passed by the 1993 deed to plaintiffs’ predecessors in title.

Plaintiffs brought this action to enjoin defendants from interfering with or using the underwater property “and the water thereon.” Supreme Court granted summary judgment for defendants, but the Appellate Division modified and ruled in plaintiffs’ favor on the issue now before us, holding that the 1973 deeds “set the boundaries at the *edge* of the pond, a phrase which touches the land and not the water” (*Knapp v Hughes*, 25 AD3d 886, 890 [3d Dept 2006]). After further proceedings, Supreme Court entered a judgment from which we granted defendants leave to appeal (18 NY3d 827 [2011]), bringing up for review the Appellate Division’s earlier order on summary judgment. We now reverse.

II

It seems highly likely that most purchasers of waterfront property assume that they are acquiring not only the dry land, but the right to use the water also. Who would buy land on a pond or stream, if informed that he or she could only look at the water, not boat on it or fish or swim in it? This common-sense point was recognized by our court in *Gouverneur v National Ice Co.* (134 NY 355, 364 [1892]): “The value, such as they have, of small non-navigable lakes and ponds as a general rule is mainly in their relation to the adjacent lands.”

Even before the *Gouverneur* decision, our case law supported the rule that a purchase of waterfront property is presumed to include the adjacent underwater land. In *Seneca Nation v Knight* (23 NY 498 [1861]), we interpreted a conveyance of land “along the meanders” of Cattaraugus creek, and held that the land conveyed ran to the center of the river. We said that parties “may . . . if they will” restrict their grants to shore land, “but the restriction ought to be found in very plain and express words” (*id.* at 500).

In *Gouverneur*, we expressed a similar thought:

“The boundaries are described as along the pond; and unless in some manner qualified or restricted they by legal construction had the effect to embrace its bed within their grants. This in such case is the

presumed intent unless the contrary appears” (134 NY at 365).

In *Stewart v Turney* (237 NY 117, 121-122 [1923]), we said:

“If the grantor desires to retain his title to the land . . . underneath the water the presumption must be negatived by express words or by such a description as clearly excludes it from the land conveyed.”

In *White v Knickerbocker Ice Co.* (254 NY 152, 156 [1930]) we reiterated the words of *Seneca* and *Gouverneur*:

“The value, such as they have, of small non-navigable lakes and ponds, as a general rule, is mainly in their relation to adjacent lands. If the parties mean to exclude the land under water, they should do so by express exception; the restriction ought to be framed in very plain and express words.”

And in *Hammel v Camp Ranger, Inc.* (275 App Div 23, 25 [3d Dept 1949], *affd* 300 NY 602 [1949]), the Appellate Division said:

“The rule that the terms of a grant are to be liberally construed in favor of the grantee has special emphasis as to a grant of land bordering upon a small inland body of water. It is uniformly held that in such instance there is a very strong presumption that the grantor intended to convey his ownership under water, at least to the center, and that nothing short of an express reservation will overcome its force” (internal quotation marks and citation omitted).

From the statements we have quoted, it might seem obvious that the 1973 Furlano deeds, which contain no “plain and express” reservation of rights to land under the water, must be read as conveying that underwater land to defendants’ predecessors. The issue is more complicated, however, because several cases contain dictum to the effect that a small change in the words of a deed could create a reservation of underwater rights. Thus in *Gouverneur*, in which we interpreted deeds conveying land “along Hinckley pond” and “along said pond” to include land to the pond’s center, we said that “a boundary line described as ‘along the shore’ of a fresh-water stream does not extend the grant to its center” (134 NY at 365). And in *White*, where we held that a conveyance “along the south side of the Rockland Lake” conveyed land to the center, we said that

a conveyance of land “by the shore” or “to the bank” (254 NY at 156) or “to the edge or margin of the lake” (*id.* at 158) would convey only shore land. On the other hand, in *Hammel*, we affirmed the Appellate Division’s holding that a conveyance of land “along said Pleasant Pond shore” and “to run along the said Pleasant Pond and to run to the low water mark thereof” included land to the center of the pond; the Appellate Division said that these words would not suffice to reserve rights to underwater land, even if they were “synonymous with ‘margin’, ‘edge’ or ‘side’ of the pond” (275 App Div at 26).

[1, 2] These dictums are not consistent, but those in *Gouverneur* and *White*, especially the reference in *White* to the words “edge . . . of the lake” as insufficient to convey land under water, might seem to support plaintiffs’ position, and the holding of the Appellate Division here; the 1973 Furlano deeds conveyed land “along the edge of Perch Pond,” and the *White* dictum implies that such a grant is limited to the land adjoining the water. We conclude, however, that this and similar dictums were mistaken and should not be followed. The effect of a grant should not turn on such fine distinctions as that between “side” and “edge.” To make a plain and express reservation of rights to underwater land, a grantor must do more than use the word “edge” or “shore” in a deed. He or she must say that land under water is not conveyed, in those words or in words equally clear in meaning. In the absence of an explicit reservation, a grant of land on the shore of a pond or stream will be held to include the adjoining underwater land, except in unusual cases where the nature of the grant itself shows a contrary intention.

Such an unusual case was *Matter of Brookfield (Sarles)* (176 NY 138 [1903]), the only case we have found in which this Court held that a conveyance of property adjacent to a body of water reserved to the grantor rights in underwater land. The grantee in *Brookfield* was the owner of a mill on a river near a pond, who wanted to build a dam that would flood the pond’s shore. The grantor was the owner of part or all of the pond, and the land around it. The grant included only land “that will be overflowed . . . in consequence of the erection” of the dam, and the land was conveyed “only for the purpose of being flowed by said pond” (176 NY at 138-139). Thus in *Brookfield* the terms of the grant strongly supported an inference that the grantor meant to transfer only shore, not underwater, land.

It is true that there is language in *Brookfield* similar to the *Gouverneur* and *White* dictums that we reject today. We said in *Brookfield*:

“when the boundary line is along the side, the edge, the border or the margin of a highway, stream or pond, the parties will be held to have intended to limit the lands conveyed to that within such boundary, and not to that which constitutes the body of such highway, stream or pond” (*id.* at 145).

But this language too was dictum. The result in *Brookfield* did not turn on the words chosen to describe the boundary: indeed, those words, “all the land on both sides of . . . Byram pond,” are indistinguishable from the words that we later interpreted in *White* as including underwater land. The *Brookfield* result followed from the limited nature of the grant in that case.

In this case, nothing in the Furlanos’ 1973 conveyance of title to defendants’ predecessors shows an intention to withhold underwater lands from the grant. Since the deeds do not expressly exclude underwater lands, they must be read as conveying such land, to the center of the pond, to defendants’ predecessors.

Accordingly, the judgment appealed from and the order of the Appellate Division, insofar as brought up for review, should be reversed, with costs, and judgment granted to defendants declaring their rights to underwater land in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division, insofar as brought up for review, reversed, etc.

[978 NE2d 1246, 954 NYS2d 777]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CALVIN
L. HARRIS, Appellant.

Argued September 11, 2012; decided October 18, 2012

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered July 28, 2011. The Appellate Division affirmed a judgment of the Tioga County Court (James T. Hayden, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Harris, 88 AD3d 83, reversed.

HEADNOTES

Crimes — Jurors — Selection of Jury — Juror’s Ability to be Impartial

1. In a high-profile murder prosecution, County Court’s failure to elicit from a prospective juror an unequivocal assurance of her ability to be impartial after she apprised defense counsel that she had a preexisting opinion as to defendant’s guilt or innocence constituted reversible error. CPL 270.20 (1) (b) provides that a party may challenge a potential juror for cause if the juror “has a state of mind that is likely to preclude him from rendering an impartial verdict based upon the evidence adduced at the trial.” When potential jurors themselves say they question or doubt they can be fair in the case, trial judges should either elicit some unequivocal assurance of their ability to be impartial when that is appropriate, or excuse the juror when that is appropriate. Here, the prospective juror acknowledged during voir dire that she had followed the case in the media and that she had “an opinion slightly more in one direction than the other” concerning defendant’s guilt or innocence. When asked if her opinion would impact her ability to judge the case based solely on the evidence presented at trial, she admitted that it would be “[a] slight part” of what she would consider. At that point, it was incumbent upon the trial court to conduct its own follow-up inquiry of the prospective juror. The trial court, however, failed to do so, and instead denied defense counsel’s challenge to the prospective juror for cause.

Crimes — Instructions — Failure to Give Limiting Instruction Not to Consider Hearsay Statements for Truth

2. In a murder prosecution that lacked a body or weapon and was based on purely circumstantial evidence, County Court’s error in failing to grant defendant’s request for a limiting instruction to the jury not to consider the victim’s hearsay statements about defendant for their truth was not harmless. The victim had told defendant’s sisters-in-law that defendant, her husband, had threatened her by stating that he would not need a gun to kill her, that police would never find her body and that he would never be arrested. Although the trial court properly allowed the statements in evidence for the limited purpose of providing context as to defendant’s reaction upon being confronted with

them by his sisters-in-law, the trial court erred in failing to grant defendant's request for a limiting instruction. The error was not harmless, as the danger that the jury accepted the victim's statements for truth was real. The error was compounded when the prosecutor in his summation relied on those statements as direct evidence that defendant had, in fact, murdered the victim and successfully hid her body, as he purportedly threatened her that he would do.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Jury §§ 200–203, 205, 230, 231, 249; AM JUR 2d, Trial §§ 933, 952, 998.

CARMODY-WAIT 2d, Jury Selection and Supervision §§ 191:41–191:45; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:11, 200:13, 200:14, 200:31.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 22.3, 24.8.

McKINNEY'S, CPL 270.20 (1) (b).

NY JUR 2d, Criminal Law: Procedure §§ 2546, 2552–2556, 2728, 2729.

ANNOTATION REFERENCE

See ALR Index under Challenges to Jury; Instructions to Jury; Jury Trial.

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POINTS OF COUNSEL

Easton Thompson Kasperek Shiffrin LLP, Rochester (*William T. Easton* and *Brian Shiffrin* of counsel), for appellant. I. The prosecution failed to prove that Calvin Harris was guilty of the murder of Michele Harris. (*People v Cintron*, 95 NY2d 329; *People v Rossey*, 89 NY2d 970; *People v Kennedy*, 47 NY2d 196; *People v Way*, 59 NY2d 361; *People v Barnes*, 50 NY2d 375; *People v Cleague*, 22 NY2d 363; *People v Ford*, 66 NY2d 428; *People v Benzinger*, 36 NY2d 29; *People v Lipsky*, 57 NY2d 560; *Ruloff v People*, 18 NY 179.) II. The trial court below committed reversible error when it denied Calvin Harris's challenge for cause to a prospective juror who had a preexisting opinion as to guilt and did not give an unequivocal assurance that this opinion would not affect her consideration of the case. (*People v Arnold*, 96 NY2d 358; *People v Culhane*, 33 NY2d 90; *People v Nicholas*, 98 NY2d 749; *Irvin v Dowd*, 366 US 717; *People v Johnson*, 94

NY2d 600; *People v Johnson*, 17 NY3d 752; *People v Chambers*, 97 NY2d 417; *People v Torpey*, 63 NY2d 361; *People v Bludson*, 97 NY2d 644; *People v Cahill*, 2 NY3d 14.) III. Calvin Harris was denied his right to a fair trial before an impartial jury because inflammatory and prejudicial pretrial publicity saturated the community from which the jury was drawn. (*People v Mahboubian*, 74 NY2d 174; *People v Lopez*, 68 NY2d 683; *Irvin v Dowd*, 366 US 717; *Sheppard v Maxwell*, 384 US 333; *Mu'Min v Virginia*, 500 US 415; *Patton v Yount*, 467 US 1025; *Estes v Texas*, 381 US 532; *United States v Dellinger*, 472 F2d 340; *People v Boss*, 261 AD2d 1; *People v Boudin*, 90 AD2d 253.) IV. The rulings of the court below precluding the admission of the exculpatory and reliable statements and affidavit of John Steele violated New York's evidentiary rules and Calvin Harris's rights to present a defense and to a fair trial as guaranteed by both the United States and New York Constitutions. (*Crawford v Washington*, 541 US 36; *Chambers v Mississippi*, 410 US 284; *People v Robinson*, 89 NY2d 648; *People v Oxley*, 64 AD3d 1078; *Berger v United States*, 295 US 78; *People v Brown*, 26 NY2d 88; *Green v Georgia*, 442 US 95; *Holmes v South Carolina*, 547 US 319; *People v Darrisaw*, 206 AD2d 661; *Rosario v Kuhlman*, 839 F2d 918.) V. The lower court improperly admitted hearsay statements from Michele Harris to her sisters-in-law in violation of Calvin Harris's rights under New York evidentiary law and the New York and United States Constitutions, then improperly refused to give a limiting instruction that such statements could not be considered for their truth. (*People v Ewell*, 12 AD3d 616, 4 NY3d 763; *People v Davis*, 23 AD3d 833; *People v Davis*, 87 AD3d 1332; *People v Reynoso*, 309 AD2d 769, 2 NY3d 820; *People v Bierenbaum*, 301 AD2d 119; *People v Stanard*, 32 NY2d 143; *People v Perez*, 9 AD3d 376; *People v Crimmins*, 36 NY2d 230.) VI. The prosecutor engaged in multiple acts of misconduct which deprived Calvin Harris of his right to a fair trial as guaranteed by both the United States and New York Constitutions. (*People v Zimmer*, 51 NY2d 390; *People v Grice*, 100 AD2d 419; *People v Adams*, 21 NY2d 397; *People v Fielding*, 158 NY 542; *Berger v United States*, 295 US 78; *People v Diotte*, 63 AD3d 1281; *People v Skinner*, 298 AD2d 625; *People v Walters*, 251 AD2d 433; *People v Ortiz*, 125 AD2d 502; *People v Allen*, 74 AD2d 640.)

Gerald A. Keene, District Attorney, Owego, for respondent. I. The evidence was legally sufficient to convict defendant of murder in the second degree. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Acosta*, 80 NY2d 665; *People v Danielson*, 9 NY3d 342; *People v Cintron*, 95 NY2d 329; *People v*

Tejeda, 73 NY2d 958; *People v Grassi*, 92 NY2d 695; *People v Rossey*, 89 NY2d 970; *People v Williams*, 84 NY2d 925; *People v Thibeault*, 73 AD3d 1237, 15 NY3d 810.) II. The trial court did not err by denying defendant's challenge for cause. (*People v Arnold*, 96 NY2d 358; *People v Stroman*, 6 AD3d 818, 3 NY3d 648; *People v Hernandez*, 222 AD2d 696, 88 NY2d 879; *People v Shulman*, 6 NY3d 1; *People v Chambers*, 97 NY2d 417; *People v Johnson*, 94 NY2d 600; *People v Williams*, 63 NY2d 882; *People v Torpey*, 63 NY2d 361; *People v Johnson*, 17 NY3d 752.) III. The Appellate Division did not err in denying the three requests for a change of venue. (*People v Cahill*, 2 NY3d 14; *People v Boudin*, 90 AD2d 253; *Rideau v Louisiana*, 373 US 723; *People v Martin*, 19 AD2d 804; *People v Brensic*, 136 AD2d 169; *People v Acomb*, 94 AD2d 978; *People v Boss*, 261 AD2d 1; *People v Bosket*, 216 AD2d 791; *United States v Yousef*, 327 F3d 56; *People v Berry*, 235 AD2d 571.) IV. The trial court did not err by refusing to permit defendant to offer inadmissible, unreliable hearsay. (*Chambers v Mississippi*, 410 US 284; *People v Robinson*, 89 NY2d 648; *People v Oxley*, 64 AD3d 1078; *Holmes v South Carolina*, 547 US 319; *Gottwald v Medinger*, 257 App Div 107; *People v Darrisaw*, 206 AD2d 661.) V. The lower court did not err by allowing the jury to hear admissions made by defendant; the jury instruction concerning these admissions was proper. (*People v McEaddy*, 41 AD3d 877; *Crawford v Washington*, 541 US 36; *People v Ewell*, 12 AD3d 616, 4 NY3d 763; *People v Perez*, 9 AD3d 376, 3 NY3d 710; *People v Glover*, 195 AD2d 999, 82 NY2d 849; *People v Reynoso*, 2 NY3d 820; *People v Cardew*, 132 AD2d 721, 70 NY2d 953; *People v Bierenbaum*, 301 AD2d 119; *People v Davis*, 23 AD3d 833, 6 NY3d 811.) VI. There was no prosecutorial misconduct in this case. (*People v Cherry*, 46 AD3d 1234, 10 NY3d 839; *People v Beyer*, 21 AD3d 592, 6 NY3d 752; *People v Townsley*, 240 AD2d 955, 90 NY2d 943; *People v Stasiak*, 25 AD3d 1025; *People v Greene*, 13 AD3d 991, 5 NY3d 789; *People v Tarantola*, 178 AD2d 768, 79 NY2d 954; *People v Grady*, 40 AD3d 1368, 9 NY3d 923; *People v Skinner*, 298 AD2d 625; *People v Hemmins*, 290 AD2d 219, 97 NY2d 755; *People v Henderson*, 13 NY3d 844.)

OPINION OF THE COURT

PIGOTT, J.

Michele Harris, mother of four young children and defendant's estranged wife, was last seen on the evening of September 11, 2001. At approximately 7:00 a.m. the following day, the Harris family babysitter, Barbara Thayer, discovered Michele's

unoccupied minivan at the bottom of the quarter-mile driveway of the Harris residence, which is situated on a 200-acre estate in a remote area of Tioga County. Although the Harrises were in the process of divorcing, they continued living in the same residence, albeit sleeping in separate rooms.

After driving Ms. Thayer to the end of the driveway to retrieve Michele's vehicle, defendant, the owner of several car dealerships, left for work. When a friend of Michele's called the Harris household and was told by Ms. Thayer that Michele had not returned home the night before, the friend called Michele's divorce attorney who, in turn, contacted state police. Later that morning, police questioned defendant at his dealership concerning Michele's disappearance. Defendant accompanied police to his home and consented to a search of his residence and Michele's minivan, eventually leaving the officers at the residence and returning to work. Later that day, defendant gave police written consent to search his residence and vehicles.

On September 14, 2001, evidence technicians discovered blood on the tiled floor of a kitchen alcove, on door moldings and surfaces leading to the garage and on the wall of the garage leading into the house. At that point, police obtained a search warrant and, upon returning the following day, discovered blood on the garage floor as well.¹

The weekend following Michele's disappearance, defendant and his children visited defendant's brother in Cooperstown. During dinner, defendant's sisters-in-law Francine and Mary Jo Harris confronted defendant about statements he had allegedly made to Michele. According to Francine and Mary Jo, Michele told them in March 2001 that defendant threatened her by stating that he would not need a gun to kill her, that police would never find her body and that he would never be arrested.² The police investigation, spanning several years, produced neither a body nor a weapon.

I

In 2005, defendant was indicted on one count of murder in the second degree. A jury convicted him of that offense in the

1. Months later, police also examined a kitchen throw rug and discovered what appeared to be blood stains.

2. At the second trial, defendant denied making these statements. Francine and Mary Jo, however, testified that defendant initially denied making the statements, but then said that he may have said something like that but that did not mean that he was going to kill Michele.

spring of 2007. The day after the verdict, a local farmhand came forward with information that he had seen Michele and a man in his mid-20s at the end of the Harris driveway at approximately 5:30 a.m. on September 12, 2001. Armed with this new information, defense counsel moved, pursuant to CPL 330.30, to set aside the verdict. The trial court granted the motion, and its order was affirmed on appeal (55 AD3d 958 [3d Dept 2008]).

II

Given the high-profile nature of the case, there was significant media coverage in local newspapers and on television, including two national broadcasts, covering Michele's disappearance and defendant's first trial. Defense counsel made two change of venue motions prior to the retrial, citing "prejudicial publicity." Each motion was denied, as was a third motion made by defense counsel during jury selection.

After a lengthy retrial that included extensive blood spatter and DNA evidence and testimony concerning threatening statements defendant purportedly made to Michele, a jury once again convicted defendant of murder in the second degree. The Appellate Division, in a 3-1 decision, affirmed the judgment, holding, among other things, that the verdict was supported by legally sufficient evidence, that the trial court properly denied a for-cause challenge of a prospective juror made by defendant, and that the trial court properly allowed in evidence Michele's hearsay statements to Francine and Mary Jo for the limited purpose of allowing the jury to evaluate defendant's reaction to those accusations (88 AD3d 83 [3d Dept 2011]). The dissenting Justice, in addition to arguing that the verdict was not supported by legally sufficient evidence, asserted that the trial court committed reversible error in denying defendant's for-cause challenge of the prospective juror and in giving an inadequate limiting instruction concerning Michele's hearsay statements to Francine and Mary Jo. A Justice of the Appellate Division granted defendant leave to appeal (2011 NY Slip Op 83081[U] [2011]). We now reverse the order of the Appellate Division and remit for a new trial.

III

[1] The Appellate Division properly held that the guilty verdict was supported by legally sufficient evidence. However, a critical error occurred during voir dire when County Court failed

to elicit from a prospective juror an unequivocal assurance of her ability to be impartial after she apprised defense counsel that she had a preexisting opinion as to defendant's guilt or innocence.

At voir dire, the prospective juror acknowledged that she had followed the case in the media and that she had "an opinion slightly more in one direction than the other" concerning defendant's guilt or innocence. When asked by defense counsel if her opinion would impact her ability to judge the case based solely on the evidence presented at trial, the prospective juror responded, "[H]ow I feel, *opinion-wise*, *won't be all of what I consider if I'm in the jury*," but admitted that it would be "[a] *slight part*" of what she would consider (emphasis supplied).

Defense counsel challenged the prospective juror for cause on the ground that she could not say that her preexisting opinion would have no effect on her ability to sit as a fair juror. The trial court denied the challenge and defendant utilized a peremptory challenge on the prospective juror. Defendant exhausted his peremptory challenges, and, therefore, preserved this issue for review (*see* CPL 270.20 [2]).

CPL 270.20 (1) (b) provides that a party may challenge a potential juror for cause if the juror "has a state of mind that is likely to preclude him from rendering an impartial verdict based upon the evidence adduced at the trial." We have consistently held that "a prospective juror whose statements raise a serious doubt regarding the ability to be impartial must be excused unless the juror states unequivocally on the record that he or she can be fair and impartial" (*People v Chambers*, 97 NY2d 417, 419 [2002]; *see People v Arnold*, 96 NY2d 358, 363 [2001]; *People v Johnson*, 94 NY2d 600, 614 [2000]). "[W]hen potential jurors themselves say they question or doubt they can be fair in the case, Trial Judges should either elicit some unequivocal assurance of their ability to be impartial when that is appropriate, or excuse the juror when that is appropriate," since, in most cases, "[t]he worst the court will have done . . . is to have replaced one impartial juror with another impartial juror" (*People v Johnson*, 17 NY3d 752, 753 [2011], citing *People v Johnson*, 94 NY2d 600, 616 [2000]).

The prospective juror had a preexisting opinion concerning defendant's guilt or innocence that cast serious doubt on her ability to render an impartial verdict. At that point, it was incumbent upon the trial court to conduct its own follow-up

inquiry of the prospective juror once she stated that her preexisting opinion would play only “[a] slight part” in her consideration of the evidence. Given the absence of that inquiring, the trial court committed reversible error in denying defendant’s for-cause challenge (*see Johnson*, 17 NY3d at 753).

[2] Finally, while the trial court properly allowed in evidence Michele’s hearsay statements to Francine and Mary Jo for the limited purpose of providing context as to defendant’s reaction upon being confronted with them, it erred in failing to grant defendant’s request for a limiting instruction to the jury not to consider the statements for their truth. The trial court acknowledged that Michele’s statements constituted hearsay, but denied defendant’s request for a limiting instruction because it did not “want to unnecessarily confuse the jury.” It opted instead to charge the jury that the statements constituted hearsay which would not normally be allowed in evidence because its truthfulness could not be tested under oath, and then stated: “You, the jury, may consider that testimony regarding this episode and determine what evidentiary value, if any, you choose to assign to the exchange that occurred between Mary Jo and Francine and Mr. Harris.”

The trial court’s failure to issue the appropriate limiting instruction was not harmless. In a case where there was no body or weapon, and the evidence against defendant was purely circumstantial, the danger that the jury accepted Michele’s statements for truth was real. Although the court’s instruction explained why the statements were admitted in evidence, it failed to apprise the jury that the statements were not to be considered for their truth. This error was compounded when the prosecutor in his summation relied on those statements as direct evidence that defendant had, in fact, murdered Michele and successfully hid her body, as he purportedly threatened Michele that he would do.

We are not unsympathetic to defendant’s claim that prejudicial and inflammatory pretrial publicity saturated the community from which the jury was drawn and effectively deprived defendant of a fair trial by an impartial jury. A significantly high percentage of prospective jurors admitted to having heard about the case and nearly half had formed a preexisting opinion as to defendant’s guilt or innocence. Notably, “as with so many other cases, the problem encountered with jury selection is inextricably linked to the problem of venue,” and although media saturation by its very nature is prejudicial, “it is

unrealistic to expect and require jurors to be totally ignorant prior to trial of the facts and issues in certain cases” (*People v Culhane*, 33 NY2d 90, 110 [1973] [citations omitted]).

Although our decision to reverse the conviction and order a new trial is premised upon the trial court’s denial of the for-cause challenge and failure to issue the appropriate limiting instruction, we are cognizant that publicity attending a third trial may render voir dire significantly burdensome. In such a case, to counter the potential “temptation to relax the rules and accept a doubtful juror so that the case may proceed to trial,” we expect the trial court to exercise “special vigilance to insure that the adverse publicity does not infect the adjudicating process” and, in such exercise, strongly consider changing venue if for-cause disqualifications “become legion,” rendering voir dire “hopelessly burdensome” (*Culhane*, 33 NY2d at 110 n 4).

We have considered defendant’s remaining contentions and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH and JONES concur; Judge READ dissents and votes to reverse and dismiss the indictment for the reasons stated in so much of the dissenting opinion of Justice Bernard J. Malone at the Appellate Division as addressed sufficiency of the evidence (88 AD3d 83, at 98-120).

Order reversed, etc.

[978 NE2d 1254, 954 NYS2d 784]

In the Matter of PETER J. GALASSO (Admitted as PETER JOHN GALASSO), an Attorney, Appellant. GRIEVANCE COMMITTEE FOR THE NINTH JUDICIAL DISTRICT, Respondent.

Argued September 11, 2012; decided October 23, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 21, 2012. The Appellate Division (1) granted petitioner's motion to confirm the Special Referee's report sustaining 10 charges of professional misconduct against respondent; (2) denied respondent's cross motion to disaffirm the Special Referee's report; and (3) suspended respondent from the practice of law for a period of two years.

Matter of Galasso, 94 AD3d 30, modified.

HEADNOTES

Attorney and Client — Disciplinary Proceedings — Failure to Safeguard Client Funds

1. In an attorney disciplinary proceeding, the Appellate Division properly sustained nine charges of professional misconduct arising from respondent's failure to properly supervise his firm's bookkeeper resulting in the misappropriation of client funds and respondent's breach of his fiduciary duty by failing to safeguard those funds. The bookkeeper, respondent's brother, was convicted of grand larceny and related charges for stealing funds from a client's escrow account and the firm's Interest on Lawyer Account, and for altering or falsifying certain documents in order to cover up his actions. Although respondent himself did not steal the money and his conduct was not venal, his acts in setting in place the firm's procedures, as well as his ensuing omissions, permitted his employee to do so. Moreover, some of the funds were used for the benefit of respondent and the firm. That respondent had acted without venality could be a factor considered in mitigation, but was not probative of whether he had failed to preserve client funds. Respondent was not bound to his clients solely by the contractual language of the escrow agreement, but also by a fiduciary relationship. He owed his clients a high degree of vigilance to ensure that the funds they had entrusted to him in his fiduciary capacity were returned to them upon request.

Attorney and Client — Disciplinary Proceedings — Failure to Timely Comply with Grievance Committee's Lawful Demands for Information

2. In an attorney disciplinary proceeding, the charge that respondent failed to timely comply with the Grievance Committee's lawful demands for information in violation of Code of Professional Responsibility DR 1-102 (a) (5) and (7) (22 NYCRR 1200.3 [a] [5], [7]) and Rules of Professional Conduct (22 NYCRR 1200.0) rule 8.4 (d) and (h) was unsupported by the record. Both respondent and his counsel were in regular correspondence with the Grievance

Committee and provided copious documentation in response to its requests. Respondent generally acknowledged when particular demands could not be immediately met, explained why and stated his intention to provide the information at the earliest opportunity. Under those particular circumstances, respondent's level of compliance with the investigation was inconsistent with a sustained charge of failure to timely comply with the Committee's lawful demands.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 37, 44, 53, 62, 63, 114.
CARMODY-WAIT 2d, Officers of Court §§ 3:256, 3:258, 3:289,
3:293, 3:326, 3:328.
22 NYCRR 1200.0, 1200.3 (a) (5), (7).
NY JUR 2d, Attorneys at Law §§ 346, 361, 384, 413, 414,
476, 478, 484.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Bookkeepers and Bookkeeping; Discipline and Disciplinary Actions.

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POINTS OF COUNSEL

Galasso, Langione, Catterson & LoFrumento, LLP, Garden City (*Jeffrey L. Catterson* of counsel), and *Moran Karamouzis LLP*, Rockville Centre (*Grace D. Moran* of counsel), for appellant. I. The Appellate Division's order should be reversed because it impermissibly imposes strict or vicarious liability on an attorney for funds criminally stolen by an employee despite the attorney's appropriate supervision and oversight of the account. (*Adams v New York City Tr. Auth.*, 88 NY2d 116; *Carnegie v J.P. Phillips, Inc.*, 28 AD3d 599; *Oliva v City of New York*, 297 AD2d 789; *Woods v MONY Legacy Life Ins. Co.*, 84 NY2d 280; *Baquerizo v Monasterio*, 90 AD3d 587.) II. The Appellate Division's order should be reversed because attorneys should not be deemed insurers of their escrow accounts. III. The disciplinary rules and procedures deprive attorneys of their constitutional rights to due process and equal protection. IV. The Appellate Division's order should be reversed because it erroneously sustained the charges against appellant and the Court

abused its discretion as a matter of law in suspending appellant. (*Matter of Holtzman*, 78 NY2d 184; *Grombach Prods., Inc. v Waring*, 293 NY 609; *Schank v Schuchman*, 212 NY 352; *American Sur. Co. v Conner*, 251 NY 1; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Matter of Fine*, 263 AD2d 262; *Matter of Casano*, 280 AD2d 86; *Matter of O'Reilly*, 91 AD3d 191; *Matter of Fonte*, 75 AD3d 199; *Matter of Duboff*, 21 AD3d 206.)

Gary L. Casella, White Plains (*Matthew Lee-Renert, Faith Lorenzo and Antonia Cipollone* of counsel), for respondent. I. Appellant was disciplined for his own professional misconduct. (*Matter of Rowe*, 80 NY2d 336; *Matter of Loughlin*, 124 AD2d 925; *Matter of Rogers*, 94 AD2d 121; *Matter of Raines*, 38 AD2d 459; *Matter of Allen*, 308 AD2d 143; *Matter of Linn*, 200 AD2d 4; *Matter of Sykes*, 150 AD2d 126; *Matter of Pollack*, 142 AD2d 386; *Matter of Ponzini*, 259 AD2d 142, 268 AD2d 478; *Matter of Cardoso*, 152 AD2d 157.) II. Appellant was guilty of professional misconduct irrespective of his ability to make restitution. (*Matter of Feiden*, 29 AD3d 115; *Matter of Ryan*, 264 AD2d 128; *Matter of Ciacchi*, 275 AD2d 19; *Matter of Fitzgerald*, 279 AD2d 160.) III. Appellant was disciplined following a full and fair proceeding which was consistent with his constitutional rights to due process and equal protection. (*Matter of Kelly*, 23 NY2d 368; *Gerzof v Gulotta*, 87 Misc 2d 768; *Matter of Echeles*, 430 F2d 347; *Mildner v Gulotta*, 405 F Supp 182; *Matter of Maddox*, 157 AD2d 244.) IV. Appellant's violations of the disciplinary rules are established by the record and the discipline imposed is consistent with prior disciplinary cases. (*Matter of Kelly*, 23 NY2d 368; *Matter of Mix*, 274 NY 183; *Matter of Hawes*, 217 NY 602; *Matter of Fonte*, 75 AD3d 199; *Matter of Laudonio*, 75 AD3d 144; *Matter of Holtzman*, 78 NY2d 184; *Matter of Cooperman*, 83 NY2d 465; *Matter of Davidson*, 11 AD3d 11; *Matter of Westfal*, 263 AD2d 259; *Matter of Walker*, 113 AD2d 254, 67 NY2d 917.) V. Appellant is seeking to lower the standards of attorney professionalism. (*Meinhard v Salmon*, 249 NY 458; *Matter of Cooperman*, 83 NY2d 465.)

Glenn S. Koopersmith, Garden City, for Nassau County Bar Association, amicus curiae. This Court should reverse the order on appeal which seemingly imposes a strict liability standard upon every attorney maintaining an escrow account. (*Matter of Holtzman*, 78 NY2d 184; *Matter of Forman*, 250 AD2d 116.)

Law Offices of Thomas F. Liotti, Garden City (*Thomas F. Liotti* of counsel), amicus curiae. I. Appellant has violated rule

1.3 (a), (b) and (c) of the Rules of Professional Conduct (22 NYCRR 1200.0). (*Matter of Lowenthal*, 132 AD2d 117; *Matter of Galluscio*, 42 AD3d 264.) II. Appellant has violated rule 1.15 of the Rules of Professional Conduct (22 NYCRR 1200.0). (*Matter of Gambino*, 205 AD2d 212; *Matter of Fonte*, 75 AD3d 199.) III. Appellant has violated rule 3.3 of the Rules of Professional Conduct (22 NYCRR 1200.0). IV. Appellant has violated rule 3.4 of the Rules of Professional Conduct (22 NYCRR 1200.0). V. Appellant has violated rule 4.1 of the Rules of Professional Conduct (22 NYCRR 1200.0). (*Matter of Lowell*, 14 AD3d 41, 4 NY3d 846, 5 NY3d 708.) VI. Appellant has violated rule 4.4 (a) of the Rules of Professional Conduct (22 NYCRR 1200.0). VII. Appellant has violated all of rule 5.3 of the Rules of Professional Conduct (22 NYCRR 1200.0). (*Matter of Jayson*, 3 AD3d 80; *Matter of Iaquinta-Snigur*, 30 AD3d 67.) VIII. The discipline imposed is not comparative in that it is far too lenient given the appellant's misconduct. (*Matter of Sherman*, 235 AD2d 60; *Matter of Galluscio*, 42 AD3d 264; *Matter of Gould*, 45 AD3d 223.)

OPINION OF THE COURT

Per Curiam.

Petitioner instituted a disciplinary proceeding against respondent attorney Peter J. Galasso alleging 10 charges of professional misconduct. The essence of the petition is that respondent failed to properly supervise the firm's bookkeeper resulting in the misappropriation of client funds and that he breached his fiduciary duty by failing to safeguard those funds. Although we find the bulk of the charges were properly sustained, we modify to dismiss the charge alleging respondent's failure to timely comply with the lawful demands of the Grievance Committee.

At all times relevant to this appeal, respondent has been a partner of the law firm known as Galasso & Langione, LLP (the Galasso Langione firm).¹ Anthony Galasso, respondent's brother, was also employed by the firm and had, over the course of several years, worked his way up from an entry-level position as a file clerk and messenger to become the firm's bookkeeper and office manager.

In June 2004, respondent represented Steven Baron in a matrimonial action commenced by Wendy Baron. The parties and their attorneys entered into an escrow agreement through which

1. The firm was subsequently known as Galasso, Langione & Botter, LLP and is currently known as Galasso, Langione, Catterson & LoFrumento, LLP.

respondent was the designated escrow agent for the proceeds from a sale of commercial property owned by Steven Baron. Respondent agreed to hold the sum of \$4,840,862.34 in an interest-bearing escrow account, pending further order of Supreme Court in the matrimonial action. Anthony Galasso, in his capacity as office manager, deposited the funds into an escrow account at Signature Bank (the Baron escrow account). Respondent and fellow partner James Langione were the only authorized signators on the account application. However, Anthony Galasso apparently altered the application to permit electronic fund transfers and to include himself—a nonlawyer—as a signator.

Between June 23, 2004 and January 17, 2007, Anthony Galasso transferred approximately \$4,501,571 from the Baron escrow account into six other firm accounts maintained at Signature Bank through the use of roughly 90 Internet transfers. It seems that the Baron funds were used to replace money that Anthony Galasso had already removed from the firm accounts. Transferred funds from the Baron escrow account were then disbursed to respondent, firm employees and other entities in the course of business, all without the knowledge of the firm's principals or the consent of the Barons. In particular, approximately \$360,000 in funds transferred from the Baron escrow account were used to finance the purchase of the firm's office condominium. To escape detection, Anthony Galasso had the genuine Baron escrow account statements, generated by the bank, diverted to a post office box and fabricated false statements for review by the firm. Although the Barons demanded payment of the funds held in escrow, more than \$4.3 million remains due and owing to them.

In June 2006, the Galasso Langione firm received \$800,000 on behalf of the Estate of George Carroll in settlement of a medical malpractice/wrongful death action and Anthony Galasso deposited the funds into the firm's IOLA (Interest on Lawyer Account) at M&T Bank. The following month, the firm received \$175,000 on behalf of Adele Fabrizio in connection with a personal injury action. Anthony Galasso also deposited these funds into the firm's M&T IOLA. Anthony Galasso misappropriated the bulk of these funds by forging the partners' signatures on IOLA checks. With respect to the IOLA, respondent's practice had been to review monthly financial reports generated by Anthony Galasso, rather than the account statements themselves. To date, despite the clients' demands for the

return of their funds, the firm has returned only \$85,791.36 to the Estate of Carroll; no funds have been returned to Fabrizio.

Anthony Galasso confessed to the theft of the above funds on January 18, 2007 and ultimately pleaded guilty to two counts of grand larceny in the first degree, 10 counts of falsifying business records in the first degree and 10 counts of criminal possession of a forged instrument in the second degree. He was sentenced to 2^{1/2} to 7^{1/2} years' imprisonment, as well as \$2,000,000 in restitution. Respondent cooperated fully with the criminal investigation. Indeed, the Nassau County District Attorney's Office submitted a letter to the Grievance Committee providing its conclusions that no one else in the firm had had knowledge of the theft and that nothing in the documents presented to the firm by Anthony Galasso would have raised any suspicion regarding the accounts. Respondent has also commenced civil suits against the banks involved, in an attempt to recover the client funds.

As noted above, the Grievance Committee commenced a disciplinary proceeding against respondent alleging 10 charges of professional misconduct.² The matter was referred to a Special Referee who sustained all 10 charges. The Appellate Division granted the Committee's motion to confirm the Referee's report and denied respondent's cross motion to disaffirm

2. Charges one, two, seven and nine allege that respondent breached his fiduciary duty to pay or deliver escrow funds, by failing to safeguard client funds and by failing to promptly pay or deliver those funds to the person entitled to them (Code of Professional Responsibility DR 9-102 [a], [c] [4]; DR 1-102 [a] [7] [22 NYCRR 1200.46 (a), (c) (4); 1200.3 (a) (7)]; now Rules of Professional Conduct [22 NYCRR 1200.0] rules 1.15 [a], [c] [4]; 8.4 [h]).

Charges 6, 8 and 10 allege that respondent failed to supervise a nonlawyer employee resulting in the misappropriation of client funds (Code of Professional Responsibility DR 1-104 [d] [2] [22 NYCRR 1200.5 (d) (2)]; now Rules of Professional Conduct [22 NYCRR 1200.0] rule 5.3 [b] [2] [i], [ii]).

Charge three alleges that respondent was unjustly enriched by use of the Baron funds for his personal benefit (Code of Professional Responsibility DR 9-102 [a]; 1-102 [a] [5], [7] [22 NYCRR 1200.46 (a); 1200.3 (a) (5), (7)]; now Rules of Professional Conduct [22 NYCRR 1200.0] rules 1.15 [a]; 8.4 [d], [h]).

Charge four alleges that respondent failed to provide appropriate accounts to the Barons with respect to their escrow funds (Code of Professional Responsibility DR 9-102 [c] [3]; 1-102 [a] [7] [22 NYCRR 1200.46 (c) (3); 1200.3 (a) (7)]; now Rules of Professional Conduct [22 NYCRR 1200.0] rules 1.15 [a]; 8.4 [h]).

Charge five alleges that respondent failed to timely comply with the lawful demands of the Committee (Code of Professional Responsibility DR 1-102 [a] [5], [7] [22 NYCRR 1200.3 (a) (5), (7)]; Rules of Professional Conduct [22 NYCRR 1200.0] rule 8.4 [d], [h]).

the report (94 AD3d 30 [2d Dept 2012]). The Court also suspended respondent from the practice of law for a period of two years. This Court granted respondent leave to appeal, and we now modify.

[1] Few, if any, of an attorney's professional obligations are as crystal clear as the duty to safeguard client funds. Rather than establishing a new or heightened degree of liability for attorneys, we find that the Appellate Division's determination is completely consistent with existing standards pertaining to the safeguarding and oversight of client funds. In other words, "a reasonable attorney, familiar with the Code and its ethical strictures, would have notice of what conduct is proscribed" (*Matter of Holtzman*, 78 NY2d 184, 191 [1991]).

Respondent is not bound to his clients solely by the contractual language of the escrow agreement, but also by a fiduciary relationship. "A trustee is held to something stricter than the morals of the market place. Not honesty alone, but the punctilio of an honor the most sensitive, is then the standard of behavior" (*Meinhard v Salmon*, 249 NY 458, 464 [1928]; see *Matter of Wallens*, 9 NY3d 117, 122 [2007]). Respondent owed his clients a high degree of vigilance to ensure that the funds they had entrusted to him in his fiduciary capacity were returned to them upon request. To that end, implementation of any of the basic measures respondent has since adopted—personal review of the bank statements, personal contact with the bank and improved oversight of the firm's books and records—likely would have mitigated, if not avoided, the losses.

Here, although respondent himself did not steal the money and his conduct was not venal, his acts in setting in place the firm's procedures, as well as his ensuing omissions, permitted his employee to do so. Moreover, the Baron funds were used for the benefit of respondent and the firm. That respondent has acted without venality can be a factor considered in mitigation, but is not probative of whether he has failed to preserve client funds (see e.g. *Matter of Wilkins*, 70 AD3d 1119, 1119-1120 [3d Dept 2010]; *Matter of Abato*, 51 AD3d 225, 228 [2d Dept 2008]).

Unquestionably, Anthony Galasso had devised a relatively sophisticated system and his fraud went undetected by the attorneys and accountant reviewing the documents he produced. However, respondent ceded an unacceptable level of control over the firm accounts to his brother, thereby creating the opportunity for the misuse of client funds. Had respondent been

more careful in supervising the accounts and his employee, he would have been aware of the malfeasance at a much earlier time when he could have substantially mitigated the losses.

It cannot be said that there were no warning signs here. Specifically, a nearly \$5,000 “discrepancy” in the escrow account was noted by Baron’s accountant, which respondent permitted Anthony Galasso to resolve with the bank. Anthony Galasso then corrected the “discrepancy” on a fabricated account statement by showing an Internet transfer of funds from the firm IOLA to the Baron escrow account. In addition, when asked to obtain a \$100,000 check from the escrow account payable to Wendy Baron, Anthony Galasso produced a check from the IOLA, which respondent then signed and provided to Mrs. Baron. The fabricated statement for the escrow account later reflected an expenditure of \$100,000 by check number 1738, despite the fact that no checks had been written on the escrow account.

A discrepancy in an escrow account should, at a minimum, be alarming to a reasonably prudent attorney. This is not to say that attorneys are prohibited from delegating certain tasks to firm employees, but any delegation must be made with an appropriate degree of oversight. We stress that it is the ethical responsibility of the attorney—not the bookkeeper, the office manager or the accountant—to safeguard client funds.

To be clear, respondent is not being held responsible for the criminal behavior of his brother. Rather, it is his own breach of his fiduciary duty and failure to properly supervise his employee, resulting in the loss of client funds entrusted to him, that warrant this disciplinary action. We find that charges 1 through 4 and 6 through 10 were properly sustained.

Respondent was also charged with the failure to timely comply with the Grievance Committee’s lawful demands for information (charge five) in violation of former DR 1-102 (a) (5) and (7) and Rules of Professional Conduct (22 NYCRR 1200.0) rule 8.4 (d) and (h). Petitioner maintains that, between May 12, 2008 and July 22, 2009, it made repeated requests for information to which respondent failed to fully and timely respond and that respondent’s conduct impeded and delayed its investigation.³

[2] We find the imposition of the separate charge on this basis to be unsupported by the record. It is difficult to characterize

3. In particular, the Grievance Committee took issue with the responses to its requests seeking: (1) a forensic examination conducted by outside

(n. cont’d)

respondent's overall participation in the disciplinary process as anything other than active. Both respondent and his counsel were in regular correspondence with the Grievance Committee and provided copious documentation in response to its requests. When particular demands could not be immediately met, respondent generally acknowledged same, explained why and stated his intention to provide the information at the earliest opportunity. Under these particular circumstances, we find that respondent's level of compliance with this investigation is inconsistent with a sustained charge of failure to timely comply with the Committee's lawful demands. Upon remittal, the Appellate Division should reconsider whether the suspension previously imposed remains an appropriate sanction.

Accordingly, the order of the Appellate Division should be modified, without costs, by dismissing charge five of the petition and remitting the matter to that Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order modified, etc.

accountants to audit all Galasso & Langione firm bank accounts in the relevant time period; (2) an accounting to trace all disbursements from the Baron escrow account; (3) detailed bookkeeping records for the firm's Signature Bank and M&T IOLA accounts; and (4) copies of documents relating to the financing and purchase of the office condominium.

[979 NE2d 240, 955 NYS2d 296]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NORMAN CAJIGAS, Appellant.

Argued September 7, 2012; decided October 23, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 17, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Marcy L. Kahn, J.), which had convicted defendant, upon a jury verdict, of attempted burglary in the second degree and criminal contempt in the first degree (three counts).

People v Cajigas, 82 AD3d 544, affirmed.

HEADNOTE

Crimes — Burglary — Intent to Commit Crime in Dwelling — Violation of Order of Protection

In a prosecution for attempted burglary in the second degree and multiple counts of criminal contempt in the first degree based on defendant's violation of an order of protection by attempting to enter the victim's apartment while the victim's daughter was home alone, the intent to engage in conduct inside the residence that would have been legal in the absence of the order of protection established the requisite criminal state of mind to elevate the trespass to a burglary. Except for the violation of a stay-away provision in an order of protection, which by itself cannot be used to establish both elements of burglary—unlawful entry and the intent to commit a crime therein—any crime will suffice to satisfy the “intent to commit a crime therein” element under the burglary statutes (*see* Penal Law §§ 140.20, 140.25, 140.30) and actions that violate aspects of an order of protection may be prosecuted as criminal contempt. While the precise charge depends on the nature and severity of the violation, and prosecutorial discretion comes into play, the fact the defendant's actions would have been legal but for the issuance of the order of protection does not immunize such conduct from prosecution. Even an act that would otherwise not be illegal can be viewed as a crime and the intent to commit that act inside a building may be used to prove a burglary charge. Thus, the trial court, in response to defendant's requested jury charge, properly instructed that the mens rea element of burglary would be satisfied if the jury found that defendant intended to engage in some of the conduct prohibited by the order of protection while in the banned premises beyond just staying away from the home of the victim, or to engage in a separate crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Burglary §§ 2, 21, 26, 28, 44, 59.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 819, 824, 825, 830, 842; NY JUR 2d, Domestic Relations §§ 1235, 1244.

ANNOTATION REFERENCE

See ALR Index under Burglary.

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Database: NY-ORCS

Query: burglary /s intent /p violat! /5 order /3 protection

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jonathan M. Kirshbaum* and *Robert S. Dean* of counsel), for appellant. The court erred in failing to charge the jury that the intent to commit a crime therein element of burglary cannot be satisfied by intended conduct that would not constitute a crime in the absence of a “stay away” provision in an order of protection. (*People v VanDeWalle*, 46 AD3d 1351, 10 NY3d 845; *People v Lewis*, 5 NY3d 546; *People v Mahboubian*, 74 NY2d 174; *People v Gaines*, 74 NY2d 358; *People v Blacknall*, 63 NY2d 912; *People v Gilbo*, 28 AD3d 945, 7 NY3d 756; *People v Barlow*, 70 AD3d 1489; *People v Polanco*, 279 AD2d 307, 96 NY2d 832; *People v Cassidy*, 40 NY2d 763; *People v Duncan*, 46 NY2d 74.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Britta Gilmore* and *Susan Gliner* of counsel), for respondent. I. As the Appellate Division found, the “intent to commit a crime therein” element of defendant’s attempted burglary conviction was supported by evidence that was legally sufficient under both the common-law theory of that crime, as well as the alternative theory established by the statute which created orders of protection. (*People v Lewis*, 5 NY3d 546, 13 AD3d 208; *People v Mahboubian*, 74 NY2d 174; *People v Mackey*, 49 NY2d 274; *People v Gilligan*, 42 NY2d 969; *People v Saunders*, 210 AD2d 164; *People v Melendez*, 206 AD2d 270; *People v Martin*, 245 AD2d 833; *People v Ponnappula*, 229 AD2d 257.) II. The trial court properly instructed the jury that the intent to commit a crime element of burglary could be established by proof that when defendant illegally entered the victim’s apartment, he intended to engage in conduct violating at least one provision in the order of protection, other than the one that barred him from the victim’s residence. (*People v VanDeWalle*, 46 AD3d 1351; *People v Ponnappula*, 229 AD2d 257; *People v Martinez*, 83 NY2d 26; *People v Lewis*, 5

NY3d 546; *People v Carpio*, 39 AD3d 433; *People v Polanco*, 279 AD2d 307; *People v Gilbo*, 28 AD3d 945; *People v Gaines*, 74 NY2d 358.)

OPINION OF THE COURT

GRAFFEO, J.

In this case involving the violation of an order of protection, we consider whether the mens rea element of burglary may be satisfied by an intent to commit an act that would not be illegal in the absence of the order.

In 2005, defendant Norman Cajigas moved into the apartment where his paramour, Maria, resided with her teenage daughter. He eventually became physically abusive toward the woman and moved out of the dwelling in October 2006. Defendant soon began to stalk Maria on a virtually daily basis. This behavior escalated to a physical assault in November 2006.

After that incident, Maria obtained an order of protection that required defendant to refrain from contacting her in any manner and to stay away from her, her residence and place of work. In April 2007, defendant violated the order by going to Maria's home. He was charged with criminal contempt in the second degree and another order of protection was issued.

The following month, Maria and her daughter moved to a new apartment but defendant's conduct continued, even after he was convicted of the pending second-degree contempt charge. In July, defendant spoke to Maria at a hair salon where she was a patron. Later that day, defendant confronted Maria on the street and did not leave her alone until he saw police officers approaching.

Several days after these incidents, Maria's daughter was home alone when she heard someone trying to open the front door of the apartment. She saw defendant through the peephole and asked him what he wanted. After defendant backed away, the girl telephoned her mother and the police were summoned. Defendant then tried to put something into the lock to open the door. He fled after the girl spoke to him a second time.

Based on this incident, defendant was indicted for attempted burglary in the second degree and several counts of criminal contempt in the first degree. At trial, defense counsel argued that *People v Lewis* (5 NY3d 546 [2005]) and its progeny prevented the People from using a violation of the order of protection to prove two elements of burglary—unlawful entry

and the intent to commit a crime therein. Although *Lewis* held that both components cannot be established by the violation of a “stay away” provision, the defense argued that the mens rea element also could not be satisfied by an intention to commit an act that would not be illegal—such as attempting to communicate with Maria or her daughter—but for the proscriptions of the order of protection. After extended discussions with counsel, Supreme Court declined to charge the jury as the defense requested, instead instructing that the intent element is established if defendant intended to violate a provision in the order other than the restriction prohibiting him from going to Maria’s apartment.

Jury deliberations ensued and, in response to a note from the jury and over defendant’s renewed objection, Supreme Court explained that

“[a]s used in the definition of the crime of burglary, the element of intent—that is, the intent to commit a crime therein element of burglary—is not satisfied solely by a defendant’s intent to violate an Order of Protection by entering the dwelling that the Order of Protection declares off-limits.

“There must also be evidence that the defendant intended to engage in some of the conduct prohibited by the Order of Protection while in the banned premises beyond just staying away from the home of the person[,] or to engage in another separate crime.

“So, the element requires something beyond the notion of a trespass.

“Before a jury can find the intent to commit a crime therein element satisfied by an intent to violate an Order of Protection, the jury must find that the defendant intended to engage in conduct prohibited by the Order of Protection apart from the prohibition in the Order of Protection [that] the defendant not go to the home of the complainant.”

A similar supplemental instruction was issued after the jury sought further clarification.

Defendant was convicted on all counts and adjudicated a second violent felony offender. He was sentenced to 6½ to 8 years in prison, along with five years of postrelease supervision.

The Appellate Division affirmed, concluding that it was proper to deny defendant's proposed jury instruction (82 AD3d 544, 546 [1st Dept 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 814 [2011]).

Burglary, in its simplest form, is a trespass into a building coupled with the intent to commit a crime therein (*see* Penal Law § 140.20). Trespass occurs when the entry is knowingly unlawful (*see* Penal Law § 140.05). An order of protection, which typically requires a person to stay away from a victim's home or place of employment and to refrain from any contact (*see* CPL 530.13 [1], [4]), can be used to establish a knowing and unlawful entry since going to a protected person's home—even by invitation or permission—contravenes the terms of the order of protection (*see People v Lewis*, 5 NY3d at 552).

The issue here is whether the intent to do something inside the residence that would be legal in the absence of the order of protection establishes the requisite criminal state of mind to elevate the trespass to a burglary. Defendant asks us to adopt the Fourth Department's rule that the intent element of burglary "cannot be satisfied by intended conduct that would be innocuous if the order of protection did not prohibit it" (*People v VanDeWalle*, 46 AD3d 1351, 1352 [4th Dept 2007], *lv denied* 10 NY3d 845 [2008]). The People, in contrast, rely on decisions by the First and Third Departments that held that a burglary conviction may be premised on an intent to engage in conduct that would be legal if it was not outlawed by an order of protection (*see People v Carpio*, 39 AD3d 433 [1st Dept 2007], *lv denied* 9 NY3d 873 [2007]; *People v Gilbo*, 28 AD3d 945 [3d Dept 2006], *lv denied* 7 NY3d 756 [2006]). We conclude that the principle articulated by the First and Third Departments is more consistent with the text of the burglary statutes and the rationale in *Lewis*.

To begin, the People are not required to prove the particular crime that the defendant intended to commit inside the burglarized structure (*see e.g. People v Mahboubian*, 74 NY2d 174, 193 [1989]). Except for the violation of a stay-away provision in an order of protection (*see People v Lewis*, 5 NY3d at 552-553), any crime will suffice under the burglary statutes (*see* Penal Law §§ 140.20, 140.25, 140.30). Actions that violate aspects of an order of protection may be prosecuted as criminal contempt in the second degree (*see* Penal Law § 215.50 [3] [a class A misdemeanor]), criminal contempt in the first degree (*see* Penal Law § 215.51 [b] [a class E felony]) or aggravated criminal contempt

(see Penal Law § 215.52 [a class D felony]). The precise charge depends, of course, on the nature and severity of the violation. But the fact that the defendant's actions would have been legal but for the issuance of the order of protection does not immunize such conduct from prosecution under these statutes. Hence, even an act that would otherwise not be illegal can be viewed as a crime and the intent to commit this act inside a building may be used to prove a burglary charge (see *People v Lewis*, 5 NY3d at 552-553 [aside from a violation of a stay-away provision, conduct that is “prohibited by an order of protection . . . can serve as predicate crimes for the ‘intent to commit a crime therein’ element of burglary”]).

These principles were properly applied by the trial court in response to defendant's requested jury charge. The court instructed that the mens rea element of burglary would be satisfied if the jury found that “defendant intended to engage in some of the conduct prohibited by the Order of Protection while in the banned premises beyond just staying away from the home of the person[,] or to engage in another separate crime.”

We are mindful that an attempted or completed burglary premised on a violation of an order of protection may result in the prosecution of a relatively serious offense. A second-degree burglary charge, for example, is a class C violent felony punishable by a determinate prison term between 3½ to 15 years plus a period of postrelease supervision (see Penal Law § 70.02 [1] [b]; [3] [b]). Defendant's attempt to commit the offense was a class D violent felony for which a determinate sentence from 2 to 7 years could be imposed (see Penal Law § 70.02 [1] [c]; [3] [c]). In setting the classifications of these offenses, the legislature was most likely concerned that domestic violence and stalking were too prevalent and needed to be deterred with meaningful penal consequences, including those attendant to a burglary conviction. As the facts of this case demonstrate, perpetrators of these offenses frequently engage in persistent and often escalating courses of conduct that cause victims to be emotionally terrorized—if not worse.

We can conceive of scenarios under which punishments like these arguably could be viewed as disproportionate to the offense—such as when a paramour goes to the victim's home at that person's request or, as in *VanDeWalle*, to say a final goodbye. In these instances, prosecutorial discretion comes into play. Identifying where cases fall on the spectrum of seriousness ranging from misdemeanor crime to violent felony offense with

mandatory prison time is a fundamental component of the District Attorney's inherent discretion to file an appropriate charge at the outset of a prosecution (*see generally People v Mattocks*, 12 NY3d 326, 334 [2009]). For example, in their efforts to deal with the defendant in this case, the People's initial prosecution was for misdemeanor assault and then second-degree criminal contempt. It was only after defendant's behavior continued unabated that he was indicted for attempted second-degree burglary and first-degree criminal contempt. Although the facts underlying other cases may justify a charge of criminal contempt rather than burglary, defendant's persistent and blatant disregard of the conditions of the orders of protection warranted the higher degree of culpability reflected in an attempted burglary conviction.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order affirmed.

[979 NE2d 1143, 955 NYS2d 817]

DOUGLAS DEAN et al., Respondents, v TOWER INSURANCE COMPANY OF NEW YORK, Appellant.

Argued September 11, 2012; decided October 25, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 10, 2011. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Joan A. Madden, J.; op 2010 NY Slip Op 31107[U] [2010]), which had granted defendant's motion for summary judgment dismissing the complaint and denied plaintiffs' cross motion for summary judgment on liability. The modification consisted of denying defendant's motion and reinstating the complaint. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court, properly made?"

Dean v Tower Ins. Co. of N.Y., 84 AD3d 499, affirmed.

HEADNOTE

Insurance — Homeowner's Insurance — "Residence Premises" — Ambiguity

In an action alleging breach of a homeowners' insurance policy that plaintiffs purchased to cover a house that they were never able to move into due to the need for major repairs and that was ultimately destroyed in a fire, defendant insurer, which had disclaimed coverage for the fire loss, in part, on the ground that the house did not qualify as a "residence premises" within the meaning of the policy, was not entitled to summary judgment dismissing the complaint. Insurance contracts must be interpreted according to common speech and consistent with the reasonable expectations of the average insured, and ambiguities are to be construed against the insurer. Residency for purposes of insurance coverage requires something more than temporary or physical presence and at least some degree of permanence and intention to remain. Issues of fact were raised as to whether the daily presence of one of the plaintiffs in the house, while engaged in renovations, coupled with his intent to eventually move in with his family, was sufficient to satisfy the policy's requirements. The term "residence premises" was ambiguous because the term "reside," as used in the definition of that phrase, was not defined in the contract and it was arguable that the reasonable expectations of an average insured was that occupancy of the premises would satisfy the policy's requirements. While not determinative, defendant's disclaimer letter, which spoke in terms of occupancy, was indicative that the reasonable expectation of an average insured, under these facts, was that occupancy was sufficient to establish coverage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 291–293, 297, 300, 307, 1213.
COUCH ON INSURANCE (3d ed) §§ 22:7, 22:10, 22:11, 22:14,
148:18, 148:73, 148:74.
NY JUR 2d, Insurance §§ 1324, 1330, 1335, 1338, 1341.

ANNOTATION REFERENCE

Policy requiring residence or occupation of dwelling of insured as eliminating coverage when homeowner sells or ceases to occupy premises. 62 ALR5th 189.

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Query: homeowner /2 policy insurance & residen! /2
premise /s ambig!

POINTS OF COUNSEL

Law Office of Max W. Gershweir, New York City (*Max W. Gershweir* of counsel), for appellant. I. In finding that “reside” is ambiguous under these circumstances, the Appellate Division disregarded the plain and ordinary meaning of the term, and well-settled legal precedent, which requires an established use of the premises as the putative resident’s dwelling place. (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Incorporated Vil. of Cedarhurst v Hanover Ins. Co.*, 89 NY2d 293; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321; *Vela v Tower Ins. Co. of N.Y.*, 83 AD3d 1050; *Matter of Allstate Ins. Co. [Rapp]*, 7 AD3d 302; *New York Cent. Mut. Fire Ins. Co. v Kowalski*, 195 AD2d 940; *Commisso v Tower Ins. Co. of N.Y.*, 30 Misc 3d 1224[A], 2011 NY Slip Op 50190[U]; *Longwood Cent. School Dist. v Springs Union Free School Dist.*, 1 NY3d 385; *Antone v General Motors Corp.*, *Buick Motor Div.*, 64 NY2d 20; *Rawstorne v Maguire*, 265 NY 204.) II. There is no permissible basis for reading the residency requirement out of the policy. (*Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *Barhydt v Ellis*, 45 NY 107; *Hartford Ins. Co. of Midwest v Halt*, 223 AD2d 204; *New York Cent. Mut. Fire Ins. Co. v Peckey*, 298 AD2d 970; *Dutkanych v United States Fid. & Guar. Co.*, 252 AD2d 537; *People v O’Hara*, 96 NY2d 378; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485, 748 F2d 760; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321;

Slayko v Security Mut. Ins. Co., 98 NY2d 289; *McLaughlin v Nationwide Mut. Fire Ins. Co.*, 8 AD3d 739.) III. Tower Insurance Company of New York is entitled to summary judgment on the alternative ground that plaintiffs materially misrepresented in the insurance application that the premises were their primary residence and that they did not occupy any other premises. (*Aguilar v United States Life Ins. Co. in City of N.Y.*, 162 AD2d 209.)

Bleakley Platt & Schmidt, LLP, White Plains (*Robert D. Meade* and *Susan E. Galvão* of counsel), for respondents. I. Tower Insurance Company of New York's proposed construction of the term "residence premises" violates the Insurance Law, which sets minimum standards of coverage for the fire insurance policies. (*Medical Facilities v Pryke*, 62 NY2d 716; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Planet Ins. Co. v Bright Bay Classic Vehs.*, 75 NY2d 394; *Lane v Security Mut. Ins. Co.*, 96 NY2d 1.) II. The term "residence premises" is ambiguous. (*Sekulow v Nationwide Mut. Ins. Co.*, 193 AD2d 395; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *MDW Enters. v CNA Ins. Co.*, 4 AD3d 338; *Matter of Vanguard Ins. Co. [Polchlopek]*, 18 NY2d 376.) III. The decisions in *Vela v Tower Ins. Co. of N.Y.* (83 AD3d 1050 [2d Dept 2011]) and *Commisso v Tower Ins. Co. of N.Y.* (30 Misc 3d 1224[A], 2011 NY Slip Op 50190[U] [Sup Ct, NY County 2011]) are not controlling, as they are distinguishable in material respects. IV. Tower Insurance Company of New York sought summary judgment on a ground not raised in its letter denying the claim. (*Paul M. Maintenance, Inc. v Transcontinental Ins. Co.*, 300 AD2d 209; *Herrman v Adriatic Fire Ins. Co.*, 85 NY 162; *Gallo v Travelers Prop. Cas.*, 21 AD3d 1379; *Page v Nationwide Mut. Fire Ins. Co.*, 15 AD2d 306; *Perrotta v Middlesex Mut. Ins. Co.*, 37 AD2d 783.) V. Plaintiffs were entitled to first-party coverage for a fire loss involving a dwelling being built by the insured pursuant to policy paragraph 4F. (*Tower Ins. Co. of N.Y. v Diaz*, 58 AD3d 495; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *McCarthy v New York Prop. Ins. Underwriting Assn.*, 158 AD2d 961; *MDW Enters. v CNA Ins. Co.*, 4 AD3d 338; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *Property Clerk, N.Y. City Police Dept. v Pagano*, 170 AD2d 30.) VI. Tower Insurance Company of New York waived the right to deny this claim. (*Prudential Ins. Co. of Am. v BMC Indus., Inc.*, 630 F Supp 1298.) VII. Plaintiffs did not misrepresent any facts in the application for this policy or otherwise act inequitably. (*Woodruff v Imperial Fire Ins. Co. of London*, 83 NY 133.)

OPINION OF THE COURT

CIPARICK, J.

This appeal requires us to determine whether the term “residence premises” in an insurance contract is ambiguous where an insured purchased a homeowners’ policy in advance of a closing but was unable to move in due to the need for major repairs. We conclude that under the circumstances of this case the term is ambiguous, precluding summary judgment.

Plaintiffs Douglas and Joanna Dean entered into a contract to purchase a home in Irvington in February 2005. The closing was scheduled to take place on March 31, 2005. Plaintiffs acquired a homeowners’ insurance policy from defendant Tower Insurance Company of New York (Tower) effective as of the closing date. The closing was delayed until May 20, 2005. After the closing, plaintiffs discovered extensive termite damage to the house. Douglas Dean, with the help of family and friends, began the process of repairing the damage. Work on the house progressed over the course of the year following the closing, and the policy was renewed in March 2006. The renovations were substantially completed when, on May 15, 2006, a fire completely destroyed the house.

The morning after the fire, plaintiffs gave notice to Tower. On June 22, 2006, Tower disclaimed coverage on the ground that “[o]ur investigation revealed the dwelling was unoccupied at the time of the loss. Accordingly, this dwelling does not qualify as a ‘residence premises’ [sic] there is no coverage for this claim under your policy.” Secondarily, Tower disclaimed coverage on the ground that plaintiffs engaged in fraud by misrepresenting their intent to live in the premises on the application submitted in advance of acquiring the policy.

The Tower policy provides as follows: “We cover: 1. The dwelling on the ‘residence premises’ shown in the Declarations, including structures attached to the dwelling.” In the definitions section, “residence premises” is defined as: “The one family dwelling . . . where you reside.” The term reside is not defined in the policy.

Plaintiffs commenced this action for breach of the insurance contract. Following discovery, both parties moved for summary judgment. Supreme Court granted Tower’s motion, denied plaintiffs’ motion and dismissed the complaint. The court held that the term “reside” is clear and unambiguous, and that plaintiffs never established residency at the premises and

“[a]t best . . . established ownership of the house and presence in it to perform certain renovations, and a stated intent of living there” (2010 NY Slip Op 31107[U], *9 [2010]). The Appellate Division modified the order of Supreme Court, finding that Tower failed to satisfy its prima facie burden on a motion for summary judgment (see *Dean v Tower Ins. Co. of N.Y.*, 84 AD3d 499 [1st Dept 2011]). It concluded that the “residence premises” requirement in the policy failed to define what qualifies “as ‘resides’ for the purpose of attaching coverage” and that the “policy [was] ambiguous in the circumstances of this case” and otherwise denied summary judgment (*id.* at 499-500). The Appellate Division granted Tower leave to appeal to this Court on a certified question (2011 NY Slip Op 82928[U] [2011]). We agree with the Appellate Division and now affirm.

“Insurance contracts must be interpreted according to common speech and consistent with the reasonable expectation of the average insured” (*Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]). “[B]efore an insurance company is permitted to avoid policy coverage, it must satisfy the burden which it bears of establishing that the exclusions or exemptions apply in the particular case, and that they are subject to no other reasonable interpretation” (*Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984] [citations omitted]). “[A]mbiguities in an insurance policy are to be construed against the insurer” (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 353 [1978]).

“The standard for determining residency for purposes of insurance coverage requires something more than temporary or physical presence and requires at least some degree of permanence and intention to remain” (*Government Empls. Ins. Co. v Paolicelli*, 303 AD2d 633, 633 [2d Dept 2003] [internal quotation marks omitted]; see also *Matter of Aetna Cas. & Sur. Co. v Gutstein*, 80 NY2d 773, 775 [1992]; *Matter of Allstate Ins. Co. [Rapp]*, 7 AD3d 302, 303 [1st Dept 2004]). Plaintiff Douglas Dean claimed that between the date of the closing and the date of the fire he was generally at the property at least five days a week. He would go there after work between 4:00 and 5:00 p.m. and leave no earlier than 10:00 p.m. and would frequently stay late into the night or early morning. He also averred that he had built a table for eating purposes and would eat at the house everyday, sometimes with other workers, and that he slept there on several occasions. Therefore, there are issues of fact as to whether Douglas’ daily presence in the house, coupled with his intent to eventually move in with his family, is sufficient to

satisfy the insurance policy's requirements (*cf. Vela v Tower Ins. Co. of N.Y.*, 83 AD3d 1050, 1051 [2d Dept 2011], *lv granted* 2011 NY Slip Op 85357[U] [2d Dept 2011], *appeal withdrawn* 18 NY3d 881 [2012]).

Further, because the term “reside” is not defined in the contract making the term “residence premises” ambiguous, it is arguable that the reasonable expectation of an average insured (*see Cragg*, 17 NY3d at 122) is that occupancy of the premises would satisfy the policy's requirements. Notably, the standard fire policy as provided in Insurance Law § 3404 (e) speaks in terms of occupancy, and Insurance Law § 3404 (f) (1) (A) states that a policy “with respect to the peril of fire” cannot contain provisions “less favorable to the insured than those contained in the standard fire policy.” Additionally, Tower's letter disclaiming coverage also speaks in terms of occupancy.* Courts have held that “[a] householder need not necessarily have conventional, or, indeed, any furniture in a house to occupy it. His presence in it for sleeping and eating and working purposes can literally constitute occupancy. He can, if he will, sleep and eat on the floor or on improvised devices” (*Page v Nationwide Mut. Fire Ins. Co.*, 15 AD2d 306, 307 [3d Dept 1962]; *see also Perrotta v Middlesex Mut. Ins. Co.*, 37 AD2d 783, 783 [2d Dept 1971]). Thus, there are issues of fact rendering summary judgment inappropriate in this matter.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

JONES, J. (dissenting). The homeowners' policy at issue on this appeal provides coverage for a “residence premises” which is defined as the “family dwelling, other structures, and grounds,” or “[t]hat part of any . . . building . . . where you reside.” Thus, the proper inquiry is whether plaintiffs resided at the subject premises—an outcome predicated on the simple application of the plain meaning of the term “reside” to the policy. The majority declines to do so, however, agreeing with the Appellate Division that the absence of an express definition of “reside,” coupled with plaintiffs' tendered proof that they were engaged in daily renovations inside the premises, renders the phrase “residence premises” ambiguous and precludes

* While not determinative, the disclaimer letter is indicative that the reasonable expectation of an average insured, under these facts, is that occupancy is sufficient to establish coverage.

Tower's entitlement to summary judgment. In my view, plaintiffs' activity falls short of demonstrating the physical permanence needed to establish that the subject property was their residence. Therefore, I respectfully dissent.

"The standard for determining residency for insurance coverage requires something more than temporary or physical presence and . . . at least some degree of permanence and intention to remain" (*Matter of Allstate Ins. Co. [Rapp]*, 7 AD3d 302, 303 [1st Dept 2004], quoting *Government Empls. Ins. Co. v Paollicelli*, 303 AD2d 633, 633 [2d Dept 2003] [internal quotation marks omitted]). A resident is defined as "one who lives in the household with a certain degree of permanency and intention to remain" (*id.*, quoting *Canfield v Peerless Ins. Co.*, 262 AD2d 934, 934-935 [4th Dept 1999]).

Applying the plain definition of "reside" to the policy, it is evident that plaintiffs had not established the property as a "residence premises." Plaintiff Douglas Dean attested that leading up to the date of the fire, he would enter the property at least five days a week to perform renovation work, occasionally staying until late night or early morning. Although he ate meals and napped in the premises, significantly, he never stayed overnight and always returned to plaintiffs' residence of the previous seven years. Indeed, plaintiffs continued to reside in their previous home and, put simply, failed to physically move into the subject premises. Thus, Douglas Dean's testimony demonstrates ownership, an intention to reside at the subject premises, and recurrent presence inside the property for the purpose of renovation, but not the necessary "degree of permanence" to establish a residence.

Inexplicably, the majority declines to apply the plain meaning of the term "reside" when we have previously accorded unambiguous terms within insurance policies their plain and ordinary meaning (*see Government Empls. Ins. Co. v Kligler*, 42 NY2d 863, 864 [1977] ["While it is true that policies of insurance are to be construed liberally in favor of the insured and strictly against the insurer, where the provisions of the policy are clear and unambiguous, they must be given their plain and ordinary meaning, and courts should refrain from rewriting the agreement"]; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122, 130 [1999] [Court applied the plain meaning to the term "exist," noting that "[e]xist means exist"]; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170, 177 [2008]; *White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]). Instead, by

finding an ambiguity with the term “residence premises,” the majority argues that the case should turn on the issue of “occupancy” because “it is arguable that the reasonable expectation of an average insured is that occupancy of the premises would satisfy the policy’s requirements” (majority op at 709 [citation omitted]). The majority appears to take particular issue with Tower’s disclaimer letter which stated: “Our investigation revealed the dwelling was unoccupied at the time of the loss. Accordingly, this dwelling does not qualify as a ‘residence premises’ [sic] there is no coverage for this claim under your policy.” It is evident, however, that Tower disclaimed coverage on the ground that “this dwelling does not qualify as a ‘residence premises’ ” because it was not occupied in a manner that established the property as a residence. The terms “reside” and “occupy” should not be conflated to circumvent the governing terms of the policy, notwithstanding the reference to “occupancy” in the disclaimer letter and Insurance Law § 3404 (e).^{*} The issue is plainly whether the property was a “residence premises” and Tower amply demonstrated its entitlement to judgment as a matter of law (*see Vela v Tower Ins. Co. of N.Y.*, 83 AD3d 1050 [2d Dept 2011]; *Marshall v Tower Ins. Co. of N.Y.*, 44 AD3d 1014 [2d Dept 2007]; *Commisso v Tower Ins. Co. of N.Y.*, 30 Misc 3d 1224[A], 2011 NY Slip Op 50190[U] [Sup Ct, NY County 2011]). Because plaintiffs’ evidence failed to raise a triable issue of fact, I would reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO and PIGOTT concur with Judge CIPARICK; Judge JONES dissents and votes to reverse in a separate opinion in which Judges READ and SMITH concur.

Order affirmed, with costs, and certified question answered in the affirmative.

^{*} It is arguable whether plaintiffs even established occupancy (*see Page v Nationwide Mut. Fire Ins. Co.*, 15 AD2d 306, 307 [3d Dept 1962] [“Of course, the mere renovation of a house with no one staying there during the process does not make out occupancy”]).

[979 NE2d 1162, 955 NYS2d 835]

In the Matter of THE NEW YORK COUNTY LAWYERS' ASSOCIATION et al., Appellants, and THE NEW YORK CRIMINAL BAR ASSOCIATION, INC., et al., Intervenor-Appellants, v MICHAEL R. BLOOMBERG, as Mayor of the City of New York, et al., Respondents, and THE LEGAL AID SOCIETY OF NEW YORK, Intervenor-Respondent.

Argued September 5, 2012; decided October 30, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 15, 2012. The Appellate Division, with two Justices dissenting, affirmed so much of an order and judgment (one paper) of the Supreme Court, New York County (Anil C. Singh, J.; op 30 Misc 3d 921 [2011]), entered in a hybrid CPLR article 78 proceeding and declaratory judgment action, as had denied the petition and granted respondents' cross motion for summary judgment dismissing the proceeding insofar as it challenged respondent City of New York's indigent defense plan.

Matter of New York County Lawyers' Assn. v Bloomberg, 95 AD3d 92, affirmed.

HEADNOTE

Attorney and Client — Assignment of Counsel — Indigent Defense Plan for City of New York

Respondent City of New York's 2010 plan for indigent defense, permitting representation by both institutional providers and private attorneys in cases in which a conflict of interest precludes representation by the initial provider, constituted a valid combination plan under County Law § 722 (4). Respondent was authorized to appoint institutional providers to conflict cases independently of the county bar associations and the judiciary, and its ability to do so was not contingent on the consent of the bar associations. To condition respondent's authority to implement a combination plan incorporating "a plan of a bar association" component under County Law § 722 (3) either on the adoption of the 1965 Bar Plan for indigent defense in its entirety or on the bar associations' consent to abandon that portion of the plan reserving conflict representation exclusively to County Law article 18-B attorneys would be to allow the bar associations to unilaterally block respondent from adopting a plan for conflict representation that included institutional providers, a result not intended by the legislature. Rather, County Law § 722 contemplates that respondent, in response to needs actual or perceived, could implement a combination plan apportioning conflict representation among both institutional providers and private counsel retained pursuant to the selection method created by the 1965 Bar Plan, the 18-B panels. Moreover, respondent's proposed plan did not impermissibly transfer authority to determine whether

a conflict of interest exists from the judiciary to institutional providers. Nothing in the 1965 Bar Plan stated that the court, rather than the institutional provider, had the exclusive authority to determine that a conflict of interest existed in the first instance, and in practice it is typically counsel who must determine whether a conflict exists as a matter of ethical obligation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 246; AM JUR 2d, Criminal Law § 1109.
CARMODY-WAIT 2d, Right to Counsel § 184:55.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.2.
McKINNEY'S, County Law § 722.
NY JUR 2d, Criminal Law: Procedure §§ 761, 764.

ANNOTATION REFERENCE

See ALR Index under Attorneys.

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POINTS OF COUNSEL

Haynes and Boone, LLP, New York City (*Jonathan D. Pressment* and *David M. Siegal* of counsel), for appellants. I. The appeal warrants de novo review. (*Jones v Bill*, 10 NY3d 550; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71; *Pultz v Economakis*, 10 NY3d 542; *State of New York v Patricia II.*, 6 NY3d 160; *Di Marco v Hudson Val. Blood Servs.*, 147 AD2d 156; *Meltzer v Koenigsberg*, 302 NY 523; *People v Mobil Oil Corp.*, 48 NY2d 192.) II. The Appellate Division, First Department's order should be reversed. (*People v Tempton*, 192 AD2d 369; *Klostermann v Cuomo*, 61 NY2d 525; *Matter of Legal Aid Socy. of Sullivan County v Scheinman*, 53 NY2d 12; *Matter of Brusco v Braun*, 84 NY2d 674; *Goehler v Cortland County*, 70 AD3d 57; *People v Ward*, 199 AD2d 683; *Levenson v Lippman*, 4 NY3d 280; *Matter of Met Council v Crosson*, 84 NY2d 328; *Matter of Parry v County of Onondaga*, 51 AD3d 1385; *Matter of Stream v Beisheim*, 34 AD2d 329.)

Satterlee Stephens Burke & Burke LLP, New York City

(Zoë E. Jasper and Alun W. Griffiths of counsel), for intervenors-appellants. I. The appeal herein warrants de novo review. (*Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Guido v New York State Teachers' Retirement Sys.*, 94 NY2d 64; *Jones v Bill*, 10 NY3d 550.) II. The City of New York's proposed plan is unlawful under County Law § 722. (*Goehler v Cortland County*, 70 AD3d 57; *Matter of Branford House v Michetti*, 81 NY2d 681; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *United States v Hudson*, 7 Cranch [11 US] 32; *Department of Welfare of City of N.Y. v Siebel*, 6 NY2d 536; *Matter of McNerney v City of Geneva*, 290 NY 505; *People v Cristin*, 30 Misc 3d 383; *People v McLaughlin*, 174 Misc 2d 181.) III. The City of New York's failure to obtain bar association approval invalidates the City's proposed plan.

Michael A. Cardozo, Corporation Counsel, New York City (Julian L. Kalkstein, Larry A. Sonnenshein and Thaddeus Hackworth of counsel), for respondents. I. Petitioners' challenge to 43 RCNY chapter 13 is barred by the statute of limitations. (*New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194; *Matter of City of New York [Grand Lafayette Props. LLC]*, 6 NY3d 540; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *Ousmane v City of New York*, 7 Misc 3d 1016[A], 2005 NY Slip Op 50634[U]; *Association of Messenger Servs. v City of New York*, 136 Misc 2d 869; *Matter of Edmead v McGuire*, 67 NY2d 714; *Matter of Queensborough Community Coll. of City Univ. of N.Y. v State Human Rights Appeal Bd.*, 41 NY2d 926; *Matter of Allstate Ins. Co. v Stewart*, 36 AD2d 811, 29 NY2d 925; *Matter of GFI-Genfare, Div. of Gen. Signal Tech. Corp. v New York City Tr. Auth.*, 184 AD2d 334.) II. County Law § 722 authorizes the City of New York to promulgate a plan for the provision of counsel for indigent defendants that includes utilizing institutional providers under section 722 (2) for assignment of counsel in conflict cases. (*Carney v Philipponne*, 1 NY3d 333; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *People ex rel. Huntington v Crennan*, 141 NY 239; *Goehler v Cortland County*, 70 AD3d 57; *Gideon v Wainwright*, 372 US 335; *People v Finnegan*, 85 NY2d 53, 516 US 919; *Zappone v Home Ins. Co.*, 55 NY2d 131.)

Davis Polk & Wardwell LLP, New York City (Daniel F. Kolb, Lara M. Samet and Nicholas P. Stabile of counsel), and Steven Banks, Legal Aid Society, for intervenor-respondent. I. The

Appellate Division correctly ruled that the City of New York's actions were consistent with section 722 of the County Law and that appellants may not interfere with the City's discretion to assign cases. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Matter of Comptroller of City of N.Y. v Mayor of City of N.Y.*, 7 NY3d 256; *Hurrell-Harring v State of New York*, 15 NY3d 8; *Matter of Astoria Gas Turbine Power, LLC v Tax Commn. of City of N.Y.*, 7 NY3d 451; *Riley v County of Broome*, 95 NY2d 455; *Riverton Assoc. v Harvey*, 1 Misc 3d 822; *People v Mills*, 11 NY3d 527; *Matter of Niagara Mohawk Power Corp. v Public Serv. Commn. of State of N.Y.*, 69 NY2d 365; *People v Eastco Bldg. Servs.*, 23 Misc 3d 864.) II. The City of New York's actions did not extinguish the 1965 Bar Plan and its criminal defense panels, which remain as before. III. Conflict cases may nevertheless be assigned to the Legal Aid Society irrespective of whether or not this Court concludes that the City of New York's actions with respect to the bar plan were appropriate. (*People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48; *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation*, 75 NY2d 88.)

OPINION OF THE COURT

CIPARICK, J.

This appeal presents the question of whether the City of New York's 2010 plan for indigent defense, permitting representation by both institutional providers and private attorneys in cases in which a conflict of interest precludes representation by the initial provider, constitutes a valid combination plan within the meaning of article 18-B of the County Law (County Law § 722). Petitioners, various county bar associations, challenged the proposed plan and its implementing regulations (*see* 43 RCNY 13-01 *et seq.*) as violative of County Law § 722 and Municipal Home Rule Law § 11 (1) (e). We conclude that the City may assign conflict cases to institutional providers, that its ability to do so is not contingent on the consent of the county bar associations and that the City's proposed indigent defense plan does not run afoul of the County Law or Municipal Home Rule Law.

I.

In 1965, the legislature enacted article 18-B of the County Law (County Law § 722) in response to the Supreme Court's landmark decision in *Gideon v Wainwright* (372 US 335 [1963]), which held that the fundamental right to counsel in criminal

cases creates an attendant obligation of the state to provide indigent defendants with representation (*see id.* at 344-345). Accordingly, County Law § 722 mandates that “the governing body of the city in which a county is wholly contained shall place in operation . . . a plan for providing counsel to persons charged with a crime . . . who are financially unable to obtain counsel.” Pursuant to section 722, New York City may adopt any one of the following plans for representation:

“1. Representation by a public defender appointed pursuant to county law article eighteen-A.^[1]

“2. . . . representation by counsel furnished by a private legal aid bureau or society . . .

“3. (a) Representation by counsel furnished pursuant to either or both of the following: a plan of a bar association in each county or the city in which a county is wholly contained whereby: (i) the services of private counsel are rotated and coordinated by an administrator, and such administrator may be compensated for such service; or (ii) such representation is provided by an office of conflict defender . . .^[2]

“4. Representation according to a plan containing a combination of any of the foregoing.”

Subdivision (4) further provides that when the City has not enacted a plan conforming with subdivisions (3) or (4) and “the judge . . . is satisfied that a conflict of interest prevents the assignment of counsel pursuant to the plan in operation . . . the judge . . . may assign any attorney in such . . . city.”

Also in 1965, the Association of the Bar of the City of New York (not a party to this case) and petitioners proposed a joint plan for indigent defense (the 1965 Bar Plan) that, consistent with section 722 (4), “combine[d] representation by a private legal aid society [pursuant to subdivision (2)] and by private attorneys [pursuant to subdivision (3)].” Under the 1965 Bar Plan, the county bar associations would submit a list of names

1. As the City does not have a public defender, this section does not currently factor into our analysis.

2. The legislature amended County Law § 722 (3) on June 22, 2010 to include its current language (*see* L 2010, ch 56, § 1, part E, § 3). Previously, it read, in relevant part, “counsel furnished pursuant to a plan of a bar association . . . whereby the services of private counsel are rotated and coordinated by an administrator” (*see* L 1965, ch 878, § 1).

of qualified attorneys to administrators, appointed by the Appellate Divisions of the First and Second Judicial Departments and paid by the City, who would prepare and coordinate panels of attorneys pursuant to article 18-B. The 1965 Bar Plan designated the Legal Aid Society as the primary provider of indigent defense services. It further provided that where the “court deems the assignment of other counsel to be required in the interest of justice because of . . . a conflict of interest . . . the court shall appoint counsel” from an 18-B panel. Finally, the 1965 Bar Plan granted the First and Second Departments authority to promulgate rules with respect to the plan’s operation.

In November 1965, then Mayor Robert F. Wagner, Jr., issued New York City Executive Order No. 178 establishing a combined option plan as proposed by the bar associations for indigent defense pursuant to County Law § 722 (4). In conformity with the 1965 Bar Plan, Executive Order No. 178 designated the Legal Aid Society as the primary provider of counsel to indigent defendants and stated that “[i]n those cases where by reason of a conflict of interest . . . the Legal Aid Society declines to represent any such defendant, such defendant shall be represented by counsel furnished pursuant to the [Bar Plan].” It should be noted that at that time the Legal Aid Society was the only institutional provider of legal services in New York City.

While in subsequent decades the provision of indigent defense functioned in accordance with the plan established by Executive Order No. 178, it was not wholly without practical alterations. In 1980 and 1991, the First and Second Judicial Departments adopted new rules, which the county bar associations approved, whereby committees designated by the Appellate Division would perform the function of screening attorneys for the 18-B panels (*see* 22 NYCRR 612.0 *et seq.*; 22 NYCRR 678.1 *et seq.*). Beginning in 1996, the City began contracting with other institutional providers in addition to the Legal Aid Society. Presently, institutional providers furnishing indigent defense services also include Staten Island Legal Services, the Bronx Defenders, Brooklyn Defender Services, New York County Defender Services, Neighborhood Defender Service of Harlem and Queens Law Associates.

In June 2008, recognizing that the Legal Aid Society was no longer the sole institutional provider of primary defense counsel, Mayor Michael Bloomberg issued New York City Executive Order No. 118 of 2008, which repealed New York City Executive

Order No. 178 of 1965. Executive Order No. 118 provided that the Office of the Criminal Justice Coordinator (CJC) “shall select Providers through a competitive procurement process,” to serve as primary counsel at both the trial and appellate levels. Conflict representation would continue to be provided exclusively by 18-B panel attorneys.

On January 6, 2010, the City adopted chapter 13 of title 43 of the Rules of the City of New York (43 RCNY 13-01 *et seq.*) entitled “Indigent Defense Plan for the City of New York.” Of great significance to this appeal, chapter 13 addressed the assignment of conflict counsel, providing:

“In any case where, due to conflict of interest or other appropriate reason, Providers decline or are unable to represent an indigent person at the trial or on appeal in a criminal matter, counsel shall be furnished by attorneys assigned by the ACP [Assigned Counsel Plan] from the appropriate Criminal Defense Panel of the Appellate Division, First or Second Judicial Department, *or by alternate providers^[3] selected by the CJC through the City’s procurement process*” (43 RCNY 13-03 [emphasis added]).

Thus, chapter 13 permits the assignment of conflict cases to institutional providers in addition to 18-B panel attorneys. Chapter 13 also created the Office of the Assigned Counsel Plan (OACP), which is “overseen by two Administrators in consultation with the Presiding Justices of the First and Second Judicial Departments” and is “responsible for management of the City’s Criminal Defense Panels” (43 RCNY 13-01).

In February 2010, as per the procedures established in chapter 13, the City issued a request for proposals (the RFP) inviting institutional bids for the provision of indigent criminal defense services and for the assignment of conflict cases. The RFP stated that “the City is interested in providing representation in conflict cases and anticipates issuing awards to vendors who propose to provide representation in conflict cases.”

The City subsequently issued two addendums to the RFP. A February 8, 2010 addendum clarified that “[t]he City has not decided and the RFP does not state that a definite number of providers will be selected for each county.” The second

3. Section 13-01 defines “[p]rovider[s]” as “private institutional legal services organization[s] selected by CJC in accordance with section 13-02,” which addresses the procurement of institutional providers.

addendum was issued March 2, 2010, the same day that Mayor Bloomberg issued New York City Executive Order No. 132 of 2010, setting forth the City's new indigent defense plan. Executive Order No. 132 repealed New York City Executive Order No. 178 of 1965 again, but provided that the 18-B panels created by the latter "shall continue to exist and shall be administered in accordance with the rules of the Appellate Division, First and Second Judicial Departments." The second addendum presented a contradiction, however, stating that the City's new indigent defense plan conformed with County Law § 722 (2), the "private legal aid bureau or society" option, and that the prior section 722 (3) option, by which representation was furnished pursuant to "a plan of a bar association," specifically, the 1965 Bar Plan, was "no longer in effect."

Petitioners⁴ initiated this hybrid CPLR article 78 proceeding and declaratory judgment action in June 2010 challenging the legality of Executive Order No. 132, 43 RCNY chapter 13, the RFP and its addenda. Petitioners sought, among other things, a judgment declaring that chapter 13, Executive Order No. 132 and the amended RFP violate article 18-B and Municipal Home Rule Law § 11 (1) (e) and declaring any contracts entered into pursuant to the order and RFP invalid. As relevant here, petitioners contended that the City's proposed indigent defense plan was not a combination plan as set forth in County Law § 722 (4) because the county bar associations had not approved of the selective retention and abandonment of portions of the 1965 Bar Plan and, therefore, the new plan did not utilize a "plan of a bar association" pursuant to section 722 (3). Petitioners also moved to preliminarily enjoin respondents, the City of New York, Mayor Bloomberg and the CJC (collectively, the City), from implementing Executive Order No. 132 and the contract procurement process prescribed in the RFP.

Subsequently, on July 13, 2010, Mayor Bloomberg issued New York City Executive Order No. 136 of 2010, which repealed the preceding Executive Orders,

"except that Criminal Defense Panels created under
the authority of Executive Order [No.] 178 of 1965

4. Petitioners include the New York County Lawyers' Association, the Bronx County Bar Association, the Brooklyn Bar Association, the Queens County Bar Association and the Richmond County Bar Association. The New York Criminal Bar Association, Inc. and Anastasios Sarikas, a member of the Assigned Counsel Plan of the City of New York, were added as intervenor-petitioners.

and pursuant to the plan submitted by bar associations in accordance with subdivision 3 of section 722 of the County Law shall continue to exist and shall be administered in accordance with the rules of the Appellate Division, First and Second Judicial Departments.”

In response to Executive Order No. 136, petitioners amended their pleading, asserting that the most recent order “attempts to selectively preserve portions of the 1965 Bar Plan while rejecting other portions” without the approval of the county bar associations in violation of County Law § 722 (3).

The City answered, asserting that its indigent defense plan is a combination plan pursuant to County Law § 722 (4), that the second addendum indicating otherwise was a misstatement, that “the criminal defense panels of private attorneys continue to be administered in the same manner [as prescribed by the 1965 Bar Plan] and [that] the role of the bar associations has not been changed or modified by the City in any way.” The City cross-moved for summary judgment.⁵

Supreme Court granted the petition to an extent not relevant to this appeal, otherwise dismissed the petition with prejudice and granted the City’s motion for summary judgment (*see Matter of New York County Lawyers’ Assn. v Bloomberg*, 30 Misc 3d 921 [Sup Ct, NY County 2011]). A majority of Appellate Division justices affirmed (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 95 AD3d 92 [1st Dept 2012]), finding, as did Supreme Court, that section 722 (2) authorized the City to assign conflict cases to institutional providers without petitioners’ consent, that section 722 (3) as amended did not reserve exclusive authority over the provision of conflict counsel to the county bar associations and that the City’s indigent defense plan “is a lawful ‘combination’ plan under County Law § 722 (4)” (*id.* at 95). The majority determined that any differences between the bar plan component of the City’s proposed combination plan and the 1965 Bar Plan were immaterial (*see id.* at 102). The dissenting justices would have granted the petition, finding that “[t]he City’s Bar Plan is markedly different from the version devised and approved by the County Bars in 1965,” and that regardless of how the court “characterize[d] the changes [between the plans], the ineluctable reality is that a

5. The Legal Aid Society moved without opposition to intervene as intervener-respondent and joined in the City’s motion.

‘Bar Plan’ that has not been adopted, but instead has been rejected by the bar associations, is not ‘a plan of a bar association’ as contemplated by County Law § 722 (3)” (*id.* at 111, 114).

Petitioners appeal pursuant to CPLR 5601 (a) and we now affirm.

II.

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature” (*Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]; *see also Matter of M.B.*, 6 NY3d 437, 447 [2006]). To that end, in our present interpretation of County Law § 722, we must look first to the statutory text, which is “the clearest indicator of legislative intent” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). We are also guided in our analysis by the familiar principle “that a statute . . . must be construed as a whole and that its various sections must be considered together and with reference to each other” (*People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]).

Petitioners contend that County Law § 722 neither contemplates nor allows the City’s assignment of conflict cases to institutional providers. According to petitioners, because section 722 addresses the provision of conflict counsel in subdivisions (3) and (4) only, conflict counsel may only be appointed by the bar associations or the judiciary pursuant to those provisions. Specifically, petitioners rely on the 2010 amendment to section 722 (3), which allowed for representation pursuant to a bar plan whereby an “office of conflict defender” would provide conflict representation (*see* County Law § 722 [3] [a] [ii]). Arguing that the phrase “office of conflict defender” must be read broadly to encompass institutional providers, petitioners assert that the county bar associations alone possess the authority to appoint institutional providers in conflict cases. By necessity, then, the services of institutional providers under section 722 (2), which omits reference to conflicts of interest, are limited to primary representation. We do not agree with petitioners’ interpretation and conclude that the statute permits the City to assign conflict cases to institutional providers of indigent defense services.

Section 722 compels the City to “place in operation . . . a plan for providing counsel to persons charged with a crime . . . who are financially unable to obtain counsel.” As the United

States Supreme Court has stated, “[w]here a constitutional right to counsel exists . . . there is a correlative right to representation that is free from conflicts of interest” (*Wood v Georgia*, 450 US 261, 271 [1981]). Thus, it follows that the City’s discretion to devise a plan for the provision of indigent criminal defense must necessarily extend to conflict representation. We cannot interpret “a plan for providing counsel” as pertaining only to primary counsel when no such limitation is evident from the general language chosen by the legislature (see *Majewski*, 91 NY2d at 583; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563, 568 [2004]). Nor can we construe section 722 (2), allowing representation by a “private legal aid bureau or society,” as being similarly limited. Rather than circumscribe the City’s ability to respond to conflicts of interest, we think it more likely, when construing the statute as a whole, that the legislature intended to permit the City to create a comprehensive indigent defense plan that accounts for such a frequently occurring circumstance. That authority includes a plan in which conflict cases are assigned to institutional providers as well as 18-B lawyers.

The 2010 amendment to section 722 (3) does not alter our analysis; it simply gives municipalities yet another option for the handling of conflict cases—representation by an office of conflict defender pursuant to a bar plan (see County Law § 722 [3] [a] [ii]).

Our reading is also fully consistent with County Law § 722 (4). That section allows for representation of indigent defendants “according to a plan containing a combination of” section 722 (1), (2) or (3). It also allows the court to assign counsel where the City has not “placed in operation a plan conforming to” subdivision (3) or a combination plan under subdivision (4), and the court “is satisfied that a conflict of interest prevents the assignment of counsel pursuant to the plan in operation.” In accordance with our analysis, nothing in County Law § 722 would prevent the City from implementing a plan whereby both primary and conflict counsel are furnished by various institutional providers pursuant to section 722 (2). In that case, because the plan in operation would most often provide a mechanism for resolving a conflict of interest, the occurrence of a conflict would typically not trigger the court’s discretionary authority to appoint counsel unless, of course, a third conflict exists. Thus, petitioners’ assertion that County Law § 722 reserves authority over the assignment of conflict representation

exclusively to the county bar associations or, alternatively, to the judiciary is inconsistent with the statutory scheme.

Having concluded that the City may appoint institutional providers to conflict cases independently of the bar associations and the court, we turn to the question of whether the City's proposed indigent defense plan is a valid combination plan adopted pursuant to County Law § 722 (4). Petitioners assert that the purported "bar plan" component of the City's proposed plan is not actually "a plan of a bar association" under section 722 (3) as the bar associations have not ratified, and in fact object to, the City's alterations to the 1965 Bar Plan. Of those alterations, petitioners point primarily to the departure from that portion of the 1965 Bar Plan designating conflict representation exclusively to 18-B panel attorneys. If we are to effectuate the legislative intent underlying County Law § 722, however, we cannot invalidate the City's proposed plan on that basis.

To condition the City's authority to implement a combination plan incorporating a subdivision (3) component either on the adoption of the 1965 Bar Plan in its entirety or on the bar associations' consent to abandon that portion of the plan reserving conflict representation exclusively to 18-B attorneys would be to allow the bar associations to unilaterally block the City from adopting a plan for conflict representation that includes institutional providers. In effect, the bar associations would control the City's ability to fulfill its statutory mandate to formulate a comprehensive plan for indigent defense. We do not believe the legislature intended such a result. Rather, County Law § 722 appears to contemplate precisely what occurred here—that the City, in response to needs actual or perceived, could implement a combination plan apportioning conflict representation among both institutional providers and private counsel retained pursuant to the selection method created by the 1965 Bar Plan, the 18-B panels.

Petitioners also point to other changes, which they claim run counter to the 1965 Bar Plan and violate County Law § 722. First, petitioners assert that the City's proposed plan impermissibly transfers authority to determine whether a conflict of interest exists from the judiciary to institutional providers. We disagree. The 1965 Bar Plan stipulated that the court would appoint an 18-B attorney where it "deems the assignment of other counsel to be required in the interest of justice because of . . . a conflict of interest." However, nothing in the 1965 Bar Plan

states that the court, rather than the institutional provider, had the exclusive authority to determine that a conflict of interest existed in the first instance. Concomitantly, New York City Executive Order No. 178 of 1965 provided that “[i]n those cases where by reason of a conflict of interest or other appropriate reason . . . *the Legal Aid Society declines to represent any such defendant*, such defendant shall be represented by counsel furnished pursuant to the [1965 Bar Plan]” (emphasis added). Moreover, in practice it is typically counsel who must determine whether a conflict exists as a matter of ethical obligation (*see* Rules of Professional Conduct [22 NYCRR 1200.0] rules 1.7-1.10). Thus, what petitioners contend is a major change is, in effect, no change at all.

Next, they assert that in creating the OACP, the City’s proposed plan usurped management authority over the 18-B panels from judicially appointed administrators and placed it under executive control. OACP, however, is “overseen by two Administrators in consultation with the Presiding Justices of the First and Second Judicial Departments” (43 RCNY 13-01) and, as the majority below found, “takes no authority away from the [county bar associations]” (*Matter of New York County Lawyers’ Assn.*, 95 AD3d at 102). Petitioners also assert that the City’s proposed plan impermissibly replaces the county bar associations’ role over the selection of 18-B panel attorneys with “screening and advisory committees” designated by the First and Second Judicial Departments. While the 1965 Bar Plan did not provide for the Appellate Division’s involvement in the screening of 18-B attorneys, it is undisputed that in 1980 and 1991, the county bar associations approved new sections of the Appellate Division rules that created the very screening committees for 18-B panels to which they now object (*see* 22 NYCRR 612.0 *et seq.*; 22 NYCRR 678.1 *et seq.*). Thus, the City’s proposed plan merely codifies a change that the bar associations ratified and that has been in practice for decades.

Finally, we reject the argument that the City’s 2010 plan violates Municipal Home Rule Law § 11 (1) (e), which prohibits the adoption of a local law that supercedes a state statute if such law affects the courts. No such situation exists here.

We thus conclude and agree with the majority below that the City’s 2010 plan for indigent defense constitutes a valid combination plan under County Law § 722 (4). Construed as a whole, section 722 affords the City the flexibility to appoint institutional providers to represent indigent defendants where a

conflict of interest precludes representation by the primary provider. As such, the City, in the exercise of its discretion, was not required to adopt that portion of the 1965 Bar Plan reserving conflict cases exclusively to 18-B panel attorneys in order to implement a combination plan incorporating “a plan of a bar association” pursuant to County Law § 722 (3). Importantly, the 18-B panels created by the 1965 Bar Plan remain in place and are expressly preserved by the executive order governing the City’s 2010 plan. The City’s plan thus allows for the defense of indigent criminal defendants by the Legal Aid Society, other institutional providers and the private bar, as a combination plan that serves the needs of the clients but also recognizes fiscal realities to be borne by the City.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN (dissenting). While I do not disagree with that part of the majority’s analysis concluding that a County Law § 722 (2) indigent defense plan may draw upon institutional providers for both primary and conflict representation, I do not view that conclusion as necessary or even helpful to a correct analysis of whether the indigent defense plan now before us comports with the County Law.

As the majority has so meticulously detailed, the City, after purporting to jettison the combined (County Law § 722 [4]) plan that had been in place since 1965 and replace it simply with a section 722 (2) plan in which panel attorneys would play no part, has now clarified that that was not its intention at all and that its new plan is, like the plan it is to supplant, actually a County Law § 722 (4) combination plan, in accordance with which legal services would be provided by private practitioners pursuant to a section 722 (3) bar association plan, and by private institutional providers pursuant to section 722 (2). The salient and transformative difference between the new and old plans is that under the new plan institutional providers may be called upon to provide either primary or conflict representation, whereas under the old plan, both as formulated by the bar associations and implemented by the City, representation in conflict cases was to be handled exclusively by panel attorneys. The new plan reduces, and indeed will likely marginalize the participation of panel attorneys, dramatically shifting from them to institutional providers retained through competitive bidding, the conflict defense function.

The legal issue immediately posed by this shift is not whether it is within the City's power to accomplish, but whether it is permissibly accomplished by means of the particular section 722 (4) combination plan the City has evidently settled upon. That plan, like its forerunner, purports to rely in essential part upon "[r]epresentation by counsel furnished pursuant to . . . a plan of a bar association" (County Law § 722 [3] [a]). Indeed, the new plan purports to rely on the very same bar association plan used in connection with the now repeatedly repealed 1965 plan (*see* majority op at 718-719). However, no bar association has agreed to the use of the 1965 plan in the dramatically different context that would be created by the expanded subdivision (2) component of the City's new plan.

As the majority acknowledges, and as is in any case clear from the record, it was an express element of the 1965 bar association plan and of the consequent City plan adopted in the same year that panel attorneys would be assigned all of the matters in which the then sole private institutional provider,¹ the Legal Aid Society, was conflicted. Stripped of that critical allocation of responsibility, the bar association plan is that in name only; it is, in its starkly pared aspect, simply a plan of the City attributable to a bar association only by highhanded assertion. The 1965 bar association plan was not designed like a bit of LEGO for use in a range of interchangeable settings at the City's option. Rather, it contemplated a particular relation between institutional and panel providers with specific, well-defined functions assigned each. Plainly, that relation has been fundamentally altered in the City's new plan.

Inasmuch, then, as the City's presently proposed combination plan lacks an essential combinative element, namely "a plan of a bar association," it is not a valid County Law § 722 (4) plan and that is where the analysis logically must find its point of repose. The majority, however, would avoid this conclusion, not because it is sensible to suppose that the bare retention of the panels is or may be deemed "pursuant to . . . a plan of a bar association," but because it finds unacceptable the notion that bar associations may, by withholding consent to a City plan for the provision of panel attorneys, "unilaterally block the City from

1. While it is true that there have since 1996 been institutional defenders other than Legal Aid integrated as service providers within the City plan, those providers merely enlarged the pool of primary defenders; they were not used to supplant the panel attorneys from their agreed upon role as conflict defenders under the original City combination plan.

adopting a plan for conflict representation that includes institutional providers” (majority op at 723). But, of course, if one accepts the majority’s conclusion that conflict representation may be provided by institutional providers under a simple section 722 (2) plan, it cannot be that the bar associations have the veto power the majority ascribes to them.

While, under the statute, the absence of “a plan of a bar association” operates to prevent the City from devising a subdivision (3) plan or a subdivision (4) plan depending on a subdivision (3) component, these limitations manifestly do not prevent the City from fulfilling its statutory mandate to formulate a comprehensive plan for indigent defense. And, given the majority’s understanding of what a subdivision (2) plan may include, it is clear that the City may adopt a plan that will meet its dominant motivating objective of shifting conflict representation to institutional providers. Indeed, the present plan’s subdivision (2) component, standing alone, would appear independently to be statutorily compliant as a subdivision (2) plan.

Although the City may prefer a combination plan involving the retention of panel attorneys so as to assure that there will be no situation in which a court will appoint conflict counsel pursuant to section 722 (4),² that is not a preference that the statute may be read to accommodate, unless there is in fact a bona fide subdivision (3) bar association plan. Certainly, the existence of the preference does not justify disregarding the statutory condition of its gratification.

The City doubtless has considerable discretion to fashion an indigent defense plan, but like any other locality charged with the obligation of devising such a plan, its discretion is limited by County Law § 722; it does not have laissez-faire to construct a plan except from the elements the statute makes available (see *e.g. Goehler v Cortland County*, 70 AD3d 57 [3d Dept 2009])

2. The statute provides in relevant part:

“when the county or the city in which a county is wholly contained has not placed in operation a plan conforming to that prescribed in this subdivision or subdivision three of this section and the judge, justice or magistrate is satisfied that a conflict of interest prevents the assignment of counsel pursuant to the plan in operation . . . the judge, justice or magistrate may assign any attorney in such county or city and, in such event, such attorney shall receive compensation and reimbursement from such county or city which shall be at the same rate as is prescribed in section seven hundred twenty-two-b of this article” (County Law § 722 [4]).

[declaring the County's creation of an office of conflict attorney invalid because the newly created office did not correspond to any statutorily sanctioned option]].³ Here, because the City's combination plan relies upon an element that does not exist, it does not conform to the statute and is violative of Municipal Home Rule Law § 11 (1) (e). This does not mean that the City should be indefinitely stymied in implementing an indigent defense plan, only that it cannot while complying with the statute implement the present plan with its subdivision (3) piece. What would remain after dispensing with that defective element would, I believe, be a valid subdivision (2) plan on the basis of which the City could proceed. This would, as noted, entail judicial appointment of counsel in conflict situations where institutional conflict defenders were unavailable, but that is what the statute requires where there is no plan of a bar association for the provision of private counsel.

The City may have very sound policy reasons for the change it proposes, but as it goes about altering, perhaps irretrievably, the network of indigent defense service providers that has been in place for some 47 years, it would seem more than ordinarily important to insist upon compliance with the limitations contained in County Law § 722, among them that bar association consent be obtained as a condition of a City plan purporting to rely on "a plan of a bar association." This is not simply a question of logic and manners. The purpose of the statute is to assure that there will be quality representation for indigent defendants pursuant to the mandate of *Gideon v Wainwright* (372 US 335 [1963]), and toward that end the legislature has, quite reasonably, required localities to act cooperatively with the bar associations whose members are to be drawn upon for their professional services. If the panels are to be retained and usefully administered as a representational resource, it would be prudent and natural that it would be according to a sustaining plan devised not only by the City but also in part by legal professionals concerned first and foremost with the delivery of quality representation. That is, in any event, what the statute requires and what municipal discretion therefore is not appropriately invoked to excuse.

3. Section 722 (3) has since been amended to permit conflict defense services to be provided by an office of conflict defender pursuant to a plan of a bar association (L 2010, ch 56, § 1, part E, § 3).

Judges GRAFFEO, READ and JONES concur with Judge CIPAR-
ICK; Chief Judge LIPPMAN dissents in a separate opinion in which
Judges SMITH and PIGOTT concur.

Order affirmed, without costs.

[979 NE2d 1181, 955 NYS2d 854]

AMERICAN BUILDING SUPPLY CORP., Appellant, v PETROCELLI
GROUP, INC., Respondent, et al., Defendant.

Argued October 10, 2012; decided November 19, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 22, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Eileen A. Rakower, J.; op 2010 NY Slip Op 30611[U] [2010]), which had (1) denied a motion by defendant Petrocelli Group, Inc. for summary judgment dismissing the complaint and all cross claims against it; (2) granted the motion; and (3) dismissed the complaint as against defendant Petrocelli Group, Inc.

American Bldg. Supply Corp. v Petrocelli Group, Inc., 81 AD3d 531, reversed.

HEADNOTE

Insurance — Agents and Brokers — Liability for Failure to Procure Insurance

Defendant insurance broker was not entitled to summary judgment dismissing plaintiff corporation's action for negligence and breach of contract in connection with defendant's procurement of insufficient insurance coverage for plaintiff in a policy plaintiff received without complaint, as issues of fact existed as to whether plaintiff specifically requested coverage for its employees in case of accidental injury and whether defendant, being aware of such request, failed to procure the requested coverage. To set forth a case for negligence or breach of contract against an insurance broker, a plaintiff must establish that a specific request was made to the broker for the coverage that was not provided in the policy. Plaintiff testified that it specifically requested "general liability for the employees . . . if anybody was to trip and fall or get injured in any way." Plaintiff also testified that defendant was aware that the only persons at the premises were plaintiff's employees. The coverage defendant obtained excluded coverage for injuries to employees. Moreover, plaintiff's failure to read and understand the policy was not an absolute bar to recovery under the circumstances here. While it is the better practice for an insured to read its policy, an insured should have a right to look to the expertise of its broker with respect to insurance matters. The failure to read the policy, at most, may give rise to a defense of comparative negligence but should not bar, altogether, an action against a broker.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 161–163.

COUCH ON INSURANCE (3d ed) §§ 46:58–46:60, 46:69.

NY JUR 2d, Insurance §§ 496, 503, 506, 507.

PROSSER AND KEETON, TORTS (5th ed) §§ 38, 53.

ANNOTATION REFERENCE

Insured's duty to read insurance policy as affirmative defense in claims against insurance agents and brokers. 8 ALR6th 549.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: insurance /2 broker /p fail! /6 adequate /4 coverage
& issue question /3 fact

POINTS OF COUNSEL

Zisholtz & Zisholtz, LLP, Mineola (*Stuart S. Zisholtz* of counsel), for appellant. I. Petrocelli Group, Inc. should not be relieved from liability for its failure to procure the requested insurance coverage because of American Building Supply Corp.'s failure to read and understand the policy. (*Murphy v Kuhn*, 90 NY2d 266; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152; *Bruckmann, Rosser, Sherrill & Co., L.P. v Marsh USA, Inc.*, 65 AD3d 865; *Cosmos, Queens Ltd. v Matthias Saechang Im Agency*, 74 AD3d 682; *Baseball Off. of Commr. v Marsh & McLennan*, 295 AD2d 73; *Rotanelli v Madden*, 172 AD2d 815, 79 NY2d 754; *Hersch v DeWitt Stern Group, Inc.*, 43 AD3d 644; *Israelson v Williams*, 166 App Div 25, 215 NY 684; *Bell v O'Leary*, 744 F2d 1370; *Butler v Scott*, 417 F2d 471.) II. Petrocelli Group, Inc. did not fulfill its common-law duty to American Building Supply Corp. to either procure the requested coverage within a reasonable amount of time or to notify American Building Supply Corp. of its inability to do so. (*Chase Scientific Research v NIA Group*, 96 NY2d 20; *Murphy v Kuhn*, 90 NY2d 266; *Brown v Poritzky*, 30 NY2d 289; *L.C.E.L. Collectibles v American Ins. Co.*, 228 AD2d 196; *AJ Contr. Co. v Trident Mgrs.*, 234 AD2d 195; *American Ref-Fuel Co. of Hempstead v Resource Recycling*, 281 AD2d 574; *Tucci v Hartford Cas. Ins. Co.*, 167 AD2d 387; *Republic Long Is., Inc. v Andrew J. Vanacore, Inc.*, 29 AD3d 665; *Bruckmann, Rosser, Sherrill & Co., L.P. v Marsh USA, Inc.*, 65 AD3d 865; *Cosmos, Queens Ltd. v Matthias Saechang Im Agency*, 74 AD3d 682.) III. Both the Appellate Division and the trial court correctly found that issues of fact existed with respect to the insurance coverage that American Building Supply Corp. instructed Petrocelli Group, Inc. to

obtain. (*Reilly v Progressive Ins. Co.*, 288 AD2d 365; *Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736; *AJ Contr. Co. v Trident Mgrs.*, 234 AD2d 195; *Bedessee Imports, Inc. v Cook, Hall & Hyde, Inc.*, 45 AD3d 792; *Mickey's Rides-N-More, Inc. v Anthony Viscuso Brokerage, Inc.*, 17 AD3d 328; *Structural Bldg. Prods. Corp. v Business Ins. Agency*, 281 AD2d 617; *Wied v New York Cent. Mut. Fire Ins. Co.*, 208 AD2d 1132; *Barco Auto Leasing Corp. v Montano*, 215 AD2d 617.) IV. Summary judgment should not have been granted. (*De Cristofaro v Joann Enters.*, 250 AD2d 990; *Johnson v Goldberger*, 286 AD2d 604.)

Keidel, Weldon & Cunningham, LLP, White Plains (*Stephen C. Cunningham* and *Debra M. Krebs* of counsel), for respondent. I. The evidence demonstrates that Petrocelli Group, Inc. procured the requested coverage. (*Murphy v Kuhn*, 90 NY2d 266; *M & E Mfg. Co. v Frank H. Reis, Inc.*, 258 AD2d 9; *Block v Magee*, 146 AD2d 730; *Matter of Wang*, 5 AD3d 788; *Neil Plumbing & Heating Constr. Corp. v Providence Washington Ins. Co.*, 125 AD2d 295; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152.) II. Plaintiff's claims are barred by plaintiff's receipt of the subject insurance policy without complaint. (*Maple House, Inc. v Alfred F. Cypes & Co., Inc.*, 80 AD3d 672; *Motor Parkway Enters., Inc. v Loyd Keith Friedlander Partners, Ltd.*, 89 AD3d 1069; *Portnoy v Allstate Indem. Co.*, 82 AD3d 1196; *Stilianudakis v Tower Ins. Co. of N.Y.*, 68 AD3d 973; *Catskill Mtn. Mech., LLC v Marshall & Sterling Upstate, Inc.*, 51 AD3d 1182; *Gui's Lbr. & Home Ctr., Inc. v Pennsylvania Lumbermens Mut. Ins. Co.*, 55 AD3d 1389; *Stone v Rullo Agency, Inc.*, 40 AD3d 1185; *Loevner v Sullivan & Strauss Agency, Inc.*, 35 AD3d 392; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 19 AD3d 1056, 7 NY3d 152; *McGarr v Guardian Life Ins. Co. of Am.*, 19 AD3d 254.)

McGaw, Alventosa & Zajac, Jericho (*Andrew Zajac* and *Dawn C. DeSimone* of counsel), *James M. Begley*, New York City, *Rona L. Platt*, Uniondale, *Brendan T. Fitzpatrick*, Albertson, *David B. Hamm*, New York City, and *Joseph Miller* for Defense Association of New York, Inc., amicus curiae. I. In the absence of fraud or other wrongful conduct, an insured's failure to read the policy it receives is a complete bar to any claim for negligent procurement against its insurance producer. (*Blitman Constr. Corp. v Insurance Co. of N. Am.*, 66 NY2d 820; *Matter of Level Export Corp. [Wolz, Aiken & Co.]*, 305 NY 82; *Florence v Merchants Cent. Alarm Co.*, 51 NY2d 793; *Pimpinello v Swift & Co.*, 253 NY 159; *Metzger v Aetna Ins. Co.*, 227 NY 411; *Motor Parkway*

Enters., Inc. v Loyd Keith Friedlander Partners, Ltd., 89 AD3d 1069; *Portnoy v Allstate Indem. Co.*, 82 AD3d 1196; *Maple House, Inc. v Alfred F. Cypes & Co., Inc.*, 80 AD3d 672; *Stone v Rullo Agency, Inc.*, 40 AD3d 1185; *Madhvani v Sheehan*, 234 AD2d 652.) II. Insurance brokers are generally not fiduciaries and can only be held liable under the common law. The facts of this case do not warrant a finding of a special relationship, whereby the broker would be exposed to liability for breach of contract. (*International Prods. Co. v Erie R.R. Co.*, 244 NY 331; *Heard v City of New York*, 82 NY2d 66; *Kimmell v Schaefer*, 89 NY2d 257; *Murphy v Kuhn*, 90 NY2d 266; *Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152.) III. As a matter of law, American Building Supply Corp. failed to specifically request the coverage found lacking here. Creating a duty to advise of the need to change coverage based on the vague and ambiguous testimony here would expand brokers' liability beyond reasonable limits. (*Hoffend & Sons, Inc. v Rose & Kiernan, Inc.*, 7 NY3d 152; *Murphy v Kuhn*, 90 NY2d 266; *Frost v Mayville Tremaine*, 299 AD2d 839; *Loevner v Sullivan & Strauss Agency, Inc.*, 35 AD3d 392; *MDW Enters. v CNA Ins. Co.*, 4 AD3d 338; *M & E Mfg. Co. v Frank H. Reis, Inc.*, 258 AD2d 9; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911; *Obomsawin v Bailey, Haskell & LaLonde Agency, Inc.*, 85 AD3d 1566; *Empire Indus. Corp. v Insurance Cos. of N. Am.*, 226 AD2d 580; *Catalanotto v Commercial Mut. Ins. Co.*, 285 AD2d 788.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine if an action for negligence and breach of contract lies against an insurance broker for failure to procure adequate insurance coverage where the insured received the policy without complaint. We hold, where issues of fact exist as to a request for specific coverage, that the insured can maintain such an action and defendant's motion for summary judgment should be denied.

I

Plaintiff American Building Supply Corp. (ABS) is a business which sells and furnishes building materials to general contractors. Plaintiff is located both in Manhattan and the Bronx. This action only concerns the premises located in the Bronx, where plaintiff is the sole tenant of a building it subleased from DRK, LLC (DRK), which had procured the property by entering into a lease agreement with the New York City Industrial Development

Agency (NYCIDA). Pursuant to the lease agreement between DRK and NYCIDA, DRK was, among other things, required to procure general liability insurance from a carrier licensed to do business in the State of New York in the minimum amount of \$5,000,000 for bodily injury and property damage. The sublease agreement between ABS and DRK, both owned and managed by the same person, noted that the sublessee consented to all the terms of the lease agreement.

Prior to October 2004, Pollack Associates, not a party to this appeal, was plaintiff's insurance broker and procured a policy with the Burlington Insurance Company (Burlington), an excess line carrier not licensed in the State of New York. DRK was named an additional insured under the policy. The policy did not comply with the requirements set forth by the lease agreements and was subsequently cancelled due to nonpayment of premiums. In October 2004, plaintiff hired defendant Petrocelli Group, Inc. to replace Pollack as its insurance broker. Defendant arranged to reinstate the Burlington policy. Plaintiff claims that in its discussions with defendant regarding a new policy, it specifically requested general liability coverage for its employees in case of injury, as required by the lease agreements. Plaintiff also alleged that it informed defendant that only employees entered the premises, never customers, as no retail business was conducted at the Bronx location. Finally, plaintiff avers that defendant visited the premises and had assured NYCIDA that the insurance deficiencies would be corrected when the policy was up for renewal.

Defendant then renewed the Burlington policy for the period of June 14, 2005 through June 14, 2006. The policy was essentially the same as plaintiff had previously received through Pollack. The policy contained a cross liability exclusion clause that provided: "This insurance does not apply to any actual or alleged 'bodily injury', 'property damage', 'personal injury' or 'advertising injury' to . . . A present, former, future or prospective partner, officer, director, stockholder or employee of any insured." Plaintiff did not read the insurance policy upon receipt, nor did the broker.

In October 2005, one of plaintiff's employees was injured at the Bronx facility in the course of performing his duties. Burlington disclaimed coverage based upon the cross-liability exclusion. DRK sought a declaratory judgment against Burlington seeking a determination that Burlington was obligated to defend and indemnify plaintiff. Burlington moved for summary judgment.

Supreme Court denied the motion and ordered Burlington to defend and indemnify plaintiff. The Appellate Division reversed, holding that Burlington had no duty to defend or indemnify based on the cross liability exclusion clause (*see DRK, LLC v Burlington Ins. Co.*, 74 AD3d 693 [1st Dept 2010], *lv denied* 16 NY3d 702 [2011]).

Plaintiff next commenced this action against its broker for negligence and breach of contract in connection with defendant's procurement of insufficient insurance. Following discovery, defendant moved for summary judgment dismissing the complaint. Supreme Court denied the motion, holding that "an issue of fact exists which precludes summary judgment" (2010 NY Slip Op 30611[U], *6 [2010]). Specifically, the court found that plaintiff testified that it informed defendant it required coverage if any employee injured himself or herself and that a jury could rationally conclude that plaintiff made a specific request for such coverage to defendant. The Appellate Division reversed, holding that although issues of fact may exist as to plaintiff's request for specific coverage, plaintiff's failure to "read and under[stand the] policy . . . precludes recovery in this action" (*American Bldg. Supply Corp. v Petrocelli Group, Inc.*, 81 AD3d 531, 531-532 [1st Dept 2011]). We granted leave to appeal (17 NY3d 711 [2011]) and now reverse.

II

"[I]nsurance agents have a common-law duty to obtain requested coverage for their clients within a reasonable time or inform the client of the inability to do so; however, they have no continuing duty to advise, guide or direct a client to obtain additional coverage" (*Murphy v Kuhn*, 90 NY2d 266, 270 [1997]). To set forth a case for negligence or breach of contract against an insurance broker, a plaintiff must establish that a specific request was made to the broker for the coverage that was not provided in the policy (*see Hoffend & Sons, Inc. v Rose & Kieran, Inc.*, 7 NY3d 152, 155 [2006]). "A general request for coverage will not satisfy the requirement of a specific request for a certain type of coverage" (*id.* at 158).

Here, plaintiff testified, at its deposition, that it specifically requested "general liability for the employees . . . if anybody was to trip and fall or get injured in any way." Plaintiff also testified that defendant was aware of ABS's operations, i.e., that there were no retail sales to the public at the premises and that the only persons at the premises were plaintiff's employees.

Defendant, of course, maintains that the procured coverage satisfied plaintiff's request. Like the courts below, we conclude that issues of fact exist as to whether plaintiff specifically requested coverage for its employees in case of accidental injury and defendant, being aware of such request, failed to procure the requested coverage.

This would be a more difficult case if it rested on plaintiff's uncorroborated word alone. Here, however, the evidence arguably supports plaintiff's claim. Since no one but employees ever entered the premises, the coverage defendant obtained, which excluded coverage for injuries to employees, hardly made sense.

III

Defendant maintains, however, that plaintiff's claim is barred by its receipt of the insurance policy without complaint. In *Hoffend* we left open the question of whether a plaintiff who has received an insurance policy and had an opportunity to read it and had not requested any changes is barred from recovery (*see* 7 NY3d at 157). Various appellate courts have held that once an insured has received his or her policy, he or she is presumed to have read and understood it and cannot rely on the broker's word that the policy covers what is requested (*see Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376, 376-377 [1st Dept 2001]; *Rotanelli v Madden*, 172 AD2d 815, 817 [2d Dept 1991], *lv denied* 79 NY2d 754 [1992]; *Madhvani v Sheehan*, 234 AD2d 652, 654-655 [3d Dept 1996]; *Chase's Cigar Store v Stam Agency*, 281 AD2d 911, 912 [4th Dept 2001]). However, other appellate courts have been more forgiving and have held that receipt and presumed reading of the policy does not bar an action for negligence against the broker (*see Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736, 737-738 [3d Dept 2000]; *Reilly v Progressive Ins. Co.*, 288 AD2d 365, 366 [2d Dept 2001]). This may be such a case.

The facts as alleged here, that plaintiff requested specific coverage and upon receipt of the policy did not read it and lodged no complaint, should not bar plaintiff from pursuing this action. While it is certainly the better practice for an insured to read its policy, an insured should have a right to "look to the expertise of its broker with respect to insurance matters" (*Baseball Off. of Commr. v Marsh & McLennan*, 295 AD2d 73, 82 [1st Dept 2002]; *see also Bell v O'Leary*, 744 F2d 1370, 1373 [8th Cir 1984]). The failure to read the policy, at most, may give rise to a defense of comparative negligence but should not bar, altogether,

an action against a broker (*see Baseball Off. of Commr.*, 295 AD2d at 82).

Because there are issues of fact as to whether plaintiff requested specific coverage for its employees and whether defendant failed to secure a policy as requested, we conclude that summary judgment is inappropriate in this matter. We further conclude that plaintiff's failure to read and understand the policy should not be an absolute bar to recovery under the circumstances of this case.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the motion by defendant Petrocelli Group, Inc. for summary judgment denied.

PIGOTT, J. (dissenting). It seems to me elementary that before you can complain about the contents of any contract, you should at least have read it. Nearly 100 years ago we held that when an insured receives an insurance contract, he or she has a duty to read and examine its contents (*see Metzger v Aetna Ins. Co.*, 227 NY 411, 416 [1920]). There, we held that the insured is "conclusively presumed" to know the contents of the insurance contract and assent to it, when he or she signs or accepts the contract (*id.*).

While it is true that, until now, this Court had yet to decide whether the presumption applies to protect an insurance broker that has allegedly failed to obtain requested coverage, several appellate courts have considered the issue and appropriately applied the presumption (*see McGarr v Guardian Life Ins. Co. of Am.*, 19 AD3d 254, 256 [1st Dept 2005]; *Laconte v Bashwinger Ins. Agency*, 305 AD2d 845 [3d Dept 2003]; *Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376 [1st Dept 2001]).

The majority offers no compelling reason why this basic requirement, i.e. that you read the thing, should not obtain in cases involving an insurance broker. Although an insured may claim to have relied upon the broker's experience and knowledge in certain circumstances, we have made clear that insureds are in a better position to know both their own assets and ability to protect themselves than agents or brokers (*Murphy v Kuhn*, 90 NY2d 266, 273 [1997]). Agents and brokers are not "personal financial counselors and risk managers, approaching guarantor status" (*id.*). The relationship between a broker and an insured is not one in which continuing obligations to advise might exist but, rather, is an ordinary commercial relationship that does not give rise to a duty to provide such ongoing guidance

(see *id.* at 270-271; see also *Kimmell v Schaefer*, 89 NY2d 257, 263-264 [1996]).

There are, of course, limitations on the presumption rule. For example, the presumption is overcome when a broker fails to correct a clear misimpression created by a binder (see *Arthur Glick Truck Sales v Spadaccia-Ryan-Haas, Inc.*, 290 AD2d 780 [2002]), or when a broker makes an affirmative misrepresentation regarding coverage in response to questioning by the client after reviewing the policy (*Kyes v Northbrook Prop. & Cas. Ins. Co.*, 278 AD2d 736 [2000]). Those limitations are not alleged here.

By permitting ABS to evade the conclusive presumption rule, the majority in essence allows an insured, months and possibly years after a policy is procured, to complain, following a loss, that it made a request of its broker for the relevant coverage but it was not forthcoming. This will almost always result in a “he said-she said” battle of what occurred during coverage discussions between the insured and broker.

In short, I agree with the Appellate Division that Petrocelli demonstrated its prima facie entitlement to judgment as a matter of law. It submitted the renewal policy to ABS and ABS concedes that it received it. Thus, ABS was conclusively presumed to know the contents, including the exclusions, of the policy. In opposition, ABS failed to raise a triable issue of fact. Had ABS read the policy, and claimed not to have understood the cross-liability exclusion and that Petrocelli misled it with respect to the meaning thereof, a clear question of fact would have been presented. However, ABS does not dispute receipt of the policy and admitted that it did not review it; and, as the Appellate Division noted, the record failed to demonstrate any exception to the presumption that ABS assented to the policy terms.

Chief Judge LIPPMAN and Judges READ and SMITH concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge GRAFFEO concurs.

Order reversed, etc.

[979 NE2d 1187, 955 NYS2d 860]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EMIL
BEST, Appellant.

Argued October 11, 2012; decided November 20, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered May 9, 2011. The Appellate Term affirmed a judgment of the District Court of Nassau County, First District (Sondra K. Pardes, J.), which had convicted defendant, after a nonjury trial, of endangering the welfare of a child.

People v Best, 31 Misc 3d 141(A), 2011 NY Slip Op 50826(U), affirmed.

HEADNOTES

Crimes — Fair Trial — Defendant under Restraints — Bench Trial — Failure to Articulate Justification for Restraining Defendant

1. In a prosecution for endangering the welfare of a child, the trial court erroneously ordered defendant to be handcuffed during the course of his bench trial without articulating a specific justification for doing so. The rule governing visible restraints in jury trials applies with equal force to nonjury trials, and the trial court erred in failing to state a basis on the record for keeping defendant restrained throughout the proceedings. A trial court that restrains a defendant during criminal proceedings must state a particularized reason for doing so on the record, and where the court fails to provide such justification, the defendant need not demonstrate actual prejudice to make out a due process violation. The routine and unexplained use of visible restraints does violence to the presumption of innocence, to the ability of a defendant to participate meaningfully in his or her defense, and to the dignity of the judicial process, and these are essential pillars of a fair and civilized criminal justice system that are no less implicated when the factfinder is the trial judge rather than a jury. While a judge is uniquely capable of making an objective determination based upon appropriate legal criteria, judges are human and the sight of a defendant in restraints may unconsciously influence even a judicial factfinder.

Crimes — Harmless and Prejudicial Error — Restraining Defendant without Articulating Justification — Endangering Welfare of Child

2. In a prosecution for endangering the welfare of a child, the constitutional error committed by the trial court when it erroneously ordered defendant to be handcuffed during the course of his bench trial without articulating a specific justification for doing so was harmless. Constitutional harmless error analysis applies to shackling violations, and a constitutional error may be harmless where evidence of guilt is overwhelming and there is no reasonable

possibility that it affected the outcome of the trial. In light of defendant's own admission establishing that he offered complainant, a child, \$50 to expose his penis, and the complainant's testimony to the same facts, there existed overwhelming evidence that defendant, 31 years old at the time of the alleged crime, knowingly acted in a manner likely to be injurious to complainant's welfare and was, therefore, guilty of endangering the welfare of a child (*see* Penal Law § 260.10 [1]). Given that quantum of evidence, there was no reasonable possibility that defendant's appearance in handcuffs contributed to trial court's finding of guilt.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 666, 681; AM JUR 2d, Criminal Law §§ 942-944; AM JUR 2d, Trial § 132.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:149, 190:161; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:119.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.2, 27.6.

McKINNEY'S, Penal Law § 260.10 (1).

NY JUR 2d, Criminal Law: Procedure §§ 2461, 2623, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

Propriety and prejudicial effect of gagging, shackling, or otherwise physically restraining accused during course of state criminal trial. 90 ALR3d 17.

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POINTS OF COUNSEL

Legal Aid Society of Nassau County, Hempstead (*Tammy Fe-man*, *Kent V. Moston* and *Jeremy L. Goldberg* of counsel), for appellant. I. Appellant was denied a fair trial where he was handcuffed and shackled during his misdemeanor bench trial without basis in the record. (*People v Cruz*, 17 NY3d 941; *People v Clyde*, 18 NY3d 145; *Deck v Missouri*, 544 US 622; *People v Neu*, 124 AD2d 885; *Illinois v Allen*, 397 US 337; *In re Gault*, 387 US 1; *People v Buchanan*, 13 NY3d 1; *People v Thomas*, 125 AD2d 873; *Davidson v Riley*, 44 F3d 1118; *People v Mendola*, 2 NY2d 270.) II. The District Court information charging appellant

with endangering the welfare of a child is jurisdictionally insufficient. Accordingly, the conviction should be reversed and the accusatory instrument dismissed. (*People v Casey*, 95 NY2d 354; *People v Henderson*, 92 NY2d 677; *People v Alejandro*, 70 NY2d 133; *People v Hall*, 48 NY2d 927; *People v Dumas*, 68 NY2d 729; *People v Seward*, 173 Misc 2d 1020; *People v Walker*, 21 Misc 3d 748; *People v Taylor*, 23 Misc 3d 361; *People v Mercado*, 184 Misc 2d 40; *People v Cenat*, 176 Misc 2d 39.) III. The trial court erroneously denied appellant's application for a subpoena duces tecum for the complainant's school disciplinary records. (*People v Gissendanner*, 48 NY2d 543; *People v Kozlowski*, 11 NY3d 223; *People v Bugayong*, 182 AD2d 450; *People v Reynolds*, 193 Misc 2d 697; *People v Knowell*, 127 AD2d 794; *People v Ehigie*, 6 Misc 3d 1008[A], 2004 NY Slip Op 51754[U]; *People v Flynn*, 79 NY2d 879.) IV. Appellant was not proven guilty beyond a reasonable doubt; the evidence was insufficient as a matter of law; the trial court erroneously denied appellant's trial order of dismissal. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Taylor*, 94 NY2d 910; *People v Allah*, 71 NY2d 830; *People v Simmons*, 92 NY2d 829; *People v Hitchcock*, 98 NY2d 586; *People v Payne*, 3 NY3d 266; *People v Camacho*, 209 AD2d 534; *Tibbs v Florida*, 457 US 31; *People v Rayam*, 94 NY2d 557.)

Kathleen M. Rice, District Attorney, Mineola (*Joanna Hershey* and *Robert A. Schwartz* of counsel), for respondent. I. The evidence was legally sufficient to prove defendant's guilt beyond a reasonable doubt. (*People v Contes*, 60 NY2d 620; *People v Samuels*, 99 NY2d 20; *People v Henderson*, 282 AD2d 102; *Matter of Lavar D.*, 90 NY2d 963; *People v Norman*, 85 NY2d 609; *People v Khan*, 18 NY3d 535; *People v Simmons*, 92 NY2d 829; *People v Rice*, 17 NY2d 881; *People v Spencer*, 66 Misc 2d 658; *People v Doe*, 137 Misc 2d 582.) II. Despite defendant's unpreserved claim to the contrary, he was not denied a fair trial because he was handcuffed during his bench trial; moreover, any error was harmless. (*People v Luperon*, 85 NY2d 71; *People v Dien*, 77 NY2d 885; *People v Osuna*, 65 NY2d 822; *People v Andrade*, 87 AD3d 160; *People v Johnston*, 43 AD3d 1273; *People v Santiago*, 52 NY2d 865; *People v Gray*, 278 AD2d 151; *People v Barney*, 99 NY2d 367; *People v Becoats*, 17 NY3d 643; *People v Rouse*, 79 NY2d 934.) III. The accusatory instrument charging defendant with endangering the welfare of a child was jurisdictionally sufficient. (*People v Alejandro*, 70 NY2d 133; *People v Kalin*, 12 NY3d 225; *People v Konieczny*, 2 NY3d 569; *People v Casey*, 95 NY2d 354; *People v Rozario*, 20 Misc 3d 76; *People v Johnson*,

93 NY2d 254; *People v Clinkscates*, 3 Misc 3d 333; *People v Mizell*, 72 NY2d 651; *People v Simmons*, 92 NY2d 829; *People v Rice*, 17 NY2d 881.) IV. Defendant abandoned his request for a subpoena duces tecum by not renewing his motion during the victim's testimony; in any event, the court properly denied his earlier requests without prejudice to renew because the victim's school disciplinary records were not shown to be relevant. (*People v Russell*, 71 NY2d 1016; *People v Billip*, 65 AD3d 430; *People v Graves*, 85 NY2d 1024; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Kozlowski*, 11 NY3d 223; *People v Gissendanner*, 48 NY2d 543; *People v Reddick*, 43 AD3d 1334; *People v Simmons*, 92 NY2d 829; *People v Crimmins*, 38 NY2d 407.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we must determine whether defendant's conviction should be overturned because the trial court restrained defendant during the course of his bench trial without articulating a specific justification for doing so. We hold that the rule governing visible restraints in jury trials applies with equal force to nonjury trials and that District Court erred in failing to state a basis on the record for keeping defendant handcuffed throughout these proceedings. Based upon our recent holding in *People v Clyde* (18 NY3d 145 [2011]), however, we conclude that the constitutional error committed here was harmless.

Defendant Emil Best was charged with endangering the welfare of a child (Penal Law § 260.10 [1]) based upon an allegation that he offered a 12-year-old boy \$50 to expose his penis. In a written statement wherein defendant waived his *Miranda* rights, he admitted that he made the alleged offer, although he claimed to have done so in jest. The record reflects that defendant appeared for his *Sandoval* hearing with his hands cuffed behind his back. At the start of the hearing, defense counsel "request[ed] that [defendant's] handcuffs be removed." District Court "grant[ed] the request to the extent [of asking] the officers to handcuff him in front." Thereafter, defendant waived his right to a jury trial. At the start of trial, defense counsel requested that the court remove defendant's handcuffs and shackles. The court again "direct[ed] that the defendant be

handcuffed in front.”* On the second day of trial, defense counsel reiterated her request “that [defendant’s] handcuffs be removed.” Again, the court “direct[ed] the officers to handcuff the defendant in the front.” In addition to defendant’s written statement, the People offered testimony by the then 14-year-old complainant, who stated that defendant offered him money to expose himself while the two were riding in the backseat of a car. Complainant testified that he felt “violated” by the incident and began counseling as a result of it. District Court convicted defendant. Appellate Term upheld the conviction, rejecting defendant’s claim that the trial court erred in ordering that defendant remain handcuffed during the proceedings (*People v Best*, 31 Misc 3d 141[A], 2011 NY Slip Op 50826[U] [App Term 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 951 [2011]), and we now affirm on harmless error grounds.

A trial court that restrains a defendant during criminal proceedings must state a particularized reason for doing so on the record. In *Deck v Missouri* (544 US 622 [2005]), the United States Supreme Court declared that the Federal Constitution “forbid[s] routine use of visible shackles during the guilt phase” of a trial and “permits a State to shackle a criminal defendant only in the presence of a special need” (*id.* at 626). Accordingly, the use of visible restraints must be “justified by an essential state interest . . . specific to the defendant on trial” (*id.* at 624 [internal quotation marks omitted]), and where the court fails to provide such justification “the defendant need not demonstrate actual prejudice to make out a due process violation” (*id.* at 635). Consistent with *Deck*, we held in *Clyde* that, as a matter of both federal and state constitutional law, “[a] defendant has the right to be free of visible shackles, unless there has been a case-specific, on-the-record finding of necessity” (18 NY3d at 153; *see also People v Cruz*, 17 NY3d 941, 944-945 [2011] [holding that the use of leg shackles without an independent judicial determination regarding the need for them violated defendant’s constitutional rights under *Deck*]).

The People contend that the rule of *Deck*, *Clyde* and *Cruz* is inapplicable to defendant’s case because he was tried by the court rather than by a jury. We see no basis for such a distinction. In *Deck*, the United States Supreme Court explained that “[j]udicial hostility to shackling . . . giv[es] effect to three

* The record does not indicate whether defendant remained shackled.

fundamental legal principles” (*id.* at 630): (1) preserving the presumption of innocence to which every criminal defendant is entitled; (2) ensuring that the defendant is able to participate meaningfully in his or her defense; and (3) maintaining the dignity of the judicial process (*see id.* at 630-631). The routine and unexplained use of visible restraints does violence to each of these principles, essential pillars of a fair and civilized criminal justice system that are no less implicated when the factfinder is the trial judge rather than a jury.

It is true, as the Appellate Term observed, that “ ‘[u]nlike a lay jury, a Judge . . . is uniquely capable of . . . making an objective determination based upon appropriate legal criteria, despite awareness of facts which cannot properly be relied upon in making the decision’ ” (*Best*, 2011 NY Slip Op 50826[U] at *1, quoting *People v Moreno*, 70 NY2d 403, 406 [1987]). Nonetheless, judges are human, and the sight of a defendant in restraints may unconsciously influence even a judicial factfinder. Moreover, the psychological impact on the defendant of being continually restrained at the order of the individual who will ultimately determine his or her guilt should not be overlooked. Nor should we ignore the way the image of a handcuffed or shackled defendant affects the public’s perception of that person and of criminal proceedings generally.

[1] Here, District Court articulated no justification, let alone one specific to defendant, for ordering defendant’s continual restraint. While such a basis may very well have existed, the court’s failure to say so on the record constitutes a violation of defendant’s constitutional rights under *Deck*.

[2] In *Clyde*, however, we held that constitutional harmless error analysis applies to shackling violations (*see* 18 NY3d at 148). Applying that analysis here, we conclude that the trial court’s omission was indeed harmless. A constitutional error may be harmless where evidence of guilt is overwhelming and there is no reasonable possibility that it affected the outcome of the trial (*see id.* at 153-154; *People v Douglas*, 4 NY3d 777, 779 [2005]). Here, defendant’s own admission established that he offered complainant, a child, \$50 to expose his penis. Complainant testified to the same facts. Thus, there exists overwhelming evidence that defendant, 31 years old at the time of the alleged crime, knowingly acted in a manner likely to be injurious to complainant’s welfare and was, therefore, guilty of endangering the welfare of a child (Penal Law § 260.10 [1]). Given that quantum of evidence, we do not think there is any reasonable

possibility that defendant's appearance in handcuffs contributed to District Court's finding of guilt.

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge LIPPMAN (dissenting). The presumption of innocence for those accused is "the undoubted law, axiomatic and elementary, and its enforcement lies at the foundation of the administration of our criminal law" (*Coffin v United States*, 156 US 432, 453 [1895]). The unwarranted shackling of defendants strikes at the heart of the right to be presumed innocent, and for the reasons that follow, I respectfully dissent.

In a bench trial, the factfinder determines whether the defendant poses a particular security risk that warrants restraint. Here, the trial judge chose to keep the defendant in shackles throughout his trial despite the lack of any individualized security concerns stated on the record. The District Court's actions intimated that it believed defendant to be a dangerous character who needed to be restrained, which inevitably affected its role as factfinder before a scintilla of evidence was presented. The use of shackles without record justification in a bench trial presents a scenario with unique dangers, different from the ones addressed in *People v Clyde* (18 NY3d 145 [2011]) and *People v Cruz* (17 NY3d 941 [2011]).

We held in *People v Buchanan* (13 NY3d 1, 4 [2009]) that "as a matter of New York law . . . it is unacceptable to make a stun belt a routine adjunct of every murder trial, without a specifically identified security reason" and without reaching the constitutional due process issues discussed in *Deck v Missouri* (544 US 622, 626 [2005]). We determined that ordering a defendant to wear a stun belt without a basis in the record was an egregious error that itself warranted reversal. Here, were it necessary to reach the constitutional issues, I would certainly agree with the majority's view that the present facts comprise a violation of constitutional rights under *Deck v Missouri* (544 US at 626; see US Const 5th, 14th Amends). Under our state law framework in *Buchanan*, having the trier of fact order the shackling of a defendant without an individualized determination of the defendant's security risk is an egregious error that requires a new trial. Not only is a defendant "entitled to appear in court with the dignity and the self-respect of a free and innocent man" (*People v Roman*, 35 NY2d 978, 979 [1975]), a defendant is entitled to have his case decided by a judge who has

due regard for the rights of the accused and the decorum of the courtroom. In a bench trial where the court chooses to keep a defendant in shackles without adequate record justification, the judge prioritizes convenience over the administration of justice. Allowing a defendant to attend his own trial without restraints and to participate in his defense is crucial, and a defendant should not be tried in an undignified atmosphere, stripped of the presumption of innocence.

The People urge the Court to assume that the unexplained use of handcuffs and restraints will never have an effect on a judge's determination of a defendant's guilt or innocence. To take the People's position is to obviate the need for any harmless error analysis in a bench trial, as they propose that a judge will always be insulated from prejudice on any matter. To make this assumption is to degrade a defendant's right to be presumed innocent. Visible shackles give the impression to any trier of fact that a person is violent, a miscreant, and cannot be trusted (*see People v Clyde*, 18 NY3d 145, 158 [2011, Lippman, Ch. J., dissenting] [shackling is "understood to be reserved for the management of dangerous and explosive individuals—persons presumptively predisposed to violent crime"]).

Even if the Court should decide the present case based on a harmless error analysis, as the majority proposes, the People did not prove "beyond a reasonable doubt that the [shackling] error complained of did not contribute to the verdict obtained" (*Deck v Missouri*, 544 US at 635, quoting *Chapman v California*, 386 US 18, 24 [1967] [internal quotation marks omitted]). Upon a constitutional harmless error analysis, there has been insufficient showing that the defendant was not prejudiced and that the shackling error did not affect the verdict (*see People v Clyde*, 18 NY3d 145, 153-154 [2011] [considering "the quantum and nature of the evidence against defendant if the error is excised" and the error's effect on the factfinder in determining whether an error is harmless]). Here, the improper shackling of defendant without basis in the record cannot have been harmless error because the evidence against defendant was not overwhelming. While the evidence was legally sufficient to convict defendant, there was testimony at trial that in defendant's limited mind, his behavior amounted to nothing more than bantering or teasing. Indeed, the police characterized defendant as "slow in his movement and speech," "timid," and "deficien[t]," and the complainant testified that he never felt scared by the encounter or defendant. There was little indication

that the encounter between the complainant and defendant was sexual in nature. Given that defendant's conviction stemmed almost entirely from the, at times, inconsistent testimony of a 12-year-old boy, the evidence was far from overwhelming.

I continue to believe that “[g]iven the very basic interests at stake, and the ease with which they can properly be afforded the judicial consideration they are due, there should be a clear rule that the failure to make a record to justify restraining a defendant at trial will necessitate a new trial” (*People v Cruz*, 17 NY3d 941, 947 [2011, Lippman, Ch. J., dissenting]). This rule should be no less imperative in bench trials, where the judge is the sole trier of fact.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge CIPARICK; Chief Judge LIPPMAN dissents in a separate opinion.

Order affirmed.

[Next page is 801.]

